

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[132 NE3d 568, 108 NYS3d 375]

NADKOS, INC., Appellant, v PREFERRED CONTRACTORS INSURANCE COMPANY RISK RETENTION GROUP LLC, Respondent, et al., Defendant.

Argued April 30, 2019; decided June 11, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 3, 2018. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Melissa A. Crane, J.), which had (1) granted the motion of defendant Preferred Contractors Insurance Company Risk Retention Group LLC for summary judgment; (2) denied plaintiff's cross motion for summary judgment; (3) dismissed the complaint in its entirety; and (4) declared that the general liability insurance policy at issue does not provide coverage in connection with the claims in the underlying action.

Nadkos, Inc. v Preferred Contrs. Ins. Co. Risk Retention Group LLC, 162 AD3d 7, affirmed.

HEADNOTE

Statutes — Construction — Insurance Law — Unfair Claim Settlement Practices

A general business practice of failing to promptly disclose coverage within the meaning of Insurance Law § 2601 (a) (6) does not include violations of the timely liability disclaimer requirement of Insurance Law § 3420 (d) (2).

Insurance Law § 2601 (a) (6) provides that “failing to promptly disclose coverage pursuant to” Insurance Law § 3420 (d) or (f) (2) (A) constitutes an unfair claims settlement practice. Section 3420 (d) has two paragraphs—paragraph (1) requires insurers to respond to requests for information by insureds or injured individuals within firm statutory deadlines, and paragraph (2) requires an insurer disclaiming liability or denying coverage to give written notice as soon as is reasonably possible. The prohibition on an unfair claims settlement practice based on a failure to promptly disclose coverage encompasses the mandates of section 3420 (d) (1), not (d) (2). By requiring insurers to confirm the existence of an applicable liability policy and to specify the limits of its coverage, the requirement in section 3420 (d) (1) falls within the general meaning of a disclosure. Conversely, an insurer does not disclose coverage by merely notifying the insured that it is not liable or will not provide coverage—a notification required by section 3420 (d) (2). If section 2601 (a) (6) encompassed both the disclosure requirement of section 3420 (d) (1) and the disclaimer requirement of section 3420 (d) (2), then the use of the term “disclosure” in section 2601 (a) (6) would be superfluous. In addition, the cross-reference to section 3420 (f) (2) (A), which in turn addresses disclosures of supplemental uninsured/underinsured motorists insurance coverage limits, supports the reading that section 2601 (a) (6) refers only to an insurer’s divulgence of the existence and limits of a specified policy and not to a blanket statement disclaiming liability or denying coverage. Accordingly, defendant insurer, a nondomiciliary risk retention group doing business in New York, was required by Insurance Law § 5904 to comply with the unfair claims settlement practices provisions as set forth in section 2601, but it was not subject to section 3420 (d) (2).

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Insurance §§ 1745, 1909.

COUCH ON INSURANCE (3d ed) §§ 203:4, 204:50.

McKINNEY’S, Insurance Law §§ 2601 (a) (6); 3420 (d) (2); 5904.

NY JUR 2d Insurance §§ 77, 1469, 1725, 2073, 2074.

ANNOTATION REFERENCE

See ALR Index under Insurance.

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POINTS OF COUNSEL

Melito & Adolfsen P.C., New York City (*S. Dwight Stephens*, *Ignatius John Melito* and *Kira Tsiring* of counsel), for appellant. I. When the legislature amended Insurance Law § 2601

(a) (6) to include Insurance Law § 3420 (d), it would have specified subsection (d) (1) if that is what it intended. (*Newell Universal Mill Co. v Muxlow*, 115 NY 170; *Wadsworth v Allied Professionals Ins. Co.*, 748 F3d 100; *First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64.) II. Nadkos, Inc.'s interpretation is supported by public policy by ensuring that Insurance Law § 3420 (d) (2) receives the liberal construction permitting it to "promote the public good" for which it was designed by the legislature and to act as a check on the "hazardous regulatory void" created by the federal Liability Risk Retention Act. (*Carlson v American Intl. Group, Inc.*, 30 NY3d 288.) III. Preferred Contractors Insurance Company Risk Retention Group LLC's disclaimer is untimely under Insurance Law § 3420 (d) (2). (*First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64; *West 16th St. Tenants Corp. v Public Serv. Mut. Ins. Co.*, 290 AD2d 278; *Squires v Marini Bldrs.*, 293 AD2d 808.)

Diane Bucci, New York City, for respondent. I. Non-compliance with Insurance Law § 3420 (d) (2) is not an unfair claim settlement practice within the meaning of Insurance Law § 2601. (*Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *National Union Fire Ins. Co. of Pittsburgh, Pa. v State of New York*, 72 AD3d 620, 16 NY3d 703.) II. In that Insurance Law § 3420 (d) (2) is not within the scope of New York's Unfair Claim Settlement Practices Act, the lower court correctly held that the statute is preempted by the federal Liability Risk Retention Act. (*Wadsworth v Allied Professionals Ins. Co.*, 748 F3d 100; *Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *Guice v Charles Schwab & Co.*, 89 NY2d 31; *City of New York v Job-Lot Pushcart*, 88 NY2d 163; *State of N.Y. ex rel. Grupp v DHL Express [USA], Inc.*, 19 NY3d 278; *Doomes v Best Tr. Corp.*, 17 NY3d 594; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *National Warranty Ins. Co. RRG v Greenfield*, 214 F3d 1073; *Ophthalmic Mut. Ins. Co. v Musser*, 143 F3d 1062; *Preferred Physicians Mut. Risk Retention Group v Pataki*, 85 F3d 913.) III. Public policy does not favor ignoring the clear mandates of the federal Liability Risk Retention Act in favor of Insurance Law § 3420 (d) (2). (*Carlson v American Intl. Group, Inc.*, 30 NY3d 288; *Utica First Ins. Co. v Santa-gata*, 66 AD3d 876; *ACC Constr. Corp. v Tower Ins. Co. of N.Y.*, 83 AD3d 443; *Carriage Dev. v U.S. Underwriters Ins. Co.*, 4 AD3d 305; *Metropolitan Heat & Power Co., Inc. v AIG Claims Servs., Inc.*, 47 AD3d 621.) IV. Nadkos, Inc. has not established a violation of Insurance Law § 2601 (a) (6).

OPINION OF THE COURT

RIVERA, J.

On this appeal, we conclude that a general business practice of failing to promptly disclose coverage within the meaning of Insurance Law § 2601 (a) (6) does not include violations of the timely liability disclaimer requirement of Insurance Law § 3420 (d) (2).

The genesis of this appeal is in an insurance coverage dispute between plaintiff Nadkos, Inc., the general contractor in an underlying personal injury action by an employee of Nadkos's subcontractor, and defendant Preferred Contractors Insurance Company Risk Retention Group LLC (PCIC), the subcontractor's general liability insurer. PCIC is a risk retention group (RRG) chartered in Montana and doing business in New York. An RRG is an issuer of insurance owned and operated by insureds who work in the same industry and are exposed to similar liability risks (*Wadsworth v Allied Professionals Ins. Co.*, 748 F3d 100, 102 n 1 [2d Cir 2014]; 15 USC § 3901 [a] [4]).

The PCIC policy named Nadkos as an additional insured, extending coverage to Nadkos for liability related to the "ongoing operations" of the subcontractor and other members of the risk retention group. After PCIC disclaimed coverage based on certain exclusions in the policy,¹ Nadkos sought a declaratory judgment that the policy obligated PCIC to defend and indemnify Nadkos in the employee's personal injury action. Nadkos also maintained—without objection from PCIC—that the disclaimer was untimely. Thus, according to Nadkos's interpretation of Insurance Law § 3420 (d) (2), the disclaimer was void.

PCIC moved for summary judgment, arguing that section 3420 (d) (2) is inapplicable to a nondomiciliary RRG. Nadkos then cross-moved for summary judgment, asserting that Insurance Law § 2601 (a) (6), which undisputedly applies to foreign RRGs, cross-references section 3420 (d) and therefore subjects PCIC to the timely disclaimer requirements of section 3420 (d) (2). As such, PCIC is barred from asserting all coverage defenses as applied to Nadkos. Supreme Court granted PCIC sum-

1. The PCIC policy specifically excluded coverage of bodily injuries to "[a]ny 'employee' of any insured or any contractor or subcontractor working directly or indirectly on any insured's behalf arising out of and in the course of . . . employment by the insured." It also excluded any bodily injuries caused by "the acts or omissions of any independent contractor(s) or subcontractor(s) whether or not hired by the insured."

mary judgment dismissing the complaint, denied Nadkos's cross motion and made a declaration in favor of PCIC.

The Appellate Division affirmed, holding that an insurance coverage disclaimer is not a disclosure of coverage within the meaning of Insurance Law § 2601 (a) (6), and therefore section 3420 (d) (2) does not apply to nondomiciliary PCIC (*Nadkos, Inc. v Preferred Contrs. Ins. Co. Risk Retention Group LLC*, 162 AD3d 7, 11-12 [1st Dept 2018]). We granted Nadkos leave to appeal (32 NY3d 905 [2018]).²

We begin our analysis with the applicable insurance provisions of the State's statutory and regulatory framework.³ The legislature promulgated the Risk Retention Groups and Purchasing Groups Act, codified in article 59 of the Insurance Law, "to regulate the formation and/or operation in this state of risk retention groups" (Insurance Law § 5901). As relevant to this appeal, Insurance Law § 5904 provides that nondomiciliary RRGs doing business in New York "shall comply with the unfair claims settlement practices provisions as set forth in section [2601] of this chapter, and any regulations promulgated thereunder" (Insurance Law § 5904 [d]).⁴

In turn, Insurance Law § 2601 (a) lists acts by insurers that, "if committed without just cause and performed with such frequency as to indicate a general business practice, shall constitute unfair claim settlement practices." Insurance Law § 2601 (a) (6) includes, "failing to promptly disclose coverage pursuant to" Insurance Law § 3420 (d) or (f) (2) (A).

2. The Appellate Division also concluded as a threshold matter that, to the extent permitted by the federal Liability Risk Retention Act of 1986, Insurance Law § 5904 (d) governs regulation of nondomiciliary RRGs, like PCIC, and expressly requires compliance with Insurance Law § 2601. Since we hold on state statutory grounds that foreign RRGs are not subject to section 3420 (d) (2) we do not opine on the merits of the parties' federal preemption arguments.

3. The dissent engenders confusion as to our reasoning (dissenting op at 18), which proceeds along straightforward analytic steps grounded in well-established rules of statutory construction: Insurance Law article 59 applies to RRGs; section 5904 expressly subjects nondomiciliary RRGs, like PCIC, to section 2601 (a) (6); section 2601 (a) (6) cross-references those provisions of section 3420 (d) that concern an RRG's failure to timely disclose coverage, meaning conduct addressed in subsection (d) (1), not an RRG's disclaimer of liability, which is subject to the separate requirements found in subsection (d) (2).

4. Contrary to the dissent's claim, we do not decide the outer limits of our State's regulation of nondomiciliary RRGs, such as whether nondomiciliary RRGs are subject only to Insurance Law § 5904 (dissenting op at 18). That question is not presented by this appeal.

Insurance Law § 3420 (d) contains two paragraphs. The first, paragraph (1), requires insurers to respond to requests for information by insureds or injured individuals. Specifically, it mandates that insurers inform the requesting party, within firm statutory deadlines, whether the insured has a particular policy, the coverage limits of that policy, and whether additional information is needed to identify the policy (*see* Insurance Law § 3420 [d] [1]). The second, paragraph (2), provides that if “an insurer shall disclaim liability or deny coverage . . . it shall give written notice as soon as is reasonably possible” (Insurance Law § 3420 [d] [2]). Like section 3420 (d) (1), section 3420 (f) (2) (A) requires insurers to inform insureds of the limits of coverage for uninsured/underinsured motorist claims (*see* Insurance Law § 3420 [f] [2] [A]).

The penalties for violations of the disclosure mandates in section 3420 (d) (1) and (f) (2) (A) differ from those imposed for violations of the disclaimer requirements in section 3420 (d) (2). While an insurer is subject to a monetary penalty for failure to timely disclose in accordance with section 3420 (d) (1) (Insurance Law § 2601 [c]), its failure to timely disclaim liability or deny coverage is considered an unduly delayed notice that results in *per se* prejudice to the insured and limits the defenses an insurer could raise against an insured’s claim (*see KeySpan Gas E. Corp. v Munich Reins. Am., Inc.*, 23 NY3d 583, 590 [2014]).

Whether PCIC’s disclaimer is regulated by the Insurance Law turns on whether the reference to an insurer’s failure “to promptly disclose coverage” in section 2601 (a) (6) includes the timely disclaimer requirement of section 3420 (d) (2). Nadkos argues that section 2601 (a) (6) cites to section 3420 (d) without limitation, and thus encompasses both paragraphs (1) and (2). According to Nadkos, if the legislature intended to limit section 2601 (a) (6) to a specific paragraph of section 3420 (d), it knew how to do so, as demonstrated by the cross-reference in section 2601 (a) (6) to a specific subparagraph of another provision—3420 (f) (2) (A). PCIC responds that section 2601 (a) (6) is intended to impose the disclosure requirements of section 3420 (d) (1) and (f) (2) (A). Section 3420 (d) (2) is distinguishable as it requires insurers to timely disclaim liability or deny coverage.

We reject the interpretation advocated by Nadkos, and adopted by the dissent, because the prohibition on an unfair claim settlement practice based on a failure to promptly dis-

close coverage encompasses the mandates of section 3420 (d) (1), not (d) (2).⁵

“When presented with a question of statutory interpretation, a court’s primary consideration ‘is to ascertain and give effect to the intention of the Legislature’” (*Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523, 528 [2018], quoting *Riley v County of Broome*, 95 NY2d 455, 463 [2000]). We have long held that “[t]he statutory text is the clearest indicator of legislative intent” and that a court “should construe unambiguous language to give effect to its plain meaning” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). “In the absence of a statutory definition, ‘we construe words of ordinary import with their usual and commonly understood meaning, and in that connection have regarded dictionary definitions as useful guideposts in determining the meaning of a word or phrase’” (*Yaniveth R. v LTD Realty Co.*, 27 NY3d 186, 192 [2016], quoting *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475, 479-480 [2001]). It is also our well-established rule that “statutory language should be harmonized, giving effect to each component and avoiding a construction that treats a word or phrase as superfluous” (*Lemma*, 31 NY3d at 528).

The text of Insurance Law § 2601 (a) (6) plainly qualifies its reference to Insurance Law § 3420, limiting it to an insurer’s failure “to promptly disclose coverage pursuant to” section 3420

5. Despite the dissent’s characterization of this Court’s reasoning, we do not “expressly decline[] to consider” a dispositive issue or avoid legal reasoning essential to resolution of this appeal (dissenting op at 14). Nadkos asserts that Insurance Law § 2601 (a) (6) is properly read as making both section 3420 (d) (1) and (2) unfair claims settlement practices such that a nondomiciliary RRG’s required compliance with subsection (d) (2) is not preempted by the federal Liability Risk Retention Act (LRRRA). Thus, the question presented here turns on the meaning of our state law—either section 2601 (a) (6) refers to section 3420 (d) (2) or it does not. The LRRRA does not shed light on the answer to that specific question. Put another way, we may not avoid deciding whether a violation of section 3420 (d) (2) is an unfair claim settlement practice within the meaning of section 2601 (a) (6). Although it is analytically sound to first determine whether a party’s action is subject to a rule (LRRRA preemption) before deciding whether an exception applies, we need not do so here. Given the procedural posture of this case, the parties’ agreement that the LRRRA applies to PCIC and the challenged disclaimer notification, and our interpretation of the relevant Insurance Law sections, we may resolve the appeal solely on state law grounds. Our approach avoids the path taken by the dissent, of possibly misconstruing the LRRRA’s expansive text and intended purpose with an overly narrow reading of the statute and its legislative history, or by disputing federal decisions to the contrary.

(d) and (f) (2) (A). In other words, section 2601 (a) (6) applies solely to those portions of section 3420 (d) and (f) that require a prompt disclosure of coverage-specific information. The term “disclose” is not defined in the Insurance Law, nor is it mentioned in sections 2601 and 3420 (d), but that does not render, as the dissent maintains (dissenting op at 23-25), these two sections ambiguous or their interplay unclear.

The term “disclose” generally means “[t]o make (something) known or public; to show (something) after a period of inaccessibility or of being unknown; to reveal” (Black’s Law Dictionary [10th ed 2014], disclose). To “disclaim,” on the other hand, is “[t]o state, usually formally, that one has no responsibility for, knowledge of, or involvement with (something); to make a disclaimer about[;] . . . [t]o renounce or disavow a legal claim to” (Black’s Law Dictionary [10th ed 2014], disclaim).⁶ Section 3420 (d) (1) is comprised of three subparagraphs that outline an insurer’s requirement to disclose coverage information upon request. Section 3420 (d) (1) (A) provides that the subsequent subparagraphs apply only to certain policies.⁷ In turn, subparagraph (B) requires an insurer to confirm the existence and limits of coverage for an applicable policy, when such information is requested by an injured person or claimant (Insurance

6. The dissent contends that “disclose” and “disclaim” are “words of technical or special meaning,” i.e., terms of art, and thus should not be given their ordinary meaning (dissenting op at 24 n 7, citing McKinney’s Cons Laws of NY, Book 1, Statutes § 233). That prescription has limited application and is not universally deployed in service of the ultimate judicial task of determining legislative purpose. The commentary to the authority upon which the dissent relies clarifies that the “intent of the Legislature however, is the controlling consideration in the construction of statutes; and when necessary to effectuate such intent the courts may construe words of technical meaning according to their popular sense” (McKinney’s Cons Laws of NY, Book 1, Statutes § 233, Comment). Thus, our reliance on dictionary definitions here is fully in accord with established canons of construction.

The dissent’s view that we place undue emphasis (dissenting op at 24) on analyzing textual differences ignores this Court’s role when called upon to interpret a statute. Our task is to dig into the weeds, parse minute details, and consider whether a legislative choice of a specific word or phrase evinces a particular intent. In view of the text and structural placement of the subject provisions, as well as the legislative history, discussed *infra*, Insurance Law § 2601 (a) (6) is properly read as distinguishing denials of coverage from the disclosure of coverage, as those terms are commonly understood.

7. The applicable policies must provide coverage for claims “arising out of the death or bodily injury of any person,” and constitute “automobile insurance” or “personal lines insurance” as defined in Insurance Law § 3425, or “used to satisfy a financial responsibility requirement imposed by law or regulation” (Insurance Law § 3420 [d] [1] [A]).

Law § 3420 [d] [1] [B])). In furtherance of this goal to reveal an existing policy's coverage, subparagraph (C) requires the insurer to request additional information from the injured person, or claimant, if necessary to identify an applicable policy (Insurance Law § 3420 [d] [1] [C])). By requiring insurers to confirm the existence of an applicable liability policy and to specify the limits of its coverage, the requirement in section 3420 (d) (1) falls within the general meaning of a disclosure. Conversely, an insurer does not disclose coverage by merely notifying the insured that it is not liable or will not provide coverage—a notification required by section 3420 (d) (2).⁸

The dissent's embellished version of Nadkos's claim is as unpersuasive as the original (dissenting op at 23-25). To disclose coverage is to make known the existence of a policy, which once disclosed may lead to litigation regarding whether the insured or other claimant is entitled to a payout under the terms of the policy. Indeed, Insurance Law § 3420 (d) (1) (B) and (C) respectively impose 60- and 45-day deadlines for notification, which promotes expeditious resolution of potential claims. While it is also useful for the insured and other claimant to know "as soon as is reasonably possible" whether the insurer will disclaim liability or deny coverage in accordance with (d) (2), the dissent is incorrect that there is no benefit to the claimant from timely notice under (d) (1) that the insurer has "identif[ie]d] a liability insurance policy that may be relevant to the claim" (Insurance Law § 3420 [d] [1] [C])).

Indeed, if the legislature intended Nadkos's interpretation as adopted by the dissent, it would have used simpler, more direct language of this alleged more expansive construction. For example, the drafters could have described this type of unfair claim settlement practice in either of the following ways: "failing to promptly notify the insured pursuant to section 3420 (d) and section 3420 (f) (2) (A)," or "violating section 3420 (d) and section 3420 (f) (2) (A)."⁹

8. Given our conclusion that section 3420 (d) (2) does not apply to PCIC, we have no occasion to consider its alternative ground to affirm the Appellate Division's decision, which, in any event, is unpreserved.

9. Contrary to the dissent's assertions, we do no more than interpret the Insurance Law as written and as required under our rules of statutory construction. Far from unsettling our State's insurance law (dissenting op at 14), or ignoring the statutory text (*id.*), our analysis conforms to well-established interpretive standards familiar to the parties and the insurance industry generally. We may not ignore those standards in response to the dis-

(n. cont'd)

The statutory structure also supports interpreting the confirmation requirements of section 3420 (d) (1) as distinct from the timely disclaimer of liability and denial of coverage mandated in section 3420 (d) (2). First, as the Appellate Division observed, if section 2601 (a) (6) both encompasses the disclosure requirement of subsection (d) (1) and disclaimer requirement of (d) (2), then the use of the term “disclosure” in section 2601 (a) (6) would be superfluous. Such an interpretation violates the rule of construction that “words must be ‘harmonize[d]’ and read together to avoid surplusage” (*Andryeyeve v New York Health Care, Inc.*, 33 NY3d 152, 176 [2019]; *Kimmel v State of New York*, 29 NY3d 386, 393 [2017] [“a statute should be construed to avoid rendering any of its provisions superfluous”]). Second, the cross-reference to section 3420 (f) (2) (A), which in turn addresses disclosures of supplemental uninsured/underinsured motorists insurance coverage limits, supports our reading that section 2601 (a) (6) refers only to an insurer’s divulgence of the existence and limits of a specified policy—required in subsection (d) (1)—and not to a blanket statement disclaiming liability or denying coverage—mandated by subsection (d) (2). Therefore, we reject the invitation of Nadkos and the dissent to ignore the simple fact that the cross-reference in section 2601 (a) (6) is limited to those parts of section 3420 (d) and (f) (2) (A) violated by an insurer’s repeated “fail[ure] to promptly disclose coverage.”¹⁰

Although the text and structure of these sections render it unnecessary to consider the legislative history, here it lends

sent’s disapproval of the legislative choice not to include section 3420 (d) (2) within the prohibitions of section 2601 (a) (6). Though the dissent refers to a national consensus about the fairest way to address insurer misconduct, this is a consideration for the legislature—the body constitutionally charged with weighing policy responses to societal problems. Notwithstanding the invitation by the dissent, we cannot read a statute to reflect a meaning other than what the text permits simply because of a judicial preference for a different policy choice (see *Montgomery v Daniels*, 38 NY2d 41, 53 [1975] [“The judiciary, however, is not called on to weigh the relative worth of data or arguments which may be marshaled on either side as to the wisdom of determinations made by the Legislature in the realm of policy”]).

10. The dissent asserts challenges to arguments nowhere found in our statutory analysis of state law, leading the dissent to explain its position on federal law, common law and legislative and judicial adherence to the insurance industry’s preferred standards (dissenting op at 19-21, 26-36). However, there is no occasion to consider these issues. We limit ourselves, as we must, to resolving those questions presented by the parties and the underlying matters necessarily implicated by the facts and posture of this appeal.

further support to our construction (see *Kimmel*, 29 NY3d at 397, quoting *Matter of Tompkins County Support Collection Unit v Chamberlin*, 99 NY2d 328, 335 [2003] [“the legislative history of an enactment may also be relevant and is not to be ignored” (internal quotation marks omitted)]). The disclosure requirements in section 3420 (d) (1) were enacted as part of amendments made to the Insurance Law in 2008. Prior to the 2008 amendments, section 3420 (d) included only the timely disclaimer requirement now set forth in section 3420 (d) (2) (see Insurance Law § 3420 [d] [eff Sept. 1, 1984 through Jan. 16, 2009]). At the time, Insurance Law § 2601 (a) (6) referred solely to section 3420 (f) (2) (A) (see Insurance Law § 2601 [a] [6] [eff Jan. 8, 1998 through Jan. 16, 2009]). Only after section 3420 (d) (1) was added in 2008 was section 2601 (a) (6) amended to cross-reference section 3420 (d). The inescapable inference is that the legislature did not consider violations of section 3420 (d) (2) to be an unfair claim settlement practice when it amended section 2601.

The purposes of the 2008 amendments support this reading. The changes in the law were intended to permit individuals suing an insured tortfeasor to initiate a simultaneous declaratory judgment action against the tortfeasor’s insurer to challenge the denial of coverage based on late notice, and prohibit insurers from denying coverage based on the failure to provide timely notice without demonstrating they were prejudiced by the delay (see Senate Introducer’s Mem in Support, Bill Jacket, L 2008, ch 388 at 8, 2008 McKinney’s Session Laws of NY at 2055, 2056). As the Introducer’s Memorandum states, section 3420 (d) (1) was intended to

“establish a process for a claimant to receive confirmation from an insurer that the insured had an insurance policy in effect on the alleged occurrence date, and the limits of such policy. This section of the bill also establishes a process in case insufficient information is provided to the insurer and such confirmation is not possible” (*id.*).

While section 3420 (d) (1) furthered the purposes of the 2008 amendments by creating a process that would allow injured claimants to obtain sufficient information to seek declaratory relief, it is not evident how, as Nadkos and the dissent argue,

subsection (d) (2) was essential to furthering those objectives.¹¹

The statutory text, framework and legislative history establish that section 2601 (a) (6) does not encompass the liability disclaimer requirement of section 3420 (d) (2).¹² Accordingly, the order of the Appellate Division should be affirmed, with costs.

WILSON, J. (dissenting). Imagine that you have purchased liability insurance, to protect you in case someone sues you for injuries allegedly caused by your negligence. When sued, you ask your insurance company the same question every policyholder asks: am I covered? New York's Legislature has deemed it vitally important that your insurer answer that question right away. Insurance Law § 3420 (d) (2) includes the following "untimely disclaimer" rule:

"If under a liability policy issued or delivered in this state, an insurer shall disclaim liability or deny coverage for death or bodily injury arising out of a motor vehicle accident or any other type of accident occurring within this state, it shall give written notice as soon as is reasonably possible of such disclaimer of liability or denial of coverage to the insured and the injured person or any other claimant."

Thus, when you ask your insurer whether you are covered, your insurer must answer you promptly in writing, yes or no. If your insurer does not answer "as soon as is reasonably possible," your insurer is stripped of most of the coverage exclusion clauses in the insurance policy that could otherwise have allowed it to deny you coverage (*First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64, 68 [2003]; accord *Allstate Ins. Co. v Gross*, 27 NY2d 263, 270 [1970]).

New York's untimely disclaimer rule exists to promote fairness to policyholders and accident victims alike. Ordinary

11. The dissent's remaining argument about the applicability of the New York Department of Financial Services' regulations to this dispute (dissenting op at 26-27) was not raised by Nadkos and as such is not properly before us on this appeal (*Merrill v Albany Med. Ctr. Hosp.*, 71 NY2d 990, 991 [1988] [noting this Court may not address issues not raised in the lower court proceedings]).

12. We express no opinion as to whether the legislature could amend section 2601 (a) (6) to make repeated failure to promptly disclaim coverage pursuant to section 3420 (d) (2) an unfair claims settlement practice.

people cannot find out whether they are covered by their insurance policies without their insurer's help, because most insurance policies are incomprehensible to nonlawyers (and some, even to lawyers). If policyholders do not know whether their insurer will provide coverage, they cannot know whether they must find their own lawyer, how much they can pay that lawyer, or how much they can offer to settle a threatened or pending lawsuit. Victims of accidents are also stuck, because the policyholder's entire response to a lawsuit—including whether anything beyond the assets of the defendant is available to satisfy a judgment and what lawyer will defend the suit—depends on whether the policyholder is covered.¹

Because insurer prevarication is unfair to both victims and policyholders, almost every jurisdiction in the United States provides by statute that an insurance company's regular failure promptly to affirm or deny coverage is an "unfair claims settlement practice." I say "almost" because now New York is no longer among them. Today, the majority pulls New York out of the mainstream, and declares that contrary to the national consensus, common sense and the plain text of our insurance laws, the legislature intended to make an insurer's refusal to confirm or deny coverage promptly not an unfair claims practice, all by adopting an amendment the text of which did exactly that.

Accordingly, every insurer operating in this state, foreign and domestic, risk retention group and multi-line casualty insurer, from Lloyds of London to the smallest captive local insurer, will not be liable for extra-contractual damages for unfair claims handling and/or bad faith practices because of late disclaimer, and damages for late disclaimer will be limited to policy limits—in New York and no other state. That anomalous result rests on the majority's conclusion that when the legislature said "subsection (d)" it did not mean "subsection (d)." The majority reaches that conclusion by misreading the surrounding words based on a flimsy legislative history—causing it to undermine a 2008 law whose very purpose was to eliminate judicially-imposed pro-insurer spin on New York insurance laws.

1. Tom Baker & Kyle Logue, *Insurance Law and Policy: Cases and Materials* at 563-571 (3d ed 2013) (summarizing scholarship examining how tort claims are shaped to match the available liability insurance).

Further, the majority's decision unsettles New York's insurance law. Even if an insurer's persistent failure timely to confirm or deny coverage is not an unfair claims practice, Insurance Law § 3420 (d) (2) applies to every "liability policy issued or delivered in this state." The policy in this case is a "liability policy . . . delivered in this state." It is also uncontested—at least for our purposes—that the insurance company, Preferred Contractors Insurance Company Risk Retention Group LLC (PCIC), did not deny coverage to Nadkos, Inc. within a reasonable time. Therefore, PCIC cannot rely on a policy exclusion to deny Nadkos coverage.

This case should end there. However, the majority ignores the statutory text and declares that Insurance Law § 3420 (d) (2) does not apply to foreign risk retention groups (RRGs). The parties' principal dispute on this appeal is that the above result is required by a federal law, the Liability Risk Retention Act (LRRA), which exempts foreign-chartered risk retention groups from state laws that "make unlawful, or regulate, directly or indirectly, the operation of [such] risk retention group[s]" like PCIC (15 USC § 3902 [a] [1]). The majority expressly declines to consider this argument (majority op at 7 n 5) and instead finds that Insurance Law § 3420 (d) (2) does not apply here because the phrase "liability policy issued or delivered in this state" (Insurance Law § 3420 [d] [2]) means only "liability policies issued or delivered by insurers other than foreign RRGs." Section 3420 (d) (2) by its terms applies to all liability insurers operating in this state. To conclude that all insurers means all insurers other than foreign RRGs, the majority turns to Insurance Law article 59's list of state laws applicable to foreign RRGs, even though that list does not exempt foreign RRGs from any other state insurance laws, does not purport to be an exclusive list of New York insurance laws applicable to RRGs, and could not reasonably be interpreted as such. The majority's refusal to address how to determine what New York insurance laws other than those in article 59's list apply to RRGs threatens to undermine New York's ability to protect policyholders and victims and seriously undermines New York's status as the nation's premiere insurance law jurisdiction—all because the majority admittedly avoids the federal issue presented by the parties and relied on by the Appellate Division.

I.

I agree with the majority's recitation of the relevant facts, and briefly summarize them here to place them in the proper

context by taking into account the LRRRA. 596 E19th Partners, LLC, a property developer, hired Nadkos, Inc. as a general contractor to construct a building in Brooklyn. Nadkos hired Chesakl Enterprises, Inc. as a subcontractor to perform steelwork. As is common in the construction industry, Nadkos' contract with Chesakl required Chesakl to maintain general liability insurance naming 596 E19th Partners, LLC and Nadkos as additional insureds. Chesakl became a member of PCIC, a "risk retention group" of other construction subcontractors, and in that capacity bought from PCIC a general liability insurance policy.

A risk retention group is a liability insurance company owned solely by its insureds. RRGs offer commercial liability insurance for the mutual benefit of those owner insureds, as a form of collective self-insurance. They make up a relatively small fraction of the liability insurance market overall, and are largely employed in industries with specialized risks that are not well-addressed by conventional liability insurers. The most common kind of RRG is formed by medical practitioners to provide medical malpractice liability insurance (*see generally* Government Accountability Office, Report No. GAO-12-16: Risk Retention Groups: Clarifications Could Facilitate States' Implementation of the Liability Risk Retention Act [Dec. 2011], <https://www.gao.gov/products/GAO-12-16>). RRGs are strictly "self-insurance" groups, however; they are forbidden from insuring nonmembers (15 USC § 3901 [a] [4] [G]; Insurance Law § 5902 [n] [7]).

RRGs are governed by a different regulatory structure than applies to other kinds of insurance providers. Ordinarily, each state regulates all insurers—both those chartered inside and out of the state—in the same way. The LRRRA² provides, however, that self-insurance groups meeting the federal criteria for being an RRG can, essentially, pick any state in the U.S. to be their home or "chartering" state and be subject to comprehensive regulation by that state only (here, PCIC chose Mon-

2. The LRRRA began its life as the Product Liability Risk Reduction Act of 1981 (PLRRA) (Pub L 97-45, 95 US Stat 949); at that time the regulatory regime was limited to self-insurance groups that covered risks connected to products liability. Congress amended the PLRRA in 1986 to drop the "P," permitting the risk retention group structure established in the PLRRA to be used for any kinds of risks for which one would purchase liability insurance (Risk Retention Amendments of 1986, Pub L 99-563, 100 US Stat 3170). To avoid confusion, I refer to the federal law from its inception to the present day as the LRRRA.

tana as its chartering state). Congress exempted RRGs from certain insurance regulations issued by non-chartering states, in response to concerns that such regulations would make it impracticable for RRGs to operate across state lines.³ However, Congress then made an exception to that exemption, allowing states to impose certain categories of regulations on foreign RRGs. Most relevant here, Congress provided that “any State may require [a foreign RRG] to . . . comply with the unfair claim settlement practices law of the State” (15 USC § 3902 [a] [1] [A]).

Although PCIC included Nadkos as an additional insured, PCIC’s liability policy contains many exclusions from personal injury coverage, among them an exclusion for claims arising from bodily injury incurred on “‘employee[s]’ . . . working directly or indirectly on the insured’s behalf.” Mirkamel Vafaev, a Chesakl employee, was injured and sued Chesakl, Nadkos, 596 E19th Partners LLC, and Nadkos’s principal, Oleksandr Nad, for negligence. Chesakl and Nadkos tendered the claim to PCIC on August 27, 2015. PCIC timely disclaimed Chesakl’s coverage five days later (counting the weekend), on September 1, 2015. However, it waited a full 81 days before responding to Nadkos, disclaiming coverage on the same basis as it disclaimed to Chesakl (the two letters are almost identical), on November 16, 2015.

Under Insurance Law § 3420 (d) (2), an unexcused delay of 48 days or more in disclaiming coverage is unreasonable as a matter of law (*First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64, 68 [2003]), and such a delay “precludes effective disclaimer or denial” of coverage (*Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028, 1029 [1979]). However, PCIC argued that even if its disclaimer was untimely, the LRRRA preempted Insurance Law § 3420 (d) (2) as applied to it because it was an RRG. PCIC’s preemption argument depended on the further conclusion that New York’s untimely disclaimer rules are not part of

3. The House Report on the original 1981 PLRRA described these obstructive laws in some detail: state laws barring self-insurance groups unless incumbent insurance companies categorically and uniformly refused to provide coverage; state laws authorizing captive insurance companies only if the captive had prohibitively high capital and surplus reserves; onerous minimum premium requirements for captives and burdensome in-state registration requirements (HR Rep 97-190, 97th Cong, 1st Sess at 5-6, reprinted in 1981 US Code Cong & Admin News at 1433-1435). Conspicuously absent from that list were state laws regarding notifications of acceptance or denial of coverage or claim settlement practices more generally.

the “unfair claim settlement practices law of the State,” which is expressly exempt from preemption (15 USC § 3902 [a] [1] [A]). The courts below held that the LRRRA preempted Insurance Law § 3420 (d) (2) as applied to PCIC (162 AD3d 7 [1st Dept 2018]), and we granted leave (32 NY3d 905 [2018]).

II.

I begin with the question actually presented by this case: does Insurance Law § 3420 (d) (2)—the untimely disclaimer rule—apply to liability insurance policies issued by RRGs? The majority jumps to the separate question of whether violating Insurance Law § 3420 (d) (2) is an unfair claims practice (majority op at 4), but that question is irrelevant if Insurance Law § 3420 (d) (2) applies to RRGs on its own terms.

It does. Insurance Law § 3420 (d) (2) applies to every “liability policy issued or delivered in this state.” Note the disjunctive “or delivered,” which indicates that out-of-state insurance companies (those who “issue” the policies elsewhere) are subject to Insurance Law § 3420 (d) (2) even if they merely “deliver” the policy “in this state,” as we held just two years ago (*see Carlson v American Intl. Group, Inc.*, 30 NY3d 288, 305 [2017]). All agree PCIC is an “insurer” and the policy in question is a “liability policy . . . delivered in this state.” Accordingly, Insurance Law § 3420 (d) (2) applies to PCIC and to every insurer issuing or delivering insurance policies in New York.

The majority has no answer to the plain text of Insurance Law § 3420 (d) (2), which applies to RRGs on its own terms quite apart from its inclusion or non-inclusion as an unfair claims practice on the Insurance Law § 2601 (a) (6) list (*cf.* majority op at 9-10 n 9). The Appellate Division had an answer: because PCIC is an RRG chartered in another state, the LRRRA (15 USC § 3902 [a] [1]) exempts it from Insurance Law § 3420 (d) (2) even though non-RRGs must comply with that statute (162 AD3d at 12). I do not agree, as I explain later, but I acknowledge that the Appellate Division rested its holding on a ground that the majority ignores (majority op at 7 n 5). By affirming without explaining whether the Appellate Division’s preemption holding is right or wrong, the majority assumes away the plain language of Insurance Law § 3420 (d) (2), as well as the federal law that until now all parties and courts agreed was determinative of the ultimate outcome, creating a chasm of uncertainty for RRGs, their policyholders and tort victims.

The majority chooses to avoid comment on the LRRRA (majority op at 7 n 5) describing its decision as resting “solely on state law grounds” (*id.*). In another footnote, it appears to set out what those state law grounds are: declaring the matter “straight-forward,” it begins by explaining that “Insurance Law article 59 applies to [foreign] RRGs” (majority op at 5 n 3). Presumably, the majority’s point is this: Insurance Law § 5904 contains a list of substantive provisions with which foreign RRGs must comply, whereas section 5903 (a) provides that New York-chartered RRGs must comply with “all of the laws, regulations and orders applicable to property/casualty insurers organized and licensed in this state.” The majority’s rationale, though not made explicit, must be that as a matter of state law all other insurance laws, including Insurance Law § 3420 (d) (2), do not apply to foreign RRGs unless those laws are listed in section 5904.⁴ That reasoning at least explains the majority’s affirmance “solely on state law grounds” (majority op at 7 n 5). For at least two reasons, however, it cannot be the case that the list in section 5904 exempts foreign RRGs from all state insurance laws not on that list.

First, the conclusion that foreign RRGs are exempt as a matter of state law from all state laws particularly regulating liability insurance except those on the Insurance Law § 5904 list creates tremendous uncertainty as to the applicability of a great many laws and regulations concerning liability insurance not on that list. That uncertainty is compounded by the majority’s express reservation of this question in a footnote (majority op at 5 n 4). If Insurance Law § 5904 (or perhaps some other part of article 59 not mentioned by the majority) exempts foreign RRGs from the otherwise-applicable Insurance Law § 3420 (d) (2), but does not exempt them from laws on the In-

4. The LRRRA does not exempt RRGs from state laws “generally applicable to persons or corporations” (15 USC § 3902 [a] [4]), and I do not understand the majority to hold that the legislature has done what Congress did not. Indeed, that the legislature intended to target only liability insurance regulation is evidenced by Laws of 1990, chapter 128, § 6, which inserted the word “liability” next to the word “insurance” throughout Insurance Law § 5907 “as that is the only kind of insurance permissible under the LRRRA” (Ins Dept Mem, Bill Jacket, L 1990, ch 128 at 13, 1990 McKinney’s Session Laws of NY at 2351, 2352). Accordingly, the only state laws I understand the majority to hold that foreign RRGs are exempt from are those laws applicable *only* “to property/casualty insurers organized and licensed in this state” (Insurance Law § 5903 [a]; *cf. Matter of Monarch Consulting, Inc. v National Union Fire Ins. Co. of Pittsburgh, PA*, 26 NY3d 659, 670 [2016] [collecting cases discussing the definition of the “business of insurance”]).

Insurance Law § 5904 list, it is hard to think of a principled reason why any liability insurance laws not on that list would apply to foreign RRGs.

The list of laws the majority implies no longer bind foreign RRGs (or might no longer bind foreign RRGs) is long indeed: the laws of New York include the Penal Law, the entirety of the common law, which was omitted from the list in Insurance Law § 5904 along with almost every other title in the New York statute book. “There is no federal general common law” (*Erie R. Co. v Tompkins*, 304 US 64, 78 [1938]); there is only the common law of each state, and as of today there is no common law in New York—by decree of the legislature, the majority would have us believe—that applies to RRGs. Foreign RRGs should not celebrate our decision today too merrily, because the majority’s reasoning excuses them not only from certain New York laws that constrain them, like Insurance Law § 3420 (d) (2), but also from many New York legal doctrines that may benefit them. Pity RRGs that benefit from, say, our rejection of the unavailability exception to pro rata allocation in *Keyspan Gas E. Corp. v Munich Reins. Am., Inc.* (31 NY3d 51, 56 [2018]); from here on out, all of New York’s substantive law is closed to them unless itemized in Insurance Law § 5904. That cannot be what the legislature intended when it enacted article 59.

The facts of this case are useful to illustrate the confusion that will result from the majority’s decision. The majority holds that Insurance Law § 3420 (d) (2) does not apply to PCIC’s coverage of Nadkos. What rules do apply to that coverage? Certainly not common-law doctrines of waiver and estoppel (*see* Restatement of Liability Insurance §§ 5, 6), which would otherwise drop in to fill the absence of Insurance Law § 3420 (d) (2) (*cf.* *KeySpan Gas E. Corp. v Munich Reins. Am., Inc.*, 23 NY3d 583, 590-591 [2014]); nonetheless, neither are on the Insurance Law § 5904 list. The result, it seems to me, is that a New York insured has recourse under the policy solely under the laws of the chartering state for any matter not covered by article 59. Worse, if the chartering state’s courts lacked jurisdiction over wholly out-of-state insurance claims disputes, foreign RRGs may be subject to no regulation at all. It is highly unlikely that the New York legislature intended to outsource regulation of an important part of our state’s insurance industry to Montana.

Second, the majority never explains why the implication in Insurance Law § 5904 that foreign RRGs be exempt from li-

ability insurance rules other than those listed in that section 5904 defeats the express inclusion of all liability insurance policies, no matter who issues them, in the plain text of Insurance Law § 3420 (d) (2). As the majority says, “statutory language should be harmonized, giving effect to each component and avoiding a construction that treats a word or phrase as superfluous” (*Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523, 528 [2018]; majority op at 7). Here, the absence of any express provision in Insurance Law § 5904 that foreign RRGs are affirmatively exempt as a matter of state law from all state liability insurance laws not in its list, and the presence of an affirmative inclusion of all liability insurance policies in the plain text of Insurance Law § 3420 (d) (2), suggests that the two laws are not in conflict: the legislature wanted to bind foreign RRGs to the RRG-specific rules of Insurance Law § 5904 and also to any other law that generally applied to all insurers or all liability insurance policies delivered in the state (*see generally Carlson*, 30 NY3d at 305). If the LRRRA served to exempt foreign RRGs from certain of those general laws, that would be another matter, but in its absence (as the majority sees it) there is no reason to interpret state law as applying to anything less than what it says.

That the legislature intended to bind foreign RRGs right to the very limits of federal law is further supported by the legislature’s own words at the start of article 59: “The purpose of this article is to regulate the formation and/or operation in this state of risk retention groups and purchasing groups formed pursuant to the provisions of the federal Liability Risk Retention Act of 1986, *to the extent permitted by such law*” (Insurance Law § 5901 [citation omitted and emphasis added]). This is not the state’s long-arm statute, where there is at least some evidence that the legislature wanted to limit state court long-arm jurisdiction to an area well short of the federal allowance (*see generally Williams v Beemiller, Inc.*, 33 NY3d 523, 531-541 [May 9, 2019, Feinman, J., concurring]). Here, the State wanted to regulate to the federal maximum: Insurance Law § 5901 says article 59 applies state law to the foreign RRGs right up to the congressionally-defined maximum. Accordingly, as a matter of state law, Insurance Law § 3420 (d) (2) applies to foreign RRGs if the LRRRA would permit the State to impose it on RRGs. Indeed, this is almost certainly why the lower courts and parties focused their analyses and arguments on whether the LRRRA preempted New York law—because if it

did not, New York clearly stated its intention to subject foreign RRGs to all the provisions of New York law applicable to other insurers.

Finally, the majority's tacit holding that the list contained in Insurance Law § 5904 operates to remove foreign RRGs from section 3420 (d) (2)—necessary to its conclusion that the Appellate Division should be affirmed “solely on state law grounds” (majority op at 7 n 5)—is not an argument PCIC ever directly advanced. PCIC cited to article 59 on precisely four pages of its 50-page brief in this Court, each time solely to support the claim that federal and not state law exempts it from Insurance Law § 3420 (d) (2). Nadkos, for its part, mentions article 59 twice, also in the federal context. Whatever prudential reasons may support the majority's decision not to consider the LRRRA's application to Insurance Law § 3420 (d) (2), it is not correct to describe its decision to rest solely on article 59 as “limit[ing] ourselves, as we must, to resolving those questions presented by the parties” (majority op at 10 n 10).

III.

Even if foreign RRGs were subject to only those New York liability insurance laws listed in Insurance Law § 5904, Insurance Law § 3420 (d) (2) is on that list. As the majority explains, Insurance Law § 5904 provides that foreign RRGs doing business in New York “shall comply with the unfair claims settlement practices provisions as set forth in section [2601] of this chapter, and any regulations promulgated thereunder” (Insurance Law § 5904 [d]). Insurance Law § 2601 (a) lists acts by insurers that, “if committed without just cause and performed with such frequency as to indicate a general business practice, shall constitute unfair claim settlement practices.” Insurance Law § 2601 (a) (6) includes as such an act “failing to promptly disclose coverage pursuant to subsection (d) or subparagraph (A) of paragraph two of subsection (f) of section [3420] of this chapter.” Insurance Law § 3420 (d) (2) is, of course, a part of Insurance Law § 3420 (d).

The plain text of the statute makes it clear that the untimely disclaimer rule is an unfair claims settlement practice. When the legislature said “subsection (d)” it meant “subsection (d),” that is, both subsection (d) (1) and (2). The legislature surely knew how to separate out paragraphs in a section—it did so in the very part of the statute at issue here, expressly including “subparagraph (A) of paragraph two of subsection (f).” It is

hardly worth counting the number of times this Court has said that “[t]he statutory text is the clearest indicator of legislative intent and that a court should construe unambiguous language to give effect to its plain meaning” (majority op at 7 [internal quotation marks omitted] [collecting cases]), or words to that effect. To avoid the obvious textual conclusion and our settled doctrine, the majority engages in multiple acts of interpretative gymnastics.

A.

The majority holds that Insurance Law § 2601 (a) (6) encompasses only subsection (d) (1) and not (d) (2) because the text of section 2601 (a) (6) “plainly qualifies its reference to Insurance Law § 3420, limiting it to an insurer’s failure ‘to promptly disclose coverage pursuant to’ section 3420 (d) and (f) (2) (A);] . . . section 2601 (a) (6) applies solely to those portions of section 3420 (d) and (f) that require a prompt disclosure of coverage-specific information” (majority op at 7-8 [citations omitted]). Because section 3420 (d) (1) involves revealing to policyholders and victims the existence of a “policy” covering bodily injury and the maximum limits under that policy, and Insurance Law § 3420 (d) (2) involves “disclaiming” coverage, and because “an insurer does not disclose coverage by merely notifying the insured that it is not liable or will not provide coverage,” the majority holds that Insurance Law § 3420 (d) (2) falls outside of the section 2601 (a) (6) language (majority op at 9).

Instead, the majority argues, section 2601 (a) (6) includes only section 3420 (d) (1), which essentially requires an insurer promptly to tell a policyholder or victim only two things: whether the policyholder has a policy that matches one of a list of policy types described elsewhere in the Insurance Law (Insurance Law § 3425), and what the coverage limit on that policy is. What (d) (1) does not require, however, is that the insurer state whether it will or will not cover the claim. The insurer need only disclose the mere existence of a policy, and dollar value of the maximum amount that could be paid if the policy actually covers the claim, within the specified time frame to satisfy (d) (1).

To understand the problem with the majority’s analysis, consider the following example. When I return from work, my daughter asks if I have brought home any cookies. I confirm that I have brought home a dozen chocolate chip cookies. Any

parent knows exactly what question comes next: “can I *have* a cookie?” To that, I say “I’ll get back to you in 81 days.”

The inevitable reaction of my daughter to my 81-day answer illustrates the problem with the majority’s analysis. It is completely irrelevant to her whether the cookies exist; what matters is whether she can eat one. Likewise, an insurer who tells a policyholder (or a victim suing a policyholder) that a policy exists, with a maximum coverage limit, provides no material help to either the policyholder or the victim until the insurer discloses whether the insurer will cover the claim, and that can only happen if the insurer discloses whether it denies or accepts coverage. It does little if any good for policyholders or victims to simply be told that a policy exists; indeed, insureds have a copy of their insurance policies when they obtain them, and would not ordinarily know what insurer to notify unless they have some basis to know the identity of their insurer. The problem is that policies are unreadable by all but a subset of lawyers, most of whom work for insurance companies.⁵ What Insurance Law § 3420 (d) (2) demands is an answer to “am I covered?” That answer is a “disclosure” of insurance coverage. To read it as the majority does is to render it meaningless.⁶

The majority’s focus on the verb “disclose” also fails as a matter of textual analysis, because it reads the conjoined word “coverage” out of the statute. I accept the majority’s dictionary fortifications around the word “disclose;” they are irrelevant. What matters is whether (d) (1), standing alone, entails a disclosure of “coverage.” “Coverage” is defined, in the insurance context, as “[i]nclusion of a risk under an insurance policy; the risks within the scope of an insurance policy” (Black’s Law Dictionary [10th ed 2014], coverage). But Insurance Law § 3420 (d) (1) (B) provides only that the insurer disclose “whether the

5. John Aloysius Cogan Jr., *Readability, Contracts of Recurring Use, and the Problem of Ex Post Judicial Governance of Health Insurance Policies*, 15 Roger Williams U L Rev 93, 102-103 (2010) (“One of the defining characteristics of contracts of adhesion, and insurance contracts in particular, is that they are unreadable. There appears to be total consensus on this point. Law professors, treatises, commentators and the Restatement [Second] of Contracts all concede that people do not read their insurance contracts, due in large part to the complexity of the contracts”).

6. It is no answer to say that interpreting “disclose” in section 2601 (a) (6) to encompass all of the subsections it describes renders that word superfluous; once subsection (d) is understood in its totality as a disclosure requirement, it makes perfect sense for the statute (which grammatically calls for a verb) to use the appropriate label “disclose coverage.”

insured had a liability insurance policy of [a certain] type . . . in effect with the insurer on the date of the alleged occurrence; and (ii) specify the liability insurance limits of the coverage provided under the policy.” Conspicuously absent from this required disclosure is whether a given risk is included under an insurance policy—the dictionary definition of coverage. I take the majority’s reasoning here as a warning not to play poker with any of them, because, should I call them, they will “disclose” their hand by laying the cards face down on the table, letting me see how many cards they have, not what hand they hold. That is not how our legislature intended insurers to treat policyholders.

The majority rejects this commonsense interpretation of Insurance Law § 3420 (d) in part because it has placed undue emphasis on the distinction between the verb “disclose” and the verb “disclaim” without considering the context provided by the noun “coverage” (*see generally Matter of James Q.*, 32 NY3d 671, 678 [2019] [a given statutory term “cannot be read in isolation . . . (r)ather, the term must be understood in context and with reference to the words and phrases adjacent to it”]; *see also* McKinney’s Cons Laws of NY, Book 1, Statutes § 239 [a] [“words employed in a statute are construed in connection with, and their meaning is ascertained by reference to the words and phrases with which they are associated”]). The difference between these verbs, on which the majority rests its analysis, collapses once it is understood that “disclaimer” is the means by which insurers “disclose” the existence of *coverage*, as opposed to disclosing the existence of a policy, or the maximum paid per claim.⁷

That “disclaimer” operates as a form of “disclosure” of coverage is a function of the particular legal environment in which insurers operate. The law of every state provides that if an insurer affirms that the policyholder’s claim is covered, then

7. The specific context of the insurance business also defeats the majority’s effort to make a fortress out of the dictionary (*see* McKinney’s Cons Laws of NY, Book 1, Statutes § 233 [words of technical or special meaning are not construed in their “ordinary” sense]; *cf. Cabell v Markham*, 148 F2d 737, 739 [2d Cir 1945, Hand, J.]). It is certainly true that “disclose” and “deny” have different dictionary meanings, but in the specific context of insurance law a disclaimer or denial functions as disclosure of coverage, albeit in the negative sense, precisely because non-denial, unaccompanied by a reservation of rights, so often functions as a binding concession of coverage (*see generally* 14 Steven Plitt et al., *Couch on Insurance* § 198:1 *et seq.* [discussing myriad cases in which insurer non-denials serve to waive coverage]).

the insurer has lost many of its otherwise available coverage defenses (Restatement of Liability Insurance §§ 5, 6). The insurer then has two options if it does not want to throw away any coverage defenses: disclaim coverage (thus disclosing that coverage does not exist) or reserve its rights (keeping its determination of coverage hidden). The only way an insurer can “disclose coverage” is to affirm or disclaim coverage. In the absence of insurer affirmance or disclaimer, the only entity that can “disclose” coverage is a court through a declaratory judgment action—and insurers who force their policyholders to engage in litigation to acquire coverage, especially coverage that is clearly within the scope of the policy, are exactly the kind of insurers the legislature was thinking of when it defined unfair claims settlement practices (*see* Insurance Law § 2601 [a] [4], [5]). Yet the majority seems to believe that a law compelling the insurer to “promptly disclose coverage” (i.e., saving everyone from a trip to our State’s judicial system) exists only to push every policyholder into “litigation regarding whether the insured or other claimant is entitled to a payout under the terms of the policy” (majority op at 9). I believe I speak on behalf of every policyholder in this state when I say: only in our nightmares.

The majority’s second gyration is to argue that the legislative history of Insurance Law § 3420 (d) (2) implies that the legislature meant to capture only (d) (1) in the text of Insurance Law § 2601 (a) (6) and just plumb forgot to include the “(1).” To begin with, “[w]e may not create a limitation that the Legislature did not enact” (*Matter of Diegelman v City of Buffalo*, 28 NY3d 231, 237 [2016] [internal quotation marks and citation omitted]; *see Matter of Metropolitan Life Ins. Co. v Bolland*, 281 NY 357, 361 [1939] [“We are not privileged, by judicial construction, to legislate. If a change in the wording of the provision is desired, it must be made by the Legislature”]). Although it is true that the legislature amended section 2601 (a) (6) in 2008 “to permit individuals suing an insured tortfeasor to initiate a simultaneous declaratory judgment action against the tortfeasor’s insurer to challenge the denial of coverage based on late notice” (majority op at 11), the fact remains that a court “should construe unambiguous language to give effect to its plain meaning” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]), and “subsection (d)” unambiguously means “subsection (d).”

Even assuming “subsection (d)” was ambiguous such that we would look to legislative history, the majority’s use of legisla-

tive history to explain why the legislature said “subsection (d)” when it really meant “subsection (d) (1)” works against its own argument, and instead bolsters the case for including (d) (2) as an unfair claims practice. Consider a tort victim who receives the information required by subsection (d) (1): she knows that the tortfeasor has a “liability insurance policy” that purports to cover personal injuries (Insurance Law § 3420 [d] [1] [B] [i]; *cf.* Insurance Law § 3425 [listing the types of policies to which (d) (1) applies]) and she knows what the limits of the coverage provided under the policy are (Insurance Law § 3420 [d] [1] [B] [ii]). But she cannot yet sue the insurance company in a declaratory judgment action simultaneously with her suit against the tortfeasor. As CPLR 3001 and Insurance Law § 3420 (a) (6) explain, an individual tort victim does not have the right to sue the insurance company directly until the insurer “disclaims liability or denies coverage” (*see also* L 2008, ch 338 [adding this limitation alongside the amendment making breach of Insurance Law § 3420 (d) an unfair claims practice]). The balance the legislature struck between insurer and third-party claimant was simple: a tort victim could sue the tortfeasor’s insurer directly, but only if the insurer was given an opportunity to investigate and disclaim first. To ensure that insurers did disclaim promptly, so as not to prejudice the injured party who wants to get on with a lawsuit against the tortfeasor and insurer in a single action, the requirement that insurers timely disclaim coverage was made an unfair claims settlement practice.

B.

Finally, I note that even if the majority is completely correct about everything in its opinion, the majority has ignored the New York Department of Financial Services’ decision to adopt, pursuant to its powers under Insurance Law § 2601, the crucial portions of the text of Insurance Law § 3420 (d) (2) in 11 NYCRR 216.6 (c), which provides: “Within 15 business days after receipt by the insurer of a properly executed proof of loss and receipt of all items, statements and forms which the insurer requested from the claimant, the claimant, or the claimant’s authorized representative, shall be advised in writing of the acceptance or rejection of the claim by the insurer,” with an ability of the insurer to extend this deadline by appropriate notice to the claimant (it is undisputed that no such notice was sent here). The legislature expressly provided that

foreign RRGs are bound not only by “the unfair claims settlement practices provisions as set forth in [Insurance Law § 2601]” but also by “any regulations promulgated thereunder” (Insurance Law § 5904 [d]). No one argues, or could argue, that the LRRRA’s preemption exception may be invoked only by statute, and not by a duly enacted regulation. Thus, even under the majority’s extraordinarily crabbed theory, PCIC loses because it must comply with the Superintendent’s regulations, which require prompt disclaimer or acceptance of coverage. I recognize that the parties did not mention the regulations, but the danger of allowing the regulations to go unmentioned is that insurers, policyholders, prospective policyholders and tort victims might erroneously understand the majority’s decision to require a reworking of the entire industry, when the result here would have been reversed had these parties noticed the Superintendent’s regulations.

IV.

Even if the majority is right to say that foreign RRGs are subject only to the laws set out in Insurance Law § 5904, and even if the majority is right to say that Insurance Law § 3420 (d) (2) is not such a law, Insurance Law § 3420 (d) (2) would still apply to PCIC because its coverage of Nadkos put it in material breach of both the LRRRA and Insurance Law article 59; it was not a foreign RRG for purposes of this coverage dispute.

Neither the LRRRA nor article 59 exempts an RRG from generally applicable state insurance laws if that RRG acts outside of the federal limitations on what an RRG may do. Here, PCIC exceeded the scope of the LRRRA and article 59 by insuring Nadkos, a nonmember of the RRG. Although, under the majority’s holding, Insurance Law § 3420 (d) (2) may not apply to the policy held by PCIC member Chesakl, regulation of PCIC’s extracurricular activities—namely, its insurance of Nadkos—was entirely outside of the LRRRA’s scope and well outside of the ambit of article 59.⁸

Article 59 applies only to “risk retention groups . . . formed pursuant to the provisions of the federal [LRRRA]” (Insurance

8. It is undisputed that PCIC provided insurance to Nadkos (and 596 E19th Partners LLC), a nonmember. Indeed, that is what this case is entirely about. The policy language itself makes plain that Nadkos is an insured, as a 2012 endorsement amended the policy “to include as an additional insured any person or organization for whom you [Chesakl] are performing operations when you and such person or organization have agreed in writing in a

(n. cont’d)

Law § 5901). The definition of a risk retention group as a matter of state law was expressly amended in 1990, two years after article 59 was adopted (L 1990, ch 128), to limit article 59 to “any corporation or other limited liability association formed pursuant to the federal [LRRRA]” (Insurance Law § 5902 [n]). The legislative history of the 1990 amendment explains that it was adopted to “clarify that only risk retention groups formed pursuant to the LRRRA are subject to the provisions of Article 59” (Ins Dept Mem, Bill Jacket, L 1990, ch 128 at 12, 1990 McKinney’s Session Laws of NY at 2351, 2352). Just to ram the point home, the legislature went on to copy the federal definition of an RRG, word for word, into article 59 (Insurance Law § 5902 [n] [7]). Whatever one understands the benefits conferred by article 59 to be, the legislature determined that one must meet the definition of an RRG under federal law to enjoy them.

PCIC’s coverage of Nadkos placed it outside the scope of the federal definition of an RRG. Congress defined RRGs as “any corporation or other limited liability association . . . whose activities do not include the provision of insurance other than . . . liability insurance for assuming and spreading all or any portion of the similar or related liability exposure of *its group members*” (15 USC § 3901 [a] [4] [G] [i] [emphasis added]). A company whose “activities” include the provision of insurance to nonmembers—here, through coverage of additional insureds like Nadkos that are not members of the RRG—is, therefore, not a “risk retention group” for the purposes of the LRRRA’s “exemption” from state law and therefore from the implied exemption from state law the majority reads into article 59.

Contemplating the possibility that an RRG might find itself in breach of the LRRRA’s definitions that presumably would trigger action from the chartering state’s insurance commissioner but leave nonchartering states with only ambiguous power over the rogue RRG, in 1986 Congress adopted the Risk Retention Amendments to limit the “exemption” scope of the law to encompass only “laws governing the insurance business pertaining to . . . liability insurance coverage provided by a risk retention group for . . . such group; or . . . any person who is a member of such group” (15 USC § 3902 [b] [1] [A], [B]; *see also* HR Rep 865, 99th Cong, 2d Sess at 14-15, reprinted in

contract or agreement that such person or organization be added as an additional insured on your policy” (*contrast Gilbane Bldg. Co./TDX Constr. Corp. v St. Paul Fire & Mar. Ins. Co.*, 31 NY3d 131, 135-137 [2018]).

1986 US Code Cong & Admin News at 5303, 5311-5312), as well as other areas not relevant here. That amendment makes clear that RRGs are shielded from nonchartering state regulation when they stick to the safe harbor of member-only insurance prescribed by Congress, but fully exposed to the rigors of nonchartering state regulation if they provide liability insurance to nonmembers.

Congress did not allow RRGs to evade state insurance laws while defying Congress's restriction that RRGs insure only their own members and not third parties:

“from its inception the scope of preemption authorized by Congress to effect the creation of risk retention groups turned upon the limited field of customers that those groups could serve. Risk retention groups were member financed and member servicing organizations only; the state's interest in regulating insurers dealing with the public was to remain untouched by this legislation” (*Home Warranty Corp. v Caldwell*, 777 F2d 1455, 1468 [11th Cir 1985]).

Congress reasoned that precisely “[b]ecause risk retention groups will be providing insurance coverage only to their members, and not to the public at large, it is believed that regulation by the chartering jurisdiction will be sufficient to provide adequate supervision of these groups” (HR Rep 865, 99th Cong, 2d Sess at 12, reprinted in 1986 US Code Cong & Admin News at 5303, 5309, quoting S Rep 97-271, 97th Cong, 1st Sess at 13 [concerning the original 1981 PLRRA]; see also Insurance Law § 5905 [b] [1] [banning RRGs from “the solicitation or sale of insurance to any person who is not eligible for membership in such group,” i.e., nonmembers and non-potential-members]). When RRGs like PCIC go beyond that mandate and sell to nonmembers, the premise for the LRRA and (on the majority's reading) article 59 exemptions of RRGs from state insurance laws no longer applies.

This case provides a useful illustration of the soundness of Congress' and the New York Legislature's judgment that RRGs who insure nonmembers should be exposed to nonchartering state law like any other insurance provider. When the original injury claim was made, Chesakl received a thorough declination of coverage from PCIC within three business days; Chesakl was, after all, a co-owner of PCIC and PCIC's claims administrators had every incentive to be attentive to Chesakl's submis-

sions (even if, as here, PCIC denied coverage). Assuming PCIC believed all along that it did not need to obey New York's untimely disclaimer law, it responded to Chesakl's claim with celerity, spurred no doubt by these incentives. But Nadkos, a nonmember, got the silent treatment before receiving, nearly three months later, a near-carbon-copy of the Chesakl declination letter. PCIC had no incentive, other than the law, to respond to Nadkos speedily, and every incentive to minimize any potential payout to Nadkos as an additional insured because, unlike payouts to a member that are essential for PCIC's viability (its member construction companies would desert it if it took in premiums but never paid claims), payouts to Nadkos would simply be taking money away from its membership.⁹

Neither the LRRRA nor article 59 exempts foreign RRGs from state regulation when RRGs provide insurance to nonmembers, especially when, in contrast to situations where the RRG itself is being sued by an outsider (*see Wadsworth v Allied Professionals Ins. Co.*, 748 F3d 100, 108 [2d Cir 2014]), the coverage being contested is coverage the RRG was never authorized—by New York, by Montana, or by Congress—to provide.

V.

Because I would hold that article 59 is no obstacle to applying Insurance Law § 3420 (d) (2) to the policy and claim at issue in this case—either because Insurance Law § 3420 (d) (2) applies to the policy on its own terms, or because it is encompassed as an unfair claims practice that is expressly applied to foreign RRGs by article 59, or because PCIC's issuance of insurance to a nonmember removed it from article 59, I must address the question the Appellate Division rested its decision

9. It is also possible that Nadkos was never an additional insured because the PCIC policy's additional insured endorsement adds Nadkos only if Chesakl had contracted to add Nadkos on "your policy," i.e., the PCIC policy, and the parties never agreed to add Nadkos to the PCIC policy per se. Instead, Chesakl and Nadkos agreed that Chesakl would name Nadkos as an additional insured on a liability insurance policy that covered "all claims . . . arising out of or resulting from performance of [Chesakl's] work . . . attributable to bodily injury . . . to the extent caused by the negligent acts or omissions of [Chesakl]." The PCIC policy concededly did not provide anything close to that level of protection for Nadkos or Chesakl. Because that question could not have been avoided if it had been raised below (*cf. Persky v Bank of Am. N.A.*, 261 NY 212, 216 [1933]), it was open to us to remand the case to Supreme Court to determine that narrow contractual issue without launching into a major public policy question with implications for every insured in the state.

upon, the parties briefed, and the majority avoids: does the LRRRA exempt PCIC from compliance with Insurance Law § 3420 (d) (2)?

I would hold it does not, for two reasons. First, as I discussed immediately above, the LRRRA (like the identically-worded provisions of article 59) does not exempt foreign RRGs from *any* state regulation when foreign RRGs are acting outside their federally-defined role insuring only their own members.

Second, the LRRRA exempts, and was intended to exempt, only what *federal* law understood to be state unfair claims practices law and as a matter of federal law. Insurance Law § 3420 (d) (2) is part of New York's unfair claims practices law. As an initial matter, a State's ipse dixit as to what constitutes an unfair claims settlement practices law cannot determine federal preemption. If it could, a State could invent all manner of onerous restrictions on foreign RRGs, aimed at making them unviable, and escape LRRRA preemption by labelling them "unfair claims settlement practices law." Conversely, the list of items in Insurance Law § 2601 (a) cannot be an exhaustive list of the unfair claims settlement practices law by which foreign RRGs must abide, in part because Insurance Law § 2601 (a) does not so provide; it simply lists indicative examples of unfair claims settlement practices, but does not purport to be exhaustive. If it were, then bans on invidious discrimination in claims settlement, for example, which is codified only four sections later (Insurance Law §§ 2606-2608) would not bind foreign RRGs—a conclusion that would fly in the face of congressional intent that state "civil rights laws" are not preempted by the LRRRA (HR Rep 97-190, 97th Cong, 1st Sess at 13, reprinted in 1981 US Cong Code & Admin News at 1432, 1442 [original 1981 law]; HR Rep 865, 99th Cong, 2d Sess at 16, reprinted in 1986 US Cong Code & Admin News at 5303, 5313 [1986 amendments]).

To determine whether Insurance Law § 3420 (d) (2) is part of the State's "unfair claims settlement practices law" under the LRRRA, then, we need to know what this statutory phrase means as a matter of federal law, not state law. "[T]he purpose of Congress is the ultimate touchstone in every pre-emption case" (*Medtronic, Inc. v Lohr*, 518 US 470, 485-486 [1996] [citations and internal quotation marks omitted]):

"As a result, any understanding of the scope of a pre-emption statute must rest primarily on a fair

understanding of congressional purpose. Congress' intent, of course, primarily is discerned from the language of the pre-emption statute and the statutory framework surrounding it. Also relevant, however, is the structure and purpose of the statute as a whole, as revealed not only in the text, but through the reviewing court's reasoned understanding of the way in which Congress intended the statute and its surrounding regulatory scheme to affect business, consumers, and the law" (*id.* [citations, internal quotation marks and emphasis omitted]).

"Unfair claims settlement practices law" is not defined in the LRRRA, and no federal court has yet opined on what that phrase means in the LRRRA or what the term meant in 1981 or 1986. However, "claims settlement practices" was and is a well-understood term in insurance law: it refers to the process where insurers receive claims on the policy, evaluate those claims, determine whether the claim is covered, and then pay to the claimant all or part of the claimed amount with an explanation of what was covered, what was not covered, and why (*see e.g. Union Labor Life Ins. Co. v Pireno*, 458 US 119, 135 [1982, Rehnquist, J., dissenting] [discussing medical insurance claims settlement practices]; *Pathway Bellows, Inc. v Blanchette*, 630 F2d 900, 903 [2d Cir 1980] [discussing claims settlement in terms of carriers' voluntary disposition of claims]). The legislative history of the LRRRA is also instructive. When the "unfair claims settlement practices of the state" language was written into the act in 1981, the House and Senate committees each explained the purpose of the exemption (HR Rep 97-190, 97th Cong, 1st Sess at 14, reprinted in 1981 US Cong Code & Admin News at 1432, 1442-1443; S Rep 97-172, 97th Cong, 1st Sess at 12): "Subparagraph (A) is intended to provide persons injured within a State with the same rights regarding settlement practices against a risk retention group as they would otherwise have against a licensed insurer."

The legislative history strongly suggests that all state laws regarding "settlement practices" apply with full force against RRGs, not merely a selection of those laws—otherwise "persons injured within a State" would not have "the same rights regarding settlement practices against [an RRG] as they would otherwise have against a licensed insurer." Congress' intent

was further emphasized by amendments in 1986 that exempted state unfair trading laws from LRRRA's preemption. As the Seventh Circuit explained: "Congress sought to 'augment[] the authority of nonchartering states to regulate solvency, trade practices and other matters' and 'contemplated that States may enact statutes and issue regulations to protect the public to the extent such action is not exempt by th[e] Act' " (*Ophthalmic Mut. Ins. Co. v Musser*, 143 F3d 1062, 1067 [7th Cir 1998], quoting HR Rep 865, 99th Cong, 2d Sess at 7, 18, reprinted in 1986 US Code Cong & Admin News at 5303, 5304, 5315, republished at 1986 WL 31938).

Congress also knew at least a list of indicative examples of "unfair claims practices laws" because the National Association of Insurance Commissioners, then and now the preeminent organization of insurance regulators in the United States,¹⁰ had in 1971 adopted an amendment to the Uniform Unfair Trade Practices Act listing examples of unfair claims settlement practices. That list of "unfair claims settlement practices" included, at section 4 (9), "failing to affirm or deny coverage of claims within a reasonable time after proof of loss statements have been completed" (Proceedings of the National Association of Insurance Commissioners, 1972-4 NAIC Proc 490, 496 [1971] [adopting the revised and restated Model Unfair Methods of Competition and Unfair and Deceptive Practices Act]). That part of the Uniform Act remained unchanged until 1990, when it was broken out into a separate proposed Uniform Unfair Claims Settlement Practices Act (*see* National Association of Insurance Commissioners, Unfair Claims Settlement Practices Act [1997], <https://www.naic.org/store/free/MDL-900.pdf>).¹¹ The 1971 Uniform Act, as well as its successors and predecessors, was and remains the national standard: today, 43 states, including Montana, declare that "failing to affirm or deny coverage of claims within a reasonable time after proof of loss state-

10. *See generally* Susan Randall, *Insurance Regulation in the United States: Regulatory Federalism and the National Association of Insurance Commissioners*, 26 Fla St U L Rev 625 (1999).

11. I would not hold that only those unfair claims practices laws that are listed in the 1971 NAIC Model Act, or similarly situated laws, would fall under the federal definition of "unfair claims settlement practices." However, it is reasonable to conclude that the NAIC Model Act set out commonly understood instances of conduct constituting "unfair claims settlement practices," which common understanding should be imputed to Congress absent contrary evidence in the LRRRA or its legislative history.

ments have been completed” is an unfair claims practice— notwithstanding common-law waiver or estoppel doctrines.¹²

Congress deliberately provided that foreign RRGs would not be exempt from “the unfair claim settlement practices law of the State” (15 USC § 3902 [a] [1] [A]). Congress presumably knew that virtually all states had an unfair claims settlement practice law that forbade “failing to affirm or deny coverage of claims within a reasonable time after proof of loss statements have been completed.” Thus, Congress did not intend the LRRRA to preempt Insurance Law § 3420 (d) (2), which requires—in common with almost all other states—that an insurer must “give written notice as soon as is reasonably possible of such disclaimer of liability or denial of coverage to the insured.” New York has interpreted the language of its untimely disclaimer law as being stricter than similarly-worded statutes in some other states (*see e.g. Liberty Ins. Corp. v Tinplate Purch. Corp.*, 743 F Supp 2d 406, 416-417 [D NJ 2010] [noting that under New Jersey law an insured must show prejudice arising from the unreasonable delay in disclaiming coverage]; *Heyman Assoc. No. 1 v Insurance Co. of State of Pa.*, 231 Conn 756, 777-778, 653 A2d 122, 133-134 [1995] [holding insurance company’s delayed denial of coverage did not waive exclusion defense, and rejecting insured’s reliance on New York’s statutory disclaimer requirements]), but Congress knew states would have heterogeneous unfair claims practices laws, or at least heterogeneous interpretations of unfair claims practices laws, and nonetheless exempted them wholesale from preemption. By adopting the exclusion in 15 USC § 3902 (a) (1) (A),

12. Alaska Stat § 21.36.125; Ariz Rev Stat § 20-461; Ark Code Ann § 23-66-206; Cal Ins Code § 790.03; Colo Rev Stat § 10-3-1104; Conn Gen Stat § 38a-816; Del Code Ann tit 18, § 2304; Fla Stat Ann § 626.9541; Ga Code Ann § 33-6-34; Haw Rev Stat § 431:13-103; Idaho Code § 41-1329; 215 Ill Comp Stat 5/154.6; Ind Code § 27-4-1-4.5; Iowa Code § 507B.4; Kan Stat Ann § 40-2404; Ky Rev Stat Ann § 304.12-230; La Rev Stat Ann § 22:1964; Md Code Ann, Ins § 27-304; Mass Gen Laws Ann ch 176D, § 3; Mich Comp Laws § 500.2026; Minn Stat § 72A.20; Mo Rev Stat § 375.1007; Mont Code Ann § 33-18-201; Neb Rev Stat Ann § 44-1540; Nev Rev Stat § 686A.310; NH Rev Stat Ann § 417:4; NJ Stat Ann § 17:29B-4; NM Stat Ann § 59A-16-20; NC Gen Stat § 58-63-15; ND Cent Code Ann § 26.1-04-03; Or Rev Stat § 746.230; 40 Pa Stat § 1171.5; 27 RI Gen Laws Ann § 27-9.1-4; SD Codified Laws § 58-12-34; Tenn Code Ann § 56-8-105; Tex Ins Code Ann § 541.060; Utah Code Ann § 31A-26-303; Vt Stat Ann tit 8, § 4724; Va Code Ann § 38.2-510; Wash Admin Code § 284-30-330; W Va Code § 33-11-4; Wyo Stat Ann § 26-13-124. In addition to 43 states, the District of Columbia and Puerto Rico have adopted substantially identical language in their unfair claims practices law (PR Laws Ann tit 26, § 2716a; DC Code Ann § 31-2231.17).

Congress decided that in the realm of unfair claims practices laws, the normal interplay of state law as enshrined in the McCarran-Ferguson Act (15 USC § 1011 *et seq.*) would apply to RRGs notwithstanding the burden divergent state regulation always places on interstate businesses (*see generally Altria Group, Inc. v Good*, 555 US 70, 77 [2008] [“the historic police powers of the States (are) not to be superseded by the Federal Act unless that was the clear and manifest purpose of Congress. That assumption applies with particular force when Congress has legislated in a field traditionally occupied by the States” (internal quotation marks and citations omitted)]).

Congress’ decision also made good policy sense. The point of RRGs is to allow the formation of entities to provide insurance coverage where conventional insurers had not offered coverage at reasonable prices, both so that coverage would be available and as a way to inject competition into markets increasingly marked by a small number of quasi-monopolistic carriers setting premiums with little relation to the underlying risk profile involved (*see* HR Rep 97-190, 97th Cong, 1st Sess at 22, reprinted at 1981 US Code Cong & Admin News at 1432, 1451; S Rep 97-172, 97th Cong, 1st Sess at 2-3). That purpose is defeated if an RRG refuses to pay covered claims, or delays determining coverage, or otherwise deprives the insured of the full benefit of its liability insurance coverage. Congress had no interest in policing bad insurer behavior itself, and was keenly aware that (in 1981, when the unfair claims settlement practices exemption was adopted) most RRGs were chartered in Bermuda or the Cayman Islands, which were not prepared to serve as general watchdogs for the burgeoning RRG sector Congress hoped to create (HR Rep 97-190, 97th Cong, 1st Sess at 5-6, 11, reprinted at 1981 US Code Cong & Admin News at 1432, 1433-1434, 1439-1440; S Rep 97-172, 97th Cong, 1st Sess at 9-10). Instead, Congress looked to the traditional enforcers of unfair claims practices law: the nonchartering states where claimants were based.

Once we accept that the scope of federal preemption is determined by Congress’ intent and that Insurance Law § 3420 (d) (2) falls into the LRRRA’s exemption as an “unfair claims settlement practices law of the State,” it becomes irrelevant to the analysis that New York has applied its unfair claims settlement practice law in a manner different from other states. Congress knew full well that different states had different ways of going about unfair claims settlement practice enforce-

ment and was content to let them make that choice, provided that their enforcement stayed within the bounds of claims practices and did not extend to other areas of RRG operations, such as minimum capitalization and the like. Moreover, concerns about the burden of complying with different states' rules appear to be at their lowest ebb in cases like these, where every state requires some form of diligence in issuing a disclaimer to an insured as a matter of statute law.¹³ That PCIC has no difficulty abiding by the rule of New York—which really is just a stricter time limit than other states—is vividly illustrated by the ease with which PCIC disclaimed coverage to Chesakl, well within the New York time limits, and the striking resemblance Nadkos's eventual denial letter bore to the Chesakl letter. PCIC itself, in the very letter denying coverage to Nadkos, did not refer Nadkos to the Montana Insurance Commissioner if it objected to disclaimer; it itself relied on the New York Department of Financial Services to field complaints. If New York is good enough for PCIC, it should be good enough for PCIC.

VI.

In sum, then: (1) Insurance Law § 3420 (d) (2) applies to the insurance policy here on its own terms; (2) even if article 59 could be read to render Insurance Law § 3420 (d) (2) inapplicable to policies issued by foreign RRGs like PCIC, it would apply here because it is an “unfair claims settlement practice” law that article 59 affirmatively obliges foreign RRGs to obey; (3) even if Insurance Law § 3420 (d) (2) is not an unfair claims settlement practice and therefore does not apply to foreign RRGs as a matter of state law, the Superintendent of Financial Services has implemented the requirement by regulation, to which PCIC must adhere; (4) even if the regulation did not apply, Insurance Law § 3420 (d) (2) would still apply here because PCIC was never authorized to insure Nadkos, which means PCIC has operated outside of the sphere authorized by

13. In addition to the 43 states that have adopted the NAIC language (see note 12, above), a few other states have an untimely disclaimer rule worded somewhat differently from the NAIC language (Me Rev Stat Ann tit 24-A, § 2164-D [3] [F] [(f)ailing to affirm coverage or deny coverage, reserving any appropriate defenses, within a reasonable time”]; Okla Stat Ann tit 36, § 1250.7 [setting out a complex set of rules on timeliness of disclaimer]; Wis Stat Ann § 628.46 [same]; Ohio Admin Code 3901-1-54 [same]; SC Code Ann § 38-59-20 [requiring “prompt settlement”]). Only Alabama, Mississippi, and possibly Guam and the Northern Mariana Islands appear not to include substantially similar language in their codes.

Congress or article 59, so that it is not entitled to claim any federal or state exemption from the full panoply of New York laws applicable generally to liability insurers. Finally, having held that Insurance Law § 3420 (d) (2) applies to PCIC as a matter of state law, I would find that it is not preempted by the LRRRA.

The majority now insists the legislature (or possibly the Superintendent of Financial Services) reclarify what is already clear. This case could have been decided in a way that provided clarity and advantages to all: yes you may have a cookie, or no you may not. Instead, the majority's decision is confusing and damaging to policyholders and accident victims everywhere. I respectfully dissent.

Chief Judge DiFiore and Judges Stein, Fahey, Garcia and Feinman concur; Judge Wilson dissents in an opinion.

Order affirmed, with costs.

[132 NE3d 618, 108 NYS3d 425]

PANGAEA CAPITAL MANAGEMENT, LLC, Appellant, v JOHN R. LAKIAN, Respondent, and ANDREA LAKIAN, Intervenor-Respondent.

Argued June 5, 2019; decided June 25, 2019

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) If an entered divorce judgment grants a spouse an interest in real property pursuant to D.R.L. Section 236, and the spouse does not docket the divorce judgment in the county where the property is located, is the spouse’s interest subject to attachment by a subsequent judgment creditor that has docketed its judgment and seeks to execute against the property? (2) *If the answer to Question (1) is ‘[yes],’ then:* If a settlor creates a trust solely for the purpose of holding title to property for the benefit of himself and another beneficiary, and the settlor retains the unfettered right to revoke the trust, does the settlor remain the absolute owner of the trust property relative to his creditors, or is the trust property conveyed to the beneficiaries?”

HEADNOTE

Husband and Wife and Other Domestic Relationships — Divorce — Spouse’s Interest in Marital Property Not Subject to Attachment by Subsequent Judgment Creditor

The divorce judgment awarding defendant’s ex-wife a certain percentage of the proceeds upon the sale of real property purchased during the marriage did not render her a judgment creditor of defendant. Accordingly, the ex-wife was not subject to the docketing requirements of CPLR 5203, and her interest in the proceeds from the sale of the property was not subject to attachment by plaintiff, which had docketed its judgment against defendant before the ex-wife docketed her judgment of divorce. Under section 5203, when two or more judgment creditors are attempting to satisfy their judgments against real property owned by the debtor, priority goes to the first judgment creditor to docket a judgment in the county where the realty is located, regardless of whose judgment was first obtained. However, legal rights to specific marital property vest upon the judgment of divorce, with inchoate rights becoming actual ownership interests by virtue of an equitable distribution judgment. Under Domestic Relations Law § 236, both spouses have an equitable claim

to things of value arising out of the marital relationship. Marital assets are not owned by one spouse or another, and the dissolution of a marriage involving the division of marital assets does not render one ex-spouse the creditor of another. The ex-wife therefore could not properly be considered a judgment creditor of defendant. Thus, CPLR 5203 (a), by its plain terms, had no application here, and plaintiff could claim no priority.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Divorce and Separation §§ 476, 494; AM JUR 2d Executions and Enforcement of Judgments §§ 121, 124.

CARMODY-WAIT 2d Enforcement of Judgments § 64:193; CARMODY-WAIT 2d Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:193, 118:251.

McKINNEY's, CPLR 5203; Domestic Relations Law § 236.

NY JUR 2d Domestic Relations §§ 2713, 2767, 2774; NY JUR 2d Enforcement and Execution of Judgments § 143; NY JUR 2d Judgments § 175.

NEW YORK MATRIMONIAL LAW AND PRACTICE § 3:28.

SIEGEL, NY PRAC §§ 499, 517.

ANNOTATION REFERENCE

See ALR Index under Attachment and Garnishment; Divorce and Separation; Equitable Distribution; Executions; Judgment Debtors and Creditors.

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POINTS OF COUNSEL

Ingram Yuzek Gainen Carroll & Bertolotti, LLP, New York City (Caitlin L. Bronner and Dean G. Yuzek of counsel), for appellant. I. A matrimonial judgment granting an interest in real property must be docketed in order for it to have priority over a later-acquired, properly docketed money judgment. (*Musso v Ostashko*, 468 F3d 99; *Gletzer v Harris*, 12 NY3d 468; *Darling v Darling*, 22 Misc 3d 343; *Rodriguez v Sepe*, 29 Misc 3d 1011; *Riley v County of Broome*, 95 NY2d 455; *Consedine v Portville Cent. School Dist.*, 12 NY3d 286; *McDermott v McDermott*, 119 AD2d 370; *Gaines v Gaines*, 109 AD2d 866; *Bank of Lake Placid*

v Rhino, 111 Misc 2d 639; *Mason v Belski*, 104 Misc 2d 770.) II. Where a settlor is the sole trustee of and retains an unfettered right of revocation over a trust, that settlor remains the absolute owner of the trust property with respect to his or her creditors. (*Bullard v Bullard*, 185 AD2d 411; *Sheehan v Sheehan*, 90 Misc 2d 673; *State of New York v Hawes*, 169 AD2d 919; *State of New York v Coyle*, 171 AD2d 288; *Vanderbilt Credit Corp. v Chase Manhattan Bank*, 100 AD2d 544.)

Sonnenfeld & Richman LLP, New York City (*Judith R. Richman* of counsel), for intervenor-respondent. I. Andrea Lakian's ownership of property distributed to her in the judgment of divorce vested on entry. (*McDermott v McDermott*, 119 AD2d 370; *O'Brien v O'Brien*, 66 NY2d 576; *Majauskas v Majauskas*, 61 NY2d 481; *Rainbow v Swisher*, 72 NY2d 106; *Kaplan v Kaplan*, 82 NY2d 300; *Cappiello v Cappiello*, 110 AD2d 608; *Rodriguez v Sepe*, 29 Misc 3d 1011; *Darling v Darling*, 22 Misc 3d 343; *Leibowits v Leibowits*, 93 AD2d 535; *Commodity Futures Trading Commn. v Walsh*, 618 F3d 218.) II. GEMS II provided independent tenant-in-common ownership to Ms. Lakian. (*Vanderbilt Credit Corp. v Chase Manhattan Bank*, 100 AD2d 544; *State of New York v Hawes*, 169 AD2d 919; *State of New York v Coyle*, 171 AD2d 288; *Matter of Gagliardi*, 55 NY2d 109; *Matter of Gross v Gross*, 38 AD3d 893; *Matter of Mannara*, 5 Misc 3d 556; *Aon Corp. v Hohlweck*, 223 F Supp 2d 510; *Matter of Foster*, 174 Misc 933; *Manacher v Sterling Natl. Bank & Trust Co. of N.Y.*, 4 Misc 2d 1069.) III. Equity and public policy mandate protection of Andrea Lakian's equitable distribution property. (*Sass v Sass*, 276 AD2d 42; *Welsh v Lawler*, 282 AD2d 977; *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375.)

OPINION OF THE COURT

WILSON, J.

The United States Court of Appeals for the Second Circuit has certified the following question to us:

“If an entered divorce judgment grants a spouse an interest in real property pursuant to [Domestic Relations Law §] 236, and the spouse does not docket the divorce judgment in the county where the property is located, is the spouse's interest subject to attachment by a subsequent judgment creditor that has docketed its judgment and seeks to execute against the property?”

We answer that question in the negative.¹

I.

The relevant facts are more fully set forth in the opinions of the federal courts (*see Pangea Capital Mgt., LLC v Lakian*, 906 F3d 1, 3-5 [2d Cir 2018]; *Pangea Capital Mgt., LLC v Lakian*, 2017 WL 4081911, *1-4, 2017 US Dist LEXIS 149278, *2-8 [SD NY, Sept. 13, 2017, No. 16-cv-0840 (LAK)]); we summarize them here for context. John and intervenor-respondent Andrea Lakian were married in 1977. In 2002, they purchased a home on Shelter Island, Suffolk County, for \$4.5 million. Title to the property was recorded in John's name and immediately transferred to a trust, for which John was the sole trustee and each spouse was a 50% beneficiary as tenant in common. Under the trust agreement, the trustee maintained the power to "revoke[] and terminate[]" the trust. In 2013, Andrea commenced an action for divorce in New York County. The divorce was finalized in 2015, with a judgment entered on June 11, 2015 that incorporated by reference an agreement that settled all issues, including providing for the sale of the Shelter Island property. Under the settlement, Andrea would receive 62.5% of the proceeds plus another \$75,000 and John would receive the balance.

In 2012, appellant Pangea Capital Management, LLC brought an action against John. Pangea, John's former employer, alleged that he and a coworker (with whom he was romantically involved) had defrauded the company by diverting millions of dollars to themselves. Pangea voluntarily discontinued that action in favor of arbitration. The arbitrator ruled in Pangea's favor on January 6, 2016, and Pangea subsequently brought an action in federal court to enforce the \$14 million arbitral award against John. Pangea sought and obtained an order of attachment on the Shelter Island property. Several months later, John asked the Federal District Court to modify the order of attachment to permit the sale of the home. The court allowed Andrea to intervene and the parties agreed to the sale and further agreed that the proceeds, totaling over \$5 million, would be deposited with the Clerk of the Court while the dispute over Pangea's claim to the proceeds

1. The Second Circuit posed a second question. We do not address that question because, as the Second Circuit indicated, our answer to the first question renders the second question immaterial to the disposition of this case.

was litigated. The parties also agreed that their rights to the proceeds would constitute the “cash equivalent” of their rights in the Shelter Island property. During this time, the Federal District Court confirmed the \$14 million arbitral award against John and entered a judgment in Pangea’s favor in November 2016, which Pangea promptly docketed.

Andrea contends that, pursuant to the terms of the divorce settlement, she is entitled to 62.5% of the sale proceeds, plus \$75,000. Pangea argues that, because it docketed its judgment before Andrea docketed her judgment of divorce in Suffolk County, CPLR 5203 gives Pangea priority over Andrea with respect to the Shelter Island property. Under section 5203, when two or more judgment creditors are attempting to satisfy their judgments against real property owned by the debtor, priority goes to the first judgment creditor to docket a judgment in the county where the realty is located, regardless of whose judgment was first obtained. Pangea contends that Andrea’s divorce judgment rendered her a judgment creditor; therefore, because Pangea docketed its judgment in Suffolk County and she did not, her claim to the property is subordinate to Pangea’s.

Pangea further contends that its judgment can be satisfied against the entire trust corpus, not just John’s 50% share prior to the divorce or John’s approximately 36% share post-divorce, because, as trustee with the power of revocation, John was the “absolute owner” of the trust, and the trust is void as against creditors under New York trust law. Andrea counters that her equitably distributed share of the trust corpus—62.5% plus \$75,000—was fixed and vested upon entry of the divorce judgment, regardless of her and John’s interests in the trust corpus prior to the divorce. Accordingly, she contends she is not a judgment creditor of John.

The Federal District Court agreed with Andrea, holding that the judgment of divorce did not transform Andrea into a judgment creditor of her husband, but rather worked an equitable distribution of their marital assets in which, until the entry of the divorce judgment, both spouses had inchoate and indivisible ownership interests. Pangea appealed to the United States Court of Appeals for the Second Circuit, which certified the aforementioned question of New York law to us.

II.

CPLR 5203 (a) concerns “Priority and lien on docketing judgment,” and provides, in relevant part:

“No transfer of an interest of the judgment debtor in real property, against which property a money judgment may be enforced, is effective against the judgment creditor either from the time of the docketing of the judgment with the clerk of the county in which the property is located until ten years after filing of the judgment-roll, or from the time of the filing with such clerk of a notice of levy pursuant to an execution until the execution is returned.”

Under Domestic Relations Law § 236 (B) (1) (c), marital property is “all property acquired by either or both spouses during the marriage and before the execution of a separation agreement or the commencement of a matrimonial action, regardless of the form in which title is held.” Andrea had an interest in that marital property; Domestic Relations Law § 236 (B) (5) (c) also provides that marital property “shall be distributed equitably between the parties” in the event of divorce. More specifically, “the court . . . shall determine the respective rights of the parties in their separate or marital property, and shall provide for the disposition thereof in the final judgment” (Domestic Relations Law § 236 [B] [5] [a]). Thus, legal rights to specific marital property vest upon the judgment of divorce, with “inchoate rights” becoming “actual ownership interests by virtue of [an] equitable distribution judgment[]” (*McDermott v McDermott*, 119 AD2d 370, 379 [2d Dept 1986]; see also *Kaplan v Kaplan*, 82 NY2d 300, 305-306 [1993] [upon divorce, “a former spouse is now understood to have acquired an independent ownership interest in any ‘marital property’ acquired during the marriage and prior to separation or divorce”]).

Pangea’s conception of Andrea as judgment creditor is utterly incompatible with our legislature’s dramatic revision of the Domestic Relations Law in 1980. By incorporating the concept of “marital property” into Domestic Relations Law § 236, “the New York Legislature deliberately went beyond traditional property concepts when it formulated the Equitable Distribution Law” (*O’Brien v O’Brien*, 66 NY2d 576, 583 [1985]). Under that statute, both “spouses have an equitable claim to things of value arising out of the marital relationship” (*id.*). Marital property “hardly fall[s] within the traditional property concepts because there is no common-law property interest remotely resembling marital property” (*id.*). The equitable distribution resulting from the dissolution of a marriage is “based on the premise that a marriage is, among other

things, an economic partnership to which both parties contribute as spouse, parent, wage earner or homemaker” (*id.* at 585). The legislative reform “recognized that the marriage relationship is also an economic partnership” (*Majauskas v Majauskas*, 61 NY2d 481, 489 [1984] [internal quotation marks and citation omitted]). Marital assets are not owned by one spouse or another, and the dissolution of a marriage involving the division of marital assets does not render one ex-spouse the creditor of another. Courts are empowered “not only to make an equitable disposition of marital property between [the spouses], but also to make a distributive award in lieu of or to supplement, facilitate or effectuate the division or distribution of property where authorized in a matrimonial action, and payable in a lump sum or over a period of time” (*id.* [internal quotation marks omitted]).²

III.

Andrea therefore cannot properly be considered a judgment creditor of John. Thus, CPLR 5203 (a), by its plain terms, has no application here, and Pangea can claim no priority. Although Pangea argues that both subdivisions (a) and (c) of section 5203 require Andrea to docket her judgment for it to be enforceable, the clear language of those provisions says otherwise. Subdivision (a) applies to transfers of the interest of a judgment debtor in real property; the equitable distribution of Andrea’s share was not the transfer of the interest of a judgment debtor to a judgment creditor. Subdivision (c) concerns only the priority given to a judgment creditor as against a lien created by a petition in bankruptcy, which is irrelevant here.

Abandoning the statutory language, Pangea places substantial weight on the Second Circuit’s decision in *Musso v Ostashko* (468 F3d 99 [2d Cir 2006]) and on our legislature’s reaction to that decision by enacting CPLR 5203 (c). Neither supports Pangea’s position. Turning first to *Musso*, it has no application here. In *Musso*, Tanya Ostashko obtained a decision in her matrimonial action, awarding her certain assets. Her husband’s creditors immediately filed an involuntary bankruptcy petition

2. Of course, in some situations one spouse or ex-spouse might be a judgment creditor as to the other. For example, one spouse may obtain a money judgment against the other spouse pursuant to Domestic Relations Law § 244. No such circumstance is present here and, in answering the certified question posed we have no occasion to decide whether a spouse seeking to enforce a section 244 judgment is a judgment creditor of the other spouse.

against her husband before the judgment was entered, and the Second Circuit held that because the divorce judgment had not been entered, the bankruptcy petition took priority, and all the marital assets were within the bankruptcy estate. *Musso* addresses a question not present here: when an award distributing marital assets has been made, but a bankruptcy petition is filed against a spouse before the divorce judgment is entered, do all the marital assets become part of the bankruptcy estate?

Pangea relies on *Musso*'s statement that "under New York law an equitable distribution award is a remedy, and the enforcement of that remedy is no different than the enforcement of any other judgment" (468 F3d at 102). That statement is dicta because "the final judgment of divorce was neither signed nor entered" in *Musso* (*id.* at 104). Whether a judgment of divorce is comparable to a money judgment held by a creditor was not before the court, because Ms. Ostashko had not yet obtained an entered judgment of divorce when the bankruptcy petition was filed.³ As explained previously, that dicta did not accurately convey New York law because an entered judgment of divorce that distributes marital property is not like a money judgment of a judgment creditor.⁴ In any event, this Court is not obligated to follow such a statement on a matter of state law.

As Pangea points out, the legislature reacted swiftly to *Musso* by adding subdivision (c) to CPLR 5203. That subdivision reads:

"Notwithstanding any other provision of law, where a court makes an oral or written determination on

3. Federal bankruptcy law declares that, as of the filing of a bankruptcy petition, the trustee is a perfected lien creditor under state law for all of the debtor's assets (*id.* at 102, citing 11 USC § 544).

4. As the Federal District Court noted (*see Pangea Capital Mgt.*, 2017 WL 4081911, *9-10, 2017 US Dist LEXIS 149278, *21-22), our state trial courts have followed the Domestic Relations Law, not *Musso*'s dicta, in granting priorities without regard to CPLR 5203 (*see e.g. Darling v Darling*, 22 Misc 3d 343 [Sup Ct, Kings County 2008]; *Rodriguez v Sepe*, 29 Misc 3d 1011 [Sup Ct, Westchester County 2010]). In addition, federal and bankruptcy court decisions both before and after *Musso* was decided treat the entry of a divorce judgment as the moment that ex-spouse's separate property interests in formerly marital property become vested, for the purpose of determining which assets may be included in the bankruptcy estate (*see e.g. Charles Schwab & Co., Inc. v Makowska*, 999 F Supp 2d 459, 463-464 [SD NY 2014]; *In re Bellafiore*, 492 BR 109, 116 [ED NY 2013]; *In re Anjum*, 288 BR 72, 76 [SD NY 2003]; *In re Cole*, 202 BR 356, 360 [SD NY 1996]; *In re Potter*, 159 BR 672, 675 [ND NY 1993]).

the record awarding ownership of an interest in real property, and a judgment effectuating such determination is docketed with the clerk of the county in which such property is located not later than thirty days thereafter, such judgement shall be deemed entered and docketed on the day immediately preceding the date of such determination solely for purposes of establishing the priority thereof against a judicial lien on such property created upon the simultaneous or later filing of a petition in bankruptcy pursuant to the United States bankruptcy code, as amended.”

Although Pangea points to language in an Assembly Memorandum in Support of Legislation evidencing that the legislature may have taken *Musso’s* dicta for a holding, that Memorandum clearly specifies that “the problem this measure seeks to redress . . . is that losing parties in such cases can file a strategic bankruptcy petition during this window to delay if not functionally nullify the property award” (NY St Assembly Mem in Support of Legislation, Bill Jacket, L 2010, ch 427 at 7). No bankruptcy filing is involved here and the Assembly Memorandum was explicit that CPLR 5203 (c) applies only in the bankruptcy context: “This technical amendment would have no effect on any other property interests: it would not alter any other lien or its priority, and thus would not cast doubt on title or the alienation of real property in any respect” (NY St Assembly Mem in Support of Legislation, Bill Jacket, L 2010, ch 427 at 8).⁵

IV.

Accordingly, the judgment of divorce was, as the Federal District Court explained, “a final settling of accounts” between marital partners with an equitable interest in all marital property (*Pangea Capital Mgt., LLC v Lakian*, 2017 WL 4081911, *10, 2017 US Dist LEXIS 149278, *23 [SD NY, Sept. 13, 2017, No. 16-cv-0840 (LAK)]). Because the judgment of divorce did not render Andrea a judgment creditor of John (likewise, it did not render John a judgment creditor of Andrea), Andrea was not subject to the docketing requirements of CPLR 5203.

5. To the extent Pangea contends that the docketing of a divorce judgment affecting title to real property should be required in order to put third-party transferees on notice, we note that the legislature has included a separate notice mechanism in the Domestic Relations Law (*see* Domestic Relations Law § 234).

For these reasons, the first certified question should be answered in the negative and the second certified question not answered.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Feinman concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, first certified question answered in the negative and second certified question not answered.

[132 NE3d 592, 108 NYS3d 399]

In the Matter of BETHANY KOSMIDER, Respondent, v MARK WHITNEY, as Commissioner of the Essex County Board of Elections, Respondent, and ALLISON MCGAHAY, as Commissioner of the Essex County Board of Elections, et al., Appellants.

Argued May 1, 2019; decided June 13, 2019

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 12, 2018. The Appellate Division, with two Justices dissenting, affirmed a judgment (denominated decision and order) of the Supreme Court, Essex County (Martin D. Auffredou, J.; op 56 Misc 3d 354 [2017]), entered in a proceeding pursuant to CPLR article 78, which had granted petitioner's application to annul a determination of respondent William B. Ferebee denying petitioner's Freedom of Information Law request insofar as respondents were directed "to release to petitioners copies of the electronic ballot images and cast vote records for the general election held on November 3, 2015 maintained by Essex County, pursuant to the provisions of FOIL."

Matter of Kosmider v Whitney, 160 AD3d 1151, reversed.

HEADNOTE

Records — Freedom of Information Law — Electronic Copies of Election Ballots

Petitioner's request pursuant to the Freedom of Information Law (FOIL) for disclosure of electronic copies of ballots stored by county voting machines in a general election and preserved by the county board of elections was denied, as electronic ballot copies are "voted ballots" precluded under Election Law § 3-222 (2) from examination absent a court order or legislative committee direction. Public Officers Law § 87 (2) (a) provides that an agency may deny access to records that are "specifically exempted from disclosure by state or federal statute." The plain text of Election Law § 3-222 (2)—providing that "voted ballots" may be "examined" only pursuant to a court order or legislative committee direction for two years—bars disclosure of electronic copies of ballots. Subdivision (3) applies a similar two-year rule of restricted access to other types of ballots. Together, Election Law § 3-222 (2) and (3) establish a general default rule that ballots—whether counted or uncounted—are not freely accessible by the public during the first two years after an election and that, to examine them, a party must go through the prescribed channels supervised by the court or legislative committee, which were not followed here. Nothing in the text of section 3-222 indicates that the legislature intended to treat the electronic copies any differently than the underlying paper ballots, and the 2011 amendments show that the legislature

knew how to distinguish between paper and electronic materials when that was its intent. Moreover, interpreting section 3-222 to permit FOIL disclosure of electronic ballot copies during the restricted access period would be incompatible with the treatment of other documents under FOIL.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Elections § 283; AM JUR 2d Freedom of Informations Acts §§ 96, 99, 100.
CARMODY-WAIT 2d Proceeding Against a Body or Officer §§ 145:642, 145:652.
McKINNEY'S, Election Law § 3-222 (2); Public Officers Law § 87 (2) (a).
NY JUR 2d Elections § 712; NY JUR 2d Records and Recording § 45.

ANNOTATION REFERENCE

See ALR Index under Ballots; Elections and Voting; Freedom of Information Acts.

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POINTS OF COUNSEL

James E. Walsh, Ballston Spa, for Allison McGahay, appellant. I. The Third Department erred in its decision to affirm the court below. (*People ex rel. Brink v Way*, 179 NY 174; *People v McClellan*, 191 NY 341; *Matter of Hearst*, 110 App Div 346; *Matter of Election of Member of Assembly*, 18 Misc 391; *Matter of Waldman v Village of Kiryas Joel*, 31 AD3d 569; *Matter of Pennington v Clark*, 16 AD3d 1049, 5 NY3d 712; *Matter of Young v Fruci*, 112 AD3d 1138.) II. The statute of limitations provided in the Election Law is controlling. (*Matter of Flood v Schopfer*, 20 AD3d 417; *Matter of Williams v Rensselaer County Bd. of Elections*, 98 AD2d 938; *Matter of MacKenzie v Ghartey*, 131 AD3d 638; *Johnson v Martins*, 30 Misc 3d 844, 79 AD3d 913.) III. The Court was in error when it denied the defense of respondent. IV. Public policy requires finality of election results. (*Matter of Fingar v Martin*, 68 AD3d 1435; *Matter of Skartados v Orange County Bd. of Elections*, 81 AD3d 757; *Matter of Corrigan v Board of Elections of Suffolk County*, 38 AD2d 825.) V. Supreme Court jurisdiction is limited to the

grant within the Election Law. (*Matter of Fingar v Martin*, 68 AD3d 1435; *Matter of Skartados v Orange County Bd. of Elections*, 81 AD3d 757; *Matter of Corrigan v Board of Elections of Suffolk County*, 38 AD2d 825; *Matter of Gates v Scaringe*, 105 AD2d 543; *Matter of Dorman v Scaringe*, 222 AD2d 887; *Matter of Amedore v Peterson*, 102 AD3d 995.)

Daniel T. Manning, Essex County Attorney, Elizabethtown, for Randy Preston, appellant. I. Access to copies of electronic images of ballots cast in an election is governed exclusively by Election Law § 3-222 (2), and, as such, they are exempted from disclosure under the Freedom of Information Law. (*Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 74 AD3d 1417; *Matter of Miracle Mile Assoc. v Yudelson*, 68 AD2d 176; *Matter of Herald Co. v School Dist. of City of Syracuse*, 104 Misc 2d 1041; *Matter of Prisoners' Legal Servs. of N.Y. v New York State Dept. of Correctional Servs.*, 138 AD2d 712; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Wm. J. Kline & Sons v County of Hamilton*, 235 AD2d 44; *Matter of Waldman v Village of Kiryas Joel*, 31 AD3d 569; *Matter of Diaz v Lukash*, 82 NY2d 211; *People ex rel. Brink v Way*, 179 NY 174.) II. Election Law § 3-222, together with all other provisions of the Election Law which relate to access to and examination of voted ballots, evidence the legislature's intent to provide a statutory exception to access and disclosure of electronic ballot images under the Freedom of Information Law. (*Waldman v Village of Kiryas Joel*, 31 AD3d 569; *Matter of Slisz v Beyer*, 92 AD3d 1238; *Matter of Laborers' Intl. Union of N. Am., Local No. 17 v New York State Dept. of Transp.*, 280 AD2d 66; *Matter of Amato v Ward*, 41 NY2d 469; *Matter of Williamsville Clare Bridge Operator v Novello*, 6 AD3d 861.)

Law Office of Daniel R. Novack, New York City (Daniel R. Novack of counsel), for Bethany Kosmider, respondent. I. Government records are presumptively available and there is no intent here to exempt ballot images. (*Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 74 AD3d 1417; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Sanders v Winship*, 57 NY2d 391; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 58 AD2d 285; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Matter of Hernandez v Barrios-Paoli*, 93 NY2d 781.) II.

Freedom of Information Law access is consistent with the strong public interest in access to government records. III. The Freedom of Information Law's statute of limitations controls. (*Matter of Garcia v Division of State Police*, 302 AD2d 755.)

James E. Long, Albany, for Mark Whitney, respondent. I. Electronic voting ballot images are not exempt from disclosure under article 6 of the Public Officers Law and/or section 3-222 of the Election Law. (*Matter of Laveck v Village Bd. of Trustees of the Vil. of Lansing*, 145 AD3d 1168; *Matter of Police Benevolent Assn. of N.Y. State, Inc. v State of New York*, 145 AD3d 1391; *Matter of Johnson v Annucci*, 138 AD3d 1361; *Matter of Wm. J. Kline & Sons v County of Hamilton*, 235 AD2d 44; *People v Finnegan*, 85 NY2d 53; *Matter of M.B.*, 6 NY3d 437; *Matter of Newsday, Inc. v Empire State Dev. Corp.*, 98 NY2d 359; *Matter of Aurigemma v New York State Dept. of Taxation & Fin.*, 128 AD3d 1235.) II. Appellant Allison McGahay is incorrect when stating that the statute of limitations provided in the Election Law is controlling since this matter concerns a Freedom of Information Law request. (*Matter of Savastano v Prevost*, 66 NY2d 47; *Matter of Jordan's Partners v Goehringer*, 204 AD2d 453; *Matter of Cohalan v Caputo*, 94 AD2d 742.)

OPINION OF THE COURT

Chief Judge DiFiore.

During the two years following an election, Election Law § 3-222 (2) precludes examination of “voted ballots” absent a court order or legislative committee direction. Because electronic copies of ballots are no less protected from disclosure under section 3-222 during the relevant time frame, we reverse the Appellate Division order affirming the judgment directing disclosure of those copies and deny the petition.

The document request giving rise to this appeal concerns the electronic voting system implemented in 2009. Since the adoption of this system, voters going to the polls on election day each mark a standardized paper ballot, which is then scanned by an electronic voting machine. The machine deposits the paper ballot in a secure ballot box and stores the scanned copy of the ballot and an associated electronic record of how the machine counted its votes on two removable memory cards (e.g., flash drives). One memory card remains in the machine for use during the recanvass process, and the other is returned to the applicable board of elections for preservation of its contents—copies of the ballots that were scanned into the

machine—by transfer to other electronic storage media, such as a hard drive or CD.

In December 2015, petitioner Bethany Kosmider forwarded a series of emails to the Essex County Board of Elections (County Board) requesting the electronic copies of ballots stored by county voting machines in the November 2015 general election and preserved by the County Board. The two Commissioners of the County Board were divided regarding whether the Election Law permitted release of the electronic ballot images and forwarded the request to the County Attorney. The County Attorney, treating the inquiry as a Freedom of Information Law (FOIL) request, determined that Election Law § 3-222 (2), barring examination of “voted ballots” absent a court order or legislative committee direction in the first two years following an election, precluded disclosure of the electronic copies of the ballots as an exemption to FOIL pursuant to Public Officers Law § 87 (2) (a). Petitioner appealed the decision to the County FOIL Appeals Officer, who affirmed denial of the request, citing Election Law § 3-222 (2).

In June 2016, petitioner commenced this CPLR article 78 proceeding in Supreme Court against the Commissioners of the County Board and the County FOIL Appeals Officer, seeking an order directing release of the ballot copies. Petitioner argued that Election Law § 3-222 (1), which restricts access to voting data on removable memory cards, does so only until the data is preserved and that subdivision (2) restricts access to paper ballots but not electronic copies of the ballots. Respondents answered and raised affirmative defenses, including that the electronic ballot copies were barred from release by Election Law § 3-222 (2) without court order or legislative committee direction, which precluded disclosure of those materials pursuant to a FOIL request.¹

Supreme Court granted the petition and ordered immediate release of the ballot images, concluding that Election Law § 3-222 does not shield them from disclosure (56 Misc 3d 354 [Sup Ct, Essex County 2017]). Applying standards developed under FOIL, the court determined that the two-year limita-

1. One Commissioner of the County Board, Mark Whitney, supported the petition. The second Commissioner, Allison McGahay, opposed the petition. In addition to contending that Election Law § 3-222 precluded disclosure, Commissioner McGahay asserted that the action was time-barred by the abbreviated statutes of limitations contained in the Election Law—an argument we do not reach.

tion on examination of “voted ballots” outlined in subdivision (2) does not encompass electronic ballot copies (56 Misc 3d at 361-362). The court commented that differential treatment under the statute of paper ballots and the preserved electronic copies sought here comports with the statute’s anti-tampering purpose, as Election Law § 3-222 (1) restricts access to voting data prior to preservation, and the risk of tampering with preserved electronic copies is remote (*id.*).

The Appellate Division affirmed, with two Justices dissenting (160 AD3d 1151 [3d Dept 2018]). A two-Justice plurality agreed with Supreme Court that the ballot images should be disclosed pursuant to FOIL, noting that FOIL exemptions are to be interpreted narrowly and that the statute’s two-year preservation and restricted examination rule encompasses paper ballots but not electronic copies (160 AD3d at 1154). It determined that the statute reflects only a legislative intent to prevent tampering—not to protect confidentiality of ballots—and, thus, the distinction between paper ballots and electronic copies reflects the legislature’s awareness of different preservation procedures for what it viewed as two categories of materials (*id.* at 1154-1155). One Justice concurred on a different rationale, reasoning that even if the electronic ballot copies are exempted from FOIL disclosure for two years, that time passed while the case was pending on appeal and a court order was no longer required (160 AD3d at 1157 [Aarons, J., concurring]).²

The two dissenting Justices determined that the FOIL standard—imposing a presumption of access and requiring courts to narrowly interpret disclosure exemptions—was not disposi-

2. We must resolve this appeal based on the preserved arguments of the parties in light of the circumstances reflected in the record at the time the FOIL determination was made—and not based on subsequent events, including the passage of time. In a lone dissent, one of our colleagues determines that, rather than denying the request, the FOIL officer should have held it during the two-year post-election period and granted it at the expiration of that time. Because petitioner never made any such alternative request during the FOIL proceeding, nor was relief of that nature sought in the petition, we could not entertain that argument in this CPLR article 78 proceeding even if it was made by a party (*see Matter of Khan v New York State Dept. of Health*, 96 NY2d 879, 880 [2001] [“Judicial review of administrative determinations pursuant to CPLR article 78 is limited to questions of law. Unpreserved issues are not issues of law” (citation omitted)]). Moreover, the views expressed in the lone dissent involve issues never litigated at any point in this proceeding, including in this Court, to which neither party has had an opportunity to respond and which extend beyond the scope of this appeal. We therefore have no occasion to further address them (*see Misicki v Caradonna*, 12 NY3d 511, 519-520 [2009]).

tive (160 AD3d at 1157 [Rumsey, J., dissenting]). Rather, they reasoned that Election Law § 3-222 regulates “examination” of ballots during the first two years after an election and therefore does not authorize “public release” of ballots during that time (*id.* at 1157). The dissent also disagreed with the plurality’s conclusion that Election Law § 3-222 (2) does not encompass the documents sought here, which “are merely electronic copies of the voted ballots” (*id.* at 1158-1159). The dissent explained that permitting access to electronic copies without a court order pursuant to FOIL, while at the same time recognizing the need for such an order to gain access to paper ballots, is “an illogical interpretation of the statute that should be avoided” (*id.* at 1159).

Respondents appealed as of right based on the two-Justice dissent. We reverse and deny the petition on the basis that Election Law § 3-222 (2), which prohibits examination of “voted ballots” absent a court order or legislative committee direction during the first two years following an election, precluded the County Board from granting petitioner’s request for disclosure of electronic copies of those ballots.

FOIL requires that public agencies “make available for public inspection and copying all records” except where they fall within one of the statute’s enumerated exemptions (Public Officers Law § 87 [2]). This presumption of access subject to legislative exemptions recognizes “the premise that the public is vested with an inherent right to know and that official secrecy is anathematic to our form of government” and the parallel “legitimate need” to keep certain government matters confidential (*Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]). We typically construe exemptions narrowly, and an agency has the burden of demonstrating that an exemption applies “by articulating a particularized and specific justification for denying access” (*Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562, 566 [1986]).

Public Officers Law § 87 (2) (a), the FOIL exemption at issue, provides that an agency may deny access to records that are “specifically exempted from disclosure by state or federal statute.” While an applicable “state or federal statute” need not “expressly state it is intended to establish a FOIL exemption, we have required a showing of clear legislative intent to establish and preserve that confidentiality which one resisting a FOIL disclosure claims as protection” (*Capital Newspapers*, 67 NY2d at 567). Respondents assert that Election Law § 3-222

creates such an exemption. To determine whether Election Law § 3-222 reflects the requisite legislative interest in confidentiality, we must interpret the statute.

The plain text of a statute is the best indicator of legislative intent and thus the proper starting place in discerning its meaning (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). When a statute is part of a broader legislative scheme, its language must be construed “in context and in a manner that harmonizes the related provisions and renders them compatible” (*Matter of M.B.*, 6 NY3d 437, 447 [2006] [internal punctuation and citation omitted]). With respect to the Election Law, we have cautioned that “where . . . the Legislature ‘erects a rigid framework of regulation, detailing . . . specific particulars,’ there is no invitation for the courts to exercise flexibility in statutory interpretation” (*Matter of Gross v Albany County Bd. of Elections*, 3 NY3d 251, 258 [2004], quoting *Matter of Higby v Mahoney*, 48 NY2d 15, 20 n 2 [1979]). Legislative pronouncements specific to voting and the electoral process must be faithfully executed, as “[t]he sanctity of [that] process can best be guaranteed through uniform application of the law” (*Matter of Gross*, 3 NY3d at 258). Thus, we must also honor these principles in determining whether the FOIL standard is met.

Election Law § 3-222 contains three subdivisions relevant to this dispute that set forth a complex system of preservation and judicially supervised “examination” of ballots. Subdivision (1) addresses preservation and examination of removable memory cards and similar media that temporarily store voting data.³ Subdivision (2) states a general rule as to preservation and examination of “voted ballots,” providing,

“Voted ballots shall be preserved for two years after such election and the packages thereof may be opened and the contents examined only upon order of a court . . . , or by direction of such committee of the senate and assembly if the ballots relate to the election under investigation by such committee.”

3. Subdivision (1) states, in relevant part, that such media “shall remain sealed against reuse” until preservation of the data and that, during the pre-preservation period, the data “may be examined upon the order of any court . . . of competent jurisdiction or . . . at the direction of a committee of the senate or assembly to investigate and report upon contested elections of members of the legislature.”

At the expiration of this two-year period of preservation and restricted access, “such ballots may be disposed of at the discretion of the officer or board having charge of them.” Subdivision (3) includes a similar preservation and examination rule for “protested, void and wholly blank ballots, open packages of unused ballots and all absentee and military, special federal, special presidential and emergency ballots and ballot envelopes.”⁴ In other words, all voted ballots—whether cast at the polls on election day or through some other process, such as absentee or military voting—are covered under the statute.

The plain text of Election Law § 3-222 (2)—providing that “voted ballots” may be “examined” only pursuant to a court order or legislative committee direction for two years—bars disclosure of the electronic copies of ballots sought by petitioner in this case. By this language in subdivision (2), the legislature expressed a clear intent to restrict access to the ballots voted in an election; in order to see them, one must follow a specific procedure—i.e., obtain a court order or direction from a legislative committee investigating the election. Subdivision (3) applies a similar two-year rule of restricted access to other types of ballots, including those not counted because they were void or blank and mail-in ballots like absentee and military ballots, with a sole exception for “[s]ealed packages of unused ballots” that are subject to this limitation only for four months.

Together, therefore, subdivisions (2) and (3) establish a general default rule that ballots—whether counted or uncounted—are not freely accessible by the public during the first two years after an election and that, to examine them, a party must go through the prescribed channels supervised by the court or legislative committee, which were not followed here. There is no dispute that subdivision (2)—addressing “voted ballots”—applies this default rule to the underlying paper ballots cast at

4. Subdivision (3), referring to boxes of various types of voted and unvoted paper ballots and envelopes, provides that

“[u]nless otherwise ordered or directed by such a court, justice or committee, such boxes shall be opened and their contents and such packages and the envelopes containing voted ballots and ballot envelopes shall be destroyed, at the expiration of the [statutory preservation] period . . . , except that instead of being destroyed, they may be sold and the proceeds paid over in the manner provided with respect to the sale of books, records and papers pertaining to an election.”

There are no cases interpreting this provision, or indicating that such a sale has ever occurred. The propriety of such a sale is a matter beyond the scope of this appeal.

the polls, and nothing in the text of section 3-222 indicates the legislature intended to treat the electronic copies any differently than the underlying paper ballots.⁵ There is no basis in the language of the statute to conclude that the restriction could be circumvented merely because the agency makes a copy (electronic or otherwise) of the voted ballot. Thus, taken at face value, the rule in Election Law § 3-222 (2) that “voted ballots” are protected from examination during the first two years after an election absent court order or direction from a relevant legislative committee extends to electronic copies of those ballots. The same is true of absentee and military ballots, which are “voted ballots” under subdivision (2) and, along with their envelopes, are also specifically protected in subdivision (3).

The legislative history of Election Law § 3-222 supports our understanding of the statute’s plain text. The statute has evolved significantly over time, reflecting our historical use of paper ballots for live voting on election day, the twentieth-century transition to the use of mechanical, lever-type voting machines and our recent conversion—in the wake of the federal Help America Vote Act of 2002 (52 USC § 20901 *et seq.*, as added by Pub L 107-252, 116 US Stat 1666)—to a paper ballot system with an electronic storage component. Throughout that evolution, for more than a century, the legislature has closely regulated access to ballots cast in an election.

The 1896 predecessor to Election Law § 3-222 provided in part that “ballots voted” in an election be returned to the ballot box, which “shall be securely locked and sealed” and “preserved inviolate for six months after such election and may be opened and [its] contents examined upon [court] order” (Election Law of 1896 § 111). We observed soon after its enactment that the statute was intended to provide “a further check upon the perpetration of fraud by local boards of canvassers” by preserving evidence of votes, while at the same time ensuring prompt resolution of elections by limiting examination of ballots (*see People ex rel. Brink v Way*, 179 NY 174, 180 [1904]). Thus, prior to the advent of electronic voting machines, the Election Law required judicial supervision over access to ballots in light of unique public policy interests at play in voting regulation.

5. The reference in subdivision (2) to “packages” of “voted ballots”—cited by the Appellate Division plurality as evidence that this provision excludes electronic copies—is not to the contrary. That language reflects the fact that the phrase “voted ballots” encompasses voted *paper* ballots, but it does not limit the scope of subdivision (2) or imply that copies of such paper ballots are outside the statute’s scheme of restricted access.

The current version of the statute is the result of amendments enacted in 2011 that preserved its general purpose but conformed the text to reflect the transition from mechanical lever voting systems to the ballot scanning machines currently in use. Subdivision (1) was revised to replace references to “lock[ing]” and “unlock[ing]” the lever voting machines with the current requirements for handling removable memory cards (L 2011, ch 169). These amendments “establish[ed] procedures designed to ensure that election data recorded on the new voting systems are safeguarded and protected throughout the tabulation process,” just as that information was protected during tabulation under the prior version of subdivision (1) (Div of Budget Bill Mem, Bill Jacket, L 2011, ch 169 at 7). The amendments were intended to “ensure that all data collected during an election will be available for any *subsequent* examination pursuant to a court order or at the direction of a Senate or Assembly committee” (Div of Budget Bill Mem, Bill Jacket, L 2011, ch 169 at 7 [emphasis added]). This language—conveying that a court order is needed for access to data “subsequent” to preservation (i.e., after subdivision [1] no longer applies)—reflects a legislative intent that the subdivision (2) restrictions on examination extend to all versions of voted ballots, whether paper or electronic.

The 2011 amendments also show that the legislature knew how to distinguish between paper and electronic materials when that was its intent. The amendments repurposed subdivision (2), which previously applied only to “write-in” ballots, to confer its two-year preservation and restricted access rule on the broader category of “voted ballots” (L 2011, ch 282). At that time, subdivision (3) specifically referenced (as it does now) “boxes containing voted *paper* ballots” (emphasis added), which were already protected. The legislature clearly understood how the new voting system functioned—that paper ballots completed by voters were scanned into the machines and recorded in the form of electronic data. Yet, instead of using the narrower phrase “voted paper ballots” utilized in subdivision (3), the legislature chose the broader term “voted ballots” when it amended subdivision (2)—indicating that the legislature did not intend to restrict the scope of subdivision (2) to paper ballots or otherwise create a different rule for electronic

ballot copies.⁶ Notably, the 2011 amendments *did* carve out a special rule as to another category of materials, providing in subdivision (3) that, although ballots are generally subject to the two-year preservation rule, “[s]ealed packages of unused ballots” need only be retained for four months (L 2011, ch 282, § 2).⁷ Given the absence of a similar carveout for electronic ballot copies, we discern no legislative intent to treat those images differently from their voted paper ballot counterparts, which are specifically subject to the statute’s general two-year restriction.

Supreme Court and the Appellate Division plurality concluded that the only purpose served by Election Law § 3-222 is to preclude ballot tampering and, because electronic data is at little risk of interference once it has been preserved pursuant to subdivision (1), it received no protection. Although protection against tampering is certainly one of the statute’s aims, this narrow view of the statutory purpose is inconsistent with the legislative history and fails to appreciate the statute’s place in the broader context and history of the Election Law.

The use of paper ballots dates back to the beginning of our Republic and was implemented in place of the “*viva voce*” or oral voting method used in colonial New York (*see* 1777 NY Const § 6). A clear intended benefit of the paper ballot “was to prevent bribery by rendering it difficult to determine how any elector voted” (*Matter of Hopper v Britt*, 203 NY 144, 157

6. We do not dispute that “voted ballots” includes “ballots cast directly on a voting machine—i.e., the display frame of the electronic machine on which the vote is cast” in addition to voted paper ballots (Stein, J., dissenting op at 71 n 1). This supports our conclusion that the term “voted ballots” in subdivision (2) broadly encompasses all voted ballots, whether in paper or electronic form. The legislature chose not to use a term that would have quite clearly achieved the result advocated by petitioner here—that only voted paper ballots are protected by the restricted access scheme in the statute.

7. With the change to paper ballots for the majority of voters, election boards were compelled to order more than enough ballots to accommodate any voter that might come to the polls—even though many registered voters do not vote. As a result, election boards would be left, after election day, with a proliferation of sealed packages of unused ballots. This exception was crafted to relieve the burden on election districts of storing such packages for two years in costly warehouse space (Assembly Mem in Support, Bill Jacket, L 2011, ch 282 at 7, 2011 NY Legis Ann at 207). When the legislature amended subdivision (3) to provide that “[s]ealed packages of unused ballots” need only be preserved for four months, it created a carveout from the general rule in subdivisions (2) and (3) that ballots (particularly voted ballots) are preserved and protected from unrestricted examination for two years.

[1911]). But ballot voting was not immune to corruption. Political parties printed colorful ballots designed to be identified from afar, and those paying for votes or otherwise seeking to coerce voters—such as employers intimidating their workers—physically “supervised” the polls (*see Burson v Freeman*, 504 US 191, 200-202 [1992]). Therefore, the principle of ballot secrecy was adopted in 1890 through comprehensive election reform legislation entitled “An act to promote the independence of voters at public elections, enforce the secrecy of the ballot, and provide for the printing and distribution of ballots at public expense” (L 1890, ch 262). The legislation criminalized the display of a marked ballot, created voting booths, prohibited electioneering within close range of the polls, and centralized the preparation of ballots (*see* L 1890, ch 262; *see also People ex rel. Coffey v Democratic Gen. Comm. of Kings County*, 164 NY 335, 338 [1900]). Since 1894, our Constitution has specifically provided that, whether voting is by ballot or another method prescribed by law, “secrecy in voting be preserved” (1894 NY Const, art II, § 5). To that end, the Election Law of 1896 contained detailed procedures intended “to permit a secret ballot,” as well as “secure an honest count,” achieve “[s]ome finality of action” by election boards, and “preserve, for a reasonable time, the best evidence” for prosecuting fraud or investigating a contested election “in the event of judicial, or of legislative, proceedings, instituted . . . after the election was closed” (*Matter of Hearst v Woelper*, 183 NY 274, 281, 284 [1905]). The predecessor to Election Law § 3-222 was part of that reform legislation (Election Law of 1896 § 111).

Today’s Election Law promotes secrecy of the ballot and integrity of vote casting and canvassing in several ways. For example, it specifically requires that “[t]he operating of the ballot scanner by the voter while voting or the use of a privacy booth or ballot marking device for marking a ballot shall be secret and obscured from all other persons” with narrow exceptions for voters requiring assistance or supervising children (Election Law § 8-300 [2]). Moreover, it criminalizes a range of actions: it is a misdemeanor for a voter to “show” the ballot that person has marked or “reveal the contents” (Election Law § 17-130 [10]) or for an election officer to “reveal” how any person voted (*see* Election Law § 17-126 [1], [2]), in addition to other violations of polling place regulation (*see generally* Election Law § 17-130).

Equally thorough canvass, recanvass and audit procedures govern the treatment of voted ballots and other related materi-

als after the polls have closed. The Election Law sets forth step-by-step instructions that election inspectors must follow in closing voting machines, obtaining their tabulated results, handling the removable memory cards, and reconciling the number of paper ballots utilized against the number provided (Election Law §§ 9-102, 9-106). The instructions for canvassing paper ballots not already scanned at the close of voting are highly precise, dictating exactly how the paper ballots should be handled (i.e., unfolded, placed face down in one pile, then turned over one-by-one); the results interpreted, announced and marked; and any objections resolved (Election Law §§ 9-110, 9-112, 9-114, 9-116). Absentee, military and special ballots are canvassed according to similarly specific directions that mandate how such ballots should be removed from their envelopes, counted and recorded (Election Law § 9-209).

The Election Law provides for a recanvass of votes within, at most, 20 days from an election and dictates procedures in case of discrepancy between the results of the canvass and recanvass (Election Law § 9-208). It also requires an audit of “voter verifiable audit records from three percent of voting machines or systems” in each voting jurisdiction within 15 days of a general election (Election Law § 9-211 [1]). Further, election disputes are resolved in special summary proceedings, which “have preference over all other causes in all courts” (Election Law § 16-116) and abbreviated limitations periods (*see e.g.* Election Law § 16-106 [stating limitations periods for proceedings regarding casting or canvassing of ballots of 10, 20, or 30 days]).

Thus, the Election Law’s closely regulated framework for handling of ballots and reviewing their contents balances ballot secrecy, anti-tampering measures, accuracy and finality. Election Law § 3-222 is an integrated component of this system and evinces the same public policy interests in prescribing detailed rules for when and how voted ballots may be examined. The plain language of the statute, viewed in harmony with the broader Election Law regime, demonstrates a clear legislative intent to exempt these copies from public disclosure via a FOIL request during the restricted access period. As observed in an affidavit submitted by a Commissioner of the New York State Board of Elections, Election Law § 3-222 reflects a legislative acknowledgement “that unfettered access to voted ballots could lead to unfettered mischief in the outcome of elections.”

While Election Law § 3-222 expresses a legislative interest in confidentiality, it does not categorically preclude access to

voted ballots of any kind or electronic copies of those ballots. It provides a procedure by which a party may petition a court for access, thereby ensuring that any resulting “examination” occurs with judicial supervision. By restricting access to voted ballots for a two-year period following an election—subject to precise statutory mechanisms for addressing election disputes, including allegations of tampering—the statute balances the competing concerns of finality and transparency. Without doubt, the confidentiality promised in the Election Law is not absolute—there are occasions during the official canvassing, objection and judicial challenge processes when revelation of a particular person’s vote may be unavoidable. But the legislature has taken steps to guard against unjustified erosion of the policies of ballot secrecy and finality by curbing the extent to which parties with no role in these official processes may gain access to voted ballots.

Supreme Court and the Appellate Division plurality relied on the FOIL presumption of access to conclude that electronic ballot copies are subject to disclosure, reasoning that Election Law § 3-222 does not expressly carve out an exemption for those materials. But, as we have demonstrated, that general presumption is rebutted here, in light of the clear legislative intent to restrict access to voted ballots except by way of the detailed regulatory scheme set forth in section 3-222. Election Law § 3-222 takes requests for access to ballots out of the hands of FOIL officers during the restricted examination period, instead authorizing courts and legislative committees to supervise limited examination of the materials.

Moreover, interpreting section 3-222 to permit FOIL disclosure of electronic ballot copies during the restricted access period would be incompatible with our treatment of other documents under FOIL. Such a reading would allow statutory protections to be easily evaded merely by requesting a copy of an otherwise exempt document rather than the original—an interpretation that would effectively nullify FOIL exemptions. When the legislature shields a document from disclosure, protection naturally extends to copies of that document; indeed, the materials supplied in response to a FOIL request are always copies. The FOIL rule that we interpret exemptions from disclosure narrowly does not require that we disregard this commonsense understanding of legislative intent by drawing an unprecedented distinction between originals and copies not driven by the text of the statute and contradicted by the legislative materials.

Petitioner's reading of the statute would allow for near-immediate public access to electronic ballot copies, thereby circumventing the Election Law's established process for ensuring the accuracy and transparency of election results in a timely, orderly, and transparent manner. Because the preservation process involves simply transferring data onto a hard drive and can be completed within hours after an election, petitioner's interpretation would enable disclosure of electronic ballot copies and invite any FOIL requester's interpretation of the results (based on incomplete data, since not all voted ballots are scanned) prior to completion of critical post-polling procedures like the canvass and three-percent audit. Political parties, candidates, news agencies (or quasi news agencies) could obtain this data and offer the public their own version of the "canvass" before the official results were certified by the Board of Elections.⁸ Competing pronouncements concerning the results of elections from various unofficial sources—or post hoc challenges to official results based on these private vote canvasses—would undermine the integrity of the official results and the principle of election finality.⁹

We have always had paper ballots of one kind or another (e.g. absentee, military and the like) but, for decades, most New Yorkers cast their votes without a ballot, by pulling a lever at a polling place. Votes cast by pulling a lever did not create "records" or "documents" and did not implicate FOIL

8. To the extent that petitioner argues that unrestricted public access to electronic ballot copies via FOIL would serve a public interest in ensuring the accuracy of results soon after an election, such a view is overstated. Only a subset of ballots cast in an election are scanned and produce ballot images—some are hand counted (*see* Election Law §§ 9-110, 9-209). Thus, review of electronic data of this type affords an incomplete picture of election results. A comprehensive review of all ballots cast in an election could be conducted only pursuant to the restricted access scheme set forth in Election Law § 3-222 (2), (3).

9. Although electronic ballot copies are stored in a randomized fashion, certain political parties (particularly minor parties) have so few members in less populated districts that electronic ballot copies from primary elections may enable a FOIL requester to ascertain the substance of individual voters' cast votes shortly after an election. Likewise, under petitioner's interpretation of section 3-222, the statute would not preclude FOIL disclosure of absentee ballots and ballot envelopes (which could, like other documents subject to FOIL, be copied for the purpose of FOIL disclosure)—despite its express interdiction against "examination" of such documents absent a court order or legislative direction. Such results would undermine ballot secrecy and finality in elections and circumvent the statutory mechanisms in place for review of ballots.

(nor is there precedent suggesting that paper ballots cast by absentee or military voters are disclosable through the FOIL rubric). Although there has been a change in the procedure most New Yorkers use when voting on election day—and scanning technology certainly simplifies the canvassing process for votes cast by paper ballot—the legislature, despite recent amendments to relevant provisions of the Election Law, has not lifted the restrictions on post-election examination of voted ballots. The Election Law’s close regulation of ballot access manifests the legislature’s accumulated wisdom regarding how best to safeguard our elections, including by facilitating appropriate review of ballots pursuant to judicial oversight under section 3-222. Because electronic ballot copies are “voted ballots” governed by Election Law § 3-222 (2), petitioner’s request for disclosure was properly denied.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed in its entirety.

STEIN, J. (dissenting). The Freedom of Information Law (FOIL) is premised upon the legislature’s stated view that “a free society is maintained when government is responsive and responsible to the public, and when the public is aware of governmental actions” (Public Officers Law § 84). The legislature has determined that “[t]he more open a government is with its citizenry, the greater the understanding and participation of the public in government” (Public Officers Law § 84). In precious few contexts are public participation and confidence, as well as governmental accountability and transparency, more important than with respect to the electoral process through which the citizenry democratically selects its representatives. However, the majority holds, based on abstract policy considerations, that electronic ballot images are exempt from FOIL disclosure pursuant to Election Law § 3-222 (2). In so doing, the majority improperly departs from the plain language of the Election Law, as well as the express policy of this state favoring open government.

Election records, like all governmental agency records, are exempt from FOIL disclosure only if they are subject to a legislatively enumerated exemption. Here, no such exemption exists. The unambiguous text of the Election Law demonstrates that electronic ballot images are not “voted ballots” within the purview of Election Law § 3-222 (2), and legislative history further demonstrates that this statutory provision was primarily

intended to safeguard paper ballots against tampering—a concern absent vis-à-vis electronic images of ballots. In light of the dearth of statutory text or legislative history indicating that the legislature intended for electronic ballot images to be confidential and excluded from FOIL disclosure, I agree with Supreme Court and the Appellate Division plurality that such images must be disclosed.

I.

A review of certain provisions of the Election Law and their history is helpful to understanding the thrust of the FOIL request under review and the precise question before this Court. Beginning in 2005 with its enactment of the Election Reform and Modernization Act, the legislature made a series of amendments to the Election Law requiring the replacement of lever voting and punch card machines with electronic optical scan voting systems or direct recording electronic machines (*see* L 2005, ch 181, §§ 6, 9, 11; L 2007, ch 506, § 1; Election Law §§ 7-202 [4]; 7-209), as mandated by federal law (*see* 52 USC §§ 20902, 21081). Generally, to cast a vote on an electronic optical scan voting machine, a voter scans a marked paper ballot into a ballot scanner (*see* Election Law § 8-312 [1], [2]). The electronic machine scans the paper ballot, interprets the vote marked on the ballot, tabulates the voting results of all ballots thus cast, and saves images of every cast ballot both in its resident memory and on portable memory devices (*see* Election Law § 9-102 [1], [2]; 9 NYCRR 6209.1 [u]; 6209.2 [a] [7]). The Election Law also authorizes the use of direct recording electronic machines, upon which a voter may cast a vote directly on the face of the machine; the machine then produces a “voter verified permanent paper record” (Election Law § 7-202 [1] [j]; *see* Election Law § 7-202 [4]).

For both the electronic scan machine and the direct recording machine, the Election Law requires that the voting machine “retain all paper ballots cast or produce and retain a voter verified permanent paper record,” and provides that “such ballots or record shall allow a manual audit and shall be *preserved* in accordance with the provisions of [Election Law §] 3-222” (Election Law § 7-202 [1] [j] [emphasis added]; *see* 9 NYCRR 6209.2 [a] [3]). The electronic ballot scanner retains the paper ballots by depositing each ballot into a secure box (*see* Election Law § 7-202 [1] [j]; *Matter of Johnson v Martins*, 15 NY3d 584, 586 [2010]).

After the polls are closed and the votes canvassed, the election officials must “package and seal . . . voted ballots and place them in one or more boxes or containers . . . and securely lock and seal such boxes or containers” (Election Law § 9-124 [1]). Election officials may either include within such boxes of “voted ballots” one portable memory device from each ballot scanner (Election Law § 9-124 [1]), or the portable memory device may be separately enclosed in a sealed container with the corresponding results in order to allow for the use of the device to provide an unofficial tally of results (*see* Election Law §§ 9-102 [2] [d]; 9-124 [2]). In either event, the boxes and containers of sealed voted ballots and portable memory devices are filed with the applicable board of elections (*see* Election Law §§ 9-102 [2] [d]; 9-124 [3] [a], [d]).

Pursuant to Election Law § 3-222 (1), “removable memory cards or other similar electronic media shall remain sealed against reuse until such time as the information stored on such media has been preserved,” except that such media devices, and the information stored thereon, may be accessed prior to preservation upon an order of a court or at the direction of a legislative committee investigating a contested election. On the other hand, Election Law § 3-222 (2) provides that “[v]oted ballots” must be preserved for two years following an election, and that “the packages thereof may be opened and the contents examined only upon” court or legislative order. Following expiration of the two-year preservation period, “voted ballots” may be either destroyed or sold (Election Law § 3-222 [3]). Neither paper ballots retained by an electronic ballot scanner, nor electronic images of paper ballots saved to the removable memory card, identify the voter; thus, Election Law § 3-222 (1) and (2) do not implicate ballot secrecy.

II.

Turning to the instant matter, in December 2015, petitioner Bethany Kosmider requested from respondents Essex County Board of Election Commissioners Mark Whitney and Allison McGahay copies of electronic voting ballot images recorded on the removable memory devices of the electronic scanner voting machines used in Essex County during the November 2015 general election. Treating the request as being made pursuant to FOIL, the Essex County Attorney and Records Access Officer denied petitioner’s request. The County Attorney opined that the images could not lawfully be disclosed or examined except

pursuant to court order under Election Law § 3-222 and, consequently, were exempt from disclosure under Public Officers Law § 87 (2) (a)—the FOIL provision which permits agencies to deny access to records otherwise exempt from disclosure by state or federal statute. Respondent Chair of the Board of Supervisors of Essex County denied petitioner’s administrative appeal. Petitioner then commenced the instant timely CPLR article 78 proceeding seeking release of the electronic ballot images and tabulated vote records.

Supreme Court granted the petition, concluding that Election Law § 3-222 restricted access to the electronic images only until the images were preserved under subdivision (1) and that, once preservation was complete, the statute did not render such images exempt from disclosure, unlike the paper ballots covered by subdivision (2) (56 Misc 3d 354 [Sup Ct, Essex County 2017]). On appeal, the Appellate Division affirmed (160 AD3d 1151 [3d Dept 2018]). Two Justices agreed with Supreme Court’s analysis, one Justice concurred in result on the ground that any confidentiality under Election Law § 3-222 (2) had expired two years after the election, and two Justices dissented in favor of precluding disclosure. Respondents appealed to this Court as of right (*see* CPLR 5601 [a]).

III.

The issue before us distills to whether, as respondents argue, electronic ballot images are exempt from FOIL disclosure as “voted ballots” under Election Law § 3-222 (2) that must be preserved for two years, subject to examination only upon court order or legislative direction. The proper analysis of this question necessitates a review of the well-established principles governing FOIL disputes. Codified in the Public Officers Law, FOIL mandates that governmental “agenc[ies] shall . . . make available for public inspection and copying all records, except that such agenc[ies] may deny access to records or portions thereof that” fit within certain statutory exceptions (Public Officers Law § 87 [2]). FOIL is grounded in “the premise that the public is vested with an inherent right to know” and, “[b]y permitting access to official information long shielded from public view, the act permits the electorate to have sufficient information in order to make intelligent, informed choices with respect to both the direction and scope of governmental activities” (*Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]). Indeed, “judicious use of the provisions of [FOIL] can be a re-

markably effective device in exposing waste, negligence and abuses on the part of government; in short, ‘to hold the governors accountable to the governed’” (*id.*, quoting *NLRB v Robbins Tire & Rubber Co.*, 437 US 214, 242 [1978]).

We have long recognized that FOIL is “based on a presumption of access” to records (*Matter of Madeiros v New York State Educ. Dept.*, 30 NY3d 67, 73 [2017]; see *Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 462 [2007]; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562, 566 [1986]). Consistently and repeatedly, we have instructed courts and agencies that FOIL’s disclosure mandate must “be liberally construed and its exemptions narrowly interpreted so that the public is granted maximum access to the records of government” (*Matter of Town of Waterford v New York State Dept. of Envtl. Conservation*, 18 NY3d 652, 657 [2012], quoting *Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246, 252 [1987]). Thus, an agency relying on the applicability of an exemption to avoid disclosure bears the burden of establishing that the exemption applies (see Public Officers Law § 89 [4] [b]), and “[o]nly where the material requested falls squarely within the ambit of one of these statutory exemptions may disclosure be withheld” (*Matter of Fink*, 47 NY2d at 571; see *Matter of Newsday, Inc. v Empire State Dev. Corp.*, 98 NY2d 359, 362 [2002]).

As relevant here, the FOIL regime permits an agency to deny disclosure of “records or portions thereof” that “are specifically exempted from disclosure by state or federal statute” (Public Officers Law § 87 [2] [a]). To establish the applicability of this exemption, an agency need not establish that the statute at issue “expressly state[s] [that] it is intended to establish a FOIL exemption”; however, there must be a “showing of clear legislative intent to establish and preserve that confidentiality which one resisting a FOIL disclosure claims as protection” (*Burns*, 67 NY2d at 567; see *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.*, 62 NY2d 75, 81 [1984]; see e.g. *Matter of New York Civ. Liberties Union v New York City Police Dept.*, 32 NY3d 556, 565 [2018]; *Matter of John P. v Whalen*, 54 NY2d 89, 98 [1981]).

Of course, FOIL governs the disclosure of records requested under its umbrage, even if those records implicate the Election Law. FOIL compels disclosure by agencies, which the legislature has defined as “any state or municipal department, board, bureau, division, commission, committee, public authority, pub-

lic corporation, council, office or other governmental entity performing a governmental or proprietary function for the state or any one or more municipalities thereof, except the judiciary or the state legislature” (Public Officers Law § 86 [3]). State and local boards of election plainly fall within the parameters of this definition and are not included in the express exemptions established by the legislature (*see* Election Law § 3-100 [creating the State Board of Elections within the executive department]; Election Law § 3-200 [authorizing county boards of elections]; *see* 9 NYCRR 6202.1 [State Board of Elections regulations governing public access to agency records in compliance with FOIL]). “Records” subject to FOIL disclosure are also broadly defined to include “any information kept, held, filed, produced or reproduced by, with or for an agency . . . in any physical form whatsoever” (Public Officers Law § 86 [4]; *see Matter of Newsday, Inc.*, 98 NY2d at 362 [documents in the possession of an agency necessarily become agency records under FOIL]; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557, 565 [1984] [documents possessed by an agency are “records” within the meaning of FOIL even if they originated outside the government]). Thus, boards of elections and the records they hold are subject to the mandate of FOIL disclosure, unless such records fall within a FOIL exemption.

IV.

Neither the statutory language nor the legislative history supports the conclusion urged by respondents, and adopted by the majority, that electronic ballot images are exempt from FOIL disclosure pursuant to Election Law § 3-222 and Public Officers Law § 87 (2) (a). This is because electronic ballot images do not constitute “[v]oted ballots” (Election Law § 3-222 [2]) and, therefore, they are not subject to the two-year sealing requirement of Election Law § 3-222 (2).

“It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature” and, because “the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998] [internal quotation marks and citations omitted]). If the words chosen “have a definite meaning, which involves no absurdity or contradiction, there is no room

for construction and courts have no right to add to or take away from that meaning’ ” (*id.*, quoting *Tompkins v Hunter*, 149 NY 117, 122-123 [1896]). If the words are not defined by statute, “we construe words of ordinary import with their usual and commonly understood meaning” (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475, 479-480 [2001]). Additionally, we should inquire “into the spirit and purpose of the legislation, which requires examination of the statutory context of the provision as well as its legislative history” (*Nostrom v A.W. Chesterton Co.*, 15 NY3d 502, 507 [2010] [internal quotation marks and citation omitted]; see *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012]).

Election Law § 3-222 (2)—included in a provision entitled “Preservation of ballots and records of voting machines”—provides that

“*[v]oted ballots* shall be *preserved* for two years after [an] election and the *packages* thereof may be opened and the contents examined only upon order of a court or judge of competent jurisdiction, or by direction of [a] committee of the senate and assembly if the *ballots* relate to [an] election under investigation” (emphasis added).

The Election Law does not specifically define the term “voted ballots.” It does, however, define the terms “ballot” and “official ballot” (Election Law § 1-104 [8], [18]). When referring to voting machines or systems, a “ballot” is defined as “that portion of the cardboard or paper or other material or electronic display within the ballot frame” containing the candidate name, party, and any propositions or referendums (Election Law § 1-104 [18])—in other words, the paper ballot inserted into an electronic scanning machine, or the display screen of a direct recording electronic machine when a vote is being cast. An “official ballot” is likewise defined as either “the paper ballot on which the voter casts [a] vote, or the face of a voting machine as prepared for the voter to cast [a] vote” directly on the machine (Election Law § 1-104 [8]).

The majority’s analysis relies on an unfounded assumption that electronic images of cast paper ballots are, themselves, “ballots.” However, electronic images of paper ballots do not meet the statutory definition of “ballots” or “official ballots” because they are neither a paper ballot nor an electronic display within the ballot frame on the face of a voting machine

as prepared for a voter to cast a vote. By logical extension, electronic images of cast ballots cannot constitute “voted *ballots*” under Election Law § 3-222 (2) (emphasis added).¹ A voter casts only one “ballot” in an election, and a scanned image thereof is not, itself, a voted “ballot.” Thus, while the majority may be correct that the Election Law closely regulates access to “ballots” in order to ensure the integrity of elections (*see* majority op at 61), it does not follow that the legislature intended to restrict access to scanned electronic ballot images—the records sought by petitioner in this case.

Moreover, the language chosen by the legislature to describe when access to sealed “voted ballots” may be permitted indicates that the legislature was concerned with the paper ballots on which votes had been cast, not electronic images thereof. For example, Election Law § 3-222 (2) states that “packages” of voted ballots may be opened only upon court or legislative order. The images contained on the portable memory devices are not preserved in “packages”; indeed, the term “packages” is used throughout the Election Law to refer to sealed and boxed *paper* ballots (*see* Election Law §§ 9-102 [2] [d]; 9-124 [1]).

Further, Election Law § 9-106 specifically provides that, after the polls are closed and before any “boxes or envelopes containing *voted ballots* are opened” (emphasis added), all “paper ballots furnished to the election district or poll site” must be accounted for, illustrating that the term “voted ballots”—as used by the legislature—refers to the *paper* ballots, not the electronic images generated by the electronic vote scanner. Likewise, Election Law § 7-202—governing the requirements of electronic voting machines—specifically instructs in two separate provisions that electronic voting machines must produce “paper ballots” or a “paper record” that may be preserved in accordance with Election Law § 3-222, with no

1. The majority asserts that the legislature knew how to differentiate between “voted paper ballots” and electronic ballot images, observing that the term “voted paper ballots” appears in Election Law § 3-222 (3). However, while Election law § 3-222 (3) does refer specifically to “voted paper ballots,” the distinction between “voted paper ballots” and “voted ballots” is not that the latter includes electronic images of paper ballots but, rather, that the former does not include those ballots cast directly on a voting machine—i.e., the display frame of the electronic machine on which the vote is cast. This distinction is made clear by the context of the legislature’s use of the term “voted paper ballots”; specifically, subdivision (3) uses the term “voted paper ballots” in reference to the reuse of the “boxes containing” such ballots.

similar reference to any requirement for sealing and preventing access to electronic ballot images under section 3-222 (Election Law § 7-202 [1] [i], [j]).

Contrary to the majority's assertion that "nothing in the text" of the Election Law demonstrates any legislative intent to treat electronic ballot images differently from the underlying paper ballots (majority op at 56-57), the legislature's very use of the terms "voted ballots" and "packages" in both Election Law § 3-222 (2) and other statutory provisions plainly differentiates between paper ballots and electronic images thereof. Thus, while we have cautioned that, in the election context, the legislature has "erect[ed] a rigid framework of regulation" with regard to which there is no room "for the courts to exercise flexibility" (*Matter of Gross v Albany County Bd. of Elections*, 3 NY3d 251, 258 [2004]), it is the majority—not I—who disregards the language of the Election Law and fails to faithfully execute the relevant legislative pronouncements.

V.

Not only is any apparent textual basis lacking to support a conclusion that Election Law § 3-222 (2) exempts electronic ballot images from disclosure under FOIL, the majority—despite a concerted effort to draw from all corners of the Election Law and various public policy considerations—otherwise fails to demonstrate that the legislative intent behind the statute was to ensure confidentiality and preclude public disclosure of such records (*see Burns*, 67 NY2d at 567). A review of the relevant legislative history reveals that the legislative purpose underpinning Election Law § 3-222 is not, as the majority surmises, to maintain ballot confidentiality but, rather, to limit access to original ballots cast in order to prevent tampering and preserve the integrity of such original ballots with a view toward ensuring a valid and accurate method through which election results may be audited and verified.

The preservation and sealing of ballots and ballot boxes date back to 1896. This Court has explained that the legislature's original enactment of the requirement that ballots and ballot boxes be sealed and preserved for a limited time "would seem to be that it furnishes a . . . check upon the perpetration of fraud by local boards of canvassers" (*People ex rel. Brink v Way*, 179 NY 174, 180 [1904]). The preservation and sealing requirement was intended to "minimize the opportunity for fraud at elections and . . . render[] available the best evi-

dence in proceedings instituted to try the title to public office, not only as between rival candidates for office, but as well in actions brought by the people of the state against individuals who may intrude into or usurp public office” (*People ex rel. Brown v Freisch*, 215 NY 356, 367 [1915]; see *People ex rel. Brink*, 179 NY at 180; *Matter of Stewart*, 155 NY 545, 549-550 [1898] [prior to 1896, the Election Law “provided no adequate restraints upon the officials whose duty it was to canvass the votes” because the ballots were immediately destroyed, and the Election Law of 1896 was “the culmination of a series of acts seeking . . . such safeguards as will protect the candidate and the general public against the mistakes or frauds of the inspectors”]; see also *People ex rel. Dailey v Livingston*, 79 NY 279, 284 [1879] [observing that the legislative purpose behind an earlier statute requiring sealing and preservation of certain ballots and ballot boxes was that the ballot “boxes should be so sealed that they could not be opened without breaking the sealing” given “the great temptation and danger of fraud in tampering with the ballots”]).

In other words, the preservation of ballots and the statutory restrictions on access to paper ballots were aimed at ensuring that the actual ballots upon which citizens cast their votes were available for verification of election results and were maintained in such a manner that they were not vulnerable to alteration or tampering. Indeed, the majority’s contrary claim that Election Law § 3-222 (2) is partly intended to ensure the confidentiality of voted ballots is belied both by the fact that the voted ballots do not identify the voter and by the legislature’s choice to permit packages of voted ballots to be sold after expiration of the two-year preservation period (see Election Law § 3-222 [3]; Comm on Open Govt FOIL-AO-19107 [2014]).²

Nor does the legislative history surrounding the legislature’s inclusion of the phrase “voted ballots” in Election Law § 3-222 (2) reveal any intent to shield electronic ballot images from FOIL disclosure. Prior to 2011, Election Law § 3-222 (2) required preservation and sealing of “write-in ballots” (L 2011, ch 282). Local boards of elections, faced with significant costs in preserving both used and unused ballots under Election Law § 3-222 (2) and (3), pushed for amendments to the statute

2. I note that any actual decision by a board of elections regarding whether to sell or discard the voted ballots is irrelevant. The salient fact is that the legislature has authorized the sale of such ballots, as it is the legislature’s intent that governs the dispute before us.

that would relieve the financial burden of storing unused election ballots. In response, the legislature, in an act to amend the Election Law “in relation to the preservation of unused ballots,” clarified that only used ballots need be retained for two years, while unused ballots may be discarded after four months (L 2011, ch 282). As part of these amendments, the legislature inserted the term “voted ballots” into Election Law § 3-222 (2). No legislative purpose for the amendments, or this specific change, was articulated, other than the general goal of “reliev[ing] the overwhelming financial burden of local and county boards of elections from warehouses [sic] costs associated with the storage of excessive unused election ballots” (Assembly Mem in Support, Bill Jacket, L 2011, ch 282 at 7, 2011 NY Legis Ann at 207). In this context, the most logical intent to be gleaned from the legislature’s choice of the term “voted ballots” is that it was merely clarifying that only “cast” or “voted” paper ballots need be retained. There is absolutely no basis to conclude that the legislature intended to broaden the scope of Election Law § 3-222 (2) and the meaning of voted “ballots” to preclude access to electronic images of ballots once preserved.

In concluding that such an intent exists, the majority relies on a statement in a 2011 bill jacket relating to amendments to Election Law § 3-222 (1) that imposed a requirement that memory cards and electronic media be sealed against reuse until the information on such devices is preserved (*see* L 2011, ch 169). These amendments were necessary to update subdivision (1) which, despite the transition from lever machines to electronic voting machines, still referred to the outdated locking of the voting machines themselves (*see* L 2011, ch 169). Accompanying these 2011 amendments to Election Law § 3-222 (1), a Division of the Budget bill memorandum accurately asserted that the amendments “establishe[d] procedures designed to ensure that election data” is “safeguarded and protected throughout the tabulation process” (Div of Budget Bill Mem, Bill Jacket, L 2011, ch 169 at 7). However, the memorandum also inaccurately stated that requiring the retention and preservation of electronic data storage devices would “ensure that all data collected during an election will be available for any subsequent examination pursuant to a court order or at the direction of a Senate or Assembly committee” (*id.*). The latter statement is necessarily inaccurate because the amendments at issue pertained only to the language of Election Law § 3-222 (1), not subdivision (2). That is, the amendments on which the

Division of the Budget was commenting did not pertain to the statutory provision or language on which the majority relies to hold that the electronic ballot images are exempt from FOIL. If, as the majority contends, electronic ballot images were already required to be preserved under seal as “voted ballots” pursuant to subdivision (2) of Election Law § 3-222, then the amendments to Election Law § 3-222 (1) were, in fact, unnecessary and redundant (*see Majewski*, 91 NY2d at 587 [“A construction that would render a (statutory) provision superfluous is to be avoided”]). Thus, the majority’s reliance on the Division of the Budget’s characterization—an isolated statement by a non-legislator relating to amendments of a different provision of the statute—is hardly convincing (*cf. Consumer Product Safety Comm’n v GTE Sylvania, Inc.*, 447 US 102, 118 [1980]; *Murphy v Empire of Am., FSA*, 746 F2d 931, 935 [2d Cir 1984] [“isolated remarks” in legislative history “are entitled to little or no weight, particularly when they are unclear or conflict with one another”]).

The absence of legislative history reflecting an intent to maintain confidentiality of the content of voted ballots, or electronic images of voted ballots, is significant. As the majority points out, if an original record is protected from disclosure under a FOIL exemption because another statute grants that record confidentiality, then a copy of that confidential record would be protected from disclosure to the same extent as an original. This is because, where confidentiality is the goal, the same harm comes from release of the original and any copies, electronic or otherwise. However, because the purposes of the sealing requirement of Election Law § 3-222 (2) are preservation and prevention of tampering—not confidentiality—a logical distinction may easily be drawn between the original ballot and the electronic image thereof. Providing copies of digital images—where those images are, as here, possessed by the agency without necessitating access to the paper ballots in contravention of Election Law § 3-222 (2)’s sealing requirement—simply does not undermine the preservation of, or increase the risk of tampering with, the original ballots in the same manner as providing direct access to those original paper ballots, nor does it alter or affect the security of the electronically preserved images retained by election authorities.

VI.

The remainder of the majority’s analysis strays far from the legislative purpose underlying Election Law § 3-222 to reflect,

instead, on the general public policies of ballot secrecy, minimization of opportunities for vote bribing or extortion, and finality in elections. While the legislative purpose of section 3-222 is relevant to whether it creates a FOIL exemption, the majority's subjective balancing of policy concerns is not. To be sure, these are significant and laudable public policy concerns, and the legislature has undertaken steps to further these goals (*see e.g.* Election Law §§ 8-312 [1]; 17-130 [10]; 17-126; *see also* NY Const, art II, § 7). However, there is no indication that the legislature believed these objectives would be undermined by permitting the release of electronic ballot images under FOIL and, notably, the majority fails to adequately explain how disclosure of the images will have any adverse effect on the accuracy, transparency, integrity, or timeliness³ of the electoral process.⁴

While the majority theorizes that FOIL disclosure of electronic ballot images would undermine the integrity of elections, in my view, just the opposite is true—such disclosure furthers the legislative purpose of Election Law § 3-222 (2) by providing a check against fraud perpetrated by governmental actors and promoting accuracy in our electoral process. As petitioner aptly notes, there are significant public policy concerns relating to the integrity of the electoral process that weigh in favor of disclosure, such as permitting scrutiny of vot-

3. A FOIL requester who obtains electronic ballot images will nevertheless be bound by the time limitations prescribed in the Election Law (*see generally* Election Law art 16). While the majority speculates that news agencies, political parties, and candidates may falsely or inaccurately report results of canvasses, it overlooks the possibility that such entities could actually advance election transparency by verifying and checking the accuracy of the results reported by election officials.

4. The majority posits that, in some political districts, certain political parties may have so few members that electronic ballot images from primary elections may enable a FOIL requester to ascertain the nature of an individual's vote. As the majority recognizes, ballot secrecy is not absolute and, insofar as voter registration rolls are accessible by the public and election results may be announced by geographic area (*see generally* Election Law §§ 5-602, 5-604), a determined individual could—even without electronic ballot images—possibly identify a particular individual's vote in a sparsely populated district by means of other available public records. Notably, however, FOIL does permit—under a different exception not invoked by respondents here—the denial of access to records that, if disclosed, “would constitute an unwarranted invasion of personal privacy” (Public Officers Law § 87 [2] [b]; *see* § 89 [2] [b]). As respondents did not assert this exemption as a basis for denying petitioner's FOIL request, respondents may not rely on it now (*see Matter of Madeiros v New York State Educ. Dept.*, 30 NY3d 67, 74-75 [2017]).

ing machines and their interpretations of the votes, promoting access to evidence of inaccurate tabulation results, and ensuring that the public has a means of checking fraud by election officials—the very purpose that prompted the legislature to enact the predecessor of Election Law § 3-222 in the first instance.

The majority observes that the record contains an affidavit of a Commissioner of the New York State Board of Elections asserting that disclosure of electronic ballot images could “lead to unfettered mischief in the outcome of elections” (majority op at 61). Notably, that affidavit makes clear that the Commissioner’s views “do not represent an official position of the State Board of Elections.” Moreover, petitioner also proffered an affidavit of a (different) Commissioner of the New York State Board of Elections, wherein that Commissioner asserted that, consistent with an advisory opinion rendered by the Committee on Open Government (*see* Comm on Open Govt FOIL-AO-19107 [2014]), various counties have had a practice of releasing electronic ballot images upon request. According to this Commissioner, the purpose of Election Law § 3-222 (2) was merely “to preserve inviolate the chain of custody of voted paper ballots” and, “once the ballot images and cast vote records have been transferred to permanent storage media, there is no longer any reason to limit public access to copies of those electronic records, even though the original voted paper ballots must remain sealed for two years, unless there is a court order.”

As the legislature has declared, it “is incumbent upon the state and its localities to extend public accountability wherever and whenever feasible” (Public Officers Law § 84). “Confidence in the integrity of our electoral processes is essential to the functioning of our participatory democracy” (*Purcell v Gonzalez*, 549 US 1, 4 [2006]). The legislature may well have determined that confidence in the integrity of the election system is best promoted by permitting disclosure of the electronic ballot images, while concomitantly safeguarding the original paper ballots for audit and verification purposes. Indeed, the legislature may reasonably have concluded, for the reasons stated above, that a court order should be required to access the actual paper ballots in connection with an election challenge, but that such limited access was inadequate to satisfy the legislature’s intended scope of public disclosure under FOIL with respect to electronic ballot images, inasmuch as FOIL generally does not limit access to governmental rec-

ords based on the identity of the requester or the purpose for which the records are sought (*see Matter of Daily Gazette Co. v City of Schenectady*, 93 NY2d 145, 156 [1999]; *Burns*, 67 NY2d at 567).

Ultimately, if the legislature intended to exempt electronic ballot images from FOIL disclosure, such an intent could have been clearly evinced through either the statutory text or the legislative history of Election Law § 3-222 (2) (*see Burns*, 67 NY2d at 567; *Matter of M. Farbman & Sons*, 62 NY2d at 81). In the absence of any such proof of intent, we are empowered only to “‘read and give[] effect [to the relevant statutes] as . . . written by the [l]egislature, not as the court may think [they] should or would have been written if the [l]egislature had envisaged all the problems and complications which might arise’” (*People v Tychanski*, 78 NY2d 909, 911 [1991], quoting *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539, 548-549 [1983]). Insofar as the majority engages in its own weighing of policy considerations to draw conclusions unsupported by the language or legislative history of Election Law § 3-222 (2), I respectfully dissent.⁵

WILSON, J. (dissenting). The question debated by my colleagues is quite close; if I knew how the legislature intended to resolve the ballot access question raised here, I would, of course, vote that way. Preservation of the status quo, giving the legislature time to state a different intent if it wishes, counsels in favor of concluding, as the majority does, that the Election Law protects ballots and ballot images from disclosure pursuant to Freedom of Information Law (FOIL) requests for two years from the date of the election in which those ballots were cast.

However, I disagree with the majority’s result. As the majority repeatedly recognizes, the ballots (and their electronic images) are subject to confidentiality for two years only (majority op at 51, 56, 62 and 59 n 7). No Judge on this Court believes that the ballot images are confidential after the two-year period has passed. Likewise, the Essex County Board of Elections agrees that ballots and images thereof are not confidential once two years have passed. Indeed, no other conclusion would

5. I also find unavailing respondents’ argument that the proceeding was untimely inasmuch as petitioner commenced this proceeding within four months of the denial of her administrative appeal (*see CPLR 217 [1]; Public Officers Law § 89 [4] [b]*).

be possible, because the legislature has directed that after two years, the voted ballots “shall be destroyed . . . except that instead of being destroyed, they may be sold and the proceeds paid over in the manner provided with respect to the sale of books, records and papers pertaining to an election” (Election Law § 3-222 [3]). It would be impossible to sell voted ballots if they remained confidential.

The election at issue in this case took place on November 3, 2015, about 3.5 years ago. Ms. Kosmider submitted her FOIL request in December 2015, well before the two-year period of confidentiality had expired, but at a time when it was quite clear, under Election Law § 3-222 (3), that the confidentiality would expire on November 3, 2017. So what should have happened when Ms. Kosmider requested the ballot images from the Essex County Board of Elections? FOIL provides that an agency faced with a FOIL request must respond in one of the following ways, depending on the circumstances present:

“Each entity subject to the provisions of this article, within five business days of the receipt of a written request for a record reasonably described, shall [1] make such record available to the person requesting it, [2] deny such request in writing or [3] furnish a written acknowledgement of the receipt of such request and a statement of the approximate date, which shall be reasonable under the circumstances of the request, when such request will be granted or denied” (Public Officers Law § 89 [3] [a] [numbering added]).

Allowable responses 1 and 2 govern most disputes, because records are typically confidential or not. Here, however, the records are protected from disclosure for a limited, legislatively predetermined time only: two years. Neither 1 nor 2 is appropriate, but allowable response 3 plainly is. “FOIL is based on a presumption of access in accordance with the underlying ‘premise that the public is vested with an inherent right to know and that official secrecy is anathematic to our form of government’ ” (*Matter of Madeiros v New York State Educ. Dept.*, 30 NY3d 67, 73 [2017], quoting *Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]). “FOIL is to be liberally construed and its exemptions narrowly interpreted” (*Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d

246, 252 [1987]). Those principles, coupled with the statutory text, required the Essex County Board of Elections to follow the third course, by promptly informing Ms. Kosmider that it would provide the requested ballot images to her on or shortly after November 3, 2017.

Thus, accepting the majority's conclusion that the Election Law provides a two-year FOIL exemption for ballots and ballot images, the proper result here would be to affirm the order of the Appellate Division, albeit on different grounds. I note that, even under the majority's analysis, Ms. Kosmider can now obtain the very same ballot images she has been seeking all along if she refiles her request today. Setting up meaningless procedural hurdles that have the potential to deprive the public of information about the operation of their government (e.g., because a person interested in obtaining ballot images, now disabled from filing a FOIL request right after an election, fails to do so on the date exactly two years after the election, and finds that the ballots were destroyed on the stroke of midnight) does not comport with the letter or spirit of FOIL. Of course, nothing in the majority's opinion prevents a board of elections from responding to an immediate request for ballot images by agreeing to provide those images upon expiration of the two-year period. One hopes that responsible boards of elections would do so.

The majority complains in a footnote that I am seeking to resolve the case "based on subsequent events" and on a ground not advanced by Ms. Kosmider (majority op at 53 n 2). That complaint warrants two responses, one simple, one complex.

The simple response is this: I do not suggest that the case should be determined by circumstances that did not exist at the time Ms. Kosmider made her request. When she made her request, New York law provided that the ballot images would have no confidentiality whatsoever two years from the date of the election. No one disputes that—not the majority, not my colleagues in dissent, and not the parties. At the moment Ms. Kosmider made her request, the legally required response under FOIL was to advise her of the approximate date on which the ballot images would be turned over to her.

The more complex response is that the majority's footnote evidences a misunderstanding of the role of our Court. When a

legal issue is raised in a case before us, our role is to state clearly what New York law is, so that persons relying on or subject to our laws will know what they mean. To begin, it is important to distinguish between issues that are raised and arguments that are raised, because the two are crucially different:

“In our review we are confined to the *questions* raised or argued at the trial but not to the arguments there presented. ‘Nor is it material whether the case was well presented to the court below, in the arguments addressed to it. It was the duty of the judges to ascertain and declare the whole law upon the undisputed facts spread before them; and it is our duty now to give such judgment as they ought to have given.’” (*Persky v Bank of Am. N.A.*, 261 NY 212, 218 [1933], citing *Oneida Bank v Ontario Bank*, 21 NY 490, 504 [1860].)

That rule makes complete sense. Why would we construct a legal system in which the state’s highest court, in determining the law, must be confined to whatever arguments the parties have made, to choose from the least bad among them, however misguided they might be?

Here, the legal issue raised is: what response is required to a FOIL request made for access to ballot images when the request is made shortly after an election? That is a pure question of statutory interpretation, in which our responsibility is to reconcile the Freedom of Information Law and the Election Law. When the issue “raises solely a question of statutory interpretation, however, . . . we may address [it] even though it was not presented below” (*Matter of Richardson v Fiedler Roofing*, 67 NY2d 246, 250 [1986]). Of course, if the outcome would depend on facts that have not yet been determined by the lower courts, we would not reach the issue. Thus: “a new argument may be raised for the first time in the Court of Appeals if it could not have been obviated or cured by factual showings or legal countersteps in the court of first instance” (*Matter of Rivera v Smith*, 63 NY2d 501, 516 n 5 [1984], citing *American Sugar Ref. Co. of N.Y. v Waterfront Comm’n. of N.Y. Harbor*, 55 NY2d 11, 25 [1982], *appeal dismissed sub nom. New York Shipping Assn. v Waterfront Comm’n of N. Y. Harbor*, 458 US 1101 [1982]; *Telaro v Telaro*, 25 NY2d 433, 439 [1969]; Arthur

Karger, Powers of the New York Court of Appeals §§ 17:1-17:3 [3d ed rev 2005]).*

Here, the facts are undisputed, and the legal question is pure: what response was the Essex County Board of Elections legally required to give Ms. Kosmider under FOIL? Assume, hypothetically, that the majority agrees with me that the Essex County Board of Elections was legally required under FOIL to advise her that the ballot images would be delivered to her two years after the election. In my view, the majority has both the power and responsibility to say so. The majority's refusal to do so, if it is on the ground that the parties missed the correct answer, would be an abdication of our responsibility.

Perhaps the majority's unspoken concern is that it would be unfair to the parties to decide an issue on a rationale the parties did not think of and have not had a chance to argue, or that, in deciding on a ground the parties have not briefed or argued, the Court may be missing something that would alter our decision. In some cases, those concerns are plainly legitimate. Other appellate courts, including the United States Supreme Court, regularly address them in a time-honored way, by asking for supplemental briefs on the question, either before or after argument, or by scheduling reargument once the new rationale has been identified.

At a minimum, if it appears to the Court that there is a material rationale, missed by the parties, that might alter the decision (or, more importantly, the perception of the rule that emanates from the decision), we should make certain to identify it as one we are not reaching, so that the sweep of the opinion is not mistaken by those who rely on our decisions, and so that future litigants can test that rationale should it matter to them. Without someone—here, me—flagging an argument that the parties have missed, persons seeking access to ballot images might conclude they could not seek them, or perhaps could not request them under FOIL until two years had elapsed, at which moment the ballots could lawfully be destroyed. I am not so foolish to think that a “lone dissent” constitutes the law, nor foolish enough to believe it is purposeless.

For these reasons, I respectfully dissent.

* A different set of considerations, not relevant here, prevents us from reaching errors that could have been corrected if they had been raised in the court of instance (see e.g. *People v Alfaro*, 66 NY2d 985 [1985]).

Judges FAHEY, GARCIA and FEINMAN concur; Judge STEIN dissents and votes to affirm in an opinion in which Judge RIVERA concurs; Judge WILSON dissents in a separate opinion.

Order reversed, with costs, and petition dismissed in its entirety.

[132 NE3d 624, 108 NYS3d 431]

JOHN KUZMICH et al., Appellants, v 50 MURRAY STREET ACQUISITION LLC, Respondent.

WILLIAM T. WEST et al., Appellants, v B.C.R.E.-90 WEST STREET, LLC, Respondent, et al., Defendant.

Argued June 4, 2019; decided June 25, 2019

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 18, 2018. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Carol R. Edmead, J.; op 2017 NY Slip Op 31416[U] [2017]), which had (a) denied defendant's motion for summary judgment; (b) granted plaintiffs' cross motion for partial summary judgment; (c) declared that plaintiffs' apartments are subject to rent stabilization; and (d) ordered that a special referee be designated to hear and determine the amount of overcharges and the amount of attorneys' fees and costs incurred by plaintiffs in litigating this action; (2) denied plaintiffs' cross motion; (3) granted defendant's motion for summary judgment to the extent of declaring that plaintiffs' apartments were properly deregulated and are not subject to rent stabilization; (4) vacated the orders regarding the special referee; and (5) remanded the matter for further proceedings. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as reversed by this Court, properly made?"

APPEAL, in the second above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 17, 2018. The Appellate Division (1) reversed, on the law, an amended order of the Supreme Court, New York County (Robert R. Reed, J.; 65 Misc 3d 349 [2018]), which, insofar as appealed from, had (a) denied defendant B.C.R.E.-90 West Street, LLC's motion for summary judgment declaring that plaintiffs' apartments are deregulated and not subject to rent stabilization; and (b) granted plaintiffs' cross motion for summary judgment declaring that plaintiffs' leases are subject to rent stabilization, and so declared; and (2) declared that plaintiffs' apartments were properly deregulated. The following question

was certified by the Appellate Division: “Was the amended order of this Court, which reversed the order of Supreme Court, properly made?”

Kuzmich v 50 Murray St. Acquisition LLC, 157 AD3d 556, reversed.

West v B.C.R.E.-90 W. St., LLC, 161 AD3d 566, reversed.

HEADNOTE

Landlord and Tenant — Rent Regulation — Luxury Vacancy Decontrol — RPTL 421-g Building Not Subject to Decontrol Provisions

Apartments in buildings receiving tax benefits pursuant to RPTL 421-g are not subject to the luxury deregulation provisions of the Rent Stabilization Law (Administrative Code of City of NY § 26-504.1). During “the entire period for which the eligible multiple dwelling is receiving” RPTL 421-g benefits, it “shall be fully subject to control” under the Rent Stabilization Law, “[n]otwithstanding the provisions of” that regime or any other “local law” that would remove those dwelling units from such control, “unless exempt under such local law from control by reason of the cooperative or condominium status of the dwelling unit” (RPTL 421-g [6]). That language evinces the legislature’s intent that any “local law for the stabilization of rents” that would exempt the unit from “control under such local law” does not apply to buildings receiving RPTL 421-g benefits, with the sole exception being for cooperatives and condominiums (RPTL 421-g [6]).

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Landlord and Tenant §§ 876–880; AM JUR 2d State and Local Taxation §§ 104, 258, 650.

CARMODY-WAIT 2d Proceeding Against a Body or Officer § 145:964.

DOLAN, RASCH’S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (5th ed) §§ 2:39–2:40, 11:9, 41:33.

McKINNEY’S, RPTL 421-g (6).

NY JUR 2d Landlord and Tenant §§ 452, 607, 662; NY JUR 2d Taxation and Assessment §§ 212–213, 222.

ANNOTATION REFERENCE

See ALR Index under Apartments and Apartment Houses; Landlord and Tenant; Rent; Rent Control; Taxes.

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POINTS OF COUNSEL

Friedman Kaplan Seiler & Adelman LLP, New York City (Robert S. Smith of counsel), and *Himmelstein, McConnell, Gribben, Donoghue & Joseph LLP*, New York City, for appellants in the first above-entitled action. I. RPTL 421-g (6) prohibits the application of high-rent decontrol to buildings benefitted by RPTL 421-g. (*People v Mitchell*, 15 NY3d 93; *Matter of State of New York v John S.*, 23 NY3d 326; *Local Govt. Assistance Corp. v Sales Tax Asset Receivable Corp.*, 2 NY3d 524; *Land v County of Ulster*, 84 NY2d 613; *Schampier v Office of Gen. Servs. of State of N.Y.*, 73 AD2d 1011, 52 NY2d 746; 390 W. End Assoc. v Harel, 298 AD2d 11; 200-218 Soundview Realty Corp. v Sherlock, 171 Misc 2d 98; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Exxon Mobil Corp. v Allapattah Services, Inc.*, 545 US 546; *Conroy v Aniskoff*, 507 US 511.) II. Even if the apartments at issue were subject to high-rent decontrol, the landlord has failed to follow the procedures required to deregulate them. (111 on 11 Realty Corp. v Norton, 189 Misc 2d 389; *Matter of Park v New York State Div. of Hous. & Community Renewal*, 150 AD3d 105; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270.)

Holwell Shuster & Goldberg LLP, New York City (James M. McGuire and Gregory Dubinsky of counsel), *Latham & Watkins LLP*, New York City (Jonathan Lippman of counsel) and Washington, D.C. (Michael E. Bern of the District of Columbia bar, admitted pro hac vice, of counsel), and *Belkin Burden Wenig & Goldman, LLP*, New York City (Sherwin Belkin and Magda L. Cruz of counsel), for respondent in the first above-entitled action. I. There is no basis in RPTL 421-g or 421-a or Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-504.2 to exempt RPTL 421-g dwelling units from luxury deregulation. (*People v Giordano*, 87 NY2d 441; *Yaniveth R. v LTD Realty Co.*, 27 NY3d 186; *Crosby v Hucko*, 189 Misc 2d 641; *Matter of Aaron J.*, 80 NY2d 402; *Yatauro v Mangano*, 17 NY3d 420; *People v Wallace*, 31 NY3d 503; *K mart Corp. v Cartier, Inc.*, 486 US 281; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Walker v Town of Hempstead*, 84 NY2d 360; *TRW Inc. v Andrews*, 534 US 19.) II. Legislative history and long-standing agency interpretation confirm that luxury deregulation applies to RPTL 421-g dwelling units. (*Riley v County of Broome*, 95 NY2d 455; *New York State Bankers Assn. v Albright*, 38 NY2d 430; *Altman v 285 W. Fourth LLC*, 31 NY3d 178; *People v Santi*, 3 NY3d 234; *Fasa Props. v Freidus*,

103 AD2d 729; *Durst v United States*, 434 US 542; *United States v Vogel Fertilizer Co.*, 455 US 16; *Lindahl v Office of Personnel Management*, 470 US 768; *Moore v District of Columbia*, 907 F2d 165; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577.) III. Plaintiffs fail to manufacture an additional procedural barrier to the application of luxury deregulation. (*Matter of Park v New York State Div. of Hous. & Community Renewal*, 150 AD3d 105; *People v Easton*, 307 NY 336.)

Collins, Dobkin & Miller, LLP, New York City (Seth A. Miller of counsel), for Metropolitan Council on Housing, amicus curiae in the first above-entitled action. RPTL 421-g (6) subjects every unit to rent stabilization throughout the benefit period. (*Pultz v Economakis*, 10 NY3d 542; *Eaton v New York City Conciliation & Appeals Bd.*, 56 NY2d 340; *Matter of Ciampa N. Co. v New York State Div. of Hous. & Community Renewal*, 157 Misc 2d 183; *Giannattasio v Cialini*, 165 Misc 2d 249; *Fasa Props. v Freidus*, 103 AD2d 729; *Feder v Caliguira*, 8 NY2d 400; *American Smelting & Refining Co. v Stettenheim*, 177 App Div 392; *La Guardia v Cavanaugh*, 53 NY2d 67; *Pape v Doar*, 160 AD2d 213; *Long v State of New York*, 7 NY3d 269.)

Rosenberg & Estis, P.C., New York City (Alexander Lycouan-*nis*, Luise A. Barrack and Nicholas Kamillatos of counsel), for The Real Estate Board of New York, amicus curiae in the first above-entitled action. I. Apartments meeting the unambiguous requirements of Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-504.2 qualify for high-rent deregulation. (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Avella v City of New York*, 29 NY3d 425; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Matter of Rueda v Charmaine D.*, 76 AD3d 443, 17 NY3d 522; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Matter of Avella v City of New York*, 29 NY3d 425; *Matter of 241 E. 22nd St. Corp. v City Rent Agency*, 33 NY2d 134; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55.) II. The Appellate Division order furthers the legislature's intent and confirms the long-established understanding that high-rent deregulation applies to RPTL 421-g buildings. (*Matter of Town of New Castle v Kaufmann*, 72 NY2d 684; *Taylor v 72A Realty Assoc., L.P.*, 151 AD3d 95; *Matter of Boyd v New York State*

Div. of Hous. & Community Renewal, 23 NY3d 999; *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.*, 15 NY3d 358; *Matter of Regina Metro. Co., LLC v New York State Div. of Hous. & Community Renewal*, 164 AD3d 420; *Noto v Bedford Apts. Co.*, 21 AD3d 762.)

Friedman Kaplan Seiler & Adelman LLP, New York City (Robert S. Smith, Christopher M. Colorado and Anil K. Vasanji of counsel), and *Himmelstein, McConnell, Gribben, Donoghue & Joseph LLP*, New York City (Serge Joseph of counsel), for appellants in the second above-entitled action. I. RPTL 421-g prohibits the application of high-rent decontrol to buildings benefitted by the tax exemption under RPTL 421-g. II. Private Housing Finance Law § 654-d also prohibits the application of high-rent decontrol to buildings benefitted by a state issued mortgage loan. (*People v Mitchell*, 15 NY3d 93; *Matter of State of New York v John S.*, 23 NY3d 326; *Local Govt. Assistance Corp. v Sales Tax Asset Receivable Corp.*, 2 NY3d 524; *Land v County of Ulster*, 84 NY2d 613.) III. Even if the apartments at issue were subject to high-rent decontrol, the landlord has failed to follow procedures required to deregulate them.

Belkin Burden Wenig & Goldman, LLP, New York City (Magda L. Cruz, Sherwin Belkin, Joseph Burden and William Baney of counsel), for respondent in the second above-entitled action. I. High rent/vacancy deregulation is not barred for Lower Manhattan buildings receiving RPTL 421-g tax benefits. (*Misicki v Caradonna*, 12 NY3d 511; *Matter of 381 Search Warrants Directed to Facebook, Inc. [New York County Dist. Attorney's Off.]*, 29 NY3d 231; *Miraglia v H & L Holding Corp.*, 67 AD3d 513; *Lawrence v Graubard Miller*, 48 AD3d 1; *Domaszowec v Residential Mgt. Group LLC*, 135 AD3d 572; *State Farm Fire & Cas. Co. v LiMauro*, 103 AD2d 514; *Matter of Zimmerman v Planning Bd. of Town of Schodack*, 294 AD2d 776; *Hewlett Assoc. v City of New York*, 57 NY2d 356; *People v Giordano*, 87 NY2d 441; *Yaniveth R. v LTD Realty Co.*, 27 NY3d 186.) II. Private Housing Finance Law § 654-d (18) does not exclude luxury deregulation. (*Matter of Orens v Novello*, 99 NY2d 180; *Wilson v One Ten Duane St. Realty Co.*, 123 AD2d 198.)

OPINION OF THE COURT

STEIN, J.

The question presented on these appeals is whether plaintiffs' apartments, which are located in buildings receiving tax benefits pursuant to Real Property Tax Law § 421-g, are subject to the luxury deregulation provisions of the Rent Stabilization Law (RSL) (*see generally* Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-504.1). We conclude that they are not and, therefore, reverse.

I.

In each of these cases, plaintiffs are individual tenants of rented apartments located in Lower Manhattan, which are owned by defendants, 50 Murray Street Acquisition LLC or B.C.R.E.-90 West Street, LLC.¹ Defendants have received certain tax benefits pursuant to section 421-g of the RPTL in connection with the conversion of their buildings from office space to residential use. In these actions, plaintiffs seek, among other things, a declaration that their apartments are subject to rent stabilization. Plaintiffs allege that defendants failed to treat the apartments as rent-stabilized even though the receipt of benefits under RPTL 421-g is expressly conditioned upon the regulation of rents in the subject buildings. Defendants maintain that plaintiffs' apartments are exempt from rent regulation under the luxury deregulation provisions added to the RSL as part of the Rent Regulation Reform Act of 1993.²

Supreme Court, in separate orders penned by two different Justices, denied defendants' motions for summary judgment and granted plaintiffs' cross motions declaring that the apartments are subject to rent stabilization (*Kuzmich v 50 Murray St. Acquisition LLC*, 2017 NY Slip Op 31416[U] [Sup Ct, NY County 2017]; *West v B.C.R.E.-90 W. St., LLC*, 65 Misc 3d 349 [Sup Ct, NY County 2018]). Both Justices reasoned that RPTL 421-g (6) unambiguously states that, with only one express exception not applicable here, any provisions of the RSL that limit the applicability of rent stabilization—including the luxury deregulation provisions—do not apply to buildings receiving section 421-g tax benefits.

The Appellate Division separately reversed both orders and granted defendants' motions for summary judgment to the

1. For ease of discussion, we refer to plaintiffs and defendants in each of these cases collectively.

2. The luxury deregulation provisions permit the elimination of rent stabilization protections for certain high-rent housing accommodations upon vacancy or occupation by a high-income household when the rent has lawfully exceeded the statutory threshold (*see* RSL § 26-504.1 *et seq.*).

extent of declaring that plaintiffs' apartments were properly deregulated and are not subject to rent stabilization (157 AD3d 556 [1st Dept 2018]; 161 AD3d 566 [1st Dept 2018]). The Appellate Division held that the luxury deregulation provisions of the RSL apply to apartments in buildings receiving tax benefits under RPTL 421-g because, in the Court's view, section 421-g did "not create another exemption" to luxury deregulation (157 AD3d at 556). The Court noted that, under its holding that "421-g buildings are subject to luxury . . . decontrol, . . . most, if not all, apartments in buildings receiving 421-g benefits would, in fact, never be rent-stabilized, because the initial monthly rents of virtually all such apartments were set, as here, at or above the deregulation threshold" (157 AD3d at 557). Although the Court acknowledged that "courts should construe statutes to avoid objectionable, unreasonable or absurd consequences," it nevertheless concluded that the legislature intended for RPTL 421-g (6) to essentially nullify itself (*id.* [internal quotation marks and citation omitted]).

The Appellate Division granted plaintiffs leave to appeal to this Court, certifying the question of whether the orders of reversal were properly made.

II.

Plaintiffs argue that the plain language of RPTL 421-g (6) makes clear that any provisions of the RSL that would otherwise operate to exempt apartments from rent regulation, apart from those provisions exempting cooperatives and condominiums, do not apply to buildings receiving section 421-g tax benefits. Under plaintiffs' reading of the statute, luxury deregulation does not apply to apartments in such buildings during the time period in which section 421-g tax benefits are extended. For their part, defendants maintain that section 421-g renders the relevant dwelling units subject to the entire scheme of the RSL, including the luxury deregulation provisions which do not include a carve-out for buildings receiving section 421-g benefits.

In 1995, the legislature enacted section 421-g of the RPTL as part of a broad effort to revitalize Lower Manhattan by providing financial incentives to convert commercial office buildings to residential and mixed-use buildings (*see* L 1995, ch 4). To that end, the statute provides real property tax exemption and abatement benefits when a nonresidential building is converted to residential use. RPTL 421-g (6) states, in pertinent part that,

“[n]otwithstanding the provisions of any local law for the stabilization of rents in multiple dwellings or the emergency tenant protection act of [1974], the rents of each dwelling unit in an eligible multiple dwelling shall be fully subject to control under such local law, unless exempt under such local law from control by reason of the cooperative or condominium status of the dwelling unit, for the entire period for which the eligible multiple dwelling is receiving benefits pursuant to this section.”³

That subdivision further directs that, after section 421-g benefits terminate,

“such rents shall continue to be subject to such control, except that such rents that would not have been subject to such control but for this subdivision, shall be decontrolled if the landlord has included in each lease and renewal thereof for such unit for the tenant in residence at the time of such decontrol a notice in at least twelve point type informing such tenant that the unit shall become subject to such decontrol upon the expiration of benefits pursuant to this section” (RPTL 421-g [6]).

“[W]hen presented with a question of statutory interpretation, our primary consideration is to ascertain and give effect to the intention of the [l]egislature” (*Samiento v World Yacht Inc.*, 10 NY3d 70, 77-78 [2008], quoting *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). Inasmuch as “the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]; see *Matter of Avella v City of New York*, 29 NY3d 425, 434 [2017]). As we have repeatedly explained, “courts should construe unambiguous language to give effect to its plain meaning” (*Matter of DaimlerChrysler Corp.*, 7 NY3d at 660). “Absent ambiguity the courts may not resort to rules of construction to [alter] the scope and application of a statute” because no such rule “gives the court discretion to declare the intent of the law when the words are unequivocal” (*Bender v Jamaica Hosp.*, 40 NY2d 560, 562 [1976]; see also McKinney’s

3. We hereinafter refer to the first clause of this sentence as the “notwithstanding clause.”

Cons Laws of NY, Statutes § 94, Comment [(t)he (l)egislature is presumed to mean what it says”)].⁴

The legislature’s intention, as reflected in the language of the statute at issue here, is clear and inescapable. During “the entire period for which the eligible multiple dwelling is receiving” RPTL 421-g benefits, it “shall be fully subject to *control*” under the RSL, “[n]otwithstanding the provisions of” that regime or any other “local law” that would remove those dwelling units from such control, “unless exempt under such local law from control by reason of the cooperative or condominium status of the dwelling unit” (RPTL 421-g [6] [emphasis added]).⁵ The statute does not say that eligible units shall be fully subject to “*the provisions of*” any local law for the stabilization of rents. Put differently, the notwithstanding clause of the statute evinces the legislature’s intent that any “local law for the stabilization of rents” that would exempt the unit from “control under such local law” does not apply to buildings receiving RPTL 421-g benefits, with the sole exception being for cooperatives and condominiums (*see People v Mitchell*, 15 NY3d 93, 97 [2010] [describing a notwithstanding clause as “the verbal formulation frequently employed for legislative directives intended to preempt any other potentially conflicting statute”])).

Defendants’ contention, adopted by the dissent, that the notwithstanding clause was intended to import into RPTL 421-g (6) the entire RSL, including those provisions that would remove the units from control, cannot be squared with the statutory language. Indeed, if accepted, defendants’ proffered construction would simultaneously render superfluous both the

4. When, as here, the “question is one of pure statutory reading and analysis, dependent only upon accurate apprehension of legislative intent, we need not and do not defer to [an] agency in construing [a] statute” (*Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal*, 75 NY2d 206, 214 [1989] [internal quotation marks and citation omitted]). Thus, we decline to defer to a private advisory letter issued by the New York State Division of Housing and Community Renewal that defendants advance in support of their proffered reading. Nor do we defer to the regulations promulgated by the New York City Department of Housing Preservation and Development upon which defendants rely (*see* 28 RCNY 32-02, 32-05 [a]), which add an exception for luxury deregulation that is not found in section 421-g (*see Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 285 [2009]; *compare* New York State Department of Taxation and Finance, Assessor’s Manual, Exemption Administration, [listing only one exception for cooperatives and condominiums consistent with the language of the statute]).

5. Contrary to the dissent’s assertion, the word “control,” as used in this context, does not somehow encompass the antithetical concept of decontrol or, put differently, the absence of regulation (*see* dissenting op at 100).

entire notwithstanding clause and the exception for cooperatives and condominiums. We reject defendants' suggestion that we read those provisions out of the statute (*see Matter of Mestecky v City of New York*, 30 NY3d 239, 243 [2017] ["meaning and effect should be given to every word of a statute and . . . an interpretation that renders words or clauses superfluous should be rejected" (internal quotation marks and citation omitted)]). If the legislature intended to import the deregulation provisions of the RSL, it easily could have so stated (*see Majewski*, 91 NY2d at 583).

Moreover, defendants' reading of the statute fails to give effect to the language in RPTL 421-g (6) that provides a mechanism for a landlord to "decontrol" units that "would not have been subject to such control but for [that] subdivision," after section 421-g benefits have terminated. That language clearly contemplates the suspension of decontrol provisions during the benefit period, further reaffirming what is unmistakably conveyed in the notwithstanding clause. If defendants were correct that such units were already subject to decontrol under the RSL during the receipt of RPTL 421-g benefits, there would be no need to provide a mechanism to preserve the ability to implement decontrol after those benefits terminate. Defendants and the dissent also fail to reconcile how, under their reading of the statute, some of the statutory exemptions from rent stabilization apply—such as those that exempt buildings renovated after 1974 (*see* RSL § 26-504 [a] [1])—whereas others, including luxury deregulation, do not.⁶

We further reject the reliance by defendants and the dissent on the luxury deregulation provisions themselves. Defendants and the dissent emphasize that, when the legislature enacted the luxury deregulation provisions in the RSL, it enumerated certain exceptions to such deregulation, including for buildings receiving benefits under RPTL 421-a and 489—both statutes with similar language to that included in section 421-g—yet, when the legislature enacted section 421-g two years later, it did not insert an additional exception in RSL § 26-504.2. Invok-

6. Defendants contend that plaintiffs' interpretation of RPTL 421-g would sweep away too much, including section 2524.4 (c) of the Rent Stabilization Code (9 NYCRR), which provides that rent stabilization does not apply to a housing accommodation that is not occupied as a "primary residence." However, as plaintiffs point out, that regulation provides grounds for an owner to evict a tenant who does not satisfy the primary residency requirement; it does not provide a mechanism for changing the status of a rent-stabilized apartment.

ing the canon of statutory construction that enumerated exceptions are generally considered exclusive, they contend that the legislature’s decision not to add section 421-g to the list of exceptions to luxury deregulation in the RSL is dispositive. We disagree.

RSL § 26-504.2 (a) provides that the high rent accommodations exclusion “shall not apply to housing accommodations which became or become subject to this law (a) by virtue of receiving tax benefits pursuant to [RPTL 421-a] or [489] . . . or (b) by virtue of article seven-C of the multiple dwelling law [the 1982 Loft Law].” Significantly, however, each of those programs was already in place when the RSL was amended to add the luxury deregulation provisions. Section 421-g, on the other hand, was enacted after RSL § 26-504.2 and, by its clear terms, unquestionably subjects apartments in buildings receiving section 421-g tax benefits to rent stabilization under the RSL regardless of any contrary provisions of the RSL that would otherwise result in deregulation. Because section 421-g itself excepted from luxury deregulation buildings receiving its benefits, the legislature did not also need to amend the RSL. The language of RPTL 421-g (6) made the legislature’s intent clear. We decline defendants’ invitation to construe the legislature’s silence in one statutory scheme to override its clear intent, as plainly expressed, in another (*see Matter of New York State Assn. of Life Underwriters v New York State Banking Dept.*, 83 NY2d 353, 363 [1994] [(i)t is settled that inaction by the (l)egislature is inconclusive in determining legislative intent”]; *People v Ocasio*, 28 NY3d 178, 183 n 2 [2016] [“such inaction is susceptible to varying interpretations”]).

The statutory language unambiguously establishes the legislature’s intent in this case, and the legislative history is not to the contrary. In that regard, we reject the attempt by defendants and the dissent to acontextually use legislative history to “muddy clear statutory language” (*Milner v Department of Navy*, 562 US 562, 572 [2011]; *see Wallace v New York*, 40 F Supp 3d 278, 314 n 34 [ED NY 2014] [“the isolated statements of . . . individual legislators—and, more so, non-legislators—contained within the legislative history cannot establish legislative intent” (internal quotation marks omitted)]; *see also Exxon Mobil Corp. v Allapattah Services, Inc.*, 545 US 546, 569 [2005]; *Doe v Pataki*, 120 F3d 1263, 1277 [2d Cir 1997], *cert denied* 522 US 1122 [1998]). The letter from the Mayor to the

Senate Majority Leader that is relied upon by the dissent begins by stating, “you asked that the legislation [which had already passed in the Assembly] be amended to ensure that any residential units created as a result of the legislation are subject to the most current Rent Stabilization Laws of the State [i.e., luxury decontrol]” (Letter from Rudolph W. Giuliani to Joseph Bruno, Aug. 16, 1995, Bill Jacket, L 1995, ch 4 at 51). However, the language of the bill—which the Senator apparently found objectionable—was never amended and the Mayor’s letter does not serve to alter the language of the statute. Moreover, as the dissent acknowledges, other aspects of the legislative history can be read to demonstrate a contrary intention, including a memorandum in support of the bill from the Mayor’s Director of State Legislative Affairs that predated the bill’s passage in the Assembly (City of NY Office of Mayor Mem in Support, Bill Jacket, L 1995, ch 4 at 45, 1995 NY Legis Ann at 44). Additionally, contrary to defendants’ argument, embraced by the dissent, the broad statutory purpose underlying section 421-g—to revitalize Lower Manhattan—is not inconsistent with the stabilization of rents, which was plainly contemplated under the subdivision that we are called upon to interpret in these appeals. The goals of revitalization and increasing affordable housing stock are not mutually exclusive, and the language of subdivision (6) confirms that the legislature intended to further both aims when enacting section 421-g. Vague claims of contrary “government assurances” allegedly relied upon by developers receiving generous tax benefits (dissenting op at 99) simply do not serve to alter the statutory text.

For all of these reasons, we conclude that apartments in buildings receiving tax benefits pursuant to RPTL 421-g are *not* subject to luxury deregulation. Plaintiffs’ remaining contentions are rendered academic.

Accordingly, in *Kuzmich v 50 Murray St. Acquisition LLC*, the order of the Appellate Division should be reversed, with costs, defendant 50 Murray Street Acquisition LLC’s motion for summary judgment denied, plaintiffs’ motion for partial summary judgment seeking a declaration in their favor granted, the case remitted to Supreme Court for further proceedings in accordance with this opinion, and the certified question answered in the negative. In *West v B.C.R.E.-90 W. St., LLC* the order of the Appellate Division should be reversed, with costs, defendant B.C.R.E. 90-West Street, LLC’s motion for summary judgment denied, plaintiffs’ motion insofar as it

sought summary judgment seeking a declaration in their favor granted, the case remitted to Supreme Court for further proceedings in accordance with this opinion, and the certified question answered in the negative.

Chief Judge DiFiore (dissenting). Rent stabilization is a critical government initiative designed to foster socioeconomic diversity and make New York City affordable for non-wealthy families. There is no dispute in this case that “rent stabilization” applies to buildings receiving Real Property Tax Law § 421-g benefits. Although the Rent Stabilization Law was recently amended, during the time period relevant to these appeals an owner’s ability to collect a market-based rent on luxury apartments leased to tenants with the means to afford them was an integral component of the rent stabilization scheme pursuant to the 1993 Rent Regulation Reform Act (RRRA). The question presented here is whether, when it adopted the Lower Manhattan Revitalization Plan (LMRP) in 1995, the legislature intended to subject section 421-g buildings to an enhanced form of rent stabilization that precluded application of luxury decontrol to individual apartments. The legislature determined that luxury decontrol was unavailable only with respect to three classes of buildings expressly identified by statute but not section 421-g buildings. Nevertheless—based on a purported plain text analysis of language that makes no mention of luxury decontrol—the majority retroactively confers this heightened form of rent stabilization on buildings receiving RPTL 421-g tax benefits. Because I agree with the unanimous decisions of the Appellate Division that this approach misinterprets the statutory text, disregarding the broader regulatory scheme and legislative purpose of the relevant statutes, I respectfully dissent.

The majority glosses over the context in which the New York City government spearheaded the comprehensive legislation containing RPTL 421-g, despite its prominence in the legislative history. Unlike today, in the early 1990s Lower Manhattan was a depressed area. Businesses were fleeing at “an alarming rate” due in part to high taxes, economic development packages offered by neighboring regions, and the “antiquated” nature of Wall Street office space (Governor’s Approval Mem, Bill Jacket, L 1995, ch 4 at 5-6, 1995 NY Legis Ann at 46-47). Aging skyscrapers increasingly stood empty—vacancy was at a post-World War II high, tax assessment values were “in a downward spiral,” and decreasing tax revenues were causing

multi-million-dollar losses for the City (City of NY Office of Mayor Mem in Support, Bill Jacket, L 1995, ch 4 at 44-46, 1995 NY Legis Ann at 43-46). The city government determined that Lower Manhattan “demand[ed] . . . special attention,” as worsening of this “deterioration” would “have damaging impacts on the economic well-being of the entire City” (*id.*). In response to this crisis, the Mayor of New York City supervised the crafting of the Lower Manhattan Revitalization Plan, a multi-faceted benefits package designed to entice businesses and the real estate industry to reinvest in Downtown and thus “reverse the decline in [its] economy” (*id.*). More specifically, it “addresse[d] the twin problems” manifested by the downturn—“an aging commercial building stock . . . and a high vacancy rate in those buildings” (*id.*). The drafters “carefully formulated” a set of tax benefits to implement two overarching strategies: “to stem the flow of businesses out of Manhattan . . . and to encourage alternative uses for obsolete commercial office buildings” (*id.*).

To achieve the first of these strategies, the plan sought to “stimulate office and retail leasing activity” in Lower Manhattan by “provid[ing] significantly lower occupancy costs for commercial tenants” in the form of commercial rent tax reductions, electricity cost rebates for commercial tenants, and a real property tax abatement for buildings that executed new commercial leases (*id.*). By reducing occupancy costs, the City intended to “place [the neighborhood] in an excellent position to retain existing businesses and attract new ones,” which it believed would, in turn, result in “retention of thousands of jobs and heightened economic activity” (*id.*).

To achieve the other major goal of the legislation—finding alternative uses for obsolete office towers—the plan encouraged the conversion of vacant commercial buildings to residential use (*id.*). The conversions were intended to “decrease the commercial vacancy rate” and “help create a 24-hour community, spurring the development of retail and entertainment uses that will be a new source of revenue for the City” (*id.*). To incentivize the developers in the private sector to make “major investments” in Lower Manhattan’s building stock, the plan included two tax benefit programs. First, the program at issue here—enacted at RPTL 421-g—granted a 12-year property tax exemption and 14-year property tax abatement for commercial buildings converted to at least 75% residential use. Second, a 12-year property tax exemption was granted to buildings whose

configuration made them suitable only for mixed commercial and residential use. Importantly, the City indicated that buildings receiving benefits under both programs “would be subject to rent stabilization during the benefit period” (*id.*). The regulatory scheme for rent stabilization as it stood then—contained largely in the Rent Stabilization Law of 1969 (RSL)—prescribed detailed rules limiting the types of buildings covered and provided a system of government oversight regarding both the rents that may be charged during rent stabilization and circumstances in which apartments could be transitioned to market rents under luxury decontrol. The fact that “rent stabilization” encompassed the entire regime in existence at that time, including its luxury decontrol provisions adopted only two years before, was made clear when the LMRP legislation was before the legislature. The measure was adopted in 1995.

In reliance on this statute, the property owners here—respondents in these actions or their predecessors in interest—purchased the subject buildings and applied for RPTL 421-g benefits. In December 2002, the *West* respondent purchased 90 West Street, a historic and architecturally significant building whose exterior is a designated landmark. Fifteen months prior to the purchase, the building suffered extensive damage in the September 11, 2001 terrorist attacks. At 90 West Street, debris from the South Tower of the World Trade Center located 100 yards away ruined the copper mansard roof and ornamented granite façade, and a fire that burned inside the building for over a week destroyed eight of its 24 floors. To purchase and renovate the building, the owner secured a roughly \$100 million low-interest mortgage loan from the New York City Housing Development Corporation (HDC), a loan which it later refinanced. Before investing in the property, the new owner of 90 West Street received assurances from the New York City government that the entire rent stabilization regime—including its luxury decontrol provisions—would apply during the entire period that the owner received section 421-g benefits. An intensive renovation ensued, including the closely regulated repair of the historic exterior, which resulted in the creation of 410 new apartments from previously burned-out office space. One hundred forty of those apartments—roughly one third—were leased below the rent threshold at which luxury decontrol could be applied and were thus treated as rent-regulated.

The property owner in *Kuzmich* purchased the subject buildings—50 Murray Street and 53 Park Place—in 2014 for

\$540,000,000. By the time the current owner purchased the property, its predecessor had been receiving section 421-g tax benefits for 10 years based on the earlier conversion of the building to residential use. All of the apartments had been initially leased at rents over the luxury decontrol threshold and, thus, consistent with the RSL, the rents for these apartments were not restricted. Like the property owner in *West*, the owner in *Kuzmich* sought and received government assurances that the luxury decontrol provisions of the rent stabilization scheme were both applicable and carried over from the prior owner's non-rent-regulated treatment of those apartments.

Appellant tenants rented apartments in 90 West Street, 50 Murray Street, and 53 Park Place at market rents, a status that was reflected in leases stating that the apartments were not rent-stabilized. Based on the most recent lease renewals, the rents for the relevant apartments ranged from \$2,000 to \$5,300 per month for the 90 West Street building and from \$3,295 to \$10,295 per month for the Murray Street and Park Place properties.

Construing RPTL 421-g (6) and the Rent Stabilization Law of 1969, incorporated therein, I disagree with the majority's conclusion that the luxury decontrol provisions of the RSL were inapplicable to section 421-g buildings. We all agree that, by virtue of the property owners' receipt of tax benefits under RPTL 421-g, subdivision (6) of that statute conferred rent stabilization on the buildings—which otherwise would not have been subject to that regulatory scheme—while they received benefits. Subdivision (6) states, in relevant part,

“Notwithstanding the provisions of any local law for the stabilization of rents in multiple dwellings or the emergency tenant protection act of nineteen seventy-four [ETPA], the rents of each dwelling unit in an eligible multiple dwelling shall be fully subject to control under such local law, unless exempt under such local law from control by reason of the cooperative or condominium status of the dwelling unit, for the entire period for which the eligible multiple dwelling is receiving benefits pursuant to this section” (emphasis added).

In New York City, the primary “local law” governing rent stabilization is the Rent Stabilization Law. The prefatory

phrase “notwithstanding other provisions of law” is generally used by the legislature to preempt other conflicting statutes (see *People v Mitchell*, 15 NY3d 93, 97 [2010]). The only provisions of the RSL that would conflict with the imposition of that body of law to these newly renovated and converted buildings are the temporal limitations narrowing its reach to buildings completed or substantially rehabilitated between February 1, 1947 and January 1, 1974 (RSL [Administrative Code of City of NY] § 26-504; ETPA § 5 [a] [5] [McKinney’s Uncons Laws of NY § 8625 (a) (5) (L 1974, ch 576, sec 4, § 5, as amended)]).¹ On its face, therefore, subdivision (6) extends “full[] . . . control” under the RSL to the apartments in 421-g buildings for the duration that the owner receives the tax benefits by using the “notwithstanding” prefatory phrase to supersede the RSL’s temporal provisions.² Had the legislature omitted the “notwithstanding” clause, the bare incorporation of the Rent Stabilization Law would have had no practical effect because, by its terms, that law would not have reached LMRP buildings. The word “control” is defined as the “power or authority to guide or manage” or “the regulation of economic activity especially by government directive” (Merriam-Webster Online Dictionary, control [<https://www.merriam-webster.com/dictionary/control>]). This plain text provides that apartments in section 421-g buildings fall within the governing or regulating power of the RSL, i.e., that they are subject to the rent stabilization scheme. There is no language in section 421-g (6) indicating that the legislature intended to impose only a portion of the rent stabilization scheme—much less that it intended to exclude the critical luxury decontrol provisions in place at that time.

Passed as part of the 1993 RRRA, the luxury decontrol provisions in the RSL governing the tenancies at issue in these cases permitted deregulation of vacant apartments when rent reached a certain threshold (as relevant here, \$2,000 per month) and occupied apartments when both the rent and the tenants’ combined annual income exceeded certain threshold amounts (RSL §§ 26-504.1, 26-504.2, 26-504.3). The RSL contained provisions that specifically precluded the application

1. Rent control generally applies to units in buildings completed prior to February 1, 1947 in which the tenant has resided continuously since 1971 (Administrative Code § 26-403 [e] [2]).

2. The statute also supersedes contradictory provisions of the Emergency Tenant Protection Act, which, broadly speaking, authorized New York City to extend the RSL’s rent stabilization regime to additional buildings not encompassed by the original RSL. The RSL now incorporates the ETPA by reference (see RSL § 26-504 [b]).

of luxury decontrol to buildings “subject to [the RSL] (a) by virtue of receiving tax benefits pursuant to section [421-a] or [489] of the [RPTL] . . . , or (b) by virtue of article seven-C of the multiple dwelling law” (RSL §§ 26-504.1, 26-504.2 [a]).³ There was no similar exception for the RPTL 421-g program. None was added to the luxury decontrol provisions when the legislature enacted the RPTL 421-g program in 1995, two years after adopting luxury decontrol, nor had section 421-g buildings been exempted from luxury decontrol, despite subsequent amendments in 1997, 2000, 2003, 2011, and 2015. While we do not necessarily derive meaning from legislative “inaction,” we place considerable significance on what the legislature chooses to omit when it does act. Although the majority departs from this rule today, when a statute includes a list of exemptions we typically construe it as “evincing an intent to exclude any others not mentioned” (*Walker v Town of Hempstead*, 84 NY2d 360, 367 [1994]; *Jericho Water Dist. v One Call Users Council, Inc.*, 10 NY3d 385, 391 [2008] [“exceptions to generally applicable statutory provisions should be strictly construed”]). Thus, in light of the legislature’s clear exemption of three other categories of building from luxury decontrol, the decision not to include section 421-g buildings in that list reflects an intent that they be fully subject to the entirety of the rent stabilization regulatory scheme, including its decontrol provisions. Had the legislature intended to take the substantial policy step of exempting luxury decontrol, thereby imposing a specialized form of rent stabilization on section 421-g buildings, it could have—and would have—said so, as it did with respect to RPTL 421-a and 489 and Multiple Dwelling Law article 7-C buildings.

Notably, section 421-g (6) contains language substantively identical to the language in RPTL 421-a (2) (f)—and was obviously modeled after that provision.⁴ If, as the majority

3. RPTL 421-a provides tax benefits to owners that build new-construction, multi-unit residential buildings on vacant land in certain areas of the city. RPTL 489 governs the “J-51” tax exemption program for building owners that complete certain projects, such as major capital improvements; and article 7-C of the Multiple Dwelling Law protects residents of converted loft buildings.

4. Section 421-a (2) (f) provides:

“Notwithstanding the provisions of any local law for the stabilization of rents in multiple dwellings or the [ETPA], the rents of a unit shall be fully subject to control under such local

(n. cont’d)

contends, the “control” language common to both sections 421-a (2) (f) and 421-g (6) unambiguously excludes the application of the luxury decontrol provisions on eligible buildings, then why did the legislature expressly exempt RPTL 421-a buildings from luxury decontrol in a separate statute? The fact that the legislature considered it necessary to create a statutory exemption to luxury decontrol for section 421-a apartments demonstrates that it understood that, absent such exemption, the entirety of the RSL—including luxury decontrol—would apply to them. Its decision not to include section 421-g buildings in the exemption should be given that effect. But, today, the majority adopts a construction that either reads the essentially identical statements in sections 421-a and 421-g to mean two different things or renders the language specifically exempting section 421-a apartments from luxury decontrol superfluous. This strongly suggests that its purported plain language analysis misses the mark.

The majority asserts that the specific exemptions for RPTL 421-a and other buildings is a product of timing, i.e., that they reflect legislative concern that the provisions conferring rent stabilization on those buildings would fail to preclude luxury decontrol—not because of their language—but merely because they were enacted before luxury decontrol existed. But, when subsequent legislation impacts the operation of an existing statute, we presume the legislature was aware of this effect and we interpret the statute according to its plain language, notwithstanding the timing of its enactment (*see Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521, 530 [2018] [although Workers’ Compensation Law § 15 (3) (v), a preexisting statute, expressly incorporated section 15 (3) (w), which was later amended, “the legislature necessarily altered the operation of paragraph (v) . . . there was simply no need for the legislature to add language to paragraph (v) to reflect changes in paragraph (w) because paragraph (v) already wholly incorporated paragraph (w)’s . . . regime”]). The more compelling explanation for the legislature’s failure to expressly exempt section 421-g buildings from luxury decontrol is the obvious

law or such act, unless exempt under such local law or such act from control by reason of the cooperative or condominium status of the unit.”

one—luxury decontrol was intended to apply to these properties.⁵

Moreover, the majority is incorrect that the “decontrol” provisions of subdivision (6) “clearly contemplate[] the suspension of decontrol provisions during the benefit period” (majority op at 93). Because subdivision (6) subjects some apartments (those with rents below the decontrol threshold) to rent stabilization but provides that this rent stabilization ends at the close of the benefit period, the legislature mandated that notice procedures be followed prior to this type of decontrol. Indeed, all apartments that are stabilized pursuant to a tax benefit statute are eligible for decontrol at the conclusion of the benefit period, regardless of whether they meet other decontrol criteria in the RSL. But this avenue for decontrol in no way forecloses other avenues—i.e., luxury decontrol—prior to the close of the benefit period, unless luxury decontrol provisions have been expressly exempted, which did not occur here.

The majority also cites language in subdivision (6) indicating that rent stabilization does not apply to units in section 421-g buildings “exempt . . . from control by reason of . . . cooperative or condominium status,” asserting that this represents the sole exception to rent limitations intended by the legislature. The majority affords too much weight to this language which,

5. The same is true under Private Housing Finance Law § 654-d (18). Although the majority ignores this issue, I agree with the Appellate Division that, in *West*, the building owner was entitled to a declaration that it was not precluded from utilizing luxury decontrol based on its receipt of low-interest mortgages from HDC pursuant to the Private Housing Finance Law. Private Housing Finance Law § 654-d (18) states, in relevant part:

“Notwithstanding the provisions of . . . the emergency housing rent control law, the local emergency housing rent control act or local law enacted pursuant thereto, *all dwelling units in a multiple dwelling . . . which is financed by a mortgage loan . . . except for [cooperative and condominium units], shall be subject to the [RSL]*” (emphasis added).

The statute unqualifiedly subjects the apartments in eligible buildings “to the rent stabilization law.” Thus, Private Housing Finance Law § 654-d (18)—like RPTL 421-g (6)—confers the entirety of the RSL, including its luxury decontrol provisions, on buildings subject to its terms. Further, it is not listed among the statutory exceptions to luxury decontrol and, here, the majority cannot rely on the timing of the statute’s enactment in an attempt to explain the omission. Private Housing Finance Law § 654-d was enacted in 1992, one year *before* the 1993 RRRA (L 1992, ch 702). Thus, when the legislature amended the RSL to include the luxury decontrol regime, it was fully aware of the Private Housing Finance Law’s imposition of rent stabilization on eligible buildings, yet it did not include Private Housing Finance Law buildings among those expressly exempted from luxury decontrol.

if anything, supports my interpretation outlined above. Again, RPTL 421-g (6) largely tracks RPTL 421-a (2) (f). The condominium/cooperative clause in section 421-a (2) (f), added in 1981, has long been interpreted to “constitute a mere clarification of the preexisting law that rent stabilization laws do not apply [to cooperatives and condominiums]” (*Fasa Props. v Freidus*, 103 AD2d 729, 730 [1st Dept 1984]), indicating that the language making units “fully subject to control” under the RSL—the same language the legislature later used in section 421-g (6)—imported preexisting exceptions to rent regulation.

Because the legislature is “presumed to be familiar” with existing case law, “where a statute has been interpreted by the courts, the continued use of the same language by the Legislature subsequent to the judicial interpretation is indicative that the legislative intent [was] correctly ascertained” (*Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151, 157 [1987]). When, after the *Fasa* decision, the legislature enacted section 421-g using substantively identical language as in section 421-a, it signaled approval of that Court’s conclusion that the condominium/cooperative clause was merely explanatory, rather than a separate substantive exemption. The condominium/cooperative language is not relevant to this case. It adds nothing to any party’s position.

Far more significant is the legislative history of the LMRP, which the majority largely ignores. The bill jacket contains a letter from the Mayor of New York City, the proponent of the legislation, to the Senate Majority Leader, clarifying:

“In our discussion you asked that the legislation be amended to ensure that any residential units created as a result of the legislation are subject to the most current Rent Stabilization Laws of the State.

“I have discussed this matter with the drafters of the legislation and with the Commissioner of the Department of Housing Preservation and Development (HPD), the City agency responsible for implementing the residential conversion program proposed in the legislation. The City’s intention has always been that dwelling units in property receiving benefits under the residential conversion program . . . would be subject to rent stabilization to the same extent as, but to no greater extent than, other rent regulated property . . . Thus, the provi-

sions of the [RRRA] of 1993 that provide for the exclusion of high rent accommodation and for high income rent decontrol would apply to property receiving benefits under the programs created by the Lower Manhattan legislation” (Letter from Rudolph W. Giuliani to Joseph Bruno, Aug. 16, 1995, Bill Jacket, L 1995, ch 4 at 51-52).

During the Senate debate, this letter was read into the legislative record, and comments made on the floor reflect an understanding that the entirety of rent stabilization, including luxury decontrol, would apply to section 421-g buildings. In fact, the only Senator to vote against the bill opposed the legislation partly on those grounds, noting it would “subsidize the conversion of commercial space . . . which is going to be luxury housing.” Letters from associations representing buildings and property owners submitted to the Governor in support of the legislation likewise note that the 1993 RRRA would apply to residential units created under the program (Letter from Robert A. Wieboldt, Executive Vice-President, NY St Builders Assn, to Michael Finnegan, Esq., Counsel to Governor, Oct. 27, 1995, Bill Jacket, L 1995, ch 4 at 20; Letter from William Y. Crowell, III, to Michael Finnegan, Esq., Counsel to Governor, Oct. 27, 1995, Bill Jacket, L 1995, ch 4 at 49-50). Nothing in the bill jacket supports the contrary interpretation now adopted by the majority.⁶ We routinely cite materials of this type as evidence of legislative intent and have decided cases on legislative history far less elucidating than these statements (see e.g. *Matter of Diegelman v City of Buffalo*, 28 NY3d 231, 240 [2016]; *Matter of Manouel v Board of Assessors*, 25 NY3d 46, 52 [2015]; *People v Mills*, 11 NY3d 527, 534-535 [2008]; *Council of City of N.Y. v Giuliani*, 93 NY2d 60, 70 [1999]; *Nowlin v City of New York*, 81 NY2d 81, 87 [1993]). But, today, these statements are disregarded by the majority, which dismisses them with a reference to inapposite federal precedent.

Even viewed more broadly, the legislative history of the Lower Manhattan Revitalization Plan offers a simple explanation for why the legislature treated section 421-g buildings differently than some other buildings subjected to rent stabiliza-

6. The lone statement in the memorandum submitted to the Assembly and Senate by the Mayor’s office that “rent stabilization” would apply to section 421-g buildings is not to the contrary. As explained, rent stabilization *did* and does apply to these buildings. Nothing in that statement suggests that the luxury decontrol provisions of the scheme would be excluded.

tion by receipt of tax benefits. The aim of this legislation was not the creation of affordable housing. Rather, section 421-g was enacted to address an economic crisis in the City: the real estate depression in Lower Manhattan. The legislative history materials emphasize—for both the broader revitalization plan and for section 421-g—the economic recovery of the neighborhood. Indeed, a significant portion of the revitalization plan was intended to incentivize commercial, not residential, leasing. Further, the conversion of old office space to apartments was specifically designed to decrease building vacancy by finding a new use for obsolete buildings, rebuild the City’s tax base, and promote growth in retail and entertainment spaces to generate revenue.

To be sure, requiring property owners granted tax benefits to comply with the RSL—from which they would have otherwise been entirely exempt based on the post-1974 renovation dates—reflects the legislative extraction of a benefit from the real estate industry on behalf of tenants. Indeed, the record reflects that, between 1994 and 2012, almost 2,500 rent stabilized units were added to the housing stock by virtue of the section 421-g program.⁷ But the critical compromise reflected in the legislative history materials was the provision of tax benefits in order to incentivize developers to undertake “major investments” (i.e., substantial conversions and renovation projects) in a risky neighborhood.

Consistent with the statute’s plain language and clear legislative history, HPD promulgated regulations providing that luxury decontrol applied to section 421-g buildings while they receive benefits (*see* Rules of City of NY Housing Preservation and Development [28 RCNY] § 32-05 [a] [“Exempt Dwelling Units”—defined in section 32-02 as including units exempt under the 1993 RRRRA—are not rent-stabilized under the section 421-g program]). Likewise, the New York State Division of Housing and Community Renewal (DHCR) (responsible for administering rent stabilization) has repeatedly issued informal guidance consistent with HPD’s interpretation,

7. Although I agree with its holding, the Appellate Division’s statement in the *Kuzmich* decision that “most, *if not all*, apartments in [these] buildings . . . would, in fact, never be rent-stabilized” (*Kuzmich v 50 Murray St. Acquisition LLC*, 157 AD3d 556, 557 [1st Dept 2018] [emphasis added]) is puzzling. It is clear from the record that apartments were subjected to restricted rents as a result of this program—in fact, in the *West* building alone, nearly one third of the apartments had regulated rents because they did not meet the criteria for luxury decontrol.

stating that “high-rent deregulation is available with respect to Sec. 421-g units” and that, further, “high-rent deregulation is available from the inception of the first residential tenancy” such that property owners need not wait until the vacancy of the first tenant to treat a converted unit as deregulated (*see* Letter from Charles Goldstein, Associate Counsel, DHCR, to Sherwin Belkin, Esq., Jan. 30, 1997 at 1-2; *see also* Letter from Charles Goldstein, Associate Counsel, DHCR, Aug. 22, 2000 at 1; Letter from Charles Goldstein, Associate Counsel, DHCR, Sept. 26, 2002 at 1).

While, as the majority correctly notes, agency rules and guidance are not entitled to deference in this pure statutory interpretation case, they cannot be dismissed as irrelevant. HPD promulgates regulations pursuant to a traditional notice-and-comment procedure, but neither plaintiffs nor the majority have provided any evidence that anyone ever construed section 421-g (6) as precluding application of luxury decontrol to section 421-g buildings during receipt of tax benefits. To the contrary, it is clear from HPD’s promulgated rules and forms, as well as DHCR’s informal guidance, that the agencies most closely involved in the implementation of the section 421-g program and the property owners subject to that program (not to mention the tenants that agreed to market-rate rents) shared a common understanding—that the entirety of the RSL applied to section 421-g buildings, including its luxury decontrol provisions.

Property developers were induced by a legislative benefits package to purchase and convert obsolete, empty office buildings into apartments, in a depressed and empty neighborhood that had no residential community to speak of. Both property owners here submitted sworn affidavits stating that they consulted government agencies (including HPD) as to whether luxury decontrol would apply as part of their due diligence process and were “consistently advised” that it would. They relied on these representations, in addition to the DHCR guidance and legislative history, in purchasing and financing the properties. Indeed, they averred that the availability of luxury decontrol was a “key component” in their decisions as, without it, their investments in the buildings would not have made “economic sense.”

In 1995, there was no guarantee that renters could be drawn to Lower Manhattan, and the developers bore that risk. But to the benefit of the City and State, the section 421-g program

worked. There is now a robust 24-hour community in Lower Manhattan, as hoped. The program succeeded in part because property owners believed—consistent with the text of the statute, its legislative history and government guidance—that the rent stabilization law would function as it did almost everywhere else in the city and, thus, would include luxury decontrol. It is worth noting that the majority’s decision today may unfairly subject these property owners to substantial liability for rent overcharges in direct contravention of the representations that mobilized the real estate industry to transform Lower Manhattan in the first place.

The majority’s holding will lead to results antithetical to the legislature’s aims in enacting both New York City’s rent stabilization scheme and the 1995 Lower Manhattan Revitalization Plan. Soon, tenants of Lower Manhattan buildings who agreed to lease luxury apartments at market rates (in this case, at up to \$10,000 per month; and in the cases that will inevitably follow, at potentially higher rents) will converge on DHCR in an attempt to collect refunds, based on the majority’s conclusion that their apartments should have been rent-stabilized for years. Those “overcharge” refunds will be assessed against property owners (or their successors in interest) promised by government that they could lease the tenants’ luxury apartments at market rents after purchasing and developing previously-empty buildings in exchange for section 421-g tax benefits. This destabilization of the decades-old RPTL 421-g and Private Housing Finance Law § 654-d programs does nothing to further the worthy policies of rent stabilization and is unlikely to result in the inclusion of any additional apartments in the rent stabilization program. Even worse, the next time government looks to the private sector and asks developers to take risk and finance a revitalization program, potential investors will think twice about relying on a commonsense reading of legislation, clear legislative history and the representations of implementing agencies—none of which protected them here from the majority’s retroactive reading of statutory text that dramatically changes the terms of the bargain long after the legislature’s goals have been achieved. For all of these reasons, I respectfully dissent.

In *Kuzmich v 50 Murray St. Acquisition LLC*: Order reversed, with costs, defendant’s motion for summary judgment denied, plaintiffs’ motion for partial summary judgment seeking a declaration in their favor granted, case remitted to

Supreme Court, New York County, for further proceedings in accordance with the opinion herein and certified question answered in the negative.

Opinion by Judge STEIN. Judges RIVERA, FAHEY, GARCIA, WILSON and FEINMAN concur. Chief Judge DiFiore dissents and votes to affirm in an opinion.

In *West v B.C.R.E.-90 W. St., LLC*: Order reversed, with costs, defendant B.C.R.E.-90 West Street, LLC's motion for summary judgment denied, plaintiffs' motion insofar as it sought summary judgment seeking a declaration in their favor granted, case remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein and certified question answered in the negative.

Opinion by Judge STEIN. Judges RIVERA, FAHEY, GARCIA, WILSON and FEINMAN concur. Chief Judge DiFiore dissents and votes to affirm in an opinion.

[135 NE3d 302, 111 NYS3d 259]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v M. ROBERT NEULANDER, Respondent.

Argued September 5, 2019; decided October 22, 2019

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered June 29, 2018. The Appellate Division (1) reversed, on the law, a judgment of the Onondaga County Court (Thomas J. Miller, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and tampering with physical evidence; (2) granted defendant a new trial; and (3) dismissed as moot defendant's appeal from an order of that court, which had denied his CPL article 440 motion to vacate the judgment of conviction.

People v Neulander, 162 AD3d 1763, affirmed.

HEADNOTE

Crimes — Jurors — Misconduct of Juror

The cumulative effect of a trial juror's misconduct, deceit, and destruction of evidence may have affected a substantial right of defendant (CPL 330.30 [2]) and warranted reversal of the judgment convicting defendant of murder and evidence tampering. The juror sent and received hundreds of text messages about the case despite the trial court's repeated instructions not to discuss the case with any person and accessed local media websites that were covering the trial extensively. In order to hide her misconduct, the juror lied under oath to the court and deceived the People and the court by providing a false affidavit and tendering doctored text message exchanges in support of that affidavit, selectively deleted other text messages, and deleted her Internet browsing history. The juror's blatant disregard for the court's instructions coupled with her purposeful dishonesty and deception when her actions and good faith as a juror came into question vitiated the premise that the juror was fair and impartial. The right to a fair trial is self-standing and the proof of defendant's guilt presented at trial, however overwhelming, did not negate this right.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Trial §§ 1242–1245, 1247–1249, 1251.

CARMODY-WAIT 2d Jury Conduct and Deliberation
§§ 201:24, 201:25.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 24.9.

MCKINNEY'S, CPL 330.30 (2).

NY JUR 2d Criminal Law: Procedure §§ 2893, 2894, 2927,
2928.

ANNOTATION REFERENCE

See ALR Index under Jury Trials.

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POINTS OF COUNSEL

William J. Fitzpatrick, District Attorney, Syracuse (James P. Maxwell and Melissa K. Swartz of counsel), for appellant. This Court should reinstate defendant’s conviction of murder in the second degree and tampering with physical evidence. (*People v Santana*, 58 Misc 3d 581; *Smith v Phillips*, 455 US 209; *People v Clark*, 81 NY2d 913; *People v Irizarry*, 83 NY2d 557; *People v Heidgen*, 87 AD3d 1016, 22 NY3d 259; *People v Phillips*, 87 Misc 2d 613, 52 AD2d 758, 39 NY2d 949; *People v Brown*, 48 NY2d 388; *People v Testa*, 61 NY2d 1008; *People v Hartle*, 159 AD3d 1149, 31 NY3d 1082; *People v Rodriguez*, 100 NY2d 30.)

Shapiro Arato LLP, New York City (Alexandra A.E. Shapiro and Jacob S. Wolf of counsel), for respondent. I. The Appellate Division’s ruling should be affirmed. (*People v Branch*, 46 NY2d 645; *People v Rivera*, 15 NY3d 207; *McDonough Power Equipment, Inc. v Greenwood*, 464 US 548; *People v Rodriguez*, 100 NY2d 30; *People v Kuzdzal*, 31 NY3d 478; *People v Brown*, 48 NY2d 388; *People v Giarletta*, 72 AD3d 838; *People v Clark*, 81 NY2d 913; *People v Irizarry*, 83 NY2d 557; *People v Cotterell*, 7 AD3d 807.) II. Harmless-error analysis does not apply. (*Matter of Attorney Gen. of State of N.Y. v Firetog*, 94 NY2d 477; *People v Erts*, 73 NY2d 872; *People ex rel. Murray v New York State Bd. of Parole*, 50 NY2d 943; *Gomez v United States*, 490 US 858; *Gray v Mississippi*, 481 US 648; *Rose v Clark*, 478 US 570; *People v Crimmins*, 36 NY2d 230; *People v Spencer*, 29 NY3d 302; *People v King*, 27 NY3d 147; *People v Anderson*, 70 NY2d 729.) III. Trial counsel rendered ineffective assistance. (*People v Wright*, 25 NY3d 769; *Strickland v Washington*, 466 US 668; *People v Stultz*, 2 NY3d 277; *Hecker v State of New York*, 20 NY3d 1087; *People v Paperno*, 54 NY2d 294; *People v Stanley*, 87 NY2d 1000; *People v Fisher*, 18 NY3d 964; *Cornell v 360 W. 51st St. Realty, LLC*, 22 NY3d 762; *General Elec. Co. v Joiner*, 522 US 136; *CNA Ins. Co. v Cacioppo Elec. Contrs.*, 206 AD2d 399.)

Kostelanetz & Fink, LLP, New York City (Caroline Rule of

counsel), and *Hafetz & Necheles LLP*, New York City (*Susan R. Necheles* of counsel), for New York Council of Defense Lawyers, amicus curiae. I. A defendant is deprived of the right to trial by an impartial jury when a juror engages in cumulative misconduct that violates the court's instructions, and then lies under oath about having done so—and a new trial is required as a matter of law. (*Gray v Mississippi*, 481 US 648; *People v Henriquez*, 3 NY3d 210; *Strickland v Washington*, 466 US 668; *McDonough Power Equipment, Inc. v Greenwood*, 464 US 548; *Burton v Johnson*, 948 F2d 1150; *Sampson v United States*, 724 F3d 150; *United States v Colombo*, 869 F2d 149; *Smith v Phillips*, 455 US 209; *People v Spragion*, 288 AD2d 498; *Dyer v Calderon*, 151 F3d 970.) II. Even if the People's argument that there was no prejudice is cognizable, the juror's cumulative misconduct here creates a presumption of lack of impartiality, and the People cannot rebut this presumption through that juror's own tainted testimony. (*Clyde Mattox v United States*, 146 US 140; *Remmer v United States*, 347 US 227; *United States v Farhane*, 634 F3d 127; *Dyer v Calderon*, 151 F3d 970; *Green v White*, 232 F3d 671; *United States v Morrison*, 984 F Supp 2d 125; *Arkwright v Steinbugler*, 283 App Div 397; *People v Santana*, 58 Misc 3d 581; *People v Fox*, 172 AD2d 218; *United States v Colombo*, 869 F2d 149.)

OPINION OF THE COURT

WILSON, J.

The issue before us is whether the undisputed juror misconduct in this case warrants a reversal of the judgment convicting Dr. Neulander of murder and evidence tampering. The Appellate Division concluded that the trial court abused its discretion by denying his CPL 330.30 motion to set aside the verdict against him based on that juror misconduct. We agree that, on this record, he is entitled to a new trial. "Nothing is more basic to the criminal process than the right of an accused to a trial by an impartial jury" (*People v Branch*, 46 NY2d 645, 652 [1979]). We therefore affirm.

In April 2015, a jury convicted Dr. Neulander of murdering his wife and tampering with physical evidence. Throughout the trial, one of the jurors, juror 12, sent and received hundreds of text messages about the case. Certain text messages sent and received by juror 12 were troublesome and inconsistent with the trial court's repeated instructions not to discuss the case with any person and to report any attempts by anyone to discuss the case with a juror. Juror 12 also accessed local media

websites that were covering the trial extensively. In order to hide her misconduct, juror 12 lied under oath to the court, deceived the People and the court by providing a false affidavit and tendering doctored text message exchanges in support of that affidavit, selectively deleted other text messages she deemed “problematic,” and deleted her now-irretrievable Internet browsing history. The cumulative effect of juror 12’s extreme deception and dishonesty compels us to conclude that her “improper conduct . . . may have affected a substantial right of the defendant” (CPL 330.30 [2]).

Defendant moved, pursuant to CPL 330.30, to set aside the verdict based on juror misconduct. Upon conclusion of a fact-finding hearing, the trial court determined that juror 12 consciously engaged in misconduct and prevarication, but nonetheless believed her misconduct did not render the trial unfair. The Appellate Division, with two Justices dissenting, reversed the judgment and granted a new trial, with the majority observing that “every defendant has a right to be tried by jurors who follow the court’s instructions, do not lie in sworn affidavits about their misconduct during the trial, and do not make substantial efforts to conceal and erase their misconduct when the court conducts an inquiry with respect thereto” (*People v Neulander*, 162 AD3d 1763, 1768 [4th Dept 2018]). We agree that the extensiveness and egregiousness of the disregard, deception, and dissembling occurring here leave no alternative but to reverse the judgment of conviction and remit for a new trial and compel us to affirm publicly the importance of juror honesty.

Under CPL 330.30 (2), a verdict should be set aside if “improper conduct by a juror . . . may have affected a substantial right of the defendant and . . . was not known to the defendant prior to the rendition of the verdict.” Of course, “not every misstep by a juror rises to the inherently prejudicial level at which reversal is required automatically” (*People v Brown*, 48 NY2d 388, 394 [1979]); “[e]ach case must be examined on its unique facts” (*People v Clark*, 81 NY2d 913, 914 [1993]). Under the extraordinary circumstances of this case, we conclude that juror 12’s behavior “may have affected a substantial right of the defendant.” This is not a case of stray texts or inadvertent misstatements. The record plainly supports the findings of both lower courts that juror 12’s conduct disregarded the court’s plentiful instructions as to outside communications and when such conduct was brought to light, the

juror was deliberately and repetitively untruthful. During the third day of jury deliberations, when the court first examined juror 12 as to whether she had violated the court's instructions concerning outside communications, she insisted that she had not, which later proved to be false. When, after the jury had rendered its verdict, an alternate juror advised the court, by affidavit, that juror 12 had engaged in improper conduct, juror 12 secretly and selectively deleted numerous text messages which she believed to be "problematic," and presented to the People the remaining portions of the text message exchanges as if they were complete recitations of the communications. Juror 12 thereby induced the People to submit to the court her exculpatory affidavit, attaching the fabricated versions of her conversations with no indication that she had doctored them.

When, at the CPL 330.30 hearing, she was examined about her selective deletions, which were uncovered through a forensic examination of her cell phone, juror 12 gave several answers evidencing a continued lack of candor. Although she deleted her entire Internet browsing history and could not explain why, when confronted with evidence that she had accessed a website providing daily trial coverage, she testified that she read nothing about the trial and probably accessed the site to read an article on cheerleading. The People and defense counsel stipulated, however, that no such article appeared on that site during the relevant time. She several times accessed a second news website providing trial coverage, as to which she offered no explanation.

In this case, a sworn juror, when examined by the court about the breadth of her outside communications, was repeatedly and deliberately untruthful about the scope of that misconduct and affirmatively sought to conceal evidence of her misconduct. That extraordinary and dishonest behavior by a juror purposefully selected to be a fair and objective arbiter of the facts in the case causes irredeemable injury to the judicial system and the public's confidence in it. "Jurors, of course, do not live in capsules" (*Brown*, 48 NY2d at 393) and cannot be isolated during their service from the outside world, including their friends and families. However, they must be expected, at the very minimum, to obey the admonishments of the trial court, report attempts by others trying to influence their oath to be objective, and to be forthcoming during court inquiries into their conduct as a juror. Juror 12's blatant disregard for the court's instructions coupled with her purposeful dishonesty and deception

when her actions and good faith as a juror came into question vitiate the premise that juror 12 was fair and impartial and lead us to conclude that a new trial is required. On this record, the cumulative effect of juror 12's misconduct, deceit, and destruction of evidence—conduct which obfuscated the full extent of her misconduct—compels us to agree with the Appellate Division that juror 12's "improper conduct . . . may have affected a substantial right of the defendant" (CPL 330.30 [2]), and, therefore, the trial court abused its discretion in declining to set aside the verdict.

The People contend that even if juror 12 engaged in misconduct, "that misconduct is significantly outweighed by the substantial proof of guilt presented at trial." However, "[t]he right to a fair trial is self-standing and proof of guilt, however overwhelming, can never be permitted to negate this right" (*People v Crimmins*, 36 NY2d 230, 238 [1975]). The "public at large is entitled to assurance that there shall be full observance and enforcement of the cardinal right of a defendant to a fair trial" (*id.*). Affirming a conviction where a juror engaged in dishonesty of this magnitude would not discharge our "overriding responsibility" to ensure the public's confidence in the fairness of trials (*id.*).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge DiFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA and FEINMAN concur.

Order affirmed.

[137 NE3d 456, 114 NYS3d 1]

THERESA MADDICKS et al., Respondents, v BIG CITY PROPERTIES, LLC, et al., Defendants, and BIG CITY REALTY MANAGEMENT, LLC, et al., Appellants.

Argued September 4, 2019; decided October 22, 2019

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered July 26, 2018. The Appellate Division order, insofar as appealed from, modified, on the law, so much of an order of the Supreme Court, New York County (Erika M. Edwards, J.; op 2017 NY Slip Op 32385[U] [2017]), as had, upon defendants' motion, dismissed the amended complaint pursuant to CPLR 3211 without prejudice. The modification consisted of (1) denying the motion as to the claims, except those involving General Business Law § 349, against defendants Big City Realty Management, LLC; Big City Acquisitions, LLC; 408-412 Pineapple, LLC; 510-512 Yellow Apple, LLC; 535-539 West 155 BCR, LLC; 545 Edgecombe BCR, LLC; 106-108 Convent BCR, LLC; 110 Convent BCR, LLC; 3750 Broadway BCR, LLC; 3660 Broadway BCR, LLC; and 605 West 151 BCR, LLC; and (2) denying the motion as to the class action allegations against those defendants, except those supporting the General Business Law § 349 claim. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of the Supreme Court to the extent of reinstating certain claims properly made?"

Maddicks v Big City Props., LLC, 163 AD3d 501, affirmed.

HEADNOTE

Actions — Class Actions — Commonality

In an action by plaintiffs, current and former tenants of portfolio apartment buildings owned or managed by defendants, Supreme Court erred in granting defendants' pre-answer motion to dismiss plaintiffs' class action claims alleging that defendants engaged in an illegal rent overcharge scheme on the ground that plaintiffs' reliance on several different theories for defendants' unlawful conduct precluded class certification under CPLR 901. Where damages among class members may differ, a class action may proceed only if the important legal or factual issues involving liability are common to the class. However, commonality cannot be determined by any mechanical test, and the fact that questions peculiar to each individual may remain after resolution of the common questions is not fatal to the class action. It is

predominance, not identity or unanimity, that is the linchpin of commonality. The complaint addressed harm effectuated through a variety of approaches but within a common systematic plan. Dismissal at this juncture would be to effectively nullify CPLR 906, which makes clear that the certification of a class action need not be an all-or-nothing proposition and permits the certification of subclasses or the isolation of specific issues for class treatment. To dismiss the entirety of the class claims would be to prematurely dispose of causes that could be severed into individual claims through the procedures established in CPLR article 9.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Federal Courts §§ 1515, 1586, 1614, 1616, 1620;
 AM JUR 2d Parties §§ 72, 74, 78.
 CARMODY-WAIT 2d Parties §§ 19:235, 19:283–19:284,
 19:288, 19:307, 19:317–19:318.
 MCKINNEY'S CPLR 901, 906.
 NY JUR 2d Parties §§ 253, 258–259, 266, 273–274, 314.
 SIEGEL, NY PRAC §§ 139–145.

ANNOTATION REFERENCE

Propriety of class action in state courts to assert tenants' rights against landlord. 73 ALR3d 852.

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POINTS OF COUNSEL

Koss & Schonfeld, LLP, New York City (*Simcha D. Schonfeld* of counsel), for appellants. Plaintiffs-respondents' class action allegations fail as a matter of law. (*City of New York v Maul*, 14 NY3d 499; *Borden v 400 E. 55th St. Assoc., L.P.*, 24 NY3d 382; *Ray v Marine Midland Grace Trust Co.*, 35 NY2d 147; *Gaynor v Rockefeller*, 15 NY2d 120; *Society Milion Athena, Inc. v National Bank of Greece*, 281 NY 282; *Brenner v Title Guar. & Trust Co.*, 276 NY 230; *Rife v Barnes Firm, P.C.*, 48 AD3d 1228; *Gudz v Jemrock Realty Co., LLC*, 105 AD3d 625; *Downing v First Lenox Terrace Assoc.*, 107 AD3d 86; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270.)

Newman Ferrara LLP, New York City (*Roger Sachar*, *Lucas Ferrara* and *Jarred Kassenoff* of counsel), for respondents. I.

Appellants' class action attack is premature. (*Bernstein v Kelso & Co.*, 231 AD2d 314; *Downing v First Lenox Terrace Assoc.*, 107 AD3d 86; *Matter of Long Is. Power Auth. Hurricane Sandy Litig.*, 134 AD3d 1119; *DeLuca v Tonawanda Coke Corp.*, 134 AD3d 1534; *Matter of Colt Indus. Shareholder Litig.*, 77 NY2d 185; *Comcast Corp. v Behrend*, 569 US 27; *Huff v N. D. Cass Co. of Ala.*, 485 F2d 710; *Bell Atlantic Corp. v Twombly*, 550 US 544; *Ashcroft v Iqbal*, 556 US 662.) II. Dismissing class claims for failure to establish the CPLR 901 (a) prerequisites would render CPLR 906 a nullity. (*Matter of Nassau County Strip Search Cases*, 461 F3d 219; *Gunnells v Healthplan Servs., Inc.*, 348 F3d 417; *Martin v Behr Dayton Thermal Prods. LLC*, 896 F3d 405; *McReynolds v Merrill Lynch, Pierce, Fenner & Smith, Inc.*, 672 F3d 482; *Valentino v Carter-Wallace, Inc.*, 97 F3d 1227; *Charron v Pinnacle Group N.Y. LLC*, 874 F Supp 2d 179; *Retired Chicago Police Assn. v City of Chicago*, 7 F3d 584; *Betts v Reliable Collection Agency, Ltd.*, 659 F2d 1000.) III. Respondents sufficiently established predominance. (*Gaynor v Rockefeller*, 15 NY2d 120; *Brenner v Title Guar. & Trust Co.*, 276 NY 230; *Friar v Vanguard Holding Corp.*, 78 AD2d 83; *Moore v Metropolitan Life Ins. Co.*, 33 NY2d 304; *Rife v Barnes Firm, P.C.*, 48 AD3d 1228; *City of New York v Maul*, 14 NY3d 499; *Corsello v Verizon N.Y., Inc.*, 18 NY3d 777; *Weinberg v Hertz Corp.*, 116 AD2d 1, 69 NY2d 979; *Matter of Nexium Antitrust Litig.*, 777 F3d 9.) IV. Appellants' remaining arguments are unavailing. (*Williams v Sinclair*, 529 F2d 1383; *Matter of Monumental Life Ins. Co.*, 365 F3d 408; *Gersten v 56 7th Ave. LLC*, 88 AD3d 189; *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.*, 15 NY3d 358; *Thornton v Baron*, 5 NY3d 175; *Morton v 338 W. 46th St. Realty, LLC*, 45 Misc 3d 544; *Pruitt v Rockefeller Ctr. Props.*, 167 AD2d 14; *Pludeman v Northern Leasing Sys., Inc.*, 74 AD3d 420.)

Katsky Koring, LLP, New York City (*Adrienne B. Koch*, *Mark Walfish* and *Elan R. Dobbs* of counsel), for Rent Stabilization Association of NYC, Inc. and another, amici curiae. I. A judicially-created rule that exempts class allegations from scrutiny under CPLR 3211 (a) would be inconsistent with the CPLR. (*Wojciechowski v Republic Steel Corp.*, 67 AD2d 830; *Downing v First Lenox Terrace Assoc.*, 107 AD3d 86; *Borden v 400 E. 55th St. Assoc., L.P.*, 24 NY3d 382; *Simkin v Blank*, 19 NY3d 46; *Adler v Ogden CAP Props.*, 126 AD3d 544.) II. A judicially-created rule that exempts class allegations from scrutiny under CPLR 3211 (a) would substantially shift to the

courts matters that should be determined in the first instance by agencies under the doctrine of primary jurisdiction. (*Brownsville Baptist Church v Consolidated Edison Co. of N.Y.*, 272 AD2d 358; *Lamparter v Long Is. Light. Co.*, 90 AD2d 496; *Wong v Gouverneur Gardens Hous. Corp.*, 308 AD2d 301; *Matter of Markow-Brown v Board of Educ., Port Jefferson Pub. Schools*, 301 AD2d 653, 100 NY2d 512; *Matter of DiTanna v Board of Educ. of Ellicottville Cent. School Dist.*, 292 AD2d 772, 98 NY2d 605; *Matter of Hessney v Board of Educ. of Pub. Schools of Tarrytowns*, 228 AD2d 954, 89 NY2d 801; *Matter of deVente v Board of Educ., Broome-Tioga Bd. of Coop. Educ. Servs.*, 15 AD3d 716; *Matter of Langston v Iroquois Cent. School Dist.*, 291 AD2d 845; *Haddad v Salzman*, 188 AD2d 515; *Albany-Binghamton Express v Borden, Inc.*, 192 AD2d 887.) III. Federal jurisprudence does not change the analysis. (*Mayfield v Asta Funding, Inc.*, 95 F Supp 3d 685; *Calibuso v Bank of Am. Corp.*, 893 F Supp 2d 374; *Winfield v Citibank, N.A.*, 842 F Supp 2d 560; *Ashcroft v Iqbal*, 556 US 662; *Bell Atlantic Corp. v Twombly*, 550 US 544; *Royal Mile Co., Inc. v UPMC & Highmark, Inc.*, 40 F Supp 3d 552.)

Labaton Sucharow LLP, New York City (*Jay L. Himes* and *Roger Yamada* of counsel), for Lower Seaman Tenants Association and another, amici curiae. I. A motion to dismiss is not the appropriate vehicle to resolve class certification. (*Weinberg v Hertz Corp.*, 116 AD2d 1, 69 NY2d 979; *Corsello v Verizon N.Y., Inc.*, 18 NY3d 777; *Downing v First Lenox Terrace Assoc.*, 107 AD3d 86; *Borden v 400 E. 55th St. Assoc., L.P.*, 24 NY3d 382; *Wojciechowski v Republic Steel Corp.*, 67 AD2d 830.) II. Dismissal of a class action on a CPLR 3211 motion would undermine the design of CPLR article 9. (*Zachary v R.H. Macy & Co.*, 66 Misc 2d 974, 39 AD2d 116, 31 NY2d 443; *Moore v Metropolitan Life Ins. Co.*, 33 NY2d 304; *City of New York v Maul*, 14 NY3d 499; *Friar v Vanguard Holding Corp.*, 78 AD2d 83.)

OPINION OF THE COURT

FAHEY, J.

Nothing in the CPLR prevents a defendant from moving to dismiss a class action claim pursuant to CPLR 3211. However, a motion to dismiss should not be equated to a motion for class certification. Nothing in the record supports the conclusion of the trial court that the claims for class relief should have been dismissed short of a judicial determination as to whether the

prerequisites of CPLR 902 have been satisfied. We affirm the Appellate Division order insofar as appealed from.

I.

At issue here is what plaintiffs characterize as the Big City Portfolio, which consists of multiple apartment buildings located primarily in the Harlem neighborhood in Manhattan. The portfolio is managed by defendant Big City Realty Management, LLC. Individual corporate defendants own various buildings in the portfolio, and plaintiffs—who are current and former tenants in various buildings within the portfolio—suggest that those corporate entities are owned or controlled by a single holding company, defendant Big City Acquisitions, LLC.

Plaintiffs also allege that defendants,¹ in an effort to extract additional value from those properties, have engaged in what plaintiffs characterize as “a clear pattern and practice of improper and illegal conduct.”² The allegations of the operative complaint—designated as the first amended class action complaint (hereafter, complaint)³—state that this action was commenced “to end the illegal and fraudulent practices employed by [d]efendants over the course of [their] ownership and operation” of the buildings within the portfolio. That claim of illegality and fraud, plaintiffs maintain, addresses a scheme to inflate rents over and above the amounts defendants were legally permitted to charge. This was accomplished in four ways. Plaintiffs allege that defendants executed their overcharge plan by:

(a) falsely reporting to the Division of Housing and Community Renewal that leases were rent-

1. The first amended class action complaint was dismissed by the motion court as against eight named defendants on the ground that plaintiffs had not alleged wrongdoing against those defendants. That complaint has not been reinstated with respect to those defendants, meaning that the reference to defendants herein pertains only to the defendants against which that pleading survives.

2. The dissent ignores this point in concluding that there are no questions of law or fact common to the class here (*cf.* dissenting op at 128).

3. Inasmuch as this appeal arises from a motion to dismiss a complaint, we are bound to, among other things, accept as true the facts alleged in that pleading (*see Lohan v Take-Two Interactive Software, Inc.*, 31 NY3d 111, 117 n 1 [2018]).

controlled pursuant to the J-51 program,⁴ when in fact those contracts were free-market compacts;

(b) misrepresenting and inflating the costs of individual apartment improvements (IAIs)⁵;

(c) repeatedly failing to register rental information as required by state and city law, thereby rendering it impossible to calculate the correct legal regulated rent; and

(d) inflating the fair market rent on apartments that exit rent-controlled status, by recording a rent price significantly higher than the preferential rent actually charged with respect to certain units.

Given their belief that nearly all factual and legal issues raised in the first amended class action complaint are common to each other and to members of the proposed class and subclass,⁶ and that the statutory prerequisites to class certification would be satisfied (*see* CPLR 901), plaintiffs alleged that this lawsuit may be properly maintained as a class action. Plaintiffs asserted six causes of action to be pursued by the proposed class and subclass, sounding principally in the alleged violation of the Rent Stabilization Law and General Business Law § 349. Plaintiffs seek, among other things, reformation of illegal leases to provide that the units subject to those agreements are subject to rent stabilization.

4. “In New York City, multiple dwellings may qualify for tax incentives designed to encourage rehabilitation and improvements” pursuant to a program that originally was embodied in the now-former section J51-2.5 of the Administrative Code of the City of New York (*see Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 280 [2009]). That program, as “authorized by Real Property Tax Law § 489, allows property owners who complete eligible projects to receive tax exemptions and/or abatements that continue for a period of years” (*Roberts*, 13 NY3d at 280). “Eligible projects include moderate and gut rehabilitations; major capital improvements . . . ; and conversions of lofts and other nonresidential buildings into multiple dwellings” (*id.*, citing, *inter alia*, Administrative Code § 11-243 [b] [2], [3], and [8]).

5. Depending on the number of apartments in a building in which an IAI is performed, the landlord is entitled to a rent increase of between 1.67% and 2.5% of the cost of the improvement.

6. The proposed class consists of current and former tenants of a portfolio building who, between December 6, 2012, and the date of the filing of the first amended class action complaint, resided in rent-stabilized or unlawfully-deregulated apartments, and who paid rent in excess of the legal limit based on a misrepresentation made by or attributable to defendants. The proposed subclass consists of all current tenants of a portfolio building who currently reside in a rent-stabilized apartment or unlawfully deregulated apartment.

In lieu of answering, and before the appropriateness of the claims for class action could be tested through the mechanisms fixed in article 9 of the CPLR, defendants moved to dismiss the amended class action complaint. Defendants argued that plaintiffs failed to state a cause of action for violation of General Business Law § 349, and that the class allegations fail as a matter of law. With respect to the latter contention, defendants maintained that plaintiffs' claim of illegality and fraud is not a single instance of wrongdoing, and improperly attempts to bind together four disconnected theories of malfeasance.

Supreme Court granted the motion and dismissed the complaint. The court "determine[d] conclusively from the facts alleged [therein] that, as a matter of law, there is no basis for class action relief" based on its belief that plaintiffs rely "on several different theories of the manner in which [d]efendants inflated the rent" that each "require[] [a] fact-specific analysis [that] precludes class certification" (2017 NY Slip Op 32385[U], *4-5 [Sup Ct, NY County 2017]; *see* CPLR 901 [a] [2]).

On appeal, a divided Appellate Division modified Supreme Court's order by denying the part of the motion seeking dismissal of the class action claims against defendants, except to the extent those allegations addressed the cause of action for violation of General Business Law § 349 (*see* 163 AD3d 501 [1st Dept 2018]).⁷ The Appellate Division concluded that the dismissal of the "remaining class allegations . . . at this early stage, before an answer was filed and before any discovery occurred, was premature" (163 AD3d at 502). The Court added that "[i]t does not appear conclusively from the [operative] complaint that, as a matter of law, there is no basis for class action relief" (*id.*) before rejecting the contention of the dissenters (*see id.* at 505-506) that the claims here are fact-intensive and can only be determined through an examination of the evidence pertinent to each individual unit allegedly affected by defendants' misconduct (*see id.* at 502-503; *see also* CPLR 901 [a] [2]). The conclusion that plaintiffs' class action claim should not be dismissed at this juncture was based on the Appellate Division's analysis of the complaint. It speaks to "the setting of . . . improper rents in [the affected] apartments [as] part of a systematic effort by [defendant Big City Acquisitions, LLC] to avoid compliance with the rent stabilization laws" (*id.* at 503).

7. Plaintiffs have not appealed the dismissal of the cause of action alleging violation of General Business Law § 349 to this Court.

We share the view that dismissal of class claims based on allegations of a methodical attempt to illegally inflate rents was premature. We now affirm the order insofar as appealed from and answer the question certified to us by the Appellate Division, namely, whether “the order of [that] Court . . . [was] properly made,” in the affirmative (2018 NY Slip Op 85328[U] [1st Dept 2018]).

II.

Initially, we agree with defendants and the amici curiae who submitted a brief in support of defendants’ position that there is no per se bar to a pre-answer motion pursuant to CPLR 3211 (a) seeking an order dismissing a class action allegation. Nothing in the CPLR provides that a class claim cannot be dismissed, even at the pre-answer stage, for failure to state a cause of action (*see generally Downing v First Lenox Terrace Assoc.*, 107 AD3d 86, 91 [1st Dept 2013], *affd* 24 NY3d 382 [2014]; *Wojciechowski v Republic Steel Corp.*, 67 AD2d 830 [4th Dept 1979], *lv dismissed* 47 NY2d 802 [1979]).

As for whether the complaint here was properly dismissed, certain basic principles of procedural law apply. Where an appeal arises from a motion to dismiss, the complaint “is to be afforded a liberal construction” (*Leon v Martinez*, 84 NY2d 83, 87 [1994]). We must “accept the facts as alleged as true, [and] accord plaintiffs the benefit of every possible favorable inference” (*id.*). We are also bound to “determine only whether the facts as alleged fit within any cognizable legal theory” (*id.* at 87-88); “the criterion is whether the proponent of the pleading *has* a cause of action, not whether [it] has *stated* one” (*id.* at 88 [emphases added]).

The determination whether plaintiffs have a cause that may be asserted as a class action turns on the application of CPLR 901. That section provides that “[o]ne or more members of a class may sue or be sued as representative parties on behalf of all” where five factors—sometimes characterized as “numerosity, commonality, typicality, adequacy of representation and superiority” (*City of New York v Maul*, 14 NY3d 499, 508 [2010])—are met (CPLR 901 [a] [1]-[5]). Of principal concern on this appeal is the “commonality” element, which, as set forth in CPLR 901 (a) (2), inquires whether “there are questions of law or fact common to the class which predominate over any questions affecting only individual members.”

With respect to the commonality question, defendants note that, where damages among class members may differ, a class

action may proceed only “if the important legal or factual issues involving liability are common to the class” (*Borden*, 24 NY3d at 399). That point is logical; perhaps the most generally known type of class claims involve a defect in a mass-produced product, such as an automobile, that has a common flaw that impacts consumers in disparate ways and yields disparate damages (see e.g. *Belville v Ford Motor Co.*, 919 F3d 224 [4th Cir 2019]; *Samuel-Bassett v KIA Motors Am., Inc.*, 357 F3d 392 [3d Cir 2004]; *In re General Motors Corp. Pick-Up Truck Fuel Tank Prods. Liab. Litig.*, 55 F3d 768 [3d Cir 1995], *cert denied* 516 US 824 [1995]; *Estruch v Volkswagen AG.*, 177 AD2d 943 [4th Dept 1991], *lv denied* 79 NY2d 759 [1992]).

Here, of course, there is an element of truth to defendants’ suggestion that the class claims—particularly those based on the alleged misrepresentation and inflation of the costs of IAIs—may require separate proof with respect to each plaintiff. Along those lines, defendants note that the operative complaint “alleges overcharges for inflated IAI increases [of various] amounts”—136%, 97%, 82%, 104%, 113%, 33%, or 254% for various apartments—which they contend supports the idea that the alleged overcharges are separate wrongs to separate persons that do not form the basis for a class action (see *Ray v Marine Midland Grace Trust Co.*, 35 NY2d 147, 151 [1974]; *Gaynor v Rockefeller*, 15 NY2d 120, 129 [1965]; cf. *Bolanos v Norwegian Cruise Lines Ltd.*, 212 FRD 144, 148 [SD NY 2002]).⁸

That leads to the friction point on this appeal: are we to look at the common basis for a damages claim or the degree of damage alleged? On the one hand, if, as defendants suggest, the differences in the specific means of harm is considered—that is, if at this stage the Court contemplates nuances of *how* those overcharges allegedly were accomplished—then plaintiffs may struggle to satisfy the factual component of CPLR 901 (a) (2). On the other hand, as plaintiffs note, to focus on potential idiosyncrasies within the class claims—distinctions that speak to damages, not to liability—at this juncture would potentially be to reward bad actors who execute a common method to damage in slightly different ways.

8. Perhaps *Ray* (35 NY2d 147) and *Gaynor* (15 NY2d 120), which addressed the application of CPLR former 1005, are of limited value here. That statute was succeeded by CPLR 901, and the legislature intended for CPLR “article 9 to be a liberal substitute for the narrow class action legislation which preceded it” (*Maul*, 14 NY3d at 509 [internal quotation marks omitted]).

City of New York v Maul (14 NY3d 499 [2010]) is instructive in that respect. There, the plaintiffs generally alleged that the social services agencies in question failed in various training and identification tasks that injured “at least 150 youngsters with developmental disabilities” (*id.* at 506). Although each one of the class members possessed their “own unique factual circumstances and special needs,” and although “a determination regarding appropriate placements [would have] require[d] a particularized inquiry of each [of the] plaintiff’s requirements” (*id.* at 512), we refused to conclude that the class could not be certified as a matter of law. That determination was driven at least in part by our recognition of the legislative desire for CPLR article 9 to be construed so as to provide a flexible, functional scheme wider and more welcoming than “the narrow class action legislation which preceded it” (*id.* at 509).

Maul’s circumstances undoubtedly were “close to the outer boundary of the concept of commonality” (*id.* at 512), but the instances of “recurring and interrelated harms” (*id.* at 513) that supported class certification there are not meaningfully removed from those of this case. Affording the first amended class action complaint the “liberal construction” required in these circumstances (*see Leon*, 84 NY2d at 87), and allowing plaintiffs the benefit of every possible favorable inference (*see id.*), we conclude that the allegations of misconduct here are of the same character as those at issue in *Maul*.

Commonality is not to be confused with unanimity (*see Maul*, 14 NY3d at 514). In deciding *Maul*, we “recognize[d] that commonality cannot be determined by any ‘mechanical test’ and that ‘the fact that questions peculiar to each individual may remain after resolution of the common questions is not fatal to the class action’” (*Maul*, 14 NY3d at 514, quoting *Friar v Vanguard Holding Corp.*, 78 AD2d 83, 97-98 [2d Dept 1980]). “Rather,” we added, “it is ‘predominance, not identity or unanimity,’ that is the linchpin of commonality” (*Maul*, 14 NY3d at 514, quoting *Friar*, 78 AD2d at 98).⁹ Those observations apply to this case. Here the complaint addresses harm effectuated through a variety of approaches but within a common systematic plan (*see generally Freeman v Great Lakes Energy Partners*,

9. Indeed, a determination with respect to predominance should focus on whether class treatment will realize “economies of time, effort, and expense, and promote uniformity of decision as to persons similarly situated” (*Friar*, 78 AD2d at 97 [drawing on federal jurisprudence]).

L.L.C., 12 AD3d 1170, 1171 [4th Dept 2004]), and its class claims should not be dismissed at this juncture.

III.

Five additional points complete our analysis.

First, it bears noting that our approach—allowing the action to proceed to the CPLR article 9 stage—is the moderate one in these circumstances.¹⁰ Through CPLR 902 the legislature established a procedure for immediate threshold review of the question whether an action may proceed as a class action. Under that section, a plaintiff must move within 60 days after the window for responsive pleadings has closed for an order to determine whether an action brought as a class action may be so maintained. That motion practice allows a would-be class representative to demonstrate satisfaction of the CPLR 901 (a) prerequisites with evidence—as opposed to mere allegations—tested at a hearing. The prudent course charted here, namely, viewing the allegations of the complaint through the lens required by *Leon* (84 NY2d 83) and leaving the class allegations for evaluation at the hearing stage envisioned by the legislature, leaves open the possibility that defendants will obtain the same result—termination of the class claims—at the appropriate time.

Second, we agree with plaintiffs that to dismiss these class claims at this juncture would be to effectively nullify CPLR 906.¹¹ That section “makes clear that the certification of a class action need not be an all-or-nothing proposition” and permits the certification of subclasses or the isolation of specific issues for class treatment (Vincent C. Alexander, Practice Commentaries, McKinney’s Cons Laws of NY, CPLR 906). To dismiss the entirety of the class claims at this time would be to prematurely dispose of causes that could be severed into individual claims through the procedures established in CPLR article 9.

Third, it is a long-held principle “that the individualized proof required on issues such as damages . . . of each class

10. The dissent’s concerns with respect to potential costs of pre-certification discovery in this case (*see* dissenting op at 129) are based on sheer speculation. Moreover, potential litigation costs alone do not justify the premature determination of an action or a cause of action.

11. CPLR 906 provides that, “[w]hen appropriate, . . . an action may be brought or maintained as a class action with respect to particular issues,” or “a class may be divided into subclasses and each subclass treated as a class” (CPLR 906 [1]-[2]).

member does not preclude a finding that common questions of law or fact predominate over individual questions” (*Sanders v Farady Labs., Inc.*, 82 FRD 99, 101 [ED NY 1979], citing *Green v Wolf Corp.*, 406 F2d 291, 300-301 [2d Cir 1968], *cert denied* 395 US 977 [1969], *Herbst v International Tel. & Tel. Corp.*, 495 F2d 1308, 1314-1315 [2d Cir 1974], and *Fischer v Kletz*, 41 FRD 377, 382-383 [SD NY 1966]; see *Borden*, 24 NY3d at 399 [(“i)t should be noted that the legislature enacted CPLR 901 (a) with a specific allowance for class actions in cases where damages differed among the plaintiffs”]).¹² It is equally well-established “that such issues may, if necessary, be tried separately” (*Sanders*, 82 FRD at 101).

The possibility that individual damages determinations may become complicated to the extent the class allegations survive a CPLR article 9 test does not suggest that the commonality element cannot be satisfied. Consistent with the legislative desire that CPLR article 9 be construed liberally (see *Maul*, 14 NY3d at 509), courts have—properly—shown a willingness to order class litigation on liability issues and allow individual damages issues to be handled separately by a special master (see *Godwin Realty Assoc. v CATV Enters.*, 275 AD2d 269, 270 [1st Dept 2000], citing *Weinberg v Hertz Corp.*, 116 AD2d 1, 6-7 [1st Dept 1986], *affd* 69 NY2d 979 [1987]).

Fourth, defendants contend that the complaint fails to state a claim with respect to IAIs because plaintiffs “do not affirmatively allege wrongdoing with respect to [those improvements].” Rather, defendants contend, plaintiffs “allege that unspecified inspections of the apartments merely *suggest* that IAIs may not . . . have been completed.” We agree with plaintiffs, however, that they adequately stated IAI claims. In the absence of the pre-certification discovery contemplated by CPLR 902, information with respect to those improvements is not readily available to them (*cf.* CPLR 3102 [c]).

Fifth, and finally, “[t]he existence of a [potential] statute of limitations issue does not compel a finding that individual issues predominate over common ones” (*Williams v Sinclair*, 529 F2d 1383, 1388 [9th Cir 1975]). Although “individual class members whose claims are shown to fall outside the relevant

12. New York courts have found those and other federal authorities “‘helpful’ in analyzing CPLR 901 issues . . . because CPLR article 9 ‘has much in common with’ . . . the federal class action provision” (*Maul*, 14 NY3d at 510, quoting *Matter of Colt Indus. Shareholder Litig.*, 77 NY2d 185, 194 [1991]).

statute of limitations are barred from recovery,” a timeliness problem with respect to some class members “does not establish that individual issues predominate,” particularly where, as here, there are allegations of a nucleus of a common scheme of fraud (*In re Monumental Life Ins. Co.*, 365 F3d 408, 421 [5th Cir 2004]). It would be antithetical to CPLR 901 to conclude that a statute of limitations defense applicable to some, but not all, members of a class of plaintiffs would insulate defendants from class liability.

Accordingly, the Appellate Division order insofar as appealed from should be affirmed, with costs, and the certified question answered in the affirmative.

GARCIA, J. (dissenting). The complaint in this case was originally brought on behalf of all current and former rent-stabilized tenants in “over 20 apartment buildings” in New York City, alleging “a scheme designed to inflate rents.” In upholding reinstatement of the class allegations in that complaint, the majority fails to identify any possible “questions of law or fact common to the class which [could] predominate over any questions affecting only individual members” (CPLR 901 [a] [2]). Understandably: there are none. For that reason, the trial court properly granted the motion to dismiss the class allegations. Accordingly, I dissent.

I.

I agree with the majority that, when it is clear from the face of a pleading and any supporting affidavits that a class cannot be certified, the class allegations in that pleading must be dismissed upon a motion made pursuant to Civil Practice Law and Rules § 3211 (a) (7) (*see* majority op at 123). A class action complaint and supporting affidavits must satisfy the plaintiff-friendly standards New York courts apply in the motion to dismiss context (*see Leon v Martinez*, 84 NY2d 83, 87-88 [1994]; *see also Chanko v American Broadcasting Cos. Inc.*, 27 NY3d 46, 52 [2016]). Thus, they must allege facts that, when accepted as true and “accord[ed] . . . the benefit of every possible favorable inference” (*Leon*, 84 NY2d at 87-88), indicate that class certification would be within the discretion of the trial court as a matter of law and there is a possible “basis for class action relief” (*Wojciechowski v Republic Steel Corp.*, 67 AD2d 830, 831 [4th Dept 1979]). Put another way, the complaint and supporting affidavits must allege facts showing that a plaintiff

could meet each of the CPLR 901 (a) prerequisites following class discovery. If the complaint and any supporting affidavits do not allege such facts and a defendant files a motion to dismiss pursuant to CPLR 3211 (a) (7), the class allegations must be dismissed.¹

Permitting the dismissal of class allegations without prejudice at this stage of the proceedings serves the general goals of CPLR 3211 (a), preventing courts and litigants from needless costs—particularly those resulting from discovery—associated with class certification proceedings that have no chance of success. A contrary rule would instead tie the hands of the trial court in a way that undermines, rather than promotes, those objectives and frustrates the goal of efficiency central to class actions (*see e.g.* CPLR 901 [a] [5] [requiring that for a class action to be maintained, it “(must be) superior to other available methods for the fair and efficient adjudication of the controversy”]; Governor’s Mem approving L 1975, ch 207, 1975 McKinney’s Session Laws of NY at 1748 [explaining that the class action regime set forth in article 9 “w(ill) result in greater conservation of judicial effort”]). An overly restrictive interpretation of trial court authority in this area would also impose class discovery on the party opposed to certification which, while often not as expensive or time-consuming as merits discovery,² may nonetheless lead to significant costs (*see* CPLR 3102 [a] [cataloging the many discovery devices available to parties in civil litigation, including interrogatories, depositions, and document requests]; *cf.* brief for respondents in *Wal-Mart Stores, Inc. v Dukes*, 564 US 338 [2011], available at 2011 WL 686407, *10-11 [noting that precertification discovery in a federal class action included “over 200 depositions, production

1. The prevailing view in federal court is to allow trial courts to dispose of class allegations prior to a motion for class certification (*see e.g.* *Vinole v Countrywide Home Loans, Inc.*, 571 F3d 935, 940 [9th Cir 2009] [(D)istrict courts throughout the nation have considered defendants’ ‘preemptive’ motions to deny certification”]; Joseph M. McLaughlin, 1 McLaughlin on Class Actions § 3:4 [15th ed 2018] [(M)otions to strike should not be the norm, but are appropriate where the unsuitability of class treatment is evident on the face of the complaint and incontrovertible facts”]).

2. While trial courts may try to bifurcate discovery into a class phase and a merits phase, they may nevertheless permit some degree of merits discovery during the precertification phase due to difficulty drawing a hard line between class discovery and merits discovery (*see* David F. Herr, Annotated Manual for Complex Litigation § 21.14 [4th ed 2019]; William B. Rubenstein, 3 Newberg on Class Actions § 7:17 [5th ed 2011]).

of more than a million pages of documents, and electronic personnel data”)].³

Accordingly, when it is readily apparent from the face of a pleading and any supporting affidavits that the claims are not appropriate for class relief, trial courts should have the freedom to grant motions to dismiss the class allegations.

II.

While we agree with the rule the majority appears to embrace, the incorrect application of that rule in this case will in effect preclude trial courts from granting motions to dismiss even the most insufficient of class allegations.

A.

As the dissent below pointed out, the deficiency in this complaint is not based on whether common questions of law or fact would *predominate*; it is that questions common to the class, predominant or otherwise, simply do not exist (*Maddicks v Big City Props., LLC*, 163 AD3d 501, 506 [1st Dept 2018, Friedman, J.P., dissenting]). The bare allegation that the defendants have overcharged rent to the plaintiffs, without a common theory of how they did so, is legally insufficient to find that common issues predominate.

Recognizing that deficiency, the majority justifies the denial of relief by relying on an alleged “scheme” or a “pattern and practice” by the defendants in overcharging rent (majority op at 120). The example given by the majority is a case involving a defect in a mass-produced product “such as an automobile” which damages consumers in different ways (majority op at 124). There is no common “defect” alleged here that produces disparate harms. The allegation is only that the plaintiffs have been harmed—by paying inflated rents—but the cause of that harm is not a “common flaw” (majority op at 124). Rather, it is different for at least four different classes of plaintiffs (*see* majority op at 120-121). For some plaintiffs, there are allegations of

3. These concerns are not merely academic. For example, in *Adler v Ogden CAP Props., LLC* (42 Misc 3d 613 [Sup Ct, NY County 2013], *affd* 126 AD3d 544 [1st Dept 2015]), the plaintiffs brought a bilateral class action, on behalf of all renters in the State of New York against all landlords in the State of New York (*id.* at 615). Such classes obviously could not be certified. Nevertheless, the trial court permitted class discovery (*id.* at 619), during which the plaintiffs “sought broad and expensive electronic discovery to which defendants objected” (*id.* at 619). The court eventually stayed class discovery pending decision on a summary judgment motion (*id.* at 615).

violations of the J-51 tax program. For most, there are not. For some, there are allegations of insufficient individual apartment improvements (IAIs) to justify any imposed rent increases. For others, there are not. For some, there are allegations of inadequate registration. For others, there are not. For some, there are allegations that defendants inflated fair market rents on previously rent-controlled apartments. For others, there are not.

There is some sleight of hand in the majority's approach, which emphasizes that even though each claim may require separate proof, for example with respect to damages, that fact cannot in itself defeat class certification (*see* majority op at 126-127). True, of course, and well established in our case law. But in beginning the analysis there, the majority directs attention away from the requirement of a predominant issue of law or fact creating the need to calculate those individual damages. "[T]he fact that questions peculiar to each individual may remain *after* resolution of the common questions is not fatal to the class action" (majority op at 125 [emphasis added], quoting *City of New York v Maul*, 14 NY3d 499, 514 [2010]). Lack of any common question is fatal here.

The majority further asserts that it is a mistake to focus on mere "nuances of *how* th[e] overcharges allegedly were accomplished" (majority op at 124). Instead, according to the majority, commonality is somehow satisfied by allegations of "a common method to damage in slightly different ways" (majority op at 124), although the method itself is never articulated. That is not only incorrect, but inaccurate in describing the theories of harm upon which the plaintiffs rely. As the Appellate Division dissent correctly noted, the existence or nonexistence of a "systematic" effort by the defendants to overcharge rent is irrelevant to the merits of each individual plaintiff's overcharge claim (*see Maddicks*, 163 AD3d at 511 [Friedman, J.P., dissenting]). While it might lead to the possibility of treble damages in individual or joined actions, such damages are not permissible in a class action (*see* CPLR 901 [b]; *Borden v 400 E. 55th St. Assoc., L.P.*, 24 NY3d 382, 398 [2014]).⁴ In this case, the existence of a "common systematic plan" (majority op at 125) would

4. The majority contends that we "ignore[]" plaintiff's allegation that defendants have engaged in "a clear pattern and practice of improper and illegal conduct" (majority op at 120 and n 2). On the contrary, we acknowledge that plaintiffs allege the existence of a "pattern and practice" or "scheme" in their complaint. Under the theories of harm alleged, however, those allega-

(n. cont'd)

be the legal equivalent of arguing that there are common issues of fact because all of the dwellings at issue are apartments in Manhattan or every member of the class was a renter. Holding that such generalized and immaterial facts may serve as potential predicates for class certification risks turning the commonality and predominance requirements into a nullity (see *Gaston v Exelon Corp.*, 247 FRD 75, 82 [ED Pa 2007] [denying class certification on commonality grounds because, “although some of the() (asserted common) questions may be relevant to the claims of all class members, they are not suitable for class resolution” and “(t)hose questions that would potentially be amenable to resolution on a class-wide basis are not applicable to all class members”]). That risk has been realized here.

The majority trivializes the questions that must be answered for each plaintiff’s claims, describing them as “potential idiosyncrasies . . . that speak to damages, not to liability” (majority op at 124). For most of the claims, however, the particularized “idiosyncrasies” will determine both damages *and* liability. For example, each claim based upon misrepresentation of IAIs will require independent analyses of each apartment on the issue of liability, to determine whether the IAIs were sufficient to justify an associated rent increase. If the IAIs for a particular apartment were not sufficient, defendants would be liable. If the IAIs for a particular apartment were sufficient, defendants would not be liable. A determination for each apartment is entirely independent of the determination for any other apartment—with no overlapping factual question—and there is no way to decide the issue for each plaintiff without looking at the individual apartments and IAIs. Similarly discrete analyses would be required for each allegation that the defendants failed to adequately register a specific apartment, made misrepresentations to a specific plaintiff, or inflated the fair market rent on a specific apartment that had exited rent-controlled status.⁵ These legal and factual “idiosyncrasies,”

tions—even if they prove true—are simply immaterial; they are not “questions of law or fact” to be argued or proved (CPLR 901 [a] [2]).

5. We agree with the majority that the J-51 claims may be amenable to class resolution. However, only 4 of the 11 buildings were part of the J-51 Program, and any commonality as to those claims certainly would not predominate.

rather than *any* common question, would necessarily predominate.⁶

B.

The majority relies heavily on *City of New York v Maul* to justify reinstatement of the class allegations (*see* majority op at 125-126). However, unlike the present case, the plaintiffs in *Maul* presented several “common allegations that transcend[ed] and predominate[d] over any individual matters” for all or virtually all of the plaintiffs (14 NY3d at 512). For example, “all but one of the plaintiffs alleged that [the New York City Administration for Children’s Services] had failed to timely make a referral to [the New York State Office of Mental Retardation and Developmental Disabilities (OMRDD)],” leading to harm for the affected plaintiffs (*id.*). In addition, “each of the plaintiffs asserted that, when they were referred to OMRDD, [that agency] failed to provide timely services, often placing them on open-ended waiting lists” (*id.* [emphasis added]). No such common allegations are found in this complaint.

We emphasized that the plaintiffs in *Maul* sought relief to address “interrelated harms” (*id.* at 513). Here, as discussed previously, the claims are not “interrelated” but will instead require largely discrete and independent analyses. The plaintiffs’ claims relate to 11 different buildings, with several different owners over different periods of time, and with at least four different theories of harm that have little-to-no overlap on an apartment-by-apartment basis. Unlike *Maul*, involving failures by government agencies to provide services, there are no specific facts common to all or virtually all of the named plaintiffs. While *Maul* approached the “outer boundary” of commonality (*id.* at 512), class certification given the facts alleged in the complaint would go well beyond any reasonable limitation. The majority is in effect saying that a bald assertion of commonality—“a pattern or practice of overcharging rent”—is enough to survive a motion to dismiss.

6. The majority views its approach as “the moderate one” under the circumstances (majority op at 126). However, given the ostensibly “common” facts alleged here—a “scheme” entered into by 11 different defendants involving several buildings with different owners over a relatively lengthy period of time—it seems reasonable to believe that class discovery will be neither efficient nor straightforward in this case. Moreover, as discussed previously, trial courts may have difficulty limiting class discovery during the precertification phase (*see* n 2, *supra*) and preventing lengthy proceedings associated with class discovery requests even when it is clear that class certification will be denied (*see* n 3, *supra*).

C.

The majority appears to give trial courts theoretical permission to grant CPLR 3211 (a) (7) motions prior to a motion for certification. Yet, the majority also asserts that it would be improper to allow courts to grant such motions for complaints that fail to plead the CPLR 901 (a) prerequisites on their face because it would “nullify” the provisions in CPLR 906 that allow for the creation of “issue classes” (CPLR 906 [1]) and “subclasses” (CPLR 906 [2]) (*see* majority *op* at 126). That is incorrect. CPLR 906’s provisions are essentially “management devices” that allow the trial court to more effectively organize class disputes. CPLR 906 (1) allows a court to create classes based on common issues, even if a particular matter still requires adjudication of several individualized questions. CPLR 906 (2) permits a court to create subclasses when, even though the entire class meets the CPLR 901 (a) prerequisites, the class may be further subdivided for efficiency or organizational reasons in the court’s discretion. In either case, however, the antecedent question remains whether there exists an overarching *class* that can meet the CPLR 901 (a) prerequisites. Dismissing class allegations from a complaint that cannot meet each of the necessary CPLR 901 (a) prerequisites does not nullify the provisions of CPLR 906 for appropriate cases.

III.

The discretion and flexibility of trial courts in overseeing class actions is vital to the design of article 9 (*see* Governor’s Mem approving L 1975, ch 207, 1975 McKinney’s Session Laws of NY at 1748 [explaining that article 9 “empowers the court to prevent abuse of the class action device and provides a controlled remedy which recognizes and respects the rights of the class as well as those of its opponent”]). If, as the majority holds, it is not appropriate to dismiss the class allegations in this case, it is difficult to foresee a case in which the majority’s rule will have any practical effect: motions to dismiss even the most inadequate of class allegations must be denied. That outcome invites parties to file class allegations—even if a class could never be certified—knowing that they can force opposing parties to bear the costs of class discovery and certification proceedings (*see e.g. Adler*, 42 Misc 3d at 619, 629-630). The effect will be to diminish the power of the court to prevent abuse of the class action process.

Judges RIVERA, STEIN and WILSON concur; Judge GARCIA dissents in an opinion in which Chief Judge DiFIORE and Judge FEINMAN concur.

Order insofar as appealed from affirmed, with costs, and certified question answered in the affirmative.

[137 NE3d 476, 114 NYS3d 21]

CAROL HENRY, Appellant, v HAMILTON EQUITIES, INC., et al.,
Respondents.

Argued September 10, 2019; decided October 24, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 1, 2018. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Norma Ruiz, J.; op 2017 NY Slip Op 33112[U] [2017]), which, to the extent appealed from as limited by the briefs, had granted the motion of defendants Hamilton Equities, Inc., Hamilton Equities Company, and Suzan Chait-Grandt, as administrator of the estate of Joel Chait, for summary judgment dismissing the complaint and all cross claims as against them.

Henry v Hamilton Equities, Inc., 161 AD3d 418, affirmed.

HEADNOTE**Negligence — Maintenance of Premises — Liability of Out-of-Possession Landlord**

Defendant out-of-possession landlords were not liable for plaintiff's injuries resulting from her fall on water leaking from the roof of the nursing home facility which leased defendants' property, where the regulatory agreement between defendants and the United States Department of Housing and Urban Development (HUD) related to the facility's construction requiring defendants to "maintain the mortgaged premises . . . in good repair and condition" did not constitute a contractual obligation owed directly to the tenant. An out-of-possession landlord is generally not liable for injuries caused by dangerous conditions on the property. However, a duty to remedy dangerous conditions is imposed on a landlord who has made a covenant to repair directly with the tenant. While the lease provided defendants with a right to reenter the premises to make repairs, it unequivocally placed the duty to maintain and repair the facility on the nursing home. The HUD regulatory agreement did not alter the contractual relationship between defendants and the nursing home regarding control of the premises or replace the nursing home's contractual duty to perform maintenance and repairs at the facility. Although the terms of the HUD regulatory agreement were to supersede all other requirements in conflict therewith, the HUD regulatory agreement did not conflict with, or absolve the nursing home of, its responsibilities under the original lease. Given the absence of a conflict on the issue of the nursing home's duties to make repairs, the HUD regulatory agreement, as incorporated into the lease amendment, was not a covenant that could be said to displace the nursing home's duties or alter the relationship between landlord and tenant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Premises Liability §§ 13, 17.
DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT IN-
CLUDING SUMMARY PROCEEDINGS (5th ed) § 18:40.
NY JUR 2d Premises Liability §§ 140, 161, 165, 167, 170.
NEW YORK LAW OF TORTS § 12:13.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Repairs and Maintenance.

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POINTS OF COUNSEL

Alan S. Friedman, New York City, for appellant. I. *Putnam v Stout* (38 NY2d 607 [1976]) contemplates that an owner can be held liable based on an outside agreement to maintain property. II. Hamilton Equities Company, Hamilton Equities, Inc. and Suzan Chait-Grandt as administrator of the estate of Joel Chait were never truly “out-of-possession.” (*Putnam v Stout*, 38 NY2d 607; *Munro v State of New York*, 223 NY 208; *Matter of State of New York*, 207 NY 582; *Matter of Mulligan v Murphy*, 19 AD2d 218; *People v Ricken*, 29 AD2d 192, 27 NY2d 923; *Escoe v Zerbst*, 295 US 490; *Bank of N.Y. Mellon v WMC Mtge., LLC*, 136 AD3d 1; *Matter of Aho*, 39 NY2d 241.)

Kennedys CMK LLP, New York City (*Michael J. Tricarico* of counsel), for respondents. I. The lower courts properly applied the Court of Appeals’ holding in *Putnam v Stout* (38 NY2d 607 [1976]). (*Campbell v Holding Co.*, 251 NY 446; *Putnam v Stout*, 38 NY2d 607; *Cullings v Goetz*, 256 NY 287; *Brooks v Dupont Assoc.*, 164 AD2d 847; *Cherubini v Testa*, 130 AD2d 380; *Colon v Mandelbaum*, 244 AD2d 292; *Rojas v New York El. & Elec. Corp.*, 150 AD3d 537; *State of Cal. Pub. Employees’ Retirement Sys. v Shearman & Sterling*, 95 NY2d 427; *O’Gorman v Gold Shield Sec. & Investigation*, 221 AD2d 325; *Grand Manor Health Related Facility, Inc. v Hamilton Equities Inc.*, 941 F Supp 2d 406.) II. The lower court correctly held that the second

general exception to the out-of-possession property owner doctrine is inapplicable here. (*Sapp v S.J.C. 308 Lenox Ave. Family L.P.*, 150 AD3d 525; *Devlin v Blaggards III Rest. Corp.*, 80 AD3d 497; *Reyes v Morton Williams Associated Supermarkets, Inc.*, 50 AD3d 496; *Boateng v Four Plus Corp.*, 22 AD3d 323.) III. Even if Hamilton Equities Company, Hamilton Equities, Inc. and Suzan Chait-Grandt as administrator of the estate of Joel Chait could not divest themselves of control of the premises, summary judgment was still properly granted in their favor. (*Piacquadio v Recine Realty Corp.*, 84 NY2d 967.)

OPINION OF THE COURT

STEIN, J.

In *Putnam v Stout*, this Court recognized a limited exception to the general rule that an out-of-possession landlord is not liable for injuries resulting from the condition of the demised premises where, among other things, the landlord “covenant[s] in the lease or otherwise to keep the land in repair” (38 NY2d 607, 617 [1976]). The issue presented on this appeal is whether that exception applies to a regulatory agreement between defendants, as owners of the property, and the United States Department of Housing and Urban Development (HUD), as guarantor of the mortgage on defendants’ premises. We hold that the regulatory agreement at issue here is not such a covenant, and decline to expand the exception in *Putnam* to these facts.

I.

Plaintiff, a nurse, was injured when she allegedly slipped and fell on water that had leaked in through the roof and pooled on the top floor of a nursing home operated by her employer, Grand Manor Nursing and Rehabilitation Center. Defendants Hamilton Equities Company (Hamilton Company) and Suzan Chait-Grandt owned the property in which the nursing home operated, defendant Hamilton Equities, Inc. (Hamilton Inc.) was the general partner of Hamilton Company, and defendant Chait-Hamilton Management Corporation (Chait-Hamilton) managed it.¹ In 1974, Hamilton Inc. entered into a lease agreement with Grand Manor’s predecessor for the soon-to-be-constructed nursing home facility. The lease stated that

1. Hamilton Company, Hamilton Inc., and Suzan Chait-Grandt, collectively, will be referred to as the Hamilton defendants. Plaintiff’s claims against Chait-Hamilton are not at issue in this appeal.

the tenant would, at its “sole cost and expense, maintain and keep all parts of the leased premises . . . in a good state of repair and condition.” Moreover, although Hamilton Inc. maintained the right to enter the facility to make repairs if the tenant failed to do so, the lease specified that it was not to be construed “as making it obligatory upon the part of [Hamilton Inc.] to make such repairs or to perform such work.” Rather, the lease provided that Hamilton Inc. “shall not be required to maintain, repair or replace any part of the leased premises or any of its fixtures, furniture, machines, equipment or appurtenances.”

A 1978 amendment to the lease acknowledged that Hamilton Inc. would finance the project “through the Federal Housing Administration (‘FHA’)” and, in the event of inconsistencies between the lease and any regulatory agreements related to this financing, the “regulatory agreements [would] prevail and govern the rights of the parties.” Hamilton Company thereafter secured a mortgage from Regdor Corporation in connection with the construction of the facility; the mortgage was insured by the FHA, which is part of HUD. Plaintiff’s expert in the current action averred that the purpose of the regulatory agreement was to “protect both the physical asset[,] as well as the fiscal integrity of the property.” The regulatory agreement between Hamilton Company and HUD provided that Hamilton Company, as the owner, was required to “maintain the mortgaged premises, accommodations and the grounds and equipment appurtenant thereto, in good repair and condition.” Consequences of Hamilton Company breaching its duties under the regulatory agreement included HUD accelerating the indebtedness due, collecting rent from the nursing home, taking possession of the nursing home and applying for an injunction. The agreement stated that it was entered into “[i]n consideration of the endorsement for insurance by the Secretary” of HUD and that its requirements were “paramount and controlling as to the rights and obligations set forth and supersede[d] any other requirements in conflict therewith.”²

Notably, the regulatory agreement required Hamilton Company to establish a “reserve fund” to be used for, among

2. The lease amendment continued all terms from the 1974 lease that did not conflict with the regulatory agreement. Inasmuch as the regulatory agreement did not relieve Grand Manor of its obligation to maintain the mortgaged premises under the 1974 lease, that obligation remained “in full force and effect.”

other things, “effecting replacement of structural elements . . . and mechanical equipment” at the facility. As the mortgagee, Regdor controlled the reserve fund; however, “[d]isbursements from such fund” could be made only “after receiving the consent in writing” of the Secretary of HUD. The 1978 amendment to the lease also referenced the reserve fund. Although the “paramount and controlling” regulatory agreement required Hamilton Company to deposit approximately \$4,100 per month into the reserve fund, the lease amendment provided that two thirds of the required amount would be paid by the tenant and one third would be paid by Hamilton Inc. The amendment to the lease also specified that “only Lessee”—i.e., Grand Manor—“may withdraw from such fund for the purposes for which such fund is established.” Consistent with its obligations under the lease to maintain the facility in a state of good repair and the dictates of the lease amendment providing that only Grand Manor could make withdrawals from the reserve fund established as a source to pay for the repairs, Grand Manor applied for and received HUD’s authorization for the release of money from this fund for the purpose of improving the facility’s fire alarm and sprinkler system (*see Grand Manor Health Related Facility, Inc. v Hamilton Equities Inc.*, 941 F Supp 2d 406, 412 [SD NY 2013]).³

There is nothing in the record to suggest that, for the period of approximately 30 years following construction of the property until plaintiff’s accident, the Hamilton defendants ever made repairs to, or even visited, the property. HUD periodically inspected the facility, including in 2007, 2008, and 2009,

3. The dissent, in recounting the parties’ respective obligations under the lease, regulatory agreement and lease amendment, asserts that the Hamilton defendants could “request . . . access to the reserve fund to pay for . . . repair costs” (dissenting op at 158). That is unsupported by the record; the lease amendment provided that only Grand Manor could withdraw from this fund, and the HUD agreement—which is silent on the issue of who may request access to the fund—does not indicate otherwise. If the dissent’s reading of the various agreements were correct—i.e., if the lease amendment supplanted the provision of the original lease obligating Grand Manor to make repairs—only the Hamilton defendants, as lessors, would be permitted to make withdrawals from the reserve fund, rather than Grand Manor, as lessee. Contrary to the dissent’s conclusion, our decision in *Xiang Fu He v Troon Mgt. Inc.* (34 NY3d 167 [2019]) is not relevant to the issue presented in this case, which turns on the parties’ respective contractual obligations in relation to common-law principles; this case does not concern whether an owner may shift, to a tenant, liability in tort for injuries to third parties in the face of a statute (or regulation) expressly placing that liability on the property owner.

and provided either Chait-Hamilton or Hamilton Company with summary reports after each inspection. The reports revealed that the facility required maintenance and repair work each year, with the 2007 and 2008 reports indicating that repairs were necessary due to water and mold damage. However, the 2009 inspection report indicated that the facility's condition had significantly improved, resulting in the facility being excused from inspection for the next three years. Although none of the reports mentioned a roof leak, it is undisputed that Grand Manor hired contractors to repair roof leaks, once in 2009 and, again, in 2011—shortly before plaintiff's accident.

Following her accident, plaintiff commenced the instant action alleging, in pertinent part, that defendants, as the owners and managers of the property, were aware of leaks in the roof at the facility and failed to cure the defective condition for an unreasonable length of time. The Hamilton defendants moved for summary judgment dismissing the complaint and all cross claims as against them on the ground that plaintiff had not established an exception to the general rule that out-of-possession landlords are not liable for the condition of the subject premises. In opposition, plaintiff countered that the regulatory agreement with HUD imposed on the Hamilton defendants a non-delegable duty *in tort*, in favor of third parties, such as plaintiff, to maintain the facility, including the roof, and that defendants had actual notice of the facility's defective condition through the HUD inspection reports.

Supreme Court, as relevant here, granted the motion and dismissed the complaint and all cross claims asserted against the Hamilton defendants. The court held that the Hamilton defendants were out-of-possession landlords and were entitled to the protection of the general rule that such landlords will not be liable for injuries caused by dangerous conditions on the lease premises. While the court recognized that an exception to the general rule exists when an out-of-possession landlord "is contractually obligated to make repairs and/or maintain the premises," the court concluded that there was "no reasonable argument that the HUD regulatory agreement was designed to afford Grand Manor, as tenant, the benefits discussed in *Putnam*," and that plaintiff did "not allege[] that Grand Manor, as tenant, was aware of the contractual obligation imposed by HUD or relied on it" (2017 NY Slip Op 33112[U], *4-5 [Sup Ct, Bronx County 2017] [internal quotation marks omitted]).

The Appellate Division unanimously affirmed Supreme Court’s order insofar as appealed, concluding that inasmuch as “[t]he social policy considerations cited by the Court of Appeals in *Putnam* . . . , are promoted only where the landlord had a contractual obligation directly to the tenant,” the Hamilton defendants were not liable for the condition of the facility (161 AD3d 418, 419 [1st Dept 2018]). This Court granted plaintiff leave to appeal (32 NY3d 902 [2018]).

II.

Landowners generally owe a duty of care to maintain their property in a reasonably safe condition, and are liable for injuries caused by a breach of this duty (see *Gronski v County of Monroe*, 18 NY3d 374, 379 [2011]). The “duty is premised on the landowner’s exercise of control over the property, [because] ‘the person in possession and control of property is best able to identify and prevent any harm to others’” (*id.*, quoting *Butler v Rafferty*, 100 NY2d 265, 270 [2003]). In contrast, a “landowner who has transferred possession and control [i.e., an out-of-possession landlord] is generally not liable for injuries caused by dangerous conditions on the property” (*id.*; see *Chapman v Silber*, 97 NY2d 9, 19 [2001]). There are, however, exceptions.

For example, out-of-possession landlords may be held liable “for dangerous conditions on the leased premises” if “a duty to repair the premises is imposed . . . by contract” in certain, limited instances (*Rivera v Nelson Realty, LLC*, 7 NY3d 530, 534 [2006]). Historically, this was not so: Even where there was a covenant to repair made by the property owner directly with the tenant, “upon the landlord’s breach of the covenant to repair, the tenant obtained only an action in contract for the breach” and, therefore, “third persons not parties to the contract had no right of action whatever against the landlord, and were relegated to recovery against the tenant” (*Putnam*, 38 NY2d at 614; see *Cullings v Goetz*, 256 NY 287, 290 [1931]). In other words, a “covenant to repair [did] not impose upon the lessor a liability in tort at the suit of the lessee or of others lawfully on the land in the right of the lessee” (*Cullings*, 256 NY at 290). The primary rationale underlying the old rule was that “the tenant, as occupier of the land, had control of its safety and if [the tenant] so desired, could [avoid liability] by excluding people from [the] property or by discriminating against those whom [the tenant] believed would not look out

for their own safety whereas the landlord had neither control nor possession, and [the landlord's] covenant to repair did not reserve either" (*Putnam*, 38 NY2d at 614-615; see *Chapman*, 97 NY2d at 19).

In *Putnam*, "this Court relaxed the doctrine, imposing a duty to remedy dangerous conditions on a landlord who had contractually assumed the responsibility to make repairs," at least in cases where the property owner made the covenant to repair directly with the tenant (*Chapman*, 97 NY2d at 19). Specifically, the Court overruled *Cullings* to adopt the rule set forth in the Restatement (Second) of Torts § 357 that a landlord "may be liable for harm caused to others upon [the] land with the permission of the [tenant], on the basis of [a] contract to keep the premises in good repair" (*Putnam*, 38 NY2d at 611) so long as three conditions are met: (1) the "lessor, as such, has contracted by a covenant in the lease or otherwise to keep the land in repair," (2) "the disrepair creates an unreasonable risk to persons upon the land which the performance of the lessor's agreement would have prevented, and" (3) the "lessor fails to exercise reasonable care to perform [the] contract" (*id.* at 617, quoting Restatement [Second] of Torts § 357).

In overruling *Cullings*, the *Putnam* Court opined that "[t]he Restatement rule . . . more accurately and realistically place[s] an increased burden on a lessor who contracts to keep the land in repair" (38 NY2d at 617). The *Putnam* Court explained that placing the burden on the landlord is justified because: (1) the "lessor has agreed, for a consideration, to keep the premises in repair"; (2) there is a "likelihood that the landlord's promise to make repairs will induce the tenant to [forgo] repair efforts which [the tenant] otherwise might have made"; and (3) the "lessor retains a reversionary interest in the land and by [the] contract may be regarded as retaining and assuming the responsibility of keeping [the] premises in safe condition" (*id.*). Moreover, the Court observed that certain "social policy" considerations weigh in favor of placing the burden of repair on the contracting landlord, specifically that: (1) "tenants may often be financially unable to make repairs"; (2) when a tenant's possession is for a limited term, "the incentive to make repairs is significantly less than that of a landlord"; and (3) "in return for [the] pecuniary benefit from the relationship, the

landlord could properly be expected to assume certain obligations with respect to the safety of the others” (*id.* at 617-618).⁴

Here, while the lease provided Hamilton Inc. with a right to reenter the premises to make repairs, it unequivocally placed the duty to maintain and repair the facility on Grand Manor. Thus, plaintiff can recover against defendants only if the exception set forth in *Putnam* applies to the HUD regulatory agreement, as incorporated into the lease amendment, insofar as that agreement required Hamilton Company to “maintain the mortgaged premises, accommodations and the grounds and equipment appurtenant thereto, in good repair and condition.” Plaintiff relies on the Court’s statement in *Putnam* that the exception applies when the lessor “‘as such, has contracted by a covenant in the lease or otherwise to keep the land in repair’ ” (*id.* at 617 [emphasis added], quoting Restatement [Second] of Torts § 357). She argues that this language signifies that the exception outlined in that case applies to any agreement made by the lessor, regardless of whether the agreement is directly with the tenant.⁵ We disagree.

In our decisions following *Putnam*, this Court has confirmed that the degree of control retained over the property by the landlord remains an important consideration (*see e.g. Gronski*, 18 NY3d at 379; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628, 643 [1996]; *Guzman v Haven Plaza Hous. Dev. Fund Co.*, 69 NY2d 559, 567 n 4 [1987]). Indeed, a primary concern underlying *Putnam* was that a landlord’s promise to make repairs and reservation of the right to enter to perform those repairs would induce the tenant to forgo repair efforts that otherwise would have been made (*see Putnam*, 38 NY2d at 614 n 4, 617). As

4. To reiterate, *Putnam* sets forth three factors that must be considered in determining whether the Restatement rule is applicable: the lessor, as such, has contracted in the lease or otherwise to keep the land in repair; the failure to meet that obligation creates an unreasonable risk to persons upon the land; and the lessor has failed to exercise reasonable care in meeting the obligation (38 NY2d at 617). That is the only analytical framework set forth in *Putnam*. Unlike the dissent, we read the remaining considerations discussed in *Putnam* as providing an explanation for the Court’s decision to depart from its prior precedent, rather than as establishing an additional test that must be applied in each case.

5. The only case which plaintiff cites in support of her argument that the *Putnam* exception extends to regulatory agreements between landlords and HUD is *Rojas v New York El. & Elec. Corp.* (150 AD3d 537 [1st Dept 2017]). However, *Rojas* is clearly distinguishable inasmuch as the lease at issue was illegible, and there was evidence that the landlord had hired a third party to perform repairs.

noted above, *Putnam* adopted the rule set forth in the Restatement (Second) of Torts § 357; significantly, the Comments to that section emphasize the “special relation between the parties, and the peculiar likelihood that the lessee will rely upon the lessor to make the repairs, and so will be induced to [forgo] efforts which [the lessee] would otherwise make to remedy conditions dangerous to [the lessee] and to others who enter the land” (Restatement [Second] of Torts § 357, Comment *b* [2]). Thus, it is the relationship between those two parties—the landlord and the tenant—as reflected in their agreements regarding the maintenance of the property, that drives the analysis.

Critically, the HUD regulatory agreement, as incorporated into the 1978 amendment to the lease, did not alter the contractual relationship between the Hamilton defendants and Grand Manor regarding control of the premises or replace Grand Manor’s contractual duty to perform maintenance and repairs at the facility. Although the terms of the HUD agreement were to supersede all other requirements in conflict therewith, the regulatory agreement did not conflict with, or absolve Grand Manor of, its responsibilities under the original lease. Indeed, as previously noted, the amendment continued all terms from the lease that did not conflict with the regulatory agreement. Given the absence of a conflict on the issue of Grand Manor’s duties to make repairs, the HUD agreement, as incorporated into the lease amendment, was not a covenant that could be said to displace Grand Manor’s duties or alter the relationship between landlord and tenant in the manner contemplated by *Putnam*.

In that regard, an analysis of the Court’s rationale in *Putnam* for adopting the rule further indicates that the exception does not apply to (and should not be expanded to cover) the HUD regulatory agreement. In particular, the *Putnam* Court’s emphasis on the likelihood that the landlord’s promise to make repairs will induce the tenant to forgo repair efforts which it might otherwise have made clearly is not implicated by that agreement. The record reflects that Grand Manor regularly performed repairs (although perhaps negligently), including repairs to the alleged injury-causing roof condition in 2009, and retained a contractor to make further repairs to the roof two weeks before the accident. In addition, the regulatory agreement required monthly deposits into a reserve fund to be used for replacement of structural elements and mechanical

equipment at the facility, and the 1978 amendment to the lease permitted only Grand Manor to withdraw money from the fund “for the purposes for which such fund is established.” Significantly, Grand Manor successfully sought HUD’s authorization for the release of money from this fund for the purpose of maintaining the facility’s sprinkler system, whereas nothing in the record suggests that defendants ever performed any repairs.

Thus, the “exception to the general rule” set forth in *Putnam* is inapplicable to the regulatory agreement, and the general rule applies—that is, the “landlord is not liable for conditions upon the land after the transfer of possession” (38 NY2d at 617). Indeed, adoption of plaintiff’s proposed rule—that would require us to extend the exception set forth in *Putnam* to any agreement made by the lessor to make repairs—would mean that lessees could assume the sole obligation in a lease to maintain premises in good repair but avoid making repairs in reliance on a covenant later discovered between the landowner and a third party, a result not intended or supported by *Putnam*.

The parties’ remaining arguments are either unpreserved, rendered academic or lacking in merit. Accordingly, the order of the Appellate Division should be affirmed, with costs.

RIVERA, J. (dissenting). When an out-of-possession property owner enters a federal regulatory agreement to fund a nursing home project that requires the owner to maintain the premises in good condition and repair, and when that agreement’s conditions are incorporated as superseding terms in the lease between the owner and the tenant, the owner should be subject to liability to persons lawfully on the premises for injuries proximately caused by negligent maintenance. That result flows naturally from *Putnam v Stout* (38 NY2d 607 [1976]), which held that a property owner “may be liable for injuries to persons coming onto [the owner’s] land with the consent of [the] lessee solely on the basis of [the owner’s] contract or covenant to keep the premises in repair” (*id.* at 617-618). The *Putnam* rule is based on the Restatement (Second) of Torts and applies to an out-of-possession landowner who has delegated the primary duty to maintain the premises to a lessee or tenant (*id.*), as is the case here.

The majority’s conclusion that the regulatory agreement—the terms of which are incorporated into and supersede the

lease—has no effect on the leasehold relationship or the owner’s duty of care to the lessee and others on the property is contrary to property and contract law. It misunderstands basic elements of New York tort law, as evidenced by the majority’s attempt to evade *Putnam*’s defining rationale and the policy central to the holding in that case. It also undermines the Congressional purpose of funding nursing home projects like defendants’—namely, to address an urgent need to provide housing and treatment to vulnerable populations unserved by the private market through increased funding for construction and maintenance of safe and affordable facilities.

I.

Defendant corporate and individual property owners (the Hamilton defendants) entered a contract to build and run a nursing home facility on their land.¹ The contract required that they secure the capital necessary to realize this business venture. When they failed to get a mortgage through the private commercial mortgage market, they sought and obtained a federally insured, 5.6-million-dollar mortgage endorsed by the United States Department of Housing and Urban Development (HUD). In consideration for the endorsement, and in accordance with the applicable federal statutory and regulatory requirements, the Hamilton defendants signed a regulatory agreement with HUD (HUD agreement), by which they covenanted to repair and maintain the property throughout the life of the HUD agreement. The Hamilton defendants reasserted that promise in their amended lease with the nursing home facility lessee, Grand Manor.

This appeal concerns plaintiff Carol Henry’s tort claims against the Hamilton defendants as owners of the property where the nursing home is located. She alleges that while employed as a nurse for Grand Manor, she slipped and fell while assisting a resident, and due to the fall, she suffered injuries to her neck and hip that render her unable to return to work. According to plaintiff, she slipped on a puddle of water caused by a persistent roof leak. She further avers that the Hamilton defendants were on notice of the defect based on periodic inspections of the nursing home indicating exigent health and safety deficiencies, but that they failed to make proper repairs.

1. As identified by plaintiff, the Hamilton defendants are Hamilton Equities, Inc., Hamilton Equities Company, and Suzan Chait-Grandt as administrator of the estate of Joel J. Chait.

The Appellate Division affirmed Supreme Court’s order granting the Hamilton defendants’ summary judgment motion, thereby dismissing the complaint and all cross claims against them (*Henry v Hamilton Equities, Inc.*, 161 AD3d 418, 418 [1st Dept 2018]). The Court concluded that no exception applies here to the general rule that out-of-possession landowners are not liable for negligent maintenance of the premises. In so holding, the Court rejected plaintiff’s argument that the Hamilton defendants owed her a duty of care because they contractually agreed with HUD to make repairs or maintain the premises, and thus had to make the repairs if the lessee failed to do so (*id.* at 419).

This appeal turns on whether the Hamilton defendants owe plaintiff a duty of care based on their HUD agreement, as incorporated in the lease with Grand Manor. I would answer that question in the affirmative because the relevant terms of the lease and HUD agreement plainly establish that the Hamilton defendants covenanted with Grand Manor to abide by their promise to the federal government to maintain the premises in good repair and condition.

II.

A.

The literal terms of the Hamilton defendants’ leasehold agreement are not in dispute. According to a 1974 contract, fashioned as a lease for the construction and operation of a “240 bed Health Related Facility,” Grand Manor² agreed to be solely responsible for maintaining the premises. The lease states,

“SECTION 7.1

“During the full term of this lease, the Lessee [Grand Manor] shall, at its sole cost and expense, maintain and keep all parts of the leased premises and all of its fixtures, furniture, machines, equipment and appurtenances in a good state of repair and condition and whenever deemed necessary by the holder of any institutional first mortgage to

2. The lessees were Saul Liebman and Bert Liebman “d/b/a Grand Manor Health Related Facility.” I refer to the lessees, consistent with the parties’ lease agreements, as Grand Manor.

which this lease is subject and subordinate, Lessee shall replace any of said property at its own cost and expense, free and clear of any liens or encumbrances

“SECTION 7.3 . . .

“Lessor [the Hamilton defendants] shall not be required to maintain, repair or replace any part of the leased premises or any of its fixtures, furniture, machines, equipment or appurtenances.”

Once the Hamilton defendants determined it was necessary to secure financing for the project through the Federal Housing Administration (FHA), they amended the lease with Grand Manor to reflect applicable federal requirements to ensure approval of the funding. The amended lease provides, in relevant part,

“SECTION 25.1

“Lessor [the Hamilton defendants] has advised Lessee [Grand Manor] that it is unable to obtain conventional financing and is proceeding to finance the Grand Manor project through the Federal Housing Administration (‘FHA’). The FHA requires that a replacement fund be established and held in escrow for a health[-]related facility after completion of the construction. Consistent therewith the parties hereto agree that so long as an escrow fund is required after completion of said facility and turning possession thereof over to Lessee by Lessor, they will contribute to the fund on a monthly basis

“SECTION 25.2

“It is understood and agreed that only Lessee may withdraw from such fund for the purposes for which such fund is established. However, at the time Lessee shall withdraw any amount from such fund for those purposes, it shall pay over to Lessor within ten days from such withdrawal one-third of the amount withdrawn. . . .

“SECTION 25.4

“The parties agree that such fund shall remain in

being so long as the FHA mortgage shall remain in effect and/or so long as such fund shall be a requirement of the FHA.”

The parties incorporated all terms from the 1974 lease that did not otherwise conflict with the HUD agreements:

“SECTION 27.3

“Except as set forth herein the terms and conditions of [the] lease Dated July 30, 1974 shall be and remain in full force and effect.”

Significantly, the parties also agreed that the amended lease terms were subordinate to the HUD agreement.

“SECTION 27.1

“In the event of any inconsistency with respect to the terms, provisions and conditions of this [amended lease] Agreement and the FHA and/or HUD regulatory agreements, the FHA and/or HUD regulatory agreements will prevail and govern the rights of the parties.”

The HUD agreement entered thereafter confirms HUD and the Hamilton defendants’ intent—as understood and accepted by Grand Manor—that its provisions and requirements supersede any other promise made by the Hamilton defendants as owners of the property. To that end, the agreement states, in relevant part,

“Owners warrant that they have not, and will not, execute any other agreement with provisions contradictory of, or in opposition to, the provisions hereof, and that, in any event, the requirements of this Agreement are paramount and controlling as to the rights and obligations set forth and supersede any other requirements in conflict therewith.”

Those controlling terms accord with HUD’s mandated regulation of the nursing home project. For example, the HUD agreement states that

“[o]wners shall not without the prior written approval of the Secretary [of HUD] . . .

“[c]onvey, transfer, or encumber any of the mortgaged property, or permit the conveyance, transfer[,], or encumbrance of such property. . . .

“The Owners or lessees shall at all times maintain in full force and effect from the state or other licensing authority such license as may be required to operate the project as a nursing home and shall not lease all or part of the project except on terms approved by the Secretary. . . .

“Owners will comply with the provisions of any Federal, State, or local law prohibiting discrimination in housing on the grounds of race, color, creed, or national origin, including Title VI of the Civil Rights Act of 1964 (Public Law 88-352, 78 Stat. 241), all requirements imposed by or pursuant to the Regulations of the Department of Housing and Urban Development (24 CFR, Subtitle A, Part 1) issued pursuant to that title, and regulations issued pursuant to Executive Order 11063.”

HUD’s oversight extends to the fiscal and structural integrity of the nursing home project, and thus HUD imposed a duty of care on the Hamilton defendants:

“Owners shall maintain the mortgaged premises, accommodations and the grounds and equipment appurtenant thereto, in good repair and condition.”

Plaintiff’s expert in this matter, a former assistant to the Commissioner of the Federal Housing Administration during the time when the Hamilton defendants entered the HUD agreement, and who was responsible for similar nursing home projects, confirmed that the HUD agreement imposed upon the Hamilton defendants a nondelegable duty and ultimate responsibility to maintain the property in good repair.

Further, as noted in the amended lease, the HUD agreement mandates the owners’ establishment of a reserve fund,³ under the control of the mortgagee, to ensure a readily available source to pay for repairs.

“Owners shall establish or continue to maintain a reserve fund for replacements by the allocation to such reserve fund in a separate account with the mortgagee or in a safe and responsible depository designated by the mortgagee, concurrently with the

3. The amended lease refers to an FHA “replacement fund” or “escrow fund.” It is undisputed this is the “reserve fund” described in the HUD agreement. For clarity purposes, I adopt HUD’s designation.

beginning of payments towards amortization of the principal of the mortgage insured or held by the Secretary of an amount equal to \$4,081.75 per month unless a different date or amount is approved in writing by the Secretary.”

These terms, provisions, and conditions dictate, in accord with applicable federal statutes and regulations, how the Hamilton defendants must exercise their lessor responsibilities and obligations within the context of HUD’s ongoing federal oversight of the nursing home project, eventually run as the Grand Manor Nursing and Rehabilitation Center.

B.

The construction and interpretation of a lease is subject to basic principles of contract law (*South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272, 277 [2005]; *Farrell Lines v City of New York*, 30 NY2d 76, 82 [1972]; *Arkin Kaplan Rice LLP v Kaplan*, 120 AD3d 422, 426 [1st Dept 2014]). Under those established rules, “‘when parties set down their agreement in a clear, complete document, their writing should . . . be enforced according to its terms’” (*South Rd. Assoc., LLC*, 4 NY3d at 277, quoting *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004]). Moreover, as with any other contract, “the parties to a lease may, by mutual consent, alter, change, cancel, or modify its terms” (74 NY Jur 2d, Landlord and Tenant § 60). The effect of an agreement modification is the creation of a new contract (*see Walker v Millard*, 29 NY 375, 378 [1864]; *350 E. 30th Parking v Board of Mgrs. of 350 Condominium*, 280 AD2d 284, 287 [1st Dept 2001]). In other words, the modification supplants provisions of the original agreement to the extent they are affected by the amendment, while the balance remains binding (*Cortesi v R & D Constr. Corp.*, 73 NY2d 836, 838 [1988]; *see also Fane v Chemung Canal Trust Co.*, 151 AD3d 1526, 1528 [3d Dept 2017]; *OneBeacon Ins. Co. v Uniland Partnership of Delaware, L.P.*, 121 AD3d 1548, 1548-1549 [4th Dept 2014]).

Applying these principles here, it is clear that in accordance with the amended lease, the Hamilton defendants are liable to persons lawfully on the nursing home property for injuries proximately caused by negligent maintenance of the premises. Here, the amended lease incorporated by reference the original lease terms and conditions and became the new controlling leasehold document between the Hamilton defendants and

Grand Manor. The amendment also states that in the event of an inconsistency, the federal regulatory agreement “will prevail and govern the rights of the parties.” The original lease term that Grand Manor was solely responsible for maintenance and repairs, now part of the amended lease, is thus superseded by the conflicting term in the HUD agreement that the Hamilton defendants were responsible for maintaining the property in good repair and condition.

The Hamilton defendants’ view, shared by the majority, that there is no conflict in terms between the two agreements is belied by the plain language of the HUD agreement and the amended lease. The Hamilton defendants’ argument is twofold: (1) the original lease provision placed the sole duty to maintain the property in good condition and repair on Grand Manor, and (2) the HUD agreement, by contrast, merely creates a contractual relationship between the landowners and HUD, which cannot serve as a basis for a tort obligation to third parties. The Hamilton defendants cannot have it both ways. Either the terms of the amended lease along with the original lease mean what they say or there is no leasehold promise at all. The latter is an untenable reading of the arrangement between the Hamilton defendants and Grand Manor.

The majority concludes there is no conflict among the documents because the HUD agreement did not relieve Grand Manor of its duty to maintain the premises under the 1974 lease (majority op at 139 n 2). The majority’s point is unclear. Under established legal doctrine, HUD, as a nonsignatory, could not terminate Grand Manor’s obligations because only a party to a contract may relieve another of their bargained-for promises. What HUD could and did do is mandate, as a condition of its endorsement of the mortgage, that any other agreements entered into by the owners would not contradict or oppose the HUD agreement, and that in all cases the HUD agreement would control. The owners complied by incorporating the lease terms into the amended lease except to the extent those prior obligations conflicted with the HUD agreement. As I have discussed, an inescapable conflict arises between the owners’ federal covenant to maintain the mortgaged premises and the lease provision that placed the sole duty to maintain the property in good condition and repair on Grand Manor.

III.A.

The Hamilton defendants are not entitled to summary judgment because they assumed ultimate responsibility in the amended lease for maintaining the premises in good condition, which provides a basis for potential liability to plaintiff. As the Court held in *Putnam*, an out-of-possession landowner who covenants to make repairs “in the lease or otherwise” is liable in tort to persons lawfully on the premises who are not in privity of contract with the owner (38 NY2d at 617, quoting Restatement [Second] of Torts § 357). The Hamilton defendants thus are “subject to liability for physical harm caused to” plaintiff—a person “upon the land with the consent of the lessee” (*id.*).

That ends the analysis and there is no need to proceed as the majority does to consider whether, under *Putnam*, the HUD agreement contains a freestanding covenant to repair that subjects these out-of-possession owners to tort liability. Nevertheless, even under the majority’s approach, the outcome is the same because the Hamilton defendants’ promise to the federal government, solemnized in the HUD agreement, is the type of covenant to repair that subjects these out-of-possession owners to liability in accordance with *Putnam*.

As the majority acknowledges, the rule adopted in *Putnam* was a break from precedent (majority op at 143). This change was not unforeseeable, given that our earlier cases suggested and at times led the evolution in tort law, expanding the foundation for liability beyond traditional notions of party privity (see *Putnam*, 38 NY2d at 615-616, discussing *MacPherson v Buick Motor Co.*, 217 NY 382 [1916]; *Cullings v Goetz*, 256 NY 287 [1931]; *Ultramares Corp. v Touche*, 255 NY 170 [1931]; *Greenberg v Lorenz*, 9 NY2d 195 [1961]; *Randy Knitwear v American Cyanamid Co.*, 11 NY2d 5 [1962]; *Guarino v Mine Safety Appliance Co.*, 25 NY2d 460 [1969]; *Codling v Paglia*, 32 NY2d 330 [1973]).

Finally, in *Putnam*, this Court recognized that prior legal doctrines dependent on privity of contract between the landowner and tenant “no longer retain the vitality they may once have had” because “the precept of privity is sterile and no longer serves the interests of justice” (38 NY2d at 615-616). The Court additionally observed that “[i]t is likewise inconsistent

with reality to suggest that the parties do not accept their mutual engagements with a full awareness that if the necessary repairs are not made, the safety of such persons will be endangered” (*id.* at 616 [citation omitted]).

Against this analytic backdrop, the Court embraced “the modern trend” and expanded an out-of-possession landowner’s tort liability,⁴ adopting the rule of the Restatement (Second) of Torts. That rule states, in relevant part,

“A lessor of land is subject to liability for physical harm caused to [a] lessee and others upon the land with the consent of the lessee or [the lessee’s] sublessee by a condition of disrepair existing before or arising after the lessee has taken possession if

“(a) the lessor, as such, has contracted by a covenant in the lease or otherwise to keep the land in repair, and

“(b) the disrepair creates an unreasonable risk to persons upon the land which the performance of the lessor’s agreement would have prevented, and

“(c) the lessor fails to exercise reasonable care to perform [the lessor’s] contract” (Restatement [Second] of Torts § 357).

The Court in *Putnam* explained that the “Restatement rule rests on a combination of factors,” which justify imposing liability, notwithstanding the general rule insulating such owners from tort claims (38 NY2d at 617).

“First, the lessor has agreed, for a consideration, to keep the premises in repair; secondly, the likeli-

4. Decades after *Putnam*, in *Espinal v Melville Snow Contrs.* (98 NY2d 136, 140 [2002]), our Court summarized three other exceptions to the general no-tort-liability rule for out-of-possession landowners. As explained in that case, such owner is potentially liable to third persons in tort:

“(1) where the contracting party, in failing to exercise reasonable care in the performance of [their] duties, launch[es] a force or instrument of harm; (2) where the plaintiff detrimentally relies on the continued performance of the contracting party’s duties[;] and (3) where the contracting party has entirely displaced the other party’s duty to maintain the premises safely” (*id.* [internal quotation marks and citations omitted]).

These exceptions are not at issue in this appeal but exemplify our Court’s continued recognition of the broadening scope of tort liability founded on a landowner’s conduct as regards the maintenance of the property.

hood that the landlord's promise to make repairs will induce the tenant to forego repair efforts which [the tenant] otherwise might have made; thirdly, the lessor retains a reversionary interest in the land and by [the lessor's] contract may be regarded as retaining and assuming the responsibility of keeping [the lessor's] premises in safe condition" (*id.*).

Finally, *Putnam* also instructs that the following "social policy factors must be considered":

"(a) [T]enants may often be financially unable to make repairs; (b) their possession is for a limited term and thus the incentive to make repairs is significantly less than that of a landlord; and (c) in return for [the landlord's] pecuniary benefit from the relationship, the landlord could properly be expected to assume certain obligations with respect to the safety of the others" (*id.* at 617-618, citing Restatement [Second] of Torts § 357, Comment *b*).

B.

The *Putnam* exception applies here. Under the analytic framework set forth above, the first and third factors unequivocally weigh in favor of the Hamilton defendants' exposure to potential tort liability for plaintiff's injuries. As to the first, the Hamilton defendants undeniably agreed for consideration to adequately maintain the premises. The HUD agreement states that "[i]n consideration of the endorsement for insurance by the Secretary [of HUD] of the . . . note . . . Owners agree . . . so long as the contact of mortgage insurance continues in effect . . . Owners shall maintain the mortgaged premises, accommodations and the grounds and equipment appurtenant thereto, in good repair and condition." The third factor is similarly straightforward, as the contractual language of the amended lease incorporates the parties' agreement that "Lessor . . . shall . . . have the right to enter the leased premises [to] (a) Exhibit for sale; (b) Inspect[] . . . ; (c) Mak[e] repairs or additions to the leased premises and perform[] any other work therein resulting from Lessee's failure to perform its covenants herein contained" Thus, in this context, the right to reenter is probative of the Hamilton defendants' reversionary interest in the land and their concurrent obligation to keep the premises in good repair.

Unlike the majority, I conclude that the second factor—the likelihood that the Hamilton defendants’ promise to make repairs would induce Grand Manor to forgo repair efforts—also favors plaintiff. The amended lease refers to the HUD agreement and subjects both Grand Manor and the Hamilton defendants to all superseding federal terms, provisions, and conditions. Thus, Grand Manor, as lessee, was on notice that the Hamilton defendants were required under the HUD agreement to maintain the premises in good condition. Moreover, the amended lease describes the reserve fund, setting forth the Hamilton defendants’ required one-third monthly payment into the account, and mandating that Grand Manor reimburse the Hamilton defendants their one-third contribution within 10 days of Grand Manor accessing the funds for repair purposes. Notably, any failure to maintain the premises placed the Hamilton defendants at risk of penalties and debarment from federal programs for, as relevant here, “willful failure to perform in accordance with the terms of one or more public agreements or transactions” (2 CFR 180.800 [b] [1]). Under these circumstances, the second factor supports recognition of the Hamilton defendants’ potential tort liability.

The fact that Grand Manor made repairs and the Hamilton defendants did not, while true, is not determinative of the landowners’ duty, as suggested by the *Putnam* Court’s limiting phrase focusing on a “likelihood that the landlord’s promise to make repairs [would] induce the tenant to forego repair efforts” (*Putnam*, 38 NY2d at 617 [emphasis added]). Grand Manor understood the powerful incentive on the Hamilton defendants to maintain the premises in good condition should Grand Manor fail to do so. Put another way, Grand Manor always knew that the Hamilton defendants could be counted upon to make the repairs to avoid the consequences of breaching their promise to the federal government. To that end, the Hamilton defendants were entitled to reimbursement of their proportional share from the reserve fund from Grand Manor and they could seek access to additional funds in the reserve from the Secretary of HUD.

The social policies identified in *Putnam* overall favor subjecting the Hamilton defendants to liability for negligent maintenance of the premises based on the HUD agreement. The first policy is grounded on the premise that a tenant may lack funds to make repairs. Here, there are significant costs associated with maintenance of this large nursing home facility and its

surrounding premises. Given the potential expenses, HUD required defendant Hamilton Equities Company to make continuing contributions to a reserve fund for repairs. The Hamilton defendants also committed to contributing one third of the monthly required payments to the reserve fund. In the event Grand Manor did not make repairs, the Hamilton defendants could request from HUD's Secretary access to the reserve fund to pay for the repair costs. Nothing in the record suggests Grand Manor had the financial resources, absent the reserve fund, to pay for repairs without experiencing financial distress.

The majority's conclusion that the parties understood that Grand Manor was responsible for the repairs because it alone could make withdrawals from the reserve fund (majority op at 140 n 3) misconstrues the HUD agreement as incorporated into the amended lease. The HUD agreement mandates the Hamilton defendants establish and contribute to the fund. Nothing in that language suggests that if Grand Manor failed to make repairs, for whatever reason, the Hamilton defendants could ignore their federal regulatory obligation to maintain the premises in good condition and repair. Moreover, nothing prevented the Hamilton defendants from seeking permission from the Secretary of HUD to access the reserve fund to make the repairs. Indeed, the HUD agreement provides as much: "Disbursements from such fund . . . may be made only after receiving the consent in writing of the Secretary." If, as the majority believes, the amended lease was intended to prevent the Hamilton defendants from requesting this consent, such prohibition would conflict with the superseding HUD agreement, negating this amended lease term.

In support of its mistaken conclusion that only Grand Manor can withdraw from the escrow account, the majority cites federal litigation between Grand Manor and Hamilton Equities, Inc., but in that case, HUD initially informed the mortgagee who controlled the reserve account that the owners had agreed to release the funds and HUD requested that the mortgagee issue two checks for partial repair costs, neither one to go to Grand Manor. In fact, the mortgagee issued one check made out to the owners (*Grand Manor Health Related Facility, Inc. v Hamilton Equities Inc.*, 941 F Supp 2d 406, 412 [SD NY 2013]). Significantly, the majority ignores the applicable federal regulations governing this facility and imposing responsibility for repairs on the owners (*see* 24 CFR 207.19 [f] [2] [1978]

["The mortgagor shall maintain its project, the grounds, buildings, and equipment appurtenant thereto, in good repair and will promptly complete necessary repairs and maintenance"])).

The second policy concerns the length of the leasehold and presumes that a tenant with a long-term lease is more likely to have an incentive to make repairs than a tenant with a short-term lease, so that the existence of a long-term lease cuts against liability of an out-of-possession landowner. Here, although the lease provides for a 25-year term, with two 10-year renewal options, the Hamilton defendants' incentive to make repairs is at least as great as that of Grand Manor. Both parties' investments in the nursing home project depend on compliance with the HUD agreement, as well as the regulatory and licensure requirements imposed on nursing home facilities, all of which seek to ensure the structural integrity and safety of the premises.

The third policy focuses squarely on society's expectation that a landowner should be liable for promises to maintain a safe premises made in exchange for a pecuniary benefit. This requires a court to identify the existence and value of the benefit. Here, the Hamilton defendants greatly benefitted from the HUD agreement because without it, they could not have secured the millions of dollars in financing necessary to construct the nursing home facility. After years of unsuccessfully seeking to fund the project with private funding, the Hamilton defendants turned to the federal government for assistance because, as they represented in the amended lease, they were "unable to obtain conventional financing."

This combination of factors, and consideration of the social policy concerns, warrant "plac[ing] an increased burden on [the Hamilton defendants] who contract[ed] to keep the land in repair" (*Putnam*, 38 NY2d at 617). That burden manifests as a duty of care that gives rise to potential liability in tort for injuries proximately caused to plaintiff due to negligent maintenance of the premises.⁵

5. The majority misconstrues my analysis as establishing "an additional test that must be applied in each case" (majority op at 144 n 4). The only test I employ is the one adopted by the Court in *Putnam* which imposes tort liability on a landowner who agrees "to keep the land in repair" for onsite injuries incurred by third parties lawfully on the premises (38 NY2d 616-617). The operative elements of that tort are what the majority now erroneously identifies as "factors." Applying those elements here, the Hamilton de-

(n. cont'd)

C.

The majority's contrary analysis and conclusion are at odds with *Putnam*'s rationale. To begin, plaintiff's appeal does not require further expansion of our existing precedent; it only requires the proper application of *Putnam* to the facts of this case. The majority fails to do so, incorrectly holding that what matters in determining a landowner's tort liability to third parties is the agreement between the landowner and tenant as to which party must maintain the premises. Instead, what drives the analysis is the landowner's covenant to repair as set forth in "the lease or otherwise." That is the rule adopted by the Court in *Putnam*. Nowhere in the opinion does the Court state—and it surely would have done so as it was pronouncing a new divergent rule—that the owner's covenant must be with the tenant. Instead, the Court focused on the landowner's conduct as a basis to impose an "increased burden" exposing the owner to liability in tort.

The majority implies that the factors and social policy considerations are irrelevant because once *Putnam* adopted the rule, there is no basis to revisit the Court's underlying rationale (majority op at 144 n 4). That assertion ignores fundamental rules of legal analysis. Courts regularly consider the reasoning of a decision to determine whether the rule applies to the facts before it. Just so here, as the Appellate Division erroneously concluded that the social policy considerations cited in *Putnam* are promoted only when the landowner's promise is to the tenant. The parties also discuss the factors in support of their respective positions. In any case, the majority retreats from its unsupportable position and in fact analyzes the second factor in an attempt to bolster its conclusion: "an analysis of the Court's rationale in *Putnam* for adopting the rule further indicates that the exception does not apply to (and should not be expanded to cover) the HUD regulatory agreement" (majority op at 145). Still, the majority fails to discuss the first and third *Putnam* factors—perhaps because both factors plainly support application of the *Putnam* rule to the Hamilton defendants. Nevertheless, the focus on the second factor solely

fendants are not entitled to summary judgment merely by asserting they are out-of-possession owners. This is because if plaintiff establishes, as she has, that they contracted by a covenant with HUD to keep the land in repair—which creates the duty of care to plaintiff—she may prevail on her tort claims against the Hamilton defendants if she also proves the other elements of the tort, i.e. breach of the duty, causation, and injury (*id.* at 617).

does not assist the majority because the *Putnam* Court did not hold or even suggest that the second factor is outcome determinative. In fact, the opinion expressly states the rule adopted “rests on a combination of factors” and further notes the various social policies that “must be considered” in determining whether to impose tort liability on an out-of-possession landowner (*Putnam*, 38 NY2d at 617). The analysis is thus multifaceted.⁶

To the extent the majority rejects the notion that the Hamilton defendants and Grand Manor could both carry responsibility for maintenance of the premises but the Hamilton defendants bear tort liability for negligent maintenance, we have recognized just the opposite: “While an owner can shift the work of maintaining the sidewalk to another, the owner cannot shift the duty, nor exposure and liability for injuries caused by negligent maintenance, imposed under section 7-210 [of the Administrative Code of the City of New York]” (*Xiang Fu He v Troon Mgt., Inc.*, 34 NY3d 167, 174 [2019] [decided today]). It would be illogical and unsound policy to hold that a duty of care and tort liability imposed by a local government’s statutory fiat gives rise to an action against a landowner for negligent maintenance of a publicly-owned sidewalk, but no such duty or liability arises when a landowner freely covenants with the federal government to repair the owner’s property in exchange for millions of dollars of taxpayer-insured financing for construction of a socially beneficial nursing home facility. Contrary to the majority’s position, as I have discussed, this appeal concerns liability for the owner’s breach of a nondelegable duty imposed by the HUD agreement and federal regulation (surely no less potent than the New York City ordinance to which we gave effect in *Xiang Fu He*).

The obvious policy served by the majority holding is the one rejected by the Court in *Putnam*—the insulation of landowners from liability even when they assume responsibility for maintaining their property. A retrograde rule is reason enough to reject the majority approach, but the rule has the added disadvantage of undermining governmental efforts to improve

6. I have no occasion to address whether each factor and relevant social policy must weigh in favor of a plaintiff in order to subject an out-of-possession landowner to liability, because for the reasons I have discussed, all those considerations support application of the Restatement (Second) rule as adopted in *Putnam*.

residential and quality-of-care services for society's senior members. I now turn to the policies animating the HUD agreement.

IV.

Contrary to the majority's suggestion that the HUD agreement has no impact on the leasehold tenancy or landlord/tenant relationship (majority op at 145), and the Appellate Division's narrow view of HUD's goals here, the purpose of the federal regulatory agreement between HUD and the Hamilton defendants was not solely to "benefit HUD and the bank" (*Henry*, 161 AD3d at 419), but to assist in the provision of housing to vulnerable populations. To fully appreciate the interlocking aspects of the Hamilton defendants' arrangement with HUD and Grand Manor, it is important to understand the overarching federal interests served by HUD's endorsement of the nursing home project.

Justification for this investment of federal taxpayer funds is grounded in long-standing federal housing policy. Congress has determined that the "general welfare and security of the Nation and the health and living standards of its people require housing production and related community development sufficient to . . . eliminat[e] . . . substandard and other inadequate housing . . . , thus contributing to the development and redevelopment of communities and to the advancement of the growth, wealth, and security of the Nation" (42 USC § 1441). "One of the specific purposes of the federal housing [statutes] is to provide a decent home and a suitable living environment for every American family that lacks the financial means of providing such a home without governmental aid" (*Thorpe v Housing Authority of Durham*, 393 US 268, 281 [1969] [internal quotation marks and citation omitted]).

To achieve its goal of ensuring the construction and proper maintenance of safe and affordable living accommodations, Congress provided in the National Housing Act for publicly financed loan and mortgage insurance. Section 220 provides:

"The purpose of this section is to aid in the elimination of slums and blighted conditions and the prevention of the deterioration of residential property . . . with a system of loan and mortgage insurance designed to assist the financing required for the rehabilitation of existing dwelling accom-

modations and the construction of new dwelling accommodations” (12 USC § 1715k [a]).

Congress also sought specifically to relieve “the shortage of housing for elderly persons and to increase the supply of rental housing for elderly persons” (12 USC § 1715v [a]). Section 232 thus states that the Act “assist[s] in the provision of facilities for any of the following purposes” or combinations thereof:

“(1) The development of nursing homes for the care and treatment of convalescents and other persons who are not acutely ill and do not need hospital care but who require skilled nursing care and related medical services, including additional facilities for the nonresident care of elderly individuals and others who are able to live independently but who require care during the day.

“(2) The development of intermediate care facilities and board and care homes for the care of persons who, while not in need of nursing home care and treatment, nevertheless are unable to live fully independently and who are in need of minimum but continuous care provided by licensed or trained personnel, including additional facilities for the nonresident care of elderly individuals and others who are able to live independently but who require care during the day.

“(3) The development of assisted living facilities for the care of frail elderly persons” (12 USC § 1715w [a]).

To give effect to the statutory purpose, HUD has issued detailed regulations pursuant to its delegated authority that require the borrower maintain the premises in a safe condition (*see* 24 CFR 5.703 [made applicable to HUD-financed nursing homes under 24 CFR 200.853 and 200.855]). Accordingly, “[o]wners . . . must maintain [a nursing home] in a manner that . . . [is] decent, safe, sanitary and in good repair” (24 CFR 5.703). Also, HUD may provide financial support for nursing home construction or rehabilitation only when the appropriate state agency certifies:

“(i) there is a need for such home or facility or combined home and facility, and (ii) there are in force in such State or in the municipality or other

political subdivision of the State in which the proposed home or facility or combined home and facility is to be located reasonable minimum standards of licensure and methods of operation governing it" (12 USC § 1715w [d] [4] [A]).

In furtherance of the intended statutory purpose and specific goal of increasing the development of well-established and adequately maintained facilities for the elderly, HUD entered into the HUD agreement with the Hamilton defendants which insured the mortgage and made possible the construction of the nursing home run by Grand Manor. The Hamilton defendants thereby became subject to the statutory and regulatory framework applicable to nursing homes.

It is abundantly clear that the Hamilton defendants, Grand Manor, and HUD representatives were on notice of, and understood, several key aspects of this HUD arrangement: the owners could not proceed with the nursing home project absent federal backing that allowed them to secure the mortgage to build the nursing home; to secure this financing, the Hamilton defendants were required to enter an agreement with HUD, which subjected them to federal regulation and required that they make repairs and maintain the premises in good condition; the federal requirements and covenants set forth in the HUD agreement superseded prior and future conflicting terms and agreements; and the Hamilton defendants were ultimately responsible for negligent maintenance of the property by any person or entity charged with the actual physical repair work.

These promises operated to ensure that the nursing home facility and surrounding premises were properly maintained in good condition and that funds were readily available to make such repairs, whether as a matter of course or upon approval by the Secretary of HUD. The arrangement worked as follows: the owners received federal assistance to secure an unconventional mortgage and in return agreed, amongst many other promises, to maintain the property. The Hamilton defendants and Grand Manor agreed to the establishment of the reserve fund escrow account, and to their proportional contributions. They also agreed that Grand Manor could make the repairs and access the account to pay for the repair costs. Thus, the HUD arrangement maximized the likelihood that the property would be adequately maintained, protecting the federal government's financial investment and achieving its goal to promote "housing production and . . . community development

sufficient to remedy the serious housing shortage, the elimination of substandard and other inadequate housing . . . , and the realization . . . of a decent home and a suitable living environment” for every family in the United States, “thus contributing to the development and redevelopment of communities and to the advancement of the growth, wealth, and security of the Nation” (42 USC § 1441). In other words, since both the Hamilton defendants and Grand Manor could make necessary repairs to maintain the property, and the Hamilton defendants were ultimately liable if they failed to ensure the repairs were adequately made, including civil liability to third parties lawfully on the property, the Hamilton defendants were unlikely to avoid their promise to HUD.

By permitting a landowner to avoid liability to those injured on the premises, the majority’s decision undermines the Congressional intent that federal taxpayer money be used to establish well-maintained and safe nursing homes for the most vulnerable members of our society who reside and receive services at these facilities. It is wholly rational for society to hold a landowner to its promise that its facility will be kept in good condition, and if the landowner fails to do so, to subject such landowner to tort-based liability for third-party injuries proximately caused by the failure to maintain the premises. It is even more rational under the circumstances here, where the federal government imposed a duty upon the landowner to maintain and repair a nursing home as a condition of the federally insured funding project and the landowner’s continued oversight of the nursing facility. Given HUD’s mission to “reliev[e] the shortage of housing for elderly persons and to increase the supply of rental housing for elderly persons” (12 USC § 1715v [a]), the Hamilton defendants “could properly be expected to assume certain obligations with respect to the safety of . . . others” (*Putnam*, 38 NY2d at 618, citing Restatement [Second] of Torts § 357, Comment *b*; *Gallagher v St. Raymond’s R. C. Church*, 21 NY2d 554, 557 [1968]; Prosser & Keeton, Torts § 63 at 410 [4th ed 1971]).

V.

This appeal is controlled by established rules of property and contract, which reflect the policy justifications for owner tort liability to third parties recognized by this Court in *Putnam*. As explained, in order to secure federally insured financing for the establishment of a nursing home facility on the Hamilton de-

fendants' property, the landowners entered an agreement with HUD that required them to maintain the property in good repair and condition. The Hamilton defendants and Grand Manor incorporated the HUD agreement by reference into their amended lease, and further acknowledged that in the case of any inconsistencies, the HUD agreement controlled. These promises serve as the basis for the Hamilton defendants' duty of care and potential civil liability to plaintiff, an employee of Grand Manor, who alleges her injuries were proximately caused by the negligent maintenance of the nursing home's roof. Thus, the Hamilton defendants are not entitled to summary judgment and the Appellate Division order should be reversed. I dissent.

Chief Judge DiFIORE and Judges FAHEY, GARCIA and FEINMAN concur; Judge RIVERA dissents in an opinion in which Judge WILSON concurs.

Order affirmed, with costs.

[137 NE3d 469, 114 NYS3d 14]

XIANG FU HE, Appellant, v TROON MANAGEMENT, INC., et al.,
Respondents.

Argued September 10, 2019; decided October 24, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 23, 2018. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Carol R. Edmead, J.; op 2016 NY Slip Op 31176[U] [2016]), which had denied defendants' motion for summary judgment dismissing the complaint; and (2) granted the motion.

Xiang Fu He v Troon Mgt., Inc., 157 AD3d 586, reversed.

HEADNOTE

Negligence — Sidewalks — Duty of Out-of-Possession Landlord to Maintain City-Owned Sidewalk Abutting Property

Administrative Code of the City of New York § 7-210, which imposes a non-delegable duty on certain real property owners to maintain city sidewalks abutting their land in a reasonably safe condition, applies with full force notwithstanding an owner's transfer of possession to a lessee or maintenance agreement with a nonowner. Accordingly, in plaintiff's personal injury action arising from his fall on ice that had allegedly accumulated due to defendant landlords' negligent maintenance of the city-owned sidewalk abutting their property, defendants were not entitled to summary judgment as a matter of law based solely on their out-of-possession status. Section 7-210 applies to every "owner of real property abutting any sidewalk" (§ 7-210 [a]) and makes no distinction for those owners who are out of possession, and the fact that it expressly excludes certain owner-occupied properties from its reach demonstrates that if the City Council meant to exclude a class of owners, it knew how to do so (§ 7-210 [b]). Moreover, a landowner's duty under section 7-210 is an affirmative, nondelegable obligation which incentivizes owners to make decisions that optimize the safety and proper care of sidewalks, reducing harm to third parties and litigation costs. This interpretation of the code promotes the City Council's intent to place the duty squarely on the shoulders of those in the best position to maintain sidewalks in a reasonably safe condition and to insure against loss. While an owner can shift the work of maintaining the sidewalk to another, the owner cannot shift the duty, nor exposure and liability for injuries caused by negligent maintenance, imposed under section 7-210.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Highways, Streets, and Bridges §§ 324, 335;
AM JUR 2d Premises Liability §§ 578, 636.

NY JUR 2d Highways, Streets, and Bridges § 494; NY JUR
2d Premises Liability §§ 347, 349, 354.
NEW YORK LAW OF TORTS §§ 12:9, 12:11.

ANNOTATION REFERENCE

See ALR Index under Adjoining Landowners; Sidewalks;
Snow, Ice, Sleet, and Frost.

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POINTS OF COUNSEL

Kenneth J. Gorman and Wade T. Morris, New York City, for appellant. The First Department's decision was incorrectly decided as it disregarded the defendant landlord's nondelegable duty under Administrative Code of the City of New York § 7-210. (*Sangaray v West Riv. Assoc., LLC*, 26 NY3d 793; *Martinez v Khaimov*, 74 AD3d 1031; *Vucetovic v Epsom Downs, Inc.*, 10 NY3d 517; *Polomski v Deluca*, 161 AD3d 1116; *Reyderman v Meyer Berfond Trust #1*, 90 AD3d 633; *Herlands v Surplless*, 258 App Div 275, 282 NY 647; *Matter of Food Parade, Inc. v Office of Consumer Affairs of County of Nassau*, 19 AD3d 593; *Associated Transp., Inc. v City of Syracuse*, 196 Misc 1031; *Boord v Wallander*, 195 Misc 557; *8200 Realty Corp. v Lindsay*, 27 NY2d 124.)

Rosenbaum & Taylor, P.C., White Plains (*Scott Taylor and Dara L. Rosenbaum* of counsel), for respondents. Whereas plaintiff's employer was obligated under its lease to clear snow and ice from the sidewalk, and indeed it did so, the defendants, who were out-of-possession landlords, can not be held liable for any negligent clearing of snow and ice from the sidewalk. (*Sangaray v West Riv. Assoc., LLC*, 26 NY3d 793; *Bing v 296 Third Ave. Group, L.P.*, 94 AD3d 413, 19 NY3d 815; *Cepeda v KRF Realty LLC*, 148 AD3d 512; *Fuentes-Gil v Zear LLC*, 163 AD3d 421; *Rauch v Jones*, 4 NY2d 592; *Reyderman v Meyer Berfond Trust #1*, 90 AD3d 633; *Michalska v Coney Is. Site 1824 Houses, Inc.*, 155 AD3d 1024; *Pevzner v 1397 E. 2nd, LLC*, 96 AD3d 921; *Guzman v Haven Plaza Hous. Dev. Fund Co.*, 69 NY2d 559; *Velazquez v Tyler Graphics*, 214 AD2d 489.)

Colin Morissey, Defense Association of New York, Inc. (*Andrew Zajac, Rona L. Platt, Lisa L. Gokhulsingh and Amanda L.*

Nelson of counsel), for Defense Association of New York, Inc., amicus curiae. Administrative Code of the City of New York § 7-210 does not impose liability on landlords for snow and ice where the out-of-possession landlord delegates the duty to remove snow to its tenant. (*Cullings v Goetz*, 256 NY 287; *Putnam v Stout*, 38 NY2d 607; *Weiner v Leroco Realty Corp.*, 279 NY 127; *Inger v PCK Dev. Co., LLC*, 97 AD3d 895, 19 NY3d 816; *Keum Ok Han v Kemp, Pin & Ski, LLC*, 142 AD3d 688; *Worth Distribs. v Latham*, 59 NY2d 231; *Whittington v Champlain Ctr. N. LLC*, 123 AD3d 1253; *Utica Mut. Ins. Co. v Brooklyn Navy Yard Dev. Corp.*, 83 AD3d 817; *Gronski v County of Monroe*, 18 NY3d 374; *Johnson v Urena Serv. Ctr.*, 227 AD2d 325.)

New York State Trial Lawyers' Association, New York City (*David M. Oddo* and *Brian J. Isaac* of counsel), for New York State Trial Lawyers' Association, amicus curiae. The Appellate Division erred in finding that the duties set forth under Administrative Code of the City of New York § 7-210 can be delegated. (*Sangaray v West Riv. Assoc., LLC*, 26 NY3d 793; *Vucetovic v Epsom Downs, Inc.*, 10 NY3d 517; *Hausser v Giunta*, 88 NY2d 449; *Wahl v JCNYS, LLC*, 133 AD3d 552; *Montalbano v 136 W. 80 St. CP*, 84 AD3d 600; *Doyley v Steiner*, 107 AD3d 517; *Spector v Cushman & Wakefield, Inc.*, 87 AD3d 422; *Cook v Consolidated Edison Co. of NY, Inc.*, 51 AD3d 447; *Colorado v Cruz*, 81 AD3d 542; *Carey v Capital Cleaning Contrs., Inc.*, 106 AD3d 561.)

OPINION OF THE COURT

RIVERA, J.

Section 7-210 of the Administrative Code of the City of New York unambiguously imposes a nondelegable duty on certain real property owners to maintain city sidewalks abutting their land in a reasonably safe condition. Under this duty of care, a subject owner is liable for personal injury claims arising from the owner's negligent failure to remove snow and ice from the sidewalk (*id.* § 7-210 [b]). The code makes no exception for out-of-possession landowners and so we hold that the duty applies with full force notwithstanding an owner's transfer of possession to a lessee or maintenance agreement with a nonowner. Thus, defendants are not entitled to summary judgment as a matter of law due solely to the owners' out-of-possession status.

I.

Plaintiff Xiang Fu He sued, among others, owners of a parcel of land in New York City for personal injuries arising from

plaintiff's alleged slip and fall on the sidewalk abutting the property.¹ The complaint alleges that while employed by a nonparty lessee of the building on the property, plaintiff suffered injuries after falling on ice that had accumulated due to defendants' negligent maintenance of the abutting sidewalk, owned by the City of New York.²

Supreme Court denied defendants' motion for summary judgment dismissing the complaint, rejecting their arguments that out-of-possession landowners are not liable for personal injuries based on negligent sidewalk maintenance, and, under the lease terms, the lessee agreed to maintain the abutting sidewalks (*Xiang Fu He v Troon Mgt., Inc.*, 2016 NY Slip Op 31176[U] [2016]).³ The Appellate Division reversed, granted defendants' motion for summary judgment, and dismissed the complaint, on the basis that the out-of-possession landowners had no contractual obligation to maintain sidewalks, and the presence of snow and ice does not constitute a significant structural or design defect for which such owners are responsible (*Xiang Fu He v Troon Mgt., Inc.*, 157 AD3d 586, 587 [1st Dept 2018], citing *Bing v 296 Third Ave. Group, L.P.*, 94 AD3d 413 [1st Dept 2012], *lv denied* 19 NY3d 815 [2012]). We granted plaintiff leave to appeal (*Xiang Fu He v Troon Mgt., Inc.*, 32 NY3d 904 [2018]).

II.

Plaintiff argues that, with exceptions not applicable here, section 7-210 displaces the applicable common law, imposing a nondelegable duty of care and shifting all liability for sidewalk-defect-related personal injuries from the City of New York to owners of abutting property, like defendants. Plaintiff maintains that since triable issues of fact remain as to defendants' liability regarding plaintiff's personal injury claims, Supreme Court properly denied the motion. Defendants counter that

1. Plaintiff sued Noel Levine and the estate of Abraham Herson, through its executors Noel Levine, Harriette Levine, and Daryl Gerber, as owners of the property; Flushing-Thames Realty Company—of which Noel Levine was a partner and Abraham Herson had a partnership interest—which leased the premises to plaintiff's employer SDJ Trading, Inc.; and Troon Management, Inc., which was owned by Noel Levine and served as management agent of Flushing-Thames Realty Company and the subject property.

2. Defendants discontinued, without prejudice, their third-party action against lessees SDJ Trading, Inc. and JFD Trading, Inc.

3. The lease provided that the lessee would maintain the sidewalk "clean and free from ice [and] snow."

they are entitled to summary judgment because, when a lessee has agreed to keep the premises in good repair, as in this case, an out-of-possession landowner retains liability only for structural defects inside the premises, whereas the lessee assumes liability for transient conditions, including those arising from sidewalk maintenance. We agree with plaintiff that defendant owners are subject to the nondelegable duty imposed by section 7-210, which exposes them to potential liability for injuries allegedly caused by their failure to properly remove snow and ice from the sidewalks abutting their property as alleged in the complaint, and that triable issues of fact preclude summary judgment for defendants.

A.

Section 7-210 of the Administrative Code of the City of New York provides, in relevant part,

“a. It shall be the duty of the owner of real property abutting any sidewalk . . . to maintain such sidewalk in a reasonably safe condition.

“b. Notwithstanding any other provision of law, the owner of real property abutting any sidewalk . . . shall be liable for any injury to property or personal injury . . . proximately caused by the failure of such owner to maintain such sidewalk in a reasonably safe condition. Failure to maintain such sidewalk in a reasonably safe condition shall include . . . the negligent failure to remove snow, ice, dirt or other material from the sidewalk. This subdivision shall not apply to one-, two- or three-family residential real property that is (i) in whole or in part, owner occupied, and (ii) used exclusively for residential purposes.”

By its terms, “[s]ection 7-210 unambiguously imposes a duty upon owners of certain real property to maintain the sidewalk abutting their property in a reasonably safe condition, and provides that said owners are liable for personal injury that is proximately caused by such failure” (*Sangaray v West Riv. Assoc., LLC*, 26 NY3d 793, 797 [2016]). In other words, subject landowners are not strictly liable for personal injuries resulting from incidents on abutting sidewalks because section 7-210 adopts a duty and standard of care that accords with traditional tort principles of negligence and causation.

Defendants do not dispute the requirements of section 7-210, but instead urge us to hold that the duty of care and attendant civil liability do not apply here. Essentially, they invite us to extend the out-of-possession landowner rule, under which landowners who have contracted out the responsibility for maintenance of their property do not assume liability for breach of that duty, to a duty to maintain premises owned by the City. This interpretation of section 7-210 disregards our first-order rule that the “text is the clearest indicator of legislative intent and courts should construe unambiguous language to give effect to its plain meaning” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006] [citation omitted]). Here, the Administrative Code could not be clearer. Section 7-210 applies to every “owner of real property abutting any sidewalk” and makes no distinction for those owners who are out of possession. The fact that this section expressly excludes certain owner-occupied properties from its reach (§ 7-210 [b]) demonstrates that defendant’s reading is untenable because, if the City Council meant to exclude a class of owners, it knew how to do so (see *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55, 60 [2013] [(T)he failure of the legislature to include a term in a statute is a significant indication that its exclusion was intended”]; *People v Finnegan*, 85 NY2d 53, 58 [1995] [“We have firmly held that the failure of the Legislature to include a substantive, significant prescription in a statute is a strong indication that its exclusion was intended”]; see also McKinney’s Cons Laws of NY, Book 1, Statutes § 74 [(T)he failure of the Legislature to include a matter within the scope of an act may be construed as an indication that its exclusion was intended”]). Contrary to the plain reading, defendants’ interpretation would require us to assume the drafters meant something other than what they wrote and the City Council enacted section 7-210 anticipating that courts would insert language wholly absent from the provision, in violation of the established canon of construction that “[w]e are not at liberty to second-guess the legislature’s determination, or to disregard—or rewrite—its statutory text” (*Matter of New York Civ. Liberties Union v New York City Police Dept.*, 32 NY3d 556, 567 [2018] [citation omitted]; see also McKinney’s Cons Laws of NY, Book 1, Statutes § 73).

Other provisions of the Administrative Code support our conclusion that the New York City Council intended the word “owners” to mean all owners of abutting property, and not

merely owners in possession or those charged with control of the abutting premises. Section 7-211, signed into law the same day as section 7-210, requires that an owner of real property subject to section 7-210 (b) carry personal injury and property damage liability insurance for injuries proximately caused by the failure to comply with the duty of maintenance under section 7-210. It further states that the City will not be liable for such injury if the owner failed to carry insurance as required by this section. There would be no need to impose a requirement to carry insurance if, as defendants argue, section 7-210 did not impose both a duty and civil liability upon an out-of-possession landowner. Indeed, if the City Council had intended that nonowners could be liable under section 7-210, it would have extended the insurance mandate in section 7-211 to those with an interest in the premises other than a freehold.

Section 7-212, which allows the City to pay an unsatisfied judgment against an owner of abutting property for injury on a sidewalk after one year of nonpayment by the landowner, also suggests the landowner, regardless of possessory status, would be liable. Notably, in section 16-123 (a) of the Administrative Code, the City Council imposed a duty to “remove the snow or ice, dirt, or other material from the [abutting] sidewalk” with accompanying fines for failure to do so—but not liability in tort—on “[e]very owner, lessee, tenant, occupant, or other person, having charge of any building or lot.” The City Council was thus aware that nonowners may have charge of clearing property abutting sidewalks and, in fact, imposed a more limited duty on such nonowners to maintain abutting sidewalks under section 16-123. In comparison, the City Council made a considered choice to impose broader maintenance obligations and tort liability on owners of abutting premises by enacting section 7-210.

Read in context, the phrase “owner of real property” is clear and unambiguous and cannot be read to exclude out-of-possession landowners, and so there is no need to resort to legislative history. Nonetheless, doing so confirms that “owner” means all owners, regardless of their out-of-possession status and whether the owner has contracted with the lessee or another to keep the sidewalk in reasonably safe condition.

Prior to the effective date of section 7-210, New York City was liable for all personal injuries caused by the negligent failure to properly maintain the sidewalks. Section 7-210 “was enacted for the purposes of transferring tort liability from the

City to certain adjoining property owners as a cost-saving measure” (*Sangaray*, 26 NY3d at 795), because it was appropriate “to place liability with the party whose legal obligation it is to maintain and repair sidewalks that abut them—the property owners” (Rep of Comm on Transportation, June 27, 2003 at 5, Local Law Bill Jacket, Local Law No. 49 [2003] of City of NY, 2003 NY City Legis Ann at 334).

Moreover, and contrary to defendants’ assertion, a landowner’s duty under section 7-210 is an affirmative, nondelegable obligation. As the Court explained in *Sangaray*, “the purpose underlying the enactment of [section 7-210 is] to incentivize the maintenance of sidewalks by abutting landowners in order to create safer sidewalks for pedestrians and to place liability on those who are in the best situation to remedy sidewalk defects” (*Sangaray*, 26 NY3d at 799). Accordingly, a nondelegable duty incentivizes owners to make decisions that optimize the safety and proper care of sidewalks, reducing harm to third parties and litigation costs. This interpretation of the code not only is mandated by the language and supported by the legislative history, but also promotes the City Council’s intent to place the duty squarely on the shoulders of those in the best position to maintain sidewalks in a reasonably safe condition and to insure against loss. Otherwise, if owners may delegate this responsibility and attendant liability, then they have no incentive to ensure that the delegatee is competent and properly insured.

Defendants’ argument that a landowner can avoid liability by contracting with a lessee to maintain the sidewalks conflates a private covenant to maintain and repair property between parties to a leasehold agreement and whether that obligation may be delegated under the common law, with the duty imposed by section 7-210. Assuming, for purposes of our discussion, the analytical framework for the common-law out-of-possession landowner rule applies to the maintenance of abutting New York City-owned sidewalks, section 7-210 displaces the rule. However, to be clear, nothing in section 7-210 prevents a landowner from entering into a maintenance agreement with tenants and third parties. While an owner can shift the work of maintaining the sidewalk to another, the owner cannot shift the duty, nor exposure and liability for injuries caused by negligent maintenance, imposed under section 7-210.

To the extent defendants argue that the party in possession is best situated to address defects, the argument is similarly

unpersuasive. Certainly, a landowner or tenant in possession may be attuned to the problems on the ground and careful to timely address defective conditions, but the City Council appears to have determined that a landowner who is held responsible for personal injuries resulting from negligent maintenance has every reason to hold those responsible for maintenance to the duty of care mandated under section 7-210 and require them to adequately insure against personal injury and property damage. Moreover, if litigation ensues, the landowner generally has an indemnification action against a tenant or lessee who covenants to maintain the property. Defendants' objection to this policy consideration is best addressed to the City Council, which, at this juncture, has chosen to impose liability on owners of land abutting city sidewalks. As we have repeatedly made clear, "the courts 'do not sit in review of the discretion of the Legislature or determine the expediency, wisdom, or propriety of its action on matters within its powers'" (*Hernandez v New York City Health & Hosps. Corp.*, 78 NY2d 687, 695 [1991], quoting McKinney's Cons Laws of NY, Book 1, Statutes § 73).⁴

B.

On a motion for summary judgment, the moving party must "make a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the absence of any material issues of fact" (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]). If the moving party produces the required evidence, the burden shifts to the nonmoving party " 'to establish the existence of material issues of fact which require a trial of the action' " (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012], quoting *Alvarez*, 68 NY2d at 324). Here, defendants challenge plaintiff's version of events and rely on credibility determinations that are not a proper basis for summary judgment. Therefore, as Supreme Court concluded, triable issues of fact exist regarding the manner in which the accident occurred and the presence of snow and ice.

III.

The Appellate Division erroneously reversed Supreme Court and granted defendants summary judgment on the basis that

4. Our conclusion renders it unnecessary for us to address plaintiff's alternative arguments that defendants either were not in fact out-of-possession landowners or assumed responsibility for maintenance of the sidewalk where the alleged accident occurred because of their conduct.

the subject property owners were out of possession and, therefore, had no duty to keep the abutting sidewalks clear and no civil liability to persons injured by the negligent failure to remove snow and ice. For the reasons stated, we hold that section 7-210 abrogates the common law, imposes a nondelegable duty of care, and shifts civil liability from the City to out-of-possession owners like defendants.

Accordingly, the Appellate Division order should be reversed, with costs, and the order of Supreme Court reinstated.

Chief Judge DiFIORE and Judges STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

Order reversed, with costs, and order of Supreme Court, New York County, reinstated.

[137 NE3d 1100, 114 NYS3d 275]

THE PEOPLE OF THE STATE OF NEW YORK ex rel. EVANS D.
PRIESTON, on Behalf of KENEL BEAUBRUN, Respondent, v
NASSAU COUNTY SHERIFF'S DEPARTMENT, Appellant.

Argued October 23, 2019; decided November 21, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 3, 2018, in a proceeding pursuant to CPLR article 70. The Appellate Division (1) sustained relator's writ of habeas corpus; and (2) directed respondent to immediately release detainee Kenel Beaubrun upon his posting of an insurance company bail bond in the aggregate sum of \$500,000 on Nassau County indictment Nos. 1512N/17 and 86N/18.

People ex rel. Prieston v Nassau County Sheriff's Dept., 163 AD3d 512, reversed.

HEADNOTE

Bail — Review — Sufficiency of Collateral Pledged on Insurance Company Bail Bond

CPL 520.30 (1) permits a court to determine whether the collateral securing the insurance company bail bond is so deficient that it fails to ensure the defendant's return to court in contravention of public policy. Accordingly, Supreme Court correctly interpreted the statute and did not abuse its discretion when it disapproved the bail package assembled by a bail bond company in conjunction with defendant's family and friends on the ground that the limited collateral pledged failed to adequately ensure defendant's return to court. One of the properties pledged was in foreclosure proceedings and had another lien, a second property had only \$8,000 in equity, and the owner of the third pledged property had been arrested on charges related to defendant's arrest and was in arrears on the mortgage. In addition, the court found that the unspecified values of the pledged automobiles were insufficient and the indemnitors' commitments were insufficiently meaningful to secure defendant's continued appearance. An insurance company's business judgment in determining to accept collateral does not control the public policy determination and no deference is required in that regard, inasmuch as an insurance company's interest in retaining a premium does not align with the State's interest in securing the defendant's return. The Appellate Division's total deference to the insurance company's business judgment in assessing the collateral could not be reconciled with CPL 520.30 (1)'s broad text.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Bail and Recognizance §§ 55, 74.

CARMODY-WAIT 2d Bail and Recognizance §§ 180:17–180:18.

McKINNEY'S, CPL 510.30 (1); (2) (a).

NY JUR 2d Criminal Law: Procedure §§ 1457, 1459–1460.

ANNOTATION REFERENCE

See ALR Index under Bail and Recognizance; Bonds and Undertakings.

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Query: bail /p sufficient! /p collateral

POINTS OF COUNSEL

Madeline Singas, District Attorney, Mineola (Sarah S. Rabinowitz, Laurie K. Gibbons, Tammy J. Smiley and Yael V. Levy of counsel), for appellant. I. The primary purpose of bail in New York is to secure a criminal defendant's appearance in court. (*People ex rel. Lobell v McDonnell*, 296 NY 109; *People ex rel. Shapiro v Keeper of City Prison*, 290 NY 393; *People ex rel. Rothensies v Searles*, 229 App Div 603; *People ex rel. McManus v Horn*, 18 NY3d 660; *People v Public Serv. Mut. Ins. Co. [Santiago]*, 37 NY2d 606; *Matter of Restaino [State Commn. on Jud. Conduct]*, 10 NY3d 577; *People ex rel. Parker v Hasenauer*, 62 NY2d 777; *McKinnon v International Fid. Ins. Co.*, 182 Misc 2d 517; *People v Davis*, 122 App Div 569; *People v Smith*, 196 Misc 304.) II. CPL 520.30 permits a bail-setting court to consider the nature and value of the collateral posted by a bail bondsman to determine whether it provides sufficient incentive for a defendant to return to court. (*People v Davis*, 122 App Div 569; *People v Smith*, 196 Misc 304; *Gevorkyan v Judelson*, 29 NY3d 452; *United States v Nebbia*, 357 F2d 303; *People v Wrotten*, 14 NY3d 33; *People v Baker*, 188 Misc 2d 821; *People v Finnegan*, 85 NY2d 53; *People v McIntyre*, 168 Misc 2d 556; *People v Esquivel*, 158 Misc 2d 720; *People v Dizdar*, 91 Misc 2d 23.) III. Recent scrutiny of New York's bond industry's unsavory practices elucidates the wisdom of the legislature's decision to vest the court with authority to examine insurance company bail bonds for public policy purposes. (*People v Doe*, 59 Misc 3d 866.)

Law Offices of Evans D. Prieston, P.C., Long Island City (Evans D. Prieston of counsel), for respondent. I. The writ of ha-

beas corpus was properly granted. (*Matter of Barnes v Cohen*, 45 AD2d 837; *Matter of Johnson v Crane*, 171 AD2d 537; *People v Bing*, 76 NY2d 331; *Gevorkyan v Judelson*, 29 NY3d 452; *Bourquin v Cuomo*, 85 NY2d 781; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *People ex rel. Guggenheim v Mucci*, 32 NY2d 307.) II. An overview of the bail bond statutory scheme. (*McKinnon v International Fid. Ins. Co.*, 182 Misc 2d 517.) III. Appellant's public policy arguments are fallacious. (*People v Castro*, 119 Misc 2d 787; *People v Peerless Ins. Co.*, 21 AD2d 609; *Matter of Indemnity Ins. Co. of N. Am. v People*, 133 AD2d 345.)

District Attorneys Association of the State of New York (P. David Soares and Joseph N. Ferdenzi of counsel), for District Attorneys Association of the State of New York, amicus curiae. The law of New York requires judicial oversight of bail bonds. Therefore, the Appellate Division's business judgment rule is in contravention of that policy and should be overturned.

The Bronx Defenders, Bronx (Ilona Coleman of counsel), for The Bronx Defenders and others, amici curiae. I. The statutory bail scheme does not give judges the authority to consider whether a posted bail adequately incentivizes the defendant's return to court at a bail-source hearing. (*United States v Salerno*, 481 US 739; *Matter of Sardino v State Commn. on Jud. Conduct*, 58 NY2d 286; *People v Burton*, 150 Misc 2d 214; *People ex rel. Hardy v Sielaff*, 79 NY2d 618; *Matter of Jamie J. [Michelle E.C.]*, 30 NY3d 275; *People ex rel. McManus v Horn*, 18 NY3d 660; *Gevorkyan v Judelson*, 29 NY3d 452; *Matter of Inquiry as Provided for in Section 520.30 of Criminal Procedure Law*, 78 Misc 2d 244.) II. The legislature did not intend for low-income defendants to be placed at a disadvantage in attaining pretrial release by allowing courts to assess the sufficiency of the collateral securing an insurance company bond. (*People ex rel. Roth v Ponte*, 156 AD3d 579; *People ex rel. Fox v Ponte*, 151 AD3d 502.)

OPINION OF THE COURT

FEINMAN, J.

CPL 520.30 (1) authorizes a court conducting a bail sufficiency hearing to review collateral pledged on an insurance company bail bond for the purpose of ensuring a defendant's return to court in accordance with this State's public policy. In exercising that review, Supreme Court did not abuse its discre-

tion by disapproving the bond at issue and, therefore, the Appellate Division erroneously granted the writ of habeas corpus.

In September 2017, Kenel Beaubrun was indicted on a charge of conspiracy in the second degree, based upon allegations that he participated in a scheme to possess and sell narcotics. He was later arrested, arraigned, and remanded without bail. Following a search of his home, Beaubrun was indicted a second time on additional charges, including criminal possession of a controlled substance in the first degree and other controlled substance and weapon possession charges. At his arraignment on the additional charges, Supreme Court set bail for both indictments at \$500,000 insurance bond or \$250,000 cash and ordered a bail sufficiency hearing in the event bail was posted.

Pursuant to CPL 520.30, the court held such a hearing to review a bail package assembled by a bail bond company in conjunction with Beaubrun's family and friends. The managing agent of the bail bond company testified that the statutory premium for the \$500,000 bond was approximately \$30,000 and the collateral consisted of three properties pledged by Beaubrun's family or friends, four automobiles with no liens on the titles, and 20 promissory notes from family or friends who were gainfully employed. The court disapproved the bond, concluding that the pledged collateral was "virtually nonexistent and provide[d] [Beaubrun] with no incentive to return to court."

Relator Evans D. Prieston then commenced this CPLR article 70 habeas corpus proceeding on Beaubrun's behalf in the Appellate Division. That Court sustained the writ and directed respondent Nassau County Sheriff's Department (the Sheriff) to release Beaubrun "upon his posting of an insurance company bail bond in the aggregate sum of \$500,000" (163 AD3d 512, 512 [2d Dept 2018]). The Court held that "Supreme Court erred in disapproving the bail" because it improperly "'question[ed] the business judgment of the issuing company with regards to the amount of collateral it require[d] to secure the bond'" (*id.*, quoting *People ex rel. Savage v Horn*, 56 AD3d 806, 807 [2d Dept 2008]). We granted the Sheriff leave to appeal from the Appellate Division judgment (*see* 32 NY3d 905 [2018]).

In setting bail, courts "must consider the kind and degree of control or restriction that is necessary to secure [the defendant's] court attendance when required" (CPL 510.30 [2] [a]). "A bail bond is security which seeks to assure the defendant's ap-

pearance in court in a criminal proceeding” (*People v Public Serv. Mut. Ins. Co. [Robinson]*, 37 NY2d 606, 611 [1975]). “The surety pledges money against the possibility that the defendant will not appear at the court-appointed time. If the defendant ‘jumps’ . . . bail, the surety’s security will be forfeited” (*id.*).

“Following the posting of a bail bond,” CPL 520.30 (1) permits a court to “conduct an inquiry for the purpose of determining,” among other things, “the value and sufficiency of any security offered . . . and whether any feature of the undertaking contravenes public policy.” The statute also allows inquiry “into other matters appropriate to the determination, which include but are not limited to” six enumerated factors (CPL 520.30 [1]). For instance, the court has broad discretion to examine “[t]he background, character and reputation of any person who has indemnified or agreed to indemnify an obligor upon the bond” (CPL 520.30 [1] [d]) and the source of any property that will be used as indemnification as well as “whether any such money or property constitutes the fruits of criminal or unlawful conduct” (CPL 520.30 [1] [c]).

Where “statutory language is clear and unambiguous,” we “construe it so as to give effect to the plain meaning of the words used” (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55, 60 [2013] [internal quotation marks and citation omitted]). As we previously explained, CPL 520.30 (1) “empower[s] a court to examine a posted bail bond and determine whether it should be approved or rejected” (*Gevorkyan v Judelson*, 29 NY3d 452, 460 [2017], *rearg denied* 29 NY3d 1140 [2017]).

As part of that examination, we conclude that, by its broad terms, CPL 520.30 (1) permits a court to determine whether the collateral securing the insurance company bail bond is so deficient that it fails to ensure the defendant’s return to court in contravention of public policy. Section 520.30 (1) unambiguously authorizes a court to determine “whether any feature of the undertaking contravenes public policy” and further permits inquiry into “other matters appropriate to the determination.” The court therefore may examine the collateral in accordance with this “State’s legitimate interest in ensuring that” such collateral “is adequate” to guarantee a defendant’s return to court (*People ex rel. Hardy v Sielaff*, 79 NY2d 618, 620 [1992]).

The Appellate Division’s total deference to the insurance company’s business judgment in assessing the collateral can-

not be reconciled with CPL 520.30 (1)'s broad text. An insurance company is, of course, free to exercise its business judgment in determining the adequacy of the collateral for its own purposes. However, section 520.30 (1) grants the court conducting the bail sufficiency hearing authority to review the pledged collateral for the separate purpose of ensuring a defendant's return to court in accordance with this State's public policy. The insurance company's business judgment does not control that public policy determination, and no deference is required in this regard.

The insurance company's business interests do not necessarily align with the State's interest in securing a defendant's return to court. For example, following a CPL 520.30 hearing, the insurance company "may retain a premium only when the [defendant] is released on bail" (*Gevorkyan*, 29 NY3d at 462). The insurance company therefore has a financial incentive in obtaining a defendant's release on bail so that it may retain its premium. This incentive is separate from the insurance company's interest in securing the defendant's return to court to avoid forfeiting its pledged security. The court, on the other hand, is concerned only with the defendant's continued appearances.

Supreme Court therefore correctly interpreted the statute and did not abuse its discretion when it disapproved the insurance company bail bond package on public policy grounds, specifically that the limited collateral pledged failed to adequately ensure Beaubrun's return to court.* Whatever equity existed in the three pledged houses was impaired. One house was in foreclosure proceedings and had a second lien for an unknown amount. A second house had only \$8,000 in equity. The owner of the third house, Beaubrun's cousin, had been arrested on charges stemming from the same alleged conspiracy leading to Beaubrun's arrest and a major drug transaction purportedly occurred at the house. While seeking assigned counsel in his own criminal case, the owner represented to the court that he had no assets, thereby suggesting that he expected to lose his house. As such, pledging that house as collateral failed to give Beaubrun a disincentive to flee. Moreover, the owner was in arrears on the mortgage at the time of the hearing, imperiling any equity that may have existed. Finally,

* "Bail orders can be reviewed under CPLR article 70 only for an error of law" (*People ex rel. McManus v Horn*, 18 NY3d 660, 663 n 1 [2012]).

the court did not abuse its discretion by concluding that the unspecified values of the pledged automobiles were insufficient to ensure Beaubrun's return to court or that the indemnitors' commitments were insufficiently meaningful to secure Beaubrun's continued appearance.

Accordingly, the Appellate Division judgment should be reversed, without costs, the writ denied, and the proceeding dismissed.

Chief Judge DiFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA and WILSON concur.

Judgment reversed, without costs, writ denied and proceeding dismissed.

[138 NE3d 1055, 115 NYS3d 171]

In the Matter of ADIRONDACK WILD: FRIENDS OF THE FOREST PRESERVE et al., Appellants, v NEW YORK STATE ADIRONDACK PARK AGENCY et al., Respondents.

Argued September 5, 2019; decided October 22, 2019

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 3, 2018. The Appellate Division order, insofar as appealed from, with two Justices dissenting, affirmed a judgment of the Supreme Court, Albany County (Andrew G. Ceresia, J.), entered in a proceeding pursuant to CPLR article 78, which had, among other things, dismissed petitioners' application to review a determination of respondent Department of Environmental Conservation approving a plan permitting the construction of a new snowmobile corridor.

Matter of Adirondack Wild: Friends of the Forest Preserve v New York State Adirondack Park Agency, 161 AD3d 169, affirmed.

HEADNOTES

Environmental Conservation — Wild, Scenic and Recreational Rivers System Act — Existing Land Use Exception — Applicability

1. The existing land use exception under the Wild, Scenic and Recreational Rivers System Act (ECL 15-2701 *et seq.* [Rivers Act]), which permits continuation of existing uses in wild river areas that are not altered or expanded (ECL 15-2709 [2]), applied in petitioners' CPLR article 78 proceeding challenging respondent Department of Environmental Conservation's approval of continued public snowmobile use on a portion of a roadway within an Adirondack Park Forest Preserve wild river corridor, as there was no conflict between the Rivers Act and the motor vehicle use restrictions in the Adirondack Park State Land Master Plan (Master Plan). Under a plain reading of the Rivers Act and the Master Plan, respondent's authority to approve motor vehicle use in wild river corridors located on state land in the Adirondack Park under the existing land use exception in the Rivers Act was not superseded by the Master Plan's general prohibition of public motor vehicle use in areas classified as wilderness. Moreover, the Rivers Act explicitly grants respondent "exclusive jurisdiction" over all river areas on state land (ECL 15-2705). Likewise, the Master Plan itself recognized that respondent had the authority—independent of the Master Plan—to regulate uses of wild river areas on state land in the Adirondack Park. Thus, under the Master Plan, respondent's proposed use of the existing road did not conflict with the Master Plan because authority over that particular type of state land was ceded exclusively to respondent "independent of the [M]aster [P]lan" and the Master Plan directed that the "recommended guidelines" were to be interpreted consistently with provisions in the Rivers Act.

Environmental Conservation — Wild, Scenic and Recreational Rivers System Act — Existing Land Use Exception — Rational Basis

2. Respondent Department of Environmental Conservation had a rational basis for its approval of public snowmobile use on a portion of a roadway within an Adirondack Park Forest Preserve wild river corridor as a permissible continuation of a preexisting use under the Wild, Scenic and Recreational Rivers System Act's existing land use exception (ECL 15-2709 [2]). Respondent largely relied on a report outlining the factual history of the establishment of the road and the nature of motor vehicle use on the roadway, based on land records and affidavits of 19 individuals familiar with the historic use of the land. The report explained that the road existed and had been used for transportation since the mid- to late-1800s, was designated a highway in the late 1800s, and, from the 1940s onward, was subject to heavy commercial use as part of large-scale logging operations. The report also noted that, since at least the 1960s, there had been significant snowmobile use on the road during the winter for transportation and recreational purposes. Moreover, opening the road to public snowmobile use would not alter or expand the nature of the existing use, as people had used snowmobiles on the land for decades. In resolving the existing land use question, it was rational for respondent to focus on the nature and scope of the prior motor vehicle use, without deeming the identity of the vehicle operators (previously primarily commercial logging employees and club members, now members of the "public") to be dispositive of the alteration or expansion question.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Automobiles and Highway Traffic § 236; AM
JUR 2d Public Lands § 8; AM JUR 2d Waters § 297.
MCKINNEY'S, ECL 15-2701 *et seq.*; 15-2709 (2).
NY JUR 2d Water §§ 468, 469.

ANNOTATION REFERENCE

See ALR Index under Rivers and Streams; Snowmobile.

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POINTS OF COUNSEL

Adirondack Wild: Friends of the Forest Preserve, Niskayuna (Christopher Amato of counsel), and *Earthjustice*, New York City (Hannah Chang of counsel), for appellants. Dismissal of appellants' third claim was error because the Wild, Scenic and Recreational Rivers System Act and the Adirondack Park State Land Master Plan prohibit motor vehicle use on Chain Lakes

Road (South). (*Matter of Madison County Indus. Dev. Agency v State of N.Y. Auths. Budget Off.*, 151 AD3d 1532, 30 NY3d 913; *Flacke v Town of Fine*, 113 Misc 2d 56; *Lewis Family Farm, Inc. v Adirondack Park Agency*, 22 Misc 3d 568, 64 AD3d 1009; *Matter of Helms v Diamond*, 76 Misc 2d 253; *Baker v Department of Envtl. Conservation of State of N.Y.*, 634 F Supp 1460.)

Letitia James, Attorney General, Albany (Laura Etlinger, Andrea Oser and Julie M. Sheridan of counsel), for respondents. I. The Adirondack Park State Land Master Plan did not preclude the Department of Environmental Conservation from exercising its authority under the Wild, Scenic and Recreational Rivers System Act to approve motor vehicle use on the disputed segment. (*Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545; *Matter of Helms v Diamond*, 76 Misc 2d 253.) II. The Department of Environmental Conservation rationally approved motor vehicle use on the one-mile segment at issue under the existing-use exception in the Wild, Scenic and Recreational Rivers System Act. (*Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Ward v City of Long Beach*, 20 NY3d 1042; *Flacke v Onondaga Landfill Sys.*, 69 NY2d 355; *Matter of Lighthouse Pointe Prop. Assoc. LLC v New York State Dept. of Envtl. Conservation*, 14 NY3d 161; *Matter of Village of Ballston Spa v City of Saratoga Springs*, 163 AD3d 1220.)

Whiteman Osterman & Hanna LLP, Albany (Robert S. Rosborough IV, Philip H. Gitlen and James J. Wisniewski of counsel), for Adirondack Council, Inc., amicus curiae. I. The Forever Wild Clause of the New York Constitution, as implemented by the Adirondack Park State Land Master Plan and Wild, Scenic and Recreational Rivers System Act, prohibits snowmobile trails and the operation of motor vehicles in wilderness and wild river areas of the forest preserve. (*Matter of Helms v Diamond*, 76 Misc 2d 253; *Association for Protection of Adirondacks v MacDonald*, 253 NY 234; *Matter of Lezette v Board of Educ., Hudson City School Dist.*, 35 NY2d 272.) II. The Wild, Scenic and Recreational Rivers System Act and Adirondack Park State Land Master Plan do not permit the proposed public snowmobile trail in the wild river area on Chain Lakes Road (South). (*Matter of Kaslow v City of New York*, 23 NY3d 78; *Artibee v Home Place Corp.*, 28 NY3d 739; *Matter of Anonymous v Molik*, 32 NY3d 30; *People v Silburn*, 31 NY3d 144; *Glacial Aggregates LLC v Town of Yorkshire*, 14 NY3d 127; *Matter of Haher's Sodus Point Bait Shop v Wigle*,

139 AD2d 950; *Matter of Helms v Diamond*, 76 Misc 2d 253; *Matter of Toys “R” Us v Silva*, 89 NY2d 411; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98.)

OPINION OF THE COURT

Chief Judge DiFiore.

The Adirondack Park is a world-renowned treasure in our own backyard. Created in 1892, its six million acres include 2.6 million acres owned by New York State and 3.4 million acres which are privately held. Larger than several New England states and incorporating more territory than Yosemite, Yellowstone, Glacier, Grand Canyon, and Great Smoky Mountain National Parks *combined*, there are 3,000 lakes and ponds and 30,000 miles of rivers and streams in the Adirondack Park (Adirondack Regional Tourism Council, The Adirondack Park, <https://visitadirondacks.com/about/adirondack-park> [last accessed Oct. 15, 2019]). Our state’s constitutional commitment to conservation for more than a century has ensured the continued protection of the region’s iconic landscapes while providing extraordinary outdoor recreational experiences to citizens of this state and tourists from around the world. Agencies charged with managing park property must balance, within applicable constitutional, statutory and regulatory constraints, the preeminent interest in maintaining the character of pristine vistas with ensuring appropriate access to remote areas for visitors of varied interests and physical abilities. In this appeal, we review a challenge brought by environmental groups to a determination of the New York State Department of Environmental Conservation (DEC) made in consultation with the Adirondack Park Agency (APA) that, among other things, permits seasonal snowmobile use on an existing roadway on property recently acquired by the State and added to the Adirondack Forest Preserve. Because we are unpersuaded by petitioners’ contention that the determination either contravenes controlling motor vehicle use restrictions in the Adirondack Park State Land Master Plan (Master Plan) and Wild, Scenic and Recreational Rivers System Act (ECL 15-2701 *et seq.* [Rivers Act]) or is otherwise irrational, we affirm the challenged portion of the Appellate Division order.

In 2012 and 2013, New York State acquired two tracts of land in the Adirondack Park—the 18,100-acre Essex Chain Lakes Parcel and the 960-acre Indian River Parcel—from The Nature Conservancy, which had recently purchased the land from a pulp and paper manufacturing company named Finch,

Pruyn & Co. (Finch) to facilitate its inclusion in the Adirondack Forest Preserve. Finch had owned the land since the 1800s and used it for commercial timber production. Parcels of the land were leased by Finch to private hunting and fishing clubs for recreational use by members and guests. Upon the State's acquisition of the land, adjacent areas of state-owned property were reclassified and combined with the two newly-acquired parcels to form the Essex Chain Complex Area (the Complex Area) of the Forest Preserve, encompassing the disputed land at issue here: a one-mile stretch of an existing road called Chain Lakes Road (South). The one-mile portion of the preexisting road is located within one half mile of the Hudson River where the river is designated "Wild" under the Rivers Act (*see* ECL 15-2713 [1] [c]). Both the Rivers Act and the Master Plan restrict motor vehicle use in wild river areas, with certain exceptions.

As required by Executive Law § 816, DEC, in consultation with the APA, created a management plan for the Complex Area titled the Essex Chain Lakes Management Complex Plan (Complex Plan) outlining the actions DEC planned to undertake for the recently acquired land in the Complex Area, including the disputed section of roadway. To inform the Complex Plan, the agencies commissioned a law firm to investigate the history of the Essex Chain Lakes Complex Area, with particular emphasis, as relevant here, on the establishment of roads and the use of motor vehicles. In March 2015, the law firm issued the "Schachner Report," compiling information from public records and the affidavits of 19 individuals familiar with the use of the land, including, among others, former Finch employees, members of private recreational clubs and the descendants of the local families who operated area hunting lodges. The report detailed constant motor vehicle use on existing roadways, beginning in the 1920s and including the use of trucks and other heavy machinery for logging as well as other vehicles, including snowmobiles, for transportation and recreation. Crediting the information in the Schachner Report, DEC concluded that the "operation of motor vehicles, including snowmobiles" constituted "an existing land use on the roads within the Complex Area River Areas." DEC explained in the Complex Plan:

"Before being acquired by the State, much of this Complex Area had been used by the public to ac-

cess the remote wilderness areas, and later for timber production by Finch Pruyn Company who also provided access for recreation by lessees, licensees, invitees and the public. The local towns created and maintained a road network for public travel and recreation, [that] was later maintained by Finch Pruyn to facilitate access within and through the property. Use of these roads predates and continued regularly after the enactment of the [Rivers] Act.” (Complex Plan at 26.)

With respect to Chain Lakes Road (South) in particular, DEC noted:

“[R]esearch of historical documents, including local town records, and review of testimony from individuals with personal knowledge of the area, indicate that motor vehicle use of the Chain Lakes Road (South) and, seasonally, along this road through the Wild Forest Corridor north of this point, predates, and continued regularly after the enactment of the [Rivers] Act.” (*Id.* at 28.)

DEC acknowledged that compliance with the Rivers Act, particularly its motor vehicle use restrictions, was required with respect to the portion of Chain Lakes Road (South) that passes within one half mile of the Hudson River in an area where that body of water has been classified by the legislature as “Wild.” However, DEC found “that continued motor vehicle use on this road within the Wild River [corridor] . . . is authorized to continue” pursuant to the Rivers Act’s existing land use exception (*see* ECL 15-2709 [2]) and related regulations (Complex Plan at 28). The Complex Plan restricted such motor vehicle use to seasonal snowmobile use and access by other motor vehicles only during the two-month fall hunting season, to be further “constrained by measures adopted by DEC in order to limit public motor vehicle access, and restrict parking to designated areas” (*id.*).

Accordingly, the Complex Plan permits snowmobile use on a portion of Chain Lakes Road (South) as a link to a 20.6-mile snowmobile corridor connecting the towns of Indian Lake and Minerva in the Adirondack Park. In addition, the Complex Plan allows public motor vehicle access on this road during big game hunting season (from Oct. 1 through early Dec.). In devising the Complex Plan after considering several other alternatives, DEC concluded that the limited seasonal continued use

of Chain Lakes Road (South) as a snowmobile trail and road would alleviate the need to disturb natural resources on undeveloped land for the construction of new trails and would facilitate the closure of 23 miles of other roadway resulting in the establishment of a larger primitive area. After a public hearing and comment process, the Complex Plan was submitted to the APA, which determined that it complied with the Master Plan. DEC formally approved the Complex Plan in March 2016.

Soon thereafter, petitioners brought this combined CPLR article 78 proceeding and declaratory judgment action in Supreme Court. Relevant to this appeal, in the third cause of action petitioners alleged that DEC's approval of public snowmobile use on the portion of Chain Lakes Road (South) designated "Wild" under the Rivers Act violated both the Rivers Act and the Master Plan. Petitioners contended that the Rivers Act's existing land use exception was inapplicable because it was superseded by more restrictive provisions in the Master Plan which they claim contains no similar exception and, in any event, asserted that the determination that public snowmobile use was an existing land use was irrational. Supreme Court converted petitioners' action for declaratory relief into a CPLR article 78 proceeding, denied relief and dismissed the petition in its entirety. Regarding the third cause of action, Supreme Court concluded that DEC was authorized to permit snowmobile use on the disputed portion of roadway under the Rivers Act's existing land use exception, concluding that determination was not arbitrary or capricious, lacking rational basis or affected by an error of law.

On petitioners' appeal, the Appellate Division affirmed in a divided decision. With respect to the Chain Lakes Road (South) controversy, all five Justices agreed that the Rivers Act's existing land use exception was applicable and was not superseded by the Master Plan (*Matter of Adirondack Wild: Friends of the Forest Preserve v New York State Adirondack Park Agency*, 161 AD3d 169, 175, 178 [3d Dept 2018]). The majority further held that DEC rationally concluded that the proposed snowmobile use was a permissible continuation of an existing land use. Two Justices dissented and would have annulled the Complex Plan to the extent it permitted snowmobile use on the disputed portion of roadway, reasoning the proposed public use would impermissibly expand the prior, "private" use and therefore did not meet the criteria of the exception (*id.* at 181-182). Petition-

ers appeal as of right (*see* CPLR 5601 [a]), challenging only the portion of the order dismissing the third cause of action, and we now affirm.

Petitioners argue that the Rivers Act's existing land use exception conflicts with a more restrictive prohibition on motor vehicle use in the Master Plan, triggering a conflict provision in the Rivers Act (*see* ECL 15-2721) under which the more restrictive provision controls. Respondents argue that the Master Plan does not preclude DEC from exercising its authority under the Rivers Act because the relevant provisions of the Rivers Act and the Master Plan are compatible and recognize that DEC retains exclusive authority, independent of the Master Plan, to approve existing land uses on wild river areas on state land in the Adirondack Park.

As this case did not involve a determination made after a quasi-judicial hearing required by law, judicial review is limited to whether the challenged portion of DEC's determination was irrational, arbitrary and capricious or contrary to law (*Matter of Peckham v Calogero*, 12 NY3d 424 [2009]; CPLR 7803 [3]). The propriety of this determination turns, in part, on the meaning of several provisions of the Rivers Act. "[W]hen presented with a question of statutory interpretation, our primary consideration is to ascertain and give effect to the intention of the [l]egislature" (*Samiento v World Yacht Inc.*, 10 NY3d 70, 77 [2008], quoting *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). Because "the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]; *see DaimlerChrysler*, 7 NY3d at 660).

The Rivers Act addresses the stewardship of rivers and their immediate environs in the state that are designated as part of the Wild, Scenic and Recreational Rivers System (the Rivers System). Under the Rivers Act, DEC has "exclusive jurisdiction" over all river areas on state land and the APA has authority over any privately-owned part of a river area within the Adirondack Park (ECL 15-2705). Based on recommendations from DEC and the APA (*see id.* § 15-2715 [1]), the legislature classifies each river in the Rivers System as wild, scenic or recreational (*id.* §§ 15-2713, 15-2714). The boundaries of the protected river areas on state land generally extend one half mile from each bank (*id.* §§ 15-2707 [2] [a] [2]; 15-2711). The

one-mile segment of Chain Lakes Road (South) at issue here is located within a half mile of the Hudson River in an area where the river is designated “Wild” (*see id.* § 15-2713 [1] [c]). Under the Rivers Act, the use of motor vehicles, which is defined to include snowmobiles, is generally prohibited in wild river corridors (*id.* §§ 15-2709 [2] [a]; 15-2703 [7]),¹ with two exceptions: motor vehicles are permitted (1) for “forest management” purposes and (2) under the existing land use exception DEC relied on here. With respect to the latter, the Rivers Act states that “[n]otwithstanding anything herein contained to the contrary, existing land uses within the respective classified river areas may continue, but may not be altered or expanded . . . unless the commissioner [of DEC] or [the APA] orders the discontinuance of such existing land use” (*id.* § 15-2709 [2]).² The Rivers Act also contains a “[c]onflict with other laws” provision stating that, in the event of a conflict between the Rivers Act and “laws and constitutional provisions” under which certain parks, including the Adirondack Park, are administered, “the more restrictive provisions shall apply” (*id.* § 15-2721).

Here, petitioners argue that the Rivers Act’s conflict provision is triggered because the Master Plan contains a more restrictive provision governing motor vehicle use—one that contains no exception for preexisting uses. The APA, in consultation with DEC, drafted the Master Plan to guide development and use of state land in the Adirondack Park (*see* Executive Law § 816) and it is tasked with classifying all land as one of seven basic categories: Wilderness, Primitive, Canoe, Wild Forest, Intensive Use, and Historic. Under the Master Plan, public motor vehicle use is not permitted in areas the

1. The Rivers Act defines “motor vehicle” as “a device for transporting personnel or material, incorporating a motor or an engine of any type for propulsion and with wheels, tracks, skids, skis, air cushion or other contrivance for traveling on, or adjacent to land and water or through water” (ECL 15-2703 [7]).

2. As noted by two of our dissenting colleagues (*see* Wilson, J., dissenting op at 220), the existing land use provision goes on to permit payment by the State of “adequate compensation” for discontinued existing land uses, recognizing compensation of the “real property owner” may be appropriate when the APA orders the discontinuation of an existing land use on privately-owned river corridor property in the Adirondack Park or DEC orders the discontinuation of an existing land use on privately-owned river corridor property located outside the park. Petitioners did not contend below and do not argue in this Court that the inclusion of the “adequate compensation” clause somehow restricts the scope of DEC’s authority not to discontinue an existing land use—i.e., to permit the continuation of an existing land use on newly-acquired state land, as occurred here.

APA has classified as “Wilderness”—“an area of state land or water having a primeval character, without significant improvement or permanent human habitation”—except for emergency use by appropriate officials (Master Plan at 20, 22). The disputed portion of roadway is not in an area classified by the APA as “Wilderness.” Indeed, Chain Lakes Road (South) traverses an area the APA has classified as “Wild Forest”—“where the resources permit a somewhat higher degree of human use than in wilderness, primitive or canoe areas” and which “frequently lacks the sense of remoteness of [such areas],” “while retaining an essentially wild character” (*id.* at 31). Motor vehicle use, including snowmobile use, is expressly authorized in wild forest areas.³ However, the Master Plan provides that river corridors in the Adirondack Park designated as “Wild” under the Rivers Act should be managed as “Wilderness” areas (*id.* at 44). Because the one-mile stretch of roadway is in a wild river corridor, petitioners contend the provision in the Master Plan precluding public motor vehicle use in wilderness areas⁴ conflicts with the Rivers Act and, thus, governs here by virtue of the conflicts provision.

[1] Petitioners’ argument lacks merit. Under a plain reading of the Rivers Act and the Master Plan, DEC’s authority to approve motor vehicle use in wild river corridors located on state land in the Adirondack Park under the existing land use exception in the Rivers Act is not superseded by the Master Plan’s general prohibition of public motor vehicle use in areas the APA has classified as wilderness. Even accepting for purposes

3. In the wild forest section under the subsection “Snowmobile trails,” the Master Plan states that “the mileage of snowmobile trails lost in the designation of wilderness, primitive and canoe areas may be replaced in wild forest areas with existing roads,” noting that “appropriate opportunities to improve the snowmobile trail system may be pursued subject to basic guideline 4 . . . where the impact on the wild forest environment will be minimized, such as . . . designation of new snowmobile trails on established roads in newly acquired state lands classified as wild forest” (Master Plan at 34-35).

4. The Wilderness section of the Master Plan contains general nonconforming use provisions that—like the Rivers Act—preclude “additions or expansions of non-conforming uses” (Master Plan at 19). The Master Plan further provides that “non-conforming uses resulting from newly-classified wilderness areas will be removed as rapidly as possible and in any case by the end of the third year following classification” (Master Plan at 19). This provision, referring specifically to “newly-classified wilderness areas” does not conflict with the Rivers Act’s existing land use provision, applicable to the wild river corridor at issue here. Our dissenting colleagues’ extensive reliance on this nonconforming use provision (*see* Wilson, J., dissenting op at 213-215), is therefore misplaced.

of this case that the Master Plan is a “law” or “constitutional provision” that could trigger the Rivers Act’s conflict provision—an issue we need not reach—there is no conflict here. The Rivers Act explicitly grants DEC “exclusive jurisdiction” over all river areas on state land (ECL 15-2705). Likewise, the Master Plan itself recognizes that DEC has the authority—“independent of the [M]aster [P]lan”—to regulate uses of wild river areas on state land in the Adirondack Park (Master Plan at 4). The Wild, Scenic and Recreational Rivers section of the Master Plan begins by clarifying that “[t]he classification system and the recommended guidelines specified below are designed to be consistent with and complementary to both the basic intent and structure of” the Rivers Act (*id.* at 43). Thus, under the Master Plan, DEC’s proposed use of the existing road does not conflict with the Master Plan because authority over this particular type of state land is ceded exclusively to DEC “independent of the [M]aster [P]lan” and the Master Plan directs that the “recommended guidelines” on which petitioners rely are to be interpreted consistently with provisions in the Rivers Act. Notably, the APA—which drafted the Master Plan and is granted authority to interpret its provisions (Master Plan at 13-14)—reached the same conclusion: that the Complex Plan permitting snowmobile use on state-owned land in a wild river area under the Rivers Act’s existing land use exception did not contravene the Master Plan. That is, the drafter of the Master Plan interprets the provision in the plan reserving DEC’s authority to administer the Rivers Act as eliminating any alleged conflict between that act and the Master Plan, as well as preserving DEC’s authority to permit existing uses to continue under the Rivers Act (*see Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545, 548-549 [1997] [(“T)he interpretation given to a regulation by the agency which promulgated it and is responsible for its administration is entitled to deference if that interpretation is not irrational or unreasonable”). Therefore, DEC’s conclusion that the propriety of continued snowmobile use on the disputed parcel turned on the applicability of the Rivers Act’s existing land use exception is not contrary to law.⁵

5. Notwithstanding the hyperbole in Judge Wilson’s dissent, by construing the provisions of the Master Plan consistently with the view espoused by the APA—the drafter of the document and the agency expressly authorized to interpret it—we are not “amending” the Master Plan, circumventing the

(n. cont’d)

Petitioners nonetheless argue that, even if it were applicable (as we have concluded), the Rivers Act’s existing land use exception was improperly applied here. DEC’s determination that seasonal snowmobile use on the one-mile stretch of wild river area roadway was permitted under the Rivers Act as an “existing land use[]” without alteration or expansion may not be disturbed unless it lacks a rational basis or is arbitrary and capricious (*see Calogero*, 12 NY3d at 431; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144, 149 [2002]). “An action is arbitrary and capricious when it is taken without sound basis in reason or regard to the facts” (*Calogero*, 12 NY3d at 431). “If a determination is rational it must be sustained even if the court concludes that another result would also have been rational” (*Matter of Madison County Indus. Dev. Agency v State of N.Y. Auths. Budget Off.*, 33 NY3d 131, 135 [2019]; *see Matter of Wooley v New York State Dept. of Correctional Servs.*, 15 NY3d 275, 280 [2010]).

[2] With respect to the existing land use determination, DEC largely relied on the Schachner Report and its supporting documents. The Schachner Report outlines the factual history of the establishment of Chain Lakes Road (South) and the nature of motor vehicle use on the roadway, based on land records and affidavits of 19 individuals familiar with the historic use of the land. The affiants included former, longtime Finch employees, a former contract logger, a former superintendent of the Indian Lake Highway Department, a retired DEC forest ranger, members and a caretaker of private recreational clubs and the descendants of local families who operated area hunting lodges. Citing these affidavits and records, the report explains that the area had been inhabited since at least 1866, and Chain Lakes Road (South) existed and has been used for transportation since the mid- to late-1800s. Chain Lakes Road was designated a highway in the late 1800s and Finch continued the historic land uses from the time it purchased the property in the 1890s. From the 1940s onward, after Finch initiated larger-scale logging operations, the roadway was subject to heavy commercial use as the company frequently drove cars, jeeps, 10-wheel tractor-trailers, and trucks on Chain Lakes Road to transport pulp and logs. According to a former Finch employee, “many” people, including Finch employees, contract loggers, members

statutorily required amendment process. We are fulfilling the distinctly judicial role of resolving a dispute concerning the proper interpretation of the text of the relevant statutory and regulatory scheme.

of the recreation clubs, and members of the general public, used the roadways on the property, and an additional affiant stated that the general public used Chain Lakes Road. The use was so significant in scope that, in the 1970s, Finch's Woodlands Department crew of 15 to 30 workers—tasked with maintaining roads on the property—improved Chain Lakes Road (South) to make it more passable. The report also notes that, since at least the 1960s, there has been significant snowmobile use on the road during the winter for transportation and recreational purposes. By the 1990s, members, families, and guests of four different recreational clubs used the property, including the road, for access to hunting and snowmobiling. Further, even after The Nature Conservancy acquired the parcel, Finch continued its logging operations on the property under contract. Based on these facts, DEC's determination that the limited, seasonal motor vehicle use authorized in the Complex Plan on the disputed portion of roadway constituted a continuation of an existing land use was not irrational.

Petitioners contend that the DEC-approved use impermissibly alters or expands the preexisting use because the land had been held privately and now is being opened to the public. But it was rational for DEC to conclude that the contemplated use of the disputed one-mile portion of the road during the winter and hunting season would not necessarily alter or expand the prior use within the meaning of ECL 15-2709 (2), even assuming prior users of the road could not accurately be characterized as members of the "public." Opening the road to public snowmobile use will not alter or expand the nature of the existing use; people have used snowmobiles on the land for decades, as described by numerous affiants cited in the Schachner Report. Moreover, Finch's commercial operations on Chain Lakes Road (South) involved year-round motor vehicle use, including that of tractor-trailers and other logging machinery, and Finch also permitted members and guests of four recreational clubs to use motor vehicles on the road for hunting and snowmobiling. Under the Complex Plan, this one-mile stretch of road will now be used only by snowmobilers during the limited snow season (and by hunters during a two-month hunting season)—and the prior, year-round and heavy commercial motor vehicle use will be eliminated. In resolving the existing land use question, it was rational for DEC to focus on the nature and scope of the prior motor vehicle use, without deem-

ing the identity of the vehicle operators (previously primarily Finch employees and club members, now members of the “public”) to be dispositive of the alteration or expansion question. While one of our dissenting colleagues points to the absence of empirical evidence comparing the volume of traffic on the roadway when it was owned by Finch to the volume anticipated under the Complex Plan (*see* Fahey, J., dissenting op at 201), retrospective data will rarely be available when privately-owned land is acquired by the State, nor can DEC be faulted for failing to quantify a prediction concerning future use. On rationality review, our role is to determine whether there is any basis in the record for the conclusion reached by the agency—a standard that is met here. Thus, DEC did not exceed its authority under the Rivers Act to approve, as an existing land use, limited seasonal motor vehicle use, specifically snowmobile use, on the state-owned portion of Chain Lakes Road (South) that is designated a wild river area.

Accordingly, the order of the Appellate Division insofar as appealed from should be affirmed, with costs.

FAHEY, J. (dissenting). I respectfully dissent.

I.

New York is fortunate in its unique commitment to the preservation of forests and the watersheds they protect. This did not happen by accident. It is the product of over a century of sustained leadership by all branches of state government. That leadership required the ability to reject proposed compromises over the use of these lands. Whether it was the proposal of “scientific forestry” at the 1915 Constitutional Convention, which was rejected,¹ or the use of motorized vehicles proposed here, every plan that undermines the integrity of the natural environment of the Adirondacks inevitably weakens the long-term viability of that forest as a “forever wild” preserve (*see* NY Const, art XIV, § 1).

The conclusion by the Department of Environmental Conservation (DEC) that motor vehicle use on the relevant portion of

1. *See* Philip G. Terrie, *Forever Wild Forever: The Forest Preserve Debate at the New York State Constitutional Convention of 1915*, 70 NY Hist (No. 3) 251-275 (July 1989), available at <http://www.jstor.org/stable/43460261> (last accessed Oct. 15, 2019). As Terrie explains, principles of scientific forestry, which supported the “exploitation of publicly-owned resources” such as trees by “properly trained experts,” were rejected at the 1915 Constitutional Convention (*see id.* at 264-273).

Chain Lakes Road South would not be expanded after the road is opened to the public is bewildering. That conclusion requires a factual basis of support for this Court to uphold it. The record in this case does not provide such a foundation. The record supports the conclusion that there was preexisting private use, but nothing in the record or in any objective comparison of similar situations supports DEC's decision that motor vehicle use on the road will not expand. Reason dictates that to open a closed, private area to public use will result in an "expansion" of the previous use.

The goal of preserving the Adirondacks cannot be achieved by balancing competing interests that desire to use the land for economic or recreational purposes against the larger goal of strict preservation in order to protect the overall ecosystem of eastern New York State. This larger goal can only be accomplished if we have the courage to say no.

II.

Initially, I agree with my colleagues in the majority that the "existing use" exception of the Wild, Scenic and Recreational Rivers System Act (the Rivers Act) is applicable here (*see* majority op at 192-194). It is undisputed that the relevant one-mile portion of Chain Lakes Road South is located within a "Wild" river area, and therefore that motor vehicle use, including snowmobile use, is generally prohibited on that portion of the road both under the Rivers Act and the Adirondack Park State Land Master Plan (Master Plan) (*see* ECL 15-2703 [7]; 15-2709 [2] [a]). The existing use exception upon which DEC relies provides that existing, nonconforming land uses "within the respective classified river areas may continue, but may not be altered or expanded except as permitted by the respective classifications" (ECL 15-2709 [2]). Consequently, unless motor vehicle use on this portion of the road was (1) preexisting and (2) will not be altered or expanded when the road is opened to the public, motor vehicle use is prohibited. I further agree that the record demonstrates that motor vehicle use on the relevant portion of Chain Lakes Road South existed when the land was owned by the paper company Finch, Pruyn & Co. (Finch Pruyn) (*see* majority op at 195-196).

In addition, I agree with the majority that DEC rationally concluded that public motor vehicle use would not "alter" the preexisting land use. Although the Rivers Act does not define what constitutes an alteration, it should reasonably be

considered a change in the *nature* of the existing land use, rather than a change in *who* is using the land, as petitioners suggest. It would have no meaningful impact on the wild river area for members of the public to use motor vehicles on a road where the same kinds of motor vehicles were already being used by employees of Finch Pruyn and recreational club members, *so long as* the volume of motor vehicle use does not increase, an issue which is addressed by the “expansion” prong of the existing use exception.

There, however, my agreement with the majority ends.

The Rivers Act does not define the word “expanded.” “In the absence of a statutory definition, ‘we construe words of ordinary import with their usual and commonly understood meaning, and in that connection have regarded dictionary definitions as useful guideposts in determining the meaning of a word or phrase’ ” (*Yaniveth R. v LTD Realty Co.*, 27 NY3d 186, 192 [2016], quoting *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475, 479-480 [2001]). One ordinary meaning of “expand,” and the one relevant here, is “to increase the extent, number, volume, or scope of” (Merriam-Webster Online Dictionary, expand [<http://www.merriam-webster.com/dictionary/expand>]; *see also* Webster’s New Collegiate Dictionary 402 [1977] [“to increase the extent, number, volume, or scope of”]). Accordingly, for DEC’s determination that motor vehicle use on the road would not “expand” to be rational, there must be some basis in the record upon which DEC could reasonably conclude that once the road is opened to the public, motor vehicle use on the road would not increase in extent, number, volume, or scope.

The judicial standard of review for an administrative agency decision, while deferential, does not require the Court to act as a rubber stamp. We are obliged to reverse an administrative determination if it is arbitrary and capricious, that is, “when it is taken without sound basis in reason or regard to the facts” (*Matter of Peckham v Calogero*, 12 NY3d 424, 431 [2009]). Here, DEC’s determination was made without sound basis in reason and in disregard of the record facts. There is no basis in the record for DEC to conclude that motor vehicle use on the road would not increase in extent, number, volume or scope once the road is opened to the public. In fact, the only information in the record on that subject contradicts DEC’s determination.

III.

This portion of Chain Lakes Road South has never before been open to *public* use. On this record, all public use constitutes an expansion. The Appellate Division majority relied on statements contained within four affidavits included in the Schachner Report where the affiants stated, in conclusory fashion, that they had seen “the public” using Chain Lakes Road South when it was still owned by Finch Pruyn (*see Matter of Adirondack Wild: Friends of the Forest Preserve v New York State Adirondack Park Agency*, 161 AD3d 169, 176-177 [3d Dept 2018]). As the dissenting Justices stated, however, “when read in context, most of these are in fact describing use by club members and their guests—as distinguished from the owner’s labor force—and some apparently describe use by trespassers” (*id.* at 180 [Garry, P.J., concurring in part and dissenting in part]). These affidavits acknowledge that the land was owned by Finch Pruyn, and they provide no explanation for how the affiants knew that the people they saw using the road were not Finch Pruyn employees or recreational club members with whom the affiants were simply unfamiliar. Furthermore, even assuming that these people were in fact members of the general public, that merely made them trespassers on private land. I agree with the dissenting Justices that “[t]he fact that some persons who had no legal authority to enter the area may previously have taken advantage of its remote character to use it without permission should not serve as the basis for a principled determination that it should now be opened to the general public” (*id.*). Moreover, use by such trespassers “cannot be considered to be commensurate with the level of use that will result from opening the road to the general public as part of a marked and mapped snowmobile corridor, established for the stated purpose of encouraging snowmobilers to travel between two communities” (*id.*).

More importantly, “DEC itself makes no claim that there was previous public use of the Chain Lakes Road section” (*id.* at 181), and DEC does not rely on the affidavits’ conclusory mentions of “public” use as providing a rational basis for its decision. DEC concedes that this portion of the road has never before been open to public use. Instead, DEC has made two arguments. First, DEC asserts that it would be “speculative” to conclude that opening the road to public motor vehicle use would constitute an expansion of the existing use. Second, DEC argues that Finch Pruyn employees drove heavy logging

trucks and equipment on the road regularly until 2012, whereas now members of the public will use snowmobiles on the road only in the winter and other passenger motor vehicles on the road only during hunting season. For that reason, DEC argues, it could rationally decline to assume that opening the road to the public will constitute an expansion in motor vehicle usage.

DEC's arguments turn the Rivers Act existing use exception on its head. The *default* rule, established by the Rivers Act and the Master Plan, is that motor vehicles are prohibited in wild river areas (*see* ECL 15-2709 [2] [a]). To approve a unit management plan that allows motor vehicles in a wild river area, DEC must have a rational basis for determining that motor vehicle use was already existing, that it would not be altered, and that it would not be expanded (ECL 15-2709 [2]). If there is no rational basis in the record for DEC to make those determinations, motor vehicle use may not continue. DEC cannot merely point to the *absence* of evidence in the record regarding the increase of motor vehicle traffic as the rational basis for its determination. There is simply no record support for DEC's determination that motor vehicle use on the road will not expand. DEC was required to point to information in the record demonstrating that motor vehicle use will *not* expand. If DEC cannot do so, motor vehicle use is prohibited by statute. That is especially true where, as here, DEC has not even attempted to measure, in any form, whether the volume of motor vehicle traffic will increase once the road is opened to the public.

On that issue, the record is entirely silent. DEC does not know the approximate volume of motor vehicle traffic on the road when it was owned by Finch Pruyn, and DEC does not know what the approximate volume of motor vehicle traffic will be when the road is opened to the public. DEC has no objective data by which to measure the anticipated volume of motor vehicle traffic when the road is opened to the public. DEC has not attempted to study the change, if any, in motor vehicle traffic in similar areas that were previously privately owned and then opened to public use. DEC did not attempt to survey members of the public to approximate the anticipated volume of motor vehicle traffic. How DEC could possibly purport to claim, based on this lack of information, that motor vehicle use on the road will not increase in extent, number, volume, or scope once the road is open to the public escapes me. Instead, DEC provided the legal equivalent of "trust us." That cannot survive even rational basis scrutiny.

DEC can point to no facts in the record supporting its theory that any increase in public motor vehicle traffic, and any corresponding potential harm to the wild river area, will be offset by seasonal use and lighter vehicles. DEC argues that it was rational to conclude there would be no expansion of motor vehicle use because the weight of the vehicles traveling on the road will be lighter than those Finch Pruyn sometimes used and because the public will use the road only seasonally. Those arguments are based on nothing more than the assumption that any increase in motor vehicle traffic will be offset by the weight of the vehicles used seasonally. DEC did not attempt to measure the potential impact to the wild river area by lighter-weight but increased-volume motor vehicle use, nor did it attempt to measure whether, even though the public use would be seasonal, motor vehicle traffic on the road would nevertheless increase overall. If the volume of public motor vehicle traffic will increase significantly above the volume of traffic when the road was privately owned, that increase in volume may not be offset by the seasonal public use. In other words, a significant increase in volume of traffic, even if it occurs only during part of the year and with passenger vehicles and snowmobiles, could detrimentally impact the wild river area and its surrounding environs, contrary to the purpose of the Rivers Act (*see* ECL 15-2701). DEC's shortcut reasoning undermines the purpose of the Rivers Act and the public policy purposes behind the protection of the Adirondack Park as a whole. This Court should not sanction it, even under a deferential rational basis review standard.

The only record evidence on this particular issue—a comparison of motor vehicle use of the road when it was privately owned versus anticipated motor vehicle use when the road is opened to the public—supports the conclusion that motor vehicle use on the road will expand. Petitioners submitted an affidavit from a lifelong resident of Indian Lake and former Adirondack Park Agency board member, who averred that based on his experience, “snowmobile community connectors generally receive heavy use from the public snowmobiling community, and the level of use generally exceeds that of snowmobile trails located on private lands that are not open to the public.” Nothing in the Schachner Report or otherwise submitted by respondents refutes that assertion.

Importantly, DEC's own Statement of Findings, issued pursuant to the State Environmental Quality Review Act on the

same date that the Essex Chain Lakes Management Complex Plan was approved, supports the opposite conclusion. There, DEC acknowledged that there may be a “potential increase in volume of visitors traveling by car to the Complex area” and “a potential increase in the number of snowmobiles utilizing the proposed community connector trail,” which might result in increased greenhouse gas emissions. DEC stated that it was “reasonably foreseeable for the local community to have some minor growth inducing impacts from the success of the multiple-use trail as a snowmobile trail.” DEC also acknowledged an “expected increase in the number of snowmobiles” when stating that the resulting increased emissions would be offset by stricter emission standards in snowmobile manufacturing. DEC’s *own documents* therefore recognize an “expected increase” in the volume of motor vehicle use once the road is opened to the public. Motor vehicle use therefore will be “expanded,” contrary to the requirements of the Rivers Act existing use exception (*see* ECL 15-2709 [2]).

IV.

There is record evidence supporting the conclusion that motor vehicle use on Chain Lakes Road South will expand once the relevant portion of the road is opened to the public. There is no record evidence supporting DEC’s conclusion that motor vehicle use will not expand. DEC’s determination lacked a rational basis. I would reverse the order of the Appellate Division, insofar as appealed from by petitioners.

One of our great leaders, President and former New York Governor Theodore Roosevelt, is attributed with expressing during a 1903 address at the Grand Canyon the very same values underlying the creation of New York’s unique forest preserve: “Here is your country. . . . Cherish these natural wonders, cherish the natural resources, cherish the history and the romance as a sacred heritage, for your children and your children’s children. . . . The world and the future and your very children shall judge you according[ly] as you deal with this sacred trust.”²

2. Mark Thompson, *American Character: The Curious Life of Charles Fletcher Lummis and the Rediscovery of the Southwest* 237 (2001) (internal quotation marks omitted). A copy of Theodore Roosevelt’s address contained within Roosevelt’s papers at the Library of Congress contains similar, but not identical, remarks (*see* Address of President Roosevelt at Grand Canyon,

(n. cont’d)

As we act in small matters so shall we act in large. This decision is a relatively small matter. It represents a large compromise of our unique heritage.

WILSON, J. (dissenting). The breathtaking majesty of the Adirondack Park is almost surpassed by the breathtaking number of “no snowmobiling” directives the majority careens past. Neither the Federal Constitution nor the constitution of any state other than New York contains a provision requiring that wild forest lands remain “forever wild.” The history of that provision is important to understand the fundamental error made by the majority in authorizing the Department of Environmental Conservation (DEC) to permit snowmobiles to traverse what is now a wild river area. I turn first to that history, then to the origins and purpose of the Adirondack Park State Land Master Plan (Master Plan), then to the Wild, Scenic and Recreational Rivers System Act (the Rivers Act) (on which the majority relies), and finally to the defects in the majority’s statutory interpretation. Because I conclude existing law bars the DEC from permitting snowmobiles to operate on Chain Lakes Road, I do not address the rationality of its determination.

I.

“I’ll launch my boat, and idly float

“O’er the winding water, and all things note:

“All things that gleam along the stream—

“Water-bird, water-fly, blossom, or beam.

“And thus the hours I’ll wing with flowers,

“And speed them away in these dreamy bowers”

(Alfred Billings Street, *At Rest*, in John A. Hows, Forest Pictures in the Adirondacks 1 [1871]).

Inspired by Mr. Street’s Adirondack poetry, a young real estate lawyer turned surveyor, Verplanck Colvin, traipsed through the Adirondacks for several years, after which the legislature created a post for him: Superintendent of the Adirondack Survey. From that post, he authored the Report on the Topographical Survey of the Adirondack Wilderness of New

Arizona, May 6, 1903, Theodore Roosevelt Papers, Library of Congress Manuscript Division, Theodore Roosevelt Digital Library, Dickinson State University, <https://www.theodorerooseveltcenter.org/Research/Digital-Library/Record?libID=o289796> [last accessed Oct. 15, 2019]).

York, for the Year 1873. In it, he observed that “within one hundred years the cold, healthful, living waters of the wilderness . . . will be required for the domestic water supply of the cities of the Hudson River valley,” which, “[i]f the present ratio of increase of population continues, . . . must eventually contain one long, marginal city, extending from the Mohawk river to New York” (Verplanck Colvin, Report on the Topographical Survey of the Adirondack Wilderness of New York, for the Year 1873 at 286-287 [1874]). To protect that water supply, as well as the natural beauty of the Adirondacks, he concluded: “[f]or the present, the protection of the forest is all that is required, and unless this be done we shall incur the merited scorn of posterity” (*id.* at 288). He issued successive reports in the following years, repeating that warning.

In 1885, the legislature and Governor Hill adopted Superintendent Colvin’s recommendation, enacting chapter 283 of the Laws of 1885. That statute established a Forest Commission and provided that “[a]ll the lands now owned or which may hereafter be acquired by the state of New York, within the counties of Clinton, . . . Essex, Franklin, Fulton, Hamilton, Herkimer, Lewis, Saratoga, St. Lawrence, Warren, Washington, Greene, Ulster and Sullivan, shall constitute and be known as the forest preserve” (L 1885, ch 283, § 7). The legislature then mandated that “[t]he lands now or hereafter constituting the forest preserve shall be forever kept as wild forest lands” (*id.* § 8). The Forest Commission was given the responsibility “to maintain and protect the forests now on the forest preserve, and to promote as far as practicable the further growth of the forests thereon” (*id.* § 9).

Seven years later, the legislature created the Adirondack Park (L 1892, ch 707). Originally, approximately 700,000 acres of the park were state-owned forest preserve, with the balance privately held (State of New York Conservation Department, The Adirondacks: New York’s Forest Preserve and a Proposed National Park at 1 [1968], available at <http://digitalcollections.archives.nysed.gov/index.php/Detail/objects/14457> [last accessed Oct. 17, 2019]). “[H]istorians are agreed that at the time of its creation by the Act of 1892, it was intended that the state should acquire all the land within the existing ‘blue line’ ” defining the Adirondack Park’s borders (*id.* at 7). The Adirondack Park Act authorized the Forest Commission to purchase additional lands to include within the Adirondack Park and provided that “the Adirondack park shall for all

purposes, be deemed a part of the forest preserve . . . [and] [a]ll laws for the protection of the forest preserve shall be applicable to the Adirondack park” (L 1892, ch 707, § 10). Despite the Forest Commission’s mandate to preserve the park as “wild forest lands,” the Forest Commission authorized mass sales of timber from the Adirondack Park, sparking widespread public outrage (*see e.g. The Adirondack Forests*, NY Times, Apr. 11, 1894 at 4 [“the extensive use of the power conferred upon the Forest Commission will result in defeating the very object for which the Adirondack Park was created and render worthless the expenditure that has been made upon it. . . . The destruction could have gone on without official assistance”]).¹

“By 1894 the public’s faith in legislative protection of the Adirondacks had been seriously eroded and the Constitutional Convention of 1894 seemed to offer one last hope” (The Adirondacks: New York’s Forest Preserve and a Proposed National Park at 7). That Convention, being resolved that “preservation of the forests and water-sheds of this State is of the greatest importance to all our people, and to every interest within the borders of the State” (Journal of the Constitutional Convention of the State of New York of 1894 at 426), formed a five-person committee to consider whether to propose a constitutional amendment to preserve the state’s forest land. David McClure, a leader of the New York City bar, chaired the committee, took testimony from Verplanck Colvin, among others, and recommend that the convention adopt the “forever wild” clause to “shut the door” on any depredation of wild forest lands (5 Rec, 1894 NY Constitutional Convention at 2063).² By a unanimous vote, the Convention adopted the “forever wild” provision to

1. The DEC is the successor to the Forest Commission (*see* Department of Environmental Conservation, History of State Forest Program, <https://www.dec.ny.gov/lands/4982.html> [last accessed Oct. 17, 2019] [“In 1911, the Conservation Department, predecessor of today’s Department of Environmental Conservation, was created by legislation to consolidate the functions of the Forest, Fish and Game Commission, the Forest Preserve Board, the Water Supply Commission and the Water Power Commission”]).

2. The delegates were vocal and uniform in their intention to increase the mass of the park and preserve its lands as forever wild (*see e.g.* statement of Mr. McClure, 5 Rec, 1894 NY Constitutional Convention at 2054 [“the Legislature should purchase all of the forest lands . . . and should preserve them even though it costs millions of dollars to do it”]; statement of Mr. Floyd, *id.* at 2057 [urging the State to “solidify the Adirondack park” by “acquir[ing] in some way” the privately-held lands within the park’s boundaries]; statement of Mr. Mereness, *id.* at 2058-2059 [“(t)he screech of the locomotives introduced into that lovely section . . . can now be heard, and

(n. cont’d)

create an “unpassable constitutional barrier” to executive branch actions facilitating the depredation of the forest reserve (Frank Graham, Jr., *The Adirondack Park: A Political History* 127-131 [1978]). New York’s voters enacted it, and it took effect on January 1, 1895. The “forever wild” provision of our Constitution reads:

“The lands of the state, now owned or hereafter acquired, constituting the forest preserve as now fixed by law, shall be forever kept as wild forest lands. They shall not be leased, sold or exchanged, or be taken by any corporation, public or private, nor shall the timber thereon be sold, removed or destroyed” (NY Const, art XIV, § 1).

“These words within Article XIV, Section 1, of the Constitution of New York State, inaugurated the concept of ‘wilderness’ into the world of law for the first time ever, anywhere” (Nicholas A. Robinson, *“Forever Wild”: New York’s Constitutional Mandates to Enhance the Forest Preserve* [Arthur M. Crocker Lecture, Feb. 15, 2007], <http://digitalcommons.pace.edu/lawfaculty/284/> [last accessed Oct. 17, 2019]). Our “forever wild” clause remains unique amongst all the constitutions of the other states of the union.³

Understanding the tremendous import of the “forever wild” clause, we have construed it strictly. Nearer in time to its adoption than we now are, we rejected a project much more vital to the State’s recreation, prestige and economic development than the one-mile snowmobile path at issue here. Lake Placid was selected to host the 1932 Olympic Winter Games. Eager to host them, the legislature passed an act authorizing the DEC Commissioner to build a bobsleigh run on state-owned land in the Adirondack Park (*see* L 1929, ch 417). Supporters of the development argued that the removal of 2,500 trees, amidst a park of many millions, would be inconsequential. Steadfast in our commitment to the constitutional command of the “forever

the time is fast approaching when the whole region will be made desolate and barren, unless the hand of the despoiler is stayed”; the State should “appropriate from its vast resources sufficient moneys to the end that the State may acquire and forever hold our yet beautiful forests for the benefit of all our people”).

3. Appellants have not argued that the challenged actions violate the “forever wild” clause; I refer to the clause and its history as important background to an informed understanding of the place of the Adirondack Park, the Adirondack Park Agency (APA) and the DEC in the legislative scheme.

wild” clause, we voided the legislation: “However tempting it may be to yield to the seductive influences of outdoor sports and international contests, we must not overlook the fact that constitutional provisions cannot always adjust themselves to the nice relationships of life” (*Association for Protection of Adirondacks v MacDonald*, 253 NY 234, 241-242 [1930]). In short, we spoke for the trees.⁴ Or, as Paul Newman put it: “While progress should never come to a halt, there are many places it should never come to at all” (National Wild and Scenic Rivers System, About the WSR Act, <https://www.rivers.gov/wsr-act.php> [last accessed Oct. 17, 2019]).

Vindicating our Court’s judgment, when in 1932 the legislature sent a referendum to the people of New York proposing to amend the “forever wild” clause to permit the construction of recreational facilities within the forest preserve, Governor Franklin Roosevelt denounced the proposal as “unnecessary and potentially dangerous” (*A Foolish Amendment*, NY Times, Feb. 22, 1932 at 16) and the voters rejected it by a nearly two-to-one margin (*Votes Cast for and against Proposed Constitutional Conventions and also Proposed Constitutional Amendments*, Constitutional Conventions and Amendments [1821-1987], available at https://www.nycourts.gov/history/legal-history-new-york/documents/Publications_Votes-Cast-Conventions-Amendments.pdf [last accessed Oct. 17, 2019]).

II.

That history is important in understanding the Adirondack Park Act and the comprehensive plans it created. In the 1960s, the tourism boom in the Adirondacks threatened the wild forest preserve (see e.g. Peter Siskind, “*Enlightened System*” or “*Regulatory Nightmare*”? : *New York’s Adirondack Mountains and the Conflicted Politics of Environmental Land-Use Reform During the 1970s*, 31 J Pol’y Hist 406, 409 [2019]). By 1968, the state-owned lands within the Adirondack Park had “nearly tripled since 1885” to 2,244,828 acres (The Adirondacks: New York’s Forest Preserve and a Proposed National Park at 1). At the initiative of Governor Nelson Rockefeller, in 1971 the legislature enacted the Adirondack Park Agency Act (APA Act). The act’s legislative findings and purpose state that “[t]he wild forest, water, wildlife and aesthetic resources of the park

4. Theodor S. Geisel, *The Lorax* (1971). The bobsleigh run was subsequently completed on private lands, in time for the 1932 Winter Games.

provide an outdoor recreational experience of national and international significance. Growing population, advancing technology and an expanding economy are focusing ever-increasing pressures on these priceless resources” (Executive Law § 801, as added by L 1971, ch 706, § 1).

The key component of the APA Act was the creation of the Adirondack Park Agency, whose immediate charges were to develop two plans: (1) the Adirondack Park Land Use and Development Plan, designed to “guide land use planning and development throughout the entire area of the Adirondack park, *except for those lands owned by the state*” (Executive Law § 805 [1] [a] [emphasis added]); and (2) the Adirondack State Land Master Plan “for management of state lands, whether now owned or hereafter acquired, located in the Adirondack park” (*id.* § 807 [1], as added by L 1971, ch 706, § 1). It is this latter plan, governing management of state-owned lands, that is relevant here and to which I refer as the “Master Plan” (Adirondack Park Agency, Adirondack Park State Land Master Plan [Feb. 2014]). The APA Act provides that “[u]ntil amended, the master plan for management of state lands and the individual management plans shall guide the development and management of state lands in the Adirondack park” (Executive Law § 807 [2], as added by L 1971, ch 706, § 1, renum as Executive Law § 816 [1]). The APA Act also required the Master Plan to include unit management plans for units classified within the Master Plan. Those unit management plans must “conform to the guidelines and criteria set forth in the master plan and cannot amend the master plan itself” (Master Plan at 9).

Some of the relevant substance of the Master Plan came from federal law. In 1968, Congress adopted the Wild and Scenic Rivers Act, codified at 16 USC § 1271 *et seq.*, stating the policy of the United States to preserve in unspoiled condition certain rivers and their environs (*id.* § 1271). The act defined “wild river areas” as “rivers or sections of rivers that are free of impoundments and generally inaccessible except by trail, with watersheds or shorelines essentially primitive and waters unpolluted. These represent vestiges of primitive America” (*id.* § 1273 [b] [1]). By contrast, “recreational river areas” are those “that are readily accessible by road or railroad” (*id.* § 1273 [b] [3]). Rivers “that are designated as wild, scenic or recreational rivers” by a state legislature, agency or political subdivision are included in the National Wild and Scenic Rivers System

(*id.* § 1273 [a] [ii]). When the APA created the Master Plan, it precisely followed the Wild and Scenic Rivers Act's taxonomy of rivers, dividing New York's rivers into wild, scenic or recreational (*compare* 16 USC § 1273, *with* Master Plan at 43).

Governor Rockefeller approved the Master Plan in July 1972. In 1973, the legislature "renumbered and then amended Section 807 to Section 816" (Master Plan at 1). Without deciding the issue, the majority accepts "for purposes of this case that the Master Plan is a 'law' or 'constitutional provision'" (majority op at 193-194), which I too accept for the purpose of my analysis.⁵ By allowing snowmobiling on Chain Lakes Road (South), the DEC has contravened section 816's requirement that its Complex Plan conform to the Master Plan's numerous prohibitions on snowmobiling in violation of law.

III.

In 1972, the legislature passed the Rivers Act (*see* ECL 15-2701 *et seq.*). The Assembly memorandum in support explained that "[a]s the federal government has already recognized the need for a national wild and scenic rivers system (Public Law 90-542) so should the State of New York recognize the need for a state-wide wild, scenic and recreational rivers system" (Mem of Assemblyman Glenn H. Harris, Chair, Joint Legis Comm on Environmental Conservation, Bill Jacket, L 1972, ch 869 at 33, 1972 NY Legis Ann at 65). The memorandum further noted that

"development of a wild, scenic and recreational rivers system [a]ffecting private lands within the Adirondack Park should come under the jurisdiction of said Agency. Development of the system without the boundaries of the Park shall be within the exclusive jurisdiction of the Department of Environmental Conservation. The Agency and Department of Environmental Conservation are directed to act

5. Lower courts have held that, as a consequence of the gubernatorial and legislative approval, the Master Plan has the force of legislation (*see Helms v Reid*, 90 Misc 2d 583 [Sup Ct, Hamilton County 1977]; *Matter of Adirondack Mtn. Club Inc. v Adirondack Park Agency*, 33 Misc 3d 383, 387 [Sup Ct, Albany County 2011]). That aside, section 816 explicitly requires unit master plans, including the plan at issue here, to conform to the Master Plan. Therefore, whether the Master Plan as a whole has the force of law, section 816 is undeniably a law requiring that the unit plan conform to the Master Plan.

in close cooperation in any matter related to designated rivers or streams within the Park” (Mem of Assemblyman Glenn H. Harris, Chair, Joint Legis Comm on Environmental Conservation, Bill Jacket, L 1972, ch 869 at 34-35, 1972 NY Legis Ann at 65-66).

The Rivers Act’s statement of policy and legislative findings specifies “the policy of this state that certain selected rivers of the state which, with their immediate environs, possess the aforementioned characteristics, shall be preserved in free-flowing condition and that they and their immediate environs shall be protected for the benefit and enjoyment of present and future generations” (ECL 15-2701 [3]). That language, partially quoting the language of the Wild and Scenic Rivers Act, demonstrates New York’s intention that the Rivers Act would expand—not contract—the protection of wild and scenic rivers.

The legislature’s intention that the Rivers Act would strengthen New York’s environmental protections is evidenced by the provision of the Rivers Act at the center of this dispute, ECL 15-2721, which states:

“Any section of the state wild, scenic and recreational rivers system that is or shall become a part of the Forest Preserve . . . shall be subject to the provisions of this title, and the laws and constitutional provisions under which the other areas may be administered, *and in the case of conflict between the provisions of those laws and constitutional provisions and the provisions of this title, the more restrictive provisions shall apply*” (emphasis added).

Despite the majority’s attempt to wish that language away, the underscored portion forms the core of the dispute, to which I now turn.

A.

The majority and I work from the same set of undisputed facts, which illustrates how, consistent with New York’s intention for the Adirondack Park dating back to its inception, private land can become part of the wildest terrain in the park. In 1866, Harve Bonnie constructed a “sportsman’s camp” and shortly thereafter built a road to transport guests to and from the camp: the Chain Lakes Road, which is the subject of the present dispute. In the late 1800s, Jeremiah Finch and Samuel Pruyn bought nearby land and used the road to run logging

operations. At some point in the 1950s, visitors to the sportsman's camp and other private clubs along the Hudson River began to use the Chain Lakes Road for snowmobiling. The clubs also allowed camp visitors to use the road for their private vehicles, as well as commercial vehicles servicing the camp. In 2007, The Nature Conservancy bought the property, including Chain Lakes Road. Six years later, the State of New York purchased the property, and it became part of the Adirondack Park Forest Preserve, consistent with the long-standing legislative mandate that the State acquire private lands within the Adirondack Park. As the majority notes, the one-mile portion of Chain Lakes Road (South) at issue here is classified as a "Wild River" area under the Rivers Act (*see* majority op at 188, 189).

In 2016, nine years after all authorized private snowmobiling had ceased, the Department of Environmental Conservation issued a Management Complex Plan for the newly acquired property that opened the Chain Lakes Road (South), a portion of the road that runs alongside the Hudson River, to public snowmobiling.

B.

The APA Act requires that the APA develop the Master Plan "in consultation with the department of environmental conservation, for management of state lands, whether now owned or hereafter acquired, located in the Adirondack park" (Executive Law § 807 [1], as added by L 1971, ch 706). Like the majority, I assume that the "Master Plan is a 'law' or 'constitutional provision' that could trigger the Rivers Act's conflict provision" without deciding that question (majority op at 194). I further note that the Governor and legislature approved the Master Plan several months after they adopted the Rivers Act. Thus, I begin with what the Master Plan says about snowmobiles in wild river areas.⁶

Under the Master Plan, "[a] wild river is a river or section of river that is free of diversions and impoundments, inaccessible to the general public except by water, foot or horse trail, and

6. Again, whether the Master Plan in its entirety has the force of law, section 816 does. When the legislature in 1973 renumbered and amended section 807 as section 816, it specifically provided that the individual management plans must conform to the "master plan for management of state lands heretofore prepared by the agency." Section 816 unquestionably has the force of law, even if the Master Plan as a whole does not.

with a river area primitive in nature and free of any man-made development except foot bridges” (Master Plan at 43). The Master Plan further requires that

“[w]ild rivers and their river areas will be managed in accordance with the guidelines for wilderness areas except that no new, reconstructed or relocated structures or improvements will be permitted other than: foot and horse trails, foot trail bridges constructed of natural materials, primitive tent sites with fire rings, and pit privies. Existing lean-tos in wild river areas may be maintained for the balance of their useful lives. Such lean-tos will not be reconstructed or replaced and will ultimately be phased out in favor of primitive tent sites as specified in individual unit management plans” (*id.* at 44).

The majority agrees that “the Master Plan provides that river corridors in the Adirondack Park designated as ‘Wild’ under the Rivers Act should be managed as ‘Wilderness’ areas” (majority op at 193).

Despite that acknowledgement, the majority whizzes past several increasingly emphatic legislative “no snowmobiling” commands, without pausing to consider whether the road to its conclusion is barred. The first appears at page 19 of the Master Plan. In wilderness areas (which the majority agrees includes the one-mile stretch of Chain Lakes Road [South] at issue here), the Master Plan states the following:

“b) any remaining non-conforming uses that were not removed by the December 31, 1975 deadline provided for in the original version of the master plan will be removed by March 31, 1987;

“c) non-conforming uses resulting from newly-classified wilderness areas will be removed as rapidly as possible and in any case by the end of the third year following classification” (Master Plan at 19).

The Master Plan then lists several types of conforming uses, such as primitive tent sites, scattered lean-tos and foot and cross-country ski trails, horse trails and directional signs, and provides that “[a]ll other structures and improvements, except for interior ranger stations themselves . . . will be considered non-conforming” (*id.* at 21). A snowmobile trail, like a cross-

country ski trail, is a structure or improvement and explicitly disallowed under this provision.

The second “no snowmobiling” mandate disregarded by the majority is even plainer: in case the above language was not clear enough to define snowmobile trails as nonconforming structures in wilderness areas, the Master Plan goes on to specify that “snowmobile trails” (and “roads and state truck trails”) are nonconforming structures that “will be removed” from wilderness areas (*id.* at 21).

I suppose that, if one is going to ignore two plain commands with the force of law, one might as well ignore them all. The majority notes, in passing, that the Master Plan “restrict[s] motor vehicle use in wild river areas, with certain exceptions” (majority op at 188), which it does: the wilderness area section of the Master Plan contains a subsection titled, “Motor vehicles, motorized equipment and aircraft” (Master Plan at 22). But the immediately following subsection of the “WILDERNESS” section governs “Roads, snowmobile trails and state truck trails,” and provides as follows:

“Any non-conforming roads, snowmobile trails or state truck trails resulting from newly classified wilderness areas will also be phased out as rapidly as possible and in any case will be closed by the end of the third calendar year following classification. In each case, the Department of Environmental Conservation will:

“— close such roads and snowmobile trails to motor vehicles as may be open to the public;

“— prohibit all administrative use of such roads and trails by motor vehicles; and,

“— block such roads and trails by logs, boulders or similar means other than gates.

“3. During the phase-out period:

“— the use of motorized vehicles by administrative personnel for transportation of materials and personnel will be limited to the minimum required for proper interim administration and the removal of non-conforming uses; and,

“— maintenance of such roads and trails will be curtailed and efforts made to encourage revegeta-

tion with lower forms of vegetation to permit their conversion to foot trails and, where appropriate, horse trails” (*id.* at 23).⁷

The law, as stated in the Master Plan, could not be any more contrary to the majority’s conclusion. When the State newly acquires land in the Adirondack Park, the DEC is not free to continue existing uses of snowmobile trails or roads in wild river (wilderness) areas. Instead, the Master Plan requires the DEC to remove those roads as quickly as possible and, in the interim, to render them unusable.

C.

I come, then, to the core of the majority’s argument. The majority admits, as it must, that the Rivers Act specifically states that if there is any conflict between a provision of the Rivers Act and any other law under which parks are administered, “the more restrictive provisions shall apply” (majority op at 192, quoting Rivers Act [ECL 15-2721]). However, the majority concludes “there is no conflict” (*id.* at 194). Given the Master Plan’s repeated and emphatic “no snowmobiling” edicts, how can it be that those “more restrictive” provisions of the Master Plan do not supersede anything in the Rivers Act, in view of the Rivers Act’s express statement that they must? According to the majority, even though the Master Plan has the force of law, and even though its snowmobiling prohibitions are more restrictive than anything in the Rivers Act, there is no conflict because the DEC has “‘exclusive jurisdiction’ over all river areas on state land” independent of the Master Plan (*id.* at 194), which enables the DEC to rely on the Rivers Act’s allowance that the DEC may permit preexisting uses to continue in some wild river areas. That conclusion suffers from numerous flaws.

First, there is a patent conflict between the Master Plan, which requires that the “Department of Environmental Con-

7. The majority dismisses this subsection by claiming that the land in question is not a “newly-classified wilderness area” (majority op at 193 n 4). However, the Master Plan applies only to “management of *state lands*, whether now owned or hereafter acquired, located in the Adirondack park” (Executive Law § 807 [1], as added by L 1971, ch 706, § 1 [emphasis added]). The Chain Lakes Road (South) land could not have been classified as anything at all under the Master Plan until the State purchased the land in 2012 and 2013. At that point, Chain Lakes Road (South) was “newly classified” under the Master Plan, so that the above subsection required the DEC to close it and block snowmobiles from it.

servation will: . . . close such roads and snowmobile trails to motor vehicles as may be open to the public . . . and, block such roads and trails by logs, boulders or similar means other than gates” (Master Plan at 23) and the Rivers Act’s allowance of the continuation of such uses in the DEC’s discretion. No convoluted argument about jurisdiction can avoid the clear conflict between a law allowing preexisting uses to continue and one requiring the blocking and removal of snowmobile paths. The Rivers Act itself resolves that conflict by providing that the “more restrictive” provisions must apply. Blocking and wiping out existing snowmobile trails is indisputably more restrictive than allowing continued use. Particularly when measured against the history of the Adirondack Park and the “forever wild” provision in our Constitution, once one admits that the Master Plan has the force of law, it is plain that the Rivers Act itself requires the DEC to adhere to the “more restrictive” provisions of the Master Plan.

Second, the majority has misinterpreted and mischaracterized the DEC’s “exclusive jurisdiction.” In discussing ECL 15-2705, the majority quotes a snippet of a sentence to support its conclusion. ECL 15-2705’s grant of jurisdiction reads:

“Notwithstanding provisions of any other general or special law, the functions, powers and duties encompassed by this section shall be vested in the Adirondack park agency as to any privately owned part of a river area within the Adirondack park as defined by law which may become part of the system; however, the commissioner shall have exclusive jurisdiction over all other river areas in the state and of all parts of river areas owned by the state located within the Adirondack park which may become part of the system. This section shall not be construed to divest the commissioner from the exercise of functions, powers and duties which have not been delegated by law to the agency.”

The full text demonstrates that the purpose of the provision is to divide authority between the APA and the DEC—not to empower the DEC to disregard the environmental protections contained within the Master Plan.⁸

8. I add that neither the parties nor the majority has considered whether the above language gives the APA, and not the DEC, “powers and duties” over the parcels of land the State here acquired from The Nature Conser-

(n. cont’d)

Further, the majority's statement that "the Master Plan itself recognizes that DEC has the authority—'independent of the [M]aster [P]lan'—to regulate uses of wild river areas on state land in the Adirondack Park" likewise rests on a misleading elision, based on a partial quotation (majority op at 194). The full provision says:

"The Department of Environmental Conservation has the authority independent of the master plan to regulate uses of waters and uses of wild, scenic and recreational rivers running through state land, but may not have such authority to regulate certain uses of waters where all or part of the shoreline is in private ownership. The [Adirondack Park] Agency has the authority to regulate motorized use of wild, scenic and recreational rivers and their river corridors on private lands. Regulations exercising this authority have been promulgated by the Agency" (Master Plan at 4).

The Master Plan does not state that the DEC has the authority to regulate wild river areas "in the Adirondack Park"—it refers to the DEC's jurisdiction over such areas "through state land" (which includes areas outside the Adirondack Park). Rather, it recognizes that the DEC has no jurisdiction over privately-held lands within the park. The Master Plan thus reflects the language of ECL 15-2705 quoted above and provides no support for the proposition that the DEC has jurisdiction over all wild river areas within the Adirondack Park. The DEC cannot single-handedly determine the extent of wild, scenic or recreational river areas within the Adirondack Park; those boundaries "shall be mutually agreed upon by the com-

vancy: "powers and duties encompassed by this section shall be vested in the Adirondack park agency as to any *privately owned* part of a river area within the Adirondack park as defined by law which *may become* part of the system" (emphasis added). The DEC's jurisdiction extends to: "[i] all other river areas in the state and . . . [ii] all parts of river areas *owned by the state* located within the Adirondack park which *may become* part of the system" (emphasis added). Chain Lakes Road (South) was privately owned land that became part of the system—not a part of river areas owned by the State that became part of the system. It is clear that, before the passage of the APA, the State owned some lands within the Adirondack Park: the Master Plan itself identifies the "non-forest preserve" lands owned by the State within the Adirondack Park (Master Plan at 1-2). The parties have chosen not to raise that issue of division of authority between the APA and the DEC in this litigation, and I do not read anything in the majority opinion to address, much less resolve, it.

missioner and the agency” (ECL 15-2711). Furthermore, the Wild, Scenic and Recreational Rivers System is not to be administered everywhere by the DEC; instead, it “shall be administered in accordance with their respective jurisdictions by the commissioner or the agency according to policies and criteria set forth in this title upon establishment of the boundaries of each river area in accordance with section 15-2711 of this chapter” (ECL 15-2709 [1]). Thus, the “jurisdiction” granted to the DEC in ECL 15-2705 is cabined by these additional provisions. True, the DEC’s statewide “jurisdiction” comes from a source “independent” from the Master Plan, but that fact does not mean that the DEC’s jurisdiction supersedes anything in the Master Plan—it merely recognizes that even if the Master Plan were to disappear, the DEC would retain powers over wild, scenic and recreational river areas.

Third, the majority’s “exclusive jurisdiction” argument is a red herring. Who better than judges to appreciate the difference between jurisdiction and substantive rules of law? Even if the DEC had “exclusive jurisdiction” over all wild river areas including those within the Adirondack Park, the Master Plan requires that the “*Department of Environmental Conservation* will: . . . close such roads and snowmobile trails” (Master Plan at 23 [emphasis added]). The DEC cannot ignore that substantive requirement regardless of the extent of its jurisdiction. The Master Plan further notes that

“[v]ia the master plan, the Agency has the authority to establish general guidelines and criteria for the management of state lands, subject, of course, to the approval of the Governor. On the other hand, the Department of Environmental Conservation and other state agencies with respect to the more modest acreage of land *under their jurisdictions*, have responsibility for the administration and management of these lands *in compliance with the guidelines and criteria laid down by the master plan*” (*id.* at 12 [emphasis added]).

That language negates the argument that the DEC’s jurisdiction supersedes the requirement of compliance with the Master Plan.

Fourth, the majority’s interpretation—allowing the DEC to use the Rivers Act to permit the continuation of uses expressly prohibited by the Master Plan—would render nugatory the APA’s procedure for amending the Master Plan. The APA Act

provides amendments to the Master Plan must be made “in the same manner as [the Master Plan was] initially adopted” (Executive Law § 807 [3], as added by L 1971, ch 706, § 1; *see also* Executive Law § 816 [2]), which requires the Governor’s approval to take effect (*id.* at § 807 [1], [2], as added by L 1971, ch 706, § 1).⁹ The DEC must use that route—including express gubernatorial approval—if it wishes to permit snowmobile use in areas where the Master Plan says it must immediately eliminate the possibility of snowmobile use. Instead, the majority misinterprets a provision of the Rivers Act—an act that itself says the most restrictive conditions found in law must prevail to protect our wilderness areas—to scuttle the statutorily required amendment process. We do not interpret legislation to render provisions of other legislation meaningless unless there is no other option (*see e.g. Matter of Gonzalez v Annucci*, 32 NY3d 461 [2018]; *Matter of Cooper*, 22 NY 67, 88 [1860]; *Matter of Hernandez v Barrios-Paoli*, 93 NY2d 781, 787 n 2 [1999]; *Matter of Brown v Wing*, 93 NY2d 517 [1999]; *Lederer v Wise Shoe Co.*, 276 NY 459 [1938]). Here, particularly given the overall interrelationship of the Rivers Act and APA Act, and the State’s long, visionary and steadfast commitment to the protection of our forest preserve in its pristine condition, the majority errs in allowing DEC to abrogate the terms of the Master Plan in violation of the statutory requisites.¹⁰ Indeed, it is precisely because the Forest Commission did not heed the legislature’s directives that the “forever wild” clause of our Constitution exists, namely, to prevent incursions such as this.

Finally, the Rivers Act’s grant of authority concerning the continuation of preexisting uses is much more circumscribed

9. The Master Plan reiterates the statutorily-required amendment procedure (*see* Master Plan at 8).

10. The majority suggests that we should defer to the APA’s interpretation of the Master Plan and how it is to be reconciled with the Rivers Act (majority op at 194). However, the majority has assumed that the Master Plan has the force of law because it was submitted to the Governor and legislature for approval, which both granted. Therefore, the Master Plan is not a regulation promulgated by an agency whose interpretations courts review on a deferential basis. Furthermore, even under a deferential standard of review, an agency may not interpret its own regulations in a way that is incompatible with the regulations themselves, as is the case here (*see Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499, 506 [2005] [“Although it is true that an agency’s interpretation of its own regulation generally is entitled to deference, courts are not required to embrace a regulatory construction that conflicts with the plain meaning of the promulgated language”]).

than the majority claims.¹¹ It is limited to situations in which the continuation of a preexisting use is the alternative to a governmental taking. Again, reference to the entire text, rather than the portion quoted by the majority, makes that clear:

“2. After inclusion of any river in the wild, scenic and recreational rivers system, no dam or other structure or improvement impeding the natural flow thereof shall be constructed on such river except as expressly authorized in paragraphs b and c of this subdivision. Notwithstanding anything herein contained to the contrary, existing land uses within the respective classified river areas may continue, but may not be altered or expanded except as permitted by the respective classifications, unless the commissioner or agency orders the discontinuance of such existing land use. *In the event any land use is so directed to be discontinued, adequate compensation therefor shall be paid by the state of New York either by agreement with the real property owner, or in accordance with condemnation proceedings thereon.* The following land uses shall be allowed or prohibited within the exterior boundaries of designated river areas depending on the classification of such areas:

“a. In wild river areas, no new structures or improvements, no development of any kind and no access by motor vehicles shall be permitted other than forest management pursuant to forest management standards duly promulgated by regulations.

“b. In scenic river areas, the continuation of present agricultural practices, the propagation of crops, forest management pursuant to forest management standards duly promulgated by regulations, limited dispersed or cluster residential

11. I note that the immediate preexisting use of the Chain Lakes Road was by The Nature Conservancy, not Finch, Pruyn & Co. or any of the nearby camps, and that there may have been some trespassory snowmobile use during The Nature Conservancy's ownership. Whether to interpret “preexisting use” as some preexisting use distant in time, a preexisting use that resulted in the now nonconforming structure, or the most immediate preexisting use, is not an issue I have occasion to reach, because it is irrelevant to my statutory analysis.

developments and stream improvement structures for fishery management purposes shall be permitted. There shall be no mining, excavation, or construction of roads, except private roads necessary for residential, agricultural or forest management purposes, and with the further exception that public access through new road construction may be allowed, provided that there is no other such access within two land miles in either direction.

“c. In recreational river areas, the lands may be developed for the full range of agricultural uses, forest management pursuant to forest management standards duly promulgated by regulations, stream improvement structures for fishery management purposes, and may include small communities as well as dispersed or cluster residential developments and public recreational areas. In addition, these river areas may be readily accessible by roads or railroads on one or both banks of the river, and may also have several bridge crossing and numerous river access points” (ECL 15-2709 [emphasis added]).

I agree with the majority that “[w]hen presented with a question of statutory interpretation, our primary consideration is to ascertain and give effect to the intention of the [l]egislature” (*Samiento v World Yacht Inc.*, 10 NY3d 70, 77-78 [2008], quoting *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). Here, where the sentence allowing a preexisting use is followed by a provision about providing adequate compensation if such use is not allowed to continue, the legislature only could have been regulating private lands. It would make no sense for the paragraph to apply to public lands, because the State is not required to pay itself adequate compensation if it disallows a previously permissible use. If Finch, Pruyn & Co. had continued to own the Chain Lakes Road (South), ECL 15-2709 would have given the APA (*not* the DEC, as per ECL 15-2705) the authority to allow Finch, Pruyn & Co. to continue to use the Chain Lakes Road as before (to avoid a taking), or to close the road and pay Finch, Pruyn & Co. reasonable compensation for loss of use of the road, or to take the entire property by condemnation if the State were willing to do so.

Reading the section as the majority does—to grant the DEC discretion to allow preexisting uses on state-owned land—does

not comport with the statute's plain text. Reading it as written, i.e., limited to situations where the State preferred to allow a private landowner to continue a preexisting use instead of using state monies to extinguish that use, comports with the general scheme of gradual land acquisition in the Adirondack Park from its inception (*see* 5 Rec, 1894 NY Constitutional Convention at 2059, statement of Mr. Mereness ["(I trust that the great Empire State will) from time to time in the immediate future, appropriate from its vast resources sufficient moneys to the end that the State may acquire and forever hold our yet beautiful forests for the benefit of all of our people"]). The State's incremental land purchases within the park continues today, as budget appropriations allow (*see e.g.* Governor Andrew M. Cuomo, *Governor Cuomo Announces Completion of Largest Addition to Adirondack Forest Preserve in More Than a Century*, May 10, 2016, <https://www.governor.ny.gov/news/governor-cuomo-announces-completion-largest-addition-adirondack-forest-preserve-more-century> [last accessed Oct. 17, 2019] [announcing "the final acquisition in a series of land purchases the state has completed under a 2012 agreement with The Nature Conservancy to conserve 69,000 acres of land previously owned primarily by the former Finch, Pruyn & Company paper company"]). That interpretation is reinforced by the fact that the Attorney General recommended that Governor Rockefeller veto the Rivers Act because the use restrictions would result in innumerable takings, with no provision in the act for compensation.

For each of the above reasons, I cannot conclude that the DEC has any authority to permit snowmobiles on the one-mile stretch of Chain Lakes Road (South) at issue here.

IV.

The Master Plan's frontpiece assures us that when we "tramp[] the woods to the lake," we will "find pines and lilies, blue herons and golden shiners, shadows on the rocks and the glint of light on the wavelets, just as they were in the summer of 1354, as they will be in 2054 and beyond . . . [allowing us to] be a part of time that was and time yet to come" (Master Plan at Preface, quoting William Chapman White, *Adirondack Country*). Pursuant to the clear repeated directives of the Master Plan and a proper reading of the relevant statutes, one may still do so, but may not ride a snowmobile through a wild river area to get there. I respectfully dissent.

Judges STEIN, GARCIA and FEINMAN concur; Judge FAHEY dissents in an opinion; Judge WILSON dissents in a separate dissenting opinion in which Judge RIVERA concurs.

Order insofar as appealed from affirmed, with costs.

[138 NE3d 1080, 115 NYS3d 197]

ROBERT D. HAAR, Appellant, v NATIONWIDE MUTUAL FIRE INSURANCE COMPANY, Respondent, et al., Defendants.

Argued October 16, 2019; decided November 21, 2019

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Does New York Public Health Law Section 230(11)(b) create a private right of action for bad faith and malicious reporting to the Office of Professional Medical Conduct?”

HEADNOTE

Physicians and Surgeons — Disciplinary Proceedings — No Private Right of Action under Public Health Law § 230 (11) (b)

Public Health Law § 230 (11) (b) does not create a private right of action for bad faith and malicious reporting to the Office of Professional Medical Conduct (OPMC). As the statute does not expressly create a cause of action authorizing licensees to commence civil litigation against a complainant that files an allegedly bad faith and/or malicious report with OPMC, recovery may be had only if a legislative intent to create such a right of action is fairly implied in the statutory provision and its legislative history. Plaintiff physician, who was accused of insurance fraud in complaints filed by defendant with OPMC but was not disciplined following OPMC’s investigation, failed to demonstrate that he fell within the class the legislature intended to benefit by enacting Public Health Law § 230 (11) (b). Section 230 was first adopted to facilitate resolution of medical disciplinary proceedings and subdivision (11) was subsequently added and amended, providing “[a]ny person, organization, institution, insurance company, osteopathic or medical society” with immunity from civil litigation for making good faith reports to OPMC. On the face of this provision there is no indication that the legislature intended to benefit medical professionals accused of misconduct, as opposed to persons or entities that report suspected medical misconduct. In addition, the pertinent legislative history makes clear that the provision was intended to protect the public from medical misconduct by encouraging reporting. Recognizing a private right of action would undermine the statutory purpose of section 230 (11) (b) by increasing reporters’ exposure to liability, thereby potentially creating a spill-over or chilling effect that could discourage good faith reporting. Finally, the legislature enacted Public Health Law § 230 (11) to encourage robust reporting, and the implied right of action for which plaintiff advocated would diminish the effectiveness of the statutory scheme.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Physicians, Surgeons, and Other Healers §§ 12, 97.

McKINNEY'S, Public Health Law § 230 (11) (b).

NY JUR 2d Physicians, Surgeons, and Other Healers §§ 24, 50.

ANNOTATION REFERENCE

See ALR Index under Discipline and Disciplinary Actions; Physicians and Surgeons.

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POINTS OF COUNSEL

Gregory Zimmer, New York City, for appellant. Each of the factors relevant to whether an implied right of action exists under Public Health Law § 230 (11) (b) strongly supports the existence of such a cause of action. (*Matter of McBarnette v Sobol*, 83 NY2d 333; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Mark G. v Sabol*, 93 NY2d 710; *Varela v Investors Ins. Holding Corp.*, 81 NY2d 958; *Cruz v TD Bank, N.A.*, 22 NY3d 61.)

Duane Morris LLP, New York City (*Ralph J. Carter* of counsel) and Philadelphia, Pennsylvania (*Charlotte E. Thomas*, of the Pennsylvania bar, admitted pro hac vice, of counsel), for respondent. I. The statutory structure of the Medical Practices Act and No-Fault Law. (*Cruz v TD Bank, N.A.*, 22 NY3d 61; *Carrier v Salvation Army*, 88 NY2d 298; *Gomariz v Foote, Cone & Belding Communications*, 228 AD2d 316; *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Government Empls. Ins. Co. v Avanguard Med. Group, PLLC*, 27 NY3d 22; *State Farm Mut. Auto. Ins. Co. v Mallela*, 372 F3d 500; *Atkins v Guest*, 158 Misc 2d 426, 201 AD2d 411; *Matter of Doe v Axelrod*, 71 NY2d 484; *Matter of Axelrod v Sobol*, 78 NY2d 112.) II. No private right of action can be implied from the Medical Practices Act. (*Brian Hoxie's Painting Co. v Cato-*

Meridian Cent. School Dist., 76 NY2d 207; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Selkin v State Bd. For Professional Med. Conduct*, 63 F Supp 2d 397; *Atkins v Guest*, 158 Misc 2d 426; *Lesesne v Brimecome*, 918 F Supp 2d 221; *Matter of Stray from the Heart, Inc. v Department of Health & Mental Hygiene of the City of N.Y.*, 20 NY3d 946; *O'Connor v City of New York*, 58 NY2d 184; *Alexander v Sandoval*, 532 US 275; *Matter of McBarnette v Sobol*, 83 NY2d 333.)

Short & Billy, P.C., New York City (*Ioanna Olivia Zevgaras* and *Skip Short* of counsel), for New York Insurance Association, Inc. and others, amici curiae. I. Interpreting Public Health Law § 230 as it is written is consistent with the legislative framework. (*Doe v Riback*, 14 Misc 3d 385; *Matter of McBarnette v Sobol*, 83 NY2d 333; *Allstate Ins. Co. v Mun*, 751 F3d 94; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *State Farm Mut. Auto. Ins. Co. v Mallela*, 4 NY3d 313; *Pommells v Perez*, 4 NY3d 566; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *Wiener v Weintraub*, 22 NY2d 330.) II. The appellant's complaint, if upheld, would support a cause of action against patients and insurers in every Public Health Law § 230 matter. (*Dermatossian v New York City Tr. Auth.*, 67 NY2d 219.) III. Public Health Law § 230 does not set forth a cause of action.

Greenberg Taurig, LLP, Albany (*Susan Phillips Read* of counsel), for Coalition Against Insurance Fraud and another, amici curiae. I. Appellant's proposed implied private right of action does not fulfill the three-part *Sheehy* test. (*Sheehy v Big Flats Community Day*, 73 NY2d 629; *Pelaez v Seide*, 2 NY3d 186; *Brian Hoxie's Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207; *Varela v Investors Ins. Holding Corp.*, 81 NY2d 958; *Carrier v Salvation Army*, 88 NY2d 298; *Mark G. v Sabol*, 93 NY2d 710; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32; *Hammer v American Kennel Club*, 1 NY3d 294; *McLean v City of New York*, 12 NY3d 194; *City of New York v Smokes-Spirits.Com, Inc.*, 12 NY3d 616.) II. A statute conferring qualified immunity is unsuited as the source of an implied private right of action. (*Doe v Roe*, 190 AD2d 463; *Mark G. v Sabol*, 93 NY2d 710; *Straton v Orange County Dept. of Social Servs.*, 217 AD2d 576; *Foong v Empire Blue Cross & Blue Shield*, 305 AD2d 330.) III. The policy reasons that impelled the legislature to enact Public Health Law § 230 (11) (b) remain salient today.

OPINION OF THE COURT

STEIN, J.

The United States Court of Appeals for the Second Circuit has certified the following question to this Court: “Does New York Public Health Law [§] 230(11)(b) create a private right of action for bad faith and malicious reporting to the Office of Professional Medical Conduct?” (918 F3d 231, 235 [2d Cir 2019].) Because there is no indication that the legislature intended to create a private right of action in section 230 (11) (b), we answer the certified question in the negative.

Plaintiff, an orthopedic surgeon licensed to practice medicine in New York, treated four patients who were injured in automobile accidents and insured by defendant Nationwide Mutual Fire Insurance Company. Plaintiff submitted claims to defendant in connection with each patient, and defendant either fully or partially denied each claim. Defendant thereafter filed complaints with the Office of Professional Medical Conduct (OPMC) alleging insurance fraud. After an investigation, OPMC declined to impose any discipline against plaintiff. Plaintiff then commenced this action, asserting that defendant’s complaints to OPMC lacked a good faith basis in violation of Public Health Law § 230 (11) (b), and interposed a separate cause of action for defamation.

Defendant removed the action to federal court and moved to dismiss the complaint, arguing that Public Health Law § 230 (11) (b) did not expressly or impliedly provide plaintiff with a right of action and that the defamation claim was time-barred. The United States District Court for the Southern District of New York granted defendant’s motion to the extent of dismissing the cause of action premised on section 230 (11) (b). Relying on its prior decision in *Lesesne v Brimecome* (918 F Supp 2d 221 [SD NY 2013]), the District Court opined that, if presented with the issue of whether Public Health Law § 230 (11) (b) implies a private right of action, this Court would hold that it does not. The District Court subsequently concluded that plaintiff’s defamation cause of action was time-barred.

Plaintiff appealed. Recognizing an Appellate Division split regarding whether Public Health Law § 230 (11) (b) implies a private right of action (*compare Ahmed Elkoulily, M.D., P.C. v New York State Catholic Healthplan, Inc.*, 153 AD3d 768, 771-772 [2d Dept 2017], *with Foong v Empire Blue Cross & Blue Shield*, 305 AD2d 330, 330 [1st Dept 2003]), the Second Circuit

certified the above question, which this Court accepted (32 NY3d 1211 [2019]).

Public Health Law § 230 governs professional medical misconduct proceedings. Section 230 (11) sets forth the procedures for reporting “information . . . which reasonably appears to show that a licensee is guilty of professional misconduct,” as defined by the Education Law (Public Health Law § 230 [11] [a]). To that end, the statute requires that certain organizations and licensees report suspected medical misconduct, although the statute also permits “any other person” to submit complaints to OPMC (Public Health Law § 230 [11] [a]). The provision at issue in this case states that “[a]ny person, organization, institution, insurance company, osteopathic or medical society who reports or provides information to [OPMC] in good faith, and without malice shall not be subject to an action for civil damages or other relief as the result of such report” (Public Health Law § 230 [11] [b]).

As plaintiff concedes, Public Health Law § 230 (11) (b) does not expressly create a cause of action authorizing licensees to commence civil litigation against a complainant that files an allegedly bad faith and/or malicious report with OPMC (*compare* Public Health Law § 230 [10] [j] [creating an express right to commence a CPLR article 78 proceeding in certain instances]). Consequently, “recovery may be had . . . only if a legislative intent to create such a right of action is fairly implied in the statutory provision[] and [its] legislative history” (*Brian Hoxie’s Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207, 211 [1990] [internal quotation marks omitted]; *see Sheehy v Big Flats Community Day*, 73 NY2d 629, 633 [1989]; *see also Cruz v TD Bank, N.A.*, 22 NY3d 61, 70 [2013]; *Hammer v American Kennel Club*, 1 NY3d 294, 299 [2003]; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32, 38 [1999]; *Carrier v Salvation Army*, 88 NY2d 298, 302 [1996]). Stated differently, “[a]bsent explicit legislative direction, . . . it is for the courts to determine, in light of [the statutory] provisions, particularly those relating to sanctions and enforcement, and their legislative history, and of existing common-law and statutory remedies, with which legislative familiarity is presumed, what the [l]egislature intended” (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314, 325 [1983]).

We have consistently identified three “essential factors” to be considered in determining whether a private right of action can be fairly implied from the statutory text and legislative

history: “(1) whether the plaintiff is one of the class for whose particular benefit the statute was enacted; (2) whether recognition of a private right of action would promote the legislative purpose; and (3) whether creation of such a right would be consistent with the legislative scheme” (*Sheehy*, 73 NY2d at 633-634; see e.g. *Cruz*, 22 NY3d at 70; *Carrier*, 88 NY2d at 302). Critically, all three factors must be satisfied before an implied private right of action will be recognized (see *Pelaez v Seide*, 2 NY3d 186, 200 [2004]). Applying these factors here, we conclude that the legislature did not intend to create a right of action under Public Health Law § 230 (11) (b).

Beginning with the first factor, plaintiff failed to demonstrate that he falls within the class the legislature intended to benefit by enacting Public Health Law § 230 (11) (b). Section 230 was first adopted, without subdivision (11), to facilitate resolution of medical disciplinary proceedings (see Sponsor’s Mem at 2, Bill Jacket, L 1975, ch 109). Subdivision (11) was subsequently added and amended, providing “[a]ny person, organization, institution, insurance company, osteopathic or medical society” with immunity from civil litigation for making good faith reports to OPMC (Public Health Law § 230 [11] [b]). On the face of this provision, there is no indication that the legislature intended to benefit medical professionals accused of misconduct, as opposed to persons or entities that report suspected medical misconduct.

Even if there were any ambiguity in the statutory text with respect to who the statute was intended to benefit, the legislative history of section 230 (11) (b) could not be much clearer on this point. The Sponsor’s Memorandum in support of the original version of section 230 (11) (b) observed that “[t]he American Medical Association’s ad hoc Committee on Medical Discipline ha[d] reported that one of the major problems for state regulating boards [was] the reluctance of hospitals, medical societies, and physicians to provide information concerning errant doctors, because of a fear of litigation” (Sponsor’s Mem at 2, Bill Jacket, L 1977, ch 773). In order “to alleviate that concern and to *increase the reports of unprofessional conduct to [OPMC],*” section 230 (11) (b) was codified specifically to afford “*immunity from civil suit to all individuals, societies, and institutions who provide information to [OPMC] in good faith*” (*id.* [emphasis added]). In that regard, the Sponsor’s Memorandum further observed that, “[w]hen Arizona enacted similar legislation, the number of complaints reported to [its] board

quadrupled, and disciplinary action became more effective” (*id.*). Thus, the pertinent legislative history makes clear that section 230 (11) (b) was not added to the Public Health Law to protect physicians, such as plaintiff, accused of misconduct. Rather, that provision was intended to protect the public from medical misconduct by encouraging reporting.

Nevertheless, plaintiff argues that, given the numerous procedural protections afforded to doctors who are accused of misconduct, Public Health Law § 230 was generally intended for their benefit. To be sure, as the legislature has amended section 230 over the past 45 years, it has continuously grappled with how to balance an effective disciplinary system for the medical profession with procedural due process. However, the fact that the legislature has amended section 230 to provide procedural safeguards does not mean that section 230 (11) (b), in particular, was designed to benefit medical professionals accused of misconduct. A degree of procedural due process is afforded in all administrative proceedings; therefore, to accept plaintiff’s argument essentially would be to conclude that, in all administrative law contexts, the very parties or entities being regulated are, as a matter of course, the intended beneficiaries of the statutes that regulate them. Inasmuch as the text and legislative history of section 230 (11) (b) establish that, in order to encourage increased reporting of unprofessional conduct, the legislature specifically sought to *shield complainants* from liability by imparting a limited immunity from civil actions commenced by regulated entities, plaintiff’s focus on the procedural due process protections generally accorded to licensees subject to medical disciplinary proceedings is misplaced.

Simply put, there is no indication that physicians accused of misconduct were the intended beneficiaries of section 230 (11) (b). Thus, “the first, and perhaps most easily satisfied, prong” for determining whether a statute implies a private right of action is not satisfied in this case (*Sheehy*, 73 NY2d at 634).

Because plaintiff fails the first prong of our well-settled analysis, we must conclude—regardless of our consideration of the other two factors—that there is no implied right of action under Public Health Law § 230 (11) (b) (*see Pelaez*, 2 NY3d at 200). In any event, plaintiff’s arguments with respect to the remaining two prongs fare no better than the first. Regarding the second factor—“whether recognition of a private right of action would promote the legislative purpose” of the statute (*Sheehy*, 73

NY2d at 633)—plaintiff argues that the legislature’s intent in enacting Public Health Law § 230 (11) (b) was, in part, to discourage bad faith reporting. However, this position is belied by both the text of the statute and the legislative history discussed above, which demonstrate that the legislature’s goal was to *increase* reporting—nothing in either the text or legislative history evinces legislative concern that OPMC was receiving too many reports. Nor does plaintiff point to anything that would suggest that recognizing a private right of action would discourage only bad faith reporting. Thus, were this Court to recognize an implied right of action, we would likely undermine the statutory purpose of section 230 (11) (b) by increasing reporters’ exposure to liability, thereby potentially creating a spill-over or chilling effect that could discourage good faith reporting.

Essentially, plaintiff seeks to imply a private right of action based on negative implication; he argues that the “good faith” language in Public Health Law § 230 (11) (b) implicitly recognizes that bad faith reporting is actionable. However, this Court has already rejected a similar argument in *Cruz v TD Bank*, in which we determined that there was no private right of action in favor of the plaintiffs—judgment debtors whose bank accounts were frozen—against the financial institution that failed to provide the plaintiffs with certain forms required by statute (22 NY3d at 65, 72). There, the plaintiffs posited that a provision in the relevant statute “explicitly saying that banks cannot be liable for inadvertently failing to provide the[se] forms . . . signaled that financial institutions could be liable for all other failures to comply with the statute, whether inadvertent or otherwise” (*id.* at 72). We declined to infer a private right of action, reasoning that, “[i]f the legislature intended to create new liability for banks, it is odd that it would choose to do so by expressly stating that banks are *not liable* in particular circumstances while, at the same time, remaining silent as to any instances when banks *are liable* under the new statute” (*id.*). We observed that, “when interpreting a statute, courts typically do not rely on legislative silence to infer significant alterations of existing law on the rationale that legislative bodies generally do not ‘hide elephants in mouseholes’” (*id.*, quoting *Whitman v American Trucking Assns., Inc.*, 531 US 457, 468 [2001]). We similarly reject plaintiff’s argument here that the language of Public Health Law § 230 (11) (b) creates an implied right of action by negative implication.

Moreover, as the parties agree, common-law remedies exist, thereby undercutting plaintiff's argument that there is no other method of deterring bad faith reporting. For example, although the issue is not before us, the parties are in agreement that the very same allegations that could support a cause of action under section 230 (11) (b), if one existed, might also support a defamation claim when the identity of the claimant is known. To the extent the statutory text and legislative history of section 230 (11) (b) are silent regarding a concern over bad faith reporting, we can infer that the legislature was satisfied with existing common-law remedies, "with which legislative familiarity [must be] presumed" (*Burns Jackson Miller Summit & Spitzer*, 59 NY2d at 325).

The third and final factor of our analysis—"whether creation of such a right would be consistent with the legislative scheme" (*Sheehy*, 73 NY2d at 633)—also militates against recognition of an implied right of action. As highlighted above, the legislature enacted Public Health Law § 230 (11) to encourage robust reporting, and the implied right of action for which plaintiff advocates would diminish the effectiveness of this statutory scheme. We further observe that, just as Public Health Law § 230 (11) (a) mandates that certain organizations and licensees report suspected medical misconduct to OPMC, the Insurance Law also requires insurance companies to report suspected insurance fraud to OPMC (*see* Insurance Law § 5108 [c]; 11 NYCRR 68.8). Recognizing an implied right of action in section 230 (11) (b) could discourage mandatory reporters from complying with their statutory duties out of concern that even a good faith report could spawn litigation under that section. This result would be antithetical to the legislature's clear objective. Additionally, Public Health Law § 230 (11) (a) contains a confidentiality provision that professional misconduct reports to OPMC "shall remain confidential and shall not be admitted into evidence in any . . . judicial proceeding." This rule was designed to further encourage "those who were alleged victims of professional misconduct on the part of a physician to come forward without fear of disclosure so that appropriate investigations might be pursued" (*Matter of McBarnette v Sobol*, 83 NY2d 333, 338 [1994]). Although licensees may in some cases, as here, be aware of or discern the complainant's identity, the confidentiality provision generally operates to prevent licensees from discovering the identity of complainants and, consequently, pressing any civil claims against them (*cf. Matter of*

McBarnette, 83 NY2d at 341 [holding that section 230 (11) (a) did not bar access to written complaints for cross-examination purposes where the licensee “face(d) charges, some of which (were) 15 to 20 years old, and the authors of the complaints ha(d) testified and (were) already known to the physician”]). That the legislature did not contemplate broad access to the identity of reporters is an additional indication that section 230 (11) (b) was not intended to create a private right of action.

In sum, Public Health Law § 230 (11) (b) was not enacted for the benefit of persons similarly situated to plaintiff, and a private right of action is inconsistent with the legislative purpose and broader statutory scheme. Therefore, the statutory text and legislative history do not imply a legislative intent to create a right of action under section 230 (11) (b). Accordingly, the Second Circuit’s certified question should be answered in the negative.

Chief Judge DiFIORE and Judges RIVERA, FAHEY, WILSON and FEINMAN concur; Judge GARCIA taking no part.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by the Court of Appeals pursuant to Rules of the Court of Appeals (22 NYCRR) § 500.27, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the negative.

[139 NE3d 1210, 116 NYS3d 630]

TOWN OF DELAWARE, Respondent, v IAN LEIFER, Individually
and Doing Business as THE CAMPING TRIP, Appellant.

Argued October 16, 2019; decided November 21, 2019

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 21, 2018. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, Sullivan County (Stephan Schick, J.), which had (1) granted plaintiff's motion for summary judgment; (2) denied defendant's cross motion for summary judgment dismissing the complaint; and (3) permanently enjoined defendant from "continuing to advertise, sell tickets to and from holding or permitting to be held upon the premises . . . an outdoor festival heretofore styled as 'The Camping Trip,' inclusive of its associated outdoor performances of electronically amplified musical acts, overnight camping and multiple food services, and/or any other events of the same kind, nature and/or description on the [p]remises, provided that nothing contained herein shall be construed to prohibit uses consistent with the single family residence situate[d] on the [p]remises."

Town of Del. v Leifer, 162 AD3d 1350, affirmed.

HEADNOTES

**Constitutional Law — First Amendment Rights — Town Zoning
Restrictions Prohibiting Outdoor Music and Camping Festival in
Rural District**

1. Plaintiff town's Zoning Law provisions prohibiting the presentation of live music performances and other associated land uses within its rural zoning district, thereby precluding defendant from hosting a three-day music and camping festival on his rural property containing a single-family home and undeveloped land, did not violate defendant's First Amendment rights, as the provisions were content-neutral time, place or manner restrictions narrowly tailored to serve the significant government interest of preserving a balance of agricultural and low-impact non-agricultural land uses and left open ample alternative channels of communication. The provisions did not ban protected forms of expression entirely, but rather restricted the location within the town where that type of expression could occur. Plaintiff's plainly stated motivation for the provisions governing land use in defendant's district qualified as a significant government interest and the provisions directly promoted that government purpose, which would be less effectively achieved in their absence. Moreover, the provisions were not substantially broader than necessary to further the government goal, as they did not restrict the type of musical expression or entertainment typically associated with resi-

dential use of property. There also existed ample alternative modes and channels for communication, as the Zoning Law expressly permitted theaters in certain districts, did not prohibit expression consistent with permitted land uses, and allowed for a person to seek an amendment or variance to the restrictions for their district, which defendant failed to do.

Constitutional Law — Validity of Ordinance — Vagueness — Town Zoning Restrictions Prohibiting Outdoor Music and Camping Festival in Rural District

2. Plaintiff town's Zoning Law provisions prohibiting the presentation of live music performances and other associated land uses within its rural zoning district, thereby precluding defendant from hosting a three-day music and camping festival on his rural property containing a single-family home and undeveloped land, were not unconstitutionally vague, as the provisions afforded sufficient notice that a music festival such as defendant's was prohibited in his district absent a permit, variance or amendment from the planning board. A statute is unconstitutionally vague if it fails to provide a person of ordinary intelligence with a reasonable opportunity to know what is prohibited, and it is written in a manner that permits or encourages arbitrary or discriminatory enforcement. The law clearly listed the uses that were authorized in the rural district without permission and, measured by the standard of common understanding, was sufficient to alert landowners that those uses did not encompass a three-day outdoor music and camping festival. The Zoning Law specifically stated that any use not specifically permitted was prohibited, and its definition of a "theater," in addition to the stated purposes of the rural district and the list of land uses allowed only with a special use permit, was adequate to alert a person of ordinary intelligence that the myriad preparations supporting the presentation of a three-day music festival, including security, tents, food trucks, and sanitation plans, would require either a variance or a special use permit to proceed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Zoning and Planning §§ 28, 33, 35, 56, 131.
NY JUR 2d Buildings, Zoning, and Land Controls §§ 146–152, 166.

ANNOTATION REFERENCE

See ALR Index under First Amendment; Freedom of Speech and Press; Zoning.

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POINTS OF COUNSEL

Russell A. Schindler, Kingston, for appellant. I. Ian Leifer's event is protected First Amendment activity. (*Winters v New*

York, 333 US 507; *Southeastern Promotions, Ltd. v Conrad*, 420 US 546; *Ward v Rock Against Racism*, 491 US 781; *Church of Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520; *Boy Scouts of America v Dale*, 530 US 640; *United States v Estrada-Tepal*, 57 F Supp 3d 164; *Sanitation & Recycling Indus., Inc. v City of New York*, 107 F3d 985.) II. The Town of Delaware Zoning Law rural district “theater” prohibition is not narrowly tailored to achieve its purpose. (*Moore v East Cleveland*, 431 US 494; *Schad v Mount Ephraim*, 452 US 61; *United States v O’Brien*, 391 US 367; *Clark v Community for Creative Non-Violence*, 468 US 288; *Ward v Rock Against Racism*, 491 US 781; *Grayned v City of Rockford*, 408 US 104; *Carew-Reid v Metropolitan Transp. Auth.*, 903 F2d 914; *Schneider v State [Town of Irvington]*, 308 US 147; *Village of Schaumburg v Citizens for a Better Environment*, 444 US 620.) III. The selling of tickets does not convert First Amendment activity into a commercial activity. (*Bery v City of New York*, 97 F3d 689; *City of Lakewood v Plain Dealer Publishing Co.*, 486 US 750; *Riley v National Federation of Blind of N. C., Inc.*, 487 US 781; *Murdock v Pennsylvania*, 319 US 105.) IV. The Town of Delaware Zoning Law rural district “theater” prohibition is unconstitutionally void for vagueness on its face. (*Farrell v Burke*, 449 F3d 470; *Copeland v Vance*, 230 F Supp 3d 232; *Smith v Goguen*, 415 US 566; *Hill v Colorado*, 530 US 703; *Smith v Goguen*, 415 US 566; *Goguen v Smith*, 343 F Supp 161; *Hoffman Estates v Flipside, Hoffman Estates, Inc.*, 455 US 489; *Holder v Humanitarian Law Project*, 561 US 1; *United States v Williams*, 553 US 285; *Dickerson v Napolitano*, 604 F3d 732.) V. The Town of Delaware Zoning Law rural district “theater” prohibition is void for vagueness as applied. (*Farrell v Burke*, 449 F3d 470; *Dickerson v Napolitano*, 604 F3d 732.) VI. The Town of Delaware Zoning Law rural district “theater” prohibition is overbroad in violation of the First Amendment. (*Broadrick v Oklahoma*, 413 US 601; *Grayned v City of Rockford*, 408 US 104; *Farrell v Burke*, 449 F3d 470; *Schad v Mount Ephraim*, 452 US 61.) VII. The injunction granted is too expansive.

Kenneth C. Klein, Jeffersonville, for respondent. I. The Town of Delaware Zoning Law is entitled to a presumption of validity. (*Matter of Durante v Town of New Paltz Zoning Bd. of Appeals*, 90 AD2d 866.) II. The Town of Delaware Zoning Law is content neutral and consistent with the First Amendment because it is narrowly tailored and leaves open ample alternative channels. (*Congregation Rabbinical Coll. of Tartikof, Inc. v Village of Pomona*, 915 F Supp 2d 574; *Ward v Rock Against*

Racism, 491 US 781; *Carew-Reid v Metropolitan Transp. Auth.*, 903 F2d 914; *Matter of Town of Islip v Caviglia*, 73 NY2d 544.)

III. The Town of Delaware Zoning Law is not void for vagueness or overbroad. (*Schad v Mount Ephraim*, 452 US 61.) IV. The selling of tickets to appellant's event is irrelevant to the land use issue. V. The injunction granted is not too expansive.

OPINION OF THE COURT

Chief Judge DiFiore.

In this appeal, a landowner challenges the constitutionality of zoning laws that preclude him from holding a three-day music and camping festival on his rural property in the Town of Delaware. Because the challenged provisions do not unconstitutionally restrict the property owner's First Amendment rights and are not void for vagueness, we affirm the Appellate Division order affirming a Supreme Court judgment enjoining the event.

Defendant Ian Leifer owns a 68-acre property containing a single-family home and undeveloped land within the boundaries of plaintiff Town of Delaware. In 2016, he planned to sponsor on the property a three-day event named "The Camping Trip"—which he had hosted twice before in previous years—over the course of an August weekend. The event was advertised online as a celebration of Shabbat, the Jewish Sabbath, during which attendees would camp on the property and view live outdoor music performances before and after Shabbat, which extends from sundown Friday to sundown Saturday. Attendees could either bring their own camping gear or purchase a "Tent-Building Pass," permitting them to use a tent assembled by the event organizer. Meals would be provided at the site through food truck vendors and a religious nonprofit organization would lead in Jewish religious ceremonies. Indicative of the scale of the 2016 event, preparations included off-site parking at a local school and rental of shuttle buses to transport attendees to the event site, a party tent for inclement weather, security at both the parking lot and event, \$2,000,000 event insurance, 16 portable toilets, a 30-cubic-yard dumpster, EMTs on site and an ambulance on standby.

Before the 2016 Camping Trip was scheduled to occur, the Town commenced this action in Supreme Court seeking a temporary restraining order, preliminary injunction and permanent injunction against the event, alleging it was prohibited by the Town's Zoning Law (adopted as Local Law No. 2-1996

and codified as chapter 220 of the Code of the Town of Delaware). The Town asserted that the Camping Trip is a land use not permitted in the rural district where defendant's property is located, noting that a "theater"—a land use encompassing the musical performances component of the event—is permitted elsewhere in the Town, but not in a rural district. The complaint further alleged that the Zoning Law permits those wishing to use property in a manner not specifically authorized to apply for a zoning variance or amendment but that defendant had not done so for the Camping Trip. Defendant opposed the Town's requested relief arguing, in part, that he had a right to hold the event on his property under the First Amendment.¹

Days before the event was scheduled to begin, the parties resolved the Town's request for a preliminary injunction by stipulating that the 2016 Camping Trip could go forward on certain conditions, including that it would not exceed 400 guests, that defendant would provide the Town confirmation that he consulted with the health and fire departments prior to the event, and that the Town would be named as an additional insured on the event insurance policy. The Town reserved the right to pursue its claim that the Zoning Law lawfully prohibits the event in the rural district. The 2016 Camping Trip ultimately involved music performances by 15 acts.

When defendant advertised his intent to hold the event again in 2017, the Town moved for summary judgment on its claim for a permanent injunction. The Town argued that uses not specifically authorized for a particular district under the Zoning Law are prohibited and, here, the Camping Trip was not a legal land use because the proposed activities did not constitute "a specified Principal Permitted Use, Special Use or Accessory Use" within a rural district. Defending against the First Amendment claim, the Town asserted that the relevant Zoning Law provisions are content-neutral and satisfy the "intermediate scrutiny" test applied to such regulations, explaining that the Camping Trip would have secondary effects on the surrounding "rural and residential community" antithetical to the Zoning Law's stated purpose of preserving the agricultural character of the rural district.

1. Defendant also contended that the Town's requested relief would violate the federal Religious Land Use and Institutionalized Persons Act of 2000 (42 USC § 2000cc *et seq.*), an argument he later abandoned in Supreme Court.

Defendant opposed the Town's motion and cross-moved for summary judgment dismissing the complaint, seeking a declaration that the Zoning Law's definition of a "theater" was unconstitutional on multiple grounds, including that it is unconstitutionally vague under the Due Process Clause. With respect to the First Amendment, he contended that the restriction on theaters in the rural district is unconstitutional, both as applied and on a facial overbreadth theory, because it bans personal displays of music, drama and film such as singing in one's home.

Rejecting defendant's constitutional arguments, Supreme Court granted the Town's motion, denied the cross motion and permanently enjoined defendant from advertising, selling tickets to, or holding the Camping Trip on his property, clarifying that the injunction would not prohibit him from using his property in ways consistent with the dwelling located there. The Appellate Division affirmed, reasoning that the relevant Zoning Law provisions are content-neutral "time, place and manner" restrictions that are compatible with the First Amendment (162 AD3d 1350, 1351 [3d Dept 2018]). The Court explained that the relevant provisions are narrowly tailored to effectuate the Town's substantial interest in "preserving the character of the area" because, while use of property as a "theater" is prohibited, they expressly allow accessory uses in the rural district that permit residents to "worship, watch films, play music, have family and friends visit and engage in other private behavior customarily conducted by homeowners," which activity is not encompassed by the excluded "theater" land use (*id.* at 1351-1352). Citing the fact that the Zoning Law expressly permits theaters in other, more developed parts of the Town, the Court concluded that the provisions leave open ample alternative means for communication (*id.*). The Appellate Division also rejected defendant's First Amendment overbreadth claim, reasoning that the relevant provisions do not "'facially prohibit[] a real and substantial amount of expression guarded by the First Amendment' so as to have a chilling effect," and the vagueness claims, concluding that the provisions invite neither arbitrary enforcement nor misunderstanding by those of ordinary intelligence (*id.* at 1352-1353 [some internal quotation marks and citations omitted], quoting *People v Marquan M.*, 24 NY3d 1, 8 [2014]). Defendant appealed to this Court as of right pursuant to CPLR 5601 (b) (1).

We have "recogni[zed] . . . the broad power of municipalities to implement land use controls to meet the increasing encroach-

ments of urbanization on the quality of life” (*Matter of Town of Islip v Caviglia*, 73 NY2d 544, 550 [1989]). Zoning ordinances constitute an exercise of the government’s police power to promote public health, safety and welfare and, as legislative enactments, are entitled to a strong presumption of constitutionality (*see id.* at 550-551; *see also Stringfellow’s of N.Y. v City of New York*, 91 NY2d 382, 395-396 [1998]). Thus, a party challenging a zoning ordinance generally carries a burden to prove its unconstitutionality beyond a reasonable doubt (*McMinn v Town of Oyster Bay*, 66 NY2d 544, 548 [1985]; *see Northern Westchester Professional Park Assoc. v Town of Bedford*, 60 NY2d 492, 500 [1983]).

The Town of Delaware Zoning Law’s general purpose is to “provide for the orderly and desirable development and use of land” in accordance with Town authority and to “promote the general welfare,” including by “promoting agriculture,” “[m]aintaining, to the maximum degree possible while accepting growth, the rural scenic character of the Town,” and “[p]reventing and eliminating other hazards and nuisances” (Zoning Law § 220-3). Under the Zoning Law, the Town is divided into seven distinct districts, each with a stated purpose, as well as two types of special “overlay” districts imposing additional regulations not relevant here. Land uses that are permitted in each district are specifically listed. In addition to the “principal” permitted uses identified for a given district, the Zoning Law also authorizes specific “accessory” uses, defined as those “incidental and subordinate” to the principal use of a piece of land or a building “located on the same lot” (Zoning Law § 220-5 [“accessory use or structure”]). Each zoning district contains a list of “special uses” that, subject to approval by the Town Planning Board, may be “permitted in a particular zoning district only on showing that such use in a specified location will comply with all conditions and standards for the location or operation of such use as may be reasonably imposed according to the requirements of [the Zoning Law]” (*id.* § 220-5 [“special use”]). The Zoning Law deems prohibited any proposed use that “is not specifically permitted”; however, it also permits a landowner seeking to engage in a prohibited use to submit a request for a zoning law amendment or variance (*id.* § 220-11).

The Town’s intent in adopting the rural district classification was “to identify land environments conducive to the mutual existence of agricultural and low-density residential uses as well

as certain unobtrusive commercial activities, ensuring both adequate amounts and choices of areas suitable for these respective uses” (Zoning Law ch 220, Schedule of District Regulations, Attachment 1:4). To that end, principal permitted uses in rural district areas include agriculture, agriculture service establishments, bed-and-breakfast establishments, fish hatcheries, greenhouses, group homes, two-family dwellings and single-family detached dwellings (like defendant’s home, located on the subject property) (*id.*). Among the accessory uses specifically permitted are “customary accessory uses.” That term is not defined in the Zoning Law but, by applying the modifier “customary” to the definition of “accessory use,” the phrase is reasonably interpreted to mean uses customarily “incidental and subordinate” to a principal use and located on the same lot. With respect to defendant’s land, which is improved by a residence, such permitted customary accessory uses would include those incidental and subordinate uses commonly associated with land containing a single-family dwelling.² A range of additional land uses may be permitted as special uses in a rural district upon application to and approval by the Town Planning Board, including campgrounds, country clubs, hotels, office buildings and recreational facilities.³

2. The rural district also specifically permits as an accessory use “home occupations,” defined as “[a]ny use customarily conducted entirely within a dwelling and carried on by the inhabitants residing therein, providing that the use is clearly incidental and secondary to the use of the dwelling for dwelling purposes; the exterior appearance of the structure or premises is constructed and maintained as a residential dwelling; and no goods are publicly displayed on the premises” (Zoning Law § 220-5 [“home occupation”]; see also § 220-24 [A] [10] [providing examples of home occupations that can qualify as accessory uses, including professional offices and artist or musician studios]).

3. In determining whether to permit a proposed special use—such as the use of property in a rural district as a campground—the Planning Board is required to assess whether the “proposed use shall be in harmony with purposes, goals, objectives and standards of the Town of Delaware Master Plan and [the Zoning Law]” and to consider a number of factors, including its potential adverse effects on “adjacent property, the character of the neighborhood, traffic conditions, parking, public improvements, public sites or rights-of-way, or other matters affecting the public health, safety and general welfare” (Zoning Law § 220-47 [A], [C]). The Town may impose conditions to mitigate negative impacts, taking into account considerations such as the adequacy of water supply and sewage disposal facilities, fire lanes and the provision of fire protection facilities, “[t]he potential for the creation of nuisances, such as . . . noise, vibration, odor and glare,” and the effect of the proposed

(n. cont’d)

None of the principal or accessory uses specifically permitted in the rural district encompass defendant's three-day outdoor music and camping festival. Such an event cannot reasonably be characterized as a customary accessory use associated with defendant's single-family residence. To the degree any portion of the event—or the entire event as planned—could be conducted as a special use or under a variance with permission from the Planning Board, defendant never made any such request. Thus, unless the provisions are unconstitutional, his proposed use is clearly prohibited in the rural district under the Town of Delaware Zoning Law and the Town was entitled to enjoin the event (*see* Zoning Law § 220-11).

In evaluating the constitutionality of the relevant Town of Delaware Zoning Law provisions, we review the Zoning Law's entire scheme for the rural district. Defendant's constitutional challenges, however, largely focus on a single land use defined in the Zoning Law that is prohibited in the rural district but permitted in other zoning districts: the "theater" land use. This approach misses the mark because the Town did not rely exclusively on the theater provision but cited the Zoning Law as a whole to show that certain uses are prohibited in a rural district but expressive aspects of the event, such as the musical presentations, are permitted in other districts. Considering this context, neither the theater provision, nor the Zoning Law as a whole, violates defendant's constitutional rights.

The Zoning Law defines a "theater" as a "building or room or outdoor facility for the presentation of plays, films, other dramatic performances, or music" (Zoning Law § 220-5 ["theater"]). The phrase "outdoor facility" is not defined, but it necessarily refers to something distinct from a "building" or "room," which are also referenced in the provision. A "facility" is "something that makes an . . . operation . . . easier" or "something . . . that is built, installed, or established to serve a particular purpose" (Merriam-Webster Online Dictionary, facility [<https://www.merriam-webster.com/dictionary/facility>]). The verb "present" includes "to bring (something, such as a play) before the public" and "to offer to view" or "show" (Merriam-Webster Online Dictionary, present [<https://www.merriam-webster.com/dictionary/present>])). A "theater" therefore encompasses the bringing of cultural performances

special use on "the value and future development of neighboring properties" (*id.* § 220-47 [E]).

before the “public,” as well as a “showing” of these art forms more generally, in structures (i.e., a building or room) or outdoors in circumstances that involve supportive equipment or installations. Here, to the extent defendant sought to show live music performances before festival attendees in an outdoor setting with a range of supporting equipment and other installations, those performances qualify as music “presentations” in outdoor “facilities” and, thus, as a “theater” under the Zoning Law. Because aspects of his proposed land use fall within this category excluded in his rural district, defendant challenges what he dubs “the theater prohibition” as violating the First Amendment as applied to him, as facially overbroad, and as unconstitutionally vague under the Due Process Clause.

In essence, defendant’s First Amendment argument is that, because there are expressive aspects to his event, its restriction in a rural district is unconstitutional and he has an unfettered right to hold a three-day music festival on his property free of regulation by the Town. He is mistaken. “[T]he First Amendment does not guarantee the right to employ every conceivable method of communication at all times and in all places” (*Members of City Council of Los Angeles v Taxpayers for Vincent*, 466 US 789, 812 [1984]).

[1] The First Amendment’s protections encompass entertainment, including film and live musical and dramatic performances, and are implicated here to the extent that the Zoning Law restricts non-accessory use of land for a “theater,” thereby precluding defendant from hosting a music festival on his property (see e.g. *Ward v Rock Against Racism*, 491 US 781, 790 [1989], *reh denied* 492 US 937 [music performances]; *Schacht v United States*, 398 US 58 [1970] [theater]; *Joseph Burstyn, Inc. v Wilson*, 343 US 495 [1952] [film]). That the Zoning Law restricts certain modes of expression, however, does not necessarily render it unconstitutional. Because “various methods of speech, regardless of their content, may frustrate legitimate governmental goals” (*Consolidated Edison Co. of N. Y. v Public Serv. Comm’n of N.Y.*, 447 US 530, 536 [1980]), the government may regulate expression through reasonable “time, place, or manner” restrictions (*Clark v Community for Creative Non-Violence*, 468 US 288, 293 [1984]).

Generally, “the First Amendment forbids the government to regulate speech in ways that favor some viewpoints or ideas at the expense of others” (*Taxpayers for Vincent*, 466 US at 804). Indeed, when the government regulates the content of speech,

“the usual presumption of constitutionality afforded [legislative] enactments is reversed,” the regulation is presumptively invalid and, under a “strict scrutiny” test, it is enforceable only if it is the least restrictive means for serving a compelling government interest (see *United States v Playboy Entertainment Group, Inc.*, 529 US 803, 817, 813 [2000]). A content-neutral time, place or manner restriction, however, is enforceable if it satisfies a more lenient, intermediate scrutiny standard: it must be “narrowly tailored to serve a significant government interest . . . and leave open ample alternative channels of communication” (*People v Barton*, 8 NY3d 70, 76 [2006]; see also *Clark*, 468 US at 293).

Alternatively, defendant argues that even if the Camping Trip may be lawfully prohibited in the rural district, the theater restriction must be struck down on facial overbreadth grounds. The overbreadth doctrine—which has been characterized as “strong medicine” to be used “sparingly”—permits invalidation of a statute on First Amendment grounds “because of a judicial prediction . . . that the statute’s very existence may cause others not before the court to refrain from constitutionally protected speech or expression” (*Broadrick v Oklahoma*, 413 US 601, 613, 612 [1973]). A statute is not facially overbroad merely because we can “conceive of some impermissible applications” (*Taxpayers for Vincent*, 466 US at 800; see *Marquan M.*, 24 NY3d at 8). Rather, particularly where the statute regulates expressive conduct and not only pure speech, it will not be invalidated on this theory unless it is *substantially* overbroad (466 US at 799-800, quoting *Broadrick*, 413 US at 615) “because it facially ‘prohibits a real and substantial amount of’ expression guarded by the First Amendment” (*Marquan M.*, 24 NY3d at 8, quoting *Barton*, 8 NY3d at 75). That is, courts must “assess the wording of the statute—without reference to the defendant’s conduct—to decide whether a substantial number of its applications are unconstitutional, judged in relation to the statute’s plainly legitimate sweep” (*id.* [internal quotation marks and citations omitted]).

In this case, to the extent the relevant Town of Delaware Zoning Law provisions restrict expression, they are time, place and manner regulations that are content-neutral⁴ and thus subject to intermediate scrutiny under the First Amendment.

4. Content-neutrality turns on the form of the statute, its impact or the government purpose served by its enactment: a regulation is content-neutral

(n. cont’d)

They do not ban protected forms of expression entirely—such as by precluding all theaters from the Town—but rather restrict the location within the Town where that type of expression may occur. Case law addressing the constitutionality of zoning ordinances has consistently held that municipalities have a weighty interest in regulating the character and aesthetics of neighborhoods in order to preserve quality of life (see e.g. *People v On Sight Mobile Opticians*, 24 NY3d 1107, 1110 [2014], citing *Taxpayers for Vincent*, 466 US at 806; *Caviglia*, 73 NY2d at 550, 553; *Renton v Playtime Theatres, Inc.*, 475 US 41, 50 [1986], *reh denied* 475 US 1132 [1986]). Here as well, the Town’s plainly stated motivation for the Zoning Law provisions governing land use in the rural district—to preserve a balance of agricultural and low-impact non-agricultural land uses—qualifies as a significant government interest.

Thus, defendant’s as-applied challenge distills to whether the time, place and manner regulations contained in the relevant Zoning Law provisions are sufficiently narrowly tailored, leaving open adequate alternative modes and channels for communication. A time, place or manner regulation is narrowly tailored if it “promotes a substantial government interest that would be achieved less effectively absent the regulation” and is not “substantially broader than necessary to achieve [that] interest” (*Ward*, 491 US at 799-800 [internal quotation marks and citation omitted]). To be constitutional, the regulations need not be the least restrictive means of advancing the government goal, as the enforceability of such enactments “does not turn on a judge’s agreement with the responsible decision-maker concerning the most appropriate method for promoting significant government interests” (*id.* at 800, quoting *United States v Albertini*, 472 US 675, 689 [1985]). The Zoning Law provisions at issue here satisfy this requirement. By automatically allowing a limited and balanced suite of principal and accessory land uses that are closely related to the government’s purpose of preserving agricultural character (e.g., agriculture, agriculture services establishments, single- and two-family

if it is “justified without reference to the content of the regulated speech” or, put another way, if it “serves purposes unrelated to the content of expression . . . even if it has an incidental effect on some speakers or messages but not others” (*Barton*, 8 NY3d at 77, quoting *Ward*, 491 US at 791). The Town of Delaware Zoning Law provisions implicated here do not reference the content of any expression incidentally impacted, including the content displayed at theaters restricted in the rural district.

dwelling), but prohibiting a range of more obtrusive uses absent a special use permit or variance (including “theater[s]” with attendant noise and traffic), the provisions directly promote that government purpose, which would be less effectively achieved in their absence. Indeed, it was not unreasonable for the Town to conclude that an event like the Camping Trip is the sort of land use that, like a theater, would threaten the rural district’s agricultural character.

The challenged provisions are not substantially broader than necessary to further the government goal. They do not affect personal displays of music, drama or film consistent with residential use, including singing at home or watching a film in one’s living room. The accessory use provisions permitting home occupations and uses customarily accessory to principal uses like dwellings encompass additional protected music, drama and film-related expression that one may conduct on a residential property. Simply put, the Zoning Law does not restrict the type of musical expression or entertainment typically associated with residential use of property, such as that attendant to a backyard barbeque, birthday party or similar gathering of family and friends (including observance of Shabbat). The only music, drama and film presentations excluded without a variance are those that do not qualify under one of these expressly permitted land uses, including those in the defined category of “theater[s]” requiring the use of a structure or other outdoor supportive facilities. To the degree there exists a subcategory of excluded theaters that would not undermine the government’s goal of preserving agricultural character—for example, presentations too large to qualify as a customary accessory use to a dwelling but nevertheless relatively quiet, small-scale and involving minimal traffic—that demonstrates at most that the relevant provisions may not be the narrowest means of advancing the Town’s aims, which would not invalidate them.

There also exist ample alternative modes and channels for communication. Even focusing only on the theater provision, the Zoning Law expressly permits theaters in two of the seven non-overlay districts (*see generally Renton*, 475 US at 53-54 [concluding that over five percent of city land available for a relevant use was adequate to meet this requirement]). Notably, the constitutional validity of an ordinance does not depend on whether the specific party challenging the regulation is actually able to access land for the desired purpose. Moreover, as

noted, the Zoning Law does not prohibit expression consistent with permitted land uses, which include a range of special uses—for example, a “campground”—that can be proposed to the Planning Board. In addition, the Zoning Law allows for a person to seek an amendment or variance to the restrictions for their district (Zoning Law § 220-11), which defendant failed to do. Thus, the zoning provisions that precluded defendant’s Camping Trip festival satisfy the intermediate scrutiny test for content-neutral time, place and manner restrictions. Inasmuch as the provisions simply seek to limit certain cultural presentations to the non-rural areas where they would have a less damaging impact, they also survive defendant’s overbreadth challenge.⁵

[2] Defendant’s facial and as-applied void for vagueness challenges likewise fail. “A statute is unconstitutionally vague if it fails to provide a person of ordinary intelligence with a reasonable opportunity to know what is prohibited, and it is written in a manner that permits or encourages arbitrary or discriminatory enforcement” (*People v Foley*, 94 NY2d 668, 681 [2000], *cert denied* 531 US 875 [2000], citing *Grayned v City of Rockford*, 408 US 104, 108 [1972]; see *People v Stuart*, 100 NY2d 412, 421 [2003] [describing the difference between facial and as-applied vagueness claims]). Statutory language that is imprecise but nevertheless provides sufficiently specific warning when “measured by common understanding” will survive

5. Defendant’s reliance on *Schad v Mount Ephraim* (452 US 61 [1981]), in which the Supreme Court invalidated a zoning ordinance under the First Amendment, is misplaced. The zoning ordinance on which the municipality relied in that case to fine an adult bookstore that offered live nude dancing banned all “live entertainment” in the municipality, rather than restricting it to certain districts. Moreover, *Schad* represents an early step in the Supreme Court’s development of First Amendment jurisprudence specific to regulation of adult businesses. That case law subsequently culminated in the development of a specialized burden-shifting framework for determining whether an ordinance regulating adult businesses—which may be treated as content-neutral if found to have been predominantly aimed at ameliorating negative secondary effects rather than restricting speech based on content—is actually “designed to serve [that] substantial government interest” (*Los Angeles v Alameda Books, Inc.*, 535 US 425, 440-441 [2002] [plurality]). The concerns animating the analysis of adult use ordinances, which are not intuitively content-neutral (*Alameda Books*, 535 US at 448 [Kennedy, J., concurring]; *For the People Theatres of N.Y., Inc. v City of New York*, 29 NY3d 340, 349 n 1 [2017], *cert denied sub nom. JGJ Merchandise Corp. v New York, NY*, 583 US —, 138 S Ct 1000 [2018], *cert denied sub nom. Ten’s Cabaret, Inc. v New York, NY*, 583 US —, 138 S Ct 994 [2018]), are not present here.

constitutional scrutiny (*Foley*, 94 NY2d at 681, quoting *People v Shack*, 86 NY2d 529, 538 [1995]).

The plain text of the challenged Zoning Law provisions afforded sufficient notice that a music festival such as the Camping Trip was prohibited in the rural district absent a permit, variance or amendment from the Planning Board and, thus, the provisions are not void for vagueness as applied to defendant. The Zoning Law clearly lists the uses that are authorized in the rural district without such permission and, measured by the standard of common understanding, was sufficient to alert landowners that those uses did not encompass a three-day outdoor music and camping festival. While defendant focuses on the term “outdoor facility” in the theater definition, claiming this language did not alert him that his planned music performances on unimproved land were prohibited, this argument ignores the structure of the Zoning Law, which states that any use not specifically permitted is prohibited (Zoning Law § 220-11). As we have explained, the legality of defendant’s event does not turn on whether it fits within the defined land use of a “theater.” In any event, the definition—in addition to the stated purposes of the rural district and the list of land uses allowed only with a special use permit—was adequate to alert a person of ordinary intelligence that the myriad preparations supporting the presentation of a three-day music festival, including security, tents, food trucks, and sanitation plans, would require either a variance or a special use permit to proceed. Defendant’s facial vagueness challenge is primarily dependent on his assertion that the theater restriction criminalizes personal displays of music, film or other artistic expression by or for occupants or friends at one’s home—a proposition that, as discussed, is negated by the plain text of the Zoning Law, which permits uses consistent with or customarily accessory to a dwelling. Defendant’s constitutional challenges are therefore unavailing.

Finally, we reject defendant’s contention that Supreme Court imposed an overly expansive injunction by enjoining the entire Camping Trip event when certain components of that festival fall outside the definition of a “theater.” Defendant’s argument again focuses too narrowly on the theater provision. The three-day event that, as advertised, would have included combined use of the property as an outdoor music performance venue and campground does not fall within any of the land uses expressly authorized in the rural district without a permit,

variance or amendment from the Town and, thus, Supreme Court did not err in enjoining it as a whole. Supreme Court expressly excluded from the injunction “uses consistent with the single family residence situate[d] on the Premises,” mirroring the Zoning Law’s allowance of that principal use of defendant’s property and any customary accessory uses. Moreover, if defendant desires to use his property to conduct activities qualifying as a special use in the rural district, the injunction does not prevent him from applying to the Planning Board for such permission as authorized by the Zoning Law, and/or seeking a variance or amendment. We have considered defendant’s remaining arguments to the extent preserved and they do not warrant a different outcome.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

Order affirmed, with costs.

[139 NE3d 1222, 116 NYS3d 642]

GREGG LUBONTY, Appellant, v U.S. BANK NATIONAL ASSOCIATION, as Indenture Trustee for AMERICAN HOME MORTGAGE INVESTMENT TRUST 2005-4A, et al., Respondent.

Argued October 17, 2019; decided November 25, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 28, 2018. The Appellate Division affirmed an order of the Supreme Court, Suffolk County (Joseph Farneti, J.; op 2015 NY Slip Op 31632[U] [2015]), which had (1) granted defendant's motion pursuant to CPLR 3211 (a) (7) to dismiss the complaint; and (2) dismissed the complaint in its entirety.

Lubonty v U.S. Bank N.A., 159 AD3d 962, affirmed.

HEADNOTES

Limitation of Actions — Tolling — Action Stayed by Statutory Prohibition — Automatic Bankruptcy Stay

1. The automatic stay pursuant to 11 USC § 362 (a) prohibiting the commencement or continuation of any judicial proceedings against a debtor upon the filing of a bankruptcy petition constitutes a “statutory prohibition” under CPLR 204 (a), which tolls the statute of limitations where “the commencement of an action has been stayed by a court or by statutory prohibition.” The bankruptcy stay provision expressly prohibits the “commencement or continuation” of any covered action (11 USC § 362 [a] [1])—it is a blanket ban on filing or continuing lawsuits against the debtor. While an aggrieved party may seek relief from the automatic stay by application to the bankruptcy court, the need to seek judicial relief from the automatic stay means the creditor is otherwise prohibited from proceeding, and there is no guarantee that the bankruptcy court will favorably exercise its discretion.

Limitation of Actions — Tolling — Commencement of Action Stayed by Statutory Prohibition — Subsequent Actions Asserting Same Claim

2. The term “commencement” within the meaning of CPLR 204 (a) for purposes of tolling the statute of limitations where “the commencement of an action has been stayed by a court or by statutory prohibition” includes the commencement of subsequent actions asserting the same claim. Accordingly, in plaintiff's action to discharge his mortgage commenced after he twice filed for bankruptcy and then obtained an automatic stay and dismissal of the foreclosure actions pending against him, the 1,651 days during which defendant was prevented from commencing a foreclosure action due to the automatic bankruptcy stays were not part of the time within which a foreclosure action had to be commenced. Neither the Court of Appeals nor the legislature has restricted the term “commencement” to the first time a party files a complaint asserting a cause of action. Likewise, a toll operates to compensate a claimant

for the shortening of the statutory period in which it must commence—or recommence—an action, irrespective of whether the stay has actually deprived the claimant of any opportunity to do so. Thus, in determining whether the statute of limitations on a foreclosure action had expired when a RPAPL 1501 (4) action is filed, the duration of any bankruptcy stay must be excluded, regardless of whether an earlier action on the same claim had been initiated or was pending when the stay was imposed.

Limitation of Actions — Tolling — Action Stayed by Statutory Prohibition — Prior Action Asserting Same Claim Pending When Stay Imposed

3. CPLR 204 (a)'s toll of the statute of limitations where “the commencement of an action has been stayed by a court or by statutory prohibition” is available to a party who, at the time the stay was imposed, had a pending action asserting the same claim. Accordingly, defendant bank's foreclosure claims were not time-barred, where the statute of limitations was tolled for the period during which defendant was statutorily prohibited from commencing any action concerning plaintiff's property by virtue of the stays automatically imposed when plaintiff filed for bankruptcy while the foreclosure actions of defendant and its predecessor remained pending. Plaintiff's use of the automatic stay, and his control over the timing of its application and revocation, had the effect of halting the pending litigation and staying the commencement of subsequent foreclosure actions for more than four years. In both foreclosure actions, plaintiff filed for bankruptcy and obtained an automatic stay at critical stages of the litigation. In both cases, plaintiff acted to lift the stay and shortly thereafter obtained dismissal of the relevant foreclosure action. Defendant was clearly prevented from asserting its rights as a direct result of plaintiff's actions. The limitations period began to run upon the acceleration of plaintiff's mortgage by defendant's predecessor. The property was subject to bankruptcy stays for at least 1,651 days, during which defendant was statutorily prohibited from commencing any action concerning the property. Adding the duration of the stay to the six-year statute of limitations period, defendant's claims were not time-barred when Supreme Court granted defendant's motion to dismiss plaintiff's action to discharge the mortgage.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Bankruptcy §§ 1707, 1782; AM JUR 2d Limitation of Actions § 186.
CARMODY-WAIT 2d Limitation of Actions § 13:368.
McKINNEY'S, CPLR 204 (a).
NY JUR 2d Limitations and Laches §§ 290, 293.
SIEGEL, NY PRAC § 51.
11 USCA § 362 (a).

ANNOTATION REFERENCE

See ALR Index under Bankruptcy and Insolvency; Limitation of Actions; Stay of Proceedings.

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POINTS OF COUNSEL

Lester & Associates, P.C., Garden City (*Peter K. Kamran* of counsel), for appellant. Reversal is warranted as the Supreme Court and the Appellate Division have misinterpreted or disregarded the clear statutory language of CPLR 204 (a). (*Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *People v Lopez*, 34 Misc 3d 476; *MLG Capital Assets v Judith Eidelkind Trust*, 275 AD2d 357; *Zuckerman v 234-6 W. 22 St. Corp.*, 267 AD2d 130; *Mercury Capital Corp. v Shepherds Beach*, 184 Misc 2d 266.)

Hinshaw & Culbertson LLP, New York City (*Schuyler B. Kraus*, *Joseph Silver* and *Han Sheng Beh* of counsel), for respondent. I. CPLR 204 (a) clearly tolls the statute of limitations irrespective of when a matter was commenced. (*Wilkinson v First Natl. Fire Ins. Co. of Worcester, Mass.*, 72 NY 499; *MLG Capital Assets v Judith Eidelkind Trust*, 275 AD2d 357; *PSP-NC, LLC v Raudkivi*, 138 AD3d 709; *Ackerman v Price Waterhouse*, 84 NY2d 535; *McCarthy v Volkswagen of Am.*, 55 NY2d 543; *Matter of Feinberg*, 18 NY2d 499.) II. Appellant's interpretation of CPLR 204 (a) does not comport with the legislative intent because it would lead to unjust and absurd results. (*Williams v Williams*, 23 NY2d 592; *Zappone v Home Ins. Co.*, 55 NY2d 131; *Matter of Astoria Gas Turbine Power, LLC v Tax Commn. of City of N.Y.*, 14 AD3d 553, 7 NY3d 451; *Matter of Hyde*, 15 NY3d 179; *Matter of Breen v Board of Trustees of the N.Y. Fire Dept. Pension Fund*, 299 NY 8; *Wade v Byung Yang Kim*, 250 AD2d 323; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Crown, Cork & Seal Co. v Parker*, 462 US 345; *Matter of Long v Adirondack Park Agency*, 76 NY2d 416.)

OPINION OF THE COURT

GARCIA, J.

New York law tolls the statute of limitations where “the commencement of an action has been stayed by a court or by statutory prohibition” (CPLR 204 [a]). Federal bankruptcy law automatically stays the commencement or continuation of any judicial proceedings against a debtor upon the filing of a bankruptcy petition (*see* 11 USC § 362 [a]). We must determine whether the bankruptcy stay qualifies as a “statutory prohibi-

tion” under CPLR 204 (a), and, if so, whether a party may later avail itself of the toll where, at the time the stay was imposed, that party had a pending action asserting the same claim. For the reasons set forth below, we answer yes to both questions, and affirm the order of the Appellate Division.

I.

The relevant procedural history spans two foreclosure actions, two bankruptcy petitions, and the instant action to cancel and discharge the mortgage. In 2005, plaintiff Gregg Lubonty took out a \$2.5 million mortgage on a property in Southampton, New York. Less than two years later, he defaulted on his mortgage payments. On June 11, 2007, defendant U.S. Bank National Association’s predecessor in interest, American Home Mortgage Acceptance, Inc. (AHMA), accelerated plaintiff’s mortgage and commenced a foreclosure action. For purposes of this appeal, we assume that at this point the six-year statute of limitations on the foreclosure claim was triggered (*see* CPLR 213 [4]). Just two weeks later, before his answer in the first foreclosure action was due, plaintiff filed a bankruptcy petition in federal court invoking the automatic stay and barring continuation of the first foreclosure action. On November 24, 2009, approximately 882 days after initially filing, plaintiff voluntarily dismissed the first bankruptcy action and the stay was lifted. On January 14, 2010, AHMA filed for default judgment in the first foreclosure action. On September 27, 2010, the trial court dismissed the action as abandoned.¹

Subsequently, AHMA assigned plaintiff’s mortgage to defendant and in June 2011 defendant commenced a foreclosure action. On September 30, 2011, plaintiff moved to dismiss the second foreclosure action for improper service. Before the return date on that motion, however, plaintiff once again filed for bankruptcy, and an automatic bankruptcy stay was again imposed, prohibiting continuation of the second foreclosure action for 769 days.

1. In dismissing, the trial court in the first foreclosure action reasoned that “Plaintiff did not seek a default judgment as against Defendant mortgagor . . . until January 14, 2010, approximately thirty months after the action was commenced.” No mention is made of the first bankruptcy action; the court only notes that AHMA “has failed to offer any explanation for the extensive delay.” Excluding the time the action was stayed by the first bankruptcy action, less than a month had elapsed from the time plaintiff’s answer was due to when defendant filed for default judgment (*see* CPLR 3215 [c]).

On November 26, 2013, the bankruptcy court ordered the property and three other properties, with a combined market value of approximately \$7.375 million, released to plaintiff from the bankruptcy estate in return for two payments totaling \$25,000. On April 8, 2014, the bankruptcy trustee notified the court in the second foreclosure action that the stay was no longer in effect. The stay of the second foreclosure action was lifted.² Plaintiff's motion to dismiss for improper service was still pending and defendant filed its opposition on June 2, 2014, the day after plaintiff made the final payment releasing the property from his bankruptcy estate. Plaintiff replied on June 12, 2014. On October 21, 2014, the court dismissed the second foreclosure action for improper service of process.³

Two weeks later, plaintiff filed the instant action under Real Property Actions and Proceedings Law § 1501 (4) to discharge the mortgage, asserting that the statute of limitations on defendant's foreclosure claim had expired.⁴ Defendant moved to dismiss the action arguing that the statute of limitations on its foreclosure claim had not, in fact, expired because it was tolled while the bankruptcy stay was in effect.

Supreme Court dismissed, agreeing with defendant that "[u]nder [the provisions of CPLR 204 (a) and 11 USC § 362 (a) (1)], the applicable statute of limitations is tolled for the period of time during which a stay or prohibition is in effect" (2015 NY Slip Op 31632[U], *4 [Sup Ct, Suffolk County 2015]). The Appellate Division unanimously affirmed, concluding that "plaintiff's contention that CPLR 204 (a) does not apply here because the earlier foreclosure actions had already been commenced when the petitions in bankruptcy were filed is without merit" (*Lubonty*, 159 AD3d at 964). Applying CPLR 204 (a), the

2. Although the exact date on which the stay was lifted is uncertain (Nov. 26, 2013, Apr. 8, 2014, or June 1, 2014), the choice among the dates does not change the result, and therefore for purposes of this opinion the earliest date will be used to calculate the limitations period (*accord Lubonty v U.S. Bank N.A.*, 159 AD3d 962, 964 [2d Dept 2018]).

3. In dismissing the action, the trial court noted the "apparently inconsistent positions taken by [plaintiff] in the Bankruptcy proceeding, claiming that the property was of inconsequential value due to the pending foreclosure action and the position taken in the instant case." In fact, this representation by plaintiff to the trustee was used to justify the bankruptcy estate's sale to plaintiff of four properties valued at \$7.375 million for a total price of \$25,000.

4. RPAPL 1501 (4) provides that where the statute of limitations for commencement of a foreclosure action on a mortgage has expired, a person with an interest in real property subject to the mortgage may maintain an action "to secure the cancellation and discharge of record of such encumbrance."

Appellate Division determined that the statute of limitations for defendant's foreclosure claim was extended until December 2017 (*id.*). This Court granted plaintiff leave to appeal (32 NY3d 903 [2018]).⁵

II.

[1] Whether the automatic bankruptcy stay constitutes a “statutory prohibition” under CPLR 204 (a) is an issue of first impression for this Court. The issue need not detain us long. The bankruptcy stay provision expressly prohibits the “commencement or continuation” of any covered action (11 USC § 362 [a] [1])—it is a blanket ban on filing or continuing lawsuits against the debtor (*see infra* at 258). It is true that an aggrieved party may seek relief from the automatic stay by application to the bankruptcy court (*see* 11 USC § 362 [d]). But the need to seek judicial relief from the automatic stay means the creditor is otherwise prohibited from proceeding, and there is no guarantee that the bankruptcy court will favorably exercise its discretion (*see id.* § 362 [d] [1]). It is therefore clear that section 362 (a) is a “statutory prohibition” within the plain meaning of CPLR 204 (a).

III.

The issue then becomes whether the toll provided in CPLR 204 (a) is available to a claimant who, when the bankruptcy stay was imposed, had already commenced an action against the debtor—later dismissed—on the claim now reasserted. In interpreting this statute, our goal is to give force to the intent of the legislature and we therefore begin with the plain text—“the clearest indicator of legislative intent” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). In a manner consistent with the text, we may look to the purpose of the enactment and the objectives of the legislature (*see Matter of Albano v Kirby*, 36 NY2d 526, 530-531 [1975]). We must also “interpret a statute so as to avoid an unreasonable or absurd application of the law” (*People v Garson*, 6 NY3d 604, 614 [2006] [internal quotation marks omitted], citing *People v Santi*, 3 NY3d 234, 244 [2004]). Applying those principles here, plaintiff's cramped reading of CPLR 204 (a), one that produces inequitable and potentially absurd results, must be rejected.

5. The parties notified this Court that defendant filed a third foreclosure action concerning the subject property on December 14, 2017.

A.

CPLR 204 (a) provides, “[w]here the commencement of an action has been stayed by a court or by statutory prohibition, the duration of the stay is not a part of the time within which the action must be commenced.” The result here depends on our reading of the term “commencement.”

Plaintiff argues that it is impossible for defendant to have been prohibited from “commencing” an action because a foreclosure action had been commenced prior to plaintiff’s bankruptcy filing. Application of plaintiff’s rule would be as follows: Because defendant filed the first foreclosure claim and defendant responded by filing a bankruptcy petition, invoking the automatic stay, commencement of that first action was not “stayed” under the statute and the toll is inapplicable. And when defendant filed a second foreclosure action, and plaintiff again responded by again filing a bankruptcy petition that invoked the automatic stay, “commencement” of that second action was not stayed, once again making the toll inapplicable (*see* dissenting op at 263). As a result, the six-year statute of limitations would have expired on June 11, 2013—a time when the bankruptcy stay was in effect prohibiting any action against plaintiff. Plaintiff’s brand of literalism quickly loses sight of the forest for the trees, producing an outcome antagonistic to the purpose and design of the tolling provision (*see New York Trust Co. v Commissioner of Internal Revenue*, 68 F2d 19, 20 [2d Cir 1933, Hand, J.]). That interpretation must be rejected.

Neither this Court nor the legislature has restricted the term “commencement” to the first time a party files a complaint asserting a cause of action; instead the term may also include the commencement of subsequent actions asserting the same claim (*cf. Carrick v Central Gen. Hosp.*, 51 NY2d 242, 246 [1980] [“plaintiff commenced a second action by serving defendants with a summons and complaint” (emphasis added)]; CPLR 205 [a] [permitting a plaintiff, in certain circumstances, to “commence a new action” after termination of a prior action]). Likewise, a toll operates to compensate a claimant for the shortening of the statutory period in which it must commence—or recommence—an action, irrespective of whether the stay has actually deprived the claimant of *any* opportunity to do so (*see Matter of Hickman [Motor Veh. Acc. Indem. Corp.]*, 75 NY2d 975, 977 [1990] [holding that the limitations period

was extended even though the stay ended 10 months before the original limitations period would have expired]).

[2] Here, in ruling on plaintiff's claim that the mortgage should be discharged, the court must look to whether the "applicable statute of limitation for the commencement of an action to foreclose" had expired (RPAPL 1501 [4]). Because the two bankruptcy stays prevented defendant from commencing a foreclosure action for at least 1,651 days, that time is not part of the time within which such an action must be commenced. Put another way, in determining whether the statute of limitations on a foreclosure action had expired when plaintiff filed this RPAPL action, the duration of any bankruptcy stay must be excluded, regardless of whether an earlier action on the same claim had been initiated or was pending when the stay was imposed.⁶

This interpretation of "commencement" promotes the purpose of CPLR 204 (a) and, unlike plaintiff's proposed rule, is reconcilable with both the bankruptcy stay's effect, and the policies underlying the enforcement of limitations periods.

B.

The New York tolling statute is an old one, reaching back into the days of equity (3 Rep of Commissioners Appointed to Revise Statute Laws of this State, ch 4, § 39 at 16 [1828] ["Whenever the commencement of any suit shall be stayed by an injunction of any court of equity, the time during which such injunction shall be in force, shall not be deemed any portion of the time in this Chapter limited, for the commencement of such suit"]), modified first to reflect the merger of law and equity with the enactment of the Field Code in 1848 (Nathan Howard, Code of Procedure of the State of New York, Unabridged 440 [1867] ["When the commencement of an action shall be stayed by injunction, the time of the continuance of the injunction shall not be part of the time limited for the commencement of the action"]), and later to include statutes hav-

6. Commentators similarly use broad terms to describe the effects of the tolling provision (*see* Patrick M. Connors, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C2201:6 at 10 [2010 ed] ["If a federal statute, such as the (bankruptcy stay), bars an action against the debtor, the statute of limitations period is tolled during the period of the stay"]; Weinstein-Korn-Miller, NY Civ Prac ¶ 204.00 [2d ed 2004] ["In general, the period of the stay or statutory prohibition is added to the period of limitation"]).

ing the same effect (*id.* [noting that the statute was amended to include the “statutory prohibition” language in 1849]). Having remained practically unchanged for almost two centuries, this rule has strong roots in the equitable principle that plaintiffs should not be penalized for failing to assert their rights when a court or statute prevents them from doing so (*cf. Matter of Feinberg*, 18 NY2d 499, 507 [1966] [“The purpose of a Statute of Limitations is to penalize claimants for sleeping on their rights”]).

We have concluded that the bankruptcy stay is a “statutory prohibition” within the ambit of this equitable tolling provision, and we must therefore look to the effect of the bankruptcy stay on the course of the litigation. The federal statutory restraint is indeed broad in application. “Nothing is more basic to bankruptcy law than the automatic stay and nothing is more important to fair case administration than enforcing stay violations” (*In re Lehman Bros. Holdings, Inc.*, 433 BR 101, 112 [Bankr SD NY 2010]). The effects of that stay are wide-ranging and limit virtually all judicial action against the debtor and any codebtors: “The automatic stay is designed to provide blanket relief from creditor action” (*In re Newberry*, 604 BR 37, 40 [Bankr ED Mich 2019]), and any exceptions from the stay are narrowly written and “strictly construed” (*In re Montgomery*, 525 BR 682, 693 [Bankr WD Tenn 2015]). Courts have also held that the bankruptcy stay not only prevents an action from being continued, but also from being discontinued and recommenced (*see U.S. Bank N.A. v Joseph*, 159 AD3d 968, 970-971 [2d Dept 2018]). Moreover, the effective date of any stay is controlled by the debtor: the stay is automatic and “springs into being immediately upon the filing of a bankruptcy petition” and “operates without the necessity for judicial intervention” (*In re Soares*, 107 F3d 969, 975 [1st Cir 1997] [internal quotation marks and citation omitted]). In short, the stay brings any potential and ongoing litigation to a standstill at a debtor’s behest.

[3] Plaintiff’s use of the automatic stay, and his control over the timing of its application and revocation, had the effect of halting the pending litigation and staying the commencement of subsequent foreclosure actions for more than four years. In both foreclosure actions, plaintiff filed for bankruptcy and obtained an automatic stay at critical stages of the litigation: in the first case, pre-answer, and in the second before defendant could respond to the motion to dismiss for lack of personal

jurisdiction. In both cases, plaintiff acted to lift the stay—either by dismissing the bankruptcy case or “purchasing” the property from the bankruptcy estate—and shortly thereafter obtained dismissal of the relevant foreclosure action. Defendant was clearly prevented from asserting its rights as a direct result of the actions of the plaintiff.

In addition to the inequity and gamesmanship it would encourage, application of a “pending action” rule urged by plaintiff would raise a host of practical issues. For example, given the federal rules regarding stays of an action against codebtors, if one debtor declares bankruptcy, a plaintiff cannot proceed independently against a codebtor even if the codebtor has not filed for bankruptcy (see *Deutsche Bank Natl. Trust Co. v DeGiorgio*, 171 AD3d 1267, 1268 n 2 [3d Dept 2019], citing 11 USC § 1301 [a]). Application of a “pending action” rule could produce absurd results in such a situation: if a codebtor is not named in the original suit, or the action against the codebtor is dismissed for some reason prior to the application of the bankruptcy stay, the “pending action” rule would make suit untimely against the bankrupt debtor but not against the codebtor. Application of the rule adopted here would make both subject to the toll as both were subject to the stay.

In another scenario, under the “pending action” rule, an unasserted claim the creditor “slept on,” arising out of the same transaction or series of transactions as the claim interposed, would get the benefit of the toll, while the claim that was previously asserted would not. Yet another absurd result. The rule adopted here would apply the toll equally to claims arising from the same transaction.

It is not surprising therefore that courts in the Second and Third Departments, as well as a federal court applying New York law, under circumstances where a prior action was pending when the bankruptcy stay began, have each interpreted CPLR 204 (a) as excluding the time the stay was in effect from the statute of limitations (see *DeGiorgio*, 171 AD3d at 1268; *Joseph*, 159 AD3d at 968; *In re Strawbridge*, 2012 WL 701031, *9-10, 2012 US Dist LEXIS 29751, *25-27 [SD NY, Mar. 6, 2012, No. 11 Civ. 6759(PAE)]).⁷ No court has adopted plaintiff’s interpretation.

7. The Third Department, in adopting the rule we apply here, found the Second Department’s reasoning in this case persuasive (see *DeGiorgio*, 171 AD3d at 1268, citing *Lubonty*, 159 AD3d at 963-964).

C.

The dissent adopts as a refrain plaintiff’s argument that the “statutory scheme” of the CPLR requires a different result. Specifically, plaintiff contends that CPLR 205 (a) demonstrates the legislature’s intent for the toll to apply only in cases where no action on the claim was commenced before the bankruptcy stay became effective. CPLR 205 (a) provides a six-month grace period to “*commence* a new action upon the same transaction or occurrence or series of transactions or occurrences” where the previous action has been dismissed for any “other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judgment upon the merits” (CPLR 205 [a] [emphasis added]). Plaintiff asserts that the legislature’s enactment of this savings provision shows that it contemplated specific circumstances where plaintiffs should be allowed to extend the statute of limitations for their claims, and that a failure to obtain personal jurisdiction over the defendant was not one of them. This argument begs the question of whether CPLR 204 (a) applies to toll the statute of limitations under these circumstances. Because it does, the legislature’s contemplation of which grounds for dismissal earn the protections of the grace period is irrelevant—the statute of limitations has not expired, and the grace period in this case is unnecessary. There may well be other provisions within the CPLR that could provide relief to other litigants in other circumstances. CPLR 204 (a), however, provides defendant with relief in this case.

Plaintiff also argues that the bankruptcy statute itself provides the primary mechanism by which a defendant may refile a claim—namely, the 30-day grace period provided in 11 USC § 108 (c). This argument is also unavailing: if another statute tolls the action longer than 30 days section 108 (c) applies the longer toll, rather than the 30-day grace period (see *Pettibone Corp. v Easley*, 935 F2d 120, 121 [7th Cir 1991] [“Federal law assured the plaintiffs 30 days in which to pick up the baton; if states want to give plaintiffs additional time, that is their business”]; see also *HSBC Bank USA, N.A. v Crum*, 907 F3d 199, 206 [5th Cir 2018]; Siegel & Connors, NY Prac § 51 [6th ed 2018]).

IV.

Applying the above rule to the instant action, defendant's claims were not time-barred when Supreme Court granted defendant's motion to dismiss.⁸ The statute of limitations for a foreclosure claim is six years (CPLR 213 [4]). Here, the limitations period began to run on June 11, 2007, upon AHMA's acceleration of plaintiff's mortgage. The property was subject to bankruptcy stays for at least 1,651 days, during which defendant was statutorily prohibited from commencing any action concerning the property. Adding the duration of the stay to the six-year statute of limitations period, defendant had until on or about December 18, 2017, to commence the foreclosure action. Dismissal of plaintiff's action to discharge the mortgage was thus proper. Accordingly, the order of the Appellate Division should be affirmed, with costs.

STEIN, J. (dissenting). The express language of CPLR 204 (a) is unambiguous: “[w]here the *commencement* of an action has been stayed by a court or by statutory prohibition, the duration of the stay is not a part of the time within which the action must be *commenced*” (emphasis added). Consequently, where a stay is instituted *after* an action is commenced—that is, where “the commencement of [the] action [is not] stayed”—section 204 (a) is inapplicable. In my view, the majority reads the word “commencement” out of section 204 (a), thereby impermissibly extending the statute of limitations by judicial fiat. Therefore, I respectfully dissent.

A brief restatement of the complicated procedural posture of this case—which includes two foreclosure actions, two bankruptcy proceedings, and the present action to cancel and discharge the mortgage—is necessary. In 2005, plaintiff executed a note with nonparty American Home Mortgage Acceptance, Inc. (AHMA), secured with a mortgage on residential real property (the subject property). In 2007, AHMA commenced the first foreclosure action, alleging that plaintiff had defaulted on the mortgage and requesting payment in full. Approximately

8. The accusation that the Court, in interpreting and applying the CPLR 204 (a) tolling provision, is somehow “ignoring” or “disregarding” the law is unwarranted (dissenting op at 263-264; see CPLR 201 [an action must be commenced within the time specified in CPLR article 2 and “(n)o court shall extend the time limited by law for the commencement of an action”]). “[A]lthough [the statute of limitations] is subject to a variety of statutory tolls and extensions . . . [it] is not subject to a *discretionary* judicial extension” (Siegel & Connors, NY Prac § 33 at 51 [6th ed 2018] [emphasis added]).

two weeks later, plaintiff commenced a bankruptcy proceeding, automatically staying continuation of the first foreclosure action (*see* 11 USC § 362). This stay was lifted in November 2009, after plaintiff's bankruptcy petition was dismissed. The first foreclosure action was subsequently dismissed as abandoned in September 2010.¹

In June 2011, after being assigned the mortgage, defendant U.S. Bank National Association (U.S. Bank) commenced a second foreclosure action, based upon the same default alleged in the first foreclosure action. Plaintiff moved to dismiss the complaint based upon improper service and, shortly thereafter, commenced a second bankruptcy proceeding, which stayed the second foreclosure action before U.S. Bank had an opportunity to respond to plaintiff's motion to dismiss. The subject property was thereafter released from the bankruptcy estate, and the stay was lifted. In October 2014, Supreme Court granted plaintiff's motion to dismiss the second foreclosure action, concluding, on the evidence presented, that U.S. Bank had failed to properly serve plaintiff under CPLR 308 (2).

Plaintiff subsequently commenced this action against U.S. Bank pursuant to RPAPL 1501 (4), seeking to cancel and discharge the mortgage on the subject property because the six-year statute of limitations applicable to commencement of a foreclosure action had expired (*see* CPLR 213 [4]). U.S. Bank moved to dismiss the complaint pursuant to CPLR 3211 (a) (7), asserting, as relevant here, that the two bankruptcy stays tolled the statute of limitations pursuant to CPLR 204 (a) such that it was still possible to timely commence a third foreclosure action. Plaintiff opposed the motion to dismiss, arguing that CPLR 204 (a) was inapplicable because each bankruptcy stay became effective *after* each mortgage foreclosure action was *commenced*, and each stay was terminated before each foreclosure action was dismissed; therefore, plaintiff contended that, pursuant to the express language of CPLR 204 (a), the statute of limitations was not tolled insofar as "the commencement of an action" was never stayed. Plaintiff advances the same arguments on this appeal.

Because this case presents a question of statutory interpretation regarding CPLR 204 (a), we must "attempt to effectuate

1. Whether AHMA could have avoided dismissal by arguing that the bankruptcy stay prevented it from prosecuting the action, and whether the first foreclosure action was properly dismissed as abandoned, are not questions before the Court on this appeal.

the intent of the [l]egislature, and where the statutory language is clear and unambiguous,” we must interpret the statute “so as to give effect to the plain meaning of the words used” (*Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976] [citations omitted]; see *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). It is also well established that “‘resort must be had to the natural signification of the words employed, and if they have a definite meaning, which involves no absurdity or contradiction . . . courts have no right to add or take away from that meaning’” (*Majewski*, 91 NY2d at 583, quoting *Tompkins v Hunter*, 149 NY 117, 122-123 [1896]).

CPLR 204 (a) is entitled, in pertinent part, “[s]tay of *commencement* of action” and, as previously noted, provides that, “[w]here the *commencement* of an action has been stayed by a court or by statutory prohibition, the duration of the stay is not a part of the time within which the action must be *commenced*” (emphasis added). Although the majority correctly states that the outcome of this case is dependent upon our reading of the term “commencement,” the majority neglects the critical point that “commencement” is defined in CPLR 304. In that regard, the legislature has provided that “[a]n action is commenced by *filing* a summons and complaint or summons with notice in accordance with [CPLR 2102]” (CPLR 304 [a] [emphasis added]). In light of that definition, CPLR 204 (a) could not be clearer: a toll of the statute of limitations is available only where a would-be plaintiff is precluded from duly filing the applicable papers—thereby commencing an action—as the result of a stay or statutory prohibition.

Here, it is undisputed that the first foreclosure action was commenced under CPLR 304 (a) before any bankruptcy stay took effect, and the second foreclosure action was commenced in the time period between the first and second bankruptcy stays, i.e., when no stay was in effect. Accordingly, because the bankruptcy stays did not prevent the commencement of a foreclosure action regarding the subject property, the toll codified in CPLR 204 (a) does not apply.

Nevertheless, the majority holds that “the duration of any bankruptcy stay must be excluded, regardless of whether an earlier action on the same claim ha[s] been initiated or was pending when the stay was imposed” (majority op at 257). Stated differently, according to the majority, whenever a stay is interposed, the statute of limitations is extended for the length

of that stay, even if the action was already commenced and is subsequently terminated. However, if the legislature intended to enact such a rule, it easily could have made CPLR 204 (a) applicable whenever a stay prevents a party from “commencing or *continuing* a civil action”—the phrase used in the 1978 Bankruptcy Code (11 USC § 108 [c] [emphasis added]; see § 362 [a] [1]). Instead, the legislature chose to enact a statute that links application of the toll to “commencement,” a term defined by the CPLR. Therefore, the rule adopted by the majority today disregards two fundamental principles of law. First, it renders the phrase “the commencement of” superfluous, in contravention of our rules of statutory interpretation (see *Majewski*, 91 NY2d at 587; *Jensen v General Elec. Co.*, 82 NY2d 77, 86 [1993]). Second, the majority’s rule extends the statute of limitations without regard to the plain language of the tolling provision, thereby ignoring the legislature’s express direction that “[n]o court shall extend the time limited by law for the commencement of an action” (see CPLR 201).

The majority reaches its result by relying on amorphous notions of equity, positing that application of the express statutory language would produce absurd results and encourage gamesmanship. To be sure, “courts should construe [statutes] to avoid objectionable, unreasonable[,] or absurd consequences” (*Long v State of New York*, 7 NY3d 269, 273 [2006]; see *New York State Bankers Assn. v Albright*, 38 NY2d 430, 437 [1975]). However, the majority struggles to identify any such consequences that result from applying the unambiguous text of CPLR 204. First, the majority states that an absurd result would occur where an action is commenced against one codebtor before imposition of a bankruptcy stay and against a second codebtor after the same stay is lifted. The majority asserts that, in this scenario, the literal effect of the plain language of CPLR 204 (a) is that the causes of action against each codebtor would become untimely at different times (see majority op at 259). Of course, it might be the case that the relation-back doctrine would apply in this scenario, avoiding the consequence the majority presumes (see CPLR 203 [c]; *Buran v Coupal*, 87 NY2d 173, 178 [1995]). In any event, even if the majority were correct, it is wholly unclear why we should rewrite CPLR 204 (a) to avoid such an outcome. That the application of the statute of limitations may vary between different parties or claims is a reality of complex civil litigation.

The majority further posits, more generally, that enforcing the statute as written would reward parties that delay com-

mencement of an action, because a party that commences an action closer in time to the expiration of the statute of limitations is more likely to benefit from a CPLR 204 (a) toll if a stay goes into effect, whereas a party that commences an action before any stays are imposed, will receive no toll. The majority overlooks that a party who commences an action within the statute of limitations has not engaged in dilatory conduct. In other words, enforcing the statute as written does not encourage delay beyond the limitations period that the legislature has deemed appropriate. Thus, the majority's attempt to grasp for scenarios under which the express language of the statute could create a questionable outcome is unpersuasive.

Furthermore, the statutory scheme belies the majority's conclusion that CPLR 204 (a), as written, creates undesirable results. To ascertain whether the express language of CPLR 204 (a) creates absurd results, we must examine how that toll operates within the larger statutory scheme of the CPLR as a whole (see e.g. *Matter of Mestecky v City of New York*, 30 NY3d 239, 243 [2017]; *Matter of Wallach v Town of Dryden*, 23 NY3d 728, 744 [2014]). Generally, under the CPLR, the limitations period runs from the date a claim accrues until it is interposed by filing—that is, until the action is commenced (see CPLR 203 [a], [c]). In other words, once an action is commenced, it either is or is not time-barred by the applicable statute of limitations.² However, U.S. Bank seeks to invoke a toll despite its timely interposition—i.e., commencement—of the second foreclosure action because that action was dismissed after the expiration of the applicable limitations period as a result of U.S. Bank's failure to properly serve the summons and complaint on plaintiff. Conveniently, the CPLR contains a provision addressing this precise predicament—namely, where an action is timely commenced, but subsequently terminated after the statute of limitations period expires. Specifically, CPLR 205 (a) provides, in relevant part:

2. The majority suggests that “[n]either this Court nor the legislature has restricted the term ‘commencement’ to the first time a party files a complaint asserting a cause of action” (majority op at 256). But the CPLR directs that the limitation periods be calculated from accrual until commencement (CPLR 203 [c]) and, once a party commences an action, there generally would be no occasion to recommence the same action while the first action is pending. Indeed, if a party were to recommence the same action, the court could dismiss that action (see CPLR 3211 [a] [4]). Moreover, under RPAPL 1301 (3), U.S. Bank could not have commenced a third foreclosure action while the second foreclosure action was pending “without leave of the court.”

“If an action is timely commenced and is terminated in any other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judgment upon the merits, the plaintiff . . . may commence a new action upon the same transaction or occurrence or series of transactions or occurrences within six months after the termination.”

Therefore, without assistance from the judiciary, the legislature has provided a remedy for the situation faced by U.S. Bank where an action is terminated after the limitations period has expired. Read in the context of the broader statutory scheme—specifically, CPLR 203 and 205 (a)—it was perfectly reasonable that the legislature chose to limit the application of CPLR 204 (a) to situations arising *before* commencement.³

Here, of course, the second foreclosure action was dismissed for U.S. Bank’s failure to effectuate proper service, a personal jurisdiction defect expressly excluded from the benefit of CPLR 205 (a) (*see* CPLR 205 [a]; *Keane v Kamin*, 94 NY2d 263, 265 [1999]; *Dobkin v Chapman*, 21 NY2d 490, 500-501 [1968]). That a party in U.S. Bank’s position is without a remedy under CPLR 205 (a) is the legislature’s intended consequence of CPLR article 2; to that end, the legislature amended CPLR 205 (a) in 1992 to add the personal jurisdiction exception (*see* L 1992, ch 216).⁴ If U.S. Bank’s action had been dismissed outside the statute of limitations for any reason other than the four excep-

3. I agree with the majority that, if CPLR 204 (a) applied, then U.S. Bank would have had no need to resort to CPLR 205 (a) because it would have had more than six months remaining on the statute of limitations to recommence a third foreclosure action after termination of the second foreclosure action. However, this misses the point of looking to CPLR 205 (a) in this case. As noted, before proclaiming that the unambiguous language of a statute creates absurd results, it is prudent to see how that statute fits within the broader legislative scheme. The majority reads CPLR 204 (a) in a vacuum, despite its obvious relation to other provisions of CPLR articles 2 and 3.

4. Before 1992, the personal jurisdiction exception to CPLR 205 (a) existed in case law only (*see Markoff v South Nassau Community Hosp.*, 61 NY2d 283, 286 [1984]). In *Markoff*, this Court held that CPLR 205 (a)—which applies, by its plain terms, only where an action is “timely commenced,”—was not triggered in the absence of proper service because, under the then-existing statutory regime, an action was commenced by service, not filing (emphasis added). Notably, the *Markoff* Court recognized that “commence[ment]” could not be read out of CPLR 205 (a)—a statute related to limitation periods. When the legislature revised the CPLR to adopt commencement by filing, it

(n. cont’d)

tions to CPLR 205 (a), it would have had six months to recommence the action. In other words, that U.S. Bank was unable to timely commence a third foreclosure action did not result from an absurd reading of CPLR 204 (a). Rather, it was the legislature's intended result.

The majority disregards the legislative scheme of the CPLR in one additional respect that is noteworthy. CPLR 306-b requires that service be completed within 120 days of the commencement of an action, but provides that “[i]f service is not made upon a defendant within [that] time” the court may, “upon good cause shown or in the interest of justice, extend the time for service.” Rather than move to extend its time to complete proper service under this provision, U.S. Bank unsuccessfully chose to litigate the propriety of its original service.⁵ Additionally, U.S. Bank could have moved for relief from the stay in the bankruptcy proceeding in order to effectuate proper service (*see* 11 USC § 362 [d] [4]; [f]).⁶ Given U.S. Bank's failure to even attempt to utilize these existing statutory remedies, I disagree with the majority's conclusion that interpreting the statute as written and as advanced by plaintiff would be inherently unreasonable. We should not lose sight, as the majority has, of the relevant statutory scheme when interpreting the express language of the statute.

Finally, although the majority proclaims that lower courts have unanimously read CPLR 204 (a) to disregard the term “commencement,” it is notable that, of the three cases cited in support of this proposition, one relies upon the Appellate Division order being reviewed on this appeal (*see Deutsche Bank Natl. Trust Co. v DeGiorgio*, 171 AD3d 1267, 1268 [3d Dept 2019]) and none include any meaningful analysis of the statutory language or scheme, or of the legislative intent underlying CPLR 204 (a).

expressly codified the *Markoff* rule in CPLR 205 (a), even though the Court's rationale no longer applied under the new statutory scheme. This history reinforces that the inapplicability of CPLR 205 (a) to the facts of this case was intentional.

5. Here, only 132 days had passed between the commencement of the second foreclosure action and the institution of the bankruptcy stay. When the bankruptcy stay was lifted, U.S. Bank likely had a strong argument that the court should afford it additional time to correct its defective service considering that stay.

6. Alternatively, U.S. Bank could have moved to reopen the bankruptcy proceeding (*see* 11 USC § 350 [b]) or attempted to take advantage of the 30-day window provided by 11 USC § 108 (c) (2) for recommencing an action where the applicable limitations period has expired.

In sum, the express language of CPLR 204 (a) evinces the legislature's unmistakable intent to provide a statute of limitations toll only "[w]here the commencement of an action has been stayed." I would hold that "commencement" should be read as defined in the CPLR, itself. Contrary to the majority's view, there is nothing inherently absurd about applying the words chosen by the legislature under the facts of this case, in light of U.S. Bank's failure to avail itself of other statutory devices that likely would have prevented a dismissal of the second foreclosure action based upon improper service. Nor, considering the broader statutory scheme, can it be said that the plain language of CPLR 204 (a) encourages gamesmanship or creates absurd results. Therefore, I would reverse the order of the Appellate Division.

Chief Judge DiFiore and Judges Wilson and Feinman concur; Judge Stein dissents in an opinion in which Judges Rivera and Fahey concur.

Order affirmed, with costs.

[140 NE3d 957, 117 NYS3d 634]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CLARENCE ROUSE, Appellant.

Argued October 24, 2019; decided November 25, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 20, 2018. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (James W. Hubert, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree, criminal use of a firearm in the first degree and criminal possession of a weapon in the second degree (two counts).

People v Rouse, 159 AD3d 530, reversed.

HEADNOTES

Crimes — Murder — Attempt — Intent Element — Sufficiency of Evidence

1. In the prosecution of defendant arising from an incident in which an individual fired one gunshot at a group of teenagers on a public street, the evidence at trial was legally sufficient to establish the element of intent necessary to support his convictions for attempted murder and criminal use of a firearm. Because intent is rarely proved by an explicit expression of culpability by the perpetrator, it may be inferred from conduct as well as the surrounding circumstances. Here, two law enforcement officers who witnessed the incident while on patrol established that defendant was seen chasing the group of fleeing teenagers on foot in advance of the shooting before he stopped, steadied the gun at eye level, and fired in their direction. When viewing the evidence in the light most favorable to the People, that testimony could have allowed a rational person to reach the conclusion that defendant intended not to warn or scare in shooting the gun, but instead to kill one of the teenagers.

Crimes — Witnesses — Cross-Examination of Law Enforcement Witnesses — Prior Acts of Dishonesty — Misstatement to Federal Prosecutor

2. In the prosecution of defendant arising from an incident in which an individual fired one gunshot at a group of teenagers on a public street, Supreme Court abused its discretion as a matter of law in refusing to allow defense counsel, in cross-examining one of the law enforcement officers who witnessed the shooting, to explore misstatements the officer made to a federal prosecutor in an unrelated federal criminal proceeding. Provided defendants have a good faith basis for the inquiry, i.e., reasonable basis for believing the truth of things about which they seek to ask, defendants should be allowed to explore specific allegations of wrongdoing relevant to the credibility of law enforcement witnesses. Here, at the suppression hearing, the officer's

testimony supported defendant's contention that, in preparing to testify in an unrelated federal criminal proceeding, the officer had misled the prosecutor in that case with respect to his involvement in a ticket-fixing scheme. At trial, while allowing defendant to cross-examine the officer with respect to his direct testimony acknowledging his involvement in the scheme and discipline by the police department, the court determined that no good faith basis existed to inquire about the misstatements to the federal prosecutor absent proof that the officer was administratively sanctioned or federally charged therefor. While the court accurately noted the potential difficulty in determining whether or not the officer affirmatively lied to the prosecutor, defense counsel had a good faith basis for the inquiry given the officer's testimony at the suppression hearing, bolstered by two unrelated suppression determinations in which the same officer was found to have been dishonest. Moreover, there was no suggestion that the main issues would have been obscured or the jury confused by allowing the inquiry.

Crimes — Witnesses — Cross-Examination of Law Enforcement Witnesses — Prior Acts of Dishonesty — Judicial Determinations of Unreliable Testimony

3. In the prosecution of defendant arising from an incident in which an individual fired one gunshot at a group of teenagers on a public street, Supreme Court abused its discretion as a matter of law in precluding defense counsel from cross-examining the two law enforcement officers who witnessed the shooting with respect to prior judicial determinations that addressed the credibility of their prior testimony in judicial proceedings. There is no impediment to inquiry with respect to a prior judicial determination that a police officer's testimony was unworthy of belief, subject to the discretionary determination of the court that the probative value of such examination would outweigh its prejudicial effect. Here, in both prior federal rulings, the courts found the same officers' testimony incredible in a manner which suggested that the officers may have falsely testified in order to obtain a desired result. The determinations were probative of the officers' credibility in the prosecution here, where defendant aimed to convince the jury that the officers incorrectly identified him as the shooter in order to avoid backlash for assaulting defendant upon arrest or for capturing an innocent bystander. The potential prejudice that the jury might view the prior determinations as binding could be mitigated by clarifying or limiting instructions and did not outweigh the probative value of the inquiry.

Crimes — Witnesses — Cross-Examination of Law Enforcement Witnesses — Court's Refusal to Allow Cross-Examination of Law Enforcement Officers' Credibility was Not Harmless Error

4. In the prosecution of defendant arising from an incident in which an individual fired one gunshot at a group of teenagers on a public street, Supreme Court's error in refusing to allow defense counsel to cross-examine the law enforcement officers who witnessed the shooting about misstatements one of the officers made to a federal prosecutor in an unrelated federal criminal proceeding and prior judicial determinations that addressed the credibility of their prior testimony in judicial proceedings was not harmless. The evidence of guilt was not overwhelming. The gun used in the shooting was seized almost immediately after the incident, but was not tested, so no DNA or fingerprint evidence linked defendant to the crime. The People's case rested almost entirely on the identification of defendant as the shooter by the two officers, both of whom testified that defendant fired the gun from eye level, and that they had a clear, well-lit view of defendant at the time of the shoot-

ing. Thus, defendant was denied a fair trial by the court's evidentiary error in precluding cross-examination of areas of dishonesty that had material relevance with respect to the officers' credibility.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 615, 618, 622, 652; AM JUR 2d Criminal Law §§ 1071, 1072; AM JUR 2d Homicide §§ 9, 75, 241; AM JUR 2d Witnesses §§ 715, 716, 740, 759, 766–768.

CARMODY-WAIT 2d Testimony of Witnesses §§ 195:88, 195:92, 195:97–195:99; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:125, 207:127, 207:184–207:186.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 24.4, 27.5, 27.6.

NY JUR 2d Criminal Law: Procedure §§ 2355, 2362, 2900, 3616, 3623, 3672, 3673, 3676, 3677, 3742; NY JUR 2d Criminal Law: Substantive Principles and Offenses §§ 472, 565, 566.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Cross-Examination; Harmless and Prejudicial Error; Homicide; Intent or Motive.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (John Vang of counsel), for appellant. I. The convictions of attempted second-degree murder and first-degree criminal use of a firearm relied on insufficient evidence. (*People v Fernandez*, 88 NY2d 777; *People v Gonzalez*, 1 NY3d 464; *People v Price*, 35 AD3d 1230.) II. Violating Clarence Rouse's confrontation rights, the court wrongly restricted cross-examination of Officer Steven Lopez concerning his lies to a federal prosecutor and both officers concerning prior adverse judicial findings of their credibility. (*United States v White*, 692 F3d 235; *Davis v Alaska*, 415 US 308; *People v Smith*, 27 NY3d 652; *Delaware v Van Arsdall*, 475 US 673; *People v Hults*, 76 NY2d 190; *Chambers v Mississippi*, 410 US 284; *People v Carroll*, 95 NY2d 375;

People v Gissendanner, 48 NY2d 543; *People v Garrett*, 23 NY3d 878.) III. The court denied Clarence Rouse his constitutional right to present a defense and due process by precluding (a) two anonymous 911 calls that painted a different picture of the scene and undermined the reliability of the officers' identification of Rouse as the gunman; and (b) evidence that no request for forensic testing was made in this case, contradicting Christopher Lopez's claim that the evidence collection team rejected his request for forensic testing of the gun. (*Chambers v Mississippi*, 410 US 284; *People v Williams*, 81 NY2d 303; *Washington v Texas*, 388 US 14; *People v Inniss*, 83 NY2d 653; *People v Knight*, 80 NY2d 845; *People v Pavao*, 59 NY2d 282; *People v Ortiz*, 40 AD2d 857; *People v Schwartzman*, 24 NY2d 241; *People v Cade*, 73 NY2d 904.) IV. The trial court denied Clarence Rouse his right to a fair trial by persistently interrupting and belittling defense counsel in front of the jury. (*People v De Jesus*, 42 NY2d 519; *People v Bell*, 38 NY2d 116; *People v Ellis*, 62 AD2d 469; *People v Montes*, 141 AD2d 767; *People v Moulton*, 43 NY2d 944; *Matter of Cerbone*, 61 NY2d 93; *People v Retamozzo*, 25 AD3d 73; *People v Reina*, 94 AD2d 727; *People v Zayas*, 88 AD3d 918; *People v Henderson*, 169 AD2d 647.)

Darcel D. Clark, District Attorney, Bronx (*Robert C. McIver*, *Nancy D. Killian* and *Rafael Curbelo* of counsel), for respondent. I. Defendant's guilt was proved beyond a reasonable doubt. (*People v Bleakley*, 69 NY2d 490; *Cohen v Hallmark Cards*, 45 NY2d 493; *People v Mateo*, 2 NY3d 383; *People v Fernandez*, 88 NY2d 777; *People v Cabassa*, 79 NY2d 722; *People v Colon*, 275 AD2d 797; *People v Davis*, 72 NY2d 32.) II. The trial court properly exercised its discretion in precluding defense counsel from cross-examining Steven Lopez and Christopher Lopez regarding two unrelated federal findings of fact and about discussions with a federal prosecutor. (*United States v White*, 692 F3d 235; *People v Corby*, 6 NY3d 231; *People v Sandoval*, 34 NY2d 371; *People v Davis*, 43 NY2d 17; *People v Smith*, 27 NY3d 652; *Delaware v Fensterer*, 474 US 15; *People v Walker*, 83 NY2d 455; *People v Mattiace*, 77 NY2d 269; *People v Williams*, 56 NY2d 236; *People v McFaline*, 167 AD3d 465.) III. The court exercised proper discretion in its evidentiary rulings when it precluded two anonymous 911 phone calls and when it refused defendant's request to subpoena an evidence collection team representative. (*People v Pavao*, 59 NY2d 282; *People v Inniss*, 83 NY2d 653; *People v Schwartzman*, 24 NY2d 241; *People v Beavers*, 127 AD2d 138; *People v Lourensz*, 211

AD2d 492; *People v Ortiz*, 40 AD2d 857; *People v Freeland*, 36 NY2d 518; *People v Antonetty*, 268 AD2d 254; *People v Andrews*, 237 AD2d 110; *People v Castillo*, 309 AD2d 533.) IV. The court's comments during the cross-examinations of Officers Steven Lopez and Christopher Lopez were proper. (*People v Arnold*, 98 NY2d 63; *People v Moulton*, 43 NY2d 944; *People v Yut Wai Tom*, 53 NY2d 44; *People v Gonzalez*, 38 NY2d 208; *People v Man Xing Guo*, 271 AD2d 700; *People v Chamberlain*, 178 AD2d 783; *People v Jackson*, 133 AD3d 474; *Matter of Shane MM. v Family & Children Servs.*, 280 AD2d 699; *People v Troy*, 162 AD2d 744; *People v Davis*, 58 NY2d 1102.)

OPINION OF THE COURT

FAHEY, J.

In *People v Smith* (27 NY3d 652 [2016]) we observed “that law enforcement witnesses should be treated in the same manner as any other prosecution witness for purposes of cross-examination” (*id.* at 659). In this case we recognize that, much as a lay witness may be subject to cross-examination with respect to acts of dishonesty not proved at trial, so too may a law enforcement witness be impeached through such questioning. Applying that rule here, we conclude that the trial court abused its discretion as a matter of law and committed reversible error in refusing to allow defendant to cross-examine the two police officers central to this case in two specific areas involving officer dishonesty.¹

I.

At 2:30 a.m. on August 11, 2013, a person followed a group of teenagers on a public street in a neighborhood in the Bronx and fired a single gunshot at them. No one was struck or injured. Critical to this appeal, two police officers identified the shooter as defendant. The officers were patrolling the neighborhood at the time of that incident, and both officers saw defendant raise the gun to eye level, fire the gun, drop that weapon, and flee on foot. One of the officers initially chased defendant on foot but lost sight of him. Several minutes later, however, the officers saw defendant while they were driving in their police cruiser. They exited that vehicle and arrested him.

1. The first of those areas considered alleged misstatements that one officer made to a federal prosecutor with respect to the officer's participation in a ticket-fixing scheme. The second of those areas considered judicial determinations in which each officer was found to have given unreliable testimony.

One of the officers collected the gun almost immediately after defendant dropped it. That weapon was not tested for fingerprints or for DNA evidence. Consequently, at trial, the People's case rested almost entirely on the identification of defendant as the shooter by the police officers, both of whom said that defendant fired the gun from eye level, and that they had a clear, well-lit view of defendant at the time of the shooting. The jury credited that testimony and defendant was convicted of attempted murder in the second degree (Penal Law §§ 110.00, 125.25 [1]), criminal use of a firearm in the first degree (§ 265.09 [1] [a]), and two counts of criminal possession of a weapon in the second degree (§ 265.03 [1] [b]; [3]).

On appeal, the Appellate Division affirmed the judgment of conviction, reasoning that the verdict is supported by legally sufficient evidence (159 AD3d 530, 530 [1st Dept 2018]), and that defendant's challenges to various evidentiary rulings and comments of the trial court lacked merit (*id.* at 531). A Judge of this Court subsequently granted defendant leave to appeal (32 NY3d 941 [2018]).

II.

[1] Defendant initially contends that the evidence is legally insufficient to establish the element of intent necessary to support his convictions of attempted murder in the second degree and, by extension, criminal use of a firearm in the first degree. We disagree (*see generally People v Bleakley*, 69 NY2d 490, 495 [1987]).

“ ‘[I]ntent is rarely proved by an explicit expression of culpability by the perpetrator’ ” (*People v Hatton*, 26 NY3d 364, 370 [2015], quoting *People v Bueno*, 18 NY3d 160, 169 [2011]). “In recognition of the inherent challenges to demonstrating an actor's mental state, [we have long] accepted that ‘[i]ntent may be inferred from conduct as well as the surrounding circumstances’ ” (*id.* at 370, quoting *People v Steinberg*, 79 NY2d 673, 682 [1992]; *see People v Bracey*, 41 NY2d 296, 301 [1977], *rearg denied* 41 NY2d 1010 [1977]).

In view of those rules, and viewing the evidence in the light most favorable to the People (*see People v Contes*, 60 NY2d 620, 621 [1983]), we conclude that there is a valid line of reasoning and permissible inferences from which a rational jury could have found that defendant had the requisite intent to kill (*see generally People v Danielson*, 9 NY3d 342, 348-349 [2007]). The testimony of the subject officers established, among other

things, that defendant was seen chasing the group of fleeing teenagers on foot in advance of the shooting before he stopped, steadied the gun at eye level, and fired in their direction. That testimony could have allowed a rational person to reach the conclusion that defendant intended not to warn or to merely scare in shooting the gun, but instead to kill one of those teenagers (see *People v Bennett*, 79 NY2d 464, 469-470 [1992]; *People v Yazum*, 13 NY2d 302, 304 [1963]).

III.

Turning to the primary issue before us, defendant contends that he was denied a fair trial inasmuch as the trial court refused to allow him to explore multiple grounds for impeachment on cross-examination, namely, (a) misstatements that one of the officers made to a federal prosecutor in a different matter, and (b) prior judicial determinations in which each officer was found to have given unreliable testimony. On these points, we agree with defendant.

Truth, though rarely pure and never simple, is one of society's most essential virtues. In the criminal justice context, cross-examination is universally recognized as a preeminent truth-seeking device (see Jerome Prince, Richardson on Evidence § 6-301 [Farrell 11th ed 1995]), and it "is the principal means by which the believability of a witness and the [veracity] of [the witness's] testimony are tested" (*Davis v Alaska*, 415 US 308, 316 [1974]). Subject to the discretion of a trial judge to impose reasonable limits based on concerns about, among other things, prejudice, confusion of the issues, and relevance, "the cross-examiner is not only permitted to delve into the witness'[s] story to test the witness'[s] perceptions and memory, but . . . has traditionally been allowed to impeach, i.e., discredit, the witness" (*id.*; see *Delaware v Van Arsdall*, 475 US 673, 679 [1986]).

"Given these central principles, prosecution witnesses—and indeed, even a testifying defendant—may be cross-examined on 'prior specific criminal, vicious or immoral conduct,' provided that 'the nature of such conduct or the circumstances in which it occurred bear logically and reasonably on the issue of credibility' " (*People v Smith*, 27 NY3d 652, 660 [2016], quoting *People v Sandoval*, 34 NY2d 371, 376 [1974]). Along those lines, in *People v Smith* (27 NY3d 652 [2016]) we considered the suitability of cross-examination of a police officer based on allegations of false arrest in a federal lawsuit. There we concluded

that, even where a prior bad act by a law enforcement officer is not criminal, “it may be a proper subject for impeachment questioning where it demonstrates an untruthful bent or significantly reveals a willingness . . . to place the advancement of his individual self-interest ahead of principle or of the interests of society’ ” (*id.* at 661, quoting *People v Walker*, 83 NY2d 455, 461 [1994]).

Based on that maxim, we established an uncomplicated rule for determining whether a defendant should be permitted to ask a law enforcement officer about allegations that the officer had committed prior bad acts (*see id.* at 662). That is, provided that they have a good faith basis for the inquiry, we said that defendants should be permitted to explore specific allegations of wrongdoing relevant to the credibility of the law enforcement witness, subject to the discretion of the trial court (*see id.*).² “[L]aw enforcement witnesses should be treated in the same manner as any other witness for purposes of cross-examination. The same standard for good faith basis and specific allegations relevant to credibility applies—as does the same broad latitude to preclude or limit cross-examination” (*id.* at 661-662).

A.

[2] Applying those principles here, we conclude that the court abused its discretion as a matter of law in refusing to allow defense counsel to explore misstatements one of the officers made to a federal prosecutor.

At the suppression hearing held before trial, that officer’s testimony supported defendant’s contention that, in preparing to testify in an unrelated federal criminal proceeding, he had misled the prosecutor in that case with respect to his involvement in a ticket-fixing scheme. That officer also acknowledged that the firearm at issue in the federal proceeding—which he and his police partner had recovered—was suppressed. The People revisited that issue at trial, eliciting testimony from that officer that he had been involved in the ticket-fixing scheme and had been disciplined by the New York City Police Department with respect to those activities. Defense counsel cross-examined that officer with respect to that issue, but was

2. A “good faith basis” requires only that counsel have “some reasonable basis for believing the truth of things” about which counsel seeks to ask (*People v Alamo*, 23 NY2d 630, 633 [1969]; *see Smith*, 27 NY3d at 668).

not permitted to explore what defense counsel characterized as that officer's lies to the federal prosecutor regarding those activities.

The trial court questioned whether that dishonesty was a bad act, concluding, among other things that the elicitation of that officer's "lack of specificity" to the federal prosecutor would be "quite damaging" and that, absent proof that officer was either "administratively sanctioned" with respect to his dealings with that prosecutor or "federally charged," there was no "good faith basis for" exploring that question. That is, the court limited exploration of that officer's prior bad acts to his participation in the ticket-fixing scheme, and did not permit inquiry with respect to that officer's deceit of the federal prosecutor.

That ruling was an abuse of discretion as a matter of law. The trial court accurately noted the potential difficulty in determining whether that officer affirmatively lied to the federal prosecutor absent knowledge of the questions that the federal prosecutor asked him. However, defense counsel had a good faith basis for the inquiry inasmuch as the officer's suppression testimony acknowledged that he had not been immediately forthright with the federal prosecutor. Indeed, defense counsel pointed the court's attention to two federal suppression determinations—discussed further below—that further bolstered defense counsel's good faith basis to inquire into the officer's claimed deceit. In one of those decisions, a federal court stated that the officer conceded in his testimony that he had admitted the truth to the prosecutor only when confronted with irrefutable proof making it impossible for him to maintain his prior inconsistent statements. In the other suppression determination, the federal court characterized the officer's conduct with respect to the prosecutor as "not forthcoming" and his excuses for his lack of honesty as "difficult to credit." A "good faith basis" requires only that counsel have "some reasonable basis for believing the truth of things" about which counsel seeks to ask (*People v Alamo*, 23 NY2d 630, 633 [1969]; see e.g. *Smith*, 27 NY3d at 668). That standard was undeniably met here.

To be sure, when cross-examined by defense counsel in the present matter, the police officer may have denied that he lied and may have proffered explanations for his behavior that a jury would be entitled to credit. Nevertheless, in the absence of a bar to cross-examination with respect to bad acts of a wit-

ness that have never been formally proved at trial (*see Walker*, 83 NY2d at 461), defense counsel should have been allowed to explore the deception in that officer's disclosures to the federal prosecutor. The record would then stand with whatever answer that officer might have provided. Thus, while we recognize that the scope of cross-examination rests within the trial court's discretion, here,

“it was an abuse of discretion to restrict defendant's right to cross-examine [a] key prosecution witness[] based on [an] [apparent] finding that some unidentified prejudice outweighed the probative value of the questions. The questions had a good faith basis and there is no suggestion . . . that the main issues would have been obscured and the jury confused” (*Smith*, 27 NY3d at 668).

B.

[3] We also conclude that the trial court abused its discretion as a matter of law in precluding cross-examination of both officers with respect to prior judicial determinations that addressed the credibility of their prior testimony in judicial proceedings.

Before jury selection, the People moved to preclude defendant from cross-examining either officer “with respect to decisions by Judges in the Southern District in New York, specifically in the Tyquan Williams [s]uppression [h]earing and the James Russell [s]uppression [h]earing.” In *United States v Williams* (2011 WL 5843475, 2011 US Dist LEXIS 134352 [SD NY, Nov. 21, 2011, No. 11 Cr. 228]) the suppression court concluded that the traffic infraction that both officers claimed to have justified the stop in question was contrived (*see* 2011 WL 5843475, *5, 2011 US Dist LEXIS 134352, *12-14). In *United States v Russell* (US Dist Ct, SD NY, Nov. 9, 2011, No. 11 Cr. 312, Koeltl, J.) the suppression court concluded that one of the officers testified incredibly with respect to a frisk that resulted in the seizure of the firearm in question. Here, the court initially reserved decision, but during trial it denied defendant's request to use cross-examination to show “that another judge found [them] incredible.”

The “[c]ommission of perjury or other crimes or acts of individual dishonesty, or untrustworthiness . . . will usually have a very material relevance” with respect to a witness's credibility (*People v Sandoval*, 34 NY2d 371, 377 [1974]). Courts of

this state are, of course, generally vested with the discretion to control the scope of cross-examination (see *People v Hayes*, 17 NY3d 46, 53 [2011], *cert denied* 565 US 1095 [2011]). Along those lines, there is no rule that explicitly precludes inquiry with respect to a prior judicial determination that a police officer's testimony was unworthy of belief (see *People v Marzed*, 161 Misc 2d 309, 318-319 [Crim Ct, NY County 1993] [permitting cross-examination of an officer regarding whether he had lied under oath in a prior case]; see also *People v Wilson*, 2016 NY Slip Op 30734[U] [Sup Ct, Bronx County 2016] [recognizing the probative value of a judicial ruling with respect to the credibility of a witness]).

Defendant urges adoption of the seven-part test for assessing the probity and relevance of a prior incident in which a court has criticized a witness's testimony as unworthy of belief that was set out by the United States Court of Appeals for the Second Circuit in *United States v White* (692 F3d 235 [2d Cir 2012]).³ While at least one more federal circuit court applies the *White* framework (see *United States v Woodard*, 699 F3d 1188, 1195 [10th Cir 2012]), other federal courts have concluded merely that the determination whether a party should be al-

3. In *White*, the Second Circuit reiterated that, while a trial court may impose "reasonable limits on cross-examination to protect against, e.g., harassment, prejudice, confusion, and waste, it must also give wide latitude to a defendant in a criminal case to cross-examine government witnesses" (*White*, 692 F3d at 248 [internal quotation marks omitted]). That latitude, the Second Circuit added, may require a trial court to permit a defendant to cross-examine an officer with respect to a prior occasion when the officer's testimony in another case has been criticized by a court as unworthy of belief (see *id.*).

The determination whether the trial court must permit such cross-examination turned on the consideration of these seven factors in determining probity and relevance of a prior incident in which a court has criticized a witness's testimony as unworthy of belief:

"(1) 'whether the prior judicial finding addressed the witness's veracity in that specific case or generally'; (2) 'whether the two sets of testimony involved similar subject matter'; (3) 'whether the lie was under oath in a judicial proceeding or was made in a less formal context'; (4) 'whether the lie was about a matter that was significant'; (5) 'how much time had elapsed since the lie was told and whether there had been any intervening credibility determination regarding the witness'; (6) 'the apparent motive for the lie and whether a similar motive existed in the current proceeding'; and (7) 'whether the witness offered an explanation for the lie and, if so, whether the explanation was plausible'" (*id.* at 249, quoting *United States v Cedeño*, 644 F3d 79, 82-83 [2d Cir 2011]).

lowed to cross-examine a witness about a prior judicial determination finding that witness incredible lies within the trial court's discretion (*see United States v Dawson*, 434 F3d 956, 959 [7th Cir 2006]; *United States v Whitmore*, 359 F3d 609, 616 [DC Cir 2004]).

Consistent with our own case law, we take the latter, plainer of those approaches and simply state that there is no impediment to inquiry with respect to a prior judicial determination that a police officer's testimony was unworthy of belief, subject to the discretionary determination of the trial court that the probative value of such examination would outweigh its prejudicial effect (*see generally People v Scarola*, 71 NY2d 769, 777 [1988]). We succinctly set out the "logical framework for analysis of [that] issue":

"First, counsel must present a good faith basis for inquiring, namely, the [proceeding] relied upon; second, specific allegations that are relevant to the credibility of the law enforcement witness must be identified; and third, the trial judge exercises discretion in assessing whether inquiry into such allegations would confuse or mislead the jury, or create a substantial risk of undue prejudice to the parties (*see Delaware v Van Arsdall*, 475 US 673, 679 [1986]; *see People v Harrell*, 209 AD2d 160, 160 [1st Dept 1994])" (*Smith*, 27 NY3d at 662 [opinion by Abdus-Salaam, J.]).

Applying those principles here, we conclude that the trial court abused its discretion as a matter of law in refusing to allow defendant to cross-examine the officers with respect to determinations made in *Williams* and *Russell*. In both federal rulings, the courts found the police officers' testimony incredible in a manner which suggested that the officers may have falsely testified in order to obtain a desired result. Such determinations were probative of the officers' credibility in the current prosecution, where defendant's entire defense was aimed at convincing the jury that the officers were incorrectly identifying him as the shooter in order to avoid backlash for allegedly assaulting defendant upon arrest or for capturing an innocent bystander. The only countervailing prejudice articulated by the court in precluding defense counsel from this line of inquiry was concern that the jury may view the prior judicial determinations of credibility as binding. Such concern, however, could be mitigated by providing the jury with clarify-

ing or limiting instructions, and that prejudice does not outweigh the probative and impeaching value of the inquiry.

C.

[4] The effect of the trial court's errors in precluding defense counsel's proposed inquiries into the officers' credibility is glaring. While defendants are entitled to only an opportunity for effective cross-examination, and not to unbounded exploration of any matter (*see generally People v Corby*, 6 NY3d 231, 238 [2005]), the evidence of guilt here is not overwhelming. Defendant's convictions hinged on the identification of defendant as the shooter by the officers. Although the gun used in the shooting was seized almost immediately after that incident, no fingerprint or DNA evidence links defendant to the crime. Given the nature of this case—in which defendant is linked to the crimes only through the testimony of the subject officers—the court's evidentiary error in precluding cross-examination of areas of dishonesty that have material relevance with respect to a witness's credibility (*see Sandoval*, 34 NY2d at 377) is not harmless (*see generally People v Crimmins*, 36 NY2d 230, 241-242 [1975]).

IV.

In view of our conclusion with respect to the court's restriction of his opportunity for cross-examination, we need not reach defendant's remaining contentions.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge DiFIORE and Judges RIVERA, STEIN, GARCIA, WILSON and FEINMAN concur.

Order reversed and a new trial ordered.

[140 NE3d 479, 117 NYS3d 105]

CAYUGA NATION, by and through its Lawful Governing Body,
CAYUGA NATION COUNCIL, Respondent, v SAMUEL CAMPBELL
et al., Appellants, et al., Intervenor.

Argued September 5, 2019; decided October 29, 2019

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered July 25, 2018. The Appellate Division affirmed an order of the Supreme Court, Seneca County (Dennis F. Bender, J.; *see* 2017 NY Slip Op 31881[U]), which, insofar as appealed from, had denied defendants' motion to dismiss the complaint for lack of subject matter jurisdiction. The following question was certified by the Appellate Division: "Was the order of this Court entered July 25, 2018, properly made?"

Cayuga Nation v Campbell, 163 AD3d 1500, reversed.

HEADNOTE

Native Americans — Jurisdiction of State Courts — Tribal Leadership Dispute

New York courts lacked subject matter jurisdiction over an action that was commenced, purportedly on behalf of the Cayuga Nation, by a faction of the tribe against individuals comprising the rival faction, following the dismantling of the Nation's leadership council comprised of members of both factions, as resolving the dispute arising from the ongoing possession and control of Nation property by defendants would require the courts to determine whether defendants were legitimate leaders of the tribe and therefore necessarily involved internal tribal affairs beyond the state courts' power to adjudicate. If state-court jurisdiction over Indians or activities on Indian lands would interfere with tribal sovereignty and self-government, the state courts are generally divested of jurisdiction as a matter of federal law. The only disputed question was who may lawfully possess and control the property, a question that necessarily turned on which faction—either plaintiff or defendants—was the rightful leadership council that spoke for the Nation. Therefore, the causes of action raised by plaintiff unquestionably implicated the Nation's leadership dispute because they all required a finding that defendants acted unlawfully without justification or permission to exercise dominion or control over the property at issue. Further, the Federal Bureau of Indian Affairs (BIA) decision recognizing members of one faction as the Nation's representatives for purposes of a federal contract did not enable New York courts to resolve the action, as the action did not implicate any federal purpose allowing the BIA to exercise its authority to make recognition decisions regarding tribal leadership and interpret tribal law.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Indians; Native Americans §§ 130, 131.
CARMODY-WAIT 2d Courts and Their Jurisdiction § 2:211.
NY JUR 2d Indians §§ 33, 34.

ANNOTATION REFERENCE

See ALR Index under Indians; Jurisdiction.

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POINTS OF COUNSEL

Margaret A. Murphy, P.C., Hamburg (*Margaret A. Murphy* of counsel), *Joseph J. Heath* and *Jenna Macaulay*, Syracuse, and *MacKay, Caswell, Callahan, P.C.*, East Syracuse (*Joseph M. Callahan* of counsel), for appellants. I. The Cayuga Nation has exclusive jurisdiction over its internal affairs and governance. (*Bowen v Doyle*, 880 F Supp 99; *Cherokee Nation v Georgia*, 30 US 1; *Worcester v Georgia*, 31 US 515; *Cayuga Nation v Tanner*, 824 F3d 321; *Williams v Lee*, 358 US 217; *United States v Wheeler*, 435 US 313; *Merrion v Jicarilla Apache Tribe*, 455 US 130; *Matter of Ransom v St. Regis Mohawk Educ. & Community Fund*, 86 NY2d 553; *Alexander v Hart*, 64 AD3d 940; *Seneca v Seneca*, 293 AD2d 56.) II. No federal district or circuit court has ruled on the merits of the administrative challenge to the Bureau of Indian Affairs determination. (*Cayuga Nation v Zinke*, 302 F Supp 3d 362; *Cayuga Nation v Tanner*, 824 F3d 321.)

Jenner & Block, Washington, D.C. (*David W. DeBruin* and *Zachary C. Schauf* of the District of Columbia bar, admitted pro hac vice, of counsel), and *Barclay Damon, LLP*, Syracuse (*Kevin G. Roe*, *Daniel J. French* and *Lee Alcott* of counsel), for respondent. I. Under 25 USC § 233 and Indian Law §§ 5 and 11-a, Supreme Court has jurisdiction over this case. (*People v Correa*, 15 NY3d 213; *Matter of Brenner v Great Cove Realty Co.*, 6 NY2d 435; *Oneida Indian Nation of N.Y. v Burr*, 132 AD2d 402; *Bennett v Fink Constr. Co.*, 47 Misc 2d 283; *Mt. Pleasant v Gansworth*, 150 Misc 584, 242 App Div 675; *Lyons v Lyons*, 149 Misc 723, 244 App Div 759; *George v Pierce*, 85 Misc

105; *Peters v Tallchief*, 121 App Div 309; *Matter of Ransom v St. Regis Mohawk Educ. & Community Fund*, 86 NY2d 553.) II. Defendants' leadership claims cannot destroy Supreme Court's jurisdiction, particularly when the federal government has recognized plaintiff as the governing body of the Cayuga Nation chosen by the Cayuga people. (*People v Correa*, 15 NY3d 213; *Goodface v Grassrope*, 708 F2d 335; *United States v Holliday*, 70 US 407; *Timbisha Shoshone Tribe v Salazar*, 678 F3d 935; *California Val. Miwok Tribe v United States*, 515 F3d 1262; *Cayuga Nation v Tanner*, 824 F3d 321; *Wyandot Nation of Kansas v United States*, 858 F3d 1392; *Samish Indian Nation v United States*, 419 F3d 1355; *Lyons v Lyons*, 149 Misc 723; *Alexander v Hart*, 64 AD3d 940.) III. This appeal does not present the question of whether Supreme Court properly exercised its discretion to issue a preliminary injunction. (*People v Couser*, 28 NY3d 368; *Matter of Pollock*, 64 NY2d 1156.)

Berkey Williams LLP, Washington, D.C. (Alexandra C. Page of the District of Columbia bar, admitted pro hac vice, of counsel), for Tonawanda Seneca Nation and others, amici curiae. I. Resolution of the Cayuga Nation internal governance dispute requires interpretation of Haudenosaunee law. (*Poodry v Tonawanda Band of Seneca Indians*, 85 F3d 874; *Cayuga Indian Nation of N.Y. v Pataki*, 165 F Supp 2d 266.) II. Courts lack jurisdiction to interfere in the Cayuga Nation's internal dispute over governmental authority. (*Bowen v Doyle*, 880 F Supp 99; *Cayuga Indian Nation of N.Y. v Gould*, 14 NY3d 614; *Matter of Spota v Jackson*, 10 NY3d 46; *Sue/Perior Concrete & Paving, Inc. v Lewiston Golf Course Corp.*, 24 NY3d 538; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Fletcher v United States*, 116 F3d 1315.) III. The Bureau of Indian Affairs' decision to award the Halftown Group a federal contract did not resolve the Cayuga internal governance dispute. IV. Resolution of the Cayuga governance dispute requires interpretation of Haudenosaunee law, which proscribes plaintiff-respondent's claim to authority. (*Poodry v Tonawanda Band of Seneca Indians*, 85 F3d 874.)

OPINION OF THE COURT

FEINMAN, J.

Members of the Cayuga Nation (the Nation), a federally-

recognized Indian¹ tribe, have been embroiled in a leadership dispute for more than a decade. One faction commenced this action, purportedly on behalf of the Nation, against individuals comprising the rival faction, asserting tort claims that are premised solely on defendants' alleged lack of authority to act on behalf of the Nation. To resolve these claims, New York courts would have to decide whether defendants were, at various times, or remain legitimate leaders of the tribe, a question that turns on disputed issues of tribal law that are not cognizable in the courts of this state given the Nation's exclusive authority over its internal affairs. Contrary to plaintiff's contentions, we cannot avoid this fundamental jurisdictional problem by decontextualizing a limited recognition determination issued by the Federal Bureau of Indian Affairs (BIA) that recognized the plaintiff faction as the tribal government for the purpose of distributing federal funds. We therefore hold that New York courts lack subject matter jurisdiction to consider this dispute.

I.

The Cayuga Nation owns and occupies land in western New York State, including several properties at issue here. As part of the Iroquois Confederacy, the Nation entered into several treaties yielding certain preexisting rights to the federal government during the late eighteenth century. However, certain inherent rights were retained. Specifically, the Nation maintains its right to sovereignty over its internal affairs. The Nation adheres to unwritten oral law and tradition, instructed by the Great Law of Peace, Gayanashagowa (the Great Law). The Great Law governs the process by which the Nation's clan mothers select, approve, and retain the power to remove the condoleed chiefs who comprise the Cayuga Nation Council (the Nation Council), which governs the Nation by consensus decision-making (*George v Eastern Regional Director, Bur. of Indian Affairs*, 49 IBIA 164, 167, 2009 WL 1664693, *2-3, 2009 ID LEXIS 41, *7-9 [May 4, 2009, IBIA 06-74-A]).² The Nation relies on "the Council itself" and not any "written law, court, or

1. To conform with the statutes at issue and with the phrasing adopted by the parties, the term "Indians" will be used to refer to the members of the Cayuga Nation, or more generally, to the indigenous peoples of North America.

2. The Nation is one of "the Six Nations of the Iroquois Confederacy," or "the 'Haudenosaunee' (People of the Longhouse), as they call themselves" and which "refers to the historical alliance between the Mohawk, Oneida,

(n. cont'd)

body other than the Council . . . for resolving disputes that arise within the Council” (*George*, 49 IBIA at 167, 2009 WL 1664693, *2, 2009 ID LEXIS 41, *7).

The Nation’s present leadership dispute arose in 2004 when the Nation Council fragmented—certain Council members (which included defendant William Jacobs and comprise part of the defendant “Jacobs Council”) claimed that other Council members (which included Clint Halftown and comprise part of plaintiff “Halftown Council”) had been removed from their positions on the Nation Council under Cayuga law.³ After a decade of continued division that is well-chronicled in numerous proceedings before the Interior Board of Indian Appeals (IBIA) and federal courts (*see Cayuga Nation v Tanner*, 824 F3d 321 [2d Cir 2016]; *Cayuga Indian Nation of N.Y. v Eastern Regional Director, Bur. of Indian Affairs*, 58 IBIA 171, 2014 WL 264822, 2014 ID LEXIS 4 [Jan. 16, 2014, IBIA 12-005]; *George*, 49 IBIA at 164, 2009 WL 1664693, *1, 2009 ID LEXIS 41, *1),⁴ in April 2014, the Jacobs Council entered and thereafter took posses-

Onondaga, Cayuga, Seneca, and Tuscarora Nations” (Robert B. Porter, Note, *The Jurisdictional Relationship between the Iroquois and New York State: An Analysis of 25 U.S.C. §§ 232, 233*, 27 Harv J on Legis 497, 497 & n 1 [1990]). There are five clans comprising the Nation (Heron, Bear, Snipe, Wolf, and Turtle), and the clan mothers from each respective clan are empowered to designate two “full-blooded chiefs” to be approved through a condolence ceremony held before the “Grand Council of chiefs” from the Six Nations to form the Nation Council (*see George*, 49 IBIA at 167, 2009 WL 1664693, *3, 2009 ID LEXIS 41, *7-8). The clan mothers play a central role in Nation governance including, upon consultation with clan members, providing recommendations to the chief of her clan on tribal matters (*see Poodry v Tonawanda Band of Seneca Indians*, 85 F3d 874, 877 [2d Cir 1996]).

3. Plaintiff in this action is the Halftown Council (on behalf of the Nation) and defendants are members or affiliates of the Jacobs Council. For ease of reference, throughout this opinion we refer to the parties by the names of their respective councils.

4. As relevant here, in 2006, the BIA declined to withdraw recognition of Halftown as the Nation’s federal representative, despite a five-to-one Council vote to remove him and allegations of misuse of funds. That determination was affirmed by the IBIA in part due to a lack of evidence that the Nation permitted decisions by majority vote over the objections of a member (*George*, 49 IBIA at 165, 2009 WL 1664693, *1-2, 2009 ID LEXIS 41, *1-4). Subsequently, in 2011, the clan mothers of the Nation “reformed” the Nation Council pursuant to the Great Law, by replacing three of its six members previously recognized by the BIA, including Halftown. Although the BIA initially recognized the reformation, which reflected the Council composition supported by the Jacobs Council, the BIA’s determination was subsequently vacated by the IBIA (*see Cayuga Indian Nation*, 58 IBIA at 171-172, 2014 WL 264822, *1, 2014 ID LEXIS 4, *1-3 [concluding that the BIA should not have addressed the leadership dispute because it has no independent author-

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sion of the Nation’s security office and seized several sets of keys to the Nation’s offices, businesses, vehicles, and certain personal property.⁵ The Halftown Council initially filed a lawsuit alleging trespass and other claims premised on these events in 2014, which was dismissed for lack of subject matter jurisdiction (*see Cayuga Nation v Jacobs*, 44 Misc 3d 389, 394 [Sup Ct, Seneca County 2014]). Supreme Court reasoned that it lacked jurisdiction over the claims before it because “the underlying allegations . . . are fundamentally founded upon the long-standing question of who has the right to lead the Nation” (*id.*). Thus, it could not adjudicate the dispute “without interfering with tribal sovereignty and self-government” (*id.*).

As the leadership dispute persisted, federal contracting processes prompted further BIA involvement. The Nation provides infrastructure, education, and other services to its citizens with funds issued under the Federal Indian Self-Determination and Education Assistance Act (ISDA) (*see* Pub L 93-638, 88 US Stat 2203). For the purpose of modifications to the Nation’s ISDA contract, in 2015, the BIA recognized the last undisputed Nation Council (comprised of both Halftown and Jacobs Council members) on an interim basis. At that time, the BIA declined to make a more formal recognition decision or verify the results of a “statement of support” campaign undertaken by the Halftown Council, noting the absence of any authority permitting such campaign and that Halftown previously had rejected majority vote concepts as contrary to tribal law. The BIA urged the Nation to resolve the leadership dispute internally.

In 2016, the Halftown Council undertook another statement of support campaign. This time, the Halftown Council transmitted to members of the Nation—based upon the Halftown

ity to do so and there was no separate matter pending before the BIA that made such a decision necessary for the purposes of the federal government’s relationship with the tribe)).

5. To the extent it is suggested that the disputed properties were purchased by the Halftown Council (Garcia, J., dissenting op at 300), the record indicates that the Nation purchased the land in 2004, at a time when members of both factions sat on the Nation Council. The parties agree—and we accept for purposes of this appeal—that the disputed real property is owned by the Nation and is located on reservation land (brief for plaintiff-respondent at 8-9). Our resolution of this appeal, however, does not depend on the reservation status of the property (*see Tanner*, 824 F3d at 325 n 3 [finding that the Supreme Court’s decision in *City of Sherrill v Oneida Indian Nation of N. Y.* (544 US 197 [2005]) has “no bearing on the issues of subject matter jurisdiction or standing”]).

Council's own records of the Nation's membership roll—a governance document setting forth the leadership selection process, a statement of support for that process, and a statement of support recognizing the members of the Halftown Council as the Nation's lawful leadership, asking the recipients to return mailers indicating their support if they agreed with those proposals. The Jacobs Council opposed the initiative, refused to participate, and sent a counterstatement to each individual who received the Halftown Council's mailing objecting to the statement of support process as incompatible with Cayuga law and traditional consensus decision-making by chiefs and clan mothers. Meanwhile, the Halftown and Jacobs Councils submitted competing proposals for new ISDA contracts to the BIA (*see* 25 USC § 5321), and the BIA notified them that it needed to recognize one faction for the purpose of executing the contract.

In recognizing the Halftown Council as the governing body authorized to contract on behalf of the Nation for ISDA funding, the BIA's Eastern Regional Director relied upon the results of the statement of support initiative—which it now deemed consistent with the Great Law—as “adequate evidence” that the Halftown Council represented the Nation. The Regional Director observed, however, that while his decision “accept[ed] the arguments put forward by the Halftown Council that the statement of support campaign . . . demonstrated the legitimacy of that Council[,] [f]urther application of the statement of support campaign to determine future Cayuga Nation decisions will be in the hands of the Cayuga citizens and leaders.” Thus, “[g]oing forward, the meaning of the statement of support campaign [would be] a question of Cayuga Nation law.”

That 2016 determination was upheld on administrative appeal by the Assistant Secretary of Indian Affairs. Although the Assistant Secretary agreed that the statement of support process was consistent with the Great Law and that “[the] BIA may interpret tribal law in the limited circumstances [here],” he emphasized that “[f]ederal officials must still be cautious to defer to the tribe's interpretation of its own laws and its ability to internally resolve its disputes.” The 2016 BIA determination was also upheld in a related federal action, in which the United States District Court for the District of Columbia denied the Jacobs Council's motion for summary judgment, and held that the Jacobs Council had not established that the BIA determination violated the federal Administrative Procedure Act or

due process (see *Cayuga Nation v Bernhardt*, 374 F Supp 3d 1 [D DC 2019]).

In July 2017, the Halftown Council, styled as the “Cayuga Nation, by and through its lawful governing body, the Cayuga Nation Council,” commenced this action against the Jacobs Council raising causes of action sounding in trespass, conversion, tortious interference with prospective business relations, replevin, and ejectment, and seeking monetary and injunctive relief arising from the Jacobs Council’s ongoing possession and control of the Nation’s property. The complaint sought damages from the date of the “takeover” to the present. Unlike in the 2014 action, Supreme Court denied the Jacobs Council’s motion to dismiss for lack of subject matter jurisdiction (see *Cayuga Nation v Campbell*, 2017 NY Slip Op 31881[U], *3 [Sup Ct, Seneca County, Sept. 8, 2017]). The court “d[id] not dispute the defendants’ assertion that the [c]ourt lacks subject matter jurisdiction over internal Indian Nation government disputes” but reasoned that it would not be required to determine the rightful leader of the Nation because it could instead “accept and act upon the determination made by the BIA that Clint Halftown is the recognized representative of the Nation” (*id.*). The court further held that “it is too early to determine which defendants, if any, are immune from suit regarding their actions prior to the . . . BIA decision,” and opined that “defendants have failed to prove they are immune from this suit as far as their present and future occupancy of the Nation premises is concerned” (*id.* at *4). To that end, the court issued a preliminary injunction requiring the Jacobs Council to vacate the Nation’s properties (*id.* at *4-5).

The Jacobs Council appealed, as relevant here, from the denial of their motion to dismiss the complaint for lack of subject matter jurisdiction, and the Appellate Division affirmed with two Justices dissenting (163 AD3d 1500 [4th Dept 2018]). Like Supreme Court, the majority concluded that although New York courts “lack authority to resolve internal disputes about tribal law or governance,” it would accord “due deference” to the BIA’s conclusion that the Nation had resolved its leadership dispute in favor of the Halftown Council, thus allowing it to address the merits of the action (*id.* at 1504, 1505). The majority stressed that it was *not* determining which party “is the proper governing body of the Nation, nor d[id] [its] determination prevent the Nation from resolving that dispute differently according to its law in the future” (*id.* at 1505).

The dissent contested the majority's assumption that it was required to defer to the BIA's determination and exercise jurisdiction over the dispute (*id.* at 1506). Emphasizing the narrow scope of that determination, the dissent opined that the BIA undertook only to resolve which governing council to recognize for purposes of maintaining a governmental relationship with the Nation given the competing ISDA contract proposals (*id.* at 1507). Thus, the dissent concluded that New York State courts could not exercise jurisdiction because "the issue of defendants' legitimate authority or justification is material to each of the causes of action in the complaint" (*id.* at 1508, 1506). The dissent also observed that the complaint encompassed conduct that predated the 2017 affirmation of the BIA's recognition decision by the Assistant Secretary of Indian Affairs by approximately three years, requiring courts to resolve issues of tribal law as to that period regardless of the BIA decision (*id.* at 1506). With regard to the remainder of the period addressed by the complaint, the dissent explained that deference to the BIA decision did not resolve the jurisdictional problem as, due to its limited scope and import, that decision did not foreclose the Jacobs Council's defense—that they continued to be the rightful leaders authorized to occupy the properties at issue under Cayuga law (*id.* at 1506-1507).

The Appellate Division granted leave to appeal to this Court and certified the question as to whether its order was properly made (*see* 164 AD3d 1673 [4th Dept 2018]). We reverse and answer the certified question in the negative.

II.

The Halftown Council primarily contends—and the courts below agreed—that although New York courts generally lack the ability to resolve an intra-tribal leadership dispute, here, they need not do so because the BIA's recognition determination established the Halftown Council as the Nation's lawful Council. To that effect, the Halftown Council argues that the courts of this state are required to defer to that determination in order to allow the Halftown Council to vindicate the Nation's legal rights through commencing litigation. Conversely, the Jacobs Council characterizes this matter as an internal tribal governance dispute over which the Nation has exclusive sovereignty, regardless of the BIA's limited recognition of the Halftown Council as the Nation's governing leadership for federal contracting purposes. We agree with the Jacobs Council.

While it may be appropriate to defer to the BIA's determination for the purpose of permitting the Halftown Council to commence litigation on behalf of the Nation, the BIA determination does not resolve the disputed issues of tribal law implicated by the merits of this action. Thus, permitting this action to proceed would require our state courts to pass upon an internal tribal governance dispute over which we lack subject matter jurisdiction.

A.

The question of subject matter jurisdiction occasioned by this appeal is a “question of judicial power: whether the court has the power, conferred by the Constitution or statute, to entertain the case before it” (*Matter of Ballard v HSBC Bank USA*, 6 NY3d 658, 663 [2006] [internal quotation marks and citation omitted]).

Our analysis begins with an overview of governing principles of federal Indian law. The United States Supreme Court has reiterated that “[i]f state-court jurisdiction over Indians or activities on Indian lands would interfere with tribal sovereignty and self-government, the state courts are generally divested of jurisdiction as a matter of federal law” (*Iowa Mut. Ins. Co. v LaPlante*, 480 US 9, 15 [1987]; *New Mexico v Mescalero Apache Tribe*, 462 US 324, 334 [1983]). In conducting our analysis, we “avoid reliance on platonic notions of Indian sovereignty and . . . look instead to the applicable treaties and statutes which define the limits of [our] power” (*McClanahan v Arizona Tax Comm’n*, 411 US 164, 171-172 [1973]).

“Indian tribes are ‘distinct, independent political communities, retaining their original natural rights’ in matters of local self-government” (*Santa Clara Pueblo v Martinez*, 436 US 49, 55-56 [1978], quoting *Worcester v Georgia*, 6 Pet [31 US] 515, 559 [1832]; see also 1 Cohen’s Handbook of Federal Indian Law § 1.03 [4] [b]). “They have [exclusive] power to make their own substantive law in internal matters, and to enforce that law in their own forums” (*Santa Clara Pueblo*, 436 US at 55-56 [citations omitted]; *Bowen v Doyle*, 880 F Supp 99, 112-113 [WD NY 1995], *aff’d* 230 F3d 525 [2d Cir 2000]). These internal matters include “[t]ribal election disputes . . . governed by tribal constitutions, statutes, or regulations” (*Attorney’s Process & Investigation Servs., Inc. v Sac & Fox Tribe of Miss. in Iowa*, 609 F3d 927, 943 [8th Cir 2010]; *Wheeler v Swimmer*, 835 F2d 259, 262 [10th Cir 1987]). “[T]he Federal Government’s long-

standing policy of encouraging tribal self-government . . . reflects the fact that Indian tribes retain ‘attributes of sovereignty over both their members and their territory,’ to the extent that sovereignty has not been withdrawn by federal statute or treaty” (*LaPlante*, 480 US at 14 [citation omitted], quoting *United States v Mazurie*, 419 US 544, 557 [1975]; see also 1 Cohen’s Handbook of Federal Indian Law § 1.03 [4] [b]). Because tribes have a fundamental, “bedrock” right to self-govern, internal tribal leadership disputes are, as a general rule, not cognizable in federal or state court (see *Tanner*, 824 F3d at 327; see also *In re Sac & Fox Tribe of Miss. in Iowa / Meskwaki Casino Litig.*, 340 F3d 749, 764 [8th Cir 2003]; *Bowen*, 880 F Supp at 113).

Congress, too, has “extraordinarily broad” “authority over Indian matters” (*Santa Clara Pueblo*, 436 US at 56, 72; *LaPlante*, 480 US at 14, citing *United States v Mazurie*, 419 US 544, 557 [1975]; see also US Const, art I, § 8, cl 3). Accordingly, “tribal sovereignty is dependent on, and subordinate to, only the Federal Government, not the States” (*Washington v Confederated Tribes of Colville Reservation*, 447 US 134, 153-154 [1980]). To that end, our subject matter jurisdiction must be predicated on explicit authorization from Congress to address matters of tribal self-government (see *Barnes v White*, 494 F Supp 194, 199 [ND NY 1980], citing *Williams v Lee*, 358 US 217, 221 [1959]; *Williams*, 358 US at 220-221 and n 6 [“when Congress has wished the States to exercise . . . power (to assume jurisdiction over Indian affairs that take place on the Indian reservation) it has expressly granted them th(is) jurisdiction”]).

The dissents assert that the sources of our jurisdiction to resolve this case are 25 USC § 233 and Indian Law §§ 5 and 11-a. As relevant to this appeal, section 233 provides that New York State courts “shall have jurisdiction in civil actions and proceedings between Indians or between one or more Indians and any other person or persons to the same extent as the courts of the State shall have jurisdiction in other civil actions and proceedings” as defined by New York law.⁶ However, the provision was intended to subject New York-based Indians to New York’s civil laws “without impairing any of their . . .

6. The assimilationist underpinnings of section 233 are revealed by its legislative history. Significantly, Congress anticipated that section 233 would “lead to the gradual assimilation of the Indian population into the American way of life, and the gradual but final complete removal of governmental

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rights under existing treaties with the United States” (S Rep 1137, 80th Cong, 2d Sess at 2 [Apr. 20, 1948]). These statutes do not provide any clear or express authority for a New York court to decide internal tribal disputes, even if they would otherwise confer jurisdiction over similar state law claims which do not at their core rest on internal governance disputes (see *Bowen*, 880 F Supp at 118; see also *Bryan v Itasca County*, 426 US 373, 388-389 [1976]).

In reaching a contrary conclusion, Judge Wilson’s dissent asserts arguments on behalf of the Halftown Council that are incompatible with the Council’s own statements concerning tribal sovereignty. The Halftown Council does not argue that Congress intended that section 233 would provide New York courts with jurisdiction over an Indian tribe’s internal affairs or matters of self-government nor does any party seriously contend that New York State courts could or should exercise subject matter jurisdiction over the merits of this internal governance dispute absent deference to the 2016 BIA determination.

Though 25 USC § 233 and Indian Law §§ 5 and 11-a of course reflect important federal and state interests in preserving Indians’ access to New York courts, they in no way constitute an “express grant of authority” (Wilson, J., dissenting op at 310) from Congress that would be necessary to assume jurisdiction over this particular dispute implicating the Nation’s right to self-govern, and do not bear on our ability to resolve the Halftown Council’s claims (see *United States v Dion*, 476 US 734, 738-740 [1986] [“Congress’ intention to abrogate Indian treaty rights (by statute must) be clear and plain”]).⁷ The Supreme Court has clarified that Congress’ primary and overriding interest in Indian affairs shifted from the assimilationist lens reflected in 25 USC § 233 toward “[the] [p]resent federal policy” of “strengthening tribal self-government” and self-determination (see e.g. *Bryan*, 426 US at 389 n 14 [citations omitted] [observing that “courts are not obliged in ambiguous instances to strain to implement (an assimilationist) policy

supervision and control” (H Rep 2720, 81st Cong, 2d Sess, reprinted in 1950 US Code Cong Serv at 3732).

7. Moreover, as “tribes are not even subject to the laws of a state except insofar as the United States has given its consent” (see *Barnes*, 494 F Supp at 199, citing *Williams*, 358 US at 221), the dissent’s exposition of a plethora of New York legislative history and background is of marginal value in determining the breadth of jurisdiction conferred by section 233.

Congress has now rejected, particularly where to do so will interfere with the present congressional approach to what is, after all, an ongoing relationship” (internal quotation marks and citation omitted)]; see also *National Farmers Union Ins. Cos. v Crow Tribe*, 471 US 845, 856 [1985] [“Our cases have often recognized that Congress is committed to a policy of supporting tribal self-government and self-determination”] [collecting cases]; *White Mountain Apache Tribe v Bracker*, 448 US 136, 143-144 [1980]). Yet, Judge Wilson’s dissent emphasizes in a vacuum the plain language of section 233 and sections 5 and 11-a and the nature of the causes of action at issue here as dispositive while ignoring the applicable contexts in which those provisions were enacted and the events on which those claims are based (Wilson, J., dissenting op at 318, 319, 326). In doing so, the dissent overlooks the “crucial backdrop” of “[t]he traditional notions of Indian sovereignty . . . against which any assertion of state authority must be assessed” (*Mescalero Apache Tribe*, 462 US at 334 [internal quotation marks omitted]).

This Court’s decision in *Matter of Spota v Jackson* (10 NY3d 46, 49-50 [2008]) is instructive. In *Spota*, we held that we lacked the discretion to determine whether the defendant qualified as a statutorily-defined “intruder” on Indian land “independent of” and in contravention of the Indian nation’s determination that the defendant was an “intruder” (*id.* at 49-50). We reasoned that “[t]he tribes’ right to make internal substantive law, and to determine their own membership according to such law, is diminished if county courts have the discretion independently to decide who is an ‘intruder’ on Indian lands” (*id.* at 54). Thus, we declined to exercise subject matter jurisdiction after considering, in the context of the claims at issue, the “implications with regard to the tribes’ inherent rights as quasi-sovereign nations” (*id.* at 49-50; see also *Matter of Patterson v Seneca Nation*, 245 NY 433, 446-447 [1927] [decision whether to enroll an individual as a member of a tribal nation was outside the jurisdiction of the state courts]).

Similarly, in context, the Halftown Council’s claims asserted against a rival leadership faction defy classification as ordinary torts. Both factions agree that the property at issue belongs to the Nation and that the Halftown Council has commenced the action ostensibly on behalf of the Nation. The only disputed question is who may lawfully possess and control the property, a question that necessarily turns on which faction—either plaintiff or defendants—is the rightful leadership council that

speaks for the Nation. Therefore, the six causes of action raised by the Halftown Council unquestionably implicate the Nation's leadership dispute because they all require a finding that the defendants acted unlawfully without justification or permission to exercise dominion or control over the property at issue—in other words, that defendants do not speak for the Nation and their claim to represent it is unfounded. The Jacobs Council does not contest that they have continued to occupy and control the properties at issue; they claim only that they were entitled to do so because they view themselves—and not the Halftown Council—as the lawful Nation Council pursuant to Cayuga law. Although the Halftown Council and the dissents have attempted to repackage this dispute as a straightforward matter of state tort law, it necessarily “involv[es] internal tribal affairs of [the Cayuga Nation and] may appropriately be characterized as [a] political as opposed to [a] judicial” matter that is beyond our power to adjudicate (*Matter of Holcombe v Dimmler*, 55 AD2d 808, 808 [4th Dept 1976] [dispute implicating “(t)he legitimacy of the government of (a tribal nation) or the proceedings by which its chiefs are chosen are, by their very nature, of such political sensitivity as to fall within the ambit of decisional circumscription of the court”]).⁸

Both of our dissenting colleagues seem troubled by the fact that the Cayuga do not have a system of tribal courts and use

8. Judge Wilson's dissent ignores the substance of the claims before us, maintaining that 25 USC § 233 and Indian Law § 5 provide New York State courts with subject matter jurisdiction over this case simply because “[t]he case at bar is a civil action between Indians” (Wilson, J., dissenting op at 309). That statement misconceives this action. The Halftown Council does not merely request access to a New York court for the purpose of enforcing the tribe's rights or even resolving a private dispute between tribal members under settled Cayuga law. Instead, in seeking a determination that Jacobs Council members have been unlawfully occupying Nation offices and other property since 2014 and requesting ejectment, it necessarily asks a New York court to resolve a disputed non-cognizable internal tribal governance question: which leadership faction in a years-long and well-documented tribal dispute is authorized under Cayuga law as the tribe's rightful leaders. Judge Garcia's suggestion that it is unnecessary to resolve the leadership dispute to adjudicate some of the claims, such as the conversion claim, is no more persuasive (Garcia, J., dissenting op at 303). Like the other claims, the conversion claim turns on which faction is entitled to control Nation property. There is no indication in the complaint that allegations that the Jacobs Group accessed, retained, and used the Nation's funds “for their own personal benefit” is grounded on anything other than the premise that the Jacobs Group lacks the authority to control the funds on behalf of the Nation. Tellingly, the Halftown Council does not ask this Court to resolve that dispute, contending instead that the claim is cognizable in New York State courts

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other mechanisms to resolve disputes, including tribal leadership disputes. We reject the implication that the Nation is disadvantaged or left “entirely without recourse” (Garcia, J., dissenting op at 299) by its inability to rely on New York courts to determine which faction is the leader entitled to possession and control of certain real and personal property. This paternalistic view fails to appreciate that the use of dispute resolution mechanisms other than courts is itself an exercise of the right to self-govern in a manner consistent with tribal traditions and oral law (see *Santa Clara Pueblo*, 436 US at 65-66). “Simply stated, when it comes to Indian affairs, state courts are courts of limited jurisdiction” (*Bowen*, 880 F Supp at 114).

B.

We further reject the notion that the BIA’s 2016 recognition decision deferring to the outcome of the statement of support process enables a New York court to resolve this action, which turns upon the outcome of the Nation’s internal leadership dispute, as dictated by tribal law. Although it is true that courts are generally bound to “follow the action of the executive and other political departments of the government” in matters of tribal recognition (*United States v Holliday*, 3 Wall [70 US] 407, 419 [1866]; *Timbisha Shoshone Tribe v Salazar*, 678 F3d 935, 938 [DC Cir 2012]), the decisions on which plaintiff relies do not sweep as broadly as plaintiff asserts but merely address the circumstances under which a court may recognize the capacity of one tribal group to bring a claim against a third party on behalf of the tribe (see *Tanner*, 824 F3d at 330 [noting the practical implications of declining to defer to a BIA recognition decision for purposes of determining whether a group is authorized to commence or defend a lawsuit on behalf of the tribe]; *Timbisha Shoshone Tribe*, 678 F3d at 938). At most, those decisions permit us to assume without deciding (though we do not conclude) that given the BIA’s 2016 determination, the Halftown Council “is authorized by tribal law to initiate this lawsuit on behalf of the Nation” (*Tanner*, 824 F3d at 327; *Timbisha Shoshone*, 678 F3d at 938; *Nooksack Indian Tribe v Zinke*, 2017 WL 1957076, *4, 2017 US Dist LEXIS 72364, *12-13 [WD Wash, May 11, 2017, No. C17-0219-JCC]).

because the courts may defer to the BIA’s 2016 decision recognizing the Halftown Council for federal contracting purposes.

By way of Congress’s partial delegation to the Secretary of the Department of the Interior of its authority to manage Indian affairs (*see* 25 USC § 2; 43 USC § 1457 [10]), the BIA “has the authority to make recognition decisions regarding tribal leadership” and interpret tribal law based upon its “special expertise in dealing with Indian affairs” (*Tanner*, 824 F3d at 328). However, the BIA may exercise this authority only “when the situation [has] deteriorated to the point that recognition of some government [i]s essential for *Federal* purposes” and “when necessary to carry out the government-to-government relationship with the tribe” (*id.* at 328 [internal quotation marks and citation omitted]; *Frank’s Landing Indian Community v National Indian Gaming Commn.*, 918 F3d 610, 613-614 [9th Cir 2019]; *see e.g. Richards v Acting Pac. Regional Director, Bur. of Indian Affairs*, 45 IBIA 187, 191-192, 2007 WL 3022563, *3, 2007 ID LEXIS 50, *10-11 [Aug. 21, 2007, IBIA 05-55-A]). The Second Circuit has cautioned that “[i]nternal dysfunction or paralysis within tribal governance standing alone . . . does not permit the BIA to decide who constitutes the legitimate leadership of a tribe” (*Tanner*, 824 F3d at 328; *Attorney’s Process & Investigation Servs., Inc. v Sac & Fox Tribe of Miss. in Iowa*, 609 F3d 927, 943 [8th Cir 2010]; *Wheeler v United States Dept. of Interior, Bur. of Indian Affairs*, 811 F2d 549, 552 [10th Cir 1987]). In fact, a 2011 BIA determination recognizing members of the Jacobs Council as the Nation’s governing body was vacated because there was, at that time, no federal need for the BIA to address the leadership dispute. Significantly, no party contends that this action implicates any federal purpose whatsoever.

It would be incongruous for us to acknowledge that the BIA’s recognition authority in this case was premised only on a dispute over the proper recipient of federal funds on behalf of the Nation, but to apply concomitantly the BIA’s recognition determination so broadly as to embroil this Court in a leadership dispute that—absent government contracting requirements—would not have triggered the BIA’s recognition authority. Moreover, nothing in the BIA decision suggested the Jacobs Council was required as a matter of Cayuga law to defer to that decision as resolving which leadership faction was properly authorized to occupy tribal property. Indeed, by its own terms the BIA decision recognized that a fundamental disagreement persisted within the Nation on this point and that

the statement of support process was not binding going forward. Thus, the limited nature of the BIA determination, taken together with BIA precedent indicating that it may recognize one leadership faction over the other only when there is a specific government-to-government purpose to do so, militate against giving that determination such wide-reaching effect (see *Samish Indian Nation v United States*, 419 F3d 1355, 1369-1370 [Fed Cir 2005]). There is no federal or state precedent that would permit the Halftown Council to use a determination regarding federal funding as a sword against its competing leadership faction in order to have New York courts end a persistent 15-year-old internal dispute regarding tribal governance which is implicated by the claims presented here.

Despite the contentions of the Halftown Council and Judge Wilson's dissent to the contrary, *Tanner* does not mandate a different result. The issue in that case was whether an anti-gambling ordinance passed by the defendant village was preempted by a federal statute (824 F3d at 327). The Second Circuit determined that a group including Halftown had the authority to commence the action on behalf of the Nation to protect the Nation's rights as against a third party, reasoning that "where the authority of the individual initiating litigation on behalf of a tribe has been called into dispute, the only question [the courts] must address is whether there is a sufficient basis in the record to conclude, without resolving disputes about tribal law, that the individual may bring a lawsuit on behalf of the tribe" (*id.* at 328). Drawing on the 2015 interim BIA decision recognizing a 2006 leadership council with members from both the Halftown and Jacobs factions, the Second Circuit concluded that this determination provided a "sufficient basis" in the record to conclude that Halftown was authorized to bring the suit on behalf of the Nation (*id.* at 327, 328).

This litigation is entirely different. The Halftown Council now seeks to enforce the Nation's property rights against a long-recognized competing faction, not an unrelated third party raising a claim to represent the Nation that is wholly unsupported by the record (see Wilson, J., dissenting op at 320). Further, the BIA determination is relied on here to resolve the merits, not to determine whether there is a "sufficient basis" in

the record to decide who is authorized to vindicate the Nation's rights against third parties (*Tanner*, 824 F3d at 328).⁹

III.

The Nation's fundamental and exclusive right to sovereignty over its internal customs, traditions, and processes for selecting its government is paramount to today's decision (see *Bracker*, 448 US at 143-144; *Sac & Fox Tribe of the Miss. in Iowa, Election Bd. v Bureau of Indian Affairs*, 439 F3d 832, 835 [8th Cir 2006]). Because the Halftown Council's legal claims depend on its allegations that it speaks for the Nation, and the Jacobs Council does not, the Nation's leadership dispute permeates its claims and New York State courts lack the constitutional or statutory power to adjudicate them.

Accordingly, the order of the Appellate Division should be reversed, with costs, the motion to dismiss the complaint granted, and the certified question answered in the negative.

GARCIA, J. (dissenting). The majority's holding is appropriately sensitive to long-standing concerns of tribal sovereignty. But its analysis fails to grapple with the precise allegations leveled in the complaint and the relevance, if any, of the tribe's internal dispute to the resolution of those claims. It also ignores the strong interests, shared by the State and the Cayuga Nation (the Nation), in resolving this long-running dispute concerning property—purchased on the open market—in the City of Seneca Falls. And its reliance on abstract sovereignty concerns leaves the Nation entirely without recourse. In my view, a blanket invocation of “tribal law” issues cannot, at this early stage, justify wholesale dismissal of the complaint. Accordingly, I dissent.

I.

The facts and procedural history are ably recounted by the

9. Although the Halftown Council reads the BIA determination to conclude that the Nation has resolved its leadership dispute, and claims that it may use the state courts to enforce that resolution, this argument similarly fails. Even if the BIA determination could be read so broadly—it cannot be—principles of tribal sovereignty extend to the power of Indian tribes “to enforce” “their own substantive law in internal matters” “in their own forums” (*Santa Clara Pueblo*, 436 US at 55-56 [emphasis added]; *Babbitt Ford, Inc. v Navajo Indian Tribe*, 710 F2d 587, 591-592 [9th Cir 1983]; *Bowen*, 880 F Supp at 112-113). Even though the Nation resolves its disputes by way of a non-judicial forum, “[n]onjudicial tribal institutions have also been recognized as competent law-applying bodies” (*Santa Clara Pueblo*, 436 US at 65-66).

majority and my dissenting colleague (majority op at 285-290; Wilson, J., dissenting op at 306-307, 307 n 2). I will not repeat that history here, but emphasize only what I consider to be particularly pertinent. Beginning in 2004, the Halftown Council, on behalf of the Nation, began purchasing land on the open market in Seneca Falls, New York (*see* aff of Cayuga Nation chief financial officer at 1 [“The five properties which are the subject of this action were purchased by the Cayuga Nation at the direction of Clint Halftown, the Nation’s federally recognized representative using funds belonging to the Cayuga Nation”]; affirmation of defendants’ counsel at 2 [same]). All told, five parcels were purchased (the acquired land) within the boundaries of what was the Nation’s original 65,000-acre reservation. The reservation land was transferred to the State approximately 200 years ago and was subsequently purchased by private owners (*see Cayuga Indian Nation of N.Y. v Gould*, 14 NY3d 614, 630 [2010]). The deeds for the property list the Cayuga Nation as the owner in fee simple. The Nation operates several businesses on the acquired land, including a convenience store and gas station. The businesses generate substantial revenue.

For years, a protracted leadership dispute has persisted between the Halftown Council and the Jacobs Council (*see* majority op at 286-288). On April 28, 2014, the Jacobs Council gained entry to the Nation’s security office and seized keys to the Nation’s offices, businesses, and vehicles, as well as other personal property belonging to the Nation (*see* majority op at 286-287). Two days later, the Halftown Council filed suit in Supreme Court for trespass, conversion, tortious interference with business relations, replevin, and ejectment.

Supreme Court reluctantly dismissed the action (*see Cayuga Nation v Jacobs*, 44 Misc 3d 389, 394 [Sup Ct, Seneca County 2014]). There was “no question,” the court noted, that “the businesses and property involved are Cayuga Nation property,” and that “the actions of the defendants disrupted business activity” (*id.* at 391). Dismissal was nonetheless required, the court reasoned, because resolution of the issues would “interfer[e] with tribal sovereignty”—even though “it would seem to fly in the face of reason to argue that there is nothing this court can do” (*id.* at 392, 394). Supreme Court also determined that it was powerless to punish defendants’ violation of its earlier temporary restraining order, despite defendants’ “actual contempt” for that order (*id.* at 395).

The leadership dispute continued. In 2016, the Federal Bureau of Indian Affairs (BIA), in need of a contracting party for certain federal programs, recognized the Halftown Council as the governing body authorized to enter into the relevant contracts on behalf of the Nation. In 2017, a BIA assistant secretary affirmed the decision.¹ In July 2017, armed with the BIA determination, the Halftown Council commenced this action on behalf of the Cayuga Nation against the Jacobs Council and others, again alleging, among other things, trespass, tortious interference, and conversion of real and personal property for “misappropriat[ing] all of the revenues” of the businesses and for “accessing, retaining, and using funds belonging to the Nation for their own personal benefit.” The complaint also alleged that defendants used “violence and other unlawful tactics to remain in control” of the property. The trial court denied defendants’ motion to dismiss and issued a preliminary injunction requiring defendants to vacate the acquired land (2017 NY Slip Op 31881[U] [Sup Ct, Seneca County 2017]). The Appellate Division affirmed (163 AD3d 1500 [4th Dept 2018]).

II.

There is much here on which my colleagues and I agree. First, we all agree that New York courts have jurisdiction to adjudicate civil disputes involving the Nation or its members (*see* 25 USC § 233; Indian Law §§ 5, 11-a). No one contests, for instance, that the Nation may bring an action in a New York court to assert a breach of contract, to eject an intruder, or to vindicate its property rights (*see* majority op at 290-296; Wilson, J., dissenting op at 308-317).

We all also appear to agree—or at least assume—that the Halftown Council is the appropriate representative to litigate those claims on behalf of the Nation (majority op at 291, 294 [noting that it may be “appropriate to defer to the BIA’s determination for the purpose of permitting the Halftown Council to commence litigation on behalf of the Nation”]; Wilson, J., dissenting op at 306, 319-320). As the Court of Appeals for the Second Circuit explained, “where the authority of the individual initiating litigation on behalf of a tribe has been called into dispute, the only question [the courts] must address is whether

1. As did a federal district court in 2019 (*see Cayuga Nation v Bernhardt*, 374 F Supp 3d 1 [D DC 2019]; majority op at 288-289).

there is a sufficient basis in the record to conclude, without resolving disputes about tribal law, that the individual may bring a lawsuit on behalf of the tribe” (*Cayuga Nation v Tanner*, 824 F3d 321, 328 [2d Cir 2016]). Here, as in *Tanner*, the BIA’s determination—recognizing the Halftown Council as the Nation’s governing body for federal contracting purposes—provides sufficient basis to conclude that the Halftown Council has authority to bring this lawsuit on behalf of the Nation (*see id.*).

III.

Now to the issue that divides us: whether, in determining the merits of these claims, New York courts would be required to resolve the ongoing internal leadership dispute and determine which faction is the rightful governing body of the Cayuga Nation.

My dissenting colleague essentially concludes that Congress’s grant of authority (25 USC § 233) and this State’s Indian Law (Indian Law §§ 5, 11-a) confer on New York courts the power to adjudicate “*all* civil disputes among Indians and tribes,” irrespective of the resulting interference—for instance, by resolving whether a rival leadership claim “has merit” (Wilson, J., dissenting op at 314, 310 n 4 [emphasis added]). Like the majority, I do not believe that those statutory provisions allow us to bypass the sovereignty concerns implicated by our courts’ interference with internal tribal matters (majority op at 293). As the majority notes, the federal statutory grant of authority to New York was not intended to impair any rights under existing Indian treaties with the United States (majority op at 292-293, quoting S Rep 1137, 80th Cong, 2d Sess at 2 [Apr. 20, 1948]), and treaties between the Cayuga Nation and the United States unequivocally recognize the Nation’s right to sovereignty (*see* Treaty with the Six Nations at Canandaigua, 7 US Stat 44 [1794]; 1784 Treaty of Fort Stanwix, 7 US Stat 15 [1784]; Cayuga Nation, History Timeline, <http://cayuganation-nsn.gov/history-timeline.html> [last accessed Oct. 10, 2019]). We must, therefore, independently consider whether adjudication of this dispute would impinge on the Nation’s sovereignty.

In explaining tribal sovereignty, the United States Supreme Court has made clear that “the Indian tribes retain their inherent power to determine tribal membership, to regulate domestic relations among members, and to prescribe rules of inheritance for members” (*Montana v United States*, 450 US 544, 564

[1981]; *accord United States v Wheeler*, 435 US 313, 322 n 18 [1978]). Analogous claims—like internal leadership disputes—similarly implicate tribal sovereignty concerns, and therefore, the majority reasons, New York courts cannot render determinations in the absence of an express grant of jurisdiction from both Congress and the New York Legislature (majority op at 293-294). Until the Supreme Court rules otherwise, it may well be prudent to assume that New York courts do not have the power to resolve internal leadership disputes (*see Montana*, 450 US at 564; *see also In re Sac & Fox Tribe of Miss. in Iowa / Meskwaki Casino Litig.*, 340 F3d 749, 763-764 [2003]).

But even a cursory review of the complaint suggests that several (if not all) of the Nation's claims can be safely adjudicated without resolving the internal tribal dispute. For instance, plaintiff's conversion claim—asserting theft of *the Nation's* money—is unlikely to depend on which faction properly leads the Nation, or who rightfully possesses the acquired land. Specifically, the complaint alleges that defendants are using money generated by commercial activities on the Nation's land for personal profit, and that defendants have refused to cooperate in an audit by the Nation's accounting firm. Of course, where an official misappropriates an organization's funds, it is no defense that the official is a duly elected leader (*Wen Kroy Realty Co. v Public Natl. Bank & Trust Co.*, 260 NY 84, 90 [1932]; *see also Asdourian v Konstantin*, 93 F Supp 2d 296, 299 [ED NY 2000]). The Nation's conversion claim, then, might well rise or fall without any assessment of the tribe's leadership conflict.²

While the Halftown Council is authorized to bring this suit (*see* majority op at 291, 294; Wilson, J., dissenting op at 306, 319-320), the party seeking relief is *not* the Halftown Council—it is *the Nation*. As a result, plaintiff's claims depend largely on the propriety of defendants' use of *the Nation's* property, regardless of who possesses a rightful claim to the

2. The majority speculates that the Nation's conversion claim is based solely on the premise that defendants "lack[] the authority to control the funds on behalf of the Nation" (majority op at 295 n 8). That suggestion is belied by the plain language of the pleadings, which assert that defendants "misappropriated funds belonging to the Nation for their own *personal use*" (emphasis added). Even if we did not liberally construe the complaint—and we must (*see Leon v Martinez*, 84 NY2d 83, 87-88 [1994])—the obvious import of these allegations is that defendants are stealing the tribe's money. The conversion claim, then, does not "turn[] on which faction is entitled to control Nation property" (majority op at 295 n 8).

Nation's leadership. At minimum, further factual development would clarify whether any (or all) of the Nation's claims may be resolved without interference in internal tribal affairs. The majority's blanket assertion that "the six causes of action . . . unquestionably implicate the Nation's leadership dispute" (majority op at 295)—and its wholesale dismissal of the complaint—fails to grapple with the nuances of the asserted claims and, particularly at this early stage, needlessly denies the Nation any opportunity to ensure transparency and accountability with respect to its valuable commercial property.

Additionally, the Nation's and the State's interests are aligned in seeking resolution of these claims in New York's courts. The Cayuga Nation clearly has a strong interest in vindicating its rights with respect to the acquired land. Business concerns on that land generate millions of dollars in revenue—revenue that, the Nation alleges, is no longer dispersed for the benefit of the tribe, and instead has been diverted for personal profit. In addition, as noted by my dissenting colleague, the Nation has not established a tribal court and therefore requires an alternative forum in order to obtain relief (Wilson, J., dissenting op at 314).

The State also has a strong interest in resolving these claims concerning land within the City of Seneca Falls. While former reservation land repurchased by a tribe may retain some attributes of sovereignty, reacquisition does not allow a tribe to "exert full sovereign authority" over the reacquired property (*Gould*, 14 NY3d at 641; *City of Sherrill v Oneida Indian Nation of N. Y.*, 544 US 197, 203 [2005] ["(T)he Tribe cannot unilaterally revive its ancient sovereignty, in whole or in part, over the parcels at issue. The Oneidas long ago relinquished the reins of government and cannot regain them through open-market purchases from current titleholders"]). Indeed, reacquired land may be taxed by the local municipality (*City of Sherrill*, 544 US at 203; *see also Gould*, 14 NY3d at 643 n 11 ["The Cayuga Indian Nation acknowledges its obligation to pay real property taxes"]). It also remains subject to local zoning regulations and land use laws (*City of Sherrill*, 544 US at 220; *Cayuga Indian Nation of N.Y. v Village of Union Springs*, 390 F Supp 2d 203, 206 [ND NY 2005]; *see also Gould*, 14 NY3d at 643 n 11 ["The Cayuga Indian Nation acknowledges its obligation to . . . comply with local zoning and land use laws"]). As *Gould* and *City of Sherrill* make clear, the Nation's reacquisition of previously held property—long since relinquished to

non-Nation owners—does not transform the acquired land into fully sovereign territory (*Gould*, 14 NY3d at 641; *City of Sherrill*, 544 US at 203).³ In other words, contrary to the parties' self-interested assertion, the acquired property is *not* reservation land; it is land within the City of Seneca Falls and, in most respects, is no different than property held by any other owner.

This dispute over Nation-held property has raged for five years. The allegations in the present complaint speak of violence, force, and theft, and Supreme Court's earlier decision attests to a lack of respect for court process. It is "essential in an ordered society that" we "rely on legal processes rather than self-help to vindicate [our] wrongs" (*Gregg v Georgia*, 428 US 153, 183 [1976]). Dismissing this case leaves the State and the Nation without any legal process for resolving this fierce and ongoing dispute.

IV.

The majority dismisses the Nation's claims, cutting off further factual development, without any assessment of the specific claims and defenses asserted in the parties' pleadings. At this stage, giving due deference to the allegations in the complaint, as our dismissal standard requires, I would deny defendants' motion to dismiss (*see Leon v Martinez*, 84 NY2d 83, 87-88 [1994]). At minimum, discovery is "desirable, indeed

3. While the Court in *Gould* held that the property at issue was located on a "qualified reservation" for purposes of taxing cigarettes, *Gould's* definition of "qualified reservation land" was expressly limited to Tax Law § 470 (14 NY3d at 641 [internal quotation marks omitted]; *see also Oneida Indian Nation of N.Y. v Madison County*, 665 F3d 408, 438 [2d Cir 2011] [distinguishing *Gould* and concluding that it was not clear New York courts would reach the same conclusion with respect to application of the State's real property law]). Indeed, in *Gould*, the Nation expressly disclaimed any assertion that its "reacquisition of the convenience store parcels revive[d] its ability to exert full sovereign authority over the property" (*Gould*, 14 NY3d at 641).

The majority asserts that, in *Tanner*, the court found that "the Supreme Court's decision in *City of Sherrill v Oneida Indian Nation of N. Y.* (544 US 197 [2005]) has 'no bearing on the issues of subject matter jurisdiction or standing'" (majority op at 287 n 5). In fact, the omitted portion of the majority's *Tanner* quote makes clear that, while *City of Sherrill* had "no bearing" on the Halftown Council's authority to initiate the suit (which the *Tanner* court termed "issues of subject matter jurisdiction or standing"), *City of Sherrill* was "potentially relevant to the merits" of the case (*Tanner*, 824 F3d at 325 n 3). I agree with *Tanner* that *City of Sherrill* has "no bearing" on the Halftown Council's authority to bring suit, and that it *is* "relevant to the merits" of this case (*id.*).

may be essential, and should quite probably lead to a more accurate judgment than one made solely on the basis of inconclusive preliminary affidavits” (*Peterson v Spartan Indus.*, 33 NY2d 463, 467 [1974]). I would give the Cayuga Nation its day in court.

WILSON, J. (dissenting). I agree with the majority that the Bureau of Indian Affairs’ (BIA) decision to recognize the Halftown Group as the legitimate governing body of the Cayuga Nation (the Nation) for purposes of a federal grant does not bind the courts of New York. However, that proposition is irrelevant to whether New York courts have subject-matter jurisdiction. Both the United States Congress and New York’s legislature have specifically granted New York courts jurisdiction to hear civil cases brought by Indian¹ tribes. Those jurisdictional grants authorize claims by tribes in their institutional capacity against individual members of the tribe, including claims to recover unlawfully occupied lands and the damages resulting therefrom. The effect of the majority’s holding is to disable all Indian tribes in New York from suing to recover lands taken by any intruder, so long as the intruder claims the right to tribal leadership.

The oddest inconsistency in the majority’s position is that it assumes the Halftown Group *is* the proper party to sue on behalf of the Cayuga Nation, yet although the Nation is suing—necessarily to dispossess persons who are not the Nation—the majority refuses to permit the Nation the right to avail itself of the courts to regain its property. Despite the clear mandate that New York courts are to be open to Indian tribes just as they are open to any other person, the majority slams the courthouse door in the face of the Cayuga Nation, even though the tribe has sought to avail itself of the state courts, even though there is no other forum to which it can turn, and even though the decision is contrary to the laws of the United States and of New York.

I.

The plaintiff here is not the leadership group led by Clint Halftown. The plaintiff is the Cayuga Nation, a federally recognized tribe that, as a member of the Iroquois Confederacy, has been conducting relations with every non-Indian laying

1. To conform with the statutes at issue and with the phrasing adopted by the majority and the parties, I use the term “Indian” to refer to the indigenous peoples of North America.

claim to lands in present-day New York since the first Dutch settlers arrived in the early 17th century (see Gerald Gunther, *Governmental Power and New York Indian Lands—A Reassessment of a Persistent Problem of Federal-State Relations*, 8 Buff L Rev 1, 2-4 [1958]). The majority assumes, for the purpose of its analysis, that the Halftown Group “is authorized by tribal law to initiate this lawsuit on behalf of the Nation” (majority op at 296, quoting *Cayuga Nation v Tanner*, 824 F3d 321, 327 [2d Cir 2016]). Thus, the question before us is whether the Cayuga Nation may bring an action in New York court to reclaim property it owns, or whether, as the majority holds, New York courts lack subject-matter jurisdiction based on the mere claim by someone else to tribal leadership.² This case does not ask us broadly to decide who is the lawful head of the tribe but instead, as in *Tanner*, whether a group with authority to bring suit in the tribe’s name can have its claim adjudicated in court. Nothing in my dissent should be read to suggest that the Cayuga Nation is in any way impaired in reaching any de-

2. The parties assert that the property at stake is reservation land, as set forth in treaties made with the United States in the late eighteenth century, which the majority assumes to be true (majority op at 287 n 5). I will assume the same, but I note the question is long contested. The Nation sold its ancestral lands to the State of New York in 1795, following its first treaty with the federal government the year before. In 1980, the Nation sued in federal court to invalidate any claims maintained by the State over the original 64,000 acres of Cayuga lands and those claims were adjudicated in no fewer than 17 proceedings over 22 years (see *Cayuga Indian Nation of N.Y. v Pataki*, 413 F3d 266, 268-273 [2d Cir 2005]). In 2005, the Second Circuit, following the US Supreme Court’s ruling in *City of Sherrill v Oneida Indian Nation of N. Y.* (544 US 197 [2005]), dismissed the Nation’s suit because the doctrine of laches barred any claim brought to reassert tribal sovereignty over lands that had been out of the Nation’s possession for over 200 years (*Pataki*, 413 F3d at 277). The Nation purchased the instant properties on the open market in the 2000s. In *Cayuga Indian Nation of N.Y. v Gould* (14 NY3d 614, 641 [2010]) we held that these properties could be classified as “qualified reservation[s]” for the purposes of taxing cigarettes under Tax Law § 470 (16) (a), with the caveat that “the Nation does not suggest that its reacquisition of the convenience store parcels revives its ability to exert full sovereign authority over the property” which would be at odds with *City of Sherrill*. Counsel for the Jacobs faction conceded at oral argument that if the subject lands are not reservation land, then New York courts would have subject-matter jurisdiction in this matter, and they would lose this appeal (oral argument tr at 37). Because it was in neither party’s interest to claim that the properties are not reservation land, the Court does not consider that potentially dispositive fact (see majority op at 295-296 n 8, *supra*). In my view, the courts possess subject-matter jurisdiction over the Nation’s claims regardless of the reservation status of the property.

cision as to who is in charge of the tribe, just as neither the BIA's decision nor the Second Circuit's decision in *Tanner* did.

Subject-matter jurisdiction is granted to the courts by the Constitution and statute (NY Const, art VI, § 7; CPLR 301). The legislature granted New York courts jurisdiction over civil suits brought by individual Indians and by tribes in their official capacity (*see* Indian Law §§ 5, 11-a). New York's jurisdiction over these civil cases is expressly delegated by Congress (*see* 25 USC § 233). According to the majority, abrogating that jurisdiction is as simple as taking land by force and claiming to be the tribal leader. Perhaps our policy towards Indians has changed less in the past 400 years than we would like to believe.

A.

Three statutes explicitly grant New York courts subject-matter jurisdiction over this case, one federal and two state (25 USC § 233; Indian Law §§ 5, 11-a). Their texts and their common legislative history—all emerged during a crucial 15 years of the history of New York's legal relationship to Indian tribes, 1943-1958—leave no doubt that jurisdiction is proper in this case.

Section 233 reads in relevant part:

“The courts of the State of New York under the laws of such State shall have jurisdiction in civil actions and proceedings between Indians or between one or more Indians and any other person or persons to the same extent as the courts of the State shall have jurisdiction in other civil actions and proceedings, as now or hereafter defined by the laws of such State.”

Under Indian Law § 5:

“Any action or special proceeding between Indians or between one or more Indians and any other person or persons may be prosecuted and enforced in any court of the state to the same extent as provided by law for other actions and special proceedings.”

Indian Law § 11-a adds:

“In addition to any other remedy provided by this chapter or by any other law, the council, chiefs, trustees or headmen constituting the governing

body of any nation, tribe or band of Indians may in the name and on behalf of such nation, tribe or band, maintain any action or proceeding to recover the possession of lands of such nation, tribe or band unlawfully occupied by others and for damages resulting from such occupation.”

Evaluating these statutes, “[t]he primary consideration . . . is to ascertain and give effect to the intention of the Legislature” (*Riley v County of Broome*, 95 NY2d 455, 463 [2000] [internal quotation marks omitted]). In so doing, “text is the clearest indicator of legislative intent and courts should construe unambiguous language to give effect to its plain meaning” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006] [citation omitted]).

The case at bar is a civil action between Indians. According to 25 USC § 233 and Indian Law § 5, the jurisdiction of the courts of New York over it is coterminous with their jurisdiction over the same case between non-Indians, which is to say, Supreme Court has general jurisdiction over all common-law claims, including these (NY Const, art VI, § 7).³ More specifically, this case is brought “in the name and on behalf of” the Cayuga Nation, to recover lands “unlawfully occupied by others” (Indian Law § 11-a). There is no plausible reading of these statutes that fails to cover the Cayuga Nation’s suit. The majority suggests that the state laws are inapplicable because there is no express grant of federal authority (majority op at 293) dismissing the express grant of federal authority found in section 233 by the vague assertion that section 233 was not intended to impair rights existing under some treaties with the United States (majority op at 292-293). The majority does not say what treaty rights might be impaired by New York courts’ exercise of that jurisdiction, and the legislative history of section 233 points to the alienation of reservation lands and immunity from taxation of reservation lands as the treaty rights to be preserved (*see* S Rep 1836, 81st Cong, 2d Sess at 2 [1950]). Neither is implicated here.

Determining the subject-matter jurisdiction of the courts is first and foremost an exercise in statutory interpretation (*see*

3. Although the majority holds that the Cayuga Nation’s claims “defy classification as ordinary torts” (majority op at 294), the Nation complained of trespass, conversion, tortious interference with prospective business relations, replevin, and ejectment. There is nothing extraordinary about those claims.

Matter of Fry v Village of Tarrytown, 89 NY2d 714, 718 [1997]). Here, the statutes are clear. The legislature has granted the courts the power to hear civil cases between Indians as it would hear the case if the litigants were not so. That power was specifically extended to cover suits brought by tribes, in the name and official capacity of the tribe, to recover lands held by intruders. Any such case would necessarily require the courts to determine that the plaintiff was properly acting on behalf of the tribe and that the defendant is an intruder, and the majority is willing to assume the Halftown Group may bring suit as the Nation. All of this was countenanced by the United States Congress in an express grant of authority. To hold that New York's courts are not competent to hear this case flies in the face of the statutory text.

B.

As the majority's analysis suggests, there are two limiting factors potentially implicated by the extension of subject-matter jurisdiction over this case, even if the statutes authorize it. The first is the primacy of the federal government in managing the relationship between the United States and Indian tribes (see *United States v Holliday*, 3 Wall [70 US] 407, 419 [1866]). The second is the quasi-sovereign nature of the tribes, which retain the power to make and enforce their law in matters of local self-government (see *Santa Clara Pueblo v Martinez*, 436 US 49, 55 [1978]). We must determine whether enforcement of the plain statutory text would offend either of those principles.⁴ Not surprisingly, the drafters of the statutes considered the same issues and determined they did not. I

4. Contrary to my dissenting colleague's view, I do not claim that section 233 and Indian Law §§ 5 and 11-a "confer on New York courts the power to adjudicate all civil disputes, among Indians and tribes, irrespective of the resulting interference" with tribal sovereignty (Garcia, J., dissenting op at 302 [internal quotation marks and emphasis omitted]). Plainly, there are circumstances, such as those involved in *Bowen v Doyle* (880 F Supp 99, 118 [WD NY 1995]; n 6, *infra*), in which state-court adjudication would be barred by tribal sovereignty. Instead, I, like Judge Garcia, disagree with the majority's view that it is a per se violation of sovereignty to allow a tribe's leadership to assert claims in court against other members of the tribe contesting their legitimacy. In other words, if a tribe's leadership attempts to eject an intruder, and the intruder claims to be the true leader of the tribe, it does not violate sovereignty to ask whether the leadership's claim has merit. The trial court is within its discretion to determine that it cannot exercise jurisdiction without deciding a question of tribal law committed to the tribe. That is what Justice Bender did in a previous iteration of this case in 2014 (*Cayuga Nation v Jacobs*, 44 Misc 3d 389, 394 [Sup Ct, Seneca County 2014]). But

(n. cont'd)

agree. Examining the legislative history of the relevant statutes shows (1) a clear federal intent to transfer jurisdiction over civil suits brought by tribes in New York to New York State courts; and (2) a desire to open state courts to Indian tribes, should they choose to avail themselves of New York's courts, to grant them the same legal protections enjoyed by every other person in the state.

New York's Indian Law, which has existed in some form since the formation of the state in 1777, saw substantial revision in the years 1943-1958.⁵ The primary impetus came from the Second Circuit's decision in *United States v Forness* (125 F2d 928 [2d Cir 1942]), where the court, finding that Congress had not authorized application of the Civil Practice Act (the forerunner of the modern CPLR) to bar the cancellation of leases for lands on the Allegany Reservation, held: "state law does not apply to the Indians except so far as the United States has given its consent" (*id.* at 932).

The legislature, noting that a "[c]laim has been made from time to time" that New York law was inferior to tribal and federal law, most recently in the *Forness* opinion, established a joint legislative committee to study all aspects of the State's relationship with Indian tribes and to make a report to the full legislature (1944 NY Legis Doc No. 52 at 32-34). The committee held hearings at every reservation in the state and published its findings and recommendations (S Rep 1137, 80th Cong, 2d Sess [1948]). From the beginning, the main concern was that "[g]eneral application of [the *Forness* holding] would largely nullify the New York Indian Law" (1944 NY Legis Doc No. 51 at 4). The committee was particularly concerned about the effects on civil litigation involving Indians because civil courts existed on only two reservations in the state and Indians did not count as citizens of a state other than New York, making it impossible for them to establish diversity of citizenship

where there are sufficient facts to demonstrate that a tribe's proper leadership seeks to assert legitimate claims on the tribe's behalf, section 233 and Indian Law § 5 permit the court to hear the case.

5. Amendments and additions in that period to article 2, the general provisions of the Indian Law, include section 3 (power to contract) (L 1951, ch 572; L 1953, ch 670; L 1956, ch 243; L 1957, ch 624); section 4 (marriage and divorce) (L 1957, ch 229); section 5 (actions in state courts) (L 1953, ch 671); section 5-a (surrender of tribal records) (L 1958, ch 830); section 8 (intrusion on tribal lands) (L 1955, ch 400); section 11-a (recovering possession of reservation land) (L 1958, ch 400); section 17 (guaranteeing voting rights for women in all tribal elections and meetings) (L 1957, ch 425).

for federal jurisdictional purposes in a dispute with another New York Indian (*see* 28 USC § 1332). The committee wrote: “Of necessity, therefore, Indians have litigated most of their civil disputes in the State courts. An extreme application of the *Forness* case doctrine would deprive State courts of jurisdiction over many of these matters” (1944 NY Legis Doc No. 51 at 4).

To address the problems created by *Forness*, the committee drafted two bills that it urged Congress to approve, one clarifying New York’s jurisdiction over criminal offenses involving Indians and their lands, and an analogous bill for civil jurisdiction (1945 NY Legis Doc No. 51 at 3). Senator Hugh Butler of Nebraska, Chair of the US Senate Committee of Interior and Insular Affairs, held hearings on the two bills, which he characterized as having “[t]he unmistakable purpose . . . to fill the void resulting from (1) an almost total lack of tribal or Federal laws of any character applicable to New York reservations, other than the inadequate Federal Ten Major Crimes Law, and (2) literal application of the recent declaration of the” Second Circuit in *Forness* (1948 NY Legis Doc No. 64 at 3 [citation omitted]).

The majority asserts that section 233 was “in no way” an express grant of authority to New York from the federal government (majority op at 293). Congress said just the opposite. The Senate emphasized in its report on the bill that the “United States has never had over [New York Indian lands] any powers except those that were ceded by the State in ratifying the Constitution” (S Rep 1137, 80th Cong, 2d Sess at 2 [1948]). It went on to describe the “peculiar situation” in New York, where the State “has heretofore exercised the usual prerogatives of sovereignty and jurisdiction over these Indians, while the Federal Government to a large extent has not” (*id.*). The problem with *Forness* was that it jeopardized the jurisdiction that New York had always held by requiring federal approval; the solution, in the form of section 233, was to give New York explicit federal approval to continue to exercise jurisdiction. Justice Abe Fortas, then Acting Secretary of the Interior, characterized section 233 and its criminal counterpart explicitly as a “transfer of jurisdiction” from the federal government to New York State (1945 NY Legis Doc No. 51 at 3, 8).

The majority is willfully blind to that federal legislative history. In place of an examination of congressional intent, it offers a naked assertion that section 233 interferes with treaties, but it does not name any or explain the nature of the interfer-

ence. The majority offers that Congress must be clear in transferring jurisdiction by statute, but the text and history of section 233 is clear as day, and the majority offers nothing to undermine it.⁶

The relevant congressional and New York State legislative committees both concluded that New York needed to be assured of jurisdiction over civil disputes involving Indians because, as the joint legislative committee reported, “the State recognizes an obligation to Indians and other citizens, who are neighbors, fellow workmen and school-mates of Indians, to establish certainty and security in their relationships without which there can never be complete harmony and understanding” (1947 NY Legis Doc No. 88 at 13; *accord* S Rep 1137, 80th Cong, 2d Sess at 2 [noting New York’s ongoing commitment to Indians living in the state, via youth education, transportation, sanitation, health, and other social welfare programs, “all without expenses to the Federal Government”]). Passage of the bill ensuring civil jurisdiction in New York courts “would for the first time guarantee all Indians opportunity to adjudicate civil claims against other Indians. In addition it would have the important social significance of establishing Indians on substantially the same footing as other citizens with respect to individual rights and responsibilities” (1949 NY Legis Doc No. 39 at 7). Congress passed the criminal jurisdiction bill in 1948 (Pub L 80-881, 62 US Stat 1224, codified at 25 USC § 232) and

6. The majority cites to *Bowen v Doyle* (880 F Supp 99, 118 [WD NY 1995]) to support its contention that anything that implicates a question of tribal self-government is excluded from section 233’s ambit. That reliance is misplaced. In *Bowen*, an individual sought an injunction to prevent Supreme Court for Erie County from applying Seneca Nation law to determine who should lead the tribe. The federal court held that under section 233, courts could not determine questions of tribal government, finding it significant that “[section] 233 does not provide for State Court jurisdiction over suits *against* the Nation itself” (*Bowen*, 880 F Supp at 118 [emphasis added]). The key distinction is that the underlying cause of action in *Bowen* was a suit against tribal leadership to decide under Seneca law who led the tribe. In contrast, this case is brought by the tribe, in its official capacity, as a plaintiff, sounding in common-law tort, not Seneca law. By declaring it “significant” that section 233 barred suits against the tribe, the *Bowen* court clearly takes as given that section 233 allows for suits brought by the tribe, which would not implicate sovereignty or sovereign immunity. The majority should consider *Bowen*’s conclusion with respect to section 233: “ambiguities in statutes affecting Indian rights must be construed in favor of the Indian tribes” (*id.* at 120) as it uses the case as a sword against the Cayuga Nation, contrary to *Bowen*.

the civil jurisdiction bill in 1950 (Pub L 81-785, 64 US Stat 845, codified at 25 USC § 233).

The purpose of section 233 was to grant Indians and their tribes the equal protection of state courts to vindicate their non-federal rights—rights that could not be adjudicated elsewhere. A tribe could always establish tribal courts, for which provision is specifically made in the State Constitution (NY Const, art VI, § 31). The Cayuga Nation did not then, and does not now, have a tribal court. Given how few of those courts existed, the Department of Interior urged passage of section 233 to remedy the lack of “adequate opportunities for resort to the courts for a redress of wrongs” (S Rep 1836, 81st Cong, 2d Sess at 6 [1950]).⁷ As the majority recognizes, the federal government has a significant interest in encouraging tribal self-sufficiency. Through section 233, Congress explicitly ensured civil jurisdiction to New York courts not to impugn but to ensure fair fora for Indian tribes, if the tribes chose them. Congress believed New York courts were not just competent but uniquely competent to hear these claims, and until today, that confidence was well-placed.

With section 233 in hand, the legislature amended Indian Law § 5 to make clear that, consistent with the new federal law, New York courts were now fully open to hear all civil disputes among Indians and tribes (*see* Atty Gen Mem to Governor, Bill Jacket, L 1953, ch 671 at 4-5).

C.

Among the many problems that Congress and the legislature intended to address with section 233 was the very problem at the root of the dispute here: contested government within tribes. The Interior Department urged the congressional committee to extend state jurisdiction over civil disputes specifi-

7. It is wholly irrelevant whether I am troubled, as the majority charges, by the Cayuga Nation’s lack of tribal courts (majority op at 295-296). It is crucially relevant that Congress and the New York Legislature were troubled, which led them to pass 25 USC § 233 and Indian Law § 5 (*see also* 1944 NY Legis Doc No. 51 at 4). Calling those legislative enactments “paternalistic” may not be accurate, because Congress and the legislature did not force state jurisdiction upon the Nation; they permitted tribes to seek redress in state courts, if they so choose. But even if those statutes were decidedly paternalistic—which various New York tribes asserted in opposition to their passage—no court is entitled to void a statute on the ground that it is “paternalistic” or “assimilationist.” If Congress or the legislature wishes to update statutory laws, they may. We may not.

cally to protect individuals living on lands governed by tribes locked in governance disputes, such as the St. Regis and Tonawanda tribes. In those tribes, “rump” organizations claiming to be “the true tribal governing body” had undermined the authority of the recognized tribal governments, destroying “any semblance of tribal authority” (S Rep 1836, 81st Cong, 2d Sess at 5 [1950]). Section 233 would help, the Department said, by opening the state courts so that Indians and tribes would have “means of protecting or enforcing any rights they may have” (*id.*).

The committee’s interest in the St. Regis tribe’s dispute is particularly noteworthy for two reasons. First, the nature of the dispute is strikingly similar to the present dispute in the Cayuga Nation. From the 1880s through the 1940s, the titular leadership of the St. Regis tribe had been elected by a system opposed by a subgroup of the tribe, called the “Council of Life Chiefs.” The Council of Life Chiefs believed that elections were antithetical to the traditional decision-making practices of the tribe (*see* William A. Starna, *The Repeal of Article 8: Law, Government, and Cultural Politics at Akwesasne*, 18 Am Indian L Rev 297, 302-306 [1993]).⁸

Second, the St. Regis tribe’s leadership dispute was a motivating factor to the legislature in adopting Indian Law § 11-a, just as it had been to Congress for section 233. Section 11-a, passed five years after section 5 was amended to match section 233, ensures jurisdiction of the state courts over actions brought by Indian tribes to recover lands unlawfully occupied by others. The law supplemented Indian Law § 11 (L 1909, ch 31), that allows the District Attorney of the relevant county to bring an action “against any person other than an Indian, trespassing upon tribal lands.” The Assembly sponsor in his memorandum of support stated that section 11-a was “another suggestion of the St. Regis chiefs” (Sponsor’s Mem in Support, Bill Jacket, L 1958, ch 400 at 5). The St. Regis chiefs had complained that section 11 allowed only for actions “against any person other than an Indian trespassing upon tribal lands” and that “the district attorney is too busy with other duties to pay enough attention to complaints of this kind” (*id.*). To resolve the dispute, the legislature adopted section

8. A judge of the Surrogate’s Court referred the Council’s claim as a “coup d’etat” in upholding the authority of the leadership group chosen by the tribe’s electoral process (*Matter of Terrance’s Estate*, 32 NYS2d 540, 547 [Sur Ct, Franklin County 1942]).

11-a to give tribes the explicit authority to bring a suit against all intruders, whether Indian or not, which was impossible under section 11.

To put as fine a point on this legislative history as possible: Indian Law § 11-a was passed by the legislature at the request of a tribe's leadership whose election was contested by a faction of the tribe that insisted the election was out of step with traditional practices. The purpose of the law was to supplement the existing law to make sure that tribes could bring suits in their tribal capacity to recover land that was unlawfully occupied by others, including when those others were other members of the tribe. That is precisely what the Cayuga Nation is doing here.

Given the text and historical background of these statutes, when the majority holds that the New York courts do not possess subject-matter jurisdiction to hear the Cayuga Nation's case, it is rewriting the text, purpose, and history of the laws of the State and of the United States.

D.

Charitably put, the legislative history cited above is, like many such historical materials, racially tinged and paternalistic. For instance, in Director Crocker's letter, he opined that the "only impartial court" to an Indian at odds with the ruling faction of a tribe is the "white man's court" (Letter from J.D. Crocker, Director of Indian Services, Mar. 17, 1953, Bill Jacket, L 1953, ch 671 at 3). The joint legislative committee in its 1947 report cited the language of *New York ex rel. Cutler v Dibble* (21 How [62 US] 366, 370 [1859]): "New York had the power of a sovereign over their persons and property, so far as it was necessary to preserve the peace of the Commonwealth, and protect these feeble and helpless bands from imposition and intrusion," written by Justice Grier just two years after he joined the majority of *Dred Scott v Sandford* (19 How [60 US] 393 [1857]).

The policy goal of these statutes, to open New York courts to Indians and tribes, was strenuously opposed by tribes at the time. The Tonawanda Nation commented that the proposed legislation was a "millstone about the Indian's neck" (1948 NY Legis Doc No. 88 at 11). Hattie Halftown herself, appearing before the US House Committee as it considered Senate Bill 192 (now section 233) was blunter, accusing the committee of an attempt to abolish Indian tribes, and asking "Why do they

not leave us alone?” because “they are not helping us at all” (Hearing on S 192, 81st Cong, July 11, 1950 at 12-13). The committee’s response was to assure the tribes of the federal government’s sincerity that it intended Indians “to be treated as equals of the white man” (1948 NY Legis Doc No. 88 at 12-13). That the committee would not put the proposals to a vote of Indians was “not meant to imply that New York Indians are deficient in intelligence” but only that it was impossible because of “the prejudices and misconceptions that confuse so many minds” (*id.*).

Despite the cursed history that haunts all precedents concerning the legal fate of Native Americans, we are left to apply the statutes as they have come to us. To deny a tribe the ability to vindicate its rights in court when the United States and New York have expressly granted it perpetuates the terrible legacy of American Indian policy under the thin veil of quasi-sovereignty.

II.

The majority assumes without deciding the answer to the most difficult question before the courts in this matter: is there enough evidence in the record to support a finding that the Halftown Group has the authority to bring a lawsuit on behalf of the Cayuga Nation? (Majority op at 296.) The statutory scheme is clear that if the answer is yes, then the suit can be maintained in state court. The evidentiary question is one that Supreme Court must answer in order to determine if the court has subject-matter jurisdiction under Indian Law §§ 5 and 11-a. Justice Bender answered in the negative in 2014 (*Cayuga Nation v Jacobs*, 44 Misc 3d 389, 394 [Sup Ct, Seneca County 2014]) and in the affirmative in 2017 (*Cayuga Nation v Campbell*, 2017 NY Slip Op 31881[U], *3 [Sup Ct, Seneca County, Sept. 8, 2017]). The two decisions, though conflicting, were reasonable given the evidentiary record before him.

In 2014, Supreme Court considered the evidence before it and determined that “the preliminary question in the case” had not yet been answered (44 Misc 3d at 394). In other words, were there sufficient evidence that the plaintiff faction had a legitimate claim to maintain a suit on behalf of the Nation, the court would have jurisdiction. In 2017, there was new evidence as a result of the BIA’s factual determination in the matter, whose conclusions were affirmed by the Assistant Secretary of the Interior for Indian Affairs and, in light of an Administra-

tive Procedure Act challenge, by the U.S. District Court in *Cayuga Nation v Bernhardt* (374 F Supp 3d 1 [D DC 2019]). Justice Bender did not “accord due deference” to the BIA’s determination of law, as the Appellate Division did (163 AD3d 1500, 1504 [4th Dept 2018]). I agree with the majority that the BIA’s decision cannot and should not apply broadly when the agency explicitly acted only insofar as it was necessary to determine to whom payments should be made under the Indian Self-Determination and Education Assistance Act, which was the extent of its authority in the matter (majority op at 297-298; see *Cayuga Nation v Eastern Regional Director, Bur. of Indian Affairs*, US Dept of Interior, Michael S. Black, Assistant Secretary, Indian Affairs, July 13, 2017 op at 12; record on appeal at 65). Rather, Justice Bender acted within his authority to determine, based on the record, whether the Halftown Group had the authority to initiate this lawsuit on behalf of the Cayuga Nation. The majority assumes so, and I agree with Justice Bender that it does.

As Supreme Court noted, the question before it was analogous to the question before the Second Circuit in *Cayuga Nation v Tanner* (824 F3d 321 [2d Cir 2016]): could the court competently assert its subject-matter jurisdiction over a tribe, suing as a plaintiff in its official capacity, when another group contested its ability to assert claims on behalf of the tribe? The *Tanner* court held that finding sufficient evidence that the Halftown Group was authorized to bring a suit on behalf of the tribe, and thereby within the subject-matter jurisdiction of the court, was not the same as resolving a tribal dispute, which the federal courts are not permitted to do (*id.* at 328). The court looked to the BIA’s decision and reasoning as evidence to consider, holding that it was “entitled to defer” to the BIA’s determination in order to evaluate whether the proper litigants brought the case, not that it was required to (*id.* at 330).

Just as the federal courts have subject-matter jurisdiction to hear disputes arising under federal statutes like the Indian Gaming Regulatory Act (25 USC §§ 2701-2721) at issue in *Tanner*, New York courts have subject-matter jurisdiction to hear claims arising under state law, including common-law torts, pursuant to section 233 and Indian Law § 5. As the Second Circuit recognized, tribes have rights as a matter of tribal law, and non-tribal courts cannot disturb those rights. But tribes also have rights under federal law and under state law, and “rendering the tribe helpless to defend its rights in court”

because of a question of tribal law on which the court may have no opinion is “disastrous for the tribe’s rights” (*Tanner*, 824 F3d at 328). Settling tribal law is an interest for the tribe. The State has an interest in maintaining a forum for the tribe to vindicate its rights under state law, if the sovereign tribe so chooses. Just as the *Tanner* court could consider facts to establish its own jurisdiction to resolve questions of federal law without resolving any questions of tribal law, we can determine if the Cayuga Nation has properly come before the court to adjudicate its claims under state law.

In *Tanner*, the issue before the court was the Nation’s right to operate a bingo parlor; here it is the possession and operation of other properties, including a building that serves as headquarters, and commercial properties including a gas station and a convenience store. In both cases, the federal government and the State have certain interests in the properties but cannot decide every interest. The same can be said of nearly every property in the state that is subject to both law and private agreements. For example, New York can enforce its zoning laws over my house, even if it cannot disturb the negotiated terms under which I bought the house. The Cayuga Nation’s land is subject to certain tribal laws, and it is subject to some of the State’s public laws. Just because the state courts cannot hear cases about the tribal laws encumbering the Nation’s property does not mean it cannot hear any suit that concerns the Nation’s property. The existence of non-justiciable tribal claims does not defeat all justiciable state tort claims, especially when federal and state laws explicitly authorize them.

To evaluate the propriety of its jurisdiction, any court must evaluate whether the proper litigant is before it.⁹ That is what the *Tanner* court did, and that is what Justice Bender did. Making that determination does not infringe on sovereignty; it

9. The issue on this appeal is the subject-matter jurisdiction of the New York courts. We are bound by the Constitution and by statutes, not by the arguments of the litigants, contrary to the majority’s suggestion (*see* majority op at 293). The Court may consider or raise the issue of its own jurisdiction at any time, even on its own motion (*see e.g.* Rules of Prac of Ct of Appeals [22 NYCRR] § 500.10). Indeed, in 2018, the Court dismissed 53 appeals sua sponte for lack of jurisdiction. The issue of the Court’s jurisdiction is always properly before the Court and “cannot be changed or enlarged by the stipulation of parties” (*Hoes v Edison Gen. Elec. Co.*, 150 NY 87, 89 [1896]). The parties cannot alter our jurisdiction acting together by stipulation, and they certainly cannot alter it acting alone by choosing which arguments to make before us.

accepts the Cayuga Nation, in its sovereign status, as a proper litigant before the court. If the Nation decided tomorrow that the Jacobs Council rather than the Halftown Council was its proper leader, the court would not be obliged to dismiss the case unless the Nation chose to, because it is the Nation in court. It is up to the Nation to determine who leads it; but the legislature requires the New York courts to hear the Nation's state law claims, just as the federal courts must hear its claims under federal law.

The *Tanner* court rejected the argument that “the possibility that Halftown’s actions run contrary to tribal law requires dismissal of this lawsuit” because “[s]uch a conclusion would again lead to an untenable result: tribes could be thrown out of federal court by the mere suggestion that the individual or group of individuals initiating litigation on behalf of the tribe had overstepped their tribal authority” (*id.* at 330).¹⁰ Unfortunately, that is precisely the result that the majority now reaches.

According to the majority, the problem is not that Supreme Court erroneously found the Halftown Group’s evidence of its leadership claim to be sufficient. The majority instead holds that Supreme Court is not competent to adjudicate a tribe’s claim against any person or faction claiming to be the tribe’s lawful representative. There is no room in that logic for a court to find that tribal leadership is properly established, no matter how spurious the competing claim is. If I, a person with no claim to Indian heritage or tribal membership, took over a tribe’s headquarters by force, claiming to be its rightful leader, no state court would have jurisdiction to eject me under the majority’s position. Neither would any federal court, nor would any tribal court, except for the few places where such courts exist. The result for that tribe (and the communities around it) could be chaos or worse. That result does not respect the sovereignty of tribes; it denies them basic legal protection that is available to everyone else, and has been made available to them, after years of legislative study and deliberation, by multiple federal and state statutes.

10. Ultimately, the *Tanner* court opted to defer to the BIA’s position because the case concerned the preemptive effect of another federal law, the Indian Gaming Regulatory Act. The *Tanner* court’s analysis of its subject-matter jurisdiction in the face of the Jacobs Group’s leadership claim is germane to the issue of subject-matter jurisdiction under the relevant New York statutes and section 233, even though the issue of deference on a question of federal law in federal court is not.

The majority rests its conclusion on the “Nation’s fundamental and exclusive right to sovereignty” (majority op at 299), ignoring the fact that it was the Cayuga Nation, as the Nation, which brought the dispute to state court and asked for the protection of state law. The Cayuga Nation has the sovereign right to settle this dispute internally. But it also has the right to seek redress in New York courts. Now, the majority deprives them of the rights all other New Yorkers have, claiming that this Court is in a better position than the Cayuga Nation to decide what is best for Cayuga sovereignty.

III.

The majority arrives at a result that is completely at odds with the federal and New York statutes, including their clear legislative history, by clipping sound bites from United States Supreme Court decisions that are irrelevant or contrary to the propositions for which the majority cites them. The majority begins its discussion by quoting dicta from *Iowa Mut. Ins. Co. v LaPlante* (480 US 9, 15 [1987]): “[i]f state-court jurisdiction over Indians or activities on Indian lands would interfere with tribal sovereignty and self-government, the state courts are generally divested of jurisdiction as a matter of federal law.” But *LaPlante* did not involve a situation in which Congress had authorized the courts of a state to act; the tribe involved in *LaPlante* had a tribal court (unlike the Cayuga Nation); and *LaPlante*’s holding is that the federal court, sitting in diversity, *possessed jurisdiction*, but needed to wait for the defendant insurance company to exhaust its remedies in the tribal court first. Thus, the Ninth Circuit “should not have affirmed the District Court’s dismissal for lack of subject-matter jurisdiction” (*id.* at 19-20). *National Farmers Union Ins. Cos. v Crow Tribe* (471 US 845, 856-857 [1985]) is to the same effect, holding that the “federal court [should] stay[] its hand until after the Tribal Court has had a full opportunity to determine its own jurisdiction”—not that the federal court lacked jurisdiction. It is precisely because Congress and the New York Legislature recognized that all but two New York tribes lacked tribal courts that section 233 and the successive state legislation was passed.

The majority next moves to *New Mexico v Mescalero Apache Tribe* (462 US 324, 334 [1983]) and *McClanahan v Arizona Tax Comm’n* (411 US 164 [1973]). But the holding of the former is that New Mexico’s regulation of hunting and fishing conflicted

with the joint *federal* and tribal regulatory scheme;¹¹ the latter case cites *Mescalero* for the proposition that “the trend has been away from the idea of inherent Indian sovereignty as a bar to state jurisdiction and toward reliance on federal preemption” (411 US at 171-172). Here, there is no federal preemption of state authority; indeed, Congress specifically enacted section 233 to reverse the preemption of New York’s jurisdiction caused by the *Forness* case.

Without paying attention to their holdings, the majority relies on *Bryan v Itasca County* (426 US 373 [1976]) and *United States v Dion* (476 US 734 [1986]) as supporting its conclusion that section 233 does not grant authority to New York courts to adjudicate the claim at issue here. In *Bryan*, the Supreme Court held that the grant of civil jurisdiction to Minnesota found in 28 USC § 1360 did not authorize the state to levy a personal property tax on the mobile home of a Chippewa Tribe member located “on land held in trust by the United States for the Chippewa Tribe on the Leech Lake Reservation in Minnesota” (426 US at 375). The Court reasoned that “the total absence of mention or discussion regarding a congressional intent to confer upon the States an authority to tax Indians or Indian property on reservations” in the legislative history was “[o]f special significance” because “some mention would normally be expected if such a sweeping change in the status of tribal government and the reservation Indians had been contemplated by Congress” (426 US at 381). The Court further noted that the “only mention of taxation” in the legislative history was a colloquy in which the Chief Counsel for the Bureau of Indian Affairs assured Congressman Young that Indians would not pay state taxes even though the extension of civil jurisdiction would impose costs on the states (*id.* at 381-383).

The majority also omits to mention the Supreme Court’s explanation that 28 USC § 1360—which, unlike section 233, had a “sparse legislative history”—“seems to have been primarily intended to redress the lack of adequate Indian forums for resolving private legal disputes between reservation Indians, and between Indians and other private citizens, by permitting the courts of the States to decide such disputes” (*id.* at 383). The Court further explained that Indian tribes with

11. The same is true of *White Mountain Apache Tribe v Bracker* (448 US 136, 143-144, 148 [1980]), which held that the *federal* regulation of timbering activities on reservation land was pervasive, so that Arizona’s attempt to levy fuel taxes on logging on reservation land was preempted.

tribal courts were “completely exempted” from state-court jurisdiction because “Congress plainly meant only to allow state courts to decide criminal and civil matters arising on reservations not so organized” (*id.* at 385-386). Thus, *Bryan* holds that even though 28 USC § 1360 provides a general grant of civil jurisdiction over tribes lacking tribal courts, it cannot be read to grant Minnesota the power to tax Indian-owned property on reservation land, particularly in view of the long-standing lack of authority states had to levy such taxes. Here, by contrast, the grant of authority to New York is supported by the text and history of section 233.

The majority likewise neglects any analysis of *Dion* or its holding; that case cuts against it. Under an 1858 treaty, the Yankton Sioux tribe of South Dakota had the right to hunt bald and golden eagles within their reservation lands for noncommercial purposes. A member of the tribe was convicted of shooting four bald eagles on reservation land, in violation of the Eagle Protection Act (16 USC § 668). The Supreme Court upheld his conviction, holding that the Eagle Protection Act’s provision authorizing the Secretary of the Interior to permit the taking, possession and transportation of eagles for religious purposes abrogated the Yankton’s treaty rights, even though (1) the act made no mention of the treaty rights of the Yanktons or any other tribe; and (2) the legislative history showed that the exception was created with regard to the “Hopi, Zuni, and several of the Pueblo groups of Indians in the Southwest”—not tribes in the Dakotas (476 US at 741). Thus, a perfectly plausible reading of the Eagle Protection Act was to permit tribes without treaty rights, such as the Pueblo and Zuni, to continue to hunt eagles upon approval of the Secretary of the Interior, but to leave the tribes with treaty rights unaffected. Nevertheless, the Supreme Court concluded that the Eagle Protection Act was sufficiently specific to extinguish the Yanktons’ treaty rights without expressly acknowledging them. In contrast, section 233 and the companion New York legislation, together with the legislative history of those statutes, is pointedly specific: those statutes were enacted to permit New York Indians, including Indian tribes, to avail themselves of the courts of the state to the same extent as all others.

I come then to *Williams v Lee* (358 US 217, 221 [1959]), which the majority quotes as stating, “when Congress has wished the States to exercise . . . power [to assume jurisdiction over Indian affairs that take place on the Indian reservation] it has

expressly granted them th[is] jurisdiction” (majority op at 292 [alterations by majority]). However, the very example given by the Supreme Court of an express grant of state jurisdiction comes in the footnote attached to the majority’s quote: “See, *e. g.*, 62 Stat. 1224, 64 Stat. 845, 25 U. S. C. §§ 232, 233 (1952) (*granting broad civil and criminal jurisdiction to New York*)” (358 US at 221 n 6 [emphasis added]). It could hardly be clearer then that the Supreme Court views section 233 as the paradigmatic “broad grant” of civil jurisdiction—to the courts of New York.

The Court of Appeals cases cited by the majority do not advance its position. I agree with the majority that *Matter of Spota v Jackson* (10 NY3d 46 [2008]) is instructive, particularly its first two sentences: “The question before us is whether Indian Law § 8 granted the County Court the discretion to determine, *independent of the Indian nation*, that respondent . . . was not an ‘intruder’ upon tribal land. We conclude that the court did not have that discretion” (*id.* at 47 [emphasis added]). We held that disagreeing with the tribe’s determination of who is an intruder was “inconsistent with the sovereignty retained by the tribes” and so we sided with the tribe and *granted the expulsion* (*id.* at 53). Today’s majority does the opposite, siding against the tribe with the alleged intruders. The majority substitutes its own judgment for that of the Cayuga Nation, which is suing in its sovereign capacity to remove people whom it has identified as intruders. If anything, the majority has overruled *Spota* or at least made it inoperable if the purported “intruder” merely claims to have authority to lead the tribe.

In *Matter of Patterson v Seneca Nation* (245 NY 433 [1927]), we also sided with the tribe, not the outsiders, in determining who was rightfully a member of the tribe. In *Patterson*, the Seneca Nation was brought into court as a defendant by a person who claimed he was improperly denied enrollment as a member of the Seneca Nation and sought a mandamus order to compel the Nation to enroll him. We held that under Indian Law § 5,¹² “it cannot be understood that the Legislature intended to include within the phrase ‘any demand or right of action’ mandamus orders, the essential nature of which is to ‘command,’ not to ‘demand’ ” (*id.* at 446). Here, it is the Cayuga

12. As it existed in 1927, before the amendments post-enactment of section 233.

Nation that has availed itself of the state courts, seeking to “demand” not “command.”

Patterson was also decided on a statutory basis that was later expressly changed to grant the state courts jurisdiction, because of section 233. The *Patterson* court held that the Seneca Constitution, acknowledged in article 4 of the Indian Law by the legislature, had committed all actions between Seneca Indians arising on its reservation to its peacemaker courts (*id.*). That was important because section 5, at the time, read: “Any demand or right of action, *jurisdiction of which is not conferred upon a peacemakers’ court*, may be prosecuted and enforced in any court of the state, the same as if all the parties thereto were citizens” (L 1909, ch 31 [emphasis added]). Twenty-six years after *Patterson*, in the post-section 233 amendments to Indian Law § 5, the language about peacemakers courts was struck because Congress had granted concurrent jurisdiction over all such matters to state court by passing section 233 (Atty Gen Mem to Governor, Bill Jacket, L 1953, ch 671 at 4-5; Letter from J.D. Crocker, Director of Indian Services, Mar. 17, 1953, Bill Jacket, L 1953, ch 671 at 3 [“The instant bills provide for concurrent jurisdiction of state and peacemaker courts in such actions and conform the language of section five of the state Indian law to the federal Civil Jurisdiction Act (Title 25 USCA 233)”]). The Seneca Nation petitioned the Governor to veto the 1953 amendments to section 5. They claimed the new law would “nullify” Seneca courts and wanted the Governor not to accept the powers granted to the State in section 233, which they also opposed on the same grounds (Letter from Robert P. Galloway on Behalf of Seneca Nation, Mar. 23, 1953, Bill Jacket, L 1953, ch 671 at 6). The Governor signed the bill over those objections, which is now Indian Law § 5.

Thus, *Patterson* held that tribes could not be brought into court under section 5 because (1) they could only avail themselves of state court as plaintiffs, they could not be brought in as defendants; and (2) the statute textually committed jurisdiction in such matters to the courts of the Seneca Nation. But that provision was later struck from the statute because of section 233, which both the Governor and the Seneca Nation understood to transfer jurisdiction to the state courts. All of this is a strong argument in favor of jurisdiction over a tribe who sues as a plaintiff in court under the amended section 5, which is the case at bar.

IV.

At bottom, the majority's position is this: when Congress delegated civil jurisdiction over Indians to the New York courts, it did so in a paternalistic, assimilationist fervor, now abandoned. Therefore, we should not interpret section 233 as it was intended by Congress, and not read the follow-on New York legislation as our legislature intended it, because doing so would better comport with today's emphasis on tribal sovereignty. Of course, allowing Indian tribes lacking tribal courts access to New York's courts hardly seems assimilationist. In addition, the very Supreme Court cases relied on by the majority say that the modern conception of tribal authority has moved from one of sovereignty to one of federal preemption. But even if section 233 and Indian Law §§ 5 and 11-a were widely recognized as inconsistent with the federal government's (or New York's) current Indian policy, it is not our job to say so. Through a dicta-lite version of jurisdictional analysis, the majority has transformed itself into a legislative body, overruling duly-enacted federal and New York legislation on its view that those statutes have outlived whatever misguided purposes they may once have had. That is not our job.

Our job is to treat the plaintiff—the Cayuga Nation—as we would any other civil litigant claiming a right to property. The majority concludes that the Halftown Group has the legal authority to bring this lawsuit on behalf of the Cayuga Nation. If so, all relevant statutes, legislative history and case law say that New York courts may adjudicate this claim. To be sure, the resolution of that dispute will leave the property in the hands of one group or the other, but that determination would not in any way bar the Nation from selecting whomever it wishes as its leaders, now or later. New York courts are supposed to be open to Indians and their tribes if they choose to come to them. Today the majority throws the Cayuga Nation out of court against its will, and with it, statutory law that is clear in its text, purpose, and history.

Chief Judge DiFIORE and Judges RIVERA and STEIN concur; Judge GARCIA dissents in an opinion; Judge WILSON dissents in a separate dissenting opinion; Judge FAHEY taking no part.

Order reversed, with costs, defendants-appellants' motion to dismiss the complaint granted and certified question answered in the negative.

[140 NE3d 511, 117 NYS3d 137]

DEUTSCHE BANK NATIONAL TRUST COMPANY, as Trustee of the SECURITIZED ASSET BACKED RECEIVABLES LLC TRUST 2007-BR1 (SABR 2007-BR1), Appellant, v BARCLAYS BANK PLC, Respondent.

DEUTSCHE BANK NATIONAL TRUST COMPANY, as Trustee for HSI ASSET SECURITIZATION CORPORATION TRUST 2007-NC1, Appellant, v HSBC BANK USA, NATIONAL ASSOCIATION, Respondent.

Argued October 17, 2019; decided November 25, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 5, 2017. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Marcy S. Friedman, J.; op 2015 NY Slip Op 32252[U] [2015]), which, to the extent appealed from as limited by the briefs, had denied, in each action, the separate motions of defendant Barclays Bank PLC and of defendant HSBC Bank USA, National Association, to dismiss the cause of action for breach of contract on the ground of the statute of limitations; and (2) granted the motions.

Deutsche Bank Natl. Trust Co. v Barclays Bank PLC, 156 AD3d 401, affirmed.

HEADNOTES

Limitation of Actions — What Statute Governs — Borrowing Statute — Where Cause of Action Accrues

1. A cause of action accrues for purposes of CPLR 202, New York's borrowing statute, in the place where the economic injury was sustained, which is usually where the plaintiff resides. Applying a multifactor analysis, rather than the plaintiff-residence rule, to determine the place of accrual would result in unpredictability and confusion. Among the goals of CPLR 202 is the prevention of forum shopping and uniformity. A multifactor test would require courts to apply different factors in different cases, and courts could afford different weight to the same factors based on different circumstances, possibly generating inconsistent outcomes. Another important purpose of CPLR 202 is to add clarity to the law and to provide the certainty of uniform application to litigants, a goal which would not be served by an amorphous factor analysis.

Limitation of Actions — What Statute Governs — Borrowing Statute — Where Cause of Action Accrues — Plaintiff-Residence Rule

2. Plaintiff nonresident trustee's causes of action for breach of contract involving two residential mortgage-backed securities trusts created pursuant

to New York law brought on behalf of the certificateholders accrued for purposes of CPLR 202 in California, plaintiff's place of residence. Under the plaintiff-residence rule, when an alleged injury is purely economic, the place of injury usually is where the plaintiff resides and sustains the economic impact of the loss. The parties agreed that the residence of the certificateholders did not provide a workable basis for determining the place of economic injury, inasmuch as the certificateholders were geographically scattered. Furthermore, although the certificateholders may have suffered concrete economic injury due to defendants' alleged breaches, plaintiff was suing solely in its capacity as the trustee on behalf of the trusts for alleged breach of contract, and the parties agreed that certificateholders may have their own, separate claims. As trustee, plaintiff was authorized to enforce, on behalf of the certificateholders, the representations and warranties in the relevant agreements. Accordingly, it was appropriate to look to plaintiff's residence as the place where the economic injury was sustained and, consequently, where plaintiff's causes of action accrued for purposes of CPLR 202. Application of the plaintiff-residence rule supported CPLR 202's goal of predictability and certainty of uniform application to litigants, especially considering that these were representative actions commenced by a trustee for the benefit of numerous, geographically-dispersed beneficiaries.

Limitation of Actions — What Statute Governs — Borrowing Statute — New York Substantive Choice of Law Provision

3. The breach of contract actions involving two residential mortgage-backed securities trusts created pursuant to New York law brought on behalf of the certificateholders and which accrued in California, plaintiff trustee's place of residence, were untimely pursuant to CPLR 202, New York's borrowing statute, as they were not commenced within California's four-year limitations period. CPLR 202 provides that when a nonresident sues on a cause of action accruing outside New York, the cause of action must be timely under the limitation periods of both New York and the jurisdiction where the cause of action accrued. To the extent plaintiff sought to apply California common law to interpret the agreements, the parties included in their contracts a New York substantive choice-of-law provision, making it clear that contractual language was to be interpreted pursuant to New York law. In any event, in both New York and California, a breach of contract cause of action generally accrues upon the breach. None of the relevant agreements expressly waived or extended the statute of limitations and, under California law, plaintiff's demand that defendants comply with the cure or repurchase protocol did not delay accrual because plaintiff could have made that demand at any time after closing. Moreover, California law requires a demand to be made within a reasonable time, which is generally considered to be at least within the statutory period of limitations. Plaintiff did not demand that defendants comply with the cure or repurchase protocol until more than four years after closing. Finally, California's discovery rule was inapplicable because plaintiff knew or should have known of the wrongful conduct at issue more than four years before plaintiff commenced the actions.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Conflict of Laws §§ 78, 89; AM JUR 2d Limitation of Actions §§ 88–91.

CARMODY-WAIT 2d Limitation of Actions §§ 13:16, 13:17, 13:41–13:43, 13:137.

McKINNEY'S, CPLR 202.

NY JUR 2d Conflict of Laws §§ 30, 31, 35; NY JUR 2d Limitations and Laches §§ 19–23, 142.

SIEGEL, NY PRAC §§ 39, 57.

WILLISTON ON CONTRACTS (4th ed) §§ 19:6, 79:14.

ANNOTATION REFERENCE

See ALR Index under Borrowing Statute; Conflict of Laws; Limitation of Actions.

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POINTS OF COUNSEL

Ropes & Gray LLP, New York City (*Douglas H. Hallward-Driemeier*, of the Massachusetts bar and the District of Columbia bar, admitted pro hac vice, *Daniel V. Ward*, of the Massachusetts bar, admitted pro hac vice, *Heather T. Sprague*, of the Massachusetts bar, admitted pro hac vice, and *David B. Hennes* of counsel), and *Friedman Kaplan Seiler & Adelman LLP*, New York City (*Robert S. Smith* of counsel), for appellant.

I. New York's six-year statute of limitations applies because the trustee's claims accrued in New York for purposes of CPLR 202. (*Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Lang v Paine, Webber, Jackson & Curtis, Inc.*, 582 F Supp 1421; *Korn v Merrill*, 403 F Supp 377, 538 F2d 310; *NECA-IBEW Health & Welfare Fund v Goldman Sachs & Co.*, 693 F3d 145; *Maiden v Biehl*, 582 F Supp 1209; *Islamic Republic of Iran v Pahlavi*, 62 NY2d 474; *Benn v Benn*, 82 AD3d 548; *Portfolio Recovery Assoc., LLC v King*, 14 NY3d 410; *2138747 Ontario, Inc. v Samsung C&T Corp.*, 31 NY3d 372.)

II. Even if California law governs the timeliness of the actions, the actions were brought before “the expiration of the time limited by the laws” of California. (*Antone v General Motors Corp., Buick Motor Div.*, 64 NY2d 20; *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Ledwith v Sears, Roebuck & Co.*, 231 AD2d 17.)

Williams & Connolly LLP, New York City (*Nicholas J. Boyle* and *David Randall J. Riskin* of counsel), and *Mayer Brown LLP*, New York City (*Michael O. Ware* of counsel), for HSBC Bank USA, National Association, respondent. I. The Appellate Division, First Department correctly found that Deutsche Bank National Trust Company's claim accrued in California. (*Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525; *Maiden v Biehl*, 582 F Supp 1209; *Portfolio Recovery Assoc., LLC v King*, 14 NY3d 410; *Insurance Co. of N. Am. v ABB Power Generation*, 91 NY2d 180; *Ling Ling Yung v County of Nassau*, 77 NY2d 568; *Henning v Rando Mach. Corp.*, 207 AD2d 106; *Berardino v Ochlan*, 2 AD3d 556; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *MRI Broadway Rental v United States Min. Prods. Co.*, 92 NY2d 421; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399.) II. The Appellate Division, First Department correctly held that California's statute of limitations bars Deutsche Bank National Trust Company's claim. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Matsumoto v Republic Ins. Co.*, 792 F2d 869; *CIH Intl. Holdings, LLC v BT United States, LLC*, 821 F Supp 2d 604; *Warth v Greif*, 121 App Div 434, 193 NY 661.)

Sullivan & Cromwell LLP, New York City (*Jeffrey T. Scott*, *Jonathan M. Sedlak*, *Andrew H. Reynard*, *Colin A. Chazen* and *Mary C. Erler* of counsel), and *Harris Beach PLLC*, Albany (*Victoria A. Graffeo* of counsel), for Barclays Bank, PLC, respondent. I. The Appellate Division, First Department correctly held that under *Global Fin. Corp. v Triarc Corp.* (93 NY2d 525 [1999]), Deutsche Bank National Trust Company's claims accrued at its residence in California. (*Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525; *Norex Petroleum Ltd. v Blavatnik*, 23 NY3d 665; *Insurance Co. of N. Am. v ABB Power Generation*, 91 NY2d 180; *Lang v Paine, Webber, Jackson & Curtis, Inc.*, 582 F Supp 1421; *Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts.*, 32 NY3d 139; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Henning v Rando Mach. Corp.*, 207 AD2d 106; *Maiden v Biehl*, 582 F Supp 1209; *IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.*, 20 NY3d 310.) II. The Appellate Division, First Department correctly concluded that Deutsche Bank National Trust Company's claims accrued in California even under the multifactor test in *Maiden v Biehl* (582 F Supp 1209 [SD NY 1984]). (*Insurance Co. of N. Am. v ABB Power Generation*, 91

NY2d 180; *Portfolio Recovery Assoc., LLC v King*, 14 NY3d 410; 2002 *Lawrence R. Buchalter Alaska Trust v Philadelphia Fin. Life Assur. Co.*, 96 F Supp 3d 182.) III. Deutsche Bank National Trust Company's claims are time-barred under California's applicable four-year limitations period. (*Welsbach Elec. Corp. v MasTec N. Am., Inc.*, 7 NY3d 624; 2138747 *Ontario, Inc. v Samsung C&T Corp.*, 31 NY3d 372; *Tanges v Heidelberg N. Am.*, 93 NY2d 48; *Ministers & Missionaries Benefit Bd. v Snow*, 26 NY3d 466; *Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts.*, 32 NY3d 139; *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193; *GML, Inc. v Cinque & Cinque, P.C.*, 9 NY3d 949; *Antone v General Motors Corp., Buick Motor Div.*, 64 NY2d 20; *People v Credit Suisse Sec. [USA] LLC*, 31 NY3d 622; *Guggenheimer v Ginzburg*, 43 NY2d 268.)

OPINION OF THE COURT

FAHEY, J.

New York State is a national and international leader in commerce. As a result, large numbers of contracting parties in the United States include New York choice-of-law and forum selection clauses in their contracts.¹ This fact amplifies the effect of every decision made by this Court in the area of contract law.

Here, plaintiff asks us to apply a multifactor analysis to determine that its causes of action accrued in New York for purposes of CPLR 202. We decline to apply such a test, and instead rely on our general rule that when an economic injury has occurred, the place of injury is usually where the plaintiff resides. We further conclude that plaintiff's causes of action accrued in California, and that its actions are untimely pursuant to CPLR 202.

I.

These appeals stem from two residential mortgage-backed securities (RMBS) transactions. As we explained in *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.* (25 NY3d 581 [2015] [hereinafter *ACE*]), an RMBS transaction involves the bundling of mortgage loans into a pool that is sold to an affiliated purchaser, which then

1. See Theodore Eisenberg & Geoffrey P. Miller, *The Flight to New York: An Empirical Study of Choice of Law and Choice of Forum Clauses in Publicly-Held Companies' Contracts*, 30 Cardozo L Rev 1475 (2009).

places the loans into a trust for securitization purposes (*see id.* at 590; *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572, 577-578 [2017]). The trust then issues certificates that are purchased by investors, or certificateholders (*see ACE*, 25 NY3d at 590). “The individual mortgage loans served as collateral for the certificates, which paid principal and interest to certificateholders from the cash flow generated by the mortgage loan pool; that is, certificateholders made money when the borrowers made payments on their loans” (*id.*). High default rates by borrowers led to the collapse of the subprime housing market, a primary factor in the ensuing precipitous market decline and recession.

In each of the two transactions at issue, plaintiff Deutsche Bank National Trust Company is the trustee for the RMBS trust. The relevant contracts in each transaction contained the familiar cure-or-repurchase provisions (*see Nomura*, 30 NY3d at 579-581; *ACE*, 25 NY3d at 590), and the contracts at issue in the Barclays action contained an “accrual clause” substantially similar to the one we addressed in *Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts.* (32 NY3d 139, 144-145 [2018]).

Plaintiff commenced the first action against defendant Barclays Bank PLC, alleging breaches of the representations and warranties Barclays made about the underlying mortgage loans, on April 12, 2013, six years from the closing date of the RMBS transaction. Plaintiff commenced the second action against defendant HSBC Bank USA, National Association, also alleging breach of the representations and warranties, on June 5, 2013, six years from the closing date of that transaction.

Defendants moved to dismiss the actions, contending, among other things, that they were untimely. Defendants argued that pursuant to CPLR 202, New York’s borrowing statute, plaintiff’s claims must be timely under both the laws of New York and of California, where plaintiff resides. The parties agree that if New York’s six-year limitations period for breach of contract actions applies (*see CPLR 213 [2]*), plaintiff’s actions are timely. California, however, has a four-year limitations period for breach of contract actions (*see Cal Civ Proc Code § 337*). Defendants argued that as a resident of California, plaintiff suffered economic injury in California, and therefore plaintiff’s causes of action accrued in California for the purposes of CPLR 202. Plaintiff conceded that it was a resident of California. It argued, however, that instead of applying the general rule that an economic injury is suffered where the plaintiff resides to

determine where the cause of action accrued, the court should apply a multifactor analysis. Plaintiff asserted that because it was suing in a representative capacity on behalf of the trusts, it did not suffer real economic loss, and its residence was irrelevant, or at least not the primary consideration, for determining the place of accrual.

Supreme Court denied defendants' motions to dismiss to the extent those motions sought dismissal on statute of limitations grounds (*see* 2015 NY Slip Op 32252[U] [Sup Ct, NY County 2015]). It noted that other courts had rejected the plaintiff-residence rule for determining the place of accrual where the plaintiff is a trustee suing in a representative capacity (*see id.* at *3-4). Considering what it determined to be the relevant factors, the court observed that the trusts were created pursuant to New York law, and that the parties had chosen New York substantive law to govern their rights (*see id.* at *4-5). The court rejected defendants' arguments that other factors—such as where the mortgage notes were held and where the payment of state taxes was contemplated—pointed to California as the place of economic injury (*see id.* at *5-6).²

The Appellate Division unanimously reversed and granted defendants' motions to dismiss the complaints (156 AD3d 401 [1st Dept 2017]). The Appellate Division concluded that it need not decide whether the plaintiff-residence rule or the multifactor analysis proposed by plaintiff applied because even under a factor analysis, plaintiff's claims accrued in California (*see id.* at 402). The Court reasoned that the mortgage loans were originated by California lenders and primarily encumbered real property located in California, the relevant agreements contemplated payment of state taxes, if any, in California, and the agreements stated that the mortgage notes may be held in California, but not New York (*see id.* at 402-403). For these reasons, the Appellate Division concluded that the application of a multifactor test pointed to California as the place of accrual (*id.*). The Appellate Division further concluded that plaintiff's actions were untimely under the California statute of limitations (*see id.* at 403-404).

We granted plaintiff leave to appeal in both actions (32 NY3d 904, 905 [2018]).

There are two primary issues on this appeal. The first is where plaintiff's causes of action for breach of contract accrued

2. The court granted defendants' motions to dismiss certain of plaintiff's causes of action for other reasons, which plaintiff did not challenge on appeal (*see id.* at *6-11).

for purposes of CPLR 202, and which test we should apply to answer that question. If we determine that California is the place of accrual, the second issue is whether plaintiff's causes of action are timely according to California's limitations period. We address each issue in turn.

II.

CPLR 202, New York's borrowing statute, provides:

"An action based upon a cause of action accruing without the state cannot be commenced after the expiration of the time limited by the laws of either the state or the place without the state where the cause of action accrued, except that where the cause of action accrued in favor of a resident of the state the time limited by the laws of the state shall apply."

"In other words, '[w]hen a nonresident sues on a cause of action accruing outside New York, CPLR 202 requires the cause of action to be timely under the limitation periods of both New York and the jurisdiction where the cause of action accrued' " (2138747 *Ontario, Inc. v Samsung C&T Corp.*, 31 NY3d 372, 377 [2018], quoting *Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525, 528 [1999]). It is undisputed that plaintiff is not a resident of New York and therefore that CPLR 202 applies unless plaintiff's causes of action accrued in New York. As noted, the parties agree that if plaintiff's causes of action accrued in New York, then CPLR 202 does not apply, and plaintiff's actions are timely as to both defendants.³

3. The parties agree that plaintiff's actions are timely if New York's six-year limitations period applies because they also agree that the six-year limitations period began to run on the closing date of each transaction. We have no occasion to address the dissent's theory that, contrary to the view of all parties to this appeal, the moment of accrual under New York law was the signing of the mortgage loan purchase agreements (MLPAs), rather than the closing date of the transactions. As the dissent acknowledges, that theory was never raised on this appeal, and the parties have had no opportunity to address it. Litigants "expect us to decide their appeals on rationales advanced by the parties, not arguments their adversaries never made" (*Misicki v Caradonna*, 12 NY3d 511, 519 [2009]).

Contrary to the dissent's assertion, we are not overruling our RMBS precedent sub silentio by deciding this appeal on the arguments the parties have raised. In *ACE*, the MLPA and the pooling and servicing agreement were ex-

(n. cont'd)

A.

We first consider what test should apply to determine the place of accrual under CPLR 202. Defendants argue that this Court should apply the plaintiff-residence rule, which states that “[w]hen an alleged injury is purely economic, the place of injury usually is where the plaintiff resides and sustains the economic impact of the loss” (*Global Fin. Corp.*, 93 NY2d at 529). Defendants assert that this rule provides predictability and uniformity, and that abandoning it here in favor of a factor-based analysis would result in confusion and uncertainty.

Plaintiff agrees that its causes of action accrued in the place where the economic injury was sustained, but it argues that the plaintiff-residence rule should not apply to determine where the injury occurred where, as here, the plaintiff is suing in merely a representative capacity. Instead, plaintiff argues, the Court should employ a multifactor analysis to determine where the economic injury was felt, similar to the factor test employed in *Maiden v Biehl* (582 F Supp 1209, 1217-1218 [SD NY 1984]). Plaintiff contends that a factor test is a better fit for determining “who became poorer, and where . . . they bec[a]me poorer” (*id.* at 1218) when the plaintiff sues in a representative capacity.

In *Maiden*, the federal district court applied a multifactor analysis to determine the place of accrual for purposes of CPLR 202 with respect to one of the plaintiffs’ claims (*see id.* at 1217-1218). The court reasoned that “[w]here the plaintiff is a trust, the use of the residency of the trustee as the sole factor to determine the place of accrual does not make sense as a practical matter, and is not required legally” (*id.* at 1217). Instead, the court concluded that the economic injury was sustained in New York because that was where the trust was located. The court considered that taxes were paid in New York, the trust’s

ecuted on the same date, which was also the “closing date,” and the representations and warranties were made “as of the Closing date” (*ACE*, 25 NY3d at 590). In *Nomura*, the timeliness of the actions was not at issue on the appeal to this Court (*see Nomura*, 30 NY3d at 580-581). And in *Flagstar*, the representations and warranties were made as of the closing date for each loan, and the parties agreed “that the closing date for each group of loans occurred between December 7, 2006 and May 31, 2007” (32 NY3d at 144). The defendant argued that the plaintiff’s action was time-barred “because it was commenced more than six years after the closing date for the sale of each package of mortgage loans” (*id.*). We therefore did not consider in those cases the theory the dissent raises here, i.e., that the limitations period might begin to run on a date earlier than the closing date of the transactions.

investment decisions were made in New York, and the securities at issue in the case that formed part of the trust corpus were physically kept in New York (*see id.* at 1218).

Plaintiff asks us to apply a *Maiden*-like factor analysis here. Plaintiff argues, however, that the Appellate Division erred in the way it applied the *Maiden* test, and that the Court instead should have applied different factors than those used by the *Maiden* court to determine the place of injury. Plaintiff asserts that the *Maiden* court appropriately considered factors relevant to a small investment trust, but that different factors should be considered here because the trusts at issue are large, pass-through RMBS trusts. To that end, plaintiff would have us focus on three factors: whether the trust documents contain a substantive choice-of-law provision, where the certificates are physically held, and where major decisions regarding the trusts were made.

We considered and rejected a similar argument in *Global Fin. Corp.* There, the defendant retained the plaintiff to perform consulting services, and the plaintiff sued for breach of contract and quantum meruit when the defendant refused to pay the plaintiff's demanded fee (*see* 93 NY2d at 527). The plaintiff eventually sued in New York, but both parties were Delaware corporations (*see id.*). The defendant moved to dismiss the complaint as untimely, arguing that either the statute of limitations of Delaware (where the plaintiff was incorporated) or Pennsylvania (where the plaintiff had its principal place of business) applied (*see id.*). The plaintiff argued that New York's longer limitations period should apply because the contract "was negotiated, executed, substantially performed and breached" in New York (*id.* at 528).

Describing the plaintiff's proposed approach as a "grouping of contacts" or a "center of gravity" analysis, we concluded that "these choice-of-law analyses are inapplicable to the question of statutory construction presented by CPLR 202" (*id.* at 528-529). The Court noted that while we had not yet addressed the issue in a breach of contract case, we had consistently applied the rule that "a cause of action accrues at the time and in the place of the injury," and, in the case of an economic injury, "the place of injury usually is where the plaintiff resides and sustains the economic impact of the loss" (*id.* at 529). We observed that "CPLR 202 is designed to add clarity to the law and to provide the certainty of uniform application to litigants," and that "[t]his goal is better served by a rule requiring the

single determination of a plaintiff's residence than by a rule dependent on a litany of events relevant to the center of gravity of a contract dispute" (*id.* at 530 [internal quotation marks omitted]).

Plaintiff is correct that in *Global Fin. Corp.*, we did not foreclose the possibility that a test other than the plaintiff-residence rule may apply to determine where the economic injury was sustained. Instead, we stated that the place of economic injury "usually is where the plaintiff resides" (*id.* at 529 [emphasis added]). For that proposition, we cited, among other cases, *Lang v Paine, Webber, Jackson & Curtis, Inc.* (582 F Supp 1421 [SD NY 1984]), which applied a "financial base" rule to determine where the economic injury was sustained (*see id.* at 1425-1426; *Global Fin. Corp.*, 93 NY2d at 530 [stating that in *Lang*, the plaintiff "intentionally maintained (a) separate financial base in Massachusetts" and under those circumstances, the "injury of losing Massachusetts funds was felt in Massachusetts, not Canada," where the plaintiff resided]). Here, we similarly do not foreclose the possibility that an economic loss may be sustained in a place other than where the plaintiff resides. Although in a breach of contract case, the place of injury will "usually" be where the plaintiff resides, that may not always be true (*Global Fin. Corp.*, 93 NY2d at 529).

[1] We nevertheless decline plaintiff's request to apply a multifactor analysis to determine the place of accrual for purposes of CPLR 202. Plaintiff's proposed rule is similar to the "center of gravity" or "grouping of contacts" approach proposed and rejected in *Global Fin. Corp.*, and it illustrates the difficulty with a multifactor analysis to determine the place of accrual: it would result in unpredictability and confusion.

Among the goals of CPLR 202 is the prevention of forum shopping and uniformity. As plaintiff acknowledges, however, a multifactor test would require courts to apply different factors in different cases, and courts could afford different weight to the same factors based on different circumstances, possibly generating inconsistent outcomes. In addition to the prevention of forum shopping, another important purpose of CPLR 202 is "to add clarity to the law and to provide the certainty of uniform application to litigants" (*Insurance Co. of N. Am. v ABB Power Generation*, 91 NY2d 180, 187 [1997]). Just as that goal would not be served by a "center of gravity" analysis (*see Global Fin. Corp.*, 93 NY2d at 530), it also would not be served by an amorphous factor analysis.

Furthermore, as noted above, plaintiff asks this Court to consider these factors: the parties' selection of New York substantive law,⁴ the creation of the trusts pursuant to New York common law, the fact that the certificates were primarily held in New York, and that defendants and their affiliates made decisions about which mortgage loans to include in the pool in New York. Those factors may be relevant to where the contracts were "negotiated, executed, substantially performed and breached" (*id.* at 528), but they are irrelevant to where the alleged economic injury was sustained.

We reaffirm that "a cause of action accrues at the time and in the place of the injury" (*id.* at 529). Although courts may, in appropriate cases, conclude that an economic loss was sustained in a place other than where the plaintiff resides, we decline to apply the multifactor analysis that plaintiff proposes.

B.

We now turn to the issue of where the economic injury was sustained in this particular case. Our analysis is limited by the arguments the parties have raised.

[2] All parties agreed below and continue to agree on this appeal that the residence of the certificateholders does not provide a "workable basis" for determining the place of economic injury, inasmuch as the certificateholders are geographically scattered (*see* 2015 NY Slip Op 32252[U], *6, citing *Maiden*, 582 F Supp at 1218). In light of that agreement, we do not consider whether the residence of the certificateholders is an appropriate basis for determining the place of economic injury here, or whether the residence of trust beneficiaries may be relevant to the place of economic injury in a different case. Furthermore, although the certificateholders may have suffered concrete economic injury due to defendants' alleged breaches, here plaintiff is suing solely in its capacity as the trustee on behalf of the trusts for alleged breach of contract, and the parties agree that certificateholders may have their own, separate claims. Plaintiff also does not argue that the lo-

4. It is undisputed on this appeal that the parties chose only New York's substantive law, and that they did not expressly state that New York's six-year limitations period would apply or otherwise use language clearly expressing their intent to preclude application of CPLR 202 (*see generally* 2138747 *Ontario, Inc.*, 31 NY3d at 381).

cation of the trust property should determine the place of economic injury.⁵

For these reasons, we conclude that plaintiff's residence applies to determine the place of injury in this case. As trustee, plaintiff is authorized to enforce, on behalf of the certificate-holders, the representations and warranties in the relevant agreements. Accordingly, it is appropriate for us to look to plaintiff's residence as the place where the economic injury was sustained and, consequently, where plaintiff's causes of action accrued for purposes of CPLR 202. Application of the plaintiff-residence rule here supports CPLR 202's goal of predictability and "certainty of uniform application to litigants" (*Global Fin. Corp.*, 93 NY2d at 530 [internal quotation marks omitted]). That is especially true when we consider that these are representative actions commenced by a trustee for the benefit of numerous, geographically-dispersed beneficiaries.

Plaintiff is a resident of California. To satisfy CPLR 202, plaintiff's actions therefore must be timely under California's statute of limitations.

III.

[3] As a general rule, when "borrowing" a foreign jurisdiction's statute of limitations under CPLR 202, we import that jurisdiction's limitations period, along with the "extensions and tolls applied in the foreign state . . . so that the *entire* foreign statute of limitations . . . applie[s], and not merely its period" (*Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193, 207 [1995] [internal quotation marks and citation omitted]; *see also Norex Petroleum Ltd. v Blavatnik*, 23 NY3d 665, 676 [2014]; *Antone v General Motors Corp., Buick Motor Div.*, 64 NY2d 20, 30-31 [1984]). Put another way, CPLR 202 calls for a comparison of New York's "net" limitations period, integrating all relevant New York extensions and tolls, and the foreign state's "net" limitations period, with all foreign tolls and extensions integrated, and if the foreign limitations period is shorter, the foreign net period determines the timeliness of the action (*see Norex Petroleum Ltd.*, 23 NY3d at 676-677, citing Siegel, NY Prac § 57 at 82 [5th ed 2011]). California has a four-year limitations period for breach of contract actions (*see* Cal Civ Proc Code § 337).

5. As the Appellate Division noted (*see* 156 AD3d at 403 nn 3, 4), the agreements contemplate the payment of state taxes, if any, in California, and the mortgage notes are physically maintained in California in the Barclays action and in Minnesota in the HSBC action.

Plaintiff contends, however, that its actions are timely even if California's four-year limitations period applies for three reasons, the first two of which rely on the meaning of terms in the parties' contracts. First, plaintiff argues that California law, unlike New York law, will enforce pre-accrual written agreements to extend the statute of limitations, and that the parties entered into such an agreement in the Barclays action (*see* Cal Civ Proc Code § 360.5; *cf. Flagstar*, 32 NY3d at 150-153). Second, plaintiff contends that California law does not recognize a distinction between substantive and procedural conditions precedent (*cf. ACE*, 25 NY3d at 597-598), and under California law, the limitations period did not begin to run until plaintiff demanded that defendants comply with the cure or repurchase protocol and defendants refused. Third, plaintiff argues that accrual of its claims was delayed by California's "discovery rule."

With respect to plaintiff's first two arguments, to the extent plaintiff relies on certain terms in the contracts to support its arguments that the actions were timely in California, plaintiff asks us to apply California common law to interpret the agreements. In the relevant contracts, however, the parties included a New York substantive choice-of-law provision, making it clear that contractual language is to be interpreted pursuant to New York law. It is a " 'fundamental, neutral precept of contract interpretation . . . that agreements are construed in accord with the parties' intent,' and '[t]he best evidence of what parties to a written agreement intend is what they say in their writing' " (2138747 *Ontario, Inc.*, 31 NY3d at 377, quoting *Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). In adherence to that fundamental principle, we generally enforce choice-of-law clauses (*see e.g. Ministers & Missionaries Benefit Bd. v Snow*, 26 NY3d 466, 470 [2015]; *IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.*, 20 NY3d 310, 315 [2012]). We are therefore bound to interpret the contract provisions according to New York's substantive law.

Choice-of-law provisions are intended to guarantee a uniform interpretation of contractual language. Reviewing substantially the same contract terms in other RMBS cases, we have concluded that the provisions on which plaintiff now relies do not functionally extend the date upon which the limitations period begins to run (*see ACE*, 25 NY3d at 597-598; *Flagstar*, 32 NY3d at 150-153). Were we to reach a contrary conclusion applying California law (as plaintiff now urges us to do), we would

contravene the parties' clearly expressed intent that New York law govern the construction and interpretation of their agreements, an approach incompatible with our precedent.

In any event, plaintiff's arguments are unavailing even under California law. In both New York and California, a breach of contract cause of action generally accrues upon the breach (*see e.g. El Pollo Loco, Inc. v Hashim*, 316 F3d 1032, 1039 [9th Cir 2003]; *Menefee v Ostawari*, 228 Cal App 3d 239, 246, 278 Cal Rptr 805, 809 [1991]; *April Enters., Inc. v KTTV*, 147 Cal App 3d 805, 832, 195 Cal Rptr 421, 436 [1983]; *see also Mary Pickford Co. v Bayly Bros.*, 12 Cal 2d 501, 521, 86 P2d 102, 111-112 [1939]). The Appellate Division properly concluded that none of the relevant agreements "expressly waive or extend the statute of limitations" (156 AD3d at 404). In addition, under California law, plaintiff's demand that defendants comply with the cure or repurchase protocol did not delay accrual because plaintiff could have made that demand at any time after closing (*see Taketa v State Bd. of Equalization*, 104 Cal App 2d 455, 460, 231 P2d 873, 875 [1951]).⁶ Moreover, California law requires a demand to be made within a reasonable time, which is generally considered to be "at least within the statutory period of limitations" (*Meherin v San Francisco Produce Exch.*, 117 Cal 215, 217, 48 P 1074, 1075 [1897]; *see Stafford v Oil Tool Corp.*, 133 Cal App 2d 763, 765-766, 284 P2d 937, 939 [1955]). Here, plaintiff did not demand that defendants comply with the cure or repurchase protocol until more than four years after closing.

With respect to plaintiff's third argument regarding California's discovery rule, we agree with the Appellate Division that the requirements for application of that rule were not met, "inasmuch as the record establishes that plaintiff reasonably could have discovered the alleged breaches within the limitation period" (156 AD3d at 404). In other words, the discovery rule is inapplicable because plaintiff "knew or should have known of the wrongful conduct at issue" more than four years before plaintiff commenced these actions in 2013 (*April Enters.*, 147 Cal App 3d at 832, 195 Cal Rptr at 437).

6. Plaintiff's assertion that it did not unreasonably delay in making its demand because it could not have known earlier that the mortgage loans were defective is better addressed to plaintiff's argument about California's discovery rule.

IV.

The 2007 to 2009 financial crisis was the worst recession since the Great Depression. Approximately 8.8 million jobs and \$19.2 trillion in household wealth were lost.⁷ That financial crisis has generated an almost endless array of legal issues in its wake. Many flow from disputes centered in contract law.

Here we are called on to, once again, determine the timeliness of RMBS litigation related to that financial crisis. Despite the enormity of the financial stakes, we continue to approach these cases in a manner that emphasizes the importance of clear and balanced rules to guide our jurisprudence in the area of contract law. We reaffirm the importance of predictability and uniformity in both contract law and the interpretation of CPLR 202.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

WILSON, J. (dissenting). Asserting that “[o]ur analysis is limited by the arguments the parties have raised” (majority op at 338), the majority offers a lengthy advisory opinion. Whether breaches of contractual obligations made to a trust accrue under the laws of the state where the trust was formed, where the beneficiaries are located, or where the trustee is domiciled, is an interesting, unresolved question. But this case does not present that question, even if the parties have argued it. Deutsche Bank, in its capacity as trustee of the two trusts at issue, was not a party to either of the allegedly breached contracts. Rather, it was subsequently granted the right to recover for those breaches by an assignment. As any outline for a 1L contracts exam can attest, in an assignment, “the assignee acquires a right against the obligor only to the extent that the obligor is under a duty *to the assignor*” (Restatement [Second] of Contracts § 336 [1] [emphasis added]; see also *Muller v Kling*, 209 NY 239, 243 [1913] [an assignee “stands in the shoes of (assignor); with no greater rights, as against the plaintiffs, than his assignors possessed”]). Assigning the right to pursue a remedy for a breach has no effect on the accrual of the breach itself.

The majority’s opinion answers the question, “What if Bar-

7. See U.S. Department of the Treasury, The Financial Crisis Response in Charts (Apr. 2012), available at https://www.treasury.gov/resource-center/data-chart-center/Documents/20120413_FinancialCrisisResponse.pdf (last accessed Nov. 15, 2019).

clays and HSBC had made representations directly to trusts of which Deutsche Bank was trustee and breached those representations?” But that “what if” is not present here—not on the complaint and not in the contracts governing the transactions at issue. Barclays and HSBC never made any representations to the trusts, and thus they never breached any representations to the trusts. Why would we permit parties to obtain a decision from this Court by presenting an argument that has no basis whatsoever in the complaints or contracts?

In a breach of contract claim, it is imperative to identify what contract has been breached, who made what promises to whom in that contract, and when the contract was breached. The majority elides all of those details and, as a result, fails to recognize that our precedents are dispositive here.

The relevant breached contracts in these actions were mortgage loan purchase agreements (MLPAs). In the Barclays action, the parties to the allegedly breached MLPA were Sutton Funding LLC and Securitized Asset Backed Receivables LLC (SABR).¹ In that MLPA, Sutton Funding made representations and warranties to SABR. In the HSBC action, the parties to the allegedly breached MLPA were HSBC and HSI Asset Securitization Corporation. In that MLPA, HSBC made representations and warranties to HSI. All four of the contracting parties to the allegedly breached agreements are New York entities domiciled in New York. When a New York domiciliary breaches a contract and thereby injures another New York domiciliary, the claim accrues in New York. Such is the case before us.

It is wholly irrelevant to the injury analysis that SABR and HSI subsequently assigned to trusts, of which Deutsche Bank was trustee, their rights to recover for breaches of the MLPAs. A breach of representations and warranties contained in a contract occurs at the moment the contract is executed, and we have held repeatedly that in the case of residential mortgage-backed securities (RMBS), the breach occurs, “the moment the MLPA [is] executed” (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581, 598 [2015]; see also *Nomura Home Equity Loan, Inc., Series*

1. For ease of reference, I refer to Barclays’ “Representation Agreement” as its MLPA because it functions in the same role. It sets out the representations and warranties to which the mortgages are claimed to conform, coupled with two “Assignment Agreements” by which the subject mortgages passed from Sutton to SABR.

2006-FM2 v Nomura Credit & Capital, Inc., 30 NY3d 572, 580 [2017]; *Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts.*, 32 NY3d 139, 146-147 [2018]).

The majority does not engage with the particulars of which contracts were breached because the parties did not raise it. In so holding, the majority is either issuing an unlawful advisory opinion or it is sub silentio overruling our recent decisions in *ACE*, *Nomura*, and *Flagstar*. As much as I would like to see the latter, neither result is tenable. When two New York parties execute a contract, the economic injury from breach occurs in New York, regardless of whether one party subsequently assigned its interest in the contract to a party domiciled elsewhere.

The majority's decision to resolve an issue not present in Deutsche Bank's complaints or in the MLPAs on which those complaints are based is particularly disturbing in light of the fact that there are approximately 50 other RMBS cases presently pending in the Manhattan Commercial Division before Justice Friedman. We advertise our role as focused on determining the law of the state to provide guidance to lower courts, litigants and contracting parties. Yet here the majority decides an issue not present on the face of the complaints or these contracts, and hence likely irrelevant to the bulk of pending RMBS cases.

In part I, I explain why, on the complaints and contracts at issue, and under our recent RMBS precedents, the relevant facts for determining the applicable statute of limitations are the domiciles of the parties to the allegedly breached MLPAs, not the domiciles of the trusts or trustee. Here, New York's six-year statute applies; CLPR 202's borrowing provision is not implicated. In part II, I set out why—even were we to pretend that the claims here were of representations directly made to the trusts rather than assignments obtained by the trusts—I nevertheless disagree with the majority's advisory opinion. The gravamen of accrual is where injury is sustained. A trustee, who by definition holds only bare legal title without equitable interest, is not injured by a diminished trust corpus. The certificateholders bear the injury, but because they are too geographically diffuse to provide any workable rule—as our precedent requires—I would hold that the trust itself, as an entity, sustained the injury. Here, the trusts were clearly established by the parties as New York entities and thus their injury was sustained in New York.

I.

To analyze Deutsche Bank's claims properly, we need to understand the various contracts and entities with greater detail than the majority provides. At the height of the boom, just before the 2008 collapse, Barclays and HSBC each purchased mortgages originated by New Century Financial Corporation. As to Barclays, it combined the New Century mortgages with mortgages originated by Ameriquest, both purchased and then held by a subsidiary called Sutton Funding LLC. On April 12, 2007, Sutton assigned the mortgages to another Barclays entity, SABR. Along with the assignment, Barclays and SABR executed a Representation Agreement, where Barclays made representations and warranties, to SABR, as to the quality of the loans that SABR was receiving. Barclays, Sutton, and SABR are all New York domiciliaries.

As to HSBC, it also sold its bundle of New Century mortgages to a subsidiary, HSI, via an MLPA on May 1, 2007, and similarly made representations and warranties to HSI about the loans. The parties to that MLPA are HSBC and HSI, both New York domiciliaries. The representations and warranties in both MLPAs are standard for RMBS transactions. For example, Barclays represented to SABR (and HSBC represented to HSI) that the payments on the underlying mortgages were not delinquent, that the mortgaged properties carried hazard insurance, that no mechanics liens on the underlying properties existed, and that no predatory or deceptive lending practices had been used in originating the mortgages.

After SABR and HSI acquired the mortgages and obtained the litany of representations and warranties from Barclays and HSBC, respectively, SABR and HSI placed the mortgages in trusts—for SABR, Securitized Asset Backed Receivables LLC Trust 2007-BR1 (BR1); for HSI, HSI Asset Securitization Corporation Trust 2007-NC1 (NC1)—with Deutsche Bank National Trust Company, a California domiciliary, serving as trustee, pursuant to pooling and service agreements (PSAs). BR1 and NC1 each was described in the PSAs as a trust formed under New York law. The trusts closed on April 12 and June 5, 2007, respectively. In their PSAs, depositors SABR and HSI transferred to trustee Deutsche Bank, on behalf of the two trusts, the right to sue for breach of representations and warranties in the underlying MLPAs (*see* BR1 PSA §§ 2.01, 2.08; NC1 PSA §§ 2.01 [a]; 2.03 [d]). Barclays and HSBC marketed certificates in the trusts entitling the certificate owners to

principal and interest distributions as borrowers made payments on the mortgages underlying the securities.

After the market plunged, certificateholders in the two trusts undertook forensic examinations of the underlying mortgages and discovered that many of them did not conform to the representations and warranties made by Barclays and HSBC in their respective MLPAs. They notified Deutsche Bank which then demanded—under the repurchase protocols of the MLPAs, as those rights were assigned through the PSAs—that Barclays and HSBC cure or repurchase the nonconforming loans. When Barclays and HSBC failed to cure or repurchase the nonconforming loans, Deutsche Bank, solely in its capacity as trustee and on behalf of the trusts, commenced actions on April 12, 2013, against Barclays and on June 5, 2013, against HSBC, precisely six years after the trusts closed.

A.

The majority's analysis conflates the relevant MLPAs with the subsequent PSAs. In the former, Barclays made representations and warranties to SABR, and HSBC made them to HSI. Those terms were allegedly breached, which form the subject of the instant appeals. In the latter, SABR and HSI assigned to trusts, of which Deutsche Bank is the trustee, the right to sue for those breaches.

On a CPLR 3211 motion to dismiss, we look only to the pleadings, and dismissal is warranted only if the documentary evidence submitted therewith conclusively establishes, looking to the four corners of those documents, a defense to the asserted claims as a matter of law (*see Ellington v EMI Music, Inc.*, 24 NY3d 239, 249 [2014], quoting *Leon v Martinez*, 84 NY2d 83, 87 [1994] [internal quotation marks omitted]). The operative complaints state clearly that the alleged breaches are to representations and warranties made in the MLPAs—not the PSAs. The MLPAs are obligations made by New York domiciliaries to New York domiciliaries, and breaches thereof can only accrue, therefore, in New York.

Notably, the instant actions were brought against Barclays and HSBC—neither of which is a party to a PSA—by Deutsche Bank, which is not a party to either MLPA. The defendants here, Barclays and HSBC, could not be sued for breaches of the PSAs because they are not parties to the PSAs. Deutsche Bank's causes of action lie against Barclays and HSBC only because, through the PSAs, Deutsche Bank acquired the rights

of SABR and HSI to sue for breaches of representations and warranties made by Barclays and HSBC in their MLPAs (*see* Barclays complaint ¶¶ 11-13, 36-41; HSBC complaint ¶¶ 11-13, 26, 31-34). The PSAs assigned rights created when the representations and warranties as to the quality of the loans were made in the MLPAs; the PSAs did not create any new representations or warranties as to the characteristics of the underlying mortgages.

The contracts make sense in the context of the instant appeal only if we understand Deutsche Bank to be asserting rights that have been assigned to it by SABR and HSI, which is exactly how the contracts define the relationships. Each PSA defined its associated “Trust Fund” as including “[SABR’s] rights under the Barclays Representation Agreement and the Assignment Agreements” for BR1; and “[HSI’s] rights under the [Mortgage Loan] Purchase Agreement, the Master MLPISA and each Servicing Agreement” for NC1.

The majority fails to distinguish between the MLPAs and the PSAs. Instead, it analyzes the claims as if Barclays and HSBC made representations and warranties directly to the trusts—with Deutsche Bank as trustee—on the day that the BR1 and NC1 trusts closed (majority op at 332). That interpretation is a fantasy, resting not on the complaint or the contracts, but on the parties’ say-so. There are no obligations flowing from Barclays and HSBC to the trusts. There are only obligations from Barclays to SABR, and from HSBC to HSI; there are assignments from SABR and HSI to the trusts. The majority’s opinion may be responsive to arguments made by the parties, but it is based on fictional contracts and pleadings, not the record on appeal.² That determination offends our ban on advisory opinions because our power “only arises out of, and is limited

2. The majority’s footnote three (majority op at 334-335 n 3), reduced to its essence, says that we must decide contractual disputes based solely on the arguments advanced by the parties, even if those arguments are wholly untethered from the contracts and pleadings. That is, if Deutsche Bank relied on these very pleadings and contracts to claim that Barclays and HSBC had delivered unicorns lacking promised magical properties, and Barclays and HSBC defended solely on the ground of impossibility, we would be powerless to say that the RMBS agreements have nothing to do with unicorns. Although I appreciate that the parties’ choice of argument is important, our self-proclaimed purpose is to decide issues—not arguments—of statewide importance, not merely the disputes of the parties (*see Persky v Bank of Am. N.A.*, 261 NY 212, 218 [1933] [“In our review we are confined to the *questions* raised or argued at the trial but not to the arguments there presented”], citing *Oneida Bank v Ontario Bank*, 21 NY 490, 504

(n. cont’d)

to, determining the rights of persons which are actually controverted in a particular case pending before the tribunal,” a principle which “forbids courts to pass on academic, hypothetical, moot, or otherwise abstract questions” (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 713 [1980]). Because Deutsche Bank is standing in the shoes of SABR and HSI, two New York entities, the injuries upon which the claims are built were sustained within the state. CPLR 202—which applies to “cause[s] of action accruing without the state”—is not implicated.

B.

The only way to construe the majority’s opinion as non-advisory would be to hold that when SABR and HSI put the New Century mortgages into trust, there was a new breach of the representations and warranties made by Barclays and HSBC in the MLPAs where SABR and HSI acquired the loans. Putting aside that no basis is offered for that unusual idea, such a holding would directly contradict our recent holdings in indistinguishable circumstances. In *ACE* and *Flagstar* we held that on a claim for breach of representations and warranties for contracts that grouped residential mortgages into securities to market to investors, the injury occurred “the moment the MLPA was executed” (*ACE*, 25 NY3d at 598) because “[the depositor] was obligated to deliver loans that complied with the representations and warranties at the moment the [MLPA] was executed” (*Flagstar*, 32 NY3d at 148). The breach is not ongoing, and it does not reoccur when a party initiates its contractual remedies for the breach, even if repurchase or replacement on demand are the exclusive remedies under the contract (see *Nomura*, 30 NY3d at 584).

Those holdings map precisely to the case at bar. Barclays and HSBC breached their obligations, if it all, when they exe-

[1860]). Where parties have ignored the text of their pleadings and contracts, and foisted on us some argument or issue not present therein, we have a duty not to decide feigned, collusive or hypothetical questions (cf. *New York Pub. Interest Research Group v Carey*, 42 NY2d 527 [1977]). Without going into detail, suffice it to say that the shifting arguments made by the parties in this and other RMBS litigation are largely a result of two factors: first, the unanticipated rulings of courts, including ours, which have led parties such as these to advance creative arguments not on their minds when they entered their contracts; and second, the fact that many of the parties involved in these RMBS transactions wore a depositor’s hat in one, an issuer’s hat in another, and a trustee’s hat in a third.

cuted the MLPAs and transferred nonconforming loans to SABR and HSI. The statute of limitations clock on those breaches started running at that moment. In subsequent PSAs, depositors SABR and HSI assigned the rights to pursue remedies for those breaches, but that is immaterial to the questions of when the breach occurred (the moment the MLPA was executed) and who was injured by it (SABR and HSI, who received mortgages that did not comply with the warranties and representations made to them). Because Deutsche Bank, in its capacity as trustee, was not a party to either MLPA, but merely a later assignee of rights held by SABR and HSI, neither the trusts' domicile nor Deutsche Bank's domicile is relevant to determining the accrual of the breach. Holding that a subsequent assignment to another party alters the accrual of a cause of action would cause statutes of limitations to shift each time a right to sue for a prior breach was assigned. That is not the law of this (or any) state, and would enable and encourage the forum shopping CPLR 202 was aimed to curtail.

Deutsche Bank's action against HSBC provides the clearest illustration of why that cannot be correct. The MLPA between HSBC and HSI was executed on May 1, 2007. On May 2, 2007 and for the next six years, according to *ACE*, HSI had a cause of action against HSBC for breach of contract because the loans it purchased did not conform to the representations and warranties in the MLPA. Then, on June 5, 2007, HSI put those loans into trust with Deutsche Bank as trustee and assigned to the trust all its rights to recover under the MLPA. According to the majority, even though no new representations and warranties were made, and even though Deutsche Bank's cause of action as pleaded came from the May 1 MLPA, on June 5 the clock re-started—but this time for only four years, rather than six, because the trustee was located in California. Because the assignment itself cannot alter the underlying rights, it must be that breach of the PSA constituted a new and separate breach from the MLPA, but that upends the holdings of *ACE*, *Nomura*, and *Flagstar*.

If we hold that there were new breaches upon execution of the PSAs, then we are reversing our precedents and creating significant uncertainty. Essentially, we would give contracting parties the power to change the nature of their rights against a counterparty by assigning those rights to a foreign third party. We should not overrule ourselves sub silentio, and certainly not to promote forum shopping and uncertainty. The simplest

solution is best: follow our precedent to hold that the relevant breach was to the MLPAs, two contracts between New York parties, and thus injury for the breaches occurred in New York. As such, there is no need to wade into the novel question of how to treat the trustee of an investment vehicle business trust for CPLR 202 purposes. That question was never considered by or relevant to the parties when these contracts were made and is not properly before us now.

C.

Consistent with that analysis, I would hold that Deutsche Bank's claim against Barclays is timely but its claim against HSBC is not. The action against Barclays was brought on April 12, 2013, which was six years to the day of execution of the MLPA. It is therefore timely under New York law. However, the HSBC MLPA was executed on May 1, 2007. Per the PSA, the trust the parties created then closed on June 5, 2007. The action was brought on June 5, 2013, six years from the closing of the trust, but six years plus one month after the execution of the MLPA. It is therefore time-barred. Under the framework I have outlined above, that makes sense, because during the period from May 1, 2007, to June 5, 2007, HSI had the right to sue for misrepresentations made by HSBC in the loans it acquired; the subsequent transfer of those rights to the trust did not restart the statute of limitations against HSBC, which was not a party to the PSA.

II.

Ignoring the complaint and contracts, and instead cabining itself to a baseless issue argued by the parties, the majority hypothesizes as to what rule of accrual should obtain if representations and warranties made directly to a trust are breached. Loathe as I am to address that hypothetical question, I disagree with the majority's analysis, and therefore set out my reasoning for rejecting it. In brief, I would still hold that the claims accrued in New York because, where the general rule that a claim for economic injury accrues where the injury is felt cannot be applied because the economic injury is geographically diffuse, a rule that a cause of action accrues under the law of the state in which a trust is formed is superior to a rule based on the domicile of a trustee.

I agree with the majority that we do not—and should not—engage in factor-weighting to determine the location of an

injury. As *Global Financial* holds, to give certainty to contracting parties, we require a rule of single determination. The gravamen of accrual is where injury was sustained (*Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525, 529 [1999] [“a cause of action accrues at the time and in the place of the injury”]). And “[w]hen an alleged injury is purely economic, the place of injury usually is where the plaintiff resides and sustains the economic impact of the loss” (*id.*). The question for the court is “who became poorer, and where did they become poorer” (*Maiden v Biehl*, 582 F Supp 1209, 1218 [SD NY 1984], citing *Arneil v Ramsey*, 550 F2d 774, 779 [2d Cir 1977]). For accrual purposes, when a trustee brings a suit on behalf of a trust, we could hold that the injury is suffered (i) by the trustee itself, (ii) by the trust itself, or (iii) by the beneficiaries of the trust themselves—our precedent is silent on that issue.

The division of the trust into a legal interest held by the trustee and an equitable interest held by the beneficiaries reflects the fundamental view that a trustee has no economic interest whatsoever in the trust corpus and, indeed, is liable both civilly and criminally for misuse of the trust corpus for the trustee’s own benefit (*see* Restatement [Third] of Trusts § 2, Comment d; *Toronto General Trust Co. v Chicago, Burlington & Quincy R.R. Co.*, 123 NY 37 [1890]; *In re Straut’s Estate*, 126 NY 201, 211 [1891]). All the economic interest in the trust corpus rests with the beneficiaries. Thus, a trustee by definition does not feel the impact of a trust’s economic loss, because it holds no equitable stake. The loss is borne by the equitable owners. Barclays and HSBC do not dispute that the economic injury here is borne by the certificateholders, not the trustee. Their argument favoring selection of the domicile of the trustee begins not with any claim that the trustee is injured, but that the beneficiaries are scattered. That is, Barclays’ and HSBC’s argument does not follow from *Global Financial*’s recognition that a purely economic cause of action occurs where the loss is felt, but instead from a view as to what to do when the location of the economic injury cannot provide a rule of decision for the place of accrual.

Even *Global Financial*, in the text relied upon by Barclays and HSBC and quoted by the majority, held that economic injury is “usually . . . where the plaintiff” resides (*Global Fin. Corp.*, 93 NY2d at 529; majority op at 337 [emphasis added by majority]). Of course, parties authorized to bring suit for an injury someone else suffered are the exception, not the rule.

Trustees, like legal guardians or conservators, are statutorily granted the right to act as litigants for injuries that they do not suffer (see CPLR 1004). The cases upon which *Global Financial* grounded the “usual” rule are usual cases in which the plaintiffs were natural persons or corporations, suing on their own behalf, whose legal and equitable title were not separated, and whose location of injury was indisputably their place of residence (see *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193, 207 [1995]; *Dymm v Cahill*, 730 F Supp 1245 [SD NY 1990]; *Arneil*, 550 F2d at 779; *Sack v Low*, 478 F2d 360, 365 [2d Cir 1973] [“when a person sustains loss by fraud, the place of wrong is where the loss is sustained, not where fraudulent representations are made . . . While we have found no New York decision directly in point, we believe that the New York courts would follow this traditional approach” (internal quotation marks omitted)]).

I therefore do not agree with the premise that we must choose between the bright-line rule of *Global Financial* and the multifactor test of *Maiden*. *Maiden*, which came 15 years before and in the federal district court, is not in tension with *Global Financial* except insofar as it said in dicta that “New York and federal courts [are] grappling with two different approaches [plaintiff-residence vs. center-of-gravity] to the question of how to decide where a cause of action accrued for the purposes of the borrowing statute” (*Maiden*, 582 F Supp at 1212). *Global Financial* answered that question by rejecting center-of-gravity and choosing place of the economic injury.³ *Maiden*’s holding was that “the Trust itself . . . suffered the loss” and thus the question for the court was where the trust felt the loss (*id.* at 1218).⁴ Because *Maiden* held that the trust, not the trustee, suffered the economic injury, its holding is in harmony with *Global Financial*—it based accrual on the location where the economic injury was felt.

3. The majority leaves open the possibility in some cases “that a test other than the plaintiff-residence rule may apply to determine where the economic injury was sustained” (majority op at 337), presumably because there could be cases where the plaintiff’s residence is not the site of economic injury. In my view, such a case is before us.

4. The majority refers to “the *Maiden* test” as a defined set of factors to which a court should look in determining the site of injury (majority op at 336). The holding of *Maiden* is not that certain factors are dispositive of where a trust resides. Rather, the *Maiden* court held that injury in that case was felt by the trust itself, as an entity, and then it looked to certain factors to determine where the trust, as an entity, suffered that injury.

Trusts divide ownership between beneficiaries, who hold equitable title, and the trustee who holds “bare” legal title (*see* Restatement [Third] of Trusts § 2, Comment *d*). Deutsche Bank, as trustee, had duties to accept delivery of the mortgages on behalf of the trusts and for the “exclusive use and benefit of” the certificateholders (BR1 PSA § 2.02; *accord* NC1 PSA § 2.01 [a]). It also had the power to enforce the rights of the trust on the trust’s behalf (BR1 PSA § 2.08; NC1 PSA § 8.01). In return, Deutsche Bank collected a fee (BR1 PSA § 8.05; NC1 PSA § 8.05). By definition, the trustee is not injured by the diminishment of the trust corpus, because the trustee’s role is to maintain the trust for the exclusive benefit of the certificateholders who retain the beneficial interest.

The recognition in law that a trustee holds “bare” or “legal” title to the trust corpus is shorthand for a fiction by which the law separates the holding of title from the enjoyment of gain or the injury of loss. To say the trustee suffered the injury would be a fiction directly at odds with centuries of trust law (*see* John Morley, *The Common Law Corporation: The Power of the Trust in Anglo-American Business History*, 116 Colum L Rev 2145 [2016]). Because a rule based on the location of certificateholders would be unworkable, and a rule based on the location of the trustee would be at odds with the law and reality of the role of the trustee, the most sensible rule is to treat the trust itself as the relevant injured entity.

It is clear on this record that BR1 and NC1 are New York entities. According to the Restatement, a trust is “a fiduciary relationship with respect to property, arising from a manifestation of intention to create that relationship” (Restatement [Third] of Trusts § 2). The relationships codified in those trusts were created via the manifestations of contracts. In the BR1 PSA, it says clearly that SABR “does hereby establish, pursuant to the further provisions of this Agreement and the laws of the state of New York, an express trust” (BR1 PSA § 2.01 [c]). The NC1 PSA says the same (NC1 PSA § 2.01 [c]). The contractually-expressed intentions of the parties must count for something.

It is also relevant that these trusts are not the conventional sort of trusts, e.g., testamentary trusts or trusts for the benefit of a minor or disabled person, but are instead vehicles for securitization, with shares therein sold on the open market to sophisticated investors globally. “A familiar and eminently sensible proposition of law is that, when parties set down their

agreement in a clear, complete document, their writing should as a rule be enforced according to its terms” (*W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]). Barclays and HSBC marketed shares of the trusts to investors, describing each entity as a “New York common law trust” (BR1 Prospectus Supplement at S-43 [Apr. 10, 2007]; *see also* NC1 Prospectus Supplement at S-102 [June 4, 2007]). Hewing to the Restatement, the “manifestation” of the parties’ intent was to create an entity in New York. I do not base that on the parties’ choice of New York for substantive governing law, and I certainly do not base that on any of the various factors cited by the parties such as where underlying mortgages are held, where the properties encumbered by those mortgages are located, where state tax could have been paid, or where investment decisions were made. That is not how we determine accrual. I look only to the text of the contracts that expressly created the trusts under New York law, thereby locating them in New York. That was the intention of the parties and the expectation of the investors who bought equitable interest in the trusts.

In addition to being closer to the economic reality of the injury, holding that the injury was borne by the trust rather than the trustee is a clearer, more workable rule. Trusts can have multiple trustees, they can have corporate trustees with differing states of incorporation and principal places of business, and they can change trustees during the life of the trust, even as replacement loans are being swapped into the trust. If the location of the trustee were determinative, the rule would be less consistent and less predictable than a rule based on the law under which the trust was created. A breach of one set of representations could occur at a different time from another set of representations, and if the trustee changed (or went bankrupt, or restructured,) different claims concerning the same trust could be governed by different state laws, and no rule would exist for trusts with joint trustees with different domiciles. But if the trust itself was formed under the laws of a particular place, the law is clear, stable and completely within the parties’ prospective control and negotiation.

Some states, including Delaware and Massachusetts, have recognized the advantage of predictability with regards to trusts and allowed parties to register trusts as statutory entities with the Secretary of State (*see* Del Code Ann tit 12, § 3810; Mass Gen Laws Ann ch 182, § 2). As the Restatement notes, “[i]ncreasingly modern common-law and statutory concepts

and terminology tacitly recognize the trust as a legal entity” (Restatement [Third] of Trusts § 2, Comment *a* [internal quotation marks omitted]). That has been implicit in our RMBS cases, where we have written that “[t]he Trust suffer[s] a legal wrong at the moment [the depositor] allegedly breach[es]” its representations (*ACE*, 25 NY3d at 597).

Still, our precedent and statutes are mostly silent as to the entity status of a trust in an injury analysis. The cases about trustees concern their role as a party in litigation and hold that we can adjudicate the rights of a trust fully through a trustee-plaintiff or trustee-defendant (see *Toronto General Trust Co.*, 123 NY at 45 [holding that action by a trustee is not brought “in a representative capacity, but in (the trustee’s) own right as the legal owner of the property”]). In that vein, CPLR 1004 dictates that trustees can sue or be sued without joining the equitable owners of the trust. For litigation purposes, that illustrates a sensible policy that is perfectly aligned with the concept of a trustee as holder of bare legal title. But injury is not about legal title, it is about equitable interest: the “impact” of loss (*Global Fin. Corp.*, 93 NY2d at 530). Treating the trustee as the injured party is inconsistent with the economic reality, makes things less clear for litigants, and is not compelled by our precedent.

III.

To conclude, I reiterate that under our precedents, the relevant breaches in this appeal are to contracts between New York parties and therefore the claims accrued in New York. The only relevance of Deutsche Bank is that it was subsequently assigned the right to pursue remedies for those breaches on behalf of the trusts to which the claims were assigned. Holding that the breaches of the MLPAs alleged here—in contracts between only New York parties—have a place of accrual based on the domicile of a trustee of a trust that was not a party to those MLPAs would be extraordinarily novel; our recent RMBS precedents expressly state that alleged breaches of an MLPA occur the moment the MLPA is executed. However, even if we were to accept the counterfactual proposition that Deutsche Bank’s claims are rooted in breaches of representations made directly to the trusts, rather than injuries to SABR and HSI subsequently assigned to the trusts, I would hold that for accrual purposes, the law under which these trusts were created—not the domicile of the trustee—determines the rule of accrual for breach.

Chief Judge DiFiore and Judges Stein and Feinman concur;
Judge Wilson dissents in an opinion in which Judge Rivera
concurs; Judge Garcia taking no part.

Order affirmed, with costs.

[140 NE3d 965, 117 NYS3d 642]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v STAN
XUHUI LI, Appellant.

Argued October 17, 2019; decided November 26, 2019

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 30, 2017. The Appellate Division order, insofar as appealed from, affirmed a judgment of the Supreme Court, New York County (Michael R. Sonberg, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the second degree (two counts).

People v Li, 155 AD3d 571, affirmed.

HEADNOTES

Crimes — Manslaughter — Provider of Controlled Substances Resulting in Overdose Death

1. Prosecution of defendant, a former physician who repeatedly prescribed medically unnecessary high doses of opioids, alprazolam and other controlled substances to patients without proper examination, testing or consideration of other pain management options, for homicide offenses arising from the overdose deaths of two patients who had pills recently prescribed by defendant in their possession at the time of death was not prohibited as a matter of law. Generally, a statutory prohibition against a particular type of conduct will not be deemed to constitute the exclusive vehicle for prosecuting that conduct unless the legislature clearly intended such a result. There was no basis to conclude that the legislature intended to exclude from the ambit of homicide statutes the prosecution of a defendant who, with the requisite mens rea, engages in conduct through the sale or provision of dangerous drugs that directly causes the death of a person. The fact that the legislature has separately criminalized the illegal sale of controlled substances did not require a different conclusion. All that was needed for the manslaughter charges against defendant to be sustained was for the People to satisfy its elements.

Crimes — Manslaughter — Provider of Controlled Substances Resulting in Overdose Death

2. Prosecution for homicide offenses of a defendant who, with the requisite mens rea, engages in conduct through the sale or provision of dangerous drugs that directly causes the death of a person is not prohibited as a matter of law. Insofar as the Appellate Division reasoned in *People v Pinckney* (38 AD2d 217 [2d Dept 1972]) that the defendant in that case, who was indicted for a one-time sale of heroin and the instruments for injecting it, could not be charged with a homicide offense because the legislature had criminalized the sale of illegal drugs but had not amended the Penal Law to include a specific reference to death caused by the sale of drugs, that rationale was flawed.

Crimes — Manslaughter — Recklessly Causing Death — Sufficiency of Evidence — Mens Rea — Provider of Controlled Substances Resulting in Overdose

3. In the prosecution of defendant former pain management physician for two counts of second-degree manslaughter, the evidence was legally sufficient to establish that he acted recklessly with respect to his treatment of and prescription practices for two patients who died from overdoses caused by a combination of oxycodone and alprazolam. Under Penal Law § 125.15 (1), the People had to prove that defendant “recklessly cause[d] the death” of the two patients, i.e., that he was “aware of and consciously disregard[ed] a substantial and unjustifiable risk” that death would occur, engaged in serious blameworthy conduct or carelessness contributing to that risk, and that his conduct was “a gross deviation” from that of a reasonable person in the situation (Penal Law § 15.05 [3]). Here, the People established that on a broad scale, defendant’s patients were not required to make appointments, had to pay cash, were charged more for early returns or requests for family member pick-ups or higher doses, and that defendant generally prescribed whatever was requested. Most of the prescriptions for controlled substances written by defendant were for a substance containing oxycodone or alprazolam (Xanax). Defendant usually did not examine patients, order diagnostic tests or attempt to consider non-opioid treatment, and he ignored warning signs of opioid addiction. Moreover, with respect to the two deceased patients, defendant prescribed opioids to each of them on their first visit without considering other treatments and without diagnostic testing, and also prescribed Xanax to both without any indication or documented basis that either patient suffered from anxiety. Three days before each patient overdosed, they had returned to defendant and were each provided a prescription for a combination of drugs that created a high probability of overdose and death. A rational juror could have concluded, based on a valid line of reasoning and permissible inferences, that defendant was aware of and consciously disregarded a substantial and unjustifiable risk that the two patients would take more drugs than prescribed and would die by overdose, and, given defendant’s position as their medical doctor, that defendant’s conduct constituted a gross deviation from the standard of conduct a reasonable person would observe in the situation.

Crimes — Manslaughter — Recklessly Causing Death — Sufficiency of Evidence — Causation — Provider of Controlled Substances Resulting in Overdose

4. In the prosecution of defendant former pain management physician for second-degree manslaughter arising from the overdose death of one of his patients, the evidence was legally sufficient to establish that his reckless conduct with respect to his treatment of and prescription practices for the patient was a sufficiently direct cause of that patient’s death. A defendant’s conduct constitutes a sufficiently direct cause of death when the People prove that the defendant’s actions were an actual contributory cause of the death, in the sense that they forged a link in the chain of causes which actually brought about the death, and the fatal result was reasonably foreseeable. Here, defendant prescribed opioids to the patient on his first visit without doing a diagnostic workup, considering non-opioid treatments, or verifying the information the patient gave him about receiving high doses of opioids from other doctors. When the patient complained of increased pain, defendant added a prescription for Percocet without determining the reason for the increased pain, and also prescribed Xanax without any indication or

documented basis that the patient suffered from anxiety. Moreover, the patient returned early for his medication three times before he overdosed. When the patient's body was discovered the police also recovered prescription bottles of oxycodone and Percocet, prescribed by defendant three days earlier and filled on the same date, with dozens of pills missing from each bottle. The patient had Xanax in his system, which lowered the amount of oxycodone necessary to kill him. Although the People did not prove that the Xanax came from defendant, the toxicologist testified that the patient's oxycodone levels were so high that it was "clearly a fatal dose." Based on that evidence, a rational juror could conclude that defendant's reckless conduct was an actual contributory cause of the patient's death. The fact that the patient took the substances defendant prescribed in a greater dosage than prescribed was neither an intervening, independent agency nor unforeseeable.

Crimes — Manslaughter — Recklessly Causing Death — Sufficiency of Evidence — Causation — Provider of Controlled Substances Resulting in Overdose

5. In the prosecution of defendant former pain management physician for second-degree manslaughter arising from the overdose death of one of his patients, the evidence was legally sufficient to establish that his reckless conduct with respect to his treatment of and prescription practices for the patient was a sufficiently direct cause of that patient's death. A defendant's conduct constitutes a sufficiently direct cause of death when the People prove that the defendant's actions were an actual contributory cause of the death, in the sense that they forged a link in the chain of causes which actually brought about the death, and the fatal result was reasonably foreseeable. Here, defendant prescribed opioids to the patient on his first visit after conducting only a cursory physical examination and without considering any non-opioid treatments, ordering diagnostic testing, or diagnosing the source of the pain the patient alleged to have sustained as the result of a fall. When the patient returned after another fall defendant again failed to order diagnostic tests and conducted little to no physical examination. Instead, defendant prescribed oxycodone and Xanax, without any indication that the patient suffered from anxiety. On the night before he died, the patient took Xanax from a bottle prescribed by defendant two days before, and when that pill bottle was recovered from his car, more than half of the pills prescribed were gone. The People demonstrated that the patient's death was caused by "[a]cute intoxication due to [the] combined effects of alprazolam and oxycodone," meaning that although the substances were not found in his body at "overwhelmingly high level[s]," the doses were high enough that, acting synergistically, they depressed his respiration and caused his death. Although the People failed to prove that the oxycodone that contributed to the patient's death came from defendant, the evidence supported a conclusion that the Xanax he ingested did. Thus, there was a valid line of reasoning and permissible inferences from which the jury could conclude that defendant's conduct was an actual contributory cause of the patient's death. The fact that the patient took the substances defendant prescribed in a greater dosage than prescribed was neither an intervening, independent agency nor unforeseeable.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Homicide §§ 43, 44, 56, 57, 79, 89.

McKINNEY'S, Penal Law §§ 15.05 (3); 125.15 (1).

NY JUR 2d Criminal Law: Substantive Principles and Offenses §§ 29, 460, 541–543, 578.

ANNOTATION REFERENCE

Comment Note: Criminal Liability for Death Resulting from Unlawfully Furnishing Liquor or Drugs to Another. 29 ALR7th Art. 8.

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POINTS OF COUNSEL

Belair & Evans LLP, New York City (*Raymond W. Belair* and *Vincent J. Frazzetto* of counsel), for appellant. I. The order appealed from represented an abandonment of precedent regarding legislative intent in the enactment of criminal penalties for the illegal sale of dangerous drugs. (*People v Pinckney*, 38 AD2d 217, 32 NY2d 749; *People v Cruciani*, 36 NY2d 304; *People v Galle*, 77 NY2d 953; *Green v Abrams*, 984 F2d 41.) II. The manslaughter convictions should be reversed and dismissed because of a failure of proof.

Cyrus R. Vance, Jr., District Attorney, New York City (*Vincent Rivellese* and *Christopher P. Marinelli* of counsel), for respondent. The evidence overwhelmingly proved defendant's guilt of second-degree manslaughter. (*People v Bleakley*, 69 NY2d 490; *People v Kancharla*, 23 NY3d 294; *People v Ramos*, 19 NY3d 133; *People v Norman*, 85 NY2d 609; *People v Tejeda*, 73 NY2d 958; *People v Davis*, 28 NY3d 294; *People v DaCosta*, 6 NY3d 181; *People v Matos*, 83 NY2d 509; *People v Kibbe*, 35 NY2d 407; *People v Pinckney*, 38 AD2d 217.)

OPINION OF THE COURT

FAHEY, J.

Here, the Appellate Division rejected defendant's challenges to his conviction of two counts of manslaughter in the second degree. We affirm the Appellate Division order, insofar as appealed from.

I.

Defendant, then a physician board-certified in anesthesiology and pain management, was accused of running a "pill mill"

at his Queens pain management clinic. During a lengthy jury trial, the People presented evidence that defendant prescribed medically unnecessary high doses of opioids, alprazolam, and other controlled substances as a first resort. Defendant generally did not verify the source of the pain complained of by the patient for which the patient sought the controlled substances, order diagnostic tests for objective confirmation of the existence of the pain, or consider other pain management treatment options. He conducted little to no physical examination. Defendant often prescribed heavy doses of whatever medication his patients requested to alleviate their complaints of pain. He required payment in cash and charged extra for, among other things, higher doses of opioids. Several of defendant's former patients testified at trial that they were opioid addicts. They testified that they used the drugs defendant prescribed them to get high, rather than for legitimate pain management. Indeed, defendant was advised by other medical practitioners and patients' family members that several of his patients were addicted to opioids and at risk of dying from opioid abuse.

Two of defendant's patients, Joseph Haeg and Nicholas Rappold, died of overdoses caused by a combination of oxycodone and alprazolam on December 29, 2009, and September 14, 2010, respectively, shortly after filling prescriptions for such drugs issued by defendant. Pills from those prescriptions were found in their possession when their bodies were discovered. Defendant was charged with two counts of manslaughter in the second degree (*see* Penal Law § 125.15 [1]) for the deaths of Haeg and Rappold, along with multiple other crimes related to Haeg, Rappold, and a number of other patients.

Defendant was ultimately convicted of two counts of manslaughter in the second degree, three counts of reckless endangerment in the first degree, three counts of reckless endangerment in the second degree, 170 counts of criminal sale of a prescription, one count of scheme to defraud in the first degree, two counts of grand larceny in the third degree, nine counts of falsifying business records in the first degree, and eight counts of offering a false instrument for filing in the first degree. The Appellate Division unanimously affirmed (155 AD3d 571 [1st Dept 2017]), and a Judge of this Court granted defendant leave to appeal (31 NY3d 1119 [2018]).

On this appeal, defendant challenges only his conviction of two counts of manslaughter in the second degree. He raises

two contentions. First, defendant argues that, as a matter of law, he cannot be convicted of any homicide offense for providing controlled substances that result in an overdose death. Second, defendant asserts that his conviction on the manslaughter counts is not supported by legally sufficient evidence.

II.

[1] Defendant is incorrect that, as a matter of law, his conduct may not be prosecuted as a homicide offense. He relies heavily on *People v Pinckney* (38 AD2d 217 [2d Dept 1972]), where the Appellate Division upheld the dismissal of counts of an indictment charging manslaughter in the second degree and criminally negligent homicide after the defendant sold heroin to the victim, who later died after injecting it (*see id.* at 218). The Appellate Division reasoned that the legislature had already provided penalties in the Penal Law for the sale of dangerous drugs but had not amended the homicide provisions of the Penal Law “to include homicide by the selling of dangerous drugs” (*id.* at 220-221).

This Court affirmed the Appellate Division order in *Pinckney* without opinion (32 NY2d 749 [1973]). The precedential value of such a ruling is minimal. An affirmance without opinion constitutes approval of only the result reached and “does not imply approval of everything contained in the opinion of the court below” (*People ex rel. Palmer v Travis*, 223 NY 150, 156 [1918]; *see also Matter of Clark*, 275 NY 1, 4 [1937]; *Rogers v Decker*, 131 NY 490, 493 [1892]). We disagree with our dissenting colleague that our affirmance in *Pinckney*, which involved an indictment alleging a one-time sale of heroin and the instruments for injecting it, forecloses the prosecution of defendant for a homicide offense under the very different factual circumstances presented here (*see* dissenting op at 375-377).

Subsequent decisions from this Court refute defendant’s assertion that a person who provides dangerous drugs that result in death can never, under any circumstances, be prosecuted for homicide (*see People v Galle*, 77 NY2d 953, 955-956 [1991]; *People v Cruciani*, 36 NY2d 304, 305-306 [1975]). Although in those cases, the defendants injected the victims with drugs, we did not state that this was a necessary element, as a matter of law, for homicide charges to be sustained. Rather, the defendants’ injection of the drugs in those cases was one piece of evidence that supported the homicide charges and that distinguished those cases from *Pinckney* (*see Cruciani*, 36 NY2d at 305-306).

[2] Insofar as the Appellate Division reasoned in *Pinckney* that the defendant could not be charged with a homicide offense because the legislature had criminalized the sale of illegal drugs but had not amended Penal Law article 125 to include a specific reference to death caused by the sale of drugs (see *Pinckney*, 38 AD2d at 220-221), that rationale was flawed. “As a general rule, a statutory prohibition against a particular type of conduct will not be deemed to constitute the exclusive vehicle for prosecuting that conduct unless the Legislature clearly intended such a result” (*People v Duffy*, 79 NY2d 611, 614 [1992]).

There is no basis to conclude that the legislature intended to exclude from the ambit of the homicide statutes the prosecution of a defendant who, with the requisite mens rea, engages in conduct through the sale or provision of dangerous drugs that directly causes the death of a person. The fact that the legislature has separately criminalized the illegal sale of controlled substances does not require a different conclusion (see *id.* at 614-615).^{*} We agree with the Appellate Division that “all that was needed for the manslaughter charge to be sustained was for the People to satisfy its elements” (155 AD3d at 574).

III.

We further conclude that defendant’s conviction of two counts of second-degree manslaughter is supported by legally sufficient evidence. “A verdict is legally sufficient when, viewing the facts in a light most favorable to the People, ‘there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt’ ” (*People v Danielson*, 9 NY3d 342, 349 [2007], quoting *People v Acosta*, 80 NY2d 665, 672 [1993]). “A sufficiency inquiry requires a court to marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained its burden of proof” (*Danielson*, 9 NY3d at 349). “This deferential standard is employed because the courts’ role on legal sufficiency review is simply to determine whether enough evidence has been presented so that the resulting verdict was lawful” (*Acosta*, 80 NY2d at 672).

^{*} We disagree with defendant that any inferences can be drawn from failed attempts in the legislature to amend the homicide statutes (see *People v Ocasio*, 28 NY3d 178, 183 n 2 [2016]).

Importantly, “[i]n determining the legal sufficiency of the evidence for a criminal conviction we indulge all reasonable inferences in the People’s favor, mindful that a ‘jury faced with conflicting evidence may accept some and reject other items of evidence’” (*People v Carrel*, 99 NY2d 546, 547 [2002], quoting *People v Ford*, 66 NY2d 428, 437 [1985]). It is the “province of the jury” to assess witness credibility (*People v Calabria*, 3 NY3d 80, 82 [2004]), and we therefore assume on a legal sufficiency review that the jury credited the People’s witnesses (see *People v Gordon*, 23 NY3d 643, 649 [2014]).

A. Recklessness

To convict defendant of second-degree manslaughter, the People were required to prove beyond a reasonable doubt that defendant “recklessly cause[d] the death” of Haeg and Rappold (Penal Law § 125.15 [1]).

“A person acts recklessly with respect to a result or to a circumstance described by a statute defining an offense when [that person] is aware of and consciously disregards a substantial and unjustifiable risk that such result will occur or that such circumstance exists. The risk must be of such nature and degree that disregard thereof constitutes a gross deviation from the standard of conduct that a reasonable person would observe in the situation” (Penal Law § 15.05 [3]).

A conviction for reckless manslaughter “require[s] that there be a ‘substantial and unjustifiable risk’ that death . . . will occur; that the defendant engage in some blameworthy conduct contributing to that risk; and that the defendant’s conduct amount to a ‘gross deviation’ from how a reasonable person would act” (*People v Asaro*, 21 NY3d 677, 684 [2013], quoting Penal Law § 15.05 [3]). The conduct must be “the kind of seriously blameworthy carelessness whose seriousness would be apparent to anyone who shares the community’s general sense of right and wrong” (*Asaro*, 21 NY3d at 685 [internal quotation marks and citation omitted]).

The People’s considerable evidence with respect to defendant’s prescribing practices on a broader scale, which included testimony from several patients and their family members, was relevant as context to assess his mens rea on the manslaughter charges with respect to Haeg and Rappold. The People presented evidence that patients were not required to

make appointments at defendant's clinic and were required to pay in cash. The clinic was open only on weekends, yet defendant wrote over 21,000 prescriptions for controlled substances between 2008 and 2011, most of those for a substance containing oxycodone or alprazolam (Xanax). From January 2008 to January 2011, defendant increased his prescribing of controlled substances by 683%. On a single day in January 2011, for example, defendant saw 94 patients at his clinic.

Defendant generally charged \$100 per office visit, and he increased the charge to \$150 if a patient returned early for more pills, had a friend or family member pick up the prescription, was obtaining prescriptions from other doctors, or wanted a higher daily dose of opioids. Patients testified that he generally prescribed whatever they requested, so long as they had the requisite cash payment. Physical examinations were either cursory or nonexistent. Defendant usually did not order diagnostic tests, and if he did, he did not change his prescribing practices if a patient failed to comply with tests that he did order.

The People's expert, Dr. Gharibo, testified that defendant made no attempt to consider non-opioid pain management treatment for his patients, despite his training in other pain management options and the addictive nature of the drugs he was prescribing. Defendant disregarded warning signs that his patients were abusing their medication and were addicted to opioids, such as early visits, obtaining prescriptions from other doctors, deterioration in physical appearance, and, in some cases, direct warnings from family members and hospitals that defendant's patients had overdosed. Defendant did not change his prescribing practices until law enforcement began investigating him in 2011. Defendant altered medical records in response to an investigation request from the New York State Health Department's Office of Professional Medical Conduct.

According to the People's witnesses, there was no basis for defendant's prescription of Xanax to a number of patients, including Haeg and Rappold, since that drug had no legitimate pain-relieving function. The People's witnesses also testified about the "synergistic respiratory depression" effect of opioids and Xanax when taken together. Those witnesses explained that oxycodone has a respiratory depression effect that, if taken in large enough doses, will cause a patient to stop breathing entirely. Xanax, also a depressant, exacerbated that effect when taken together with oxycodone, such that smaller doses of oxy-

codone could cause respiratory failure. Dr. Gharibo testified that Xanax is known to be highly addictive in combination with opioids, that addicts sometimes requested the medications together in order to enhance their narcotic highs, and that the combination of opioids and Xanax greatly increased the risk of a fatal overdose. Defendant was highly trained in pain management and the interaction and potential addictiveness of these drugs. Yet he frequently prescribed oxycodone and Xanax together without documentation as to why that combination of prescriptions was medically necessary for a particular patient. According to Dr. Gharibo, defendant's prescriptions of high doses of opioids and Xanax were not attempts to treat legitimate pain based on reasoned medical judgment but rather were designed to create and feed a cycle of craving and addiction. With respect to one of defendant's prescriptions written for a different patient, Dr. Gharibo testified that it was "an overdose waiting to happen."

Unlike the evidence with respect to some of defendant's surviving patients, the People did not present evidence that defendant was directly informed that the deceased patients, Haeg and Rappold, were addicts or had previously overdosed on medications he prescribed. Nevertheless, viewing the evidence in the light most favorable to the People, as we must, and giving the People the benefit of all reasonable inferences, we conclude that a rational jury could have found that defendant was aware of and consciously disregarded a substantial and unjustifiable risk that his prescription practices would result in the deaths of Haeg and Rappold.

Dr. Gharibo testified that defendant prescribed opioids to Haeg on the first visit. There was no diagnostic workup, no attempt to determine whether non-opioid treatments could be effective, and no verification of the information Haeg gave him about receiving high doses of opioids from other doctors. Although Haeg gave defendant an MRI from 2005 showing a central L 5-1 herniation, Dr. Gharibo testified that this was a "general finding" that was "not necessarily diagnostic." Defendant ordered another MRI for Haeg but did not change his prescribing practices after Haeg failed to obtain one. Instead, defendant continued to prescribe high doses of short-acting opioids, which Dr. Gharibo testified would create a cycle of craving and withdrawal. When Haeg complained of increased pain, defendant added a prescription for Percocet (oxycodone and acetaminophen), without determining the reason for the

increased pain. Defendant also prescribed Xanax, an anti-anxiety medication, to Haeg without any indication that Haeg suffered from anxiety and without any other documented medical basis. Furthermore, Haeg returned early for his medications three times before he overdosed in December 2009, which Dr. Gharibo testified should have alerted defendant that Haeg had an addiction and was unlikely to take his medications as prescribed. According to Dr. Gharibo, defendant created a “prescription regimen to enhance an addict’s high.” On December 26, 2009, three days before he was discovered dead from an overdose, defendant prescribed Haeg oxycodone, Percocet, and Xanax, among other medications. Dr. Gharibo testified that this specific prescription defendant issued to Haeg on December 26, 2009, created a “very high” risk that “covered the whole range of morbidity and mortality,” including “overdosing due to misusing [the] medication and dying from respiratory death.” In addition, after the medical examiner notified defendant of Haeg’s death and requested a copy of defendant’s patient file, defendant made several alterations to Haeg’s chart to make it appear as if he had taken a more complete patient medical history.

Rappold first saw defendant in July 2009, complaining of pain due to a fall. Defendant did not consider any non-opioid treatments for Rappold, who was then 20 years old, before prescribing a high dose of opioids to him on that first visit. Dr. Gharibo testified that defendant conducted only a cursory physical examination, ordered no diagnostic testing, and did not diagnose the source of Rappold’s pain. When Rappold returned to defendant over a year later, complaining of pain from another fall, defendant again failed to order diagnostic tests to objectively assess the complaint of pain and conducted little to no physical examination. Instead, defendant prescribed oxycodone and Xanax, without any indication that Rappold suffered from anxiety or needed Xanax for any other reason. Dr. Gharibo testified that this high-dose prescription was designed to create a cycle of craving and not to treat legitimate pain. Rappold returned six days later, complaining that he had lost his prescription. Without checking to see whether Rappold had, in fact, filled that prescription, defendant prescribed Percocet and Xanax at a decreased dose, with no explanation as to the change in prescription. On September 11, 2010, three days before he died, Rappold told defendant that the Percocet and Xanax were not working, so defendant returned to the earlier

prescription, which constituted a significant increase in Rappold's daily dose of oxycodone and Xanax. Dr. Gharibo opined that this prescription created a "high probability of overdose and death" even if Rappold took it exactly as prescribed.

[3] Viewing that evidence in the light most favorable to the People, we conclude that the evidence was sufficient to support the jury's finding that defendant acted recklessly. A rational juror could have concluded, based on a valid line of reasoning and permissible inferences, that defendant was aware of and consciously disregarded a substantial and unjustifiable risk that Haeg and Rappold would take more drugs than prescribed and would die by overdose, and, given defendant's position as their medical doctor, that defendant's conduct constituted a "gross deviation from the standard of conduct that a reasonable person would observe in the situation" (Penal Law § 15.05 [3]).

We disagree with our dissenting colleague that we have created a rule whereby "a reckless doctor is criminally liable for all deaths of patients under his or her care . . . irrespective of whether the doctor knew or should have known that the deceased patient would abuse the prescription medicine and would die as a result of the abuse" (dissenting op at 372). Rather, we agree with the dissent that in order to uphold defendant's conviction of two counts of manslaughter, we must conclude that the People proved, by legally sufficient evidence, that defendant was aware of and consciously disregarded a substantial and unjustifiable risk that Haeg and Rappold specifically would abuse their medications and die as a result. We simply disagree with the dissent that, viewing the evidence in the light most favorable to the People, that standard was not met here. As explained, while the record here may not contain evidence that defendant was directly told that Haeg and Rappold were abusing their prescriptions or previously had come close to death by overdose, the record does contain evidence from which the jury could infer that defendant was aware of and consciously disregarded a substantial and unjustifiable risk that Haeg and Rappold were abusing the prescription drugs that defendant provided and would die as a result. We further disagree with the dissent that defendant's prescribing practices as to other patients were irrelevant to his mens rea as it pertained to Haeg and Rappold specifically.

B. Causation

The People also were required to prove that defendant's conduct was a "sufficiently direct cause" of death, and that there was not "an obscure or merely probable connection" between defendant's conduct and the deaths (*People v Stewart*, 40 NY2d 692, 697 [1976] [emphasis and internal quotation marks omitted]). Defendant's conduct must "set[] in motion the events which ultimately result in the victim's death" (*People v Matos*, 83 NY2d 509, 511 [1994]). Nevertheless, defendant's actions "need not be the sole cause of death," and defendant "need not commit the final, fatal act to be culpable for causing death" (*id.*; see *Matter of Anthony M.*, 63 NY2d 270, 280 [1984]). As we recently summarized, a defendant's conduct constitutes a sufficiently direct cause of death when the People prove "(1) that defendant's actions were an actual contributory cause of [the] death, in the sense that they forged a link in the chain of causes which actually brought about the death; and (2) that the fatal result was reasonably foreseeable" (*People v Davis*, 28 NY3d 294, 300 [2016] [internal quotation marks and citations omitted]).

[4] When Haeg's body was discovered on December 29, 2009, the police also recovered prescription bottles of oxycodone and Percocet, prescribed by defendant on December 26, 2009, and filled on the same date, with dozens of pills missing from each bottle. Haeg had Xanax (among other drugs) in his system, which lowered the amount of oxycodone necessary to kill him. The People did not prove that the Xanax Haeg ingested came from defendant. Nevertheless, the toxicologist testified that Haeg's oxycodone levels were so high that it was "clearly a fatal dose." Based on this evidence, a rational juror could conclude that defendant's reckless conduct was an actual contributory cause of Haeg's death.

[5] The issue is closer with respect to Rappold, but we conclude that the evidence of causation was legally sufficient. The evidence showed that on the night before he died, Rappold took Xanax from a bottle prescribed by defendant two days before, and when that pill bottle was recovered from his car, more than half of the pills prescribed were gone. The People demonstrated that Rappold's death on September 14, 2010, was caused by "[a]cute intoxication due to [the] combined effects of alprazolam and oxycodone," meaning that although the substances were not found in his body at "overwhelmingly high level[s]," the doses were high enough that, acting synergisti-

cally, they depressed his respiration and caused his death. Although the People failed to prove that the oxycodone that contributed to Rappold's death came from defendant, the evidence supported a conclusion that the Xanax Rappold ingested did. Thus, there is a valid line of reasoning and permissible inferences from which the jury could conclude that defendant's conduct was an actual contributory cause of Rappold's death, in the sense that it "forged a link in the chain of causes which actually brought about the death" (*Davis*, 28 NY3d at 300). As noted, defendant's conduct need not be the sole cause of death (see *Matos*, 83 NY2d at 511).

Defendant's contention that Haeg's and Rappold's ingestion of the prescribed drugs in an amount greater than he prescribed was either an intervening cause or unforeseeable is without merit. "Even an intervening, independent agency will not exonerate defendant unless the death is solely attributable to the secondary agency, and not at all induced by the primary one" (*Anthony M.*, 63 NY2d at 280 [internal quotation marks omitted]; see *Stewart*, 40 NY2d at 697; *People v Kibbe*, 35 NY2d 407, 411-413 [1974]). With respect to foreseeability, "the People must prove 'that the ultimate harm is something which should have been foreseen as being reasonably related to the acts of the accused' " (*Davis*, 28 NY3d at 301, quoting *Kibbe*, 35 NY2d at 412).

The fact that Haeg and Rappold took the substances defendant prescribed for them in a greater dosage than prescribed is neither an intervening, independent agency nor unforeseeable. It is a direct and foreseeable result of defendant's reckless conduct. As explained, viewing the evidence in the light most favorable to the People, a rational juror could conclude that defendant was aware of and consciously disregarded a substantial and unjustifiable risk that Haeg and Rappold would take the medications he prescribed at a higher dose than prescribed in order to attain a narcotic high rather than for legitimate pain management, and that they would die as a result.

Finally, defendant argues that Dr. Gharibo's testimony was not credible or reliable, and that his own expert testified that defendant's prescriptions were well within the therapeutic range of normal dosing, supported by sound medical judgment, and could not have caused death if taken as prescribed. Defendant points to evidence, including his own testimony, that there was no reason for him to know that Haeg and Rappold were addicted to opioids, that they would misuse his prescriptions, or that they would die as a result.

These arguments, however, pertain to the weight of the evidence presented to the jury on the manslaughter counts, an issue that we have no power to review (see *Danielson*, 9 NY3d at 349). If the jury's verdict is supported by legally sufficient evidence, we have no power to overturn the conviction on weight grounds, "regardless of our subjective assessment of the strength of the People's case" (*People v Delamota*, 18 NY3d 107, 116 [2011]). The Appellate Division rejected defendant's arguments pertaining to the weight of the evidence (155 AD3d at 578), and defendant does not contend that the Appellate Division failed to conduct a weight analysis or applied an incorrect standard (see *Danielson*, 9 NY3d at 349; *Acosta*, 80 NY2d at 672). "[T]he limitations of our Court's jurisdiction prevent us from second-guessing" the Appellate Division's determination that defendant's conviction on the manslaughter counts was not contrary to the weight of the evidence (*Delamota*, 18 NY3d at 117).

Accordingly, the order of the Appellate Division insofar as appealed from should be affirmed.

WILSON, J. (dissenting). The central problem with the majority's decision is that it contains no limiting principle. Dr. Li was grotesquely reckless. I have no quarrel, not even a quibble, with the majority's conclusion that Dr. Li's prescription practices were reckless, contrary to sound medical practice, and unlawful. Dr. Li was convicted of 170 counts of criminal sale of a prescription (Penal Law § 220.65), as well as multiple counts of reckless endangerment in the first degree (Penal Law § 120.25) and second degree (Penal Law § 120.20), grand larceny in the third degree (Penal Law § 155.35 [1]), falsifying business records in the first degree (Penal Law § 175.10), offering a false instrument for filing in the first degree (Penal Law § 175.35), and a single count of scheme to defraud in the first degree (Penal Law § 190.65 [1] [b]). Those add up to 196 separate convictions. No doubt he is a criminal. He has not challenged any of those convictions in this appeal.

The two counts at issue are for manslaughter in the second degree (Penal Law § 125.15 [1]), arising from prescriptions Dr. Li issued to Joseph Haeg and Nicholas Rappold, who died when they consumed substantially larger doses of controlled substances than those prescribed by Dr. Li. The fundamental questions are these: under what circumstances has the legislature authorized manslaughter convictions of physicians when (a) a

patient has disregarded the prescribed dosage, resulting in death; or, more generally, (b) a physician has made a reckless decision and a patient has died. Historically, the criminal prosecution of medical doctors for homicide has been exceedingly rare (see R.E. Ferner & Sarah E. McDowell, *Doctors Charged with Manslaughter in the Course of Medical Practice, 1795-2005: A Literature Review*, 99 J Royal Soc'y Med 309 [2006] [reporting that, in the United Kingdom from 1795-2005, only 85 doctors were charged with manslaughter for deaths resulting from their medical practice]). The United States Drug Enforcement Agency tracks nationwide criminal convictions of doctors related to the distribution of controlled substances. Of the 294 doctors criminally convicted from 2003-2018, only two were convicted of homicides and two pleaded guilty (to involuntary manslaughter and negligent homicide, respectively) (see U.S. Department of Justice, Drug Enforcement Administration, Diversion Control Division, *Cases Against Doctors* available at <https://apps2.deadiversion.usdoj.gov/CasesAgainstDoctors/spring/main?execution=e1s1> [last accessed Nov. 19, 2019]).¹ The legislature has expressly provided a circumstance in which physicians may be charged with second-degree manslaughter: assisted suicide (Penal Law § 125.15 [3]). Other instances in which doctors have been charged with manslaughter have been ones in which the doctor knew, or should have known, that the doctor's actions would likely result in that specific patient's death.

The rule implicitly adopted by the majority is quite different: a reckless doctor is criminally liable for all deaths of patients under his or her care where drugs prescribed by (or errors made by) the doctor contributed to a patient's death, irrespective of whether the doctor knew or should have known that the deceased patient would abuse the prescription medicine and would die as a result of the abuse (or error).

I assume, as the majority does, that given Dr. Li's prescribing practices and thousands of patients, it was foreseeable that

1. Out of those four cases, the facts are readily available in only one. Dr. Noel Chua was convicted of felony murder after one of his patients overdosed and died. Dr. Chua lived with that patient, ordered nurses to administer drugs to the patient while the patient was high, and was explicitly told by a nurse that the patient was showing signs of addiction (see *Chua v State*, 289 Ga 220, 710 SE2d 540 [2011]). In another, involving Dr. James Bischoff, although the facts are not readily ascertainable, the indictment included a charge of "Robbery with a Weapon," suggesting that his case, too, is not similar to Dr. Li's.

some patient(s) of his were likely drug abusers, and a subset of those would die from ingesting drugs he had prescribed. But unlike the majority, I do not believe that proposition is sufficient to demonstrate the causation necessary to sustain a conviction for manslaughter. Instead, I believe our decisional law governing causation requires that Dr. Li had some basis to foresee that his prescriptions to Messrs. Haeg and Rappold were likely to cause *their* deaths. As to certain other of Dr. Li's patients, the record evidence would be sufficient to support a finding of causation—but those patients did not die. As to Messrs. Haeg and Rappold, the record evidence is insufficient to prove causation because it fails to establish that Dr. Li had reason to foresee the risk of their deaths in particular.

I.

A person is guilty of manslaughter in the second degree when that person “recklessly causes the death of another person” (Penal Law § 125.15 [1]). Here, “recklessly” is indisputably satisfied; the difficult issue resides in “causes.” To cause the death of another under New York law, a defendant's actions must be “‘a sufficiently direct cause’ of the death so that the fatal result was reasonably foreseeable” (*People v Hernandez*, 82 NY2d 309, 314 [1993], quoting *People v Kibbe*, 35 NY2d 407, 412 [1974]). A defendant's recklessness may be established, at least in part, by proof of the defendant's reckless conduct in circumstances other than the specific conduct resulting in the injury. Proof of causation, however, is distinct from recklessness because foreseeability must be established as to the specific fatal result occasioning the charge of manslaughter. In *People v Roth*, a petroleum transport company and two of its managers were indicted for second-degree manslaughter, criminally negligent homicide, reckless endangerment and several other crimes, resulting from an explosion that killed an employee (80 NY2d 239 [1992]). The “Appellate Division affirmed the dismissal of the homicide charges, the reckless endangerment charge and the charge of endangering public health, safety or the environment” (*id.* at 243). We affirmed the dismissal of the reckless manslaughter and criminally negligent homicide charges but reinstated the reckless endangerment charge. Although all of those charges required the same proof of recklessness, we explained that the manslaughter and criminally negligent homicide charges were legally unsupportable for lack of causation:

“the People were also required to submit proof from which the Grand Jury could conclude that the actual cause of the explosion was foreseeable. For purposes of criminal liability, it was not enough to show that, given the variety of dangerous conditions existing at the site, an explosion was foreseeable; instead the People were required to show that it was foreseeable that the explosion would occur in the manner that it did.

“It was error, therefore, to instruct the Grand Jury that the defendants could be indicted ‘if you find that they recklessly created unsafe conditions that led to [the victim’s] death by a foreseeable event, namely, the explosion.’ Moreover, even if the Grand Jury had been properly instructed in this regard, the indictment on these charges could not stand” (*id.* at 244 [citations omitted]).

We reinstated the reckless endangerment charge because, unlike the manslaughter and criminally negligent homicide charges, “there is no requirement that the defendants’ reckless conduct cause injury or death” (*id.* at 245). Although recklessness—including the foreseeability of some explosion—was sufficiently proved for all three counts, causation was not for the manslaughter and criminally negligent homicide charges. Likewise, to uphold Dr. Li’s manslaughter convictions, more than his rampant recklessness must be proved. There must also be sufficient evidence from which the jury could have found that Dr. Li’s treatment of Messrs. Haeg and Rappold was the direct and reasonably foreseeable cause of their deaths.

The standard to prove causation for manslaughter is different from, and more demanding than, the standard to prove causation in tort. As we explained in *People v Warner-Lambert Co.* (51 NY2d 295 [1980]): “[w]e subscribe to the requirement that the defendants’ actions must be a sufficiently direct cause of the ensuing death before there can be any imposition of criminal liability, and recognize, of course, that this standard is greater than that required to serve as a basis for tort liability” (*id.* at 306 [emphasis omitted]; *see also Roth*, 80 NY2d at 244). In the criminal context, a general foreseeable risk and an action that ignites a chain of causation, resulting in death, are not sufficient to prove that a defendant caused a specific reckless homicide (*see Warner-Lambert*, 51 NY2d at 305-306). Instead, the “actual immediate, triggering cause” of the specific

victim's death must be foreseeable for a defendant to be found guilty of manslaughter in the second degree (*id.* at 307).

Our prior cases in which a defendant was found guilty of second-degree manslaughter when the defendant had provided drugs causing an overdose, though not involving doctors, satisfy that heightened standard of causation. In *People v Cruciani*, we upheld the manslaughter conviction of a defendant who directly injected his girlfriend with heroin, causing her death, when the evidence established that the defendant knew his girlfriend was “completely bombed out on downs,” knew she had lost her capacity to “walk or talk straight,” and acknowledged his injection created a substantial possibility that she would die (36 NY2d 304, 305 [1975]). The defendant could foresee that his actions would be the immediate and triggering cause of his girlfriend's death (*see also People v Galle*, 77 NY2d 953 [1991]). Analogously, if Messrs. Haeg or Rappold had walked into Dr. Li's office, and Dr. Li had fed them an overdose of oxycodone and/or Xanax, causation would be firmly established. But under the rationale advanced by the majority here, every heroin dealer may be convicted of manslaughter for the deaths of all users overdosing from drugs supplied by that dealer. That, of course, is not the law, even though, just as Dr. Li should have known that some patients of his would overdose given his reckless prescription practices, heroin dealers know that some customers, too, will overdose.

The majority's treatment of a case involving a heroin dealer, *People v Pinckney* (38 AD2d 217 [2d Dept 1972], *affd* 32 NY2d 749 [1973]), is flawed. The Appellate Division held that a heroin dealer could not be prosecuted for manslaughter when one of his customers died from an overdose of the drugs he provided, using paraphernalia he also provided. Although we affirmed *Pinckney*, the majority notes that our summary affirmance has “minimal” precedential value and “‘does not imply approval of everything contained in the opinion of the court below’ ” (majority op at 362 [citation omitted]). Nevertheless, our summary affirmance in *Pinckney* poses a severe problem for the majority and cannot be brushed aside.

CPL 470.05 (2) states:

“[f]or purposes of appeal, a question of law with respect to a ruling or instruction of a criminal court during a trial or proceeding is presented when a protest thereto was registered, by the party claim-

ing error, at the time of such ruling or instruction or at any subsequent time when the court had an opportunity of effectively changing the same.”

In *Pinckney*, the defendant made only two arguments in the court of instance. First, he argued that the facts in the indictment did not meet the legal definition of recklessness, and second, he argued that “the legislature intended that manslaughter in the second degree and criminal negligent homicide should not apply in this type of case” (aff of Edward S. Panzer in support of motion, record on appeal at 15). Because we are powerless to decide a criminal appeal on an issue not raised in the court of instance, our summary affirmance in *Pinckney* must have adopted one or the other of those grounds.

If *Pinckney*’s holding rests on the lack of specific legislative action, it applies here as well, because the legislature has enacted no homicide statutes specifically related to the reckless prescription of medicines. If, instead, it rests on the indictment’s failure to establish recklessness, that too would bar Dr. Li’s manslaughter convictions. The indictment in *Pinckney* charged that the defendant:

“wilfully[sic], wrongfully and unlawfully did recklessly cause the death of one Francis John Muthig . . . by then and there selling to and providing said Francis John Muthig with a quantity of the narcotic drug Heroin which said Francis John Muthig immediately, with the instruments furnished to him by said William L. Pinckney, prepared for injection and did inject into his body, as a direct result of which said Francis John Muthig thereafter, on the 5th day of April, 1970, died, the said William L. Pinckney knowing the said Heroin to be a dangerous drug” (indictment, record on appeal at 7).

If that indictment is insufficient to charge Mr. Pinckney with manslaughter, Dr. Li cannot be convicted of it either.

The majority’s treatment of *Pinckney* is also instructive as to its view of the legal standard for causation. In *Pinckney*, both the Appellate Division majority and concurrence noted that prior cases upheld manslaughter convictions for the sale of a poison because the “obvious result of its use [is] death, [which] was known to the seller at the time of sale” (*Pinckney*, 38 AD2d at 219-220, citing *People v Licenziata*, 199 App Div 106 [2d Dept 1921], and *People v Voelker*, 220 App Div 528 [4th Dept 1927]). The Appellate Division then distinguished those cases

from the case of a defendant whose sale of heroin resulted in a user's death. *Pinckney* pointed out that, as to heroin, "[a]lthough it is a matter of common knowledge that the use of heroin can result in death, it is also a known fact that an injection of heroin into the body does not generally cause death" (*Pinckney*, 38 AD2d at 220; *see also id.* at 223-224 [Shapiro, J., concurring]). The same is true of opioids other than heroin, particularly when prescribed by a doctor: they can, but do not usually, result in death. Presumably, the majority's reason for brushing *Pinckney* aside is to adopt a different rule of causation, one in which the reckless distribution of a dangerous drug is itself sufficient to establish causation—including foreseeability—from deaths resulting from a defendant's distribution of that drug. Otherwise, Dr. Li could not be convicted of manslaughter.

That said, I do agree with the majority that oversight or physical administration of the fatal drugs is not "a necessary element, as a matter of law, for homicide charges to be sustained" (majority op at 362). For example, evidence regarding some of Dr. Li's other patients was sufficient to allow a trier of fact to find that Dr. Li's continued prescription of controlled substances to those patients would foreseeably result in a substantial risk of their deaths. One patient explicitly told Dr. Li that she was addicted to oxycodone and Xanax; that same patient's mother also called Dr. Li and implored him not to prescribe Soma to her daughter because it "was something that really could end her life" (supplemental appendix at 1342). As to certain other patients, Dr. Li knew they had previously overdosed on the same drugs he was prescribing; that knowledge would have allowed a trier of fact to conclude that Dr. Li could foresee that those patients would overdose again, with the attendant risk of death.² Had Mr. Rappold, or his mother, alerted Dr. Li to the fact that a few months before his death, Mr. Rappold had successfully completed an opioid detoxification program that administered Suboxone to him, that information would have been evidence suggesting that a foreseeable result of Dr. Li's subsequent provision of opioids to Mr. Rappold was his death. However, the record contains no evidence that Dr. Li was aware of that information. Such examples are

2. The majority's statement that "[w]ith respect to one of defendant's prescriptions written for a different patient, Dr. Gharibo testified that it was 'an overdose waiting to happen'" (majority op at 366), refers to a patient whose prescriptions included not just Xanax and OxyContin, but oxycodone, Opana and a Duragesic patch (containing fentanyl, a synthetic opiate).

not exhaustive but serve to demonstrate that the heightened standard of causation for criminal liability can be met in circumstances where the defendant, doctor or otherwise, does not directly administer the lethal dosage.

By contrast, Dr. Li's prescriptions to Messrs. Haeg and Rappold were not foreseeably the direct cause of their deaths. Mr. Haeg originally came to Dr. Li with an MRI showing a central L 5-1 herniation and complaining of chronic back pain that had persisted for 17 years, treated by opioids from his prior doctors. Dr. Li prescribed pain medication to Mr. Haeg at the same level Mr. Haeg said he had been receiving from his prior doctor—a far from fatal dosage if taken as instructed. In sharp contrast to certain other of Dr. Li's patients described above, Dr. Li had received no information to suggest that Mr. Haeg would not take his medication as instructed. Mr. Haeg's early visits for medication, alone, did not indicate that his prescriptions would be the immediate and triggering cause of his death, and on the two occasions (Sept. 26, 2009, and Dec. 5, 2009,) that Mr. Haeg returned early, Dr. Li wrote prescriptions for 84 pills instead of the usual 120.

As to Mr. Rappold, Dr. Li conducted an introductory physical examination of his new patient, who complained of pain from a fall, and prescribed him pain medication within accepted therapeutic bounds. When Mr. Rappold returned early, explaining that he had lost his prescription, Dr. Li issued him a prescription with a sharply reduced dose. Dr. Li did not return Mr. Rappold's prescription to its original dosage until Mr. Rappold told Dr. Li that the pain medications were no longer working. Again, there was no indication that Mr. Rappold would not take his prescriptions as instructed and no evidence to suggest that those prescriptions would foreseeably result in Mr. Rappold's death. Indeed, the evidence at trial suggested that Mr. Rappold had ingested drugs from multiple sources on the night he died, further attenuating the claim that Dr. Li caused his death. No record evidence indicates that Dr. Li had reason to believe Mr. Rappold was obtaining drugs from others, likely illegally.

II.

Our several cases relied on by the majority to describe the causation requirement for homicide do not support the conclusion that, absent some reason for a physician to believe that a patient will radically disregard prescribed dosages, liability for

homicide attaches if the patient dies as a result of an overdose. In *People v Stewart* (40 NY2d 692 [1976]), the defendant stabbed his victim in the stomach; the question was whether the victim, who died during surgery, died as a result of the stab wound or as a result of a heart attack occurring when the surgeons decided to repair a hernia unrelated to the stab wound. There, we expressly stated that “something more is required” than proving that the defendant’s conduct “forged a link in the chain of causes which actually brought about the death,” namely, “the defendant’s actions must be a *sufficiently direct cause* of the ensuing death before there can be any imposition of criminal liability” (*id.* at 697). We vacated the defendant’s conviction for manslaughter, reducing it to assault.

People v Matos (83 NY2d 509 [1994]) holds that the felony murder rule applies to a defendant whose rooftop flight from the police resulted in the falling death of a pursuing officer because “it should also be foreseeable that someone might fall while in hot pursuit across urban roofs in the middle of the night” (*id.* at 512). *Matter of Anthony M.* (63 NY2d 270 [1984]) held that defendants could be held to have caused the cardiac-arrest deaths of their assault victims, who had no prior history of cardiac trouble, where medical evidence supported the conclusion that the stress of the assaults caused the fatal heart attacks days later. *People v Davis* (28 NY3d 294 [2016]) is the same: death by cardiac arrest following an assault. Those cases are fundamentally different from Dr. Li’s. Unlike the defendants in those cases, Dr. Li had no reason to foresee that Messrs. Haeg or Rappold would so substantially deviate from the prescribed dosages as to cause their deaths.

Although the majority asserts that “a rational juror could conclude that defendant was aware of and consciously disregarded a substantial and unjustifiable risk that Haeg and Rappold would take the medications he prescribed at a higher dose than prescribed in order to attain a narcotic high rather than for legitimate pain management, and that they would die as a result” (majority op at 370), the majority does not specify on what evidence a rational juror could so conclude. There are only two possibilities: either it is the overall evidence of Dr. Li’s reckless pain management practice in general—which means the majority has adopted a rule that if a doctor’s recklessness makes it foreseeable that some patients may die from an overdose, causation is established as to any death resulting from any patient’s overdose—or else something about

Dr. Li's practice with regard to Messrs. Haeg and Rappold in particular demonstrates specific foreseeability as to their deaths.

If it is the latter, the evidence is not sufficient to establish causation. Taking Mr. Haeg, as to whom the majority says the evidence of recklessness is stronger, most of what the majority describes (majority op at 366-367) does not show any reasonable foreseeability of prescription abuse, much less death. For example, Dr. Li's failure to verify independently the doses prescribed by Mr. Haeg's former doctors, or his failure to reduce Mr. Haeg's dosages when Mr. Haeg did not provide the updated MRI that Dr. Li requested, do not bear on the question of foreseeability of death. Presumably, a doctor who prescribes Xanax to a patient without an indication that the patient has anxiety is not liable for manslaughter if the patient takes an overdose of Xanax, although perhaps the majority's new rule is otherwise.

The sole item cited by the majority that appears to bear on foreseeability is Dr. Gharibo's testimony that the prescription given to Mr. Haeg "three days before he was discovered dead from an overdose . . . created a 'very high' risk that 'covered the whole range of morbidity and mortality,' including 'overdosing due to misusing [the] medication and dying from respiratory death' " (majority op at 367). But that is not what Dr. Gharibo testified. Instead, the majority has taken his statement that the prescribed dosages created a "very high risk, highly addictive, inappropriate misprescribing . . . driven to prescribe to create addiction and potentially even create diversion and death to the individual as well as to the people around them" (supplemental appendix at 0906)—which makes a clear distinction between the "very high risk" (that Dr. Li would create an addiction) and the less foreseeable result (that he could "*potentially* even create diversion and death")—and appended it to Dr. Gharibo's assessment of the general risk faced by opioid addicts. That generalized risk includes a smörgåsbord of catastrophes ranging from "falling and injuring themselves and getting hurt in a whole variety of ways, whether it's injuring their foot or hand or getting hit by a car, to overdosing due to misusing their medication and dying from respiratory death." Dr. Gharibo's testimony as to the litany of doom that might befall any opioid addict—from stubbing one's toe to death—demonstrates the lack of foreseeability of any particular result within that range. His testimony does not meet the

standard for causation as set forth in *Warner-Lambert* and *Roth*.

The majority has extended homicide liability to physicians by blurring recklessness into causation: if a doctor is generally reckless in prescribing drugs, it is foreseeable that some patient may die; if it is foreseeable that some patient may die, causation is established when any patient dies from an overdose of the prescribed drug(s). In applying a standard under which doctors can be found guilty of manslaughter if they maintain reckless prescription practices and a patient takes an overdose, the majority creates a novel and unwelcome extension of criminal liability for physicians.

III.

The result here (holding a reckless doctor liable for homicide as a result of a patient's death) is inconsistent with the way errors—even grossly negligent, fatal errors—by doctors have been historically addressed. The state licenses doctors to make sure they are at least minimally competent, withdraws licensure if a doctor proves incompetent, and subjects all doctors, good and bad, to tort liability under well-established law governing medical malpractice.³ Doctors can also be found guilty of crimes other than manslaughter, including crimes that the legislature specifically targeted at the criminal sale of prescriptions for which Dr. Li has been convicted.

Exactly how far today's decision expands the homicide liability for doctors is unclear. If a doctor recklessly prescribes drugs that interact and cause a death, will that be considered manslaughter? If a doctor relies on a patient's self-report of medical history or allergies and the patient dies, will that be deemed reckless and also sufficient to establish causation because the doctor acted without independently verifying the information, justifying a manslaughter charge? We have previously recognized the impropriety in conflating the causation element required in typical homicides with the causation element required in commercial situations resulting in death (*see*

3. In 2018, New York courts awarded \$685,317,000 in damages in 1,535 successful medical malpractice suits (LeverageRx, *2019 Medical Malpractice Payout Report: A complete analysis of medical malpractice payouts as recorded by the National Practitioner Data Bank [a computer database of the United States Department of Health and Human Services]*, presented by LeverageRx, available at <https://www.leveragerx.com/malpractice-insurance/2019-medical-malpractice-report/> [last accessed Nov. 19, 2019]).

People v DaCosta, 6 NY3d 181, 186 [2006]). I would tread much more gingerly in advancing homicide liability against doctors than does the majority, leaving the legislature to determine, prospectively, what criminal penalties should attach to what kinds of reckless conduct by doctors, instead of attempting to apply to the medical profession causation rules developed in cases involving garden-variety assaults and burglaries. To some extent, the legislature has already done so, as evidenced by the myriad other crimes of which Dr. Li was tried and convicted, convictions he has not appealed to this court.

Chief Judge DiFiore and Judges Rivera, Stein, Garcia and Feinman concur; Judge Wilson dissents in an opinion.

Order insofar as appealed from affirmed.

[142 NE3d 641, 119 NYS3d 749]

JOSE RIVERA, Appellant, v STATE OF NEW YORK, Respondent.
(Claim No. 120113.)

Argued October 24, 2019; decided November 25, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 14, 2017. The Appellate Division affirmed, “for reasons stated in the decisions at the Court of Claims,” an order of the Court of Claims (Judith A. Hard, J.; op 59 Misc 3d 1223[A], 2017 NY Slip Op 52002[U] [2017]) which had (1) denied claimant’s motion for summary judgment; (2) granted defendant’s cross motion for summary judgment; and (3) dismissed the claim against defendant. A prior order of that Court of Claims had granted defendant’s motion to amend its answer to add affirmative defenses, including a defense asserting that claimant’s injuries were caused by the independent and superceding intervention of persons acting outside of the scope of their official duties or employment.

Rivera v State of New York, 162 AD3d 1571, affirmed.

HEADNOTE

Employment Relationships — Respondeat Superior — Vicarious Liability — Correction Officer’s Brutal Attack on Inmate Beyond Scope of Employment

No reasonable factfinder could have concluded that a correction officer’s brutal and unprovoked attack on claimant inmate constituted action taken within the scope of employment and, thus, the courts below did not err in finding defendant State met its summary judgment burden warranting dismissal of claimant’s assault and battery claim, having established that it could not be held vicariously liable under a theory of respondeat superior. Although the correction officer was on duty and supervising inmates at the time and the attack occurred at the prison, the brutal beating could be characterized neither as an irregular performance of duty nor a mere disregard of instructions. The attack was not in furtherance of any employer-related goal whatsoever. Correction officers are authorized to use physical force against inmates in limited circumstances such as in self-defense or to suppress a revolt. While in some cases, particularly those involving occupations for which some physical contact with others is permissible or even expected, the vicarious liability issues may be appropriately left to the factfinder, here, the gratuitous and unauthorized use of force was so egregious as to constitute a significant departure from the normal methods of performance of the duties of a correction officer as a matter of law. Further, there was no evidence in the record that the Department of Corrections and Community Supervision should—or could—have reasonably anticipated such a flagrant and unjustified use of force.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Employment Relationship §§ 356, 359–364.
DOBBS LAW OF TORTS §§ 425–428.
NY JUR 2d Employment Relations §§ 396, 405, 410, 416;
NY JUR 2d Government Tort Liability § 178.
NEW YORK LAW OF TORTS §§ 9:2, 9:7, 9:11, 9:13, 9:14.

ANNOTATION REFERENCE

See ALR Index under Prison Guards or Officials; Vicarious Liability.

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Query: vicarious! /2 liab! & assault! /s scope /4 employment & prison

POINTS OF COUNSEL

Goldberger & Dubin, P.C., New York City (*Stacey Van Malden* of counsel), for appellant. I. The Appellate Division erred in affirming the Court of Claims grant of defendant's motion for summary judgment when it held that defendant's employees were not acting within the scope of their duties as correction officers. (*Matter of Sharrow v State of New York*, 216 AD2d 844; *Riviello v Waldron*, 47 NY2d 297; *Spitz v Coughlin*, 161 AD2d 1088; *Gore v Kuhlman*, 217 AD2d 890; *Murray v Reif*, 36 AD3d 1167; *Arteaga v State of New York*, 72 NY2d 212; *Della Pietra v State of New York*, 71 NY2d 792; *Ierardi v Sisco*, 119 F3d 183.) II. The Appellate Division erred in affirming the Court of Claims decision to permit the defendant to amend its answer when such amendment caused great prejudice to the claimant. (*Bryant v Broadcast Music, Inc.*, 27 AD3d 683; *McGrath v Town of Irondequoit*, 120 AD3d 968; *Haywood v Drown*, 9 NY3d 481; *Matter of Gagliardi v Board of Appeals of Vil. of Pawling*, 188 AD2d 923, 81 NY2d 707; *Murray v City of New York*, 43 NY2d 400; *Edenwald Contr. Co. v City of New York*, 60 NY2d 957; *Stengel v Clarence Materials Corp.*, 144 AD2d 917.)

Letitia James, Attorney General, Albany (*Patrick A. Woods, Barbara D. Underwood, Jeffrey W. Lang and Victor Paladino* of

counsel), for respondent. I. The State of New York was properly granted summary judgment dismissing Jose Rivera's assault claim. (*Adams v New York City Tr. Auth.*, 88 NY2d 116; *Judith M. v Sisters of Charity Hosp.*, 93 NY2d 932; *Lundberg v State of New York*, 25 NY2d 467; *Joseph v City of Buffalo*, 83 NY2d 141; *Maloney v Rodriguez*, 156 AD3d 1404; *Riviello v Waldron*, 47 NY2d 297; *Matter of Sagal-Cotler v Board of Educ. of the City Sch. Dist. of the City of N.Y.*, 20 NY3d 671; *Gore v Kuhlman*, 217 AD2d 890; *Spitz v Coughlin*, 161 AD2d 1088; *Murray v Reif*, 36 AD3d 1167.) II. The Appellate Division did not abuse its discretion when it affirmed the Court of Claims' order permitting the State of New York to amend its answer. (*McCaskey, Davies & Assoc. v New York City Health & Hosps. Corp.*, 59 NY2d 755; *Kimso Apts., LLC v Gandhi*, 24 NY3d 403; *Murray v City of New York*, 43 NY2d 400; *Matter of Von Bulow*, 63 NY2d 221; *Loomis v Civetta Corinno Constr. Corp.*, 54 NY2d 18; *Matter of Sagal-Cotler v Board of Educ. of the City Sch. Dist. of the City of N.Y.*, 20 NY3d 671; *Goodyear Aluminum Prods. v State of New York*, 12 AD2d 692; *Kolnacki v State of New York*, 8 NY3d 277; *Manhattan Telecom. Corp. v H & A Locksmith, Inc.*, 21 NY3d 200; *Lacks v Lacks*, 41 NY2d 71.)

OPINION OF THE COURT

Chief Judge DiFiore.

Correction officers are tasked with the formidable and critical responsibility of protecting the safety of inmates and coworkers while maintaining order in correctional facilities (*Arteaga v State of New York*, 72 NY2d 212, 217 [1988]). When that obligation is breached, the State may be directly liable for injuries suffered by an inmate if it acted negligently, by failing to properly hire, train or supervise its employees, or vicariously liable if a culpable employee intentionally or negligently caused the injuries while acting in the scope of employment. The only question before us in this assault and battery case is whether the courts below erred in concluding the State met its summary judgment burden, establishing that it could not be liable under the doctrine of respondeat superior for injuries an inmate sustained during a brutal and unprovoked attack initiated by a correction officer. Because they did not, we affirm.

The relevant facts are not disputed. In January 2010, claimant was an inmate at a prison operated by the State

Department of Correctional Services (DOCS).¹ One morning when claimant entered the prison mess hall, Correction Officer Michael Wehby mocked his medically-issued protective helmet, which he was required to wear due to a seizure disorder. Claimant asked Wehby not to make fun of his helmet, fearing harassment by other inmates, and walked towards the food serving line. Wehby called claimant back to the doorway of the mess hall. When claimant obliged, Wehby grabbed claimant's jacket, pulled him outside the mess hall and began punching him on the face and head. Claimant was forced to his knees while Wehby hit and stomped on him, at which point two other correction officers—Officer Robert Femia and Sergeant Joseph LaTour—pushed claimant down and applied handcuffs. Wehby removed claimant's helmet and continued the assault, yelling expletives and saying, in substance, "I hope you die." While immobilized on the floor, claimant was punched, kneed and kicked in the head. At this juncture, Wehby struck claimant in the head with his radio with such force that the battery became dislodged and hit the wall. Eventually, claimant lost consciousness. During the prolonged, brutal attack, claimant did not resist or fight back, sustaining serious injuries. When claimant was eventually brought to the facility emergency room, medical staff were falsely told that his injuries were the result of a seizure. No mention was made that force had been used on him.

Soon after the incident, the DOCCS Inspector General's Office conducted an investigation. Although Wehby, Femia and LaTour gave statements to the Inspector General's Office containing facts contrary to those described above, their alternative version of events was deemed incredible. Among other disciplinary charges, all three were cited for providing false or misleading statements to the Inspector General; Wehby and LaTour were found to have engaged in the inappropriate use of force. Wehby was subsequently criminally prosecuted for the assault and, after a mistrial, pleaded guilty to official misconduct. All three correction officers lost their jobs (Wehby apparently had sufficient service credit to retire).

Over a year after the attack, claimant was granted permission from the Court of Claims to file a late notice of claim,

1. The New York State DOCS and the New York State Division of Parole merged to form the New York State Department of Corrections and Community Supervision (DOCCS) in April 2011. Throughout this writing, we refer to DOCS and DOCCS interchangeably.

authorizing the filing of this claim (No. 120113) against the State of New York pleading causes of action for assault and battery. The State answered, denying all allegations for which a response was necessary.² Approximately seven months later, claimant filed a second claim against the State (No. 120949), alleging six causes of action—failure to provide adequate protection, gross negligence, excessive force, failure to properly train and supervise, negligence per se (for assault and battery), and intentional infliction of emotional harm. Shortly thereafter, this claim was voluntarily discontinued by stipulation of the parties.

Several years later, claimant—represented by new counsel—moved for summary judgment on the second claim, attaching only that claim to the motion.³ Referencing several of the causes of action in the second, discontinued claim, claimant contended that DOCCS’ dismissal of its employees for use of excessive force and providing false or misleading information to the Inspector General was an admission demonstrating the absence of material issues of fact. With respect to the State’s vicarious liability for the acts of the correction officers, claimant argued, in summary fashion, that they acted within the scope of employment because they “were on duty, in uniform, supervising inmates” at the time of the assault. However, addressing the excessive force cause of action, claimant also asserted that there was “no justification whatsoever” for the attack on him. In support of the motion, claimant submitted, among other things, the Inspector General’s report and an affidavit describing the assault in terms consistent with the description set forth above.

2. The State moved to amend its answer in June 2015, seeking to assert three “affirmative defenses”—specifically, (1) that the State was not responsible for damages caused by persons acting outside the scope of their official duties or employment, (2) contributory negligence and (3) third-party negligence or fault. The court granted the motion over claimant’s objection, concluding that the “affirmative defenses” were “neither palpably insufficient nor patently devoid of merit” because, among other reasons, one could conclude Wehby’s actions fell outside the scope of employment. Claimant contends the court abused its discretion in granting the motion. However, even absent amendment of the answer, claimant could not survive summary judgment without raising a triable question of fact on the scope of employment issue, a necessary element to support his assault and battery claim against the State, which was premised on the imposition of vicarious liability for the acts of employees.

3. It appears new counsel believed the second claim was the operative pleading and did not recognize that it had been voluntarily discontinued.

The State opposed claimant's summary judgment motion, noting that the second claim had never been properly served and had been dismissed, leaving pending only the first claim for assault and battery, and arguing that claimant's failure to attach the proper pleading to the motion required its denial. In its cross motion for summary judgment, the State contended, among other things, that there was no basis on which it could be held vicariously liable for assault and battery, citing claimant's descriptions of the incident, because Wehby's assault was outside the scope of employment. The State emphasized that the unjustified and unauthorized use of force was a clear departure from DOCCS policies and procedures governing use of force. Claimant did not oppose the State's motion for summary judgment.

The Court of Claims denied claimant's motion for summary judgment based on the failure to attach the correct claim but noted that, even if it considered claimant's arguments in relation to the pending assault and battery claim, the result would be the same (59 Misc 3d 1233[A], 2017 NY Slip Op 52002[U] [Ct Cl 2017]). The court granted defendant's cross motion for summary judgment,⁴ holding that Wehby's attack was, as a matter of law, outside the scope of employment. After describing the elements of assault and battery, the court determined that, based on the undisputed facts, there was "no reasonable connection" between the assault and the duties normally performed by correction officers, deeming the attack a "substantial departure" from the normal methods of performance (2017 NY Slip Op 52002[U], *6). Further, the court reasoned that the "abhorrent" and unprovoked attack was wholly attributable to personal motive, reflected by the lack of any plausible justification for such vicious force (*id.*). Reasoning that DOCCS "could not [have] reasonably anticipate[d] that [Wehby] would act in such a heinous way," the court held there was "no viable basis upon which the State of New York may be held liable" for assault and battery (*id.*). The Appellate Division affirmed (162 AD3d 1571 [4th Dept 2018]).

In this Court, claimant contends that the Court of Claims erred in granting the State's summary judgment motion because the assault was within the scope of the correction offi-

4. In its decision, the Court of Claims deemed both summary judgment motions to be untimely, but nevertheless addressed them on the merits. Claimant does not argue that reversal is warranted on this procedural basis.

cers' employment and thus, the State is liable under the doctrine of respondeat superior. We are unpersuaded. Based on the undisputed facts, consistently presented in the parties' summary judgment papers, no reasonable factfinder could conclude that the assault constituted action taken within the scope of employment. Accordingly, the court did not err in determining that the State could not be held vicariously liable for the assault and battery.

Although claimant raised additional theories of recovery in his second claim, the only causes of action that remained pending—and which were the subject of the State's motion for summary judgment—were the intentional torts of assault and battery pleaded in the first claim. Battery is the unjustified touching of another person, without that person's consent, with the intent to cause a bodily contact that a reasonable person would find offensive; “[a]ssault involves putting a person in fear of a battery” (*Jeffreys v Griffin*, 1 NY3d 34, 41 n 2 [2003] [citation omitted]; see *Wende C. v United Methodist Church, N.Y. W. Area*, 4 NY3d 293, 298 [2005]; PJI 3:2, 3:3). Thus, claimant sought to hold the State vicariously liable, on the basis of respondeat superior, for the intentional and offensive bodily contact perpetrated by its employees.

Under the common-law doctrine of respondeat superior, an employer—including the State—may be held vicariously liable for torts, including intentional torts, committed by employees acting within the scope of their employment (see *Judith M. v Sisters of Charity Hosp.*, 93 NY2d 932, 933 [1999], citing *Rivello v Waldron*, 47 NY2d 297, 304 [1979]; *Jones v State of New York*, 33 NY2d 275 [1973]). “[T]he employer may be liable when the employee acts negligently or intentionally, so long as the tortious conduct is generally foreseeable and a natural incident of the employment” (*Judith M.*, 93 NY2d at 933). Liability attaches “for the tortious acts of . . . employees only if those acts were committed in furtherance of the employer's business and within the scope of employment” (*Doe v Guthrie Clinic, Ltd.*, 22 NY3d 480, 484 [2014], quoting *N.X. v Cabrini Med. Ctr.*, 97 NY2d 247, 251 [2002]). Thus, if an employee “for purposes of [their] own departs from the line of . . . duty so that for the time being [their] acts constitute an abandonment of . . . service, the [employer] is not liable” (*Judith M.*, 93 NY2d at 933 [internal quotation marks and citations omitted]). In determining whether an employee acted within the scope of employment for purposes of vicarious liability, we consider, among other factors,

“the connection between the time, place and occasion for the act; the history of the relationship between employer and employee as spelled out in actual practice; whether the act is one commonly done by such an employee; the extent of departure from normal methods of performance; and whether the specific act was one that the employer could reasonably have anticipated” (i.e., whether it was foreseeable) (*Riviello*, 47 NY2d at 303; see *Judith M.*, 93 NY2d at 933).

Whether an employee acted within the scope of employment is a fact-based inquiry (*Riviello*, 47 NY2d at 302-303). However, the question may be resolved on summary judgment, particularly when the material facts are undisputed (see *Joseph v City of Buffalo*, 83 NY2d 141 [1994]; *Zuckerman v City of New York*, 49 NY2d 557, 562-564 [1980]).

Accepting the version of events articulated in claimant’s summary judgment motion papers, which largely mirrored that in the State’s motion, the State met its burden of demonstrating that there was no basis to conclude that the assault constituted conduct within the scope of employment. Although the officers were on duty and the assault occurred at the prison while Wehby supervised inmates in the mess hall—satisfying the time, place and occasion factor—the other factors do not support respondeat superior liability. The brutal beating can be characterized neither as an “irregular[]” performance of duty nor a mere “disregard of instructions”—the attack was not in furtherance of any employer-related goal whatsoever (*Riviello*, 47 NY2d at 302).

We have long recognized that, in cases involving a use of force, whether an employee is acting within the scope of employment requires consideration of whether the employee was authorized to use force to effectuate the goals and duties of the employment (see *Sauter v New York Tribune, Inc.*, 305 NY 442, 445 [1953]). In some cases, particularly those involving occupations for which some physical contact with others is permissible or even expected, it may be difficult to determine whether a challenged action falls far enough outside the boundaries attendant to the employment relationship such that the employee should be solely liable for their respective tortious conduct. In those cases—where the question may be one of degree and not kind—the vicarious liability issue may be appropriately left to the factfinder. But this is not such a case.

Correction officers are authorized to use physical force against inmates in limited circumstances not present here, such as in self-defense or to suppress a revolt (*see* Correction Law § 137 [5]; 7 NYCRR 251-1.2 [a], [b]). DOCCS regulations require correction officers to exercise “[t]he greatest caution and conservative judgment” in determining whether physical force against an inmate is necessary (7 NYCRR 251-1.2 [a]). To be sure, correction officers at times use excessive force. Such conduct will not fall outside the scope of employment merely because it violates department rules or policies or crosses the line of sanctioned conduct. Under our multi-factored common-law test for determining respondeat superior liability, an employee’s deviation from directions or governing standards is only one consideration in the analysis. Here, the gratuitous and utterly unauthorized use of force was so egregious as to constitute a significant departure from the normal methods of performance of the duties of a correction officer as a matter of law. This was a malicious attack completely divorced from the employer’s interests.

Further, there is no evidence in the record that DOCCS should—or could—have reasonably anticipated such a flagrant and unjustified use of force, in which, assisted by other officers who immobilized and handcuffed claimant, Wehby repeatedly punched and kicked him during a prolonged assault, removing claimant’s protective helmet in order to facilitate more direct blows to his head. As such, based on the uncontested facts, it is evident that claimant’s injuries were not caused by actions taken within the scope of employment and thus, there were no triable issues of fact as to the State’s vicarious liability for assault and battery.⁵

5. The dissent does not address whether there is a rational view of the evidence under which Wehby acted within the scope of employment, deeming it unnecessary to reach the central issue in this case. Instead, the dissent speculates that Femia and LaTour might have been acting in furtherance of legitimate penological interests when, “rather than stop the beating, they restrained claimant, rendering him helpless as the violence intensified” (dissenting op at 392). However, the record contains no credible evidence supporting such a view, nor did claimant argue in the Court of Claims that a distinction could (or should) be drawn between Wehby and the other officers under the doctrine of respondeat superior. Claimant did not allege that Femia and LaTour were unaware that Wehby’s assault was a malicious and unprovoked attack but asserted, to the contrary, that all three officers acted without justification. Indeed, it is undisputed that Femia and LaTour actively assisted Wehby, facilitating an escalation in the severity of the assault. There

(n. cont’d)

Although claimant is unable to recover here based on the narrow theory pursued in the first claim, inmates who are unlawfully assaulted by correction officers are not without legal recourse. Even in the absence of respondeat superior liability for assault and battery, they may seek redress against the State in the Court of Claims on other tort theories, such as negligent hiring, training or supervision. Indeed, claimant here attempted to bring those causes of action in the Court of Claims when he filed the second claim, which was discontinued by stipulation of the parties. Moreover, correction officers who assault inmates may also be sued directly in Supreme Court (or federal court) under 42 USC § 1983 (*see Haywood v Drown*, 556 US 729 [2009]), or on common-law tort theories for acts occurring outside the scope of employment.

We have examined claimant's remaining contentions and conclude that they are without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

RIVERA, J. (dissenting). After first taunting claimant and inmate Jose Rivera with jokes about his disabling condition, a correction officer viciously beat him, pummeling claimant's head and body as he lay handcuffed on the floor, yelling and cursing he wished claimant would die. Two fellow officers responded as the altercation began, but rather than stop the beating, they restrained claimant, rendering him helpless as the violence intensified.

The State concedes that this assault is indefensible and in clear violation of correctional facility rules. Nonetheless, the State filed for summary judgment to dismiss the claim, seeking to avoid vicarious liability for the permanent physical and emotional injuries proximately caused by its employees' tor-

is no basis to infer that Femia or LaTour misunderstood the events that precipitated the assault or perceived Wehby's "unbridled violence" to constitute (or have arisen out of) a legitimate use of force (dissenting op at 410). The State met its prima facie burden on summary judgment by showing the absence of triable issues of fact given the dearth of evidence supporting the imposition of vicarious liability, even viewing the facts in the light most favorable to claimant. Defendant was not required to anticipate and refute unsubstantiated assertions relating to theories never pleaded that are untethered to the undisputed facts. To the extent Femia and LaTour caused injuries giving rise to liability under an assault and battery theory, no rational jury could conclude, absent speculation, that they did so while acting within the scope of employment.

tious conduct, on the ground that the officer who struck the blows acted outside the scope of his employment. Effectively eliding tort principles of vicarious liability for injuries proximately caused by the joint activity of the State's employees, the State argues that the claimant only seeks damages for the State's role as employer of the officer who struck the blows. This theory of the case is belied by the operative pleading, bill of particulars and the State's other submissions in support of the motion. Moreover, the State failed to meet its summary judgment burden because there are material triable issues of fact regarding whether the response by the two officers who restrained claimant falls within the scope of their duty to secure and maintain control at the prison by use of force if necessary. Therefore, because the order of the Appellate Division should be reversed, I dissent.

I.

A. The Attack on Claimant

Claimant Jose Rivera is an inmate who suffers from seizures for which he wears a protective helmet. Michael Wehby was a correction officer on duty at the prison mess hall as claimant was waiting on line for breakfast when Wehby taunted him about the helmet. Claimant feared other inmates might follow suit and so he asked Wehby to stop. When Wehby then ordered claimant to come back to the hall entrance door, claimant first hesitated but complied. Wehby immediately grabbed claimant, dragged him behind the door and away from other inmates, then struck the first of several blows to claimant's head and body, causing him to fall to his knees. Within moments Sergeant Joseph LaTour, soon followed by Correction Officer Robert Femia, responded to the altercation.¹ LaTour pressed his knees into claimant's spine and pushed claimant's face down. While claimant tried to grab onto the carpet, LaTour and Femia handcuffed and physically pinned him to the floor. Wehby, who was unrelenting in his assault, continued to punch, knee and kick claimant in the head, and cursed at claimant, yelling that he wished him to die. After several minutes of raw uncontrolled violence, and while LaTour and Femia restrained the prone claimant, Wehby ripped off the protective helmet and punched and kicked claimant in the head dozens more

1. The record contains different spellings of LaTour's name. For consistency, except for direct quotations, I use the spelling adopted by the majority.

times, including hitting him in the head repeatedly with his radio with such force that the batteries flew out and hit the wall.

B. The Correction Officers' Disciplinary Actions and Wehby's
Criminal Prosecution

After an investigation the Department of Correctional Services Inspector General substantiated a complaint against the three officers, and the Department issued each a notice of discipline. The Department found that before and during the Inspector General's investigation all three lied about the incident details. Wehby and LaTour were found to have used inappropriate force on claimant. LaTour was also disciplined for failing to stop the incident and "prevent the inappropriate use of force on an inmate by staff under [his] supervision," and because he "actually participated in this inappropriate use of force." LaTour and Femia were terminated from employment for their "totally inappropriate" and "very serious" "misconduct."

The County District Attorney and New York State Police investigated claimant's allegations of assault "by three Corrections [sic] Officers, one of which [sic] held the rank of Sergeant." The investigator found that Wehby was conducting a count of inmates entering the dining hall when claimant walked in. Claimant told the investigator that as he walked past, Wehby mocked his helmet and so he asked Wehby not to make comments in front of the other inmates. "Wehby then became upset and began to assault him," and "Sgt. Latour and Officer Femia assisted Officer Wehby in the assault." The investigator interviewed correction officer and inmate witnesses and found that they corroborated claimant's account of events in full, but during the course of the interviews "it was stated Inmate Rivera was not polite in his response to Officer Wehby's comment" about the helmet.

Wehby was charged by a grand jury and arrested for assault in the second degree, attempted assault in the second degree, and assault in the third degree. The incident report noted that unlike Wehby, the investigation revealed that LaTour and Femia were not criminally culpable and would "not be prosecuted for their role in the incident."

At Wehby's trial, claimant described in detail how Wehby punched, kicked and hit his body and head and removed his helmet to inflict the blow with the radio. Although the State

submitted to the Court of Claims partial excerpts of the People's direct examination of claimant which focused on the actions of Wehby, at various points in those excerpts claimant also described LaTour and Femia's participation in the assault:

"Q. Does Sergeant LaTour help Officer Wehby in some fashion?

"A. Yeah. He used his knee. His knee, it's called a knee brace.

"Q. Where does he put his knee?

"A. Around your spine.

"Q. Did he force you to the floor?

"A. Him and, you know, yeah. . . .

"Q. And what did LaTour and what did Femia do to you?

"A. They were both on my back, trying to get the other hand.

"Q. Trying to cuff you?

"A. Yeah, cuff me.

"Q. Are you on your stomach?

"A. Yes, sir.

"Q. Which hand, if any, did they get cuffed?

"A. They got cuffed one, then they cuffed the other one.

"Q. Now, you put your left hand behind your back first?

"A. Right.

"Q. Who cuffed your left hand?

"A. LaTour.

"Q. Now, where was your right hand after your left hand was cuffed?

"A. I was trying—to be honest with you, I'm not really sure. I was trying to grab, grab onto anything. . . .

“Q. Did [LaTour and Femia] get you cuffed?

“A. Yeah.

“Q. Now, what happened after you were cuffed?

“A. [Wehby] got in front around me and ripped my helmet off. . . .

“Q. So it was Corrections Officer Wehby that inflicted whatever injury you had, according to your testimony?

“A. Yeah. . . .

“Q. Not LaTour?

“A. LaTour, only thing I can say about LaTour, he should have stopped it. That’s it. He had the power to stop it. He should have stopped it. . . .

“Q. Did you ever hear anyone yelling: Get the other prisoners out of here?

“A. Yeah. LaTour.”

The jury deadlocked. Wehby later pleaded guilty to a misdemeanor count of official misconduct and retired as a condition of the plea. At the plea colloquy, Wehby admitted that in violation of the Penal Law he “committed some act relating to [his] employment which was an unauthorized exercise of [his] official functions and that [he] knew that such act was unauthorized.” The court sentenced Wehby to a conditional discharge and imposed a \$1,000 fine.

II.

Claimant filed the instant action against the State in the Court of Claims, alleging, in relevant part:

“2. The claim arose on January 15, 2010, . . . in the entrance and foyer of the 2-Side Mess Hall at the Mid-State Correctional Facility located at 9005 Old [R]iver Road, Marcy, New York 13403-0216.

“3. The claim arose under the following circumstances.

“Claimant was attacked and beaten about the head and body as he was entering the 2-Side Mess Hall by members of the State of New York Department

of Correctional Services, including, but not limited to, Sergeant Joseph La Tour and Correction Officers Michael Wehby, Robert Femia, and ‘John Doe’ #’s 1-3. Claimant so designates the Defendants Corrections Officers ‘John Doe’ #’s 1-3 because their actually [sic] identities, shield numbers and commands have not been made known to the Claimant.

“4. As a direct and proximate result of this malicious assault, Claimant has suffered permanent injury to head and body, continues to experience pain and suffering and emotional distress.”

He subsequently filed a second claim against the State alleging, *inter alia*, the State’s failure to properly train and supervise correction officers. Claimant stipulated to the discontinuance with prejudice of this second claim.²

In his verified bill of particulars, claimant asserted that “Correctional Officer Michael Wehby, Correctional Officer Robert Femia, [and] Sergeant Joseph LA Tour” were the three individuals who assaulted him. In response to the State’s request that he set forth “[t]he exact manner in which Claimant alleges he was assaulted,” claimant provided a detailed description of the three officers’ actions:

“Claimant was punched several times about the right side of the head while being pushed and pulled down to the ground. Claimant was handcuffed behind his back while being forced to lie on his front side, while at the same time trying to avoid Correctional Officer Wehby’s punching on the right side of the head. Claimant was also being assaulted with the Correctional Officer’s knees, as well as being kicked about the face, the back of the head, and right side of the head. . . .

“Correction Officer Femia continuously pushed his knee into the Claimant’s lower back, and alternatively, the Claimant’s shoulder blades, while the Claimant was handcuffed from behind. At no time did Correction Officer Femia attempt to stop Correction Officer Wehby’s assault on the Claimant.”

2. In its written opinion on the parties’ cross motions for summary judgment the Court of Claims added that while claimant stipulated to the discontinuance, the court disagreed with the State’s argument that the second pleading should be dismissed as redundant of the first.

Claimant cross-referenced this description in his answer to the State's request for a "statement of each and every act of negligence, commission or omission which Claimant will claim as the basis of the alleged negligence of the [State]."

By way of response to questions regarding the State's alleged notification of "every condition, circumstance or state of facts" which caused or contributed to the assault, claimant stated that "Wehby, Femia, and LA Tour all had actual notice of the Claimant's condition as they committed the assault on the Claimant" and that, as employees of the State and on its behalf, "Robert Femia, Michael Wehby and Joseph LA Tour, received actual notice of the alleged assault at the time they committed the actual assault on Claimant." Claimant further clarified that his claim was not based on constructive notice because the State had "direct notice of the assault by virtue of the assault being perpetrated by Correction Officers Robert Femia, Michael Wehby, and Sergeant Joseph La Tour, employees of The State of New York."

Almost four years after claimant filed the instant action and his verified bill of particulars, the State moved to amend its verified answer to assert three affirmative defenses, including that the officers acted outside the scope of their official duties or employment. The court granted the motion over claimant's objection.

Two years later, claimant moved and the State cross-moved for summary judgment. In claimant's motion he argued that the Inspector General's report and the disciplinary action taken against Wehby, LaTour and Femia were effectively concessions that the assault occurred as claimant alleged and established the State's liability for the actions of its employees. Although the motion referred to allegations contained in the withdrawn second claim, the motion also referred to the assault and battery cause of action. In that regard, claimant argued that the officers "had no justification whatsoever for their use of force against Claimant"; that "Wehby, Latour and Femia were all found to have falsified records and lied under oath in an effort to mask their conduct"; and that those facts are established "in the form of admissions by the [State]," such that the State had "no defense to these claims, and summary judgment must be granted" in favor of claimant. Claimant also observed that the State had cited "use of inappropriate force" as a reason for dismissing both Wehby and LaTour, and "provision of false

and/or misleading information regarding the inappropriate use of force” as a reason for dismissing all three officers.³

In response to the State’s scope-of-employment defense, claimant argued that “the corrections [sic] officers in question were on duty, in uniform, supervising inmates, [which] is precisely their job description. As a result, as a matter of law, Defendant were in within [sic] the scope of their employment at the time of the incident.”⁴

The State supported its motion with copies of the pleadings; copies of the court’s procedural opinions in the case;⁵ selected excerpts of claimant’s testimony at Wehby’s criminal trial; a copy of the District Attorney’s investigatory report; and copies of Wehby’s indictment, plea hearing minutes, and sentencing hearing minutes. The State also relied on claimant’s affidavit attached to his moving papers. The State argued first that because claimant had testified at Wehby’s criminal trial that Wehby inflicted the blows that caused his injuries, the State could only be vicariously liable for Wehby’s actions, and second that it was not liable for Wehby’s actions because his assault on claimant was completely unprovoked and unrelated to any goal to serve the interests of the State as Wehby’s employer, and thus outside the scope of Wehby’s employment.

The Court of Claims denied claimant’s motion for failing to comply with the technical requirements of CPLR 3212 (b) but stated that denial was appropriate on the merits because Wehby did not act within the scope of his employment, making no mention of and reaching no conclusion as to the other two officers in this regard (59 Misc 3d 1233[A], 2017 NY Slip Op 52002[U] [Ct Cl 2017]). The court determined that in the interest of judicial expediency it would grant the State summary judgment based on its meritorious affirmative defense, notwithstanding the unexplained tardiness of its submission. The Appellate Division summarily affirmed the order granting

3. Claimant’s description of the assault as committed by all three officers draws, in part, on details from the complaint, bill of particulars and his testimony at Wehby’s criminal trial. For example, claimant stated: “While [claimant was] held to the floor by Officer Femia and Sgt. Latour, Wehby stomped on Claimant’s head,” and stated he hoped claimant would die.

4. Claimant affirmed that “the only people who were involved in this incident were the three corrections [sic] officers and Claimant.”

5. These included an order granting claimant’s motion for permission to file a late claim and an order granting the State’s motion to amend its answer and partially granting claimant’s motion for the issuance of three subpoenas duces tecum.

summary judgment to the State and the order granting the State leave to amend its answer for the reasons stated by the Court of Claims (162 AD3d 1571 [4th Dept 2018]). We granted leave to appeal (32 NY3d 902 [2018]), and because the State failed to meet its *prima facie* burden on its summary judgment motion, I would reverse.

III.

On appeal to us, claimant argues that the Court of Claims abused its discretion in granting the State's motion to amend its verified answer, despite the alleged prejudice to claimant, and because correction officers Wehby, LaTour and Femia were acting within the scope of their employment the State is not entitled to summary judgment solely on that basis. There is no merit to his first claim, but as I discuss, there are material triable issues of fact as to whether LaTour and Femia acted within the scope of their employment that foreclose summary judgment.

A. The State's Motion to Amend its Verified Answer

CPLR 3025 (b) provides that leave "shall be freely given upon such terms as may be just." We have previously stated "that, absent prejudice, courts are free to permit amendment even after trial" (*Kimso Apts., LLC v Gandhi*, 24 NY3d 403, 411 [2014]). Whether to grant the motion is within the sound discretion of the court which has considerable latitude in this regard (*id.*). Thus, we review these decisions for abuse of discretion as a matter of law (*id.*).

Here, claimant argues he was prejudiced because the amendment was granted after expiration of the statute of limitations on claims against the individual officers and because the affirmative defense leads to dismissal of his current action against the State. Claimant's strategic decision not to pursue claims against the officers is not prejudice flowing from the State's late assertion of the affirmative defense. There is nothing in the record that suggests claimant could not pursue these claims before the time to file expired. Instead, counsel sued only the State in the Court of Claims, with the attendant risk that if claimant's action was unsuccessful, he would be left without a remedy. Nor does the merit of the affirmative defense constitute prejudice within the meaning of our case law. The prejudice requirement avoids harm from surprise to the nonmovant and is a counterweight to the generous amendment standard;

it is not a shield against meritorious claims or defenses. Therefore, claimant's challenge to the order granting the State's motion to amend its verified answer is without merit.⁶

B. The State's Failure to Satisfy its Prima Facie Burden to
Show That No Factual Questions Exist as to the Three
Correction Officers' Scope of Employment

1. Summary Judgment Standard

"Summary judgment is a drastic remedy" (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012]), and a party is entitled to summary judgment only if there is no triable issue of fact such that the movant is entitled to judgment as a matter of law, viewing the facts "in the light most favorable to the plaintiff" and drawing all "available inference[s] . . . in the plaintiff's favor" (*De Lourdes Torres v Jones*, 26 NY3d 742, 762-763 [2016]). More specifically, the court considers whether the movant has excluded all "material triable issues of fact . . . as to the claims . . . asserted against the defendant in the . . . complaint as amplified by the bill of particulars" (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 325 [1986]; accord *Pullman v Silverman*, 28 NY3d 1060, 1066 [2016, Stein, J., dissenting]).

If the defendant fails to make a prima facie showing that no material issues of fact remain in the case, the court must deny summary judgment without considering the sufficiency of the opposing papers (*see Voss v Netherlands Ins. Co.*, 22 NY3d 728, 734 [2014]; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851, 853 [1985]; *PC 444, LLC v Priority Pediatrics, PLLC*, 133 AD3d 645, 646 [2d Dept 2015]), or for that matter whether the nonmoving party has opposed the motion at all (*see e.g. Exit Empire Realty v Zilelian*, 137 AD3d 742 [2d Dept 2016] [affirming denial of unopposed summary judgment motion where movant failed to demonstrate absence of material issues of fact]; *see also Myers v Bartholomew*, 91 NY2d 630 [1998]). In other words, even in the face of a nonmovant's silence or a poorly drafted response, summary judgment may not be

6. Given my conclusion that the order granting the request to amend the answer did not prejudice claimant, I do not address the State's alternative argument that the amendment was, in any case, unnecessary because the Court of Claims lacks jurisdiction if an employee's actions are not within the scope of employment.

granted unless the movant has met their burden of establishing entitlement to judgment as a matter of law.⁷

2. The State's Vicarious Liability for its Employees' Torts

Under the doctrine of respondeat superior, an employer is vicariously liable for an employee's torts committed within the scope of the employee's employment (*Riviello v Waldron*, 47 NY2d 297, 302 [1979]). As we have recognized, the State of New York may be held liable "under traditional concepts of respondeat superior" in its capacity as an employer (*Frazier v State of New York*, 64 NY2d 802, 803 [1985]). Respondeat superior is grounded in the theory that the employer who can exercise control over an employee's actions should be liable for the employee's tortious conduct (*Riviello*, 47 NY2d at 302). Over time, "social policy has wrought a measure of relaxation of the traditional confines of the doctrine" (*id.*). "[T]he test has come to be 'whether the act was done while the [employee] was doing [the employer's] work, no matter how irregularly, or with what disregard of instructions' " (*id.* [citation omitted]). The rule turns on the facts of the specific case and "encompasses the far more elastic idea of liability for 'any act which can fairly and reasonably be deemed to be an ordinary and natural incident or attribute of [an] act' " undertaken at the employer's direction (*id.* at 303 [citation omitted]).

As this Court has often reiterated, "because the determination of whether a particular act was within the scope of the [worker's] employment is so heavily dependent on factual considerations, the question is ordinarily one for the jury" (*id.*;

7. Although the State offered no excuse for its untimely summary judgment motion, the Court of Claims considered the submission because it found the State's affirmative defense meritorious. This was error because unlike the generous rules that permit a party to amend a pleading years into litigation so long as there is no prejudice to the nonmovant, a late motion for summary judgment requires a showing of good cause for failing to comply with the statutory filing deadline (CPLR 3212 [a]). The court here acted in contravention of *Brill v City of New York*, which held that trial courts may only permit late summary judgment motions when the movant gives "a satisfactory explanation for the untimeliness—rather than simply permitting meritorious, nonprejudicial filings, however tardy" (2 NY3d 648, 652 [2004]).

However, claimant did not challenge the motion in the Court of Claims or the Appellate Division on the basis of *Brill*. Nor does he press the issue in this Court. Accordingly, the issue is not properly before us. Nevertheless, it bears repeating *Brill*'s core holding that a late summary judgment motion, even if meritorious, cannot be considered in the absence of a showing of good cause for the delay in filing that application (*id.*; accord *Miceli v State Farm Mut. Auto. Ins. Co.*, 3 NY3d 725 [2004]).

see also *Rounds v Delaware, Lackawanna & W. R.R. Co.*, 64 NY 129, 137-138 [1876]; *Sharp v Erie R.R. Co.*, 184 NY 100, 104-105 [1906] [whether a tortfeasor “was acting at the time as the servant of the person sought to be charged frequently depends on such a variety of facts that it falls outside of any definite rule, and for that reason becomes, under proper instructions, a question of fact for the jury” (internal quotation marks omitted)]). In other words, the scope of employment issue should be submitted to the finder of fact unless “the answer is clearly indicated” (Restatement [Second] of Agency § 228, Comment *d*).

3. *Riviello* Factors and the Restatement Approach

This Court in *Riviello* set forth a nonexclusive list of factors—derived from a longer list in the Restatement (Second) of Agency⁸—relevant to deciding whether an employee acted within the scope of employment:

“the connection between the time, place and occasion for the act; the history of the relationship between employer and employee as spelled out in actual practice; whether the act is one commonly done by such an employee; the extent of departure from normal methods of performance; and whether

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8. Restatement (Second) of Agency § 229 (2) provides that,
- “[i]n determining whether or not the conduct, although not authorized, is nevertheless so similar to or incidental to the conduct authorized as to be within the scope of employment, the following matters of fact are to be considered:
- “(a) whether or not the act is one commonly done by such servants;
 - “(b) the time, place and purpose of the act;
 - “(c) the previous relations between the master and the servant;
 - “(d) the extent to which the business of the master is apportioned between different servants;
 - “(e) whether or not the act is outside the enterprise of the master or, if within the enterprise, has not been entrusted to any servant;
 - “(f) whether or not the master has reason to expect that such an act will be done;
 - “(g) the similarity in quality of the act done to the act authorized;
 - “(h) whether or not the instrumentality by which the harm is done has been furnished by the master to the servant;
 - “(i) the extent of departure from the normal method of accomplishing an authorized result; and
 - “(j) whether or not the act is seriously criminal.”

the specific act was one that the employer could reasonably have anticipated” (*Riviello*, 47 NY2d at 303, citing Restatement [Second] of Agency § 229).

The Restatement (Third) of Agency provides a substantially equivalent but more concise articulation of the boundaries of employee conduct for purposes of an employer’s vicarious liability.⁹ It explains that

“[a]n employee acts within the scope of employment when performing work assigned by the employer or engaging in a course of conduct subject to the employer’s control. An employee’s act is not within the scope of employment when it occurs within an independent course of conduct not intended by the employee to serve any purpose of the employer” (Restatement [Third] of Agency § 7.07 [2]).

“An independent course of conduct represents a departure from, not an escalation of, conduct involved in performing assigned work or other conduct that an employer permits or controls” (*id.* Comment *b*). That rule squares with the traditional agency concerns that animate the *Riviello* factors, as well as prior holdings of this Court that where the employee acted out of “solely personal motives,” rather than to serve any interest of an employer, the employee does not act within the scope of employment as a matter of law (*N.X. v Cabrini Med. Ctr.*, 97 NY2d 247, 251-252 [2002]; *see Judith M. v Sisters of Charity Hosp.*, 93 NY2d 932 [1999]). The rule applies to claimant’s action against the State (*see* Restatement [Third] of Agency § 7.07 [2]).

Under these general agency principles and our decisional law the scope of employment requirement is best understood as “reliev[ing] an employer from liability for an employee’s torts when the employer neither benefits from the tortious conduct nor has the means to control the employee’s behavior” (*Doe v Guthrie Clinic, Ltd.*, 22 NY3d 480, 487 [2014, Rivera, J., dissenting]). Moreover, where the employee’s conduct is so extreme that it simply cannot be foreseen or prevented by the employer, as in cases of rape (*see e.g. Cornell v State of New York*, 46 NY2d 1032 [1979]), or where the employee attacks the plaintiff without the slightest hint of an employment-related

9. The commentary to the Restatement (Third) explains that its formulation of the doctrine differs from that in the Restatement (Second) only “because it is phrased in more general terms” (Restatement [Third] of Agency § 7.07, Comment *b*).

justification (see e.g. *Adams v New York City Tr. Auth.*, 88 NY2d 116 [1996] [unexplained violent attack against stranger]; *Sauter v New York Tribune, Inc.*, 305 NY 442 [1953] [road rage incident]), the law does not recognize an employer's vicarious liability for the employee's torts.

4. Material Triable Issues of Fact as to the Correction Officers' Scope of Employment

Applying these principles and the *Riviello* factors here, there are material triable issues of fact as to whether LaTour and Femia acted within the scope of their employment. Therefore, the State's summary judgment motion should be denied.

To begin, contrary to the State's argument, because claimant has consistently maintained that all three officers acted within the scope of their employment, he has not limited his action against the State only to liability for Wehby's conduct.¹⁰ Claimant's pleading, as amplified by his verified bill of particulars, is premised on the State's vicarious liability for tortious acts by Wehby, LaTour and Femia that proximately caused claimant's injuries. The pleading identified the three officers as having assaulted him, and claimant's bill of particulars—responding to the State's questions—also expressly states that all three correction officers “assaulted the Claimant” and that the individual acts of all three officers were “the basis of the alleged negligence of the [State].” The State filed its summary judgment motion with full knowledge of the nature of the claim and the employee actors identified by claimant and nevertheless the State chose to focus only on Wehby. As such, the State failed to establish the absence of factual questions regarding the scope of employment of the other two officers.

The State mischaracterizes claimant's testimony at Wehby's criminal trial in support of its argument that claimant only identified Wehby as the attacker. While claimant testified in response to the prosecutor's questions that Wehby began the beating, inflicted numerous blows and removed claimant's

10. The majority does not disagree with this conclusion, but states—without explanation—that whether Wehby was acting within the scope of his employment is “the central issue in this case” (majority op at 391 n 5). Of course, because claimant has always asserted that the State was liable for the actions of all three officers, even though Wehby struck the first and the most severe blows, the State had the burden on its summary judgment motion to come forward with a showing that excludes triable issues of fact as to each of them. That is the only genuine issue in this appeal. The majority cannot override the summary judgment standard by vaguely announcing that something else is the “central issue.”

helmet to hit him on the head with the radio, claimant also identified LaTour and Femia as having participated in the attack, forcefully pinning him to the floor and putting him in handcuffs to restrain his movements.

Another way to consider the problem is through the lens of the liability of the individual officers. As recognized by the majority (majority op at 392), claimant could have sued the individual officers for their respective parts in the assault. Thus, the State, as the employer, may be liable for their individual tortious conduct if they acted within the scope of their employment.

In fact, several theories of liability are applicable where more than one employee participates in conduct that proximately causes a claimant's injury. For example, where defendants act in concert with a principal wrongdoer, such as by "lend[ing] aid or encouragement," the defendants are each "fully responsible for the [victim's] injuries even though" the other joint tortfeasors may not have wielded the instrumentality of harm (*Bichler v Eli Lilly & Co.*, 55 NY2d 571, 580-581 [1982] [internal quotation marks omitted]). Under this theory, a defendant may be liable for assault even where the defendant did not "str[ike] the blows that caused [the plaintiff's] most significant injury" (*D'Elia v 58-35 Utopia Parkway Corp.*, 43 AD3d 976, 978 [2d Dept 2007]). Aiding-and-abetting liability is yet another distinct theory supporting the State's vicarious liability for LaTour and Femia because "[a]iders and abettors of an assault and battery are equally liable with the actual assailant" (6A CJS Assault § 16; see *McKiernan v Vaccaro*, 168 AD3d 827 [2d Dept 2019]).

The State argues in the alternative that even if we consider the conduct of all three officers, they acted outside the scope of their employment because Wehby's actions were heinous and unforeseeable and LaTour and Femia's assistance in a brutal assault was no more part of their duties than committing the assault. This argument misses the mark. In a case involving more than one tortfeasor, the employer—here the State—bears responsibility for all its employees' actions, whether viewed individually or jointly. The Court has never held that the State or any employer may avoid liability for the actions of multiple employees merely by establishing that one of the named employees acted outside the scope of employment. Such approach would be incompatible with a rule that depends on each employee's intent, as this State's scope-of-employment test does

(see *Judith M.*, 93 NY2d 932; accord Restatement [Third] of Agency § 7.07 [2]).¹¹ On this appeal from the grant of the State's summary judgment motion, the question is not whether they facilitated Wehby's assault—they did—but whether the circumstances that triggered their actions, and their participation in the assault, might bring their acts within the scope of their employment. We do not have to resolve the question whether LaTour and Femia attacked claimant or helped Wehby, but rather only whether there are factual questions as to their role in the assault.

Assuming without deciding that Wehby as the officer who delivered the blows acted without provocation, in pursuit of his own personal interests, and in no way furthering the goals of his employer, such that he acted outside the scope of his employment, there are material triable issues of fact as to whether the same can be said about LaTour and Femia. It is undisputed LaTour and Femia participated in the assault by restraining claimant. What is unclear is what LaTour and Femia observed immediately before Wehby first hit claimant and whether they acted in response to the altercation between claimant and Wehby as opposed to assisting Wehby in an unprovoked attack, even if Wehby's use of force itself was in violation of departmental regulations. In other words, these two officers might have seen only an altercation between a fellow correction officer and an inmate, and thus come to the assistance of Wehby, initially intending to restrain claimant, in furtherance of the State's interests in maintaining order through the use of force.¹²

As the legislature and this Court have recognized, a correctional facility is a dangerous place, and correction officers

11. For this reason, the majority's complaint that claimant did not make an explicit argument in the Court of Claims that the three officers should be treated as individuals falls flat. Consideration of each tortfeasor's intent is required by well-established principles of scope-of-employment law. In any case, the burden was on the State to exclude all triable issues of fact regarding the scope of employment of every correction officer who claimant named as a participant in the attack, and because the State failed to do so, claimant bears no burden to affirmatively identify disputed factual questions (*Winegrad*, 64 NY2d at 853).

12. That claimant did not proffer this sequence of events in briefing below (majority op at 391 n 5) is irrelevant to whether the State carried its burden on summary judgment. Indeed, claimant did not submit *any* response to the State's summary judgment motion. Nevertheless, once again, if the State's showing did not remove all triable issues of material fact, summary judgment must be denied (see *Winegrad*, 64 NY2d at 853).

(n. cont'd)

have to quickly respond to sudden outbursts of violence and inmate disobedience to maintain control (*see* majority op at 385; *Matter of Walsh v New York State Comptroller*, 34 NY3d 520 [2019, Rivera, J., dissenting] [decided today] [discussing legislation to provide correction officers with disability benefits because such state employees must face the constant threat of “‘altercations between inmates and between inmates and officers’” (quoting Assembly Mem in Support, Bill Jacket, L 1996, ch 722 at 8, 1996 NY Legis Ann at 553)]). The State authorizes violence and a display of force in these types of situations, albeit in a measure appropriate to the circumstances (*see* 7 NYCRR 251-1.2). It is wholly foreseeable that officers would respond to restrain an inmate during a struggle with another correction officer. Indeed, correction officers are specifically authorized to use force against an inmate “to prevent injury to person or property” or “enforce compliance with a lawful direction,” and are even permitted under applicable regulations to use weapons (other than firearms) upon an inmate “to quell a disturbance” (*id.* § 251-1.2 [d], [e]). Here, claimant testified at Wehby’s criminal trial that he heard LaTour tell the inmates to leave the area—which could indicate that his intent was to avoid a riot by other inmates.

Although claimant withdrew with prejudice his claims based on the State’s alleged inadequate training and supervision, and never sued LaTour for failing to stop the assault in his capacity as the sergeant on duty, the evidence shows that LaTour pushed claimant to the floor and restrained him, and—as claimant testified at the criminal trial—LaTour never stopped Wehby. Thus, there is a material triable question of fact as to whether Femia could have believed that the use of violence was sanctioned by his supervisor, bringing his actions within the scope of employment (*see Cruz v New York*, 24 F Supp 3d

To the extent the majority means that claimant’s operative notice of claim did not include allegations “that Femia and LaTour were unaware that Wehby’s assault was a malicious and unprovoked attack” but, rather, alleged that “all three officers acted without justification” (majority op at 391 n 5), the majority is simply wrong. The notice of claim does not include any allegations one way or the other about whether the two officers thought incorrectly that they were serving their employer’s interests by restraining claimant (*see generally supra* at 396-397). The majority further appears to conflate the concept of “unjustified” use of force with that of conduct outside the scope of employment, which is of course not the law of this State: use of force may be unjustified or excessive and still within the scope of employment (*see Sims v Bergamo*, 3 NY2d 531 [1957]; *Peck v New York Cent. & Hudson Riv. R.R. Co.*, 70 NY 587, 591 [1877]; *Cepeda v Coughlin*, 128 AD2d 995, 996 [3d Dept 1987]).

299, 310 [WD NY 2014] [correction officers' assault on inmate was "clearly" within the scope of the officers' employment because, among other things, the acts were "condoned by (their) supervisors"]; *Johnson v New York State Dept. of Corr. Servs. & Community Supervision*, 2013 WL 5347468, *3, 2013 US Dist LEXIS 136520, *6-10 [WD NY, Sept. 23, 2013, No. 11-CV-079S] [same]; see also *Lundberg v State of New York*, 25 NY2d 467, 470 [1969] ["An employee acts in the scope of his employment when he is doing something in furtherance of the duties he owes to his employer and where the employer is, or could be, exercising some control, directly or indirectly, over the employee's activities"]; *Zwibel v Midway Auto. Group*, 2012 NY Slip Op 33966[U] [Sup Ct, Queens County 2012]; *Otis Eng'g Corp. v Clark*, 668 SW2d 307 [Tex 1983] [where employer assented to employee driving home drunk from a work event, employer owed a duty of reasonable care to third parties injured in resulting accident]).

The majority's conclusion that all three officers acted outside the scope of their employment because of the heinous nature and unforeseeability of this brutal assault (majority op at 390-391) adopts the State's position that assisting Wehby's beating of claimant means that they too acted outside of their employment. This view collapses all the individual acts to focus on Wehby as the correction officer who inflicted the blows against claimant, without taking into consideration—as we must under respondeat superior and general tort principles—the state employer's liability for the separate conduct of the officers who responded to the altercation. It also ignores the extent to which LaTour and Femia's actions may have constituted an "escalation" from what they perceived to be the proper restraint of an inmate involved in an altercation with an officer (see Restatement [Third] of Agency § 7.07, Comment b; cf. *De Wald v Seidenberg*, 297 NY 335 [1948]).

The majority further concludes that summary judgment should be granted for the State because the State's prima facie case does not include evidence that LaTour and Femia "misunderstood the events that precipitated the assault or perceived Wehby's 'unbridled violence' to constitute (or have arisen out of) a legitimate use of force" (majority op at 391-392 n 5). That gets the summary judgment standard exactly backward. If the State's prima facie case does not *remove* any triable question as to what prompted the intervention by LaTour and Femia—and I agree with the majority that it does not—then the State

has failed to carry its burden, and summary judgment must be denied (*see Winegrad*, 64 NY2d at 853).¹³

Even tracking the majority's approach to the *Riviello* factors demonstrates the majority's failure to properly analyze the record before us. Our review of this appeal requires us to view the facts in the light most favorable to claimant (*see De Lourdes Torres*, 26 NY3d at 762-763; *Vega*, 18 NY3d at 503). With this in mind, as to the first factor (the time, place, and occasion), LaTour and Femia were in uniform and on duty at the time of the assault, counting inmates entering the mess hall. The second factor is unenlightening as we do not have employment history on these officers. The third factor considers whether the act is commonly done by correction officers. As discussed, a correction officer supervises inmates and is authorized to use force in furtherance of their duties, but only as appropriate and when necessary (*see* 7 NYCRR 251-1.2). LaTour and Femia's conduct to restrain an inmate during an altercation with a correction officer, and to maintain control of the facility and other inmates, is a necessary part of their duties. The fourth factor considers "the extent of departure from normal methods of performance" which is another way of looking at whether the employee's acts were other than the mere escalation of sanctioned conduct. On this appeal, this factor turns on the difference between excessive force and unbridled violence wholly outside the bounds of force that could be necessary to maintain control and order in a correctional setting. Even if Wehby did not act "in furtherance of any employer-related goal whatsoever" (majority op at 390), on this record there are factual questions as to whether the same holds true for LaTour and Femia. Turning to the fifth factor, the State not only could foresee that correction officers would intervene and restrain

13. The majority's troubling burden-shifting approach not only is contrary to our well-established legal standard, but also ignores the facts. For example, given that the State presented no evidence of any reason why LaTour or Femia would want to participate in a gratuitous beating, it is more than rational (and would not require "speculation") to infer that the two officers intervened thinking there was a legitimate reason to restrain claimant at the outset, rather than out of unexplained bloodlust. Similarly, the State's submissions show that the two officers were elsewhere in the room supervising inmates (and not their colleagues) when the beating began, which suggests that they may not have witnessed "the events that precipitated the assault" at all (majority op at 392 n 5). As such, the record simply does not support the majority's premise that there is "no evidence" of facts that would support a finding that the officers were acting within the scope of their employment.

inmates during altercations between inmates and fellow correction officers, but actually directs them to do so (*see* 7 NYCRR 251-1.2).

IV.

The Court of Claims erred in granting the State's motion for summary judgment because there are material factual questions as to what LaTour and Femia might have perceived to be the motivation and circumstances leading to the attack on claimant and thus whether they acted within the scope of their employment when they responded to the attack by restraining claimant, thereby enabling Wehby to beat him. Since the State failed to carry its burden, summary judgment should be reversed (*Voss*, 22 NY3d at 734; *Winegrad*, 64 NY2d at 853).

Judges STEIN, GARCIA and FEINMAN concur; Judge RIVERA dissents in an opinion in which Judges FAHEY and WILSON concur.

Order affirmed, with costs.

[143 NE3d 1065, 121 NYS3d 187]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TYRELL
COOK, Appellant.

Argued November 21, 2019; decided December 19, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 31, 2018. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Joseph J. Dawson, J.), which had convicted defendant, upon a jury verdict, of attempted robbery in the first degree and assault in the second degree.

People v Cook, 161 AD3d 708, affirmed.

HEADNOTES

**Crimes — Suppression Hearing — Reopening Hearing in Pretrial
Setting Prior to Ruling on Merits**

1. The rule set forth in *People v Havelka* (45 NY2d 636 [1978]) and extended in *People v Kevin W.* (22 NY3d 287 [2013]), precluding a court from reopening a suppression hearing after the People had a full and fair opportunity to be heard and the hearing court has made a determination on the merits, does not extend to situations where the hearing court has not yet ruled on the merits. The concerns underlying the “one full opportunity” rule, finality and the risk of improper tailoring of evidence at the reopened hearing to overcome defects in the proof, must be balanced against the truth-seeking function of the court and the strong public policy interest in holding culpable individuals responsible and protecting legitimate police conduct. Where no decision on the motion has been rendered, the finality concern is absent inasmuch as no success at the original suppression hearing would be rendered nearly meaningless. Moreover, the risk of improperly tailored testimony is significantly lower where the People do not have a formal decision from either an appellate court or the hearing court. Any risk created where the suppression court “tips its hand” about perceived weaknesses in the People’s proof after the People have rested can be minimized at the reopened hearing through cross-examination and evaluation of the degree to which the evidence addresses the specific weaknesses identified. If the People possess evidence showing that, in fact, no official misconduct occurred, the interests of justice militate strongly in favor of considering this evidence even if it is belatedly brought to the hearing court’s attention.

**Crimes — Suppression Hearing — Decision to Reopen Hearing in
Pretrial Setting Prior to Ruling on Merits — Traditional Abuse
of Discretion Standard of Review**

2. The traditional abuse of discretion standard governs review of a hearing court’s decision to deny or grant a motion to reopen a suppression hearing after the People have rested but before rendering a decision on the merits. A trial court has common-law power to alter the order of trial, despite the

comprehensive statutory provisions governing the order of proceedings during a trial, so long as the power is exercised in a manner consistent with the applicable statutes. That the statutory framework governing suppression hearing procedures is more relaxed and flexible counsels for substantial discretion in altering the order of proof at pretrial suppression hearings. There is no authority or justification for limiting a suppression court's discretion to situations where the issue to be presented after reopening is simple to prove and not seriously contested. The point of a motion to suppress is to seriously contest the legality of police conduct and such motions rarely reflect elements that are simple to prove. Moreover, suppression motions do not raise double jeopardy concerns, do not implicate the People's separate constitutional burden of proof as to the elements of the charged crime, and do not involve a jury's potential response to a sudden deviation in the order of proof.

Crimes — Suppression Hearing — Decision to Reopen Hearing in Pretrial Setting Prior to Ruling on Merits

3. In the prosecution of defendant for attempted robbery and assault of a taxi driver, wherein defendant moved to suppress the driver's identification of him at a showup shortly after the incident at a subway station two blocks from the crime scene where police officers had detained him based on a broadcast of the description provided by the driver, the hearing court did not abuse its discretion when it granted the People's request to reopen the suppression hearing after argument on the motion but before it had rendered a decision on the merits. Under the applicable traditional abuse of discretion standard, the question is whether the case presented showed no room for the exercise of reasonable discretion. Here, before reopening the hearing and in response to defendant's argument that the People had not demonstrated reasonable suspicion to support defendant's detention, the hearing court had expressed some skepticism about the relevance of the sole testifying police officer's description of defendant's physical appearance that he observed only after defendant was detained. While that may have led to an increased possibility that the People might improperly tailor testimony at the reopened hearing, skepticism may not always portend an adverse ruling, and thus it did not amount to the functional equivalent of a decision. Once it became clear that the People would likely make a motion to reopen the hearing, the court refused to entertain or comment on any additional argument on the merits, and allowed defense counsel wide latitude in cross-examining any of the People's witnesses. Further, defendant was not unfairly prejudiced inasmuch as the hearing and rehearing occurred over the course of two days, the court denied the suppression motion less than a week later, and the additional witness, who was one of the officers who initially spotted defendant at the subway station, should not have surprised defendant. Moreover, at the reopened hearing, the People elected to rely on other, unrelated proof to establish reasonable suspicion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Evidence § 644; AM JUR 2d Trial § 36.
CARMODY-WAIT 2d Pretrial Motions §§ 189:285, 189:289.
LAFAYE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 10.1,
10.5, 10.6.

NY JUR 2d Criminal Law: Procedure § 1659.

ANNOTATION REFERENCE

See ALR Index under Criminal Law; Evidence; Exclusion of Evidence; Hearings; Preliminary or Pretrial Matters.

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Query: suppression /s hearing /p reopen! /p pretrial

POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Alexandra L. Mitter of counsel), for appellant. I. The suppression court abused its discretion by reopening the hearing where the prosecution had a full and fair opportunity to prove reasonable suspicion to detain Mr. Cook and failed to do so; alternatively, the court's statements at oral argument were tantamount to a decision on the motion, making it improper to reopen the hearing under any standard. (*People v Kevin W.*, 22 NY3d 287; *People v Havelka*, 45 NY2d 636; *People v Crandall*, 69 NY2d 459; *People v Ayala*, 149 AD2d 519; *People v Somerville*, 283 AD2d 596; *People v Whipple*, 97 NY2d 1; *People v Adams*, 90 AD2d 1; *People v Cestano*, 40 AD3d 238; *People v McCorkle*, 111 AD3d 557; *People v Brujan*, 104 AD3d 481.) II. The evidence of physical injury was legally insufficient to support the conviction for assault in the second degree where the complainant's injury was an undescribed cut for which he received only a Band-Aid and where the prosecution did not introduce any medical records, photographs, or testimony regarding pain. (*Jackson v Virginia*, 443 US 307; *People v Contes*, 60 NY2d 620; *People v Sala*, 95 NY2d 254; *People v Chiddick*, 8 NY3d 445; *Matter of Philip A.*, 49 NY2d 198; *People v Jimenez*, 55 NY2d 895; *People v Kruppenbacher*, 81 AD3d 1169; *People v Contreras*, 108 AD2d 627; *People v Dorsey*, 112 AD2d 536; *People v Ruttenbur*, 112 AD2d 13.) III. The court erred in summarily denying Mr. Cook's motion to set aside the verdict based on a technical pleading error waived by the prosecution, and alternatively on the merits, where juror affidavits established that a juror introduced extra-record facts into deliberations that were central to the jury's decision. (*People v Mendoza*, 82 NY2d 415; *Irvin v Dowd*, 366 US 717; *People v Rodriguez*, 71 NY2d 214; *People v Arnold*, 96 NY2d 358; *Shepard v Maxwell*, 384 US 333; *Parker v Gladden*, 385 US 363;

People v Maragh, 94 NY2d 569; *People v Brown*, 48 NY2d 388; *People v De Lucia*, 20 NY2d 275; *People v Crimmins*, 26 NY2d 319.)

Darcel D. Clark, District Attorney, Bronx (*Shera Knight* and *Nancy D. Killian* of counsel), for respondent. I. There is record support that the People met their burden of establishing that the officers detained defendant with the requisite reasonable suspicion. The court properly reopened the hearing after defense counsel raised an alleged deficiency in the People's proof before the court had rendered a decision on the merits. (*People v Tarsia*, 50 NY2d 1; *People v Brannon*, 16 NY3d 596; *People v Torres*, 262 AD2d 161; *People v Samuel*, 247 AD2d 244; *People v Brujan*, 104 AD3d 481; *People v William*, 81 AD3d 453; *People v Whipple*, 97 NY2d 1; *People v McCorkle*, 111 AD3d 557; *People v Cestano*, 40 AD3d 238; *People v Suphal*, 7 AD3d 547.) II. There is record support that defendant's conviction of second-degree assault was based upon legally sufficient evidence. (*People v Danielson*, 9 NY3d 342; *People v Bleakley*, 69 NY2d 490; *People v McDowell*, 28 NY2d 373; *People v Chidick*, 8 NY3d 445; *Matter of Philip A.*, 49 NY2d 198; *People v Rojas*, 61 NY2d 726; *People v Oquendo*, 134 AD2d 203; *People v Martinez*, 90 AD3d 409; *People v Jimenez*, 55 NY2d 895; *People v Contreras*, 108 AD2d 627.) III. There is record support for the trial court's conclusion that defendant's CPL 330.30 claim of juror misconduct lacked merit. (*HSBC Bank USA, N.A. v Roumiantseva*, 130 AD3d 983; *People v Maragh*, 94 NY2d 569; *People v Arnold*, 96 NY2d 358; *People v Crimmins*, 26 NY2d 319; *People v Brown*, 48 NY2d 388; *People v Santi*, 3 NY3d 234; *People v Moran*, 287 AD2d 328.)

OPINION OF THE COURT

GARCIA, J.

Defendant moved to suppress evidence and a hearing was held. After argument but before the court rendered a decision, the People were granted permission to reopen the hearing and present additional testimony. The court then denied defendant's motion. We must decide whether the hearing court had discretion to reopen a suppression hearing at this stage of the proceedings—after the People had rested but before rendering a decision—and, if it did, whether it was an abuse of that discretion to do so here. Because we hold that Supreme Court had, and did not abuse, the discretion to reopen the suppression hearing, we affirm.

I.

Late one night in September 2013, the victim, a taxi driver, picked up a passenger in the Bronx. A few minutes into the ride, the passenger, who was in the backseat, pulled out a knife and demanded money. The assailant cut the victim's neck with the knife, a struggle ensued, and the victim crashed his taxi. The assailant fled. Police officers arrived on the scene almost immediately, obtaining and broadcasting a description of the suspect. A few minutes later, two other officers observed defendant, who matched the description provided by the victim, on a subway platform two blocks from the crash. Defendant appeared to be trying to conceal himself from view. Soon after spotting him, police detained defendant. A police sergeant brought the victim from the crash site to the arrest scene where he identified defendant as his assailant. Defendant was arrested and charged with, among other things, attempted robbery and assault.

Defendant moved to suppress the identification made by the victim on the night of the assault, arguing that the identification procedures had been unduly suggestive and that his initial detention at the subway station had been without reasonable suspicion. A hearing was held. The People called one witness, the police sergeant, who testified as to the victim's account of the incident and description of the assailant, the sergeant's observations of defendant upon the sergeant's arrival at the subway station four to five minutes after responding to the crash scene—including that defendant appeared out of breath and was sweating—and the steps taken to obtain the initial police-arranged showup identification. Defendant presented no evidence.

Oral argument on the motion followed, during which defense counsel asserted that the People had not demonstrated reasonable suspicion to support detaining defendant, namely that the sergeant's testimony that he had witnessed defendant sweating and out of breath *after* he was detained did not support a finding that the police had reasonable suspicion to detain him. The court appeared to agree that the testimony concerning defendant's physical state after his detention was of limited relevance. The People responded that they had other witnesses available to testify, but the court stated that this was impermissible because the People had rested.

The next morning, after reviewing Appellate Division precedent provided by the People, the court changed course and

determined that it did in fact have discretion to reopen the suppression hearing but did not immediately do so. Rather, the court explained that it would not continue with argument on the merits of the suppression motion if the People were going to make a motion to reopen, as “tipping [its] hand” or “telling [the People] what [its] feeling [wa]s . . . would be inappropriate.” The People then formally requested to reopen the hearing and described the additional proof they planned to offer. Defense counsel responded and, after argument, the court granted the People’s request. The court assured defense counsel that she would be afforded as much time as she needed to cross-examine on whether the additional testimony was tailored to the issues raised at the previous argument on the merits of the motion to suppress.

Upon reopening, the People called one of the officers who had first spotted defendant on the subway platform. That officer—who did not describe whether defendant was out of breath or sweating prior to being stopped—testified that approximately five people were on the platform at the time he observed defendant, that defendant was the only one matching the description provided by the victim, and that defendant appeared to be hiding. Based on the testimony of both officers, Supreme Court denied defendant’s suppression motion. A jury found defendant guilty of attempted first-degree robbery with a dangerous instrument and second-degree assault. The Appellate Division affirmed the judgment of conviction and sentence, holding that Supreme Court “providently exercised its discretion in reopening a suppression hearing, before rendering a decision, in order to permit the People to call an officer with additional information tending to establish reasonable suspicion for defendant’s detention” (*People v Cook*, 161 AD3d 708, 708 [1st Dept 2018]). A Judge of this Court granted defendant leave to appeal (32 NY3d 1002 [2018]).

II.

Defendant, relying on this Court’s decisions in *People v Havelka* (45 NY2d 636 [1978]) and *People v Kevin W.* (22 NY3d 287 [2013]), argues that the hearing court did not have discretion, absent exceptional circumstances not present here, to reopen the suppression hearing once the People had rested. The People, in turn, argue that the court had broad authority to reopen at this stage, grounded in the court’s common-law power to alter the order of proof in its discretion, citing as authority

our decision in *People v Whipple* (97 NY2d 1, 6 [2001]; see *People v Brujan*, 104 AD3d 481 [1st Dept 2013]). We will not extend the *Havelka/Kevin W.* rule to situations where the court has not yet ruled on the suppression motion; rather, decisions to grant a request to present additional evidence at this stage of the proceedings should be reviewed under our traditional abuse of discretion standard.

A.

This Court has, in certain circumstances, placed strict limits on a court's discretion to reopen a suppression hearing. In *Havelka*, we considered whether an appellate court could hold an appeal in abeyance and remit a case for a second hearing after finding "the evidence offered at the [initial] hearing insufficient to justify the challenged police action" (45 NY2d at 639). We disagreed with the Appellate Division's decision to do so, explaining that "[t]here [is] no justification . . . to afford the People a second chance to succeed where once they had tried and failed," potentially subjecting defendants to multiple hearings on the same issue on which they had prevailed (*id.* at 643). In addition, a remand under these circumstances could lead to impermissible "[t]ailoring" of testimony to overcome defects in the People's proof identified in the Appellate Division decision (*id.* at 643-644). We held that "where no contention is made that the People ha[ve] not had [a] full opportunity to present evidence[,] [t]here [is] no justification" to remit for a second suppression hearing (*id.* at 643 [internal quotation marks omitted]).

In *Kevin W.* we extended the "one full opportunity" rule from *Havelka* to a suppression court's decision to reopen a hearing after a formal decision on the merits. Almost two months after granting suppression, the People in *Kevin W.* moved to reargue and four months after that, the court reopened the suppression proceedings to allow the People to call another witness (22 NY3d at 292-293). Based on the additional testimony, the court reversed course and denied the suppression motion (*id.* at 293-294). We affirmed the Appellate Division order reversing the denial of the suppression motion and dismissing the indictment. Relying on the reasoning in *Havelka*, we held that a judge in these circumstances was precluded "from reopening a suppression hearing to give the People an opportunity to shore up their evidentiary or legal position absent a showing that

they were deprived of a full and fair opportunity to be heard” (*id.* at 289).¹ In doing so, we noted that

“[t]he truth-seeking function of a suppression hearing is critical, and there is a strong public policy interest in holding culpable individuals responsible and protecting legitimate police conduct. Finality is important, too, and parties are expected to be prepared for relevant proceedings with their best evidence. Our rule in *Havelka* balances these sometimes competing considerations, which are as evident in the pretrial context as they are on the appeal of a suppression court’s decision” (*id.* at 296).

We must again decide where to strike that balance between “sometimes competing considerations.” In *Havelka*, we applied the “one full opportunity” rule to a holding by an appellate court overturning the decision of the suppression court. In *Kevin W.* we applied the same rule to the suppression court’s decision to reopen the hearing after its ruling on the merits of the motion. Defendant now asks us to apply the rule at a point still earlier in the process, similarly restricting the suppression court’s discretion before any decision is made. This we decline to do.

A basic concern underlying both *Havelka* and *Kevin W.* is finality, described as the “haunt[ing] . . . specter of renewed proceedings” after the defendant initially has prevailed (*Havelka*, 45 NY2d at 643). We explained in *Havelka* that allowing the People to present additional evidence at a new hearing would render success at the original suppression hearing “nearly meaningless” (*id.*). The People, we said, should not get “a second chance to succeed where once they had tried and failed” (*id.*). However, that concern is absent where no decision on the motion has been rendered by the hearing court: no victory will be rendered “nearly meaningless.”

The second issue of concern weighing in favor of the “one full opportunity” rule—the risk of improperly tailored testimony at the reopened proceedings—is significantly lower where the People do not have a formal decision from either an appellate court or the hearing court. We explained the risk in terms of distorted testimony designed to meet “the court’s *established* requirements” (*Havelka*, 45 NY2d at 643 [emphasis added]).

1. The People do not argue that they were denied a full opportunity to present their case prior to reopening here.

Without a decision by the court, there is no established blueprint for the People's presentation.

Nevertheless, if the suppression court "tips its hand" about perceived weaknesses in the People's proof after the People have rested, that insight might create a risk of tailored testimony at the reopened hearing. However, hearing courts usually will be able to take precautions to minimize that risk (see *Geders v United States*, 425 US 80, 89-90 [1976] [explaining that thorough cross-examination is an effective "weapon() to cope" with the possibility of fabricated testimony]). And, hearing courts are "more than up to the task" of detecting manufactured testimony in such circumstances (*Brujan*, 104 AD3d at 481). This evaluation might include, as we noted in *Kevin W.*, the degree to which evidence at the reopened hearings addresses specific weaknesses the court identified in the People's case, a potential factor in the court's credibility determinations in either granting or denying the suppression motion (see 22 NY3d at 297). And acute ex ante concerns, such as the degree to which the court signaled specific concerns, should inform an appellate court's review of the decision under the abuse of discretion standard.²

As we noted in *Kevin W.*, concerns about finality and improper tailoring of testimony must be balanced against the "strong public policy interest in holding culpable individuals responsible and protecting legitimate police conduct" (22 NY3d at 296; see also *Herring v United States*, 555 US 135, 141 [2009] [suppression of otherwise highly probative evidence may lead to "substantial social costs," of which the "principal cost" is "letting guilty and possibly dangerous defendants go free—something that offends basic concepts of the criminal justice system" (internal quotation marks omitted)]). It is not guilt or innocence that is at stake in a suppression hearing, but rather whether the police had lawful cause to take the challenged action (see *People v Merola*, 30 AD2d 963, 964 [2d Dept 1968]). "If the [People] possess[] evidence showing that, in fact, no official misconduct occurred, the interests of justice militate strongly in favor of considering this evidence even if it is belatedly

2. In terms of strategically withholding proof, the People rely on the hearing court's discretion at their peril: appellate courts may well determine that it was not an abuse of discretion for the hearing court to *deny* the People's motion to reopen prior to a decision (see e.g. *People v Ynoa*, 223 AD2d 975, 978 [3d Dept 1996]; *People v Lopez*, 206 AD2d 894, 894 [4th Dept 1994]).

brought to the [suppression] court’s attention” (*In re Terrorist Bombings of U.S. Embassies in E. Africa*, 552 F3d 177, 197 [2d Cir 2008]).

[1] Balancing the competing considerations and keeping in mind the overarching goal of serving the “truth-seeking function” (*Kevin W.*, 22 NY3d at 296), we decline to extend the “one full opportunity” rule to decisions to reopen suppression hearings prior to any ruling on the merits. Absent finality concerns and with the risk of improper tailoring less acute, a rule severely constricting the suppression court’s discretion cannot be justified.

B.

Based on language we used in *Whipple*, the People ask us to rely on the suppression court’s “common-law power . . . to alter the order of proof in its discretion and in furtherance of justice” at any point prior to rendering a formal decision (*see* 97 NY2d at 6 [internal quotation marks omitted], quoting *People v Olsen*, 34 NY2d 349, 353 [1974]). Reliance on that power is consistent with the rationale of several Appellate Division decisions declining to apply the *Havelka/Kevin W.* rule in similar circumstances (*see Brujan*, 104 AD3d at 481; *People v McCorkle*, 111 AD3d 557, 557 [1st Dept 2013]).

We reject the dissent’s suggestion that, with respect to reopening suppression hearings, courts have discretion to exercise their “common-law power” only in circumstances identical to those in *Whipple*, where the issue to be presented after reopening is simple to prove and not seriously contested (*see* dissenting op at 429, quoting *Whipple*, 97 NY2d at 3). The very point of a motion to suppress is to “seriously contest” the legality of police conduct, and motions to suppress rarely reflect “elements” that are “simple to prove” (*compare e.g. Camara v Municipal Court of City & County of San Francisco*, 387 US 523, 536-537 [1967] [(“T)here can be no ready test for determining reasonableness other than by balancing the need to search against the invasion which the search entails”]; *Brujan*, 104 AD3d 481-482 [evaluating extensive facts to determine whether police had reasonable suspicion], *with e.g. Whipple*, 97 NY2d at 4 [whether parking lot could hold four or more vehicles]; *People v Maloy*, 36 AD3d 1017, 1019 [3d Dept 2007] [whether bullet in gun was operative]; *People v Smith*, 118 AD3d 920, 921 [2d Dept 2014] [holding that trial court had discretion to reopen trial proof to allow People to submit defendant’s mugshot into

evidence]). Moreover, motions to suppress do not raise double jeopardy concerns, do not implicate the People's separate constitutional burden of proof as to the statutory elements of the charged crime, and do not involve a jury's potential response to a sudden deviation in the order of proof (*see Olsen*, 34 NY2d at 354-356).³

Further, as we noted in *Whipple*, the common-law power to alter the order of trial proof remains despite the Criminal Procedure Law's myriad statutory provisions governing the order of proceedings during a trial (97 NY2d at 6; *see e.g.* CPL 260.30 [1]-[11] [stating the order of a jury trial]; CPL 290.10 [explaining when a defendant may move for a trial order of dismissal]). That common-law power must, however, be exercised in a manner consistent with the applicable statutes. By contrast, the statutory framework governing suppression hearing procedures is significantly less comprehensive (*see* CPL 710.60 [4]; *see generally* *People v Mendoza*, 82 NY2d 415, 429 [1993] [holding that suppression courts may exercise their discretion to hold a hearing even if a motion to suppress is technically deficient]). Other rules governing suppression hearings are similarly relaxed compared to restrictions that apply in the trial context (*see* CPL 710.60 [4] [(H)earsay evidence is admissible (in a suppression hearing) to establish any material fact"]; *People v Edwards*, 95 NY2d 486, 492 [2000], citing *People v Darden*, 34 NY2d 177, 181 [1974] [holding that when evaluating a motion to suppress, the court may conduct an ex parte, in camera examination of a confidential informant without disclosing the informant's identity to the defendant]). The general flexibility of these procedural rules counsels for substantial discretion in altering the order of proof at pretrial suppression hearings.

[2] Accordingly, it is not surprising that both defendant and the dissent have failed to point us to a single decision in which an appellate court has used *Whipple* to so tightly cabin the hearing court's discretion prior to rendering a decision. Deci-

3. We respectfully disagree with the dissent's position that the brief analogy to a "parallel" situation made by this Court in *People v Crandall* (69 NY2d 459, 467 [1987] [affirming reopening of a suppression hearing when the People did not have a full opportunity to present evidence during the initial hearing]) somehow effected a wholesale importation of the entire body of law related to reopening of trial proof into the suppression hearing context (*see* dissenting op at 427-428). Notably, we did not cite *Olsen*, *Whipple*, or any other case related to trial proceedings in *Kevin W.*, decided 26 years after we purportedly opened this portal in *Crandall* and 12 years after we decided *Whipple*.

sions at this stage of the proceedings—denying or granting a motion to reopen—will be reviewed under our traditional abuse of discretion standard.⁴

C.

[3] Applying the relevant standard in this case, the hearing court’s reopening was a permissible exercise of its discretion. Under the abuse of discretion standard, “[w]e are not free to substitute our judgment for that of the . . . court [of first instance] when conflicting facts and inferences reasonably support a decision for or against a certain result” (*People v Branch*, 83 NY2d 663, 667 [1994]). Instead, the question is whether “the case presented shows no room for the exercise of . . . reasonable discretion” (*id.*).

It is true, as defendant asserts, that the hearing court had expressed some skepticism regarding part of the People’s proof, a fact which might have led to an increased possibility of tailoring. However, contrary to defendant’s contention, there is a difference between skepticism and the functional equivalent of a decision. Indeed, skepticism may not always portend an adverse ruling. Moreover, once it became clear that the People likely would make a motion to reopen the hearing, Supreme Court refused to entertain or comment on any additional argument on the merits. Thereafter, to address any risk of tailoring, the court allowed defense counsel wide latitude in cross-examining any of the People’s witnesses. “In light of these safeguards undertaken to preserve both the truth-seeking function of [the hearing] and defendant’s rights, we conclude that

4. This approach is consistent with numerous decisions in all four Appellate Division departments holding that it was not an abuse of discretion to reopen a pretrial hearing after the People rested but before the suppression court had rendered a decision (see e.g. *Brujan*, 104 AD3d at 481; *People v Suphal*, 7 AD3d 547, 547 [2d Dept 2004]; *People v Whitmore*, 12 AD3d 845, 846 [3d Dept 2004]; *People v Brown*, 148 AD3d 1534, 1534-1535 [4th Dept 2017], *lv denied* 29 NY3d 1076 [2017]). These include several decisions of the First and Fourth Departments issued after we decided *Kevin W.* (see e.g. *People v Gnesin*, 127 AD3d 652, 653 [1st Dept 2015]; *Brown*, 148 AD3d 1534; *People v Williams*, 151 AD3d 1834, 1835 [4th Dept 2017], *lv denied* 29 NY3d 1135 [2017]). The Court of Appeals for the Second Circuit has rejected the “one full opportunity” rule altogether, instead allowing hearing courts the discretion to reopen a suppression hearing even after rendering a formal decision (see *In re Terrorist Bombings of U.S. Embassies in East Africa*, 552 F3d at 197; see also *United States v Ozuna*, 561 F3d 728, 734 [7th Cir 2009]; *United States v Rabb*, 752 F2d 1320, 1323 [9th Cir 1984], *abrogated on other grounds by Bourjaily v United States*, 483 US 171 [1987]).

the [hearing] court did not abuse its discretion” (*Branch*, 83 NY2d at 668; *cf. Geders*, 425 US at 89-90).

Nor can defendant claim any unfair prejudice. The hearing and rehearing occurred over the course of two days, as opposed to the months-long period in *Kevin W.* (see 22 NY3d at 292-294). The court denied defendant’s suppression motion less than a week after the hearing and rehearing. And, the additional witness should not have come as a surprise as it was one of the officers who initially spotted defendant at the subway station.

It is also worth noting that, although Supreme Court had focused on what reasonable inferences could be drawn from the original witness’s observation that defendant was sweating and out of breath shortly after being detained, at the reopened hearing the People elected to rely on other, unrelated proof in establishing reasonable suspicion. Both the inconclusive nature of Supreme Court’s comments prior to the motion to reopen and the nature of the subsequent proof reinforce our view that any risk of tailoring here was minimal (see *Kevin W.*, 22 NY3d at 297 [“the nature of (the) later testimony underscore(d) the risk of presentations shaped, whether deliberately or subconsciously, by hindsight” because that testimony directly addressed the expressed concerns of the hearing court]).

D.

In *Havelka*, we prefaced our holding by observing that “[r]ules emerge and are tested against varying factual backgrounds. Those rules which accomplish just and workable results survive and expand. But a principle should never be applied hastily without measuring its probable effect. It is the purpose of the rule, rather than the rule itself, to which we are ultimately bound” (45 NY2d at 642). The *Havelka* rule, given its purpose and justification, has reached “the limit of its logic” (*Messersmith v American Fid. Co.*, 232 NY 161, 165 [1921]) and should not be further extended. Instead, decisions by the suppression court to reopen a hearing made prior to any decision on the merits should be reviewed under our traditional abuse of discretion standard. The hearing court did not abuse its discretion here.

We have examined defendant’s remaining contentions and find them without merit.

Accordingly, the order of the Appellate Division should be affirmed.

STEIN, J. (dissenting). Although I agree with the majority that a hearing court may have the discretion to reopen a suppression hearing after the People have rested but before rendering a decision, I disagree with the majority's analysis of the boundaries of that discretion, and I conclude that Supreme Court abused its discretion in granting the People's request to reopen the suppression hearing under the particular circumstances of this case. Therefore, I respectfully dissent.

I.

As the majority notes, our jurisprudence addressing courts' discretion to allow reopening of a suppression hearing "balances . . . sometimes competing considerations" (*People v Kevin W.*, 22 NY3d 287, 296 [2013]). The issue presented on this appeal requires us to balance those considerations yet again.

After a formal decision on the merits of a suppression motion has been issued, our precedent "preclude[s] a trial judge from reopening a suppression hearing to give the People an opportunity to shore up their evidentiary or legal position absent a showing that they were deprived of a full and fair opportunity to be heard" (*id.* at 289; see *People v Crandall*, 69 NY2d 459, 463-467 [1987]; *People v Havelka*, 45 NY2d 636, 643-644 [1978]). One consideration underlying this rule is finality; a "defendant, having prevailed at the hearing, [should not] be haunted by the specter of renewed proceedings" (*Havelka*, 45 NY2d at 643; see *Kevin W.*, 22 NY3d at 296). Absent a formal decision on the merits, such as here, finality is not a concern. However, while, as a general matter, "[f]inality is important," we have recognized that "[t]he truth-seeking function of a suppression hearing is *critical*" (*Kevin W.*, 22 NY3d at 296 [emphasis added]).

Our cases establish that "the risk of the introduction of distorted testimony at a rehearing" (*Havelka*, 45 NY2d at 644) or tailored testimony "shaped, whether deliberately or subconsciously, by hindsight" (*Kevin W.*, 22 NY3d at 297; see *Crandall*, 69 NY2d at 467) undermines the truth-seeking function of a hearing. The rules set forth in our prior cases limiting courts' ability to reopen suppression hearings are designed to protect the truth-seeking function of suppression hearings by minimizing the risk of tailored testimony. While "there is a strong public policy interest in holding culpable individuals responsible and protecting *legitimate* police conduct" (*Kevin W.*,

22 NY3d at 296 [emphasis added]), testimony that is tailored by police to fit “implicit and explicit direction from the court about the weaknesses of [the People’s] case” (*id.* at 295) works to defeat a court’s ability to determine the truth of whether police misconduct has, in fact, occurred. Admitting such testimony undermines the truth-seeking function of a suppression hearing. The majority overlooks the simple proposition recognized by our cases that distorted or tailored police testimony does not assist a suppression court in determining whether official misconduct has occurred. Indeed, the majority’s decision herein, which provides the People with virtually unlimited opportunity, after the People have rested but before a decision is made, to tailor their presentation at a reopened hearing to satisfy the implicit or explicit direction provided by the court “magnif[ies] the *potential* for abuse and injustice” (*Havelka*, 45 NY2d at 643 [emphasis added]).¹

The majority not only holds that hearing courts may routinely grant a request by the People to reopen a suppression hearing after both parties have rested but prior to a formal decision, but also that such a determination should be upheld, almost without limitation. Despite our repeated caution that the “courts should be alert to the potential for abuses through the tailoring or alteration of testimony to satisfy the deficiencies found by a[] . . . court” (*Crandall*, 69 NY2d at 467), the majority allows only that “acute ex ante concerns, such as the degree to which the court signaled specific concerns, should inform an appellate court’s review of the decision under the abuse of discretion standard” (majority op at 420). In addition, although the majority erroneously insists that *Kevin W.* addressed only the risk of tailored testimony arising from the expressly identified concerns of the court about the weaknesses of the People’s case (majority op at 420, 424), we plainly emphasized in that case that such risk is present when the People “benefit from *implicit and explicit* direction from the court” about the insufficiency of their proof (22 NY3d at 295 [emphasis added]). Thus, contrary to the majority’s constricted reading of our prior case law, we have recognized that it is not

1. The majority appears to imply that the truth-seeking function is more important in suppression hearings than at trials because, in suppression hearings “[i]t is not guilt or innocence that is at stake in a suppression hearing, but rather whether the police had lawful cause to take the challenged action” (majority op at 420). I profoundly disagree. The truth matters in all judicial fact-finding proceedings.

only the explicit or “established requirements” of the courts that may enable the People to provide tailored testimony at a reopened suppression hearing (*Havelka*, 45 NY2d at 643), but also the court’s “implicit . . . direction” (*Kevin W.*, 22 NY3d at 295).

The majority’s vague rule, pursuant to which an appellate court should assess only whether the hearing created a risk of tailored police testimony when the court has expressly identified the weaknesses in the People’s case, increases the “potential for abuse and injustice” that our prior jurisprudence has consistently warned “should not be tolerated” (*Havelka*, 45 NY2d at 643-644).² Therefore, I would apply the standard urged by the parties in accordance with our decision in *People v Whipple* (97 NY2d 1 [2001]) in assessing whether a suppression court abused its discretion in granting a request to reopen, rather than the nebulous standard articulated by the majority. Under that standard, the court’s reopening of the suppression hearing here constituted an abuse of discretion. However, even under the majority’s standard—pursuant to which appellate courts “should” consider “the degree to which the court signaled specific concerns” (majority op at 420)—the hearing court abused its discretion in granting the People’s request to reopen because the “nature of Supreme Court’s comments prior to the motion to reopen” gave significant substantive guidance to the People regarding the deficiencies in their case, and the testimony proffered on reopening directly addressed the explicit concerns of the suppression court (majority op at 424).

II.

In contesting whether Supreme Court abused its discretion in reopening the suppression hearing below, both parties before this Court rely heavily on *People v Whipple*, which the majority cites but then rejects. Indeed, the People argue that “this Court should . . . be guided by the outcome in *Whipple*.” I agree.

2. The majority concludes that this risk is attenuated because hearing courts are easily able to detect manufactured testimony in the face of strong cross-examination by defense counsel (*see* majority op at 420). However, the availability of cross-examination upon rehearing was not deemed to be sufficient in any of our prior cases to ameliorate the risk. The majority does not adequately explain why cross-examination is insufficient to minimize the risk when a formal decision detailing the deficiencies in the People’s case has been rendered, as in *Kevin W.* and *Havelka*, but the risk is somehow significantly less acute when the court merely informs the People of those deficiencies without issuing a formal decision.

By way of background, this Court recognized in *Crandall* that, in determining whether remittal for a second suppression hearing was appropriate, we should look to the rules that are applied in the trial context (69 NY2d at 467). We explained that our cases in the suppression context

“can be analogized in terms of the appropriate corrective action to cases where, as a consequence of trial error by the prosecution or the court, a new trial is ordered. Correspondingly, as under the *Havelka* principle, when the evidence at trial is insufficient after the People have had a full opportunity to present their evidence, the appropriate corrective action is to dismiss the criminal charge. In short, the parallel between the corrective action of cases of true insufficiency of the evidence and those involving trial errors helps to demonstrate the correctness of the rationale and result we reach in this case” (*id.*).

Given the procedural posture of the instant case—in which the People sought to reopen the suppression hearing in order to present evidence to support a finding of reasonable suspicion after both parties had rested and defendant had thoroughly argued the insufficiency of the People’s proof—the relevant precedent arising out of the trial context, as correctly identified by the parties, is *Whipple*.³ In *Whipple*, “the People rest[ed] without evidence establishing an element of an offense, . . . the defendant move[d] for a trial order of dismissal on that basis, [and] the trial court . . . permit[ted] the People to reopen their case [to] cure the omission” before the case was submitted to the jury (97 NY2d at 3). Under *Whipple*, even when the People have a full and fair opportunity to litigate an issue before the close of proof, the trial court retains discretion to allow them to reopen prior to a decision being rendered on the ultimate issue. Specifically, *Whipple* rejected the notion that, simply because a “motion for a trial order of dismissal gave the People notice of [a] technical omission, . . . a trial court may never permit the People to act on such notice—a sort of ‘gotcha’ principle of law” (97 NY2d at 7).

3. The majority contends that *Whipple* cannot be relevant because it was not cited in *Kevin W.* (see majority op at 422 n 3). Given that *Kevin W.* was not decided in a similar procedural context—*Kevin W.* involved the propriety of a suppression court’s decision to reopen a suppression hearing six months after a formal decision had been rendered (see 22 NY3d at 292-293)—there was no reason for that Court to cite *Whipple*.

So too here, I agree with the majority that a suppression court retains some discretion, pursuant to its “common-law power . . . to alter the order of proof” (*Whipple*, 97 NY2d at 6), in order to allow the People to reopen a suppression hearing prior to rendering a decision on the merits. However, the common-law power recognized in *Whipple* is not unlimited. Rather, the Court held in *Whipple* that reopening is not an abuse of discretion only “where the missing element is simple to prove and not seriously contested, and reopening the case does not unduly prejudice the defense” (97 NY2d at 3). That standard is entirely consistent with our concern in *Havelka* and its progeny about the risk of the People undermining the truth-seeking function of a suppression hearing by offering testimony that is tailored in response to guidance previously provided by the court.

The majority contends that *Whipple* cannot be applied in the suppression context because the purpose of a motion to suppress is to “seriously contest” the legality of police conduct (majority op at 421), and suppression motions do not reflect issues that are “simple to prove” (*Whipple*, 97 NY2d at 3). However, the question is not whether the ultimate issue—i.e., illegality of police conduct or guilt versus innocence—is uncontested and easy to prove, but whether the missing testimony is a mere technical omission. In any event, while *Havelka* and its progeny effectively apply an absolute bar to permitting a rehearing on a suppression motion after a decision has been rendered, the Court noted in *Havelka* that, “[u]nder certain circumstances, . . . the risk of the introduction of distorted testimony at a rehearing is minimal” (45 NY2d at 644). The *Havelka* Court gave as an example a situation in which “information supporting a search was furnished by an interstate bulletin . . . or by a communication from one division of a police department to another,” explaining that “[i]n such cases the lack of familiarity and personal contact between the sending and receiving officers diminished the potential for distortion” (*id.*). The example given in *Havelka* reflects an identified deficiency in the People’s case that “is simple to prove and not seriously contested” (*Whipple*, 97 NY2d at 3) and demonstrates that *Whipple* easily translates to the suppression context. Moreover, unlike the standard adopted by the majority decision, application of *Whipple* would present an effective guard against the risk of tailored testimony.

The majority further concludes that, contrary to *Crandall*, we should not look to the trial context because the statutory

framework governing suppression hearings is less comprehensive and more “relaxed” than the framework that applies to suppression hearings. This explanation for departing from *Crandall* is contradicted by the majority’s own recognition that *Whipple* involves the courts’ common-law power to alter the order of trial proof, which is separate and apart from the statutory provisions governing the order of proceedings during a trial. In other words, the majority relies on *Whipple* in recognizing a suppression court’s “common-law power . . . to alter the order of proof ‘in its discretion and in furtherance of justice’ ” (*Whipple*, 97 NY2d at 6, quoting *People v Olsen*, 34 NY2d 349, 353 [1974]), but then states that the scope of that common-law power should be governed by the comprehensiveness—or lack thereof—in a statutory framework that it essentially recognizes as inapplicable. This unique legal analysis is puzzling. I agree with the People that *Whipple* should govern the analysis instead.

III.

Here, after the sole witness testified at the hearing on defendant’s motion to suppress the identification made by the victim and the parties rested, defendant argued that the victim’s description of the perpetrator was too vague to provide the police with reasonable suspicion to detain defendant. The court inquired about the impact of the testimony of the witness—a police sergeant who brought the victim to identify defendant after defendant had been detained—that he observed defendant to be sweating and out-of-breath. Defense counsel responded that the sergeant’s observation of defendant panting and sweating after he was handcuffed and surrounded by police officers could not contribute to reasonable suspicion for the police to initially approach and stop defendant. The court not only “appeared to agree that the testimony concerning defendant’s physical state after his detention was of limited relevance” (majority op at 416), but expressly identified that deficiency as “the issue.” The court then explained that if, after reviewing the sergeant’s testimony, it concluded that the sergeant had stated that the fellow officer who first detained defendant observed both that defendant met the victim’s vague description and “that he was huffing and puffing and was sweating, then there’s not an issue.” The People conceded that the sergeant did not so testify, and the court denied the People’s request to call additional witnesses who could testify about de-

defendant's appearance before he was detained. The court opined that it lacked discretion to reopen the hearing because the People had rested, but it adjourned until the next day to permit the People to provide cases instructive on the court's ability to do so.

The following day, the court changed course, concluding that it had discretion to reopen the hearing to allow the People to put in further proof. The court explained that defendant had pointed to a deficiency in the People's proof, and that it was the People's "call" whether to move to reopen the hearing. The court further stated that, after the parties rested, it was left with "the question" for the People of "whether there was anything . . . [it] could or anything that [it] would draw in terms of an inference as to why this detention occurred beyond the [victim's] description." Only after making that statement did the court indicate that it was "not tipping [its] hand" or "rendering a decision." Contrary to the majority's assertion that the court refused to entertain or comment on additional argument on the merits, the court did in fact tip its hand and provide explicit direction to the People on the merits after the People stated that, "at this time we are moving to reopen the hearing." Indeed, the court arguably suggested which officer the court believed the People should call to testify, stating that "the DA perhaps has concluded that maybe the fellow officer rule is not going to meet his burden of going forward and maybe he needs to bring in the officer who actually detained the person." After the People indicated that they intended to call a police witness to testify that he observed defendant hiding on the subway platform in a manner that would prevent him from being seen, the court stated "I'm sorry, I'm not understanding. You're not putting on the person who detained the defendant?" The People then answered the court's repeated questions about exactly what the proposed witness communicated to the officer who actually detained defendant; those questions went to the merits of the defendant's suppression motion.

Defendant objected that, given the parties' extensive oral argument exploring the issue of reasonable suspicion, reopening the hearing would create a danger of tailored testimony because "the police know what they need to say now to Your Honor in order to meet their burden." Defendant argued that this case should be distinguished from one in which the People simply "forgot to ask . . . a particular question"; rather, after the issues were explored at length, the People realized that

their witness did not “say what we needed him to say,” so they wanted to call an additional officer to cure the deficiencies in their case. In other words, defendant pointed out that the extensive exploration of the issue had given rise to the potential for tailored testimony. Nevertheless, the court granted the motion to reopen the hearing and informed defense counsel that she would have an opportunity to cross-examine the witness on the issue of tailoring.

At the reopened suppression hearing, the officer who first observed defendant on the subway platform testified that he saw defendant on the uptown side of the platform. From the downtown side, the officer could see defendant seated on the ground behind a barrier or obstruction, hiding in a way that made him not visible to anyone walking up the stairs to the uptown side of the platform. Other officers arrived on the uptown side of the platform, and the testifying officer pointed out defendant’s location to them—i.e., he signaled to the officer who detained defendant where he was and that he was hiding—whereupon defendant was taken into custody. This testimony did not expressly address “the issue” with the People’s proof that the suppression court initially identified. However, it did address the court’s extensive questions regarding what was communicated to the officer who detained defendant, and it provided additional proof in response to the court’s clear indication that the evidence previously provided was insufficient to establish reasonable suspicion.

The additional evidence that the courts below held was required to prove reasonable suspicion was not a mere “technical omission,” where “the People simply forgot a technically necessary element . . . [that] was simple to prove, and uncontested,” as in *Whipple* (97 NY2d at 7), or that involved “diminished . . . potential for distortion,” as set forth in *Have-lka* (45 NY2d at 644). Rather, the question of whether there was reasonable suspicion—turning on what police observed about defendant before he was stopped and what was communicated to the officer who detained him—was seriously contested. Moreover, as the parties’ extensive oral arguments at the trial level indicate, the issue was far from simple to prove. Thus, under *Whipple*, reopening was not permissible.

Moreover, under these circumstances, “the nature of [the] later testimony underscores the risk of presentations shaped, whether deliberately or subconsciously, by hindsight” (*Kevin W.*, 22 NY3d at 297), and reopening the hearing allowed the

People to elicit testimony tailored to the court's "implicit and explicit direction" (*id.* at 295).⁴ The safeguards to which the majority points that were purportedly employed by the suppression court to preserve the truth-seeking function of the hearing and defendant's rights simply did not exist (*cf. People v Branch*, 83 NY2d 663, 668 [1994]). Rather, defendant was placed in the untenable position of having to choose between vigorous argument regarding the deficiencies in the People's proof and avoiding a clear articulation of those deficiencies so that the People would not be given the opportunity to present tailored testimony upon a reopening of the hearing. Given the manifest risk of tailoring here, I would hold that Supreme Court abused its discretion in reopening the hearing even under the vague standard established by the majority.

Accordingly, I would reverse and grant defendant's motion to suppress.

Chief Judge DiFiore and Judges Fahey, Wilson and Feinman concur; Judge Stein dissents in an opinion in which Judge Rivera concurs.

Order affirmed.

4. Of course, even if police do not tailor their testimony to the court's concerns in a reopened hearing—and thereby confirm the risk—an appellate court may nevertheless conclude that the suppression court so signaled its position on the deficiencies in the People's case that an intolerable risk of distorted testimony was present.

[143 NE3d 1094, 121 NYS3d 216]

In the Matter of BRUCE D. BOHLEN et al., Respondents, v
THOMAS P. DiNAPOLI, in His Capacities as the Comptroller
of the State of New York and the Administrative Head of
the New York State and Local Employees' Retirement
System, et al., Appellants.

Argued January 8, 2020; decided February 13, 2020

SUMMARY

APPEAL, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered August 9, 2018, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Albany County). The Appellate Division, with two Justices dissenting, (1) annulled a determination of respondent New York State Comptroller which had accepted the findings and conclusions set forth in the decision of the hearing officer and denied petitioners' application seeking reconsideration of the exclusion of "longevity payments" from petitioners' final average salaries in calculating retirement benefits; (2) granted the petition; and (3) remitted the matter to respondents for further proceedings not inconsistent with the Appellate Division's decision.

Matter of Bohlen v DiNapoli, 164 AD3d 1038, reversed.

HEADNOTES

Civil Service — Retirement and Pension Benefits — Calculation of Final Average Salary — Compensation Paid in Anticipation of Retirement — Payments Made as Incentive to Delay Retirement

1. A salary adjustment designed to boost pension benefits of a member of the New York State and Local Employees' Retirement System is excludable from the salary base for the computation of retirement benefits as "additional compensation paid in anticipation of retirement" under Retirement and Social Security Law § 431 (3), regardless of whether the adjustment is intended to encourage earlier or later retirement. Pension benefits depend on the average salary earned by a member "during any three consecutive years which provide the highest average salary" (Retirement and Social Security Law § 443 [a]). Under section 431 (3), benefits are to be computed on the basis of an employee's regular salary and not any kind of termination pay or other form of additional compensation paid "in anticipation of retirement." While pension boosting is often done to induce a member to retire early by promising an enhanced pension, a salary adjustment intended to increase an employee's pension may be offered in other contexts, including in exchange for a promise not to retire. An example of pension boosting in the statute's legislative history of employees working many hours of overtime in their last year before retirement did not support a theory that the intent was to prevent in-

flation of final average salary only in periods immediately prior to retirement. Given the focus on fiscal concerns and curbing abuses of the retirement system, there would have been no reason for the legislature to prohibit pension enhancement when used as an inducement to retirement and not also when used as an incentive to delay retirement. Thus, the Appellate Division erred in suggesting that compensation adjustments could not be both made to delay a member's retirement and designed to artificially inflate his or her final average salary in anticipation of retirement, and in concluding that the statute did not cover an increase made in anticipation of eventual retirement without a specific retirement date in view.

Civil Service — Retirement and Pension Benefits — Calculation of Final Average Salary — Compensation Paid in Anticipation of Retirement — Payments Made as Incentive to Retain Employees Following September 11, 2001

2. Substantial evidence supported respondent New York State Comptroller's determination that compensation adjustment payments made by a state agency to petitioners, members of the New York State and Local Employees' Retirement System and former key agency executives, based upon their exclusion from a retirement incentive program in the aftermath of the September 11, 2001 terrorist attacks were not pensionable compensation under Retirement and Social Security Law § 431 (3). Section 431 (3), which was intended to prohibit artificial increases in salary designed to boost pension benefits, excludes from the salary base for the computation of retirement benefits "any additional compensation paid in anticipation of retirement," regardless of whether the adjustment is intended to encourage earlier or later retirement. Here, petitioners signed letter agreements acknowledging their exemption from the retirement incentive and their acceptance of the "retention program." The letter agreements directly referred to a program "designed to provide a limited number of staff members with a 'parity' benefit," and stated that if petitioners "remain[ed] employed for three additional years, [their] pension calculation[s] . . . would be roughly equivalent to the calculation[s] if [they] had been eligible to retire with the incentive." Thus, notwithstanding that the compensation adjustments were provided by the agency as retention payments to delay retirement, they were designed to artificially increase petitioners' final average salaries and boost their pension benefits, constituting compensation paid in anticipation of eventual retirement.

Civil Service — Retirement and Pension Benefits — Benefits Not to be Diminished or Impaired — Vested Right

3. Application of Retirement and Social Security Law § 431 (3) to exclude from final average salary calculations compensation adjustment payments made by a state agency to petitioner former key agency executives as a parity benefit upon their exclusion from a retirement incentive program in the aftermath of the September 11, 2001 terrorist attacks did not violate NY Constitution, article V, § 7 with respect to those petitioners who had joined the New York State Employees' Retirement System prior to the statute's 1971 effective date. Section 431 (3), which was intended to curb abuses of the Retirement System, excludes from the salary base for the computation of retirement benefits "any additional compensation paid in anticipation of retirement," regardless of whether the adjustment is intended to encourage earlier or later retirement. Under the constitutional provision, the benefits of a member of the Retirement System "shall not be diminished or impaired" (NY Const, art V, § 7 [a]) where the member has acquired a vested right

thereto. A vested right is created only where it is based on administrative construction and practice for a given or extended period of time, and only to the extent reasonable. Here, petitioners failed to show a pre-1971 practice of including payments made in anticipation of retirement in the calculation of final average salary. As indicated by the legislative history, section 431 (3)'s enactment did not point to a general practice, sanctioned by the law, of including such payments, but rather the fact that some employees and employers were manipulating the system in a manner the legislature sought to discourage.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Pensions and Retirement Funds §§ 1137, 1143.
MCKINNEY'S, Retirement and Social Security Law §§ 431
(3); 443 (a); NY Const, art V, § 7.
NY JUR 2d Pensions and Retirement Systems §§ 110, 206.

ANNOTATION REFERENCE

See ALR Index under Pensions and Retirement.

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POINTS OF COUNSEL

Letitia James, Attorney General, Albany (Sarah L. Rosenbluth, William E. Storrs, Barbara D. Underwood, Jeffrey W. Lang and Victor Paladino of counsel), for appellants. I. Substantial evidence supports the Comptroller's determination to exclude the so-called "longevity payments" from the calculation of petitioners' final average salaries. (*Matter of Davies v New York State & Local Police & Fireman Retirement Sys.*, 259 AD2d 912, 93 NY2d 810; *Matter of Tooley v McCall*, 252 AD2d 794; *Matter of Holbert v New York State Teachers' Retirement Sys.*, 43 AD3d 530; *Matter of Moraghan v New York State Teachers' Retirement Sys.*, 237 AD2d 703; *Matter of Hohensee v Regan*, 138 AD2d 812; *Matter of Franks v DiNapoli*, 53 AD3d 897; *Matter of Kelly v DiNapoli*, 30 NY3d 674; *Matter of Marine Holdings, LLC v New York City Commn. on Human Rights*, 31 NY3d 1045; *Matter of Haug v State Univ. of N.Y. at Potsdam*, 32 NY3d 1044; *Rainer N. Mittl, Ophthalmologist, P.C. v New York State Div. of Human Rights*, 100 NY2d 326.) II. Application of Retirement and Social Security Law § 431 (3) to the

petitioners who joined the retirement system before the statute's enactment does not violate article V, § 7 of the New York State Constitution. (*Kranker v Levitt*, 30 NY2d 574; *Matter of Hessel v New York City Employees' Retirement Sys.*, 33 NY2d 381; *Matter of Weber v Levitt*, 34 NY2d 797; *Matter of Moore v Levitt*, 74 AD2d 971.)

DeGraff, Foy & Kunz, LLP, Albany (George J. Szary of counsel), and *Port Authority of New York and New Jersey, Law Department*, New York City (Stephen Marinko of counsel), for respondents. I. The Comptroller's determination improperly applied a legal standard not contained in Retirement and Social Security Law § 431 and was properly vacated by the Appellate Division. (*Lawrence Constr. Corp. v State of New York*, 293 NY 634; *People v Olah*, 300 NY 96; *Matter of Marine Holdings, LLC v New York City Commn. on Human Rights*, 31 NY3d 1045; *Matter of Van Haneghan v New York State Teachers' Retirement Sys.*, 6 AD3d 1019; *Matter of Curra v New York State Teachers' Retirement Sys.*, 30 AD3d 666; *Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575; *Matter of Hughes v McCall*, 245 AD2d 904; *Matter of Thompson v New York State Teachers' Retirement Sys.*, 78 AD3d 1456; *Matter of Tooley v McCall*, 252 AD2d 794; *Matter of Bascom v McCall*, 221 AD2d 879.) II. Retroactive application of Retirement and Social Security Law § 431 (3) violates article V, § 7 of the New York State Constitution. (*Kranker v Levitt*, 30 NY2d 574; *Matter of Weber v Levitt*, 34 NY2d 797; *Kleinfeldt v New York City Employees' Retirement Sys.*, 36 NY2d 95; *Birnbaum v New York State Teachers Retirement Sys.*, 5 NY2d 1; *Matter of Moore v Levitt*, 74 AD2d 971; *Matter of Hessel v New York City Employees' Retirement Sys.*, 33 NY2d 381.)

OPINION OF THE COURT

FAHEY, J.

Government pensions are based on employees' regular average salaries. All New York State employees rely on the integrity of the pension system. The protection against its manipulation is one of the Comptroller's primary responsibilities.

Here, we uphold a determination of the Comptroller's Office that a Port Authority of New York and New Jersey compensation adjustment program artificially enhanced certain employees' final average salaries so as to increase their retirement benefits, and that payments made pursuant to the program were not pensionable compensation under Retirement and

Social Security Law § 431 (3), which provides that “any additional compensation paid in anticipation of retirement” must be excluded from final average salary calculations.

I.

Bruce Bohlen and 10 other employees of the Port Authority of New York and New Jersey (petitioner employees or the executive employees) held executive positions at the agency in the aftermath of the terrorist attacks of September 11, 2001. The Port Authority is a participating employer in the New York State and Local Employees’ Retirement System (the Retirement System).

In 2002, the Port Authority’s Board of Commissioners approved participation in a statutory retirement incentive program that offered additional pension benefits to certain public employees if they retired before the end of the year (*see* L 2002, ch 69). The purpose of the retirement incentive was “to achieve cost-savings for public employers and to avoid layoffs of public employees in th[e] time of fiscal need” following the September 11 attacks (L 2002, ch 69, § 2). Petitioner employees, as key executives, were exempted from the retirement incentive program, by determination of the Port Authority’s Executive Director.

In the same year, petitioner employee Louis LaCapra, the agency’s Chief Administrative Officer, recommended to the Executive Director “a compensation adjustment program” that would “achieve [an] equivalent level of pension benefit for” employees, including LaCapra himself, who would be exempted from the retirement incentive. A Retirement System member’s pension benefit depends upon their final average salary, i.e., “the average salary earned by . . . a member during any three consecutive years which provide the highest average salary” (Retirement and Social Security Law § 443 [a]). LaCapra suggested a salary increase to replicate the level of pension benefit that the executive employees would not otherwise be able to receive. The Executive Director adopted the recommendation, describing the proposal to the Board as a “retention program.”

In December 2002, petitioner employees signed letter agreements acknowledging their exemption from the retirement incentive and their acceptance of the “retention program,” which was described as being “designed to provide a limited number of staff members with a ‘parity’ benefit.” Petitioner employees were not required to remain with the Port Authority

for any particular period of time after the end of the year in order to receive the salary increases. If the key employees “remain[ed] employed for three additional years, [their] pension calculation[s] . . . would be roughly equivalent to the calculation[s] if [they] had been eligible to retire with the incentive at the present time.” The executive employees received the promised pay raises, which ranged from 4.5% to 11% of salary and were included in biweekly payroll checks, for periods ranging from nine months to 10 years.

Initially, eight petitioner employees who retired were awarded benefits that included the pay raises in the calculations of their final average salaries. In 2012, however, LaCapra and the remaining two petitioner employees submitted retirement applications, and subsequently all petitioner employees received determination letters from the Retirement System, stating that the compensation adjustment payments should have been, or (in the case of the last three) would be, excluded from final average salaries for pension calculation purposes. The Retirement System explained that the allowances were “retention payments made to delay retirement,” and constituted “compensation paid in anticipation of eventual retirement.” In that regard, Retirement and Social Security Law § 431 provides that “[i]n any retirement or pension plan to which the state or municipality thereof contributes, the salary base for the computation of retirement benefits shall in no event include . . . *any additional compensation paid in anticipation of retirement*” (Retirement and Social Security Law § 431 [3] [emphasis added]).

Petitioner employees requested a hearing and reconsideration, the cases were consolidated, and the employees agreed to be bound by the Comptroller’s ultimate determination of petitioner Bohlen’s challenge. Petitioner employees maintained that the payments were designed to discourage, rather than encourage, retirement and hence, as they saw it, were not made “in anticipation of retirement.” They also argued that the application of Retirement and Social Security Law § 431 (3) to the six petitioner employees, including Bohlen, who had joined the Retirement System before the statute’s June 17, 1971 effective date, violates article V, § 7 of the State Constitution.

The Hearing Officer found that the Port Authority had given “each of the applicants additional compensation to increase their final average salaries so that their pensions would equal what their pensions would have been had they been eligible for

the retirement incentive and taken it in December 2002.” The Hearing Officer ruled that the Retirement System had acted reasonably in excluding the allowance payments from final average salary, concluding that the Retirement System “had the authority to determine what payments were excludable as . . . made in anticipation of eventual retirement . . . , whether the applicant joined the Retirement System before or after the effective date of § 431.” The Executive Deputy Comptroller adopted these findings and conclusions and denied petitioner employees’ applications for reconsideration.

II.

Petitioners, who comprise the surviving executive employees and the beneficiaries of two of the executive employees who have died, commenced this CPLR article 78 proceeding in Supreme Court, challenging the determination of the Comptroller’s Office. Petitioners sued that Office; the Retirement System; the Comptroller, Thomas P. DiNapoli, who is also the administrative head of the Retirement System; and the Executive Deputy Comptroller, Colleen C. Gardner. Petitioners argue that the Comptroller’s decision is not supported by substantial evidence and that the statute does not apply to the employees who had joined the Retirement System prior to June 17, 1971. Supreme Court transferred the matter to the Appellate Division pursuant to CPLR 7804 (g).

The Appellate Division annulled the Comptroller’s determination, granted the petition, and remitted the matter to the Retirement System (164 AD3d 1038 [3d Dept 2018]). The Court concluded that the “payments are more appropriately characterized as . . . made to delay petitioners’ retirements, not to artificially inflate their final average salary in anticipation of retirement” (164 AD3d at 1040) and found it “telling that both the Retirement System and the Hearing Officer . . . characterized the payments as having been made ‘in anticipation of *eventual* retirement’ (emphasis added)” (*id.*).

Two dissenting Justices would have confirmed the Comptroller’s determination. The dissent reasoned that “[a]lthough the . . . payments were clearly intended to induce petitioners to remain employed . . . , the . . . record evidence amply supports the conclusion that the primary purpose . . . was to provide petitioners with an elevated level of compensation in retirement, whenever that might be” (164 AD3d at 1042-1043 [Clark, J., dissenting] [emphasis omitted]). The dissenting Jus-

tices also rejected petitioners' contention based on article V, § 7 of the State Constitution, noting the absence of a vested right (*see id.* at 1043-1044 [Clark, J., dissenting]).

Respondents appealed as of right, pursuant to CPLR 5601 (a). We now reverse.

III.

We must determine whether the Comptroller's determination is supported by substantial evidence (*see* CPLR 7803 [4]; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]). As the Appellate Division has often reiterated, "the Comptroller is vested with exclusive authority to determine applications for retirement benefits and such determination, if supported by substantial evidence, must be upheld" (*Matter of Chichester v DiNapoli*, 108 AD3d 924, 925 [3d Dept 2013], quoting *Matter of Davies v New York State & Local Police & Fireman Retirement Sys.*, 259 AD2d 912, 913 [1999], *lv denied* 93 NY2d 810 [1999]). As such, we must decide whether there is substantial evidence in the record to support the determination of the Comptroller's Office that the compensation adjustment payments constituted "additional compensation paid in anticipation of retirement" (Retirement and Social Security Law § 431 [3]). In order to answer that question, however, we must first determine the meaning of the phrase "in anticipation of retirement."

Retirement and Social Security Law § 431, enacted in 1971, provides:

"In any retirement or pension plan to which the state or municipality thereof contributes, the salary base for the computation of retirement benefits shall in no event include any of the following earned or received, on or after April first, nineteen hundred seventy-two:

"1. lump sum payments for deferred compensation, sick leave, accumulated vacation or other credits for time not worked,

"2. any form of termination pay,

"3. any additional compensation paid in anticipation of retirement, or

"4. that portion of compensation earned during any

twelve months included in such salary base period which exceeds that of the preceding twelve months by more than twenty per centum.”

Under the statute, “retirement benefits are to be computed on the basis of an employee’s regular salary and not on any kind of termination pay or other form of additional compensation paid in anticipation of retirement” (*Davies*, 259 AD2d at 913-914, quoting *Matter of Tooley v McCall*, 252 AD2d 794, 794-795 [3d Dept 1998]; see also e.g. *Matter of Green v Regan*, 103 AD2d 878, 878 [3d Dept 1984]). Additional compensation made to employees with the goal of increasing their final average salaries and enhancing their pensions constitutes compensation “in anticipation of retirement” because it takes retirement benefits into account and is designed precisely to enhance them. We have recognized that the statute was intended to curb abuses of the retirement system, specifically the practice of including certain compensation to enhance final average salary prior to retirement (see *Weingarten v Board of Trustees of N.Y. City Teachers’ Retirement Sys.*, 98 NY2d 575, 582 [2002]). In short, the “legislative intention [was] to guard against Retirement System members manipulating their pay to inflate their final average salaries,” so as to increase their pensions (*Matter of Hohensee v Regan*, 138 AD2d 812, 814 [3d Dept 1988]; see also e.g. *Matter of Hughes v McCall*, 245 AD2d 904, 905 [3d Dept 1997]).

The bill jacket confirms that the principal legislative intent was to prohibit artificial increases in salary that enhance pensions. In particular, the Committee on Rules Budget Report explained the purpose as follows:

“The pension amendment relating to the salary base would eliminate some of the major abuses resulting when ‘final average salary’ is unduly raised *in order to increase pensions*. (New York City Transit System employees, for example, work many hours overtime in their last year before retirement to substantially increase retirement benefits; termination pay is being negotiated as a means of raising final average salary in some jurisdictions.) Inasmuch as lifetime retirement benefits are designed to provide an income related to actual earnings during employment, it is important to exclude unusually large payments from the base used to compute such benefits.” (Comm on Rules

Budget Report, Bill Jacket, L 1971, ch 503 at 10
[emphasis added].)

Often such pension boosting is done to induce a petitioner to retire early by promising an enhanced pension (*see e.g. Green*, 103 AD2d at 879), but a salary adjustment intended to increase an employee's pension may be offered in other contexts, including in exchange for a promise *not* to retire, as in *Matter of Thompson v New York State Teachers' Retirement Sys.* (78 AD3d 1456 [3d Dept 2010] [applying statutory scheme, set out in Education Law § 501 (11) (b) and 21 NYCRR 5001.1 (d), excluding payments received in anticipation of termination of employment]). In *Thompson*, the Appellate Division upheld a determination that salary increases were made in anticipation of retirement when designed to "provide administrators with an incentive to continue [working] beyond retirement eligibility, and . . . to partially offset the loss of [a] retirement incentive" (*Thompson*, 78 AD3d at 1457 [internal quotation marks omitted]).

[1] Here, the Appellate Division presented a false dichotomy in suggesting that the compensation adjustments could not be both "made to delay petitioners' retirements" and designed "to artificially inflate their final average salary in anticipation of retirement" (164 AD3d at 1040). On the contrary, salary increases may be designed at once to discourage imminent retirement and increase pension benefits. If a salary adjustment is designed to boost pension benefits, then it is excludable under Retirement and Social Security Law § 431 (3). Whether the raises were intended to encourage earlier or later retirement is not dispositive.

Petitioners cite the above-quoted Budget Report to support the theory that the legislative intent was to prevent inflation of final average salary only "in periods immediately prior to retirement." We disagree. Although the Budget Report mentions employees who "work many hours overtime in their last year before retirement," this is expressly given only as an "example" and indeed is presented in a parenthetical. Moreover, petitioners' theory is inconsistent with the legislative goals. Petitioners offer no reason why the legislature would have been concerned with the pension consequences of an artificial salary inflation that occurred over one year and untroubled by an artificial salary inflation that occurred over several years. More broadly, given that the legislative focus was the fiscal concern to prevent artificial boosting of pensions,

there would have been no reason for the legislature to prohibit pension enhancement when it is used as an inducement to retirement and not also when it is used as an incentive to delay retirement.

Petitioners also rely on *Matter of Van Haneghan v New York State Teachers' Retirement Sys.* (6 AD3d 1019 [3d Dept 2004]) and *Matter of Curra v New York State Teachers' Retirement Sys.* (30 AD3d 666 [3d Dept 2006]), where the Appellate Division held that particular salary increases intended to delay employees' retirements were pensionable. These decisions contain no findings that the payments were designed to boost pension benefits, and therefore do not support petitioners' position here. Indeed, the *Curra* Court expressly found that the compensation did not "serv[e] to artificially inflate petitioner's final average salary" (*Curra*, 30 AD3d at 666) and instead "represent[ed] the value of his services to the [employer] during the relevant period of time" (*id.*). Where enhanced compensation given in exchange for a promise not to retire was paid in exchange for continued valuable work and not with the design to inflate an employee's pension, the compensation may be pensionable.

Similarly, petitioners' reliance on *Weingarten* (98 NY2d 575), in which we concluded that certain compensation earned by teachers in New York City public schools could be added to the teachers' pensionable salary base, is to no avail. That case involved a form of hourly compensation for after-hours employment—so-called "per session" compensation—that was "clearly not a scheme designed to funnel additional compensation to soon-to-be retiring teachers in order to circumvent the strictures of the retirement system" (*id.* at 584) and indeed bore no relation to "service termination" (*id.* at 583). Consequently, *Weingarten* is not instructive on the question of whether compensation adjustments are pensionable if they are simultaneously designed to boost pension benefits and delay retirement. As we have noted, the legislative history resolves that question.

The Appellate Division also erred in concluding that an increase made in anticipation of "eventual retirement" or one made without a specific retirement date in view is not made "in anticipation of retirement." While it is true that the word "eventual" does not appear in Retirement and Social Security Law § 431 (3), the statutory language is broad, with no temporal limitation. Compensation payments made "in

anticipation of retirement” embrace those made in anticipation of imminent retirement and those made in expectation of retirement at an uncertain date in the future. No such manipulations of retirement benefits are pensionable.

IV.

Applying the foregoing analysis, we must now ask whether there is substantial evidence in the record to support the Comptroller’s determination that the Port Authority’s compensation adjustment program constituted “additional compensation paid in anticipation of retirement” (Retirement and Social Security Law § 431 [3]). Under this standard, where substantial evidence exists to support the administrative agency’s determination, a court may not substitute its judgment for that of the agency, even if there is evidence supporting a contrary conclusion (see *Matter of Toys “R” Us v Silva*, 89 NY2d 411, 423 [1996]; *Matter of Concourse Ophthalmology Assoc. [Roberts]*, 60 NY2d 734, 736 [1983]; *Matter of Purdy v Kreisberg*, 47 NY2d 354, 358 [1979]; *Pell*, 34 NY2d at 232). In order to determine whether the purpose of the compensation was “to circumvent the provisions of Retirement and Social Security Law § 431,” courts “‘must look to the substance of the transaction and not to what the parties may label it’” (*Davies*, 259 AD2d at 914, quoting *Green*, 103 AD2d at 878-879).

[2] Here, the record contains substantial evidence supporting the Comptroller’s determination that the Port Authority provided the compensation adjustments to artificially increase the executive employees’ final average salaries so that, upon retirement, they would receive pension increases roughly equivalent to those they would have received under the retirement incentive program. Indeed, the letter agreements signed by petitioner employees directly referred to a program “designed to provide a limited number of staff members with a ‘parity’ benefit” to make their “pension calculation[s] . . . roughly equivalent to the calculation[s] if [they] had been eligible to retire with the incentive.” Plainly, substantial evidence supports the conclusion that the compensation, by design, was made in anticipation of petitioner employees’ retirement within the meaning of the statute.

V.

Finally, petitioners maintain, in the alternative, that the six employees who joined the Retirement System prior to the effec-

tive date of Retirement and Social Security Law § 431 (3) are not bound by it. Petitioners rely on article V, § 7 of the State Constitution, which provides that “[a]fter [July 1, 1940], membership in any pension or retirement system of the state or of a civil division thereof shall be a contractual relationship, the benefits of which shall not be diminished or impaired” (NY Const, art V, § 7 [a]).

[3] In a series of cases in the years immediately following the enactment of Retirement and Social Security Law § 431, this Court decided the issue that underlies petitioners’ alternative argument. If an individual has “acquired a vested right to [a] benefit, . . . that benefit may not . . . be constitutionally impaired” (*Kranker v Levitt*, 30 NY2d 574, 575 [1972]). *Kranker* held that Retirement and Social Security Law § 431 (1), which eliminated inclusion of cash payments for accumulated vacation credits in determining salary bases for computation of retirement benefits, violates article V, § 7 of the State Constitution, if retroactively applied to individuals who had benefited from a 1957 decision of the Comptroller to include cash payments for accumulated vacation credits. “[T]he crux of [the *Kranker*] decision” was that “[p]rior to enactment of th[e challenged] section, accumulated vacation credits had been consistently included in the calculation of base salary for pension purposes” as a matter of “established pattern” (*Matter of Hessel v New York City Employees’ Retirement Sys.*, 33 NY2d 381, 385 [1974]). Put another way, *Kranker* emphasized “the limited effect of” the constitutional provision “as creating a vested right . . . only if based on administrative construction and practice for a ‘given’ or extended period of time, and then, only to the extent reasonable” (*Matter of Weber v Levitt*, 34 NY2d 797, 800 [1974]). Here, as the Appellate Division dissent noted, petitioners have failed to show a pre-1971 practice of including payments made in anticipation of retirement in the calculation of final average salary.

Petitioners respond that there was presumably such a prior practice, because otherwise there would have been no need to introduce the 1971 legislation. However, as the Budget Report indicates, the statute’s enactment does not point to a general practice, sanctioned by the law, of including such payments, but rather the fact that some employees and employers were manipulating the system in a manner the legislature sought to discourage. As we noted in *Weingarten*, the 1971 “legislative action curb[ed] . . . perceived abuses” in which final average salary was manipulated (*Weingarten*, 98 NY2d at 582).

Petitioners cite *Kleinfeldt v New York City Employees' Retirement Sys.* (36 NY2d 95, 97-98 [1975]), which held that Retirement and Social Security Law § 431 (4) violates article V, § 7 of the State Constitution if “applied to any civil service employee who became a member of a public retirement system before the statute’s effective date.” The *Kleinfeldt* Court held that “the statutory limitation may not be applied to those who became members before June 17, 1971” (*id.* at 98). However, *Kleinfeldt* is readily distinguishable.

Retirement and Social Security Law § 431 (4) provides that the “portion of compensation earned during any twelve months included in such salary base period which exceeds that of the preceding twelve months by more than twenty per centum” is excludable from salary base. Until Retirement and Social Security Law § 431 (4) enacted a cap on salary increases, for the purposes of calculating final average salaries, the payments at issue were legally included in base salaries for purposes of pension calculation. Indeed, as in *Kranker*, the Court’s decision in *Kleinfeldt* was based on fairness toward a plaintiff with a long-settled expectation that his full salary would count towards his pension benefits (*see Kleinfeldt*, 36 NY2d at 100-101). That is not the case here.

For these reasons, petitioners’ alternative argument lacks merit.

Accordingly, the judgment of the Appellate Division should be reversed, with costs, and the petition dismissed.

Chief Judge DiFIORE and Judges RIVERA, STEIN, GARCIA, WILSON and FEINMAN concur.

Judgment reversed, with costs, and petition dismissed.

[143 NE3d 1084, 121 NYS3d 206]

In the Matter of TINA LEGGIO, Appellant, v SHARON DEVINE, as Executive Deputy Commissioner of the New York State Office of Temporary and Disability Assistance, et al., Respondents.

Argued January 9, 2020; decided February 13, 2020

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 28, 2018, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Suffolk County). The Appellate Division (1) confirmed the amended determination of a designee of the Commissioner of the New York State Office of Temporary and Disability Assistance which, after a fair hearing pursuant to Social Services Law § 22 and 18 NYCRR part 358, affirmed a determination of the Suffolk County Department of Social Services discontinuing petitioner's Supplemental Nutritional Assistance Program benefits; (2) denied the petition to review the amended determination; and (3) dismissed the proceeding on the merits.

Matter of Leggio v Devine, 158 AD3d 803, affirmed.

HEADNOTES

Social Services — Food Stamp Allowance — Household Income — Child Support Payments for Benefit of Ineligible College Student Children

1. In petitioner's CPLR article 78 proceeding challenging the determination of the New York State Office of Temporary and Disability Assistance (OTDA) that her household's benefits under the federal Supplemental Nutrition Assistance Program (SNAP) were properly discontinued because its income exceeded the applicable limit, the Appellate Division incorrectly applied 7 CFR 273.11 (c) rather than section 273.11 (d) as required by the student-specific rules of section 273.5 (d) in finding that the child support payments petitioner received, made for the benefit of her children living at home, including two SNAP-ineligible college students, were "household" income for purposes of determining household eligibility. Section 273.11 (d) (1) excludes from household income the income and resources of "nonhousehold members defined in § 273.1(b)(1) . . . who are not specifically mentioned in paragraph (c)." Students under the age of 22 and living at home are covered by section 273.1 (b) (1) and are not mentioned in paragraph (c), which includes their income "in [its] entirety" in household income (7 CFR 273.11 [c] [1] [i]). Section 273.7 (b) covers "[e]xemptions from work requirements" and provides that "[s]tudents enrolled at least half-time in an institution of higher education must meet the student eligibility requirements listed in

§ 273.5” instead of the work requirements of section 273.7 (7 CFR 273.7 [b] [1] [viii]). As a result, section 273.11 (c) (1) cannot apply to students because it covers ineligible household members who are not in compliance with a “work requirement of § 273.7,” a section from which students are exempted. Section 273.5 (d)’s explicit direction that the income of ineligible students be handled according to section 273.11 (d), which excludes their income, rather than section 273.11 (c), which would include it, reflects the U.S. Department of Agriculture’s intent to exclude the income of ineligible students from household income. Under the Appellate Division’s reading of these interconnected regulations, section 273.5 (d)’s only purpose would be to point the agency back to section 273.11 (c), rendering the student-specific provision superfluous.

Social Services — Food Stamp Allowance — Household Income — Maintenance Exclusion

2. The “maintenance exclusion” of 7 USC § 2014 (d) (6), under which funds that would otherwise count as household income for purposes of determining eligibility for benefits under the federal Supplemental Nutrition Assistance Program (SNAP) must be excluded when they are “received and used for the care and maintenance of a third-party beneficiary who is not a household member,” did not apply to the child support payments petitioner received for the benefit of her college student children living at home because they were mandatory household members. New York has resolved any ambiguity in the federal scheme through a regulation that differentiates between “nonhousehold members” like roomers and live-in attendants (18 NYCRR 387.1 [x] [3]) and “ineligible individuals” including “ineligible students” (18 NYCRR 387.1 [x] [4]). Thus, in New York, students living at home are household members, even if they are ineligible to participate in SNAP. Therefore, funds collected and used for their benefit are not subject to the maintenance exclusion.

Social Services — Food Stamp Allowance — Child Support Payments for Benefit of Ineligible College Student Children Considered Parent’s Income for Purposes of Household Eligibility

3. In petitioner’s CPLR article 78 proceeding challenging the determination of the New York State Office of Temporary and Disability Assistance (OTDA) that her household’s benefits under the federal Supplemental Nutrition Assistance Program (SNAP) were properly discontinued because its income exceeded the applicable limit, deference was given to the rational policy applied by OTDA that the child support payments petitioner received, made for the benefit of her children living at home, including two SNAP-ineligible college students, were properly considered petitioner’s income and included as the income of her household for purposes of determining its SNAP eligibility. Accounting for child support income in the context of SNAP requires no specialized knowledge of operational practices or factual data, nor is it a question of pure statutory interpretation. Instead, the question comes down to a policy decision within the cooperative federalism framework of a national program committed to state administration. There is evidence that either position is acceptable under federal law, as demonstrated by the varying positions taken by different states. Therefore, it was not irrational for OTDA to determine that because petitioner received the child support and was able to use it, in her discretion, to provide food for the household, the support counted as household income, including the portion made in favor of her SNAP-ineligible college student children. OTDA’s core policy has mostly been consistent with the rule it applied: when a student lives at home and a parent directly receives child support provided in whole or in part for the care of that student, the monies are income of the parent.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Welfare Laws § 29.

NY JUR 2d Public Welfare and Elder Assistance §§ 83, 84,
209.

7 USCA § 2014 (d) (6).

ANNOTATION REFERENCE

What constitutes income under 7 USCA § 2014 (d), (k),
for purposes of determining eligibility for food stamps. 102
ALR Fed 160.

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child /2 support

POINTS OF COUNSEL

Jeffrey Seigel, Nassau / Suffolk Law Services Committee, Inc., Islandia (Beth C. Zweig of counsel), for appellant. I. The income, including the child support income, of ineligible college students is excluded from the Supplemental Nutrition Assistance Program household's countable income. (*Matter of Modica v Thompson*, 300 AD2d 662; *Matter of Commissioner of Social Servs. v Grifter*, 150 Misc 2d 209.) II. In the alternative, payments for the care and maintenance of ineligible college students are excluded from the Supplemental Nutrition Assistance Program household's income.

Letitia James, Attorney General, New York City (Andrew W. Amend, Philip V. Tisne and Barbara D. Underwood of counsel), for Sharon Devine, respondent. I. The New York State Office of Temporary and Disability Assistance rationally counted petitioner's child support payments as her income. (*Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Roe v Doe*, 29 NY2d 188; *Bowen v Gilliard*, 483 US 587; *Ruhe v Bergland*, 683 F2d 102; *Matter of Stearns v Perales*, 163 AD2d 392; *Corliss v Bowers*, 281 US 376; *Commissioner v Banks*, 543 US 426; *Commissioner v First Security Bank of Utah, N. A.*, 405 US 394; *Matter of Kaslow v City of New York*, 23 NY3d 78; *Matter of Barie v Lavine*, 40 NY2d 565.) II. The Supplemental Nutrition Assistance Program exclusion for payments received for

the benefit of individuals who are not household members does not apply. (*Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Cowan v Kern*, 41 NY2d 591; *Matter of Lefrak Forest Hills Corp. v Galvin*, 32 NY2d 796.) III. If the child support payments were properly attributable to the Supplemental Nutrition Assistance Program-ineligible students (which they were not), then they should have been excluded from household income, and the judgment below would be erroneous.

Empire Justice Center, Albany (*Saima A. Akhtar* and *Susan C. Antos* of counsel), for *Empire Justice Center*, amicus curiae. I. Hunger and food insecurity are pervasive problems among New York's college students. II. The Court must budget the income of Supplemental Nutrition Assistance Program (SNAP) ineligible college students consistent with SNAP's regulatory framework in order to maximize food purchasing power for low income college students.

OPINION OF THE COURT

WILSON, J.

In this CPLR article 78 proceeding, a parent challenges the determination of a local social services agency, confirmed by a state agency, that child support payments she receives, made for the benefit of five of her children living at home, including two college students between the ages of 18 and 22, are included as "household" income when deciding whether and to what extent the household is eligible for benefits under the federal Supplemental Nutrition Assistance Program (SNAP), commonly referred to as "food stamps." She contends that because her two children in college are ineligible for SNAP, their pro rata share of the support funds should be excluded, lowering the household's income such that it would qualify to receive SNAP benefits. We confirm the agency's determination based on deference to its policy choice in administering a federal assistance program.

I.

Congress created SNAP to provide food for people in need. SNAP is administered by the states, in compliance with rules and regulations set by the U.S. Department of Agriculture (USDA). SNAP benefits are disbursed to "household" units based on a formula that considers a household's income and size.

At the relevant time, petitioner Tina Leggio was a single parent raising five children under the age of 22.¹ The two eldest children were full-time college students who lived at home. Because they did not satisfy any of the conditions for a student enrolled in higher education at least half-time to be eligible for SNAP, as enumerated in 7 CFR 273.5 (b), and were not otherwise eligible for a federal exemption under the law, they were ineligible for the program. The children's father paid \$593.75 per week to support all five children. The household had been receiving SNAP benefits because Ms. Leggio's income, including the child support, had been below the applicable income limit.

In October 2014, upon Ms. Leggio's application to recertify under SNAP, the Suffolk County Department of Social Services (DSS) discontinued the household's benefits because its income exceeded the upper limit for a household of four (Ms. Leggio plus her three younger children, excluding the two in college). Because the two older children were ineligible for SNAP, DSS did not count them as household members. Nevertheless, DSS included the full amount of child support in its calculation of household income. Ms. Leggio challenged that determination, contending that because her two children in college were excluded from SNAP benefits, their pro rata share of the child support payment (two fifths of \$593.75, or \$237.50 per week) should likewise be excluded from household income, rendering the household SNAP-eligible.²

After a hearing, the New York State Office of Temporary and Disability Assistance (OTDA) determined that DSS correctly discontinued Ms. Leggio's benefits. OTDA held that child support funds are "income . . . given to the parent and [are] under the parent's control" and therefore, the total amount of child support was household income, even though a portion of it was used "exclusively for [Ms. Leggio's two college student] sons' everyday expenses, such as school, clothing and food" (OTDA Amended Decision after Fair Hearing No. 6878939Z at 8-9 [Dec. 30, 2014]). OTDA's analysis depended on the fact that

1. Ms. Leggio's sixth child was older than 22 at the relevant time and is not at issue in this appeal.

2. As of October 1, 2014, the limit on net monthly income for a household of four to receive SNAP benefits was \$2,160.03 (appendix at A-150). The contested pro rata share of child support was \$1,029.17, which, if excluded, would have lowered the household's net monthly income from \$2,917.26 to \$1,888.09.

the students lived at home, as distinguished from “child support income for an ineligible student who is living outside of the SNAP household” which must be excluded from household income (*id.* at 9).

Ms. Leggio brought this CPLR article 78 proceeding to annul OTDA’s determination. Supreme Court transferred the matter to the Appellate Division, which confirmed OTDA’s determination on a different rationale and dismissed the proceeding (158 AD3d 803 [2d Dept 2018]). Although it held that the child support monies were income of the children, not Ms. Leggio, the Appellate Division concluded that because the college students were disqualified from SNAP, and did not work a minimum of 20 hours per week or qualify for any other exemption that would make them SNAP-eligible, their unearned income still qualified as income of the household pursuant to 7 CFR 273.11 (c) (1). That section counts the income of persons disqualified from SNAP for failure to comply with work requirements, among other program disqualifiers, against the remaining SNAP-eligible household members.

We granted Ms. Leggio leave to appeal, and now affirm the Appellate Division order on different grounds. The plain text of the statutes and regulations that bind OTDA provide that income of ineligible college students, including child support income, must be excluded from household income, contrary to the Appellate Division’s reading of the governing law (*see* 7 CFR 273.5 [d]; 273.11 [d]). Consequently, if Ms. Leggio’s two eldest children are the owners of their pro rata shares of the child support she receives, the household would be eligible for SNAP benefits.³ Conversely, if child support funds are considered income of the custodial parent who received them (here, Ms. Leggio) they are household income not subject to any exclusion, and Ms. Leggio’s household’s income would be too high to receive SNAP benefits. Although the consequences of allocating the income are clear, the threshold question, whether child support is income of the recipient-parent or of the beneficiary-child for purposes of determining eligibility for SNAP benefits, is unresolved by any federal or state statute or regulation or decision of this Court.

3. OTDA agrees: it has consistently taken the position in this proceeding that if the child support payments are deemed to be the property of the children—for example, if paid directly to a college student—those funds must be excluded from the income attributed to the household of which they are part.

We conclude that OTDA's interpretation of the federal statutes it administers was not irrational and is entitled to deference and thus, for the purposes of SNAP, child support directly received by a parent is household income, even if it is used for the benefit of an ineligible college student living at home.

II.

A.

In the context of SNAP, "household" is a term of art meaning "an individual who lives alone or who, while living with others, customarily purchases food and prepares meals for home consumption separate and apart from the others; or . . . a group of individuals who live together and customarily purchase food and prepare meals together for home consumption" (7 USC § 2012 [m] [1] [A], [B]). USDA has adopted rules applying the household concept to various living arrangements including, as relevant here, that people under the age of 22 and living with a parent, "must be considered as customarily purchasing food and preparing meals with the others, even if they do not do so, and thus must be included in the same household, unless otherwise specified" (7 CFR 273.1 [b] [1] [ii]). Thus, under federal law, Ms. Leggio's two children in college are part of her household for SNAP purposes.

To be eligible for SNAP benefits, household members between the ages of 16 and 59 also must comply with work requirements set out in 7 CFR 273.7, promulgated pursuant to the statutory conditions of participation in the program (*see* 7 USC § 2015 [d] [1]). Household members between the ages of 18 and 49 who are students are exempt from the work requirements set forth in section 273.7 but are not eligible to participate in SNAP unless they comply with student-specific eligibility requirements found in 7 CFR 273.5 (b) (*see* 7 USC § 2015 [e]; 7 CFR 273.7 [b] [1] [viii]). Students can satisfy those requirements by working a minimum of 20 hours per week, participating in a state or federally financed work-study program, or participating in an on-the-job training program, among other ways. Some students are eligible for SNAP without participating in qualifying work, such as those who are physically or mentally unfit, receiving Temporary Assistance for Needy Families benefits, or responsible for the care of certain dependents.

Federal regulations govern the way in which administering state agencies account for the income of people who fall within or without SNAP eligibility rules (*see* 7 CFR 273.11). When a household member is ineligible for SNAP benefits based on a failure to comply with the work requirements of section 273.7, that person's income nevertheless counts as income available to the household under section 273.11 (c) (1). In other words, the household is penalized when one of its members fails to meet work requirements because that person is not counted as a member of the household, lowering the denominator in the income-to-people ratio, though that person's income is still counted in the numerator.

According to the student-specific rules of 7 CFR 273.5, "[t]he income and resources of an ineligible student shall be handled as outlined in § 273.11(d)" (7 CFR 273.5 [d]), which is different from the regulations' treatment of other SNAP-ineligible people, whose income is handled under section 273.11 (c). In turn, section 273.11 (d) excludes the income of certain non-household members from the household. The effect is that a household is penalized for income attributable to someone who fails to comply with work requirements, immigration requirements, or other rules of SNAP (such as refusing to obtain or provide a Social Security number) but is not penalized for income attributable to a SNAP-ineligible student. The rule-making history of section 273.5 confirms that it was USDA's intent to treat students differently from other SNAP-ineligible people, as evidenced by that agency's response to comments in its final rule:

"Two State agencies and a Regional office questioned the classification of ineligible students as non-household members rather than disqualified individuals for purposes of handling their income and resources. The State agencies felt that a student's income and resources should be considered in determining the eligibility and benefit level of the food stamp household. The Department feels, however, that students who do not meet one of the eligibility criteria of Pub. L. 96-249 [adding student eligibility requirements of 7 USC § 2015 (e)] do not fall into the same class as a person who has unlawfully entered the country or who has refused to provide his or her social security number" (1980 Food Stamp Amendments; Eligibility Limits; Final Rule, 46 Fed Reg 43020, 43023-43024 [1981]).

B.

Applying the regulations to the case at bar, if Ms. Leggio's two eldest children are the owners of their pro rata shares of the child support payments, then those funds are not household income. At the relevant time, the children were under the age of 22 and lived at home, making them mandatory household members (7 CFR 273.1 [b] [1] [ii]). They were not eligible to participate in SNAP because they failed to comply with student-specific eligibility requirements (7 CFR 273.5 [b]). But as ineligible college students, their income would not count towards the income of their household (7 CFR 273.5 [d]; 273.11 [d]).

[1] The Appellate Division incorrectly applied section 273.11 (c) to the income of the ineligible students when the student-specific rules of section 273.5 (d) require the State to apply section 273.11 (d) instead. Both here and below, OTDA and Ms. Leggio agreed that paragraph (d), not (c), applies, which is consistent with the plain language and history of the federal statutes and regulations. Section 273.5 (d) directs that "[t]he income and resources of an ineligible student shall be handled as outlined in § 273.11(d)." In turn, section 273.11 (d) (1) excludes from household income the income and resources of "nonhousehold members defined in § 273.1(b)(1) . . . who are not specifically mentioned in paragraph (c) of this section." Students under the age of 22 and living at home are covered by section 273.1 (b) (1) and are not mentioned in paragraph (c), which covers, as relevant, "household members . . . determined ineligible because of a disqualification for . . . noncompliance with a work requirement of § 273.7" and includes their income "in [its] entirety" in household income (7 CFR 273.11 [c] [1] [i]).

The Appellate Division determined that Ms. Leggio's children were in "noncompliance with a work requirement of [section] 273.7" because they did not meet the student-specific eligibility requirements in section 273.5 (b) (158 AD3d at 805). That was an error. Section 273.7 (b) covers "[e]xemptions from work requirements" and provides that "[s]tudents enrolled at least half-time in an institution of higher education must meet the student eligibility requirements listed in § 273.5" instead of the work requirements of section 273.7 (7 CFR 273.7 [b] [1] [viii]). As a result, section 273.11 (c) (1) cannot apply to students because it covers ineligible household members who are not in compliance with a "work requirement of § 273.7"—a section from which students are exempted.

Section 273.5 (d)'s explicit direction that the income of ineligible students be handled according to section 273.11 (d), which excludes their income, rather than section 273.11 (c), which would include it, reflects USDA's intent to exclude the income of ineligible students from household income (*see also* 1980 Food Stamp Amendments; Eligibility Limits; Final Rule, 46 Fed Reg 43024 [1981]). Under the Appellate Division's reading of these interconnected regulations, section 273.5 (d)'s only purpose would be to point the agency back to section 273.11 (c), rendering the student-specific provision superfluous (*see Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 587 [1998]). We reject that reading as incongruous with the intent of USDA, evidenced by both the plain text and rule-making history of the regulations.

C.

On the other hand, if the child support funds are Ms. Leggio's income, they would count as household income. It is uncontested that she is a member of the household and is otherwise SNAP-eligible. Ms. Leggio argues that even if considered her income, the portion of child support monies attributable to her two college student children should be excluded from household income pursuant to the "maintenance exclusion" of 7 USC § 2014 (d) (6). Under that section, funds that would otherwise count as household income must be excluded when they are "received and used for the care and maintenance of a third-party beneficiary who is not a household member." However, because Ms. Leggio's children are mandatory household members, the maintenance exclusion does not apply to them.

[2] There is a fair argument that the federal regulations are ambiguous as to whether ineligible students are household members because 7 CFR 273.1 (b) (7) says that students "are not eligible to participate as separate households *or as a member of any household*" (emphasis added). One reading would hold that, on the plain text, ineligible students may not be considered household members. That reading is supported by the rule-making history of section 273.5, where the agency referred to "the classification of ineligible students as non-household members rather than disqualified individuals" (1980 Food Stamp Amendments; Eligibility Limits; Final Rule, 46 Fed Reg 43023 [1981]). Another reading of the regulation would hold that even though students living at home are household

members (per 7 CFR 273.1 [b] [1] [ii]), they “are not eligible to *participate*” as such. That reading can be supported by emphasis on the second clause of the same sentence from the final rulemaking, referencing “the classification of ineligible students as non-household members rather than disqualified individuals *for purposes of handling* their income and resources” (1980 Food Stamp Amendments; Eligibility Limits; Final Rule, 46 Fed Reg 43023 [1981] [emphasis added]).

New York has resolved the ambiguity in the federal scheme through a regulation that differentiates between “nonhousehold members” like roomers and live-in attendants, handled by Department of Social Services Regulations (18 NYCRR) § 387.1 (x) (3), and “ineligible individuals” including “ineligible students,” handled by section 387.1 (x) (4). At least in New York, students living at home are household members, even if they are ineligible to participate in SNAP. Therefore, funds collected and used for their benefit are not subject to the maintenance exclusion.

The texts of the applicable federal and state statutes and regulations dictate that if child support is income of the child, it must be excluded from household income. If it is income of the parent, it must be included. There the textual clarity ends.

III.

States administer SNAP consistent with the federal laws on eligibility but retain leeway in their program design within the federal framework (7 USC § 2014 [b]; *see generally* United States Department of Agriculture, Food and Nutrition Service, Supplemental Nutrition Assistance Program State Options Report [14th ed 2018]). Federal law compels states to exclude the income of SNAP-ineligible students from household income, but it is silent as to whether child support funds paid to a parent to support a child are income of the parent or of the child. Thus, the issue could be resolved by federal or state statute or regulation. In New York, OTDA administers SNAP as “the agent” of the federal government, consistent with all federal regulations, which have been largely restated verbatim via state regulations (Department of Social Services Regulations [18 NYCRR] § 387.0). Those regulations, in turn, instruct the local social services districts that directly implement the program.

As OTDA points out, some states have stepped into the breach and determined, via agency action, to whose income

child support payments are attributed for SNAP purposes—and have come to different conclusions. In Alabama, Alaska, and West Virginia, the relevant state agencies have published policy guides directing that child support payments count as the income of the person receiving them—generally, a parent. Florida, Indiana, and Missouri have directed the opposite: child support is income of the child, even if it is paid to a custodial parent.⁴ The parties have pointed to no New York statute or regulation that answers the question.⁵ OTDA’s SNAP Source Book is likewise silent on the matter.

In the administrative proceeding, OTDA cited no statutory text, cases, agency policy, or prior fair hearing decisions for its conclusion that the child support income is Ms. Leggio’s because it “is given to the parent and is under the parent’s control” (OTDA Amended Decision after Fair Hearing No. 6878939Z at 9). The Appellate Division held OTDA’s determination to be “without merit” based on a common-law principle that child support is a duty that runs from the payor-parent to

4. Brief for state respondent at 37 nn 16-17 (comparing Alabama Department of Human Resources, Food Assistance Points of Eligibility Manual § 901 [B] [4] [“Child support is considered the income of the person to whom it is legally obligated, usually the custodial parent”], Alaska Department of Health and Social Services, Supplemental Nutrition Assistance Program [SNAP] Manual § 602-3B [3] [“Child support payments are counted as income to the person receiving it”], and West Virginia Department of Health & Human Resources, West Virginia Income Maintenance Manual § 4.4.4.P [“(C)hild support is counted for the AG (assistance group) that receives the income, even when it is forwarded to, and/or used, for the child”], with Florida Department of Children and Families, ACCESS Florida Program Policy Manual § 1810.0700 [child support “is considered as unearned income of the child for whom the payment is intended”], Indiana Family and Social Services Administration, Program Policy Manual § 2805.15.05.05 [directing program administrators to “(c)onsider child support income to be the income of the child”], and Missouri Department of Social Services, Income Maintenance Manual § 1115.010.00 [child support “is income to the child for whom the payment is made if the child is in the (eligibility unit)”]).

5. Under Social Services Law § 111-h (4),
“[a]ny and all moneys paid into the support collection unit pursuant to an order of support made under the family court act or the domestic relations law, where the petitioner is not a recipient of public assistance, shall upon payment into such support collection unit be deemed for all purposes to be the property of the person for whom such money is to be paid.”

Though the parties agree that the child support here was paid to a support collection unit, any argument that this fact should affect OTDA’s determination was not raised before or considered by OTDA, and therefore that argument is unpreserved for our review (*see Matter of Corrigan v New York State Off. of Children & Family Servs.*, 28 NY3d 636, 643 [2017]).

the beneficiary-child, and the intermediary custodial parent is merely a conduit or trustee of the funds (*see Leggio*, 158 AD3d at 804, citing *Matter of Modica v Thompson*, 300 AD2d 662, 663 [2d Dept 2002]; *Matter of Commissioner of Social Servs. v Grifter*, 150 Misc 2d 209, 212 [Fam Ct, NY County 1991]).

As a preliminary matter, we must determine the proper role of deference in this appeal. Where “the interpretation of a statute involves specialized knowledge and understanding of underlying operational practices or entails an evaluation of factual data and inferences to be drawn therefrom, the courts should defer to the administrative agency’s interpretation” (*International Union of Painters & Allied Trades, Dist. Council No. 4 v New York State Dept. of Labor*, 32 NY3d 198, 208 [2018] [internal quotation marks omitted]). However, “[w]here instead the question requires statutory analysis ‘dependent only on an accurate apprehension of legislative intent, there is little basis to rely on any special competence or expertise of the administrative agency and its interpretive regulations are therefore to be accorded much less weight’ ” (*id.* at 214-215, citing *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166, 173 [1988], quoting *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]; *see also Seittelman v Sabol*, 91 NY2d 618, 625-626 [1998]).⁶

Accounting for child support income in the context of SNAP requires no specialized knowledge of operational practices or

6. OTDA argues that it is entitled to deference because its position is an interpretation of Department of Social Services Regulations (18 NYCRR) § 387.10 (b) (3) (iii), which defines “unearned income” as, among other things, “support or alimony payments made directly to the household from non-household members” (*see also* 7 CFR 273.9 [b] [2] [iii] [same]). However, 18 NYCRR 387.10 (b) (3) (iii) is insufficient to resolve the issue before us. To be sure, the child support payments in question were made by Ms. Leggio’s former husband—who is not a household member—to either Ms. Leggio or her children, who are all household members. The relevant question is whether, under *federal* regulation 7 CFR 273.5 (d)—which has no state analogue—the money is properly considered “[t]he income and resources of an ineligible student.” If so, as discussed above, that income must be excluded from household income (*see* 7 CFR 273.11 [d]). Thus, even if the child support is the unearned income of the household per state regulation, it may nevertheless be excludable because of a federal regulation particular to student income that is binding upon the State. OTDA does not cite to any federal or state regulation particular to student income that is binding upon the State and bears on the treatment (or exclusion) of child support payments. Therefore, OTDA’s policy as to the treatment of child support payments made for the benefit of college students is not an interpretation of its own regulation and does not qualify for deference under the solicitude given to an agency’s interpretation of its own regulation, when within its area of expertise (*see Andry-*

(n. cont’d)

factual data. But it is likewise not a question of pure statutory interpretation because there is no statutory or regulatory language—not even ambiguous language—to interpret. Instead, this question comes down to a policy decision within the cooperative federalism framework of a national program committed to state administration (see *Matter of Rodriguez v Perales*, 86 NY2d 361, 367 [1995]; see also Bridget A. Fahey, *Consent Procedures and American Federalism*, 128 Harv L Rev 1561 [2015]). There is evidence that either position is acceptable under federal law, as demonstrated by the varying positions taken by different states (see n 4, *supra*; see also *Ruhe v Bergland*, 683 F2d 102, 105 [4th Cir 1982] [upholding Virginia’s treatment of cash housing subsidies as household income for SNAP purposes based on “the household’s control of cash” as having “a reasonable basis”]). Therefore, it was not irrational for OTDA to determine that because Ms. Leggio received the child support and was able to use it, in her discretion, to provide food for the household, the support counted as household income, including the portion made in favor of her SNAP-ineligible college student children.

[3] Accordingly, we defer to OTDA’s policy choice as consistent with the applicable statutes and regulations, if it is rational (see *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144, 149 [2002]; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]). As noted above, OTDA has not adopted a policy through notice-and-comment rulemaking, or even stated a policy in its SNAP Source Book. Instead, the agency has developed its policy as a common-law court does, via stare decisis through ad hoc adjudications that must comport with the “underlying precept . . . that in administrative, as in judicial, proceedings justice demands that cases with like antecedents should breed like consequences” (*Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516, 519 [1985] [internal quotation marks omitted], quoting Ray Jay Davis, *The Doctrine of Precedent as Applied to Administrative Decisions*, 59 W Va L Rev 111, 117 (1957); see also *Matter of Howard Johnson Co. v State Tax Commn.*, 65 NY2d 726, 727

eye v New York Health Care, Inc., 33 NY3d 152, 174 [2019], quoting *Matter of Peckham v Calogero*, 12 NY3d 424, 431 [2009]).

[1985]). The agency must follow its own precedent or must explain why it has distinguished the case before it or changed policies. “Absent such an explanation, failure to conform to agency precedent will . . . require reversal on the law as arbitrary, even though there is in the record substantial evidence to support the determination made” (*Charles A. Field*, 66 NY2d at 520).

OTDA’s fair hearing decisions concerning child support payments for the benefit of college-aged students have not been a model of clarity.⁷ However, as to the specific question at issue here, OTDA’s core policy has been mostly consistent with the rule it applied: when a student lives at home and a parent directly receives child support provided in whole or in part for the care of that student, the monies are income of the parent (OTDA Decision after Fair Hearing No. 7231042M at 8 [Apr. 26, 2016] [(t)he rule regarding child support is that the income belongs to the person to whom it is assigned”]).⁸

Although OTDA’s prior decisions have not established its policies as clearly as a published set of rules or instructions in a handbook might have, we defer to the agency’s rational policy, as asserted now with support in its previous findings, that the child support at issue, paid directly to her and over which she

7. For instance, when funds are received by a parent and immediately forwarded to a student living away at school, OTDA has not considered those funds to count as household income, though it has sometimes considered the funds income of the student (OTDA Decision after Fair Hearing No. 7683685Q [Apr. 3, 2018]); and other times income of the parent but subject to the maintenance exclusion (OTDA Decision after Fair Hearing No. 7256864R [Apr. 6, 2016]; OTDA Decision after Fair Hearing No. 6571007K [Feb. 6, 2014]). OTDA similarly has found that funds received by a parent for an ineligible student living at home and spent by the parent for the student’s benefit were subject to the maintenance exclusion—contrary to its decision in the instant case—in a decision it now disavows (OTDA Decision after Fair Hearing No. 6479136L [Nov. 8, 2013]; brief for state respondent at 22 n 11). When child support funds are paid directly to a student, OTDA considers those funds as income of the student (OTDA Decision after Fair Hearing No. 7637515N [Dec. 29, 2017]; oral argument tr at 20) but if the parent jointly has access to the bank account, the income is attributable to the parent (OTDA Decision after Fair Hearing No. 7224173H [Apr. 5, 2016]).

8. Notably, in 2018, two fair hearing decisions held the opposite (OTDA Decision after Fair Hearing No. 7758129M [July 5, 2018]; OTDA Decision after Fair Hearing No. 7856769P [Dec. 21, 2018]). OTDA claims the change was to conform with the Appellate Division’s decision in this case (brief for state respondent in response to amicus curiae at 10 n 3). For purposes of this appeal, we accept that explanation.

had discretion, was properly considered Ms. Leggio's income and therefore properly included as the income of her household.⁹

IV.

Deferring to OTDA, we hold that child support paid directly to Ms. Leggio was not irrationally determined to be her income. Because the maintenance exclusion applies to nonhousehold members and federal and state regulation make clear the ineligible students are household members, that exclusion does not apply.

Accordingly, the judgment of the Appellate Division should be affirmed, without costs.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Feinman concur.

Judgment affirmed, without costs.

9. Amicus attacks OTDA's policy as unfair to struggling households attempting to provide food for college students living at home. However, determination of the wisdom of OTDA's policy is left to the other branches of our government (see e.g. Governor Andrew M. Cuomo, 2020 State of the State, Making Progress Happen, *Proposal. Expand College Student Enrollment in Supplemental Nutrition Assistance Program (SNAP) Benefits* at 257, available at <https://www.governor.ny.gov/sites/governor.ny.gov/files/atoms/files/2020StateoftheStateBook.pdf> [last accessed Feb. 11, 2020]).

[143 NE3d 1079, 121 NYS3d 201]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GERALD FRANCIS, Appellant.

Argued January 9, 2020; decided February 13, 2020

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 6, 2018. The Appellate Division affirmed an order of the Supreme Court, New York County (Edward J. McLaughlin, J.), which had denied defendant's second CPL 440.20 motion to set aside his sentence, as a first felony offender, on his 1998 conviction for criminal possession of a weapon in the third degree.

People v Francis, 164 AD3d 1108, affirmed.

HEADNOTES

Crimes — Appeal — Appellate Division — Motion to Set Aside Sentence — Jurisdictional Restrictions on Scope of Review

1. The jurisdictional restrictions in CPL 470.15 (1) providing that, “[u]pon an appeal to an intermediate appellate court from a judgment, sentence or order of a criminal court,” the appellate court “may consider and determine any question of law or issue of fact involving error or defect in the criminal court proceedings which may have adversely affected the appellant,” apply to appeals from dispositions of CPL article 440 motions. Accordingly, CPL 470.15 (1) applied to defendant's appeal to the Appellate Division from the “decision and order” denying his CPL 440.20 motion challenging the legality of his sentence. CPL 440.20 contains no express “adverse” effect or “aggrievement” language. However, CPL 470.15 (1) is a jurisdictional restriction on the appellate court's scope of review, as it is a threshold prescription of the legislative devolution of powers to the appellate courts. CPL 470.15 (1), by its own terms, applies to any appeal “from a judgment, sentence or order of a criminal court.” The provision does not, on its face, differentiate between orders appealed from as part of the direct proceedings or orders appealed from on postjudgment motion pursuant to the sections of CPL article 440, including CPL 440.20. In both cases, a “criminal court” issues “judgment[s], sentence[s] or order[s]” from which a defendant may appeal (CPL 470.15 [1]).

Crimes — Appeal — Appellate Division — Jurisdictional Restrictions on Scope of Review — Adverse Impact

2. In a criminal prosecution, defendant was not “adversely affected” within the meaning of CPL 470.15 (1) solely by Supreme Court's denial of his CPL 440.20 motion. The text of CPL 470.15 (1) makes clear that the “error or defect in the criminal court proceedings [that] may have adversely affected the appellant” must be something other than that the defendant's motion was denied. Use of the word “affected” indicates that there must be an adverse impact to the appellant resulting from the alleged “error” or “defect.”

To allow jurisdiction based solely on whether the appellant was unsuccessful on a motion below would render the word “affected” superfluous, an outcome that is disfavored. Moreover, giving defendants an incentive to delay proceedings by raising academic or essentially irrelevant issues with the hope of preserving them for a subsequent appeal is an outcome that the plain language of CPL 470.15 (1) appears designed to avoid.

Crimes — Appeal — Matters Reviewable — Challenge to Sentence as Illegally Lenient

3. The denial of a defendant’s motion pursuant to CPL 440.20 to vacate a sentence on the ground that it is illegally lenient is not reviewable, as any purported “error or defect in the criminal court proceedings” has not “adversely affected” the defendant within the meaning of CPL 470.15 (1). Accordingly, the Appellate Division correctly found that it lacked jurisdiction under CPL 470.15 to review defendant’s appeal from the order denying his CPL 440.20 motion challenging his sentence as illegally lenient in an effort to set in motion a series of proceedings aimed at invalidating his prison sentence for unrelated crimes. Such speculative future harms were contingent on how defendant litigated future proceedings and were not within the scope of the “adverse” effects contemplated by the plain terms of CPL 470.15 (1). For jurisdictional purposes, appellate courts have the authority to review only the alleged “error” or “defect” in “the criminal court proceedings” before them—in this case that an illegally lenient sentence was allowed to stand—and not contingent “harm” that could result in a future proceeding the defendant may seek to initiate. The statute requires that the “error or defect . . . may have adversely affected the appellant” (CPL 470.15 [1]). This language, by its plain terms, limits review to errors that adversely affected the appellant in the criminal court proceedings from which the appeal is sought, not errors that may adversely affect the appellant in some other proceeding not before the appellate court for review. Therefore, frustration of defendant’s strategy to vacate his sentence was not an “adverse” effect within the meaning of section 470.15 (1).

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

- AM JUR 2d Appellate Review §§ 75, 204; AM JUR 2d Criminal Law § 831.
CARMODY-WAIT 2d Postjudgment Motions §§ 205:40, 205:43, 205:45; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:4, 207:119, 207:130.
LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 27.2, 27.5.
MCKINNEY’S, CPL 440.20, 470.15 (1).
NY JUR 2d Criminal Law: Procedure §§ 3508–3510, 3526, 3586, 3687.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Sentence and Punishment.

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POINTS OF COUNSEL

Janet E. Sabel, The Legal Aid Society, New York City (Harold V. Ferguson, Jr. of counsel), for appellant. The Appellate Division erred when it held that CPL 470.15 (1) was a jurisdictional bar to consideration of the merits of appellant’s appeal from his summarily denied meritorious CPL 440.20 motion. (*People v Scarbrough*, 66 NY2d 673; *People v Heisler*, 150 AD3d 612; *People v Halsey*, 108 AD3d 1123; *People v Mercer*, 105 AD3d 1091; *People v Alcequier*, 43 AD3d 699; *People v Mattice*, 152 AD3d 1240; *People v Lingle*, 16 NY3d 621; *People v Williams*, 14 NY3d 198; *People v Gould*, 131 AD3d 874; *People v Davis*, 240 AD2d 309.)

Cyrus R. Vance, Jr., District Attorney, New York City (Samuel Z. Goldfine and Alan Gadlin of counsel), for respondent. The Appellate Division properly applied the plain language of CPL 470.15 (1) to find that it was jurisdictionally barred from considering whether the denial of defendant’s CPL 440.20 motion was proper, as the complained-of sentencing error did not adversely affect him but rather inured to his benefit. (*People v Bell*, 73 NY2d 153; *People v Jurgins*, 26 NY3d 607; *People v Garcia*, 298 AD2d 107; *People v Gray*, 181 AD2d 831; *People v McNeil*, 164 AD3d 1106, 32 NY3d 1175; *People v Alvarez*, 166 AD2d 603; *People v Estremera*, 30 NY3d 268; *People v LaFontaine*, 92 NY2d 470; *People v Concepcion*, 17 NY3d 192; *People v Thomas*, 153 AD3d 860.)

OPINION OF THE COURT

GARCIA, J.

In 2015, defendant moved pursuant to CPL 440.20 to set aside his 1988 sentence of six months of incarceration, imposed upon his plea of guilty to third-degree criminal possession of a weapon, on the ground that the sentence was illegally lenient. Supreme Court denied defendant’s motion. The Appellate Division affirmed, holding that it could not consider the merits of defendant’s appeal because denial of the motion—leaving in place defendant’s illegally lenient sentence—had not “adversely affected” defendant within the meaning of CPL 470.15 (*People v Francis*, 164 AD3d 1108, 1109 [1st Dept 2018], quoting CPL 470.15 [1]). When a *defendant* moves to vacate a sentence on

the ground that it is illegally *lenient*, denial of such a motion is not reviewable because any purported “error or defect in the criminal court proceedings” has not “adversely affected” the defendant (CPL 470.15 [1]). Accordingly, we affirm.

I.

Defendant’s criminal history consists of at least four felony convictions over a 15-year period. During this time, it appears that he repeatedly attempted to conceal that history, primarily through the use of aliases. To a remarkable degree, though a recidivist, he avoided enhanced punishment required by statute. Instead, he obtained sentences that were “illegally lenient” given his actual status as a predicate felon.¹ However, in 1997, the court, based on the evidence of defendant’s prior convictions, sentenced him to a term of 23 years to life in prison as a persistent violent felony offender (*see* Penal Law § 70.08). Since then, by direct appeal and collateral attack, defendant has tried to overturn the illegally lenient sentences that were previously imposed based on his incomplete criminal history, with the ultimate goal of invalidating his 1997 persistent violent felony offender sentence. Before turning to defendant’s arguments in this case, it is necessary to summarize relevant events in this complicated history.

In 1982, defendant, using the name “Lawrence Benjamin,” pleaded guilty to fifth-degree criminal sale of a controlled substance, a felony, and was sentenced to 60 days in jail.

In 1988, now as “Gerald Francis,” defendant pleaded guilty to one count of criminal possession of a weapon, a violent felony. During the plea colloquy, the court, unaware of the 1982 conviction, informed defendant that as a condition of the plea agreement, it would “limit[] [his] exposure to no more than the presumptive one year sentence.” Defendant was sentenced to six months in prison and five years of probation. In fact, that sentence was illegally lenient, because defendant—as a second felony offender following the 1982 conviction—should have been sentenced to a mandatory period in state prison of 2 to 4 years (*see* Penal Law § 70.06 [former (3), (4)]). It is this “illegally lenient” sentence that is the subject of the instant case.

In 1991, using yet a third name—“Bernell Gould”—defendant pleaded guilty to attempted robbery in the first degree, a

1. The rule we announce applies regardless of the reasons for the illegally lenient sentence (*see e.g. People v Witherspoon*, 100 AD3d 809, 810 [2d Dept 2012]).

second violent felony. Defendant was adjudicated a second felony offender, but not a second violent felony offender, because the court—while aware of his 1982 nonviolent felony conviction in the name of Lawrence Benjamin—was apparently unaware of his 1988 violent felony conviction under the name Gerald Francis. The court sentenced defendant to 4 to 8 years in prison.

In 1997, defendant, reverting to his 1982 alias “Lawrence Benjamin,” was convicted after a jury trial of, among other things, robbery in the first degree, a violent felony. After being adjudicated a persistent violent felony offender based on his convictions in 1988 and 1991, defendant was sentenced to an aggregate prison term of 23 years to life imprisonment.

In 2009, defendant moved pursuant to CPL 440.20 to vacate his 1991 sentence, arguing that he should have been sentenced as a second violent felony offender—given the 1988 violent weapon possession conviction—rather than as a second felony offender. After Supreme Court initially denied relief, the Appellate Division reversed and granted the motion, holding that the 1991 sentence had been “invalid as a matter of law because [defendant] was incorrectly adjudicated a second felony offender rather than a second violent felony offender” (*People v Gould*, 131 AD3d 874, 874 [1st Dept 2015]). Accordingly, the Appellate Division ordered a new sentencing proceeding on the 1991 conviction (*see id.*). On remand, defendant was adjudicated a second violent felony offender but was sentenced to the same 4 to 8 years in prison as originally imposed, since the sentence was within the range of the applicable sentencing statute (Penal Law § 70.04). His 1991 conviction was left undisturbed.²

In 2014, Supreme Court denied defendant’s first CPL 440.20 motion to set aside his 1988 sentence. While acknowledging that the 1988 sentence was “illegal” because he was not adjudicated a predicate felony offender and the term of imprisonment was shorter than the legislatively mandated term of incarceration, Supreme Court held that defendant “was not aggrieved by the error, and thus [wa]s not entitled to any ‘relief.’” A Justice of the Appellate Division denied defendant’s

2. It appears that defendant’s goal in commencing the 2009 proceeding was to upset the sequentiality requirement of his 1997 predicate felony status adjudication, which—had he been successful—would have required that his 1997 sentence be set aside. Our holding in *People v Thomas* (33 NY3d 1 [2019]), decided after a Judge of this Court granted leave in the instant case, forecloses this strategy.

motion for leave to appeal. The following year, in the wake of the Appellate Division's decision setting aside his 1991 sentence (*see Gould*, 131 AD3d at 874), defendant again collaterally moved to set aside the 1988 sentence. Supreme Court denied this second CPL 440.20 motion because "the issue raised in this motion was previously decided on the merits against defendant in his first motion" to vacate the 1988 sentence.

The Appellate Division unanimously affirmed, holding that "because defendant was not 'adversely affected' by the court's error in sentencing him on his 1988 conviction in this case, and, indeed, benefitted from the imposition of a lesser sentence than he [should] have received . . . , defendant's CPL 440.20 claim must be rejected without consideration of its merits" (*Francis*, 164 AD3d at 1109, quoting CPL 470.15 [1]). A Judge of this Court granted defendant leave to appeal (*People v Francis*, 32 NY3d 1125 [2018]).

II.

Defendant asserts that CPL 440.20, the procedural vehicle used to challenge the legality of the 1988 sentence, is "plenary," and that the jurisdictional restrictions of CPL 470.15 (1) do not apply to appeals resulting from CPL 440.20 proceedings. This argument is without merit.

[1] CPL 440.20 (1) states that "[a]t any time after the entry of a judgment, the court in which the judgment was entered may, upon motion of the defendant, set aside the sentence upon the ground that it was unauthorized, illegally imposed or otherwise invalid as a matter of law." As defendant points out, CPL 440.20—which governs disposition of motions in courts of original instance—contains no express "adverse" effect or "aggravement" language. However, CPL 470.15 provides that, "[u]pon an appeal to an intermediate appellate court from a judgment, sentence or order of a criminal court, such intermediate appellate court may consider and determine any question of law or issue of fact involving error or defect in the criminal court proceedings which may have adversely affected the appellant" (CPL 470.15 [1]). We have explained that this provision is a jurisdictional restriction on the appellate court's scope of review, describing it as "a threshold prescription of the legislative devolution of powers to the . . . appellate courts" (*People v LaFontaine*, 92 NY2d 470, 474 [1998]).

CPL 470.15 (1), by its own terms, applies to any appeal "from a judgment, sentence or order of a criminal court." The provi-

sion does not, on its face, differentiate between orders appealed from as part of the direct proceedings or orders appealed from on postjudgment motion pursuant to the sections of CPL article 440, including CPL 440.20. In both cases, a “criminal court” issues “judgment[s], sentence[s] or order[s]” from which a defendant may appeal (CPL 470.15 [1]). This case, in which Supreme Court issued a “decision *and order*” (emphasis added) denying defendant’s CPL 440.20 motion, illustrates that fact.

In sum, the jurisdictional restrictions of CPL 470.15 (1) apply to appeals from dispositions of CPL article 440 motions.

III.

Defendant next argues that, if CPL 470.15 (1) applies, Supreme Court’s denial of his second CPL 440.20 motion “adversely affected” him within the meaning of that statute such that the Appellate Division had jurisdiction to review the denial of his motion. We reject defendant’s argument.

A.

[2] Defendant asserts that the fact that he lost below—Supreme Court denied his CPL 440.20 motion—“adversely affected” him, and that alone satisfies the jurisdictional requirement. However, the text of CPL 470.15 (1) makes clear that the “error or defect in the criminal court proceedings [that] may have adversely affected the appellant” must be something other than that the defendant’s motion was denied. Use of the word “affected” indicates that there must be an adverse impact to the appellant resulting from the alleged “error” or “defect.” To read the statute otherwise—to allow jurisdiction based solely on whether the appellant was unsuccessful on a motion below—would render the word “affected” superfluous, an outcome that is disfavored (*see Matter of OnBank & Trust Co. [Hartnett]*, 90 NY2d 725, 731 [1997]). Moreover, such an approach—giving defendants an incentive to delay proceedings by raising academic or essentially irrelevant issues with the hope of preserving them for a subsequent appeal—is an outcome that the plain language of CPL 470.15 (1) appears designed to avoid.

B.

Initially, defendant cannot seriously claim that the motion court’s refusal to upset the illegally lenient 1988 sentence, standing alone, constitutes an adverse effect insofar as the error in the original criminal court proceedings in which the

sentence was imposed inured entirely to defendant's benefit—he was subjected to a shorter term of imprisonment than otherwise required by law. Nevertheless, defendant argues that he was “adversely affected” because overturning his 1988 sentence is but the first step in a three-part plan to invalidate his 1997 sentence. If successful on this CPL 440.20 motion, defendant faces a mandatory 2-to-4-year sentence of imprisonment as a second felony offender (*see* Penal Law § 70.06 [former (3), (4)]). However, because he pleaded guilty in 1988 believing he faced no more than one year of incarceration, defendant will argue—if the mandatory sentence is imposed—that his plea was not knowing, voluntary, and intelligent. Defendant will then move to withdraw his guilty plea, thereby vacating the 1988 conviction and presumably requiring the People to proceed to trial more than 30 years later.

As the final step, defendant intends to challenge the 1997 sentence, arguing that because the 1988 conviction has been vacated, it can no longer constitute a valid predicate offense for purposes of defendant's 1997 adjudication as a persistent violent felony offender (*see generally* Penal Law § 70.08 [1] [a]). According to defendant, then, his 1997 sentence of 23 years to life in prison would have to be vacated. Defendant claims that because success in the other proceedings depends in the first instance on the result here, the error in the proceedings below adversely affected him by preventing him from overturning the 1988 conviction and, ultimately, vacating the 1997 sentence.

[3] These speculative future harms are contingent on how defendant litigates future proceedings and are not within the scope of the “adverse” effects contemplated by the plain terms of CPL 470.15 (1). For jurisdictional purposes, appellate courts have the authority to review only the alleged “error” or “defect” in “the criminal court proceedings” before them—in this case that an illegally lenient sentence was allowed to stand—and not contingent “harm” that could result in a future proceeding the defendant may seek to initiate. The statute requires that the “question of law or issue of fact involving error or defect in the criminal court proceedings . . . may have adversely *affected* the appellant” (CPL 470.15 [1] [emphasis added]). This language, by its plain terms, limits review to errors that adversely affected the appellant in the criminal court proceedings from which the appeal is sought—here, errors in the CPL 440.20 proceeding—not errors that “may adversely *affect* the appellant” in some other proceeding not before the appellate

court for review. The Appellate Division was therefore correct in holding that, given the plain meaning of CPL 470.15 (1), it lacked jurisdiction to review the error raised in this case. Within the proceedings related to the 1988 sentence, none of the purported errors—imposition of the 1988 sentence, Supreme Court’s denial of defendant’s first CPL 440.20 motion to set aside the 1988 sentence, or Supreme Court’s denial of defendant’s second CPL 440.20 motion to set aside the 1988 sentence—adversely affected the defendant. Rather, each had the same effect: they kept in place his illegally *lenient* sentence.

Over a 15-year period, defendant—using various aliases—committed numerous felonies, several of them violent, yet avoided legislatively mandated enhanced sentences. In 1997, defendant was sentenced as a persistent violent felony offender based upon an accurate reckoning of his criminal history. Frustration of his strategy to vacate that 1997 sentence is not an “adverse” effect within the meaning of section 470.15 (1).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Wilson and Feinman concur.

Order affirmed.

[144 NE3d 340, 121 NYS3d 731]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DAVID MAIRENA, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MAURICIO ALTAMIRANO, Appellant.

Argued November 20, 2019; decided December 17, 2019

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 25, 2018. The Appellate Division (1) granted defendant's motion for reargument and, upon reargument, recalled and vacated an order of that Appellate Division dated May 31, 2017 (150 AD3d 1267 [2017]); and (2) substituted therefor an order that affirmed a judgment of the Supreme Court, Kings County (Guy J. Mangano, Jr., J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree and criminal possession of a weapon in the fourth degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court, Second Department, Second, Eleventh and Thirteenth Judicial Districts, entered May 11, 2018. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, Kings County (Desmond A. Green, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the fourth degree.

People v Mairena, 160 AD3d 986, affirmed.

People v Altamirano, 61 Misc 3d 1, affirmed.

HEADNOTES

Crimes — Instructions — Trial Court's Reversal of Prior Charging Decision after Completion of Summations — Harmless Error Analysis

1. A trial court's error in reversing a prior charging decision after summations have been completed is subject to harmless error analysis. Precedent does not distinguish between a determination of prejudice and a harmless error analysis in this context. Rather, it clearly establishes that harmless error analysis applies and that the test for the prejudice component of harmless error analysis under these circumstances is whether it can be said that defense counsel's summation would have been materially affected by knowledge of the charge ultimately submitted to the jury.

Crimes — Instructions — Trial Court's Reversal of Prior Charging Decision after Completion of Summations — Harmless Error Analysis

2. A trial court's error in reversing a prior charging decision after summations have been completed is subject to harmless error analysis. *People v Bacalocostantis* (111 AD2d 991, 992 [3d Dept 1985]), which held that harmless error analysis as set forth in *People v Crimmins* (36 NY2d 230 [1975]) cannot apply to the failure to inform counsel, prior to summations, that lesser included charge would be given, is no longer good law.

Crimes — Harmless and Prejudicial Error — Failure to Include Language in Jury Instruction Promised during Charge Conference

3. In a criminal prosecution stemming from an altercation in which defendant swung a blade at the victim, who fell to the ground near broken glass and was pronounced dead shortly thereafter, the trial court's error in failing to instruct the jury that it could convict defendant only if it found that the victim's death was caused by a box cutter, as agreed upon during the charge conference prior to summations, was harmless because defense counsel's summation would not have been affected by knowledge of the charge that would be submitted to the jury. The People not only refrained from arguing the theory that defendant was guilty even if a fall onto a glass bottle during the fight was the cause of death, but they expressly argued to the jury that the victim's death was actually caused by defendant slashing the victim with a blade and not by anything else. Moreover, the jury charge on manslaughter, read as a whole, conveyed that the jury had to find the victim's death was caused by defendant's intentional actions in using the box cutter in order to convict; it did not permit the jury to convict defendant of manslaughter based on the bottle theory. Therefore, counsel essentially received the charge he sought and both parties' closing arguments were consistent with that charge.

Crimes — Harmless and Prejudicial Error — Jury Charge Given without Informing Parties

4. In defendant's prosecution for criminally possessing a gun concealed inside a bag given to him by a friend for storage at his home, the trial court's error in charging the jury on the defense of temporary and lawful possession of a weapon after summations and without first informing the parties or allowing defendant to reopen his summation was harmless because defense counsel's summation would not have been materially affected by knowledge of the charge that would be submitted to the jury. Counsel argued innocent possession throughout the trial. Although the court denied defendant's request, prior to summations, that the jury be charged on temporary and lawful possession of a weapon, the court also refused the People's request that defendant be prohibited from referring to temporary possession in summation. During summation, counsel asserted that defendant did not know that a gun was concealed inside the bag, defendant had unsuccessfully demanded that the gun be removed once he found out that it was in the bag, and defendant's conduct was that of someone who was innocent. Counsel also pointed out that there was insufficient evidence regarding the time period between defendant's discovery of the gun stored in his home and his turning it over to police. In other words, defendant made the argument in substance that he claimed he was forced to forgo due to the trial court's initial refusal to give the temporary and lawful possession charge; he connected the evidence at trial to the factors relevant to the defense of temporary and lawful possession as it was ultimately charged to the jury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review § 646; AM JUR 2d Trial §§ 871, 901, 906, 913, 938, 982, 1172.

CARMODY-WAIT 2d Charge and Instruction to Jury §§ 200:13–200:15; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:125–207:126.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 19.3, 24.8, 27.6.

NY JUR 2d Appellate Review § 735; NY JUR 2d Criminal Law: Procedure §§ 947, 2785–2786, 3673, 3677.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Criminal Law; Harmless and Prejudicial Error; Instructions to Jury; Jury Trials.

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POINTS OF COUNSEL

Paul Skip Laisure, Appellate Advocates, New York City (Michael Arthus of counsel), for appellant in the first above-entitled action. I. Appellant was denied the fundamental right to an effective summation when the court promised to give a specific charge about the elements of manslaughter, defense counsel tailored his summation to the agreed-upon charge, and the court then reneged on its promise after summations. (*Herring v New York*, 422 US 853; *People v Greene*, 75 NY2d 875; *Yarborough v Gentry*, 540 US 1; *People v Ashwal*, 39 NY2d 105; *People v Richards*, 67 AD2d 893; *People v Smalling*, 29 NY3d 981; *People v Aruz*, 253 AD2d 592; *People v Etienne*, 220 AD2d 446; *People v Layer*, 199 AD2d 564; *People v Crumpler*, 242 AD2d 956.) II. Appellant was denied fair consideration of his justification defense by (a) the prosecutor's misleading summation, which implied, contrary to the correct legal standard, that appellant was obligated to leave the scene before faced with imminent deadly force, and (b) the court's failure to properly instruct the jury on the duty to retreat. (*People v Walker*, 26 NY3d 170; *People v Ashwal*, 39 NY2d 105; *Matter of Y.K.*, 87 NY2d 430; *Davis v Strack*, 270 F3d 111; *People v Sanchez*, 31

NY3d 949; *People v Seit*, 86 NY2d 92; *People v Fisher*, 18 NY3d 964; *People v Riback*, 13 NY3d 416; *People v Simmons*, 206 AD2d 550; *People v Odell*, 230 NY 481.)

Eric Gonzalez, District Attorney, Brooklyn (Thomas M. Ross, Leonard Joblove and Sholom J. Twersky of counsel), for respondent in the first above-entitled action. I. The court's submission of the manslaughter charge without the expected reference to the knife as the instrumentality of death did not prejudice defendant, because the expected reference did not substantially alter defendant's summation and because the People still had to prove that the knife was the instrumentality of death. (*People v Miller*, 70 NY2d 903; *People v Willis*, 107 AD2d 1058; *People v Aruz*, 253 AD2d 592; *People v Lugo*, 87 AD3d 1403; *People v Harris*, 9 AD3d 334; *Matter of Jose R.*, 185 AD2d 819; *People v Seiler*, 139 AD2d 832; *People v Gonzalez-Alvarez*, 129 AD3d 647; *People v Davis*, 269 AD2d 163; *People v Washington*, 237 AD2d 637.) II. The People's summation comments regarding the duty to retreat were proper and did not mislead the jury. Furthermore, defendant's claim that the justification charge misstated the duty to retreat is unreserved for appellate review and without merit. (*Matter of Y.K.*, 87 NY2d 430; *People v Ashwal*, 39 NY2d 105; *People v Seit*, 86 NY2d 92; *People v Johnson*, 125 AD2d 493; *People v Pabon*, 106 AD2d 587; *People v Clark*, 28 NY3d 556; *People v Chin*, 67 NY2d 22; *People v Hoke*, 62 NY2d 1022; *People v Patterson*, 39 NY2d 288; *People v Simmons*, 206 AD2d 550.)

Paul Skip Laisure, Appellate Advocates, New York City (Anders Nelson and Charity L. Brady of counsel), for appellant in the second above-entitled action. In this gun possession case, when the court denied defense counsel's request for a temporary and lawful possession charge and counsel thereafter gave a summation in reliance on that denial, but the court subsequently decided to give the requested charge without allowing additional summation, appellant was deprived of his fundamental rights to an effective summation, to present a defense, to effective assistance of counsel, and to a fair trial. (*Herring v New York*, 422 US 853; *People v Greene*, 75 NY2d 875; *People v Harris*, 31 NY3d 1183; *Yarborough v Gentry*, 540 US 1; *People v Etienne*, 220 AD2d 446; *People v DeGina*, 72 NY2d 768; *People v Agola*, 139 AD3d 584; *People v Leisner*, 73 NY2d 140; *People v Richards*, 67 AD2d 893; *People v Smalling*, 29 NY3d 981.)

Eric Gonzalez, District Attorney, Brooklyn (Thomas M. Ross

and *Leonard Joblove* of counsel), for respondent in the second above-entitled action. I. Harmless error analysis applies to a claimed infringement of the right to an effective summation. (*Glebe v Frost*, 574 US 21; *Herring v New York*, 422 US 853; *People v Smalling*, 29 NY3d 981; *People v Miller*, 70 NY2d 903; *People v Lugo*, 87 AD3d 1403; *People v Harris*, 9 AD3d 334; *Matter of Jose R.*, 185 AD2d 819; *People v Seiler*, 139 AD2d 832; *People v Gonzalez-Alvarez*, 129 AD3d 647; *People v Davis*, 269 AD2d 163.) II. The court's denial of defendant's request to reopen his summation to address the charge on temporary and lawful possession did not prejudice defendant, because defendant was not entitled to that charge. (*People v Almodovar*, 62 NY2d 126; *People v Banks*, 76 NY2d 799; *People v Williams*, 50 NY2d 1043; *People v Pemberton*, 144 AD2d 222; *People v Snyder*, 73 NY2d 900; *People v Myers*, 265 AD2d 598; *People v Smith*, 16 NY3d 786; *People v Ashwal*, 39 NY2d 105; *People v Miller*, 70 NY2d 903; *People v Aruz*, 253 AD2d 592.)

OPINION OF THE COURT

STEIN, J.

It is not disputed that the trial courts in both of these cases erred by reversing—after summations—their prior rulings on defendants' requests to charge the jury. Both courts erred by failing to charge the jury in accordance with their pre-summation rulings on defendants' charging requests. The question before us on these appeals is whether these errors mandate reversal. We hold that the error was harmless in both cases and, therefore, affirm.

I.

After defendant David Mairena and the victim were asked to leave a restaurant where they had engaged in a late-night fight (referred to by defendant as the “first attack”), the victim returned with a machete, hit defendant with it and then chased him across the street (referred to by defendant as the “second attack”). The manager of the restaurant, armed with a baton, ran across the street, grabbed the victim and dragged him back to the front of the restaurant. As the victim was pulled away from defendant, he pointed the machete at defendant. The manager told defendant—who followed the victim back across the street—to go home. The manager then flagged down a passing police car, told the victim to drop the machete and, once he saw police coming, returned to his work. Another witness, a disc jockey, did not see the victim drop the machete, but

he heard “a sound like when metal hits the floor” and did not see the victim holding the machete any longer as the victim walked away.

In what defendant refers to as the “third attack,” he stepped onto the sidewalk and loudly stated something to the victim, who turned around and took off his jacket; defendant and the victim then began punching each other. The disc jockey saw the victim start to bleed from part of his right arm and fall to the sidewalk, while there was a “noise, like a bottle breaking.” Defendant fled, and the police approached, observing the victim with blood “spraying” from his arm. An officer called an ambulance and attempted to stop the bleeding, but the victim lost consciousness shortly thereafter and was pronounced dead approximately 30 minutes after the officers arrived. All three interactions were captured on surveillance video, which was introduced into evidence at trial.

Officers returning to the scene the next morning found the machete on the street near “tiny bits and pieces of broken glass” that had no blood on them. When police spoke to defendant, he admitted that, before fleeing, he took a knife out of his pocket and swung it at the victim. Defendant was thereafter charged with manslaughter in the first degree, assault in the first degree and criminal possession of a weapon in the fourth degree. At trial, the medical examiner testified that the cause of the victim’s death was blood loss from a severed brachial artery in the right arm. Although the medical examiner indicated that the four-inch long incised wound was “not inconsistent” with having been caused by a broken bottle, she testified that the wound was “certainly more consistent [with] having been sustained by [a] sharp instrument such as a knife.” Defendant testified that, during the third attack, he feared for his life when the victim shed his jacket and approached. Therefore, although defendant did not see whether the victim had a weapon at that point, he pulled out the knife and swung it at the victim. Once home, defendant saw blood on the knife and washed it off. At trial, defendant’s theory was that the victim’s fatal wound was the result either of falling on a glass bottle or, if caused by a stabbing, that defendant’s use of deadly physical force was justified.

At the charge conference, the People sought an expanded charge on intent—that the jury should consider whether the result of defendant’s conduct was “the natural, necessary and

probable consequence of that conduct”—and defendant requested that the People be precluded from arguing that, if the victim’s injury was caused by falling on a glass bottle on the ground, his resulting death was a natural consequence of defendant’s actions. As defendant noted, that theory of prosecution was not presented to the grand jury. Defendant also requested a specific instruction that, to convict him of first-degree manslaughter, the jury had to find that the victim’s death was caused by a knife, specifically a box cutter. The court responded that it would charge that the jury had to find that defendant “[c]aused [the victim’s] death with a dangerous instrument, to wit, a knife or a . . . box cutter.” On summation, defendant argued that the jury had to acquit him of the manslaughter charge if the People failed to prove beyond a reasonable doubt that the instrumentality of death was the box cutter, as opposed to a bottle on the ground, and devoted a substantial portion of his summation to attempting to demonstrate that the victim died from falling on a broken bottle. The People argued in summation that defendant intended to cause the victim serious physical injury and that the victim’s “death was actually caused by the defendant slashing [the victim] with that blade and not by anything else.”

When charging the jury, the court failed to include the agreed-upon language that the jury could convict defendant of manslaughter only if it found that the victim’s death was caused by a box cutter. Defense counsel objected on the ground that he had structured his summation in a particular way in anticipation of the promised charge. The court responded “[t]hat’s what was argued”—that if the jurors found “it wasn’t the box cutter, they have to find him not guilty.” Defense counsel made no further objections or requests. The jury convicted defendant of first-degree manslaughter and fourth-degree criminal possession of a weapon. The Appellate Division affirmed, holding as relevant here that, “although it was error for the court to inform the parties, prior to summations, that it would instruct the jury on a specific instrumentality of death in its charge of manslaughter in the first degree, and then to subsequently remove that language from its charge following summations, . . . the error was harmless” (160 AD3d 986, 988 [2d Dept 2018]). A Judge of this Court granted defendant leave to appeal.

II.

Defendant Mauricio Altamirano was convicted of criminal possession of a weapon in the fourth degree for storing another person's operable, but unloaded, .22 caliber revolver in his apartment. At trial, beginning with opening statements, counsel presented a temporary and lawful possession defense. Counsel argued that defendant was guilty only of "trying to do a favor for a friend," and that he did not know that his friend—who he knew only as "Columbia"—had a gun in a bag that he asked defendant to store in his home. Counsel asserted that, when defendant realized there was a gun in the bag, he twice asked Columbia to remove the gun from his home, to no avail, and later cooperated fully with police after they approached him to inquire about the gun.

The evidence at trial demonstrated that, after Columbia was arrested in connection with an unrelated assault, officers learned that he owned a gun and that defendant had a "connection to that" gun. Officers in plain clothes approached defendant at his place of business and asked if he was aware of or possessed a gun. Defendant, who was "extremely cooperative," offered to accompany police to his apartment to surrender the gun, and signed a consent to search form. He directed them to the weapon, which was wrapped in a blanket inside a garbage can in the single-room apartment. Officers took the gun and placed defendant under arrest. The People proffered defendant's statement to police, in which he explained that he was holding a bag for his acquaintance Columbia for at least three weeks. Defendant informed police that, after discovering that the package Columbia gave him contained the gun, he had told Columbia to remove it multiple times, but Columbia failed to do so.

Defendant requested that the court charge the jury on temporary and lawful possession of a weapon.¹ Defendant argued that his statement, along with the evidence that he

1. The pertinent Criminal Jury Instruction reads:

"[I]n certain circumstances, the possession of a weapon may be innocent and not criminal. . . .

"A person has innocent possession of a weapon when he or she comes into possession of the weapon in an excusable manner and maintains possession, or intends to maintain possession, of the weapon only long enough to dispose of it safely.

"There is no single factor that by itself determines whether there was innocent possession. In making that determination,

(n. cont'd)

turned the weapon over to police at the first opportunity presented to him, provided a basis for the charge. The court denied the request on the ground that the evidence did not support lawful possession, but also refused the People's request to prohibit defendant from referring to temporary possession in summation. Counsel, relying on defendant's statements to police, then argued in summation that defendant innocently permitted Columbia to place a bag in his home without being aware that a gun was concealed inside, demanded that the gun be removed when he learned that the weapon was in the bag, and later fully cooperated with the police when they confronted him about the weapon, conduct which was consistent with that of someone who was innocent. Counsel also argued that there was insufficient evidence regarding the time period between defendant's discovery that the bag in his home contained a gun and when he turned the weapon over to police.

After summations, without first informing the parties, the court gave the temporary and lawful possession charge to the jury. Thereafter, outside the presence of the jury, the court explained that it decided to give the charge out of an abundance of caution, but it denied defendant's request to reopen his summation so that he could "reargue to the jury the charge." Defendant was convicted as noted above. Upon defendant's appeal, the Appellate Term affirmed, concluding that Criminal Court "deprived defendant of the right to an effective summation," but that "reversal of the judgment of conviction [was] not required" because "defendant was not entitled to a charge on the defense of temporary and innocent possession of a weapon based on the facts of the case" (61 Misc 3d 1, 5 [App Term, 2d Dept, 2d, 11th & 13th Jud Dists 2018]). A Judge of this Court granted defendant leave to appeal.

III.

In *Herring v New York*, the Supreme Court of the United States explained that "[t]he Constitutional right of a defendant

you may consider any evidence which establishes that the defendant had knowing possession of a weapon, the manner in which the weapon came into the defendant's possession, the length of time the weapon remained in his/her possession, whether the defendant had an intent to use the weapon unlawfully or to safely dispose of it, the defendant's opportunity, if any, to turn the weapon over to the police or other appropriate authority, and whether and how the defendant disposed of the weapon" (*see* CJI2d[NY] Possession—Temporary).

to be heard through counsel necessarily includes [the] right to have [defense] counsel make a proper argument on the evidence and the applicable law in [defendant's] favor" (422 US 853, 860 [1975] [internal quotation marks omitted]). The *Herring* Court ruled invalid a New York "statute that empower[ed] a trial judge to deny absolutely the opportunity for any closing summation at all" (*id.* at 863). The Court held that the complete denial of an opportunity to make a summation of the evidence is a violation of the Sixth Amendment because "closing argument for the defense is a basic element of the adversary fact-finding process in a criminal trial" (*id.* at 858). That is, the "right to be heard in summation of the evidence from the point of view most favorable to" a defendant is implicit in the right to "the assistance of counsel that the [Federal] Constitution guarantees" (*id.* at 864-865). Indeed, "no aspect of . . . advocacy could be more important than the opportunity finally to marshal the evidence for each side before submission of the case to judgment" (*id.* at 862).

However, the rule "is not . . . that closing arguments in a criminal case must be uncontrolled or even unrestrained" (*Herring*, 422 US at 862). Rather, the Supreme Court explained in *Herring* that the trial "judge must be and is given great latitude in controlling the duration and limiting the scope of closing summations" (*id.*; see *People v Ashwal*, 39 NY2d 105, 109 [1976] ["It is fundamental that the jury must decide the issues on the evidence, and therefore fundamental that counsel, in summing up, must stay within the four corners of the evidence and avoid irrelevant comments which have no bearing on any legitimate issue in the case" (internal quotation marks and citation omitted)]). Moreover, although "[t]here is no way to know whether . . . appropriate arguments in summation might have affected the ultimate judgment in [a] case" (422 US at 864), the Supreme Court has since emphasized in *Glebe v Frost* that "[n]one of [its] cases clearly requires placing improper restriction of closing argument in [the] narrow category" of structural errors (574 US 21, 23 [2014]), as opposed to a "trial error . . . reviewable for harmlessness" (*id.* at 22). Of course, even "[m]ost constitutional mistakes call for reversal only if the government cannot demonstrate harmlessness" (*id.* at 23). It is "[o]nly the rare type of error—in general, one that infect[s] the entire trial process and necessarily render[s] [it] fundamentally unfair—that] requires automatic reversal" (*id.* [internal quotation marks and citation omitted]). Although *Glebe* was decided pur-

suant to the deferential standard applied under the Antiterrorism and Effective Death Penalty Act of 1996 and, thus, leaves open the question of whether harmless error analysis applies to trial court rulings that operate to restrict counsel’s strategic choices regarding summation, it nevertheless makes clear that *Herring* does not *compel* a conclusion that “the *restriction* of summation . . . amounts to structural error” (574 US at 24). Of course, regardless of whether the error is structural, “summation matters” as the dissent puts it (dissenting op at 499), and “the right of the defense to make a closing summary of the evidence to the trier of the facts” implicates the Sixth Amendment (*Herring*, 422 US at 860). Nevertheless, short of a complete deprivation of the right to present a summation (see *id.*; *People v Harris*, 31 NY3d 1183, 1185 [2018]), it cannot be said that Supreme Court precedent requires us to reconsider our well-established case law holding that the improper reversal of a prior charging ruling that impacts summation is subject to harmless error analysis.

[1] In that regard, this Court’s decisions in *People v Miller* (70 NY2d 903 [1987]), *People v Greene* (75 NY2d 875 [1990]), and *People v Smalling* (29 NY3d 981 [2017]) establish that, under New York law, harmless error analysis applies when the trial court fails to inform the parties, prior to summations, of the charge that will be given to the jury. In *Miller*, we expressly applied harmless error analysis to such an error. We explained that, where it could “[n]ot be said that defense counsel’s summation would have been affected by knowledge that the petit larceny charge would be submitted to the jury,” the error “was, in the circumstances of th[e] case, harmless” (70 NY2d at 907). While we did not use the specific phrase “harmless error” in *Greene*, we held that it was “error, prejudicial to defendant” when the trial court “reverse[d] its stance after assuring defendant that it would charge as he requested and after defendant had premised his summation on that theory” (75 NY2d at 877). Most recently, in *Smalling*, the Court relied on *Greene* in holding that, when the trial court “agreed to the People’s request at the charge conference not to charge the jury on constructive possession, but then ultimately provided a constructive possession charge to the jury, resulting in prejudice to defendant,” the “defendant [was] entitled to a new trial” (29 NY3d at 982). *Smalling* expressly applied harmless error analysis, stating that “[u]nder the unique circumstances of this case, the error is not harmless” (*id.*).

Our reliance on *Greene* in continuing to apply harmless error analysis in *Smalling*—decided just two years ago—completely refutes defendants’ arguments that our precedent distinguishes between a determination of prejudice and a harmless error analysis in this context. Contrary to defendants’ arguments, *Miller*, *Greene* and *Smalling* clearly establish that harmless error analysis applies and that the test for the prejudice component of harmless error analysis under these circumstances is whether it can be said that defense counsel’s summation would have been materially affected by knowledge of the charge ultimately submitted to the jury (*cf. Harris*, 31 NY3d at 1185 [declining to apply harmless error analysis when the defendant was completely denied the opportunity to give a closing argument]).² A showing of prejudice is necessary because it is not every post-summation change in instruction that amounts to a material misdirection about the legal framework of a case or that will have any sort of meaningful effect on defense counsel’s summation (*see Miller*, 70 NY2d at 907). The fact that our prior cases did not expressly consider whether the evidence of guilt was overwhelming does not suggest that those cases were not, in fact, applying harmless error analysis, as the Court expressly stated that it was doing in both *Miller* and *Smalling*. That is because a determination that the evidence was overwhelming does not, in itself, answer the question of whether an error is harmless under *People v Crimmins* (36 NY2d 230 [1975]).

Under our traditional harmless error analysis, an appellate court does not reach the question of prejudice unless the evidence is overwhelming in the first instance. As we explained in *Crimmins*, “unless the proof of the defendant’s guilt, without reference to the error, is overwhelming, there is no occasion for

2. The dissent argues that *Smalling*, which involved a supplemental instruction, is distinguishable from the instant case because the parties in *Smalling* expressly requested a traditional harmless error analysis. However, the dissent relies heavily on *Greene*—the only one of this Court’s cases cited in *Smalling*—which similarly involved the question of whether an error in a supplemental instruction was prejudicial to defendant (*see Greene*, 75 NY2d at 877). In any event, as noted by our dissenting colleague, her difference with our analysis in this case involves only the “label” that applies—not the “substance of the . . . standard” employed here or in our prior precedent—and the particular result reached herein (dissenting op at 491). Like the dissent, we note that granting a defendant’s request to reopen summation may ameliorate any potentially prejudicial effect on summation arising from a trial court’s reversal of a prior charging ruling after closing arguments have been given.

consideration of any doctrine of harmless error” (36 NY2d at 241). “That is, every error of law (save, perhaps, one of sheerest technicality) is, *ipso facto*, deemed to be prejudicial and to require a reversal, unless that error can be found to have been rendered harmless by the weight and the nature of the other proof” (*id.*). Under *Crimmins*, when “an appellate court has satisfied itself that there was overwhelming proof of the defendant’s guilt, its inquiry does not end there. . . . Further inquiry must . . . be made by the appellate court as to whether, notwithstanding the overwhelming proof of the defendant’s guilt, the error infected or tainted the verdict,” and “[a]n evaluation must therefore be made as to the potential of the particular error for *prejudice* to the defendant” (*id.* at 242 [emphasis added]). When an error is not constitutional in nature, the “error is prejudicial . . . if the appellate court concludes that there is a significant probability . . . in the particular case that the jury would have acquitted the defendant had it not been for the error or errors which occurred” (*id.*). If the error at issue is of a constitutional dimension, it is harmless when “there is no reasonable possibility that the error might have contributed to defendant’s conviction” (*id.* at 237). In *Miller, Greene* and *Smalling*, we expressly addressed only the second step of the *Crimmins* analysis, determining whether the error was prejudicial or harmless to defendant, having necessarily concluded, sub silentio, that the evidence was overwhelming. Our cases establish that prejudice in this context, for purpose of harmless error analysis, turns on whether defense counsel structured summation based on an anticipated charge that was not conveyed to the jury as promised, such that summation was materially affected by an alteration in that anticipated charge.

[2] Our prior decisions do not clarify whether the constitutional or nonconstitutional harmless error standard applies in determining whether the defendant was prejudiced by a trial court’s reversal, after summations, of a prior ruling on a charging request. However, *Miller, Greene* and *Smalling* represent this Court’s consistent application of harmless error analysis in this context over the course of 30 years and, as explained above, these decisions are not contrary to the decisions of the Supreme Court in *Glebe* and *Herring*. In addition, defendants’ assertion that the rule in all four Appellate Division Departments is that harmless error analysis does not apply to a broken charging promise is patently meritless. The First,

Second and Fourth Departments of the Appellate Division all have expressly held that these types of errors may be “harmless” (see *People v Gonzalez-Alvarez*, 129 AD3d 647, 648 [1st Dept 2015], *lv denied* 27 NY3d 997 [2016]; *People v Lugo*, 87 AD3d 1403, 1404 [4th Dept 2011], *lv denied* 18 NY3d 860 [2011]; *Matter of Jose R.*, 185 AD2d 819, 820 [2d Dept 1992]). The single case cited by defendants that supports their argument—*People v Bacalocostantis* (111 AD2d 991, 992 [3d Dept 1985] [holding that harmless error analysis as set forth in *Crimmins* cannot apply to the failure to inform counsel, prior to summations, that lesser included charge would be given])—is no longer good law inasmuch as it was decided before this Court expressly applied harmless error analysis in *Miller* to the same error that was present in *Bacalocostantis*. In addition, the Court that decided *Bacalocostantis*—the Appellate Division, Third Department—has held subsequent to *Bacalocostantis* that reversal is not required where there is no prejudice (see *People v Carkner*, 213 AD2d 735, 739 [1995], *lv denied* 85 NY2d 970 [1995]; *People v Seiler*, 139 AD2d 832, 834 [1988], *lv denied* 72 NY2d 924 [1988]).

In short, *Miller*, *Greene* and *Smalling* have consistently been applied by the appellate courts of this state and continue to be entitled to full precedential force. In those decisions, this Court meant what it expressly stated: a trial court’s error in reversing a prior charging decision after summations have been completed is subject to harmless error analysis.

IV.

We conclude that the evidence of guilt in both of the instant cases was overwhelming. Thus, as in *Miller*, *Greene* and *Smalling*, whether the error was harmless turns on the question of whether defendants were prejudiced. Although those cases do not clarify whether the constitutional or nonconstitutional standard applies in evaluating prejudice, we need not resolve that question today because, under either standard, the error in each case was harmless.

A.

In *People v Mairena*, defendant argues that, by revoking its promise to specifically instruct the jury as to the nature of the sharp instrument that caused the victim’s injuries, the court undermined the strategic decisions counsel made when preparing his summation based on that promise. Defendant asserts

that counsel argued that the People failed to prove that the victim died from a knife wound, rather than from falling to the ground on top of a glass bottle, and that, without the instruction, the jury could not have understood that his argument mandated acquittal. Defendant claims that, if he had known the court would not give the requested instruction, he may have avoided addressing the “bottle theory” altogether and focused solely on his justification defense.

To be sure, the facts of this case are superficially similar to those in *Greene*. The trial court in *Greene* agreed to charge the jury, with respect to manslaughter in the first degree, that it must acquit if it found that victim’s injury was not caused by a shooting. In summation, counsel “emphasized the equivocal nature of the proof that a shooting occurred and told the jury that they should acquit defendant if there was a reasonable doubt that the victim’s wound was caused by a gunshot” (75 NY2d at 877). We reversed because the trial court’s ultimate instruction to the jury contravened its promised charge, and the defendant had premised his summation on the theory underlying the charge. Similarly here, the trial court promised a charge on the instrumentality of death with respect to manslaughter in the first degree, and then failed to deliver the specific language to which it had agreed.

[3] Nevertheless, an affirmance is warranted. As the People note, defendant’s primary motivation in seeking the charge was to prevent the People from arguing that he was guilty even if a fall onto glass bottles during the fight was the cause of death—a theory of prosecution that was not presented to the grand jury. The People not only refrained from arguing that theory, but they expressly argued to the jury that the victim’s “death was actually caused by the defendant slashing [the victim] with that blade and not by anything else.” Moreover, the jury charge on manslaughter, read as a whole, conveyed that the jury had to find the victim’s death was caused by defendant’s intentional actions in using the box cutter in order to convict; it did not permit the jury to convict defendant of manslaughter based on the bottle theory. With respect to manslaughter, the jury was instructed that it had to find that defendant caused the victim’s death while specifically intending to cause serious physical injury to the victim. Serious physical injury was defined as “impairment of a person’s physical condition which creates a substantial risk of death or which causes death or which causes serious and protracted disfigurement,

protracted impairment of health or protracted loss or impairment of the function of any bodily organ.” Had the victim’s death been caused by an accidental fall on glass bottles during a fistfight that lasted only several seconds, the jury could not have found that defendant *intended* to cause serious physical injury.

Thus, although the specific language requested by defendant was not included in the jury charge, given the arguments actually made in summation by both parties that the jury had to find that the instrumentality of death was the box cutter in order to convict, and the conveyance of that instruction to the jury in the charge as a whole, any error in *Mairena* was harmless. Counsel essentially received the charge that he sought and both parties’ closing arguments were entirely consistent with that charge. Under these circumstances, “it cannot be said that defense counsel’s summation would have been affected by knowledge [of] the . . . charge [that] would be submitted to the jury” (*Miller*, 70 NY2d at 907).

B.

In *People v Altamirano*, defendant maintains that the court’s denial of his request for a jury instruction on temporary and lawful possession deprived him of the opportunity to argue that his possession of the weapon was not unlawful. He argues that, had counsel known the temporary and lawful possession charge would be given, he would have drawn the jury’s attention to the factors set forth in the charge contained in the pattern criminal jury instructions for determining whether his possession of a weapon in his home was innocent. Specifically, counsel would have pointed to a lack of evidence of knowing possession, the manner in which the gun came into defendant’s possession, the length of time it was in defendant’s possession, whether defendant had the intent to use it or dispose of it, and whether defendant took advantage of any opportunity to turn it over to police. Instead, defendant contends, counsel was forced to make a nonsensical argument that he never had constructive possession of the gun.

[4] Under *Miller*, *Greene* and *Smalling*, the relevant question is whether counsel’s summation was materially affected in a manner that prejudiced defendant in light of the charge actually given. As the People correctly note, defense counsel *did*, in summation, highlight the same evidence that defendant now argues would have supported the temporary and lawful posses-

sion charge. Counsel argued innocent possession throughout the trial. During summation, he asserted that defendant did not know that a gun was concealed inside Columbia's bag, defendant had unsuccessfully demanded that the gun be removed once he found out that it was in the bag, and defendant's conduct was that of someone who was innocent—i.e., he was fully cooperative with police and turned the gun over to them at his first opportunity. Counsel also pointed out that there was insufficient evidence regarding the time period between defendant's discovery of the gun stored in his home and his turning it over to police. In other words, defendant made the argument in substance that he now claims he was forced to forgo due to the trial court's initial refusal to give the temporary and lawful possession charge; he connected the evidence at trial to the factors relevant to the defense of temporary and lawful possession as it was ultimately charged to the jury. Thus, under these circumstances, "defense counsel's summation would [not] have been [materially] affected by knowledge [of] the . . . charge [that] would be submitted to the jury" (*Miller*, 70 NY2d at 907) and, thus, the error was harmless.

V.

We have considered defendant's remaining argument in *Mairena* and conclude that it is lacking in merit. Accordingly, the orders in both *Mairena* and *Altamirano* should be affirmed.

FAHEY, J. (concurring). "Errors of law of nonconstitutional magnitude may be found harmless where 'the proof of the defendant's guilt, without reference to the error, is overwhelming' and where there is no 'significant *probability* . . . that the jury would have acquitted the defendant had it not been for the error' " (*People v Byer*, 21 NY3d 887, 889 [2013] [emphasis added], quoting *People v Crimmins*, 36 NY2d 230, 241-242 [1975]). By contrast, errors of law of constitutional dimension may only be found harmless where the evidence is overwhelming and "there is no reasonable *possibility* that the error might have contributed to [the] conviction" (*id.* at 237 [emphasis added]).

I agree with my colleagues in the majority to the extent they conclude that the errors here are harmless,* but in my view the constitutional standard for harmless error should apply (*cf.*

* I also agree with my colleagues in the majority that defendant Mairena's remaining contention lacks merit (*see* majority op at 489).

majority op at 486). These errors have a constitutional dimension and they must be reviewed under the heightened harmless error standard applicable to constitutional mistakes. Applying that standard, the evidence in each case is overwhelming and there is no reasonable possibility that the mistakes contributed to the convictions (*see Crimmins*, 36 NY2d at 237).

The opportunity to give an effective summation is an essential part of the fundamental right to counsel. Closing arguments sharpen the issues for resolution by the trier of fact and are “the last clear chance to persuade the trier of fact that there may be reasonable doubt of the defendant’s guilt” (*Herring v New York*, 422 US 853, 862 [1975]). “The very premise of our adversary system of criminal justice is that partisan advocacy on both sides of a case will best promote the ultimate objective that the guilty be convicted and the innocent go free” (*id.*). A criminal proceeding is a fact-finding process, and few, if any, aspects of trial can be more important than a final summary of the evidence delivered on the precipice of deliberations and verdict (*see id.*).

The barriers to effective summations erected by the trial courts here implicated the right to counsel. The right to counsel is guaranteed by both the Federal and State Constitutions (*see People v Benevento*, 91 NY2d 708, 711 [1998]) and “extends to closing arguments” (*Yarborough v Gentry*, 540 US 1, 5 [2003]). Simply having counsel is not enough. The accused is entitled to counsel who provides what we have characterized as “‘effective’ aid” (*see Benevento*, 91 NY2d at 711, quoting *Powell v Alabama*, 287 US 45, 71 [1932]). That assistance has alternately been described as “meaningful representation” (*People v Baldi*, 54 NY2d 137, 147 [1981]).

For the courts to hamstring counsel on summation was to limit their effectiveness at a critical stage of the proceedings and to strike at defendants’ basic right to a fair trial (*see* US Const Amend VI; NY Const, art I, § 6). It is error for a court to fail to give an agreed-upon charge or to add a charge not discussed with counsel. The parties have a right to know what the court will charge in order to prepare their summations. Otherwise, counsel would proceed blindly into summations, leaving the accused in a position where their legal assistance in that potentially decisive segment of the proceedings could be meaningless (*see generally Evitts v Lucey*, 469 US 387, 396 [1985] [“a party whose counsel is unable to provide effective representation is in no better position than one who has no counsel at all”]).

Reason dictates that this created a “reasonable possibility that the error[s] might have contributed to [the] conviction[s]” (*Crimmins*, 36 NY2d at 237). It is only the overwhelming evidence in each case that allows these convictions to stand.

RIVERA, J. (dissenting). The constitutional guarantees of the right to counsel and a fair trial include the opportunity to present an effective summation in support of acquittal. It is the only chance for counsel to marshal the evidence from the defense perspective based on the law as charged to the jury. Counsel’s strategic choices of how best to weave legal arguments, facts and inferences for maximum persuasive impact are reflected in the closing statement. No other moment in a trial provides counsel the great leeway for exposition and rhetorical flourish grounded in logic and counsel’s own voice as that allowed in this last chance for partisan advocacy. Whether a dispassionate recitation of the facts and law or a colorful display of oratorical skill, an effective summation can plant the seeds of reasonable doubt.

Counsel in these two appeals charted the course for their summations based on the respective trial judge’s promised charge to the jury. In both appeals, we unanimously agree that the judges’ change in course after summation constitutes error. The majority concludes the errors are harmless. However, the majority does not actually deploy our traditional harmless error analysis. Instead, it considers the impact of the trial judges’ broken promises on counsel’s summation. I agree with the substance of the majority’s “harmless error” standard, if not its label. However, I conclude application of the standard here requires reversal of defendants’ convictions.

I.

Defendants contend that they were denied the right to an effective summation at their respective trials when their counsel prepared and delivered closing arguments in reliance on the judges’ pre-summation charge determinations, which the judges subsequently failed to follow. In one case, the judge reneged on a promise to charge an element of the crime in the form requested by defendant and, in the other, the judge denied counsel’s requested charge but gave it after summations.

Defendant David Mairena was tried for manslaughter in the first degree (Penal Law § 125.20 [1]), assault in the first degree

(Penal Law § 120.10 [1])¹ and criminal possession of a weapon in the fourth degree (Penal Law § 265.01 [2]) for the death of Miguel Jimenez, which resulted from an early morning fight outside a bar and restaurant. The fight that led to the fatal injury occurred after defendant and the victim were engaged in two other altercations, one of which included the use of a machete by the victim. The police and medical examiner concluded that the victim died from a cut in his right arm that severed his brachial artery. During the investigation, defendant admitted to the police that he had taken out and swung a box cutter during the fatal altercation. One of the witnesses, a disc jockey, also heard a “noise, like a bottle breaking” when the victim fell and saw blood streaming from the victim’s right arm. At the charge conference, the People requested an expanded intent charge for the manslaughter count, in particular that the jury could convict defendant of manslaughter if the victim’s fatal injury was caused by falling on broken glass bottles and this fall was the natural, necessary and probable consequence of defendant’s actions. Defendant opposed the expanded intent charge because this theory of culpability was not presented to the grand jury. Defendant also requested that the court instruct the jury that they could only find defendant guilty of manslaughter if he caused the fatal wound with a knife, specifically a box cutter. The court agreed to charge that the jury must find defendant “[c]aused death with a dangerous instrument, to wit, a . . . box cutter.”

In summation, counsel focused on two alternative defenses: (1) defendant did not use the box cutter to inflict the fatal injury in the victim’s right arm and the victim died from falling on a broken bottle; or (2) if defendant slashed the victim in the arm, he was justified. Defense counsel spent approximately 15 pages of his summation arguing that the victim may have died from falling on a broken bottle, which created “reasonable doubt” necessitating a “not guilty” verdict. Counsel discussed the victim’s injury in depth, replayed the surveillance video of the fatal altercation, and displayed the autopsy photo of the victim to the jury. Contrary to its promise, the judge did not charge the jurors that they could find defendant guilty of manslaughter only if they concluded the fatal injury was caused by

1. Defendant was originally charged with assault in the first degree. The parties agreed that the evidence at trial did not fit the charge and asked the court not to instruct the jury on the assault.

a box cutter. The jury found defendant guilty of the submitted counts of manslaughter and criminal weapon possession.

Defendant Mauricio Altamirano was tried for criminal possession of a weapon in the fourth degree (Penal Law § 265.01 [1]) and attempted tampering with physical evidence (Penal Law §§ 110.00, 215.40 [2]). These charges stem from defendant's agreement to store a bag at his apartment as a favor for a friend named "Columbia." Unbeknownst to defendant at the time that he agreed to the favor, the bag contained a gun. After he learned about the weapon, defendant asked Columbia to remove the gun at least twice, but Columbia never did. While investigating an assault involving Columbia, plainclothes officers approached defendant at his work and inquired about the gun. Defendant was "extremely cooperative," admitted to having a gun wrapped in a blanket in a garbage can inside his home and took the officers to his apartment to surrender the gun. Defendant requested that the court charge the jury on temporary and lawful possession of a weapon, arguing that there was strong evidence presented at trial that defendant did not know that the bag given to him by Columbia contained a gun and that he turned the gun over to police at the first available opportunity. The judge denied the request but then gave the charge after summations and refused counsel's request to reopen summations so that he could address the lawful possession based on the instruction. Defendant was acquitted of the attempted evidence tampering count and convicted of the criminal possession of a weapon count.

The intermediate appellate courts affirmed defendants' convictions, and by separate orders of different individual Judges of this Court, each defendant was granted leave to appeal (*People v Mairena*, 160 AD3d 986 [2d Dept 2018], *lv granted* 31 NY3d 1150 [2018]; *People v Altamirano*, 61 Misc 3d 1 [App Term, 2d Dept, 2d, 11th & 13th Jud Dists 2018], *lv granted* 32 NY3d 1201 [2019]).

Before this Court, as they did below, defendants maintain that their claims have doctrinal roots in the fundamental constitutional rights to assistance of counsel by means of effective summation, and a fair trial.² They contend judicial review of the claimed violation of those rights based on the judge's

2. Since any claim that the right of an effective summation is grounded in the New York State Constitution is not adequately preserved by defendants, I do not address it here.

deviation from the promised charge must consider the unique role summation plays in our adversarial fact-finding system of justice. They further contend that a trial judge's sharp reversal from the agreed upon charge is bad policy, undermining both parties' ability to make informed strategic decisions and the legislature's intent in mandating jury charge determinations prior to summations pursuant to CPL 300.10 (4). The People counter that a judge's failure to abide by the jury charge promise is subject to traditional harmless error analysis.

Defendants propose a rule whereby (1) when a defendant relies on a court's charging promises in summation and the court does the opposite of what was promised after summation, a defendant's right to an effective summation has been violated and (2) reversal is required when the court does not or cannot give the defendant an opportunity to cure the prejudice, either by denying counsel the opportunity to reopen summation or by refusing to give the promised charge. I agree that these errors are constitutional in nature and appellate review should focus on whether the errors adversely impacted counsel's summation. This standard of review aligns with our prior approach (see *People v Greene*, 75 NY2d 875 [1990]). In contrast, traditional harmless error doctrine is both doctrinally inapplicable and ill-suited in practice to review the impact of a trial judge's decision not to follow the pre-summation charge determination.

II.

The United States Supreme Court has eschewed "a narrowly literalistic construction" of the federal constitutional right to assistance of counsel (*Herring v New York*, 422 US 853, 857 [1975]).

"The right to the assistance of counsel has thus been given a meaning that ensures to the defense in a criminal trial the opportunity to participate fully and fairly in the adversary factfinding process.

"There can be no doubt that closing argument for the defense is a basic element of the adversary fact-finding process in a criminal trial. Accordingly, it has universally been held that counsel for the defense has a right to make a closing summation to the jury, no matter how strong the case for the pros-

ecution may appear to the presiding judge” (*id.* at 858 [footnote omitted]).

Why is summation of such importance to our system of criminal justice and the fact-finding process? Because, as the Supreme Court has explained,

“[C]losing argument serves to sharpen and clarify the issues for resolution by the trier of fact in a criminal case. For it is only after all the evidence is in that counsel for the parties are in a position to present their respective versions of the case as a whole. Only then can they argue the inferences to be drawn from all the testimony, and point out the weaknesses of their adversaries’ positions. And for the defense, closing argument is the last clear chance to persuade the trier of fact that there may be reasonable doubt of the defendant’s guilt.

“The very premise of our adversary system of criminal justice is that partisan advocacy on both sides of a case will best promote the ultimate objective that the guilty be convicted and the innocent go free. In a criminal trial, which is in the end basically a factfinding process, no aspect of such advocacy could be more important than the opportunity finally to marshal the evidence for each side before submission of the case to judgment” (*id.* at 862 [citation omitted]).

Our adversary system is thus built on the assumption that despite initial appearances and impressions of the evidence, “there will be cases where closing argument may correct a premature misjudgment and avoid an otherwise erroneous verdict” (*id.* at 863). It is precisely because we cannot know in advance which case outcome will turn on an effective summation that the opportunity to prepare and deliver a summation based on the trial evidence and the agreed upon charge is a fundamental right of every defendant.

Because summation is so fundamentally important to our adversarial justice system, holding the power to change verdicts and determine who goes free and who does not, it also obviously follows that the opportunity for an effective summation is essential to a fair trial (*see Herring*, 422 US at 859; *Yarborough v Gentry*, 540 US 1, 5 [2003] [“The Sixth Amendment guarantees criminal defendants the effective assistance of counsel”]; *Chapman v California*, 386 US 18, 23 and n 8 [1967]

[recognizing “there are some constitutional rights so basic to a fair trial that their infraction can never be treated as harmless error,” including right to counsel]; *People v Etienne*, 220 AD2d 446, 447 [2d Dept 1995]). The denial of the right to marshal facts and law in a manner that effectively capitalizes on the charge as promised undermines defendant’s presentation of a defense in the strongest possible terms and in accordance with counsel’s studied judgment (*see People v Crimmins*, 36 NY2d 230, 238 [1975]; *People v DiPippo*, 27 NY3d 127, 135 [2016] [“(T)he Constitution guarantees criminal defendants a meaningful opportunity to present a complete defense” (some internal quotation marks and citations omitted)], quoting *Nevada v Jackson*, 569 US 505, 509 [2013]). An altered charge denies counsel the opportunity to persuade the jury based on a version of facts that tracks the instructions counsel rightly believes will be forthcoming. It is fundamentally unfair to promise counsel that the jury will be instructed on the law in a particular way and then fail to so direct the jury.

New York has codified the right to a summation and the right to request specific jury instructions. CPL 300.10 provides the parties an opportunity to submit charge requests to be ruled on by the court and requires the court to inform the parties of the charge in advance of summations (CPL 300.10 [4], [5]).

This statutory provision recognizes that counsel brings to bear much skill, expertise and artistry in the process of crafting an effective summation. With the skill and technique of one trained in the law, a defense counsel, for example, may illuminate the facts from the defense perspective, holistically explain the significance of the evidence—much like putting together a jigsaw puzzle with bits and pieces of information—and eventually lead jurors to conclusions and inferences that support the defense theory of the case, all to persuade the trier of fact to acquit (*see* Raymond W. Bergan, *Thoughts about Closing Argument*, in American Bar Association, *Litigation Manual: Jury Trials* at 324 [2008] [“(T)he entire trial preparation should lead up to a closing argument. In closing argument you will draw together all those items of evidence that the jury heard and emphasize the significance they may not have fully grasped at the time”]; Patricia Lee Refo, *Closing Argument: A String of Pearls*, in American Bar Association, *Litigation Manual: Jury Trials* at 330 [2008] [“The distinguishing feature of closing argument is, well, argument. That means drawing inferences or conclusions from the facts; talking about wit-

nesses' credibility, motivation, or demeanor while testifying; explaining the significance of the evidence; discussing why an event occurred the way it did"]; Henry G. Miller, *Principles of Summation*, 28 Am Jur Trials 599 [1981] ["Somehow all the fragments of the trial must be collected in summation. Now the advocate integrates the evidence which was introduced in imperfect order and often out of sequence. The puzzle is now solved for the jury. At the time testimony was given, the significance may have only been known to counsel. All the disparate elements must now be fused into one intelligible unit"]; 2 F. Lee Bailey & Kenneth J. Fishman, *Criminal Trial Techniques* § 47:1 [2019] ["A well-presented case can be lost by a listless summation. A spirited, effective summation can change a lost cause into an acquittal"]; *see generally* Henry B. Rothblatt, *Defense Summation*, in New York State Bar Association, *Basic Criminal Practice* [4th ed 1982]).

The significance of the jury instructions to counsel's summation cannot be understated or underestimated as the charge sets the ground rules for the deliberative process. As we have long recognized, "[j]urors are presumed to follow the legal instructions they are given" (*People v Baker*, 14 NY3d 266, 274 [2010], citing *People v Guzman*, 76 NY2d 1, 7 [1990]; *People v Acevedo*, 69 NY2d 478, 488 [1987]). Thus, when counsel designs summation in anticipation of the judge's promised instructions to be given, counsel maximizes the persuasive impact of the defense version of the case. As aptly explained by one commentator, "[b]y suggesting that the court's instructions of law, as well as the facts, support your side, a doubly effective argument can be crafted. Argue the facts and then argue that they support a particular legal principle" (W. Ray Persons, *Preparing and Delivering the Defense Closing Argument*, 16 Prac Litigator [No. 3] 55, 57 [May 2005]).³ In other words, an effective summation reinforces the advocate's view of the evidence and the inferences to be drawn by placing them within the legal framework to be explained by the judge.

III.

The type of error addressed here should be measured by the impact on counsel's strategic choices of how to shape summa-

3. The commentator further encourages counsel to track the charge, as "[t]he key to this approach is to follow the factual argument with a recitation of the corresponding jury instruction so that the association is firmly fixed in the jury's mind" (Persons at 57-58).

tion, and not on the evidentiary support for the verdict. Summation is an integral component of trial; it is the sole opportunity for counsel to speak directly to the trier of fact and present the evidence and arguments from the defendant's perspective. The majority arrives at that holding, though not by the path I take. Summation holds open the possibility that a juror will be persuaded by the sheer strength of counsel's oratory skills. The bench, bar and our diverse communities subscribe to the view that summation matters—even when the weight and apparent strength of the evidence leave little hope of acquittal—because of the power of an advocate to change minds. It is not possible to quantify the impact on the verdict of the summation counsel would have given if the court had charged the jury as promised.

Given the constitutional rights an effective summation serves and its critical role in our adversary fact-finding system, the standard of review in broken-charge-promise cases must focus on where the error has its greatest impact: the summation. Counsel cannot provide constitutionally mandated legal assistance in a just and fair setting when counsel's last appeal to the jury is based on a judge's unfilled representations about the law to be charged. Therefore, a judge's failure to charge in accordance with the agreed upon instructions is an error warranting reversal where (1) counsel structured the presentation of evidence and the core elements of the defense based on the anticipated charge, and (2) the court provides no satisfactory opportunity to cure the prejudice flowing from the changed charge. In other words, when summation reflects that counsel's strategic decisions about the best way to organize and advocate the defense's view of the case is based on the promised charge, and the judge's failure to provide the charge as promised calls for either recalibration of counsel's approach by additional summation or additional instructions to the jury, both of which the judge denies, a defendant is denied the right to counsel's full and comprehensive "partisan advocacy" that is essential to "the adversar[ial] factfinding process in a criminal trial" (*Herring*, 422 US at 862, 858).

IV.

A.

Traditional harmless error analysis is inapplicable and ill-suited to assess the impact of the errors presented in these ap-

peals. First, because the trial court's failure to charge as promised violates defendant's constitutional rights to assistance of counsel by presentation of an effective summation and to a fair trial, neither class of error is subject to harmless analysis (*Herring*, 422 US at 859; *Yarborough*, 540 US at 5; *Chapman*, 386 US at 23; *Crimmins*, 36 NY2d at 237-238; *Eti-enne*, 220 AD2d at 447). The federal standard for ineffective assistance requires consideration of the prejudice to defendant and the denial of a fair trial is reversible error (*Strickland v Washington*, 466 US 668, 684-689, 690-698 [1984]; *Chapman*, 386 US at 23; *People v Felder*, 47 NY2d 287, 295-296 [1979]). Second, the salient doctrinal underpinning of the harmless error analysis requires an appellate court to determine whether the evidence of guilt is overwhelming, but that is not the proper focus of the constitutional deprivation in these cases (*People v Felder*, 47 NY2d 287, 295-296 [1979] ["There can be no doubt that the right to assistance of counsel is an essential ingredient in our system of criminal jurisprudence, rooted deeply in our concept of a fair trial within the adversarial context. . . . It is precisely this fundamental nature of the right that renders harmless error analysis inapplicable"]; *Crimmins*, 36 NY2d at 238 ["The right to a fair trial is self-standing and proof of guilt, however overwhelming, can never be permitted to negate this right"]). Harmless error analysis is inapplicable because the error is inherently prejudicial where it affects the summation, regardless of whether the evidence appears overwhelming. That is why we must determine in the first instance whether the error impacted counsel's strategic choices about how to shape summation, and not the existence of evidentiary support for the verdict.

The majority's observation that the errors here are not structural misses the mark (majority op at 482-483). Our system presumes that summation matters. Limiting the analysis to whether there is wholesale denial of summation or improper restriction of summation is based on the disfavored "narrowly literalistic construction" of a defendant's constitutional trial rights. The majority's reliance on *Glebe v Frost* (574 US 21 [2014]) for this overly restrictive view is misplaced. In that case, the defendant filed a petition for writ of habeas corpus under 28 USC § 2254 after the Washington Supreme Court sustained the defendant's conviction, in part, by holding that improper restriction of summation was a trial error rather than a structural error and applied harmless error analysis

(*id.* at 22-23). The Ninth Circuit Court of Appeals granted the defendant's habeas petition, holding that the Washington Supreme Court had unreasonably applied clearly established federal law in holding that the trial court's restriction of summation was not structural error (*id.* at 23). The United States Supreme Court reversed under the Antiterrorism and Effective Death Penalty Act of 1996, an entirely different statute governing habeas corpus adjudication that is inapplicable here, by holding that *Herring* "did not clearly establish that the *restriction* of summation also amounts to structural error" (*id.* at 24). At most, *Glebe* is a pronouncement that it remains an open question if improper restriction of summation is structural error. For our purposes here, *Glebe* does not establish that violation of the right to an effective summation mandates harmless error analysis as implied by the majority.

In any case, the issue here is not improper restriction of summation, but rather that counsel prepared a summation based on the trial judge's representations of the law to be charged to the jury. When a judge does not follow the charging determination, that is not a restriction of the summation in the sense that the judge tells counsel they cannot address an issue at all or in a particular manner. The damage is in the misdirection about the legal framework of the case.

What matters then is that a promise has been broken as to the legal rules that direct the jurors' deliberations and that served as the basis for strategic choices by counsel. Counsel might well have made different choices. We cannot easily measure the nuances because the error is not centered on limiting closing but about setting counsel's choices on the wrong track. For example, Mairena argues that his defense counsel would have not discussed the broken bottles theory in summation, including talking about the nature of the cut and showing the surveillance video and autopsy photo, had he known the charge on the instrumentality of death would not be given. Rather, counsel would have focused solely on his justification defense. Similarly, Altamirano contends that if his defense counsel had known the court would give the temporary and lawful possession charge, his defense counsel could have connected the evidence presented to the relevant factors in the temporary and lawful possession test and emphasized to the jury that Altamirano did not initially come into knowing possession of the weapon; he kept the weapon wrapped in a blanket in a garbage bin, showing lack of intent to use the gun; he was extremely

cooperative with the police; and that he had several character witnesses testify to his honesty. While defense counsel was forced to make the nonsensical argument that there was no evidence that Altamirano constructively possessed the gun—when he had undisputedly led the police to his apartment and informed them of the gun’s location—defense counsel could still have emphasized these salient facts had he been permitted to reopen summations, and mapped them to the elements of the temporary lawful possession charge.

B.

Our prior case law does not mandate that we assess the impact of these errors under a traditional harmless error analysis. The cases on which the majority principally relies, *People v Miller* (70 NY2d 903 [1987]), *People v Greene* (75 NY2d 875 [1990]) and *People v Smalling* (29 NY3d 981 [2017]), either support the proposition that the effect on summation is crucial or are irrelevant to the analysis.

Greene applies the standard of review I have described as the proper measure of the type of error at issue in these appeals. *Greene* is on all fours with Mairena’s case in that *Greene* also involved a manslaughter prosecution and a dispute as to the instrumentality of death, namely whether defendant was shot. The judge gave the charge requested by counsel that the People had to establish beyond a reasonable doubt that the defendant shot the victim. Then, in response to a jury request, over the defendant’s objection, the court responded that the jurors could find the defendant guilty if they found that the defendant caused the death of the victim by means other than by a gun. This Court held that “it was error, prejudicial to defendant, for the court to reverse its stance after assuring defendant that it would charge as he requested and after defendant had premised his summation on that theory” (*Greene*, 75 NY2d at 877). In *Greene*, the People argued that traditional error analysis should apply. Instead, we described and applied a “prejudicial error” standard. Equating “prejudicial error” with harmless error conflates the impact on the verdict—the focus of harmless error analysis—with the impact on summation based on counsel’s reliance on the promised charge—the reversible error identified by the Court in *Greene*. In fact, *Greene* expressly chose not to apply harmless error analysis by declining to consider the possible impact on the verdict: “we need not determine whether, in the abstract, defendant properly could

have been convicted if the jury concluded that no shooting had occurred” (*id.* [citation omitted]).

Smalling and *Miller* do not require a different analysis. *Smalling*, although the most recent, is the least instructive. The decision is set forth in a one-paragraph memorandum, in which we ordered a new trial when the trial court initially complied with its promise not to charge on constructive possession but then provided the instruction in response to a jury note during deliberations. Defendant had argued that the additional charge was prejudicial and there was good reason to believe the jury convicted defendant on the erroneously given charge. Notably, the People argued that any error from the additional charge was harmless, relying on *People v Badalamenti* (27 NY3d 423, 439 [2016]). Defendant distinguished *Badalamenti* as a case involving a final instruction and not a response to a jury request. We concluded that defendant was prejudiced, citing *Greene* and CPL 300.10 (4), and held that “[u]nder the unique circumstances of this case, the error [was] not harmless” (29 NY3d at 982), citing *People v Nevins* (16 AD3d 1046 [4th Dept 2005]), a case which applied the *Crimmins* harmless error doctrine to a supplemental instruction. Thus, *Smalling* is distinguishable, as it did not determine the impact on the summation under a harmless error analysis, but as limited by the parties’ arguments, *Smalling* focused on if and how “the error infected or tainted the verdict” under a traditional harmless error analysis (*Crimmins*, 36 NY2d at 242), which even the majority does not apply to the instant appeals.⁴

Although the Court in *Miller* did conclude that any error due to the trial court’s failure to inform counsel prior to summation

4. In *Greene* and *Miller*, the parties expressly raised the questions of how a jury charge, whether as a supplemental instruction in *Greene* or as the original charge to the jury in *Miller*, affected counsel’s summation, if such effects were prejudicial, and the effect of the charges on the verdict. In other words, the parties in *Greene* and *Miller* raised arguments relating to both traditional harmless error as well as prejudicial error analysis, as I describe and distinguish above. However, the parties in *Smalling* only analyzed the effect of the additional charge under our traditional harmless error doctrine. As such, the issue of whether prejudicial error was the proper legal standard to review the parties’ claims in *Smalling* was not before this Court in that case (see *Matter of 381 Search Warrants Directed to Facebook, Inc. [New York County Dist. Attorney’s Off.]*, 29 NY3d 231, 247 n 7 [2017]; *People v Tapia*, 33 NY3d 257, 270 n 8 [2019]). Contrary to the majority’s conclusion that we implicitly adopted *Greene*’s analysis in *Smalling* (majority op at 484 n 2), *Smalling* only cites *Greene* for the proposition that the changed charge “result[ed] in prejudice to defendant,” while this Court cited to *Nevins* (16 AD3d at 1047) to hold that “the error is not harmless,” demonstrating that

(n. cont’d)

that it would charge on a lesser included count was harmless, the Court did so by analyzing the impact of the error on counsel's summation. In *Miller*, the defendant, an assistant conductor employed by Metro-North, was charged with grand larceny in the third degree and 10 counts of offering a false instrument in the first degree for submitting 10 false Metro-North time slips for pay when he had not worked on those days. Defense counsel's summation explicitly focused on the time slips and the false instrument charges and did not touch on the grand larceny charge at all. Without first informing counsel, the trial court gave the charge for the lesser included offense of petty larceny, an offense distinguished from the grand larceny solely by the total value of the property stolen. On appeal this Court explained that under the circumstances, "it cannot be said that defense counsel's summation would have been affected by knowledge that the petit larceny charge would be submitted to the jury" (*Miller*, 70 NY2d at 907). Again, our Court did not focus on the ultimate impact on the outcome of the trial but rather on the impact on counsel's summation, notwithstanding the reliance on the trial court's promised and altered charge. This is not traditional harmless error but rather a measure of prejudice to the defendant based on what counsel would have done absent the judge changing course.

C.

In any case, the majority does not employ traditional harmless error analysis because rather than consider whether the verdict would be different absent the trial judge's error, the majority focuses—just as I do—on the impact on defense counsel's summation. Indeed, the majority goes so far as to explain that "the relevant question is whether counsel's summation was materially affected in a manner that prejudiced defendant in light of the charge actually given" (majority op at 488). I agree, but part company with the majority in the way it answers that question as to the summations here.

In defendant Mairena's case, counsel's summation focused on his argument that the victim died due to injuries caused by falling on the broken bottle. In support, counsel discussed how the People's theory relied on the victim being cut before falling, but this was implausible because the victim "is punching as he

we did not adopt a prejudicial error analysis in *Smalling* (*Smalling*, 29 NY3d at 982).

goes down” while his wound would have led to “nerve damage and fairly quick loss of motor function and immediate blood spraying.” Further, defense counsel pointed out how “there [was] no blood on the ground where [the victim] is punching,” which showed “reasonable doubt that he was [not] cut back there because there is no blood on the ground where he is punching.” Counsel also impeached the testimony of the police officers who investigated the crime, stating that they “[did not] follow up on this investigation of the bottles theory.” In sum, counsel argued that the People “failed to prove beyond a reasonable doubt that the instrument of death was the knife” and that “the knife caused the injury beyond a reasonable doubt.” Thus, counsel made an argument that even if the use of the box cutter led to the fatal fall on the bottle, defendant could not be found guilty. That argument conceded ground and supported a guilty verdict based on the court’s instructions that stated only that the People had to establish defendant caused decedent’s death, without stating, as promised, that the cause was a fatal wound inflicted by the box cutter.

The majority bases its conclusion that the court’s failure to charge as promised did not affect counsel’s summation on three points, none persuasive. First, the majority asserts that counsel merely sought to prevent the People from arguing guilt based on death caused by the fall on the broken bottle and the People never made that argument, arguing instead that the death was caused by defendant slashing the decedent. That is not the way the People saw it. When counsel objected to the charge, the People confirmed that the jury could find defendant guilty of manslaughter based on the charge as given—that the instrumentality of death is a dangerous instrument, which need not be the box cutter: “they can find that [defendant] used a dangerous instrument to cause those injuries and they happened to recover a box cutter. It [does not] have to be that box cutter that caused that injury.” Thus, because the court gave a charge that permitted another view of the evidence—a charge we assume the jury followed (*Baker*, 14 NY3d at 274)—the fact that the People did not describe another theory for the death is beside the point. In any case, defense counsel essentially made the argument for the People. Thus, the People benefitted from both theories being presented to the jury because the charge allowed for a guilty verdict under either view of the evidence. Indeed, the People could comfortably mock the broken bottle theory as a means to undermine defense counsel’s credibility,

surely aware that if that strategy failed, the broken bottle theory would still be a basis for conviction. A win-win scenario for the People and a disastrous result for defendant.

The majority's second basis for concluding the error here did not impact the summation is similarly unsupported by the record and logic. According to the majority, "the jury charge on manslaughter, read as a whole, conveyed that the jury had to find the victim's death was caused by defendant's intentional actions in using the box cutter in order to convict; it did not permit the jury to convict defendant of manslaughter based on the bottle theory" (majority op at 487). Whatever else the charge "conveyed," it did not eliminate the return of a guilty verdict based on defendant intending to cause serious physical injury by cutting the decedent with the knife which led decedent to fall on broken glass, ultimately causing his fatal wounds. The majority claims that the jury could not have concluded that falling on glass caused serious physical injury, but the medical examiner testified to the contrary, stating that the wound "was not inconsistent" with being "caused by a broken bottle."

With respect to defendant Altamirano, the majority concludes that the court's denial of the temporary lawful possession charge did not affect the summation because counsel actually addressed the factors that the jury could consider since the judge actually gave the charge. Thus, no harm no foul. The harm, however, is that counsel was prevented from employing one of the essential components of summation: mapping the evidence against the elements of the defense for the jury's consideration. In addition, the majority mentions but glides over the fact that due to the denial of his charge request, counsel argued that defendant did not have possession of the weapon. That argument was unsupported by the evidence and the law, as the gun was found in a garbage can in his apartment, having been placed there with defendant's full knowledge. The fact that counsel referred to evidence supporting temporary lawful possession is not the same as crafting a summation deliberately based on a charge to which counsel may refer in order to reinforce the defense argument. Moreover, without knowledge that the charge would in fact be given, counsel could not rely on the charge to undermine the People's arguments that defendant knowingly possessed the firearm. Again, like in *Mairena*, the People, not defendant, benefitted from the summation choices counsel made based on the judge's error.

In both appeals, the trial judge's failure to abide by the agreed upon jury charge prejudiced defendant as counsel in each case prepared their summations based on the anticipated charge. I would reverse and grant a new trial for each defendant.⁵

V.

When defense counsel charts the course of summation based on the trial judge's description of the charge, and then after summation the judge fails to give the promised instruction or gives a previously denied instruction as requested by defense counsel, the judge should offer to reopen summations so that counsel may address the jury in light of the charge as actually given. Not only would reopening summations ensure the fairness of the proceeding, but it would also avoid a potential appealable issue. Absent such opportunity to mitigate the prejudice to the defense from the court's error, the conviction should be reversed and a new trial ordered. I dissent.

Chief Judge DiFIORE and Judges GARCIA and FEINMAN concur; Judge FAHEY concurs in result in an opinion; Judge RIVERA dissents in an opinion in which Judge WILSON concurs.

In each case: Order affirmed.

5. I agree with the majority that defendant Mairena's other challenge to his conviction based on the justification charge is meritless.

[144 NE3d 332, 121 NYS3d 723]

In the Matter of THE PLASTIC SURGERY GROUP, P.C., Appellant,
v COMPTROLLER OF THE STATE OF NEW YORK, Respondent.

Argued November 21, 2019; decided December 17, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 22, 2017. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Albany County (Christina L. Ryba, J.), which had (a) granted petitioner's application pursuant to CPLR 2304 to quash a subpoena duces tecum, and (b) denied respondent's cross motion to compel compliance; (2) denied petitioner's application to quash the subpoena; and (3) granted respondent's cross motion to compel compliance.

Matter of Plastic Surgery Group, P.C. v Comptroller of the State of N.Y., 155 AD3d 1417, affirmed.

HEADNOTE

Witnesses — Subpoena Duces Tecum — Issuance by State Comptroller to Audit State Payments for Medical Services

CPLR 3122 (a) (2) did not require that respondent State Comptroller's investigatory subpoenas duces tecum directed to petitioner medical provider, seeking patients' records in connection with an audit of payments of state money to petitioner for providing health care to beneficiaries of a state insurance program, be accompanied by written patient authorizations. The requirements set out in CPLR 3122 (a) (2) apply only to subpoenas duces tecum served pursuant to CPLR 3120, after commencement of an action. The statute expressly provides that the patient authorization requirement applies to subpoenas duces tecum served "pursuant to this rule" (CPLR 3122 [a] [2]). The only CPLR rule that is referred to in the immediately preceding text and that governs service of a subpoena duces tecum to obtain medical records is "rule 3120," which is incorporated in CPLR 3122 (a) (1), the paragraph concerned with objections to pretrial discovery. The words "this rule," in "a subpoena duces tecum . . . requesting the production of a patient's medical records pursuant to this rule" (CPLR 3122 [a] [2]), could not refer to CPLR 3122 (a) (2) itself, because that provision does not set out a rule "pursuant to" which a subpoena is served and the production of a patient's medical records is requested. Rather, it delineates a circumstance in which a medical provider need not respond or object to a subpoena.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Depositions and Discovery §§ 150, 164, 174;
AM JUR 2d States, Territories, and Dependencies § 66.

CARMODY-WAIT 2d Disclosure §§ 42:19, 42:454.

McKINNEY'S, CPLR 3122 (a) (2).

NY JUR 2d Disclosure §§ 327, 416; NY JUR 2d State of New York §§ 22, 26.

SIEGEL, NY PRAC § 362.

ANNOTATION REFERENCE

See ALR Index under Investigations and Interrogations; Subpoena Duces Tecum.

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POINTS OF COUNSEL

Abrams, Fensterman, Fensterman, Eisman, Formato, Ferrara, Wolf & Carone, LLP, Lake Success (*Matthew F. Didora* of counsel), for appellant. I. CPLR 3122 (a) (2) applies on its face to all subpoenas duces tecum regardless of the existence of a pending action or proceeding. (*Matter of Martin H. Handler, M.D., P.C. v DiNapoli*, 23 NY3d 239; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *Riley v County of Broome*, 95 NY2d 455.) II. Requiring the comptroller to comply with CPLR 3122 (a) (2) promotes public policy protecting patient confidentiality. (*Doe v Guthrie Clinic, Ltd.*, 22 NY3d 480; *MacDonald v Clinger*, 84 AD2d 482; *Doe v Roe*, 93 Misc 2d 201; *Matter of Martin H. Handler, M.D., P.C. v DiNapoli*, 23 NY3d 239.)

Letitia James, Attorney General, Albany (*Jeffrey W. Lang, Zainab A. Chaudhry* and *Barbara D. Underwood* of counsel), for respondent. I. The Comptroller's investigative subpoena authority should be read broadly in light of his mandate to audit State payments. (*Matter of Martin H. Handler, M.D., P.C. v DiNapoli*, 23 NY3d 239.) II. The Comptroller's investigative subpoenas are not subject to CPLR 3122 (a) (2)'s patient authorization requirements. (*Matter of Irwin v Board of Regents of Univ. of State of N.Y.*, 27 NY2d 292; *Matter of Anonymous v Molik*, 32 NY3d 30; *Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105; *Matter of Shannon*, 25 NY3d 345; *Campos v Payne*, 2 Misc 3d 921; *Matter of Application to Quash a Subpoena Duces Tecum in Grand Jury Proceedings [Doe]*, 56 NY2d 348; *Mat-*

ter of Brunswick Hosp. Ctr. v Hynes, 52 NY2d 333.) III. Strong public policy considerations favor upholding the Comptroller's subpoena. (*People v Rivera*, 25 NY3d 256; *Matter of New York City Health & Hosps. Corp. v New York State Commn. of Correction*, 19 NY3d 239; *Matter of Camperlengo v Blum*, 56 NY2d 251; *Matter of Burns v New York State & Local Police & Fire Retirement Sys.*, 258 AD2d 692; *Matter of Application to Quash a Subpoena Duces Tecum in Grand Jury Proceedings [Doe]*, 56 NY2d 348; *Matter of Martin H. Handler, M.D., P.C. v DiNapoli*, 23 NY3d 239.)

Garfunkel Wild, P.C., Great Neck (*Donald R. Moy* of counsel), for Medical Society of the State of New York and another, amici curiae. CPLR 3122 (a) (2) must be read separately from CPLR 3122 (a) (1) and the requirement that subpoenas duces tecum seeking patients' medical records be accompanied by patients' written authorizations should not be limited to the discovery stage of litigation. (*Matter of Grand Jury Investigation of Onondaga County*, 59 NY2d 130; *Chanko v American Broadcasting Cos., Inc.*, 27 NY3d 46.)

OPINION OF THE COURT

FAHEY, J.

The Comptroller of the State of New York has a constitutional and statutory duty to audit payments of state money, including payments to private companies that provide health care to beneficiaries of a state insurance program. Here, the Comptroller carried out that obligation by means of investigatory subpoenas duces tecum directed to a medical provider, seeking patients' records. We hold that CPLR 3122 (a) (2) does not require that the Comptroller's subpoenas be accompanied by written patient authorizations, as the requirements set out in that paragraph apply only to subpoenas duces tecum served after commencement of an action.

I.

Petitioner the Plastic Surgery Group, P.C. (the Group) is, as its name suggests, a professional corporation engaged in the practice of plastic surgery. It is a nonparticipating or "out-of-network" provider with respect to the Empire Plan, the principal insurance coverage option of the New York State Health Insurance Program (NYSHIP). A nonparticipating provider does not negotiate a contracted rate for its services. As a result, its patients who are Empire Plan members ordinar-

ily pay higher out-of-pocket costs than they would to a participating provider.

An out-of-network provider has “a legal duty to collect patients’ co-payments” (*Matter of Martin H. Handler, M.D., P.C. v DiNapoli*, 23 NY3d 239, 243 [2014]). Violation of that duty is considered inflation of invoices and “can result in civil and criminal penalties for insurance fraud” (*id.*, citing Insurance Law § 403 [c]; Penal Law § 176.05 [2]). As we have explained,

“[a] provider’s failure to collect a co-payment from an Empire Plan member inflates a claim’s cost and adversely impacts the State’s fisc. For example, a provider that charges \$100 for a service, and who collects \$80 in state money, must collect \$20 from the Empire Plan member. In the event that the provider does not collect the co-payment, it has provided a medical service for \$80, not \$100, and the State should have paid only \$64 of that cost” (*id.*).

In 2015, as part of broader audits of NYSHIP, the Comptroller selected for audit certain claims paid to the Group by the Empire Plan’s administrator, United Healthcare Insurance of New York, for services rendered to Empire Plan members since 2011. The Comptroller sought to determine whether the Group had routinely waived those patients’ out-of-pocket costs, thus inflating its invoices in the manner explained above. The Office of the Comptroller gave notice that its auditors would be visiting the Group’s office to inspect records.

The Group was uncooperative and the Comptroller served it with a subpoena duces tecum, pursuant to CPLR 2302 (a),¹ requesting the names and addresses of its Empire Plan member patients; their account records and ledgers; dates, procedure codes, and descriptions of services; copies of patient checks; and correspondence between the Group and those patients. The subpoena was not accompanied by written authorizations from the patients or any notice that such authorizations were required. The Group refused to comply. It relied on CPLR 3122 (a) (2), which requires certain subpoenas duces tecum seeking patient medical records to include a notice that the records shall not be provided absent written

1. The parties have not raised, and we are not offering any opinion on, any issue related to CPLR 3102 (c).

patient authorizations or direction by a court and permits a medical provider not to respond or object to such a subpoena that is unaccompanied by written patient authorizations. The Comptroller then offered a compromise in which patient names would be redacted and replaced with unique identifiers enabling matching of records. The Group declined. Instead, it commenced this special proceeding to quash the subpoena.

The Group contended that (1) under CPLR 3122 (a) (2), it is “not obligated to respond to the Subpoena”; (2) “the Subpoena improperly requests patient information protected by HIPAA”; and (3) “the Subpoena is overbroad and unduly burdensome.” The Comptroller opposed the petition and cross-moved to compel compliance with the subpoena, contending, among other things, that CPLR 3122 (a) (2) applies only to discovery subpoenas issued by a party in litigation, and does not govern investigatory subpoenas issued prior to the commencement of litigation.

Supreme Court granted the petition, quashed the subpoena, and denied the Comptroller’s cross motion to compel, on the ground that the subpoena did not comply with CPLR 3122 (a) (2). The Appellate Division reversed, denied the Group’s application to quash the subpoena, and granted the Comptroller’s cross motion to compel compliance (155 AD3d 1417 [2017]). That Court rejected each of the Group’s contentions.² We granted the Group leave to appeal (32 NY3d 904 [2018]).

II.

The audit powers of the Comptroller are grounded in article V, § 1 of the State Constitution, which this Court has called “the ‘wellspring of [the Comptroller’s] authority’” (*Handler*, 23 NY3d at 245, quoting *Matter of McCall v Barrios-Paoli*, 93 NY2d 99, 105 [1999]). As we described in *Matter of Martin H. Handler, M.D., P.C. v DiNapoli*, New York has had state audit authority since colonial days, and the State Constitution has authorized and prescribed the Comptroller’s powers and duties to audit since the early twentieth century (*see Handler*, 23 NY3d at 246). The Constitution straightforwardly states that “[t]he payment of any money of the state, or of any money under its control, or the refund of any money paid to the state,

2. On appeal, the Group does not challenge the Appellate Division’s determinations that the Comptroller’s subpoena was not improper under HIPAA and was not overbroad or unduly burdensome. We therefore do not opine on those matters.

except upon audit by the comptroller, shall be void” (NY Const, art V, § 1).

There is no dispute that the case before us involves such “payment of . . . money of the state” and that the Comptroller has the “authority to review the billing records of private companies that provide health care to beneficiaries of a state insurance program” (*Handler*, 23 NY3d at 242).³ The State is the ultimate source of payments of Empire Plan claims and “[p]reventing overpayment is a core aspect of the Comptroller’s constitutional mantle” (*id.* at 250). Indeed, in Civil Service Law § 167 (7), the legislature expressly authorized the Comptroller to audit payments to the State’s health insurance vendors, stating that “amounts required to be paid to any contracting corporation under any contract [with the NYSHIP] shall be payable from such health insurance fund as audited by and upon the warrant of the comptroller.”

The State Finance Law “grant[s] the Comptroller broad subpoena powers in furtherance of the Comptroller’s investigatory functions” (*Handler*, 23 NY3d at 247). Specifically, the Comptroller “may issue a subpoena or subpoenas requiring a person or persons to attend . . . and be examined in reference to any matter within the scope of the inquiry or investigation being conducted by the [C]omptroller, and, in a proper case, to bring . . . a book or paper” (State Finance Law § 9). State Finance Law § 9 further provides that such subpoenas are “regulated by the civil practice law and rules.”

The issue in the appeal before us concerns one question regarding the mechanics of auditing payments of Empire Plan claims. Under the CPLR, may the Comptroller subpoena patient billing records without written patient authorizations? *Handler* gives no answer because the providers in that case voluntarily turned over patient records, and the patient authorization question was not litigated. Nevertheless, *Handler*

3. “The New York State Health Insurance Program (NYSHIP) provides health insurance coverage to government employees, retirees, and their dependents. The NYSHIP’s primary coverage option is the Empire Plan. Under a contract with the State, . . . United Healthcare Insurance of New York (United) processes and pays claims made by Empire Plan beneficiaries. After United has processed a claim, the State covers its full cost and pays United an administrative fee. In other words, the State funds the Empire Plan as a self-insurer.” (*Handler*, 23 NY3d at 242-243.)

stands for the proposition that the State Constitution and our statutes give the Comptroller broad authority to review the billing records of companies that provide health care to NY-SHIP beneficiaries, to ensure that the State has not overpaid on health insurance claims.

III.

The Group relies on CPLR 3122 (a) (2)'s patient authorization requirement. That provision must be understood in its broader context in article 31 of the Civil Practice Law and Rules, which is titled "Disclosure." Rule 3122 is preceded by rule 3120 and section 3121, and we turn first to those provisions.⁴

CPLR 3120 provides, among other things, that a party to an action, seeking discovery, may serve a notice on another party, or a subpoena duces tecum on a nonparty, demanding documents:

"After commencement of an action, any party may serve on any other party a notice or on any other person a subpoena duces tecum:

"(i) to produce and permit the party seeking discovery, or someone acting on his or her behalf, to inspect, copy, test or photograph any designated documents or any things which are in the possession, custody or control of the party or person served; or

"(ii) to permit entry upon designated land or other property in the possession, custody or control of the party or person served for the purpose of inspecting, measuring, surveying, sampling, testing, photographing or recording by motion pictures or otherwise the property or any specifically desig-

4. As the CPLR (1962) states, it is the successor to the Civil Practice Act (1920) and the non-statutory Rules of Civil Practice (1921), "and shall be deemed substituted therefor throughout the statutes and rules of the state" (CPLR 101). The distinction between "rules" and "sections" still maintained throughout the CPLR is a vestige of its origins, retaining little practical significance today. "Reference to a provision in the civil practice law and rules may, except when such provision is being enacted or amended, be made without indicating whether it is a rule or section" (CPLR 101). "Each of the [CPLR] Articles contains a series of provisions preceded by '§' or 'Rule' . . . For the practitioner, however, there is no practical working difference between a section or a rule" (Morris D. Forkosch & Abraham Wilson, Carmody-Forkosch, NY Prac § 33 at 24).

nated object or operation thereon.” (CPLR 3120 [1] [emphasis added].)

The immediately following statute, CPLR 3121, provides that a party to an action in which the mental or physical condition or blood relationship of a party is in controversy may serve a notice on that party, demanding submission to a physical, mental, or blood examination by a designated physician:

“*After commencement of an action* in which the mental or physical condition or the blood relationship of a party, or of an agent, employee or person in the custody or under the legal control of a party, is in controversy, any party may serve notice on another party to submit to a physical, mental or blood examination by a designated physician, or to produce for such examination his agent, employee or the person in his custody or under his legal control.” (CPLR 3121 [a] [emphasis added].)

Both CPLR 3120 and 3121 expressly govern practice *after* an action has been commenced.

The Group relies on a paragraph contained in the subsequent provision, specifically CPLR 3122 (a) (2). The Group maintains that paragraph (2) requires patient authorizations for all subpoenas duces tecum served on medical providers requesting the production of a patient’s medical records (other than trial subpoenas issued by a court), regardless of whether the subpoena is served during pretrial discovery or as part of an investigation occurring outside of litigation. We conclude that the Group’s arguments are unpersuasive.

Foremost, the language of the statute refutes the Group’s theory.

“1. Within twenty days of service of a notice or subpoena duces tecum under rule 3120 or section 3121, the party or person to whom the notice or subpoena duces tecum is directed, if that party or person objects to the disclosure, inspection or examination, shall serve a response which shall state with reasonable particularity the reasons for each objection. If objection is made to part of an item or category, the part shall be specified. . . .

“2. A medical provider served with a subpoena duces tecum, other than a trial subpoena issued by a

court, requesting the production of a patient's medical records *pursuant to this rule* need not respond or object to the subpoena if the subpoena is not accompanied by a written authorization by the patient. Any subpoena served upon a medical provider requesting the medical records of a patient shall state in conspicuous bold-faced type that the records shall not be provided unless the subpoena is accompanied by a written authorization by the patient, or the court has issued the subpoena or otherwise directed the production of the documents." (CPLR 3122 [a] [emphasis added].)

CPLR 3122 (a) (2) imposes a requirement of patient authorizations on certain subpoenas duces tecum served on a medical provider. The statute expressly provides that the requirement applies to subpoenas duces tecum served "pursuant to this rule" (CPLR 3122 [a] [2]). The only CPLR rule that is referred to in the immediately preceding text and that governs service of a subpoena duces tecum to obtain medical records is "rule 3120," which is incorporated in CPLR 3122 (a) (1), the paragraph concerned with objections to pretrial discovery.⁵ We conclude that the requirement set out in CPLR 3122 (a) (2) applies only to subpoenas served pursuant to CPLR 3120, after the commencement of an action.⁶

The Group suggests that the phrase "pursuant to this rule" in CPLR 3122 (a) (2) is self-referential. We disagree. CPLR 3122 (a) (2) is not itself a "rule," let alone a rule "pursuant to" which a subpoena is served. The words "this rule," in "a subpoena duces tecum . . . requesting the production of a patient's medical records pursuant to this rule" (CPLR 3122 [a] [2]), could not refer to CPLR 3122 (a) (2) itself, because that provision does not set out a rule "pursuant to" which a subpoena is served and the production of a patient's medical records is requested. Rather, it delineates a circumstance in

5. CPLR 3122 (a) (1) also refers to "section 3121" but that reference introduces no ambiguity concerning the phrase "pursuant to this rule" in CPLR 3122 (a) (2). First, CPLR 3121 is a "section," not a "rule." Second, CPLR 3121 governs the service of a notice, not a subpoena.

6. In many statutory contexts, the natural reading of "this rule" would be a reference to the rule in which those words occur. Here, the same result follows if "this rule" is interpreted to refer to CPLR 3122 as a whole. CPLR 3122 expressly limits its application to subpoenas duces tecum served under CPLR 3120 and notices served under CPLR 3120 or 3121 (*see* CPLR 3122 [a] [1]), and CPLR 3122 (a) (2) further limits the application to the former.

which a medical provider need not respond or object to a subpoena. We are required to “consider a statute as a whole, reading and construing all [its] parts . . . together to determine legislative intent” (*Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105, 115 [2007], citing McKinney’s Cons Laws of NY, Book 1, Statutes § 97). The plain text of CPLR 3122 (a) (2) and its location in CPLR article 31 (“Disclosure”) strongly support our interpretation.

The statutory history of CPLR 3122 confirms our conclusion. Prior to 2011, CPLR 3122 (a) consisted of a single paragraph:

“Within twenty days of service of a notice or subpoena duces tecum *under rule 3120* or section 3121, the party or person to whom the notice or subpoena duces tecum is directed, if that party or person objects to the disclosure, inspection or examination, shall serve a response which shall state with reasonable particularity the reasons for each objection. If objection is made to part of an item or category, the part shall be specified. A medical provider served with a subpoena duces tecum requesting the production of a patient’s medical records *pursuant to this rule* need not respond or object to the subpoena if the subpoena is not accompanied by a written authorization by the patient. Any subpoena served upon a medical provider requesting the medical records of a patient shall state in conspicuous boldfaced type that the records shall not be provided unless the subpoena is accompanied by a written authorization by the patient. . . .” (Former CPLR 3122 [a] [emphases added].)

In 2011, the legislature amended CPLR 3122 to clarify that the patient authorization requirement did not apply to “a trial subpoena issued by a court” (CPLR 3122 [a] [2]). The amendment was designed to overturn a judicial decision, *Campos v Payne* (2 Misc 3d 921 [Civ Ct, Richmond County 2003]), which had applied the patient authorization requirement to quash a subpoena issued by a trial court (see Assembly Sponsor’s Mem in Support, Bill Jacket, L 2011, ch 307 at 6; Off of Ct Admin Mem in Support, Bill Jacket, L 2011, ch 307 at 13). In effectuating that change, the legislature moved the patient authorization requirement into a separate, numbered paragraph and added a clear exception for trial court subpoenas.

In its earlier format, CPLR 3122 (a) stated in plain terms that the patient authorization requirement applied only to a subpoena duces tecum served pursuant to “rule 3120.” The Group contends that the division of CPLR 3122 (a) into numbered paragraphs created, in CPLR 3122 (a) (2), a freestanding statute applicable to all subpoenas duces tecum served on medical providers, regardless of whether they were served during an action. We disagree. If it were the intent of the legislature to set forth a rule, governing the operation of *all* subpoenas duces tecum served on medical providers, it would not have placed such a statute in the article of the CPLR that governs “Disclosure” and immediately after a paragraph concerning the service of notices and subpoenas during discovery, with only a new paragraph number to indicate so different a topic and so expansive a change in the meaning of the statute. Rather the meaning of “pursuant to this rule” remains what it was prior to the 2011 amendment.

Were there any doubt about the meaning of CPLR 3122 (a) (2), the legislative history would put it to rest. The requirement of patient authorizations was added in 2002 to ensure “that a physician who is served with a subpoena duces tecum requesting a patient’s medical records *during the course of discovery* . . . need not respond or object if the subpoena is not accompanied by a written authorization by the patient” (2002 Rep of Advisory Comm on Civ Prac, reprinted in 2002 McKinney’s Session Laws of NY at 2164 [emphasis added]).

When CPLR 3122 (a) was divided into two paragraphs in 2011, the Assembly Sponsor and the Office of Court Administration both expressed the hope that the revision “would make clear . . . that CPLR 3122, requiring a patient’s authorization, applies *only to subpoenas issued during discovery*” (Assembly Sponsor’s Mem in Support, Bill Jacket, L 2011, ch 307 at 6 [emphasis added]; *see also* Off of Ct Admin Mem in Support, Bill Jacket, L 2011, ch 307 at 12 [identical language]). Similarly, a contemporaneous letter from the State Education Department stated that the 2011 amendment “relate[d] to the issuance of a ‘trial subpoena duces tecum’ for purposes of *discovery in a litigation proceeding pending before a court*” (No Objection Letter from Counsel and Deputy Commissioner for Legal Affairs, St Ed Dept to Counsel to Governor, Bill Jacket, L 2011, ch 307 at 10 [emphasis added]). Indeed, this history suggests that the 2011 amendment was in part designed to forestall an interpretation such as that advanced by the Group in this proceeding.

IV.

The Group cites State Finance Law § 9, which, as noted, grants the Comptroller broad subpoena powers “in reference to any matter within the scope of the inquiry or investigation being conducted by the comptroller,” and expressly states that “[a] subpoena issued under this section shall be regulated by the civil practice law and rules.”

The Group would have this Court infer that the legislature intended the Comptroller’s subpoenas to be governed by all CPLR provisions regulating subpoenas of any kind, regardless of whether those provisions are inapplicable on their face. Certainly, there are statutes that subject agencies’ subpoena powers to the regulation of the CPLR using narrower language (*see e.g.* Social Services Law § 111-p [1997] [“Such subpoena shall be subject to the provisions of article twenty-three of the civil practice law and rules”]; Executive Law § 58 [3] [2017] [“A subpoena issued under this section shall be governed by article twenty-three of the civil practice law and rules”]). Nevertheless, we reject the Group’s contention that the broader language here was intended to subject the Comptroller’s subpoenas to the entirety of the CPLR, including provisions that do not govern investigatory subpoenas at all. It was not necessary for the legislature to state expressly that “regulated by the civil practice law and rules” means regulation by *applicable* provisions in the CPLR, such as those governing subpoenas in general (*see generally* CPLR art 23).

The Group’s theory would have the absurd result that the Comptroller’s subpoenas would be governed by provisions that are expressly applicable only to a “subpoena . . . served in a pending civil judicial proceeding,” such as the requirement in CPLR 2303 (a) that such a subpoena “be served . . . on each party who has appeared in the civil judicial proceeding” or the principle that “[t]he reasonable production expenses of a *non-party* witness shall be defrayed by the *party* seeking discovery” (CPLR 3122 [d] [emphases added]).

V.

The Group suggests that an affirmance will have detrimental ramifications for the physician-patient privilege (*see* CPLR 4504 [a]; *Chanko v American Broadcasting Cos. Inc.*, 27 NY3d 46, 52 [2016]). Because CPLR 3122 (a) (2) does not apply by its own terms, it cannot be imposed here to further the policy

interests motivating the physician-patient privilege set forth in CPLR 4504, and the Group does not argue that the privilege is a separate basis for quashing the subpoena. In any case, the Group's argument does not compel a different outcome. The Comptroller is prohibited from disclosing to the public any patient records it received for purposes of conducting its audits, without the patient's consent. No state agency—defined, with certain exceptions, as “any state board, bureau, committee, commission, council, department, public authority, public benefit corporation, division, office or any other governmental entity performing a governmental or proprietary function for the state of New York” (Public Officers Law § 92 [1])—“may disclose any record or personal information unless such disclosure is . . . pursuant to a written request by or the voluntary written consent of the data subject” (Public Officers Law § 96 [1] [a]). This statutory confidentiality requirement operates to minimize any infringement on patient privacy interests flowing from the Comptroller's exercise of its investigatory authority.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge DiFIORE and Judges RIVERA, STEIN, GARCIA, WILSON and FEINMAN concur.

Order affirmed, with costs.

[144 NE3d 953, 122 NYS3d 209]

In the Matter of PATRICIA WALSH, Appellant, v NEW YORK STATE
COMPTROLLER et al., Respondents.

Argued October 16, 2019; decided November 25, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 31, 2018, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Albany County). The Appellate Division (1) confirmed a determination of respondent New York State Comptroller denying petitioner's application for performance of duty disability retirement benefits, and (2) dismissed the petition.

Matter of Walsh v New York State Comptroller, 161 AD3d 1495, reversed.

HEADNOTE

**Civil Service — Retirement and Pension Benefits — Performance of
Duty Disability Benefit — Correction Officer — Injury Caused
by Act of Inmate**

Injuries sustained by petitioner county correction officer when an inmate accidentally fell as she attempted to exit the back of a transport van and landed on petitioner were sustained by, or as the natural and proximate result of, “any act of any inmate” for purposes of performance of duty disability retirement benefits (Retirement and Social Security Law § 607-c [a]). Because the language “any act of any inmate” is not defined in the statute, determination of the meaning involves pure statutory interpretation, without the need to accord deference to the determination of the governing agency. The usual and commonly understood meaning of the word “act,” including the meaning adopted by the legislature in the Penal Law—“a bodily movement” (Penal Law § 15.00 [1])— does not comprise a requirement of voluntariness. An interpretation that the broad language “any act of any inmate” includes both voluntary and involuntary conduct of an inmate is compelled by the fact that the legislature used the more restrictive language “an intentional or reckless act” in subdivision (f) of section 607-c and adopted separate definitions of “act” and “voluntary act” in the Penal Law. Section 607-c (a) is not without limitation as it does require that the act, whether voluntary or involuntary, be attributable to the inmate; it covers any conduct originating from an inmate's internal processes, including volitional and non-volitional movements, such as an accidental fall. Thus, the Appellate Division erred in confirming respondent New York State Comptroller's determination denying petitioner's application for performance of duty disability retirement benefits upon the reasoning that the act needed to be “volitional or disobedient” in a manner that proximately caused the injury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Pensions and Retirement Funds §§ 1111–1113.
McKINNEY'S, Retirement and Social Security Law § 607-c
(a).
NY JUR 2d Pensions and Retirement Systems §§ 191, 297.

ANNOTATION REFERENCE

See ALR Index under Pensions and Retirement; Prison
Guards or Officials.

FIND SIMILAR CASES ON THOMSON REUTERS WESTLAW®

Path: Home > Cases > New York State & Federal Cases
> New York Official Reports
Query: “correction officer” & disability /4 retirement /s
act /4 inmate & accident!

POINTS OF COUNSEL

Edelstein & Grossman, New York City (*Jonathan I. Edelstein* of counsel), for appellant. The term “act of an inmate” in Retirement and Social Security Law § 607-c need not be “volitional or disobedient” and includes the act that caused petitioner’s injury. (*Matter of Hernandez v New York City Employees’ Retirement Sys.*, 148 AD3d 706; *Matter of Dean v McCall*, 270 AD2d 625; *Matter of Arcuri v New York State & Local Retirement Sys.*, 291 AD2d 621; *Matter of Mruczek v McCall*, 299 AD2d 638; *Matter of Escalera v Hevesi*, 9 AD3d 666; *Matter of Egiziaco v Office of Comptroller of State of N.Y.*, 15 AD3d 747; *Matter of Wright v Hevesi*, 46 AD3d 1184; *Matter of Davis v DiNapoli*, 56 AD3d 933; *Matter of Palmateer v DiNapoli*, 117 AD3d 1228; *Matter of Kaler v DiNapoli*, 86 AD3d 898.)

Letitia James, Attorney General, Albany (*Victor Paladino*, *William E. Storrs*, *Barbara D. Underwood* and *Andrew Oser* of counsel), for respondents. Because petitioner was not injured by an affirmative act of volition or disobedience, she was not injured as the result of an “act of an inmate,” within the meaning of the statute. (*Matter of Keller v Regan*, 212 AD2d 856; *Matter of Kelly v DiNapoli*, 30 NY3d 674; *Matter of Ridge Rd. Fire Dist. v Schiano*, 16 NY3d 494; *Matter of Haug v State Univ. of N.Y. at Potsdam*, 32 NY3d 1044; *Riley v County of Broome*, 95 NY2d 455; *Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523; *Matter of F. J. Zeronda*,

Inc. v Town Bd. of Town of Halfmoon, 37 NY2d 198; *Long v State of New York*, 7 NY3d 269; *Matter of Stevens v DiNapoli*, 155 AD3d 1294; *Matter of Laurino v DiNapoli*, 132 AD3d 1057.)

OPINION OF THE COURT

FEINMAN, J.

An inmate accidentally fell as she attempted to exit the back of a transport van, injuring petitioner, a Nassau County correction officer. The question before us is whether petitioner's injuries were sustained by, or as the natural and proximate result of, "any act of any inmate," within the meaning of Retirement and Social Security Law § 607-c (a). We conclude that they were.

On March 19, 2012, petitioner and fellow correction officer Thomas Cocchiola were directed to transport a female inmate from a court to the Nassau County jail. When they arrived at the court, they found that the inmate had difficulty standing and appeared to be under the influence of drugs or alcohol. The officers escorted the inmate, who was handcuffed and weighed about 200 pounds, from the basement area up to the garage. The inmate was not steady on her feet, and the officers assisted her as she walked.

The officers led the inmate to the transport van, and helped her maintain her balance as she climbed the steps into the van. Upon arriving back at the jail, petitioner opened the back of the van and instructed the inmate to exit. The inmate took one to two steps forward and fell out of the van head first, landing on petitioner. Both petitioner and the inmate fell to the ground. Officer Cocchiola and other officers assisted in lifting the inmate off petitioner, and petitioner was taken to a hospital. Petitioner's rotator cuff was torn, her cervical spine was damaged, and her lower back was injured.

Based on this incident and her resulting injuries, petitioner applied for performance-of-duty disability retirement benefits pursuant to Retirement and Social Security Law § 607-c (a). Respondents New York State Comptroller and New York State and Local Employees' Retirement System denied her application on the ground that the "alleged cause of disability" "was not the result of an act of any inmate or person confined in an institution" within the meaning of section 607-c. After conducting a hearing upon petitioner's request for a redetermination, the hearing officer recommended denying petitioner's application. The hearing officer reasoned that

“[a]ltercations between inmates and between inmates and officers, resulting in injuries to correction officers, were the impetus for the legislative action cited here. Reference was specifically made to officers’ exposure to violence, assault, transmissible disease and other life threatening conditions. Those factors are not present here. The applicant’s mishap is more appropriately attributed to her failure to carefully execute her task of removing an inmate from the van.”

Respondents then issued a final determination denying petitioner’s application.

Petitioner then commenced this CPLR article 78 proceeding, seeking to annul respondents’ determination. Upon transfer from Supreme Court, the Appellate Division confirmed the determination and dismissed the petition (161 AD3d 1495, 1497 [3d Dept 2018]). The Court stated that, although the phrase “any act of any inmate” in section 607-c (a) is not statutorily defined, the Appellate Division has interpreted this language to require a showing that the claimed injuries “were caused by direct interaction with an inmate” and, further, were “caused by some affirmative act on the part of the inmate” (*id.* at 1496). While recognizing that an “affirmative act” need not be “intentionally aimed” at the officer, the Court stated that the act needs to be “volitional or disobedient” in a manner that proximately causes the injury (*id.*). The Court reasoned that, in this case, “by all accounts, the inmate in question could barely walk or stand unassisted,” and “the hearing testimony reflects that she simply lost her footing and fell” (*id.* at 1497). The Court concluded that petitioner’s injuries did not occur contemporaneously with, and flow directly, naturally and proximately from, any disobedient and affirmative act of the inmate (*id.*). This Court granted leave to appeal (*see* 32 NY3d 905 [2018]).

In CPLR article 78 proceedings to review determinations of administrative tribunals, this Court’s typical standard of review is whether there was substantial evidence to support the hearing officer’s decision (*Matter of Wilson v City of White Plains*, 95 NY2d 783, 784-785 [2000]). Here, however, because an issue of statutory interpretation underlies this question, we engage in de novo review of the statutory interpretation (*see Matter of National Energy Marketers Assn. v New York State Pub. Serv. Commn.*, 33 NY3d 336, 347 and n 5 [2019], *rearg*

denied 33 NY3d 1130 [2019]). Because the meaning of “any act of any inmate” is an issue of pure statutory interpretation, we “need not accord any deference to the agency’s determination” (*Matter of DeVera v Elia*, 32 NY3d 423, 434 [2018]).

“When presented with a question of statutory interpretation, a court’s primary consideration is to ascertain and give effect to the intention of the Legislature” (*Nadkos, Inc. v Preferred Contrs. Ins. Co. Risk Retention Group LLC*, 34 NY3d 1, 7 [2019] [internal quotation marks omitted], quoting *Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523, 528 [2018]). We have long held that the statutory text is the clearest indicator of legislative intent, and that a court “should construe unambiguous language to give effect to its plain meaning” (*id.*). “In the absence of a statutory definition, we construe words of ordinary import with their usual and commonly understood meaning, and in that connection have regarded dictionary definitions as useful guideposts in determining the meaning of a word or phrase” (*id.* [internal quotation marks omitted], quoting *Yaniveth R. v LTD Realty Co.*, 27 NY3d 186, 192 [2016]). Where the statutory language is unambiguous, a court need not resort to legislative history (*Xiang Fu He v Troon Mgt., Inc.*, 34 NY3d 167, 173 [2019]). Further, a statute “must be construed as a whole and . . . its various sections must be considered together and with reference to each other” (*Matter of New York County Lawyers’ Assn. v Bloomberg*, 19 NY3d 712, 721 [2012]).

Retirement and Social Security Law § 607-c (a) provides the circumstances under which county correction officers are entitled to performance-of-duty disability retirement benefits. As relevant here, it states that a county correction officer

“who becomes physically or mentally incapacitated for the performance of duties as the natural and proximate result of an injury, sustained in the performance or discharge of his or her duties by, or as the natural and proximate result of *any act of any inmate* or any person confined in an institution under the jurisdiction of such county, shall be paid a performance of duty disability retirement allowance” (Retirement and Social Security Law § 607-c [a] [emphasis added]).

Section 607-c is one of several statutes in the Retirement and Social Security Law that use the term “act of any inmate” in

connection with providing performance-of-duty disability retirement benefits to different members of the retirement system (see e.g. Retirement and Social Security Law § 507-c [providing benefits to uniformed personnel in the New York City Department of Correction]; see also *id.* §§ 63-a, 63-b, 507-b). The term “act of any inmate” was originally used in sections 63-a (a) and 507-b (a), which provide benefits to members in the “uniformed personnel in institutions under the jurisdiction of the department of corrections and community supervision or a security hospital treatment assistant.”¹

The term “any act of any inmate” is not defined in the Retirement and Social Security Law. Petitioner contends that the Appellate Division erred in restricting the word “act” in section 607-c (a) to “volitional or disobedient” acts. We agree and conclude that our analysis need not go beyond the statutory text because the term’s plain meaning and the overall context provided by section 607-c compel an interpretation of “any act of any inmate” that includes both voluntary and involuntary conduct of an inmate, including the accidental fall at issue here.

“Act” is a word of “ordinary import,” and thus it should be given its “usual and commonly understood meaning” (see *Nadkors, Inc.*, 34 NY3d at 7). Dictionaries broadly define “act.” For example, Black’s Law Dictionary defines “act” as “[s]omething done or performed, esp. voluntarily; a deed” (Black’s Law Dictionary 24-25 [7th ed 1999]).² Black’s Law Dictionary also quotes the Model Penal Code § 1.13 (2), which defines “act” as

1. Each statute requires “an act of any inmate” or “any act of any inmate.” It does not appear that the legislature distinguished between “an act” and “any act.” Apart from this difference, the legislature incorporated the same language into each subsequent statute.

2. The Seventh Edition of Black’s Law Dictionary was published in 1999, the year section 607-c was enacted. The definition provided therein is the same as in the current, Eleventh Edition (Black’s Law Dictionary [11th ed 2019], act). The dissent relies on the Sixth Edition, which, published in 1990, was the current edition when sections 63-a and 507-b were enacted, and defines an “act” as requiring the “actor’s will” (dissenting op at 534-535). But that definition cites to the definition in the Restatement (Second) of Torts, which differs from the commonly understood meaning of “act” because the Restatement definition is intended to ensure that tort liability be imposed only with respect to volitional acts (see Restatement [Second] of Torts § 2, Comment *a* [“some outward manifestation of the defendant’s will is necessary to the existence of an act *which can subject him to liability*” (emphasis added)]). Moreover, as the dissent points out (dissenting op at 536), the Sixth Edition, in defining the word “involuntary,” uses the term “involuntary act”—demonstrating that, even when the Sixth Edition was published, it was com-

(n. cont’d)

a “bodily movement whether voluntary or involuntary.” Perhaps most importantly, in the Penal Law, the New York Legislature defined “act” as “a bodily movement,” and provided a separate definition for “voluntary act” (Penal Law § 15.00 [1]-[2] [1965]).³

Despite disparities among these definitions, the usual and commonly understood meaning of the word “act,” including the meaning adopted by the legislature in the Penal Law, does not comprise a requirement of voluntariness.⁴ Indeed, from as early as 1871, in various types of cases, this Court has used the term “involuntary act,” indicating that acts can be involuntary (see e.g. *Mallory v Travelers’ Ins. Co.*, 47 NY 52, 56 [1871] [“if it was such that he could not be held in his own mind to know that he was doing an act which would produce death, then he was an involuntary agent, and the result of that *involuntary act* producing death was an accident” (emphasis added)]; see also *Weed v Mutual Benefit Life Ins. Co.*, 70 NY 561, 563 [1877] [the involuntary act of an insane person]; *Girylyuk v Girylyuk*, 30 AD2d 22, 24 [1st Dept 1968] [the signing of the confession of judgment was an involuntary act on the part of the wife], *aff’d without op* 23 NY2d 894 [1969]).

Moreover, falling is commonly understood to be an act. Merriam-Webster’s defines the noun “fall” as “the *act* of falling by the force of gravity” (Merriam-Webster’s Collegiate Dictionary 418 [10th ed 1996]). And this Court repeatedly uses the term “act of falling” (see e.g. *Keavey v New York State Dormitory Auth.*, 6 NY3d 859, 860 [2006] [the “act of falling into a five- to six-inch gap between insulation boards” (emphasis added)]; *Ithaca Trust Co. v Driscoll Bros. & Co.*, 220 NY 617, 618 [1917] [“they could not find the defendant guilty of negligence unless the specific *act of falling* was caused in whole or in part by the opening in the floor” (emphasis added)]).

In section 607-c (a), the legislature chose to use the broad term “any act of any inmate.” If the legislature intended to exclude the injuries at issue here, it could have easily drafted

monly understood that acts can be involuntary (Black’s Law Dictionary 827 [6th ed 1990]).

3. Penal Law § 15.00 (2) defines “voluntary act” as “a bodily movement performed consciously as a result of effort or determination.” Section 15.00 (5) defines “to act” as “either to perform an act or to omit to perform an act.”

4. Contrary to the dissent’s suggestion (dissenting op at 537), we are not saying that the Retirement and Social Security Law incorporates the Penal Law’s definition of “act.” The Penal Law definition nonetheless establishes that the legislature was aware of—and indeed drafted—a broad definition of the word “act.”

the statutory language more restrictively, for example, by adding limitations to the word “act.” In fact, the legislature did just that in subdivision (f) of the same statute (*see* Retirement and Social Security Law § 607-c [f] [“by, or as the natural and proximate result of an *intentional or reckless act* of any civilian visiting” (emphasis added)]). While many ways in which the legislature could have narrowed the term come easily to mind, it is hard to imagine how it could have written the statute more broadly.

Though the word “act” broadly includes voluntary and involuntary conduct, the statute is not without limitation. First, the statute requires that the injury be sustained “by” or “as the natural and proximate result of” the act. The statute further limits covered acts to those “*of any inmate*” (*id.* § 607-c [a] [emphasis added])—the act, whether voluntary or involuntary, must be attributable to the inmate. In other words, section 607-c (a) covers any conduct originating from an inmate’s internal processes, including volitional and nonvolitional movements, such as an accidental fall.

The dissent criticizes us for failing to consider the “spirit and purpose” of the statute (dissenting op at 532, 542-543). Our task, however, is to give effect to the text. But, even if we were to consider the legislative history, it is inconclusive. While we agree with the dissent insofar as there seemed to have been a desire to provide protections to correction officers because they “come into daily contact with certain persons who are dangerous, profoundly anti-social, and who pose a serious threat to their health and safety” (Governor’s Approval Mem, Bill Jacket, L 1996, ch 722 at 9, 1996 NY Legis Ann at 553), inmates may be “dangerous” and pose a “serious threat” as much through their involuntary acts as by their voluntary acts.

Here, the inmate took one to two steps, lost her balance, and landed on petitioner, injuring her. Petitioner’s injuries were thus sustained by “any act of any inmate,” i.e., the inmate’s fall on petitioner. Accordingly, the judgment of the Appellate Division should be reversed, with costs, and the matter remitted to the Appellate Division, with directions to remand to respondents for further proceedings in accordance with this opinion.

WILSON, J. (concurring). I concur completely with the majority. I write separately to make an additional point: the structure of the statute and its legislative history both support the majority’s conclusion that the term “act” includes volitional and nonvolitional conduct.

I.

Section 607-c (a) of the Retirement and Social Security Law states that a county correction officer:

“who becomes physically or mentally incapacitated for the performance of duties *as* the natural and proximate result of an injury, sustained in the performance or discharge of his or her duties by, *or as* the natural and proximate result of any act of any inmate or any person confined in an institution under the jurisdiction of such county, shall be paid a performance of duty disability retirement allowance” (emphasis added).

The two “as” clauses separated by “or” make clear that there are two separate paths by which an officer may demonstrate the entitlement to recovery under the statute. Thus, a correction officer qualifies for performance of duty benefits if the officer becomes incapacitated either (1) “as the natural and proximate result of an injury, sustained in the performance or discharge of his or duties by . . . any act of any inmate” or (2) “as the natural and proximate result of any act of any inmate” (Retirement and Social Security Law § 607-c [a]). The statute is simpler to understand if we take the clauses in reverse order.

Under the second clause, an officer recovers if she becomes disabled as “the natural and proximate result of any act of any inmate.” That route provides recovery for all officer disabilities where the disability is a natural and foreseeable result of an inmate’s act. Thus, it covers intentional acts of inmates, volitional acts of inmates, and even acts of inmates that involve no direct physical contact with the officer—so long as the disability is proximately caused by the act. Therefore, this second path covers the garden-variety of inmate-caused officer disabilities—not just disabilities caused by an officer subduing a violent inmate or an officer who is the target of an inmate’s physical attack, but also acts of inmates that involve no direct contact between the inmate and the officer. For example, if an inmate has booby trapped his cell, and an officer conducting a search of the cell becomes disabled by the booby trap, the second clause would cover the officer so long as the disability was a natural and foreseeable consequence of the inmate’s act.

Now to the first path. Because under the second route the disability must be the natural and proximate result of any act

of any inmate, the first clause must be understood to provide coverage in situations not reached by the second. What acts of inmates that injure an officer do so in an unforeseeable way? Nonvolitional acts. Unlike the second clause, the first clause does not require that an inmate's act proximately causes an officer's disability. Instead, it requires that the officer's *injury be caused* "by . . . any act of any inmate," and that the officer's *disability* flow proximately from the injury. That is, the first path reaches acts of inmates where the inmates' acts are not the proximate cause of the injury, so long as the disability is the sort that would ordinarily flow from that type of injury.

Although it might be possible to dream up some volitional act of an inmate that injures an officer but lacks proximate cause, the legislature surely was concerned with real-world occurrences, not Rube Goldbergesque inventions. Seizures, actions by mentally unstable inmates that are involuntary, acts by inmates under the influence of drugs, and involuntary acts by inmates who are ill are all among the hazards correction officers regularly face. The first path, then—aimed at acts for which the injury is not foreseeable—exists to reach nonvolitional acts of inmates. However, the legislature restricted that path to injuries sustained while an officer was performing her duties, and further limited to disabilities that proximately flowed from the injury. For example, if during a seizure, an officer is injured by the inmate's nonvolitional acts, even if the officer's resulting disability might not be the foreseeable result of an inmate's seizure (hence barring recovery under path two), path one provides for recovery if the officer was performing her duties when injured and if the injury (e.g. spinal damage) was the proximate cause of the disability.

Importantly, if we were to read this statute as the dissent does, to include only affirmative or volitional acts of inmates, there would be no reason to have the first clause at all. Every affirmative act would fall under the second clause, because all volitional acts of inmates resulting in an officer's disability would have proximately caused the disability. If the first clause is to retain any meaning, it must cover some "acts" not covered by the second clause. Those acts include direct contact between officers and inmates in which the inmate's act did not proximately cause the disability. Giving all parts of the statute meaning, as we should whenever possible (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 515 [1991]), the statute requires "act" to include both volitional and nonvolitional acts.

Under the first route, an officer will be able to recover if his or her injury arises from physical contact with an inmate regardless of whether the inmate's act was volitional. Under the second route, an officer recovers only if the injury is proximately caused by an act of an inmate regardless of whether the inmate made physical contact with the officer. Therefore, an "act" need not be volitional under section 607-c (a).

Here, even if the inmate's act of falling out of the van and on top of Officer Walsh was involuntary, under the first clause of the statute Officer Walsh would be entitled to recover, so long as her injury was the proximate cause of her disability. She was injured by an act of an inmate and was engaged in the performance of her duties. As the majority concludes, her injuries "were thus sustained by 'any act of any inmate'" (majority op at 527).

II.

Contrary to the dissent's interpretation, a careful reading of the legislative history supports the majority's conclusion that "act" includes both volitional and nonvolitional acts. As the dissent notes, the legislature provided enhanced benefits to correction officers because a defining feature of their job is that they "come into contact with" inmates.

Of course, as the dissent recognizes (*see* dissenting op at 538, 542), interpreting "act" to include both volitional and nonvolitional acts will result in the provision of benefits to more correction officers than if act included only volitional acts. That is what the legislature intended. Although the dissent bemoans the result that an inmate's misstep or fall on top of an officer will result in benefits (*id.*), the legislative history suggests the purpose of the statute was to provide enhanced benefits to officers because they "come into daily contact with" inmates (Governor's Approval Mem, Bill Jacket, L 1996, ch 722 at 9, 1996 NY Legis Ann at 553). There is no suggestion that the contact need be volitional.* The history further suggests the statute was intended to increase the amount of benefits the

* The consistent use of passive words in the legislative history also lends support to our belief that the legislature meant to provide benefits for inmates' nonvolitional acts. In addition to the use of the passive "come into contact with," rather than a more active phrase, the legislative history also relies on phrases like "exposed to" and "sustains"—language that conspicuously lacks the affirmative nature one would expect if the legislature intended to only include volitional acts of inmates.

state would pay out to its employees (*see generally* Budget Report, Bill Jacket, L 1996, ch 722 at 11-12). That this statute does in fact provide more benefits to more officers is consistent with its express purpose: expanding benefits to correction officers because they come into daily contact with inmates.

The selection of a two-tier system as opposed to a three-tier system further supports the majority's conclusion that "act" includes nonvolitional acts. Unlike police officers, who receive benefits under a three-tier system (*see generally Matter of Kelly v DiNapoli*, 30 NY3d 674, 689 [2018, Wilson, J., dissenting]), section 607-c provides just two tracks—one for ordinary retirement benefits and one for performance of duty benefits. Accounting for just two tracks, the budget report noted that this statute "would provide a greater disability benefit to State [correction officers] . . . than that afforded to most other Tier 2, 3 and 4 State and local employees" (Budget Report, Bill Jacket, L 1996, ch 722 at 11-12). Thus, the legislature deliberately passed a bill that provided for enhanced benefits for correction officers on a two-tier system, superior to those available on the three-tier system.

This makes perfect sense: unlike police officers who often face dangerous conditions but also often engage in activities that pose little or no risk, correction officers spend every moment of their working lives inside the prison walls, surrounded and outnumbered by inmates who have been convicted of crimes, many quite serious. Correction officers "work in a setting that necessitates a strong disability protection in the event of a career ending injury" (Sponsor's Mem, Bill Jacket, L 1999, ch 639 at 5). That constant contact with inmates led to the legislature's electing to compensate correction officers, who are "required to work daily with the most dangerous persons in our society" (Sponsor's Mem, Bill Jacket, L 1996, ch 722 at 7), on a two-tier system.

Rather than "undermin[ing]" the legislature's goals (dissenting op at 538), the interpretation of "act" to include both volitional and nonvolitional acts better conforms to the legislature's expectation that section 607-c would expand the pension system and provide more correction officers more benefits under a two-tier system. Taken together with the text and the structure of the statute, those considerations establish that "act" was intended to include both nonvolitional and volitional acts.

RIVERA, J. (dissenting). Performance-of-duty pension benefits

are available under Retirement and Social Security Law § 607-c (a) only to those correction officers who suffer a permanent disability from injuries proximately caused by “any act of any inmate.” Both the text of the statute and the legislative history demonstrate that the legislature intended to limit these enhanced benefits—to be distinguished from ordinary disability benefits—to cases involving volitional inmate conduct, in recognition of the inherent dangers of working in a carceral environment, in close proximity to a prison population.

Here, because it is undisputed that the inmate accidentally slipped and fell on petitioner, the injuries are not the result of an act of an inmate and so the Comptroller properly denied her request for performance-of-duty benefits. The majority’s holding that an “act” means any physical movement of an inmate, and thus includes an inmate’s slip and fall, is based on a misreading of the text and secondary sources, all the while ignoring the “spirit and purpose of the statute and the objectives sought to be accomplished by the [l]egislature” (*Matter of Hernandez v Barrios-Paoli*, 93 NY2d 781, 786 [1999]). I dissent.

I.

Petitioner Patricia Walsh, a Nassau County Sheriff’s Department correction officer transporting an inmate from a court appearance to the county jail, was injured after she directed the inmate to exit the van and the inmate fell on top of her. Petitioner sought performance-of-duty (POD) disability retirement benefits under Retirement and Social Security Law § 607-c (a), claiming permanent disability due to the injuries suffered as a result of her contact with the inmate during the fall.

The New York State Comptroller denied the benefits and petitioner requested a hearing and reconsideration. At the hearing, petitioner testified that the inmate appeared intoxicated or high on drugs and fell out of the van as she exited, hitting the pavement and landing on petitioner, who attempted to prevent the fall. The other correction officer who assisted with the transport similarly testified that the inmate appeared to be under the influence of alcohol or drugs and that she “just fell out of the van right on top of” petitioner. The Comptroller subsequently accepted the hearing officer’s recommendation to deny benefits.

Petitioner commenced this CPLR article 78 proceeding to vacate, annul and set aside the Comptroller’s decision as un-

supported by substantial evidence, and requesting a judicial determination that she is entitled to Retirement and Social Security Law § 607-c (a) disability benefits. The Appellate Division unanimously upheld the Comptroller's denial of benefits, concluding the inmate's fall onto petitioner was not a disobedient or affirmative act, adding that testimony established the inmate "could barely walk or stand unassisted" and "simply lost her footing and fell" (161 AD3d 1495, 1497 [3d Dept 2018]). We granted Walsh leave to appeal (32 NY3d 905 [2018]). I would affirm, albeit without fully adopting the rationale of the Appellate Division.

II.

In a CPLR article 78 proceeding reviewing an agency determination after an administrative hearing, this Court's review is limited to whether the decision is supported by substantial evidence (*Matter of Kelly v DiNapoli*, 30 NY3d 674, 684 [2018]). "Where the rationality of an agency's determination is based on the interpretation of a statute, this Court must consider the language of the statute as well as the legislative intent" (*Matter of Brookford, LLC v New York State Div. of Hous. & Community Renewal*, 31 NY3d 679, 684-685 [2018]). "Although the proper interpretation of a statute ordinarily presents an issue of law reserved for the courts, this Court has recognized that '[a]n administrative agency's interpretation of [a] statute it is charged with implementing is entitled to varying degrees of judicial deference'" (*Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225, 231 [1996], quoting *Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42, 47 [1988]). "By contrast, where 'the question is one of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent, there is little basis to rely on any special competence or expertise of the administrative agency'" (*id.*, quoting *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]).

The majority correctly states this appeal presents a question of statutory interpretation not subject to administrative deference, and that under the applicable standard of review we look to the plain language of the text, construing the law as a whole (majority op at 523-524). I also share the view that when the legislature has left a term undefined, we may look to dictionaries for guidance (majority op at 525-526). This ends my agreement with the majority analysis, for the text, legislative scheme

and history require volitional behavior on the part of the inmate, and, therefore, the statute does not, as the majority concludes, encompass involuntary physical movement.

A.

“The primary consideration of courts in interpreting a statute is to ‘ascertain and give effect to the intention of the Legislature’ ” (*Riley v County of Broome*, 95 NY2d 455, 463 [2000], quoting McKinney’s Cons Laws of NY, Book 1, Statutes § 92 [a] at 177). “[T]he plain meaning of the statutory text is the best evidence of legislative intent” (*People v Cahill*, 2 NY3d 14, 117 [2003], citing *Riley*, 95 NY2d at 463). “In construing statutory provisions, the spirit and purpose of the statute and the objectives sought to be accomplished by the legislature must be borne in mind” (*Matter of Hogan v Culkin*, 18 NY2d 330, 335 [1966]).

Retirement and Social Security Law § 607-c (a) provides that

“[a]ny . . . correction officer . . . who becomes physically or mentally incapacitated for the performance of duties as the natural and proximate result of an injury, sustained in the performance or discharge of [such officer’s] duties by, or as the natural and proximate result of any act of any inmate or any person confined in an institution under the jurisdiction of such county, shall be paid a performance of duty disability retirement allowance.”

Petitioner bears the burden of establishing the statutory requirements, including demonstrating that the incident in which she sustained her injuries was the “‘result of any act of any inmate’ ” (*Matter of Traxler v DiNapoli*, 139 AD3d 1314, 1314 [3d Dept 2016] [citations omitted], quoting Retirement and Social Security Law § 607-c [a]).

The word “act” is not defined in the Retirement and Social Security Law, but when the legislature adopted this word in the first round of POD benefits legislation, Black’s Law Dictionary defined an “act” as something that “[d]enotes external manifestation of [an] actor’s will” (Black’s Law Dictionary 25 [6th ed 1990], citing Restatement [Second] of Torts § 2).¹ The definition goes on to explain that “act” means “[e]xpression of

1. The majority’s reliance on the Seventh Edition of Black’s Law Dictionary as the relevant dictionary definition at the time section 607-c was enacted (majority op at 525, 525 n 2) is misplaced. Retirement and Social Security

(n. cont’d)

will or purpose, carrying idea of performance; primarily that which is done or doing; exercise of power, or effect of which power exerted is cause; a performance; a deed. *In its most general sense, this noun signifies something done voluntarily by a person*” (*id.* [emphasis added]). Similarly, the Merriam-Webster Dictionary in circulation at the time defined an act as “the doing of a thing” and “something done voluntarily” (Merriam-Webster Collegiate Dictionary 11 [10th ed 1996]). The current Eleventh Edition of Black’s Law Dictionary generally retains this same definition (*see* Black’s Law Dictionary 30 [11th ed 2019] [defining an act as “(s)omething done or performed, especially voluntarily” and “(t)he process of doing or performing; an occurrence that results from a person’s will being exerted on the external world”). Other current dictionary editions also define “act” as “something done voluntarily” (Merriam-Webster Dictionary Online, act [<https://www.merriam-webster.com/dictionary/act>]), “something that you do” (Cambridge Dictionary, act [<https://dictionary.cambridge.org/us/dictionary/english/act>]), and “a single thing that someone does” (MacMillan Dictionary, act [https://www.macmillandictionary.com/us/dictionary/american/act_1]). Thus, while “act” encompasses a broad range of conduct, contrary to the majority’s view,

Law §§ 507-b and 507-c, on which section 607-c was based, were passed in 1996 and 1997, respectively (*see infra*), in other words, prior to the publication of the Seventh Edition. The majority and I agree that the term “act” in these three Retirement and Social Security Law sections carry the same meaning. Therefore, the relevant dictionary definition for purposes of analyzing Retirement and Social Security Law § 607-c is that which is provided in Black’s Sixth Edition. The Sixth Edition’s citation to the Restatement (Second) of Torts also does not change the definition offered from one encapsulating the commonly understood meaning of “act” to a specialized meaning only relevant in tort law. The citation to the Restatement (Second) of Torts follows only after the first definition of “[d]enotes external manifestation of actor’s will” and not any other secondary or clarifying definitions and explanations afterwards (*see* Black’s Law Dictionary 25 [6th ed 1990]). Furthermore, the definition of “act” goes on to define various specific acts in particular legal contexts, such as a “criminal act” or a “private act” (*see id.* at 25-26), suggesting that the main definition that I quote is meant to be the general and common understanding of the word “act.” Regardless, as I discuss, the definition of “act” has continued to focus on the volitional nature of the conduct. It is irrelevant that the Sixth Edition, or any dictionary for that matter, defines “involuntary” or “fall” as an “act,” as noted by the majority. Those definitions do not contemplate the will of the actor or the conduct, but rather describe the occurrence of the event itself. In this appeal, we must ascertain the definition intended by the legislature, which used the word “act” to mean some conduct on the part of inmates, not merely their presence at or the nonvolitional triggering of a particular incident.

the ordinary import of the term does not include that which by definition is excluded, namely nonvolitional or involuntary physical movement (majority op at 525-526).

It follows that the term “act,” as used in Retirement and Social Security Law § 607-c, does not include conduct by actors who make no effort to exert their will on the world. The Sixth Edition of Black’s Law Dictionary defines “voluntary” as, *inter alia*, “[u]nconstrained by interference; unimpelled by another’s influence; spontaneous; acting of oneself” as well as “[d]one by design or intention” and “[p]roceeding from the free and unrestrained will of the person” (Black’s Law Dictionary 1575 [6th ed 1990]). The same edition defines “involuntary” as “[w]ithout will or power of choice; opposed to volition or desire” and states that “[a]n involuntary act is that which is performed with constraint (*q.v.*) or with repugnance, or without the will to do it” (*id.* at 827). Similarly, the Eleventh Edition of Black’s Law Dictionary defines “voluntary” as “[d]one by design or intention” (Black’s Law Dictionary 1886 [11th ed 2019] [giving “voluntary act” as an example]),² and defines “involuntary” as “[n]ot resulting from a free and unrestrained choice; not subject to control by the will” (*id.* at 991).³ Thus, even if the word “act” includes involuntary actions, this does not necessarily encompass nonvolitional actions, which are, simply put, unintended accidents. In other words, “involuntary acts” denote acts that lack free will, and can mean coerced yet conscious or intentional acts.

The majority assigns undeserved significance to the reference in the Seventh Edition of Black’s Law Dictionary to the Model Penal Code, as no such reference existed in Black’s Law

2. While the majority is correct that the Seventh and Eleventh Editions of Black’s Law Dictionary quote the Model Penal Code’s definition of “act,” the inclusion of that quotation was new in the Seventh Edition. As the editors explain, such quotes are meant to “round out the treatment of various terms” and were picked due to their “temporal and geographic range, aptness, and insight” (Black’s Law Dictionary x [7th ed 1999]). In the Eleventh Edition, the editors further clarified that “[m]ost quotations are included because they provide information or nuances that would not otherwise be available within the strict confines of a traditional definition” (Black’s Law Dictionary xxxi [11th ed 2019]). Thus, the quotation to the Model Penal Code is best understood as illustrating an unfamiliar definition of the word “act,” rather than its general, commonly understood meaning.

3. As the majority acknowledges, the Seventh and Eleventh Editions of Black’s Law Dictionary contain the same definitions (*see* Black’s Law Dictionary 833, 1569 [7th ed 1999]) (majority op at 525 n 2).

Dictionary at the time the legislature adopted the phrase “act of an inmate.” Regardless, as explained (*see* dissenting op at 536 n 2), the Model Penal Code reference was added for nuance, not as the source for the commonly understood and leading definition of “act.” Nor does the majority’s reference to our State’s Penal Code assist in resolving the definitional question presented by the Retirement and Social Security Law, a civil statute. Although Penal Law § 15.00 (1) and (2) distinguish between “act” as a “bodily movement” and “voluntary act” as “a bodily movement performed consciously as a result of effort or determination,” we have “interpreted [the definition of ‘act’ in section 15.00 (1)] to mean the *actus reus* or ‘wrongful deed that comprises the physical components of a crime and that generally must be coupled with *mens rea* to establish criminal liability’ ” (*People v McKnight*, 16 NY3d 43, 48 [2010], quoting *People v Rosas*, 8 NY3d 493, 496 n 2 [2007] [other citation omitted]). Similarly, the definition of “act” in Model Penal Code § 1.13 is not “independently important” and is rather meant to have “influence upon the meaning of important Code provisions” (Model Penal Code Part I Commentaries, vol 1 at 210). “[The definition’s] validity is, therefore, best appraised in the specific context of the Code provisions where the term . . . appear[s]” (*id.*). The definition of “act” and its accompanying distinctions contained in the Penal Law and the Model Penal Code must therefore be viewed in the particular context of criminal law, namely to distinguish between *actus reus* and *mens rea*. That distinction is wholly unrelated to our interpretation of a word contained in the Retirement and Social Security Law, a civil pension benefit statute. Indeed, nothing in Retirement and Social Security Law § 607-c (a) or the statutory framework suggest that the legislature intended to align the meaning of the Retirement and Social Security Law with terms as defined in the Penal Law.

B.

Apart from the absence of support for the majority’s interpretation of the express language of Retirement and Social Security Law § 607-c, the statutory scheme further demonstrates the error in the majority’s reasoning. “It is a well-settled principle of statutory construction that a statute or ordinance must be construed as a whole and that its various sections must be considered together and with reference to each other” (*People v Mobil Oil Corp.*, 48 NY2d 192, 199 [1979] [citations

omitted]). We have an “obligation to harmonize the various provisions of related statutes and to construe them in a way that renders them internally compatible” (*Matter of Aaron J.*, 80 NY2d 402, 407-408 [1992], citing *Mobil Oil Corp.*, 48 NY2d at 199-200; *Gaden v Gaden*, 29 NY2d 80, 86 [1971]; McKinney’s Cons Laws of NY, Book 1, Statutes §§ 97, 98). Further, “[a]ll parts of a statute must be harmonized with each other as well as with the general intent of the whole statute, and effect and meaning must, if possible, be given to the entire statute and every part and word thereof” (*People v Pabon*, 28 NY3d 147, 152 [2016], quoting McKinney’s Cons Laws of NY, Book 1, Statutes § 98 [a]; see also e.g. *People v Williams*, 4 NY3d 535, 538 [2005] [declining to treat a peace officer as an ordinary citizen in the arrest context because it would render the legislature’s purposefully drawn differences in arrest powers as between the two meaningless]).

The legislature provided for a two-track disability scheme: (1) an ordinary disability retirement allowance under Retirement and Social Security Law § 605 available for members with 10 years of service or those who have suffered an accident without reference to years of service, which generally provides for one third of the officer’s final average salary; and (2) a performance-of-duty disability retirement allowance under Retirement and Social Security Law § 607-c which provides 75% of the member’s final average salary, regardless of years of service.⁴ Thus, we must interpret the statute in a manner that furthers the clear legislative intent to provide a more generous retirement allowance under Retirement and Social Security Law § 607-c for a particular class of incapacitation-causing events, to be distinguished from the circumstances permitting for ordinary disability benefits under Retirement and Social Security Law § 605 which, with exceptions not relevant here, are available after 10 years of service. The majority’s interpretation undermines this legislative goal by expanding the scope of POD benefits, injecting tension in a statutory scheme structured to provide ordinary disability benefits as a default, and enhanced POD benefits on a more limited basis (see e.g. Retirement and Social Security Law §§ 605, 607-c [b], [c]). Analyzing the word “act” in the context of the overall Retire-

4. POD benefits are reduced by any benefit payable under the Workers’ Compensation Law (see Retirement and Social Security Law § 64 [a]), but according to the State, POD benefits are still more favorable notwithstanding the reduction.

ment and Social Security Law disability benefits scheme, wherein the legislature provided for varying sums of disability retirement allowances, lends further support to the conclusion that “act” is intended to mean only volitional conduct.

C.

Although I conclude that the word “act” as used in Retirement and Social Security Law § 607-c (a) may plainly be interpreted to refer solely to volitional conduct, the majority’s view that the word unambiguously includes involuntary physical movement is based on a patchwork of secondary sources that are anything but clear. Even if “act” could be considered ambiguous in light of the terms of the statute and legislative scheme, any doubt as to the intended meaning of the word is put to rest by the legislative history of POD benefits, and makes clear that the legislature did not intend the enhanced pay benefit of Retirement and Social Security Law § 607-c (a) to apply when an officer is incapacitated from an inmate’s non-volitional conduct, as in this proceeding.

“In analyzing a statute . . . , courts look to [its] spirit and purpose, and the objectives of the enactors must be kept in mind” (*Matter of Albano v Kirby*, 36 NY2d 526, 530-531 [1975], citing *Hogan*, 18 NY2d at 335). Of course, where there is ambiguity, “we may examine the statute’s legislative history” (*Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 286 [2009], citing *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]).

“These principles of statutory construction assume particular significance where . . . the Legislature has spoken to an issue simultaneously in separate laws, sometimes cross-referencing them, and has repeatedly adopted and amended pertinent provisions piecemeal throughout decades” (*Matter of Sutka v Conners*, 73 NY2d 395, 403-404 [1989]). “Literal meanings of words are not to be adhered to or suffered to ‘defeat the general purpose and manifest policy intended to be promoted’ ” (*Matter of Petterson v Daystrom Corp.*, 17 NY2d 32, 38 [1966], quoting *People v Ryan*, 274 NY 149, 152 [1937] [citations omitted]).

Section 607-c was passed in 1999 after two other provisions, Retirement and Social Security Law §§ 507-b and 507-c, were enacted to provide POD disability benefits to correction officers. In 1996, Retirement and Social Security Law § 507-b was the first of the three bills passed. It provided POD disability retirement benefits to state correction officers. The legislative

history of that bill shows that the intent of the legislature was to provide benefits to officers “who become physically or mentally incapacitated as a result of an injury sustained in the performance or discharge of their official duties” (Governor’s Approval Mem No. 129, Bill Jacket, L 1996, ch 722 at 9, 1996 NY Legis Ann at 553). What prompted the passage of this legislation was the growth of the inmate population in state prisons, which resulted in “a system that [wa]s being operated at 133 percent of capacity” (Mem in Support, Bill Jacket, L 1996, ch 722 at 8). The memorandum in support noted that “[t]he strain and tension created by this situation has manifested itself in an increase of altercations between inmates and between inmates and officers,” leading “officers [to] have . . . to retire because the injuries they sustained prevent them from performing the duties of the job” (*id.*). As the Governor’s approval memorandum states, enhanced benefits were warranted because correction officers “must come into daily contact with certain persons who are dangerous, profoundly anti-social, and who pose a serious threat to their health and safety” (Governor’s Approval Mem No. 129, Bill Jacket, L 1996, ch 722 at 9, 1996 NY Legis Ann at 553).

Shortly thereafter, Retirement and Social Security Law § 507-c was passed in 1997 to provide POD disability benefits to New York City correction officers, and Retirement and Social Security Law § 607-c soon followed in 1999 to cover county correction officers. The language in Retirement and Social Security Law § 607-c (a) virtually mirrors the language in Retirement and Social Security Law §§ 507-b (a) and 507-c (a).⁵

“[T]he [l]egislature intended that Retirement and Social Security Law § 607-c provide the same benefits to county employees, who serve in the same capacity and face the same dangers resulting from increased altercations among inmates and between inmates and correction officers, as those provided by Retirement and Social Security Law § 507-b” (*Matter of Parish v DiNapoli*, 89 AD3d 1315, 1317 [3d Dept 2011], citing Senate Mem in Support, 1999 McKinney’s Session Laws of NY at 2015-2016; see also *Matter of Naughton v DiNapoli*, 127 AD3d 137, 140-141 [3d Dept 2015] [using and comparing legislative history of sections 507-b and 607-c to determine if the legislature

5. As the majority notes, the adoption in Retirement and Social Security Law §§ 507-b (a) and 507-c (a) of “an act of any inmate” rather than “any act of any inmate” as found in section 607-c is a difference without distinction for our purposes (majority op at 525 n 1).

intended to cover certain injuries]). The legislative history for both these sections broadly shows an intent to extend the same benefits provided by Retirement and Social Security Law § 507-b to the relevant correction officers in each corresponding bill. For example, Retirement and Social Security Law § 507-c was intended to provide disability retirement benefits to city correction officers in recognition “that every correction member works, performs the same duties, and faces the same dangers and risks on a daily basis” and “[g]ranting [city officers] this benefit [would] remedy th[e] present inequity [between state and city officers]” (Letter from Senator Ceasar Trunzo, Bill Jacket, L 1997, ch 622 at 7). This expansion of benefits was necessary because city correction officers “work with dangerous inmates in a hostile work environment on a daily basis” (Letter from William Kwasnicki, Bill Jacket, L 1997, ch 622 at 17). Similarly, the Budget Report for Retirement and Social Security Law § 607-c directly stated that “[s]ponsors of this legislation claim that county . . . correction officers should be entitled to the same disability benefits as their counterparts in State service” and referenced the 1996 bill that passed section 507-b (Budget Report, Bill Jacket, L 1999, ch 639 at 6). Further, the Sponsor’s justification for the bill acknowledged that correction officers are “constantly exposed to violence, assault, transmissible disease and other life threatening situations” (Sponsor’s Mem, Bill Jacket, L 1999, ch 639 at 4).

As the legislative history reveals, the legislature intended the enhanced POD disability benefit to address increased risks to correction officers due to their daily interactions with an inmate population the legislature viewed as dangerous and antisocial.⁶ Put another way, the legislature provided a generous disability retirement benefit in recognition of the fact that correction officers work in an unsafe environment and may suffer career-ending injuries due to interactions with inmates.

The majority fails to persuade with its comparison to Retirement and Social Security Law § 607-c (f), which provides for POD benefits to officers employed in Westchester County for incapacitating injuries proximately caused by “an intentional or reckless act of any civilian visiting, or otherwise present at,

6. As this Court recognizes, “[c]orrection officers are tasked with the formidable and critical responsibility of protecting the safety of inmates and coworkers while maintaining order in correctional facilities” (*Rivera v State of New York*, 34 NY3d 383, 385 [decided today], citing *Arteaga v State of New York*, 72 NY2d 212, 217 [1988]).

an institution under the jurisdiction of such county.” The majority asserts that this section demonstrates that the legislature uses limiting language when it intends to narrow the meaning of “act” (majority op at 526-527). I agree, but the limiting language found in that section—“an intentional or reckless act”—only applies to volitional conduct, which is not the same as intentional conduct. Volitional conduct sometimes but not always intends the result while intentional conduct seeks to achieve a particular result. Thus, Retirement and Social Security Law § 607-c (f) does not support the majority’s view, but instead confirms my interpretation of Retirement and Social Security Law § 607-c (a), because section 607-c (f) presumes that the acts at issue are volitional.

Significantly, now, under the majority view, an inmate misstep may result in payment of POD benefits. This is not what the legislature intended. No less troubling, under the majority’s definition, if an inmate faints and falls on a correction officer the fall would be an “act” that could serve as the basis for POD benefits (*cf. Matter of Laurino v DiNapoli*, 132 AD3d 1057 [3d Dept 2015] [denying POD benefits to correction officer injured while assisting an inmate who collapsed during a seizure because the legislature did not contemplate this situation as an “act of any inmate” falling within the meaning of section 507-b (a)]). The majority’s interpretation is also in contravention of the legislative purpose to provide generous pension benefits because of the injuries attendant to dangers faced by correction officers in maintaining order among prisoners (*see* Sponsor’s Mem, Bill Jacket, L 1996, ch 722 at 8 [justifying the necessity of POD benefits to compensate officers for the “increase of altercations between inmates and between inmates and officers”]; Letter from Danny Donohue, Bill Jacket, L 1999, ch 639 at 20 [supporting the passage of POD benefits because correction officers “are charged with front line law enforcement and the supervision of prisoners in county jails and are constantly exposed to violence, assault, transmissible diseases and other life threatening situations”]; *see generally Laurino*, 132 AD3d 1057).

In sum, the majority’s interpretation is unsupported by the common understanding that an “act” is an “[e]xpression of will or purpose” (Black’s Law Dictionary 25 [6th ed 1990]). Moreover, the majority fails to properly consider the legislative scheme, the “spirit and purpose” of the statute, and “the objectives of [its] enactors” (*Albano*, 36 NY2d at 530-531, citing

Hogan, 18 NY2d at 335; *see also Riley*, 95 NY2d at 463, quoting McKinney's Cons Laws of NY, Book 1, Statutes § 92 [a] at 177 [1971 ed]). The intended effect of the operation of the two-track disability benefits statutory scheme, as explained by the legislative history of Retirement and Social Security Law § 607-c, is to provide enhanced POD benefits to mitigate the effects of disabling injuries caused in an inherently dangerous prison environment. Thus, for purposes of Retirement and Social Security Law § 607-c POD benefits, an "act" means volitional conduct, not, as the majority concludes, "any conduct originating from an inmate's internal processes, including volitional and nonvolitional movements" (majority op at 527).⁷

III.

Under the proper interpretation of Retirement and Social Security Law § 607-c (a) as I have described, it is readily apparent that petitioner failed to satisfy her burden to show her entitlement to POD benefits. According to the testimony from petitioner and her co-officer, the inmate was unable to stand and, therefore, fell as she attempted to descend from the vehicle due to her allegedly intoxicated or drug-induced condition. Section 607-c does not encompass injuries resulting from this type of inmate slip and fall, which was involuntary and in no way volitional. Indeed, the inmate did not manifest the type of dangerous, antisocial characteristics that lead to incapacitat-

7. The concurrence posits a strained interpretation of Retirement and Social Security Law § 607-c (a) as providing "two separate paths by which an officer may demonstrate the entitlement to recovery under the statute" (concurring op at 528). On one hand, if correct, this reading removes the performance of duty requirement from path two and grants benefits for all injuries resulting from an act of an inmate, no matter if such injuries were not sustained in the performance of an officer's duties and ultimately defeating the purpose of POD benefits. On the other hand, if we assume that injury resulting from any act of any inmate can only be sustained in the performance of a correction officer's duties, this reading would render the distinction itself superfluous. If path one encompasses all disabling injuries caused by the conduct of an inmate and sustained by an officer while performing their duties, including injuries resulting from the nonvolitional acts of inmates, then there is no need for the second path of recovery for volitional acts because all disabling injuries are included within the first path. Moreover, if the legislature intended to provide an enhanced disability benefit to officers injured while working in a correctional environment and without regard to whether an inmate acted or not, as the concurrence suggests in its interpretation of the legislative history (*see concurring op at 530-531*), the legislature simply would have omitted the phrase "any act of any inmate" and expressly allowed POD benefits to apply when an officer is injured in the performance of their duties.

ing injuries to correction officers that the legislature sought to mitigate with an Retirement and Social Security Law § 607-c (a) POD disability benefit.

I would affirm the Appellate Division because the Comptroller's decision is not irrational, or based on an erroneous determination of law, and there is record support for the Comptroller's conclusion that any disability was not the result of an act of an inmate within the meaning of Retirement and Social Security Law § 607-c (a).

Judges FAHEY, GARCIA and WILSON concur; Judge WILSON in a concurring opinion. Judge RIVERA dissents in an opinion in which Chief Judge DiFIORE and Judge STEIN concur.

Judgment reversed, with costs, and matter remitted to the Appellate Division, Third Department, with directions to remand to respondents for further proceedings in accordance with the opinion herein.

[144 NE3d 970, 122 NYS3d 226]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v VICTOR THOMAS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NICOLE L. GREEN, Also Known as NICOLE GREEN, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v STORM U. LANG, Also Known as STORM U.J. LANG, Also Known as STORM LANG, Appellant.

Argued October 23, 2019; decided November 26, 2019

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 1, 2018. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (April A. Newbauer, J. at hearing; Michael A. Gross, J. at plea and sentencing), which had convicted defendant, upon his plea of guilty, of attempted assault in the first degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 27, 2018. The Appellate Division affirmed a judgment of the Genesee County Court (Robert C. Noonan, J.), which had convicted defendant, upon her plea of guilty, of attempted burglary in the second degree.

APPEAL, in the third above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 5, 2018. The Appellate Division affirmed a judgment of the Genesee County Court (Robert C. Noonan, J.), which had convicted defendant, upon his plea of guilty, of sexual abuse in the first degree (two counts) and sexual abuse in the second degree.

People v Thomas, 158 AD3d 434, affirmed.

People v Green, 160 AD3d 1422, reversed.

People v Lang, 165 AD3d 1584, reversed.

HEADNOTES

Crimes — Appeal — Validity of Appeal Waiver

1. Appeal waivers using shorthand pronouncements such as “waiver of the right to appeal” are enforceable so long as the totality of the circumstances

reveals that the defendant understood the nature of the appellate rights being waived. Although the phrase “waiver of the right to appeal” is a useful shorthand reference to what is more precisely a narrowing of the issues for appellate review, the term can misleadingly suggest a monolithic end to all appellate rights when in fact no appeal waiver serves as an absolute bar to all appellate claims. As a matter of standard procedure a court’s appeal waiver colloquy should include an explanation by the court that the waiver of the right to appeal is “separate and distinct” from the so-called *Boykin* (*Boykin v Alabama*, 395 US 238 [1969]) constitutional rights waived by the defendant in the guilty plea allocution. Judges are expected to express the consequences of a guilty plea clearly to the defendant during the plea hearing, but there is no uniform mandatory catechism. In determining the validity of the waiver the focus is on whether all the relevant circumstances reveal a knowing and voluntary waiver.

Crimes — Appeal — Validity of Appeal Waiver

2. In a criminal prosecution in which defendant waived his right to appeal both orally and in writing as a condition of the plea bargain, the mischaracterization in the written waiver of the scope of appellate rights waived as a condition of the plea bargain did not, under the circumstances, impact the knowing and voluntary nature of the appeal waiver. During the oral plea colloquy, the trial court elicited from defendant his understanding that, “separate and apart” from the constitutional trial rights he waived, he was being asked to give up the right to appeal, meaning “to challenge to a higher court what is taking place right now, the plea and what will take place in about two weeks when you are sentenced.” The written waiver form he and his attorney signed stated that, in consideration of the plea agreement, defendant “waives any and all rights to appeal including the right to file a notice of appeal from the judgment of conviction,” with the exception of any constitutional speedy trial claim, the legality of sentence, competency to stand trial and “the voluntariness of this plea and [appeal] waiver.” The court elicited defendant’s acknowledgment that he “had a full opportunity” to consult with counsel “about what signing this waiver means” and the rights he was “giving up.” Although the “no-notice-of-appeal” language—suggesting that the waiver may be an absolute bar to the taking of an appeal—was incorrect, it was coupled with clarifying language in the same form that appellate review remained available for certain issues, most importantly, the validity of the appeal waiver itself, and indicating, therefore, that the right to take an appeal was retained. The court’s oral colloquy, specifically its inquiry of defendant and resulting assurances that he had ample opportunity to discuss with counsel the meaning of the waiver and appellate rights he was surrendering, was sufficient to support a knowing and voluntary waiver under the totality of the circumstances.

Crimes — Appeal — Validity of Appeal Waiver

3. In unrelated criminal prosecutions in which both defendants appearing before the same judge waived their right to appeal both orally and in writing as a condition of the plea bargain, the mischaracterizations in the written waivers of the scope of appellate rights waived as a condition of the plea bargain and the similar mischaracterization during the trial court’s colloquies of the appellate rights surrendered did, under the circumstances, impact the knowing and voluntary nature of the appeal waiver. The trial court mischaracterized the appellate rights waived as encompassing not only an absolute bar to the taking of a direct appeal and the loss of attendant rights to counsel and poor person relief, but also all postconviction relief sep-

arate from the direct appeal. The trial court used essentially the same waiver description in its oral colloquy in both cases, both defendants signed identical written appeal waiver forms, and the trial court did not ask either defendant if they understood the contents of the written waiver. When a trial court has utterly mischaracterized the nature of the right a defendant was being asked to cede, an appellate court cannot be certain that the defendant comprehended the nature of the waiver of appellate rights. It was impossible to tell, on the records here, whether the waivers entered by defendants were knowing and voluntary.

Crimes — Indictment — Validity of Waiver — Mode of Proceedings Error

4. Defendant's unpreserved claim that his written waiver of indictment was jurisdictionally defective because, notwithstanding its substantial compliance with CPL 195.20 as to content, it did not state the date, approximate time and place of the specific offenses for which he was held for the action of the grand jury as required by the statute, was not a mode of proceedings error reviewable by the Court of Appeals. The indictment waiver form was executed in full accord with the procedural requirements of NY Constitution, article I, § 6, as it was "evidenced by written instrument [and] signed by the defendant in open court in the presence of . . . counsel." The waiver also strictly complied with the procedures set forth in CPL 195.10, the statute that implements those constitutional requirements, which specifies that a defendant may waive indictment and consent to be prosecuted by superior court information (SCI) when a local court has held the defendant for the action of a grand jury, the defendant is not charged with a class A felony, and the District Attorney consents to the waiver. Pursuant to CPL 195.10 (2) (b), the waiver of indictment was exercised prior to the filing of an indictment by the grand jury. Finally, the six counts of sexual abuse charged in the SCI were the same crimes for which defendant was held for the action of the grand jury, and the waiver form duly noticed those specific crimes in conformity with both constitutional and CPL 195.20 mandates.

Crimes — Indictment — Validity of Waiver — Jurisdictional Defect

5. Defendant's unpreserved claim that his written waiver of indictment was jurisdictionally defective because, notwithstanding its substantial compliance with CPL 195.20 as to content, it did not state the date, approximate time and place of the specific offenses for which he was held for the action of the grand jury, was not reviewable by the Court of Appeals as a statutory violation that was jurisdictional in nature and not forfeited by defendant's guilty plea. The omission of the date, approximate time and place in the waiver form did not equate to a failure to adhere to the statutory procedure for waiving indictment. Rather, a purported error or insufficiency in the facts of an indictment or information to which a plea is taken does not constitute a nonwaivable jurisdictional defect and must be raised in the trial court. The omission from the indictment waiver form of non-elemental factual information that is not necessary for a jurisdictionally-sound indictment is similarly forfeited by a guilty plea. The legislative history accompanying enactment of CPL article 195 makes plain that the purpose of the written waiver of indictment form is to ensure the defendant had notice of the charges upon which the prosecution by superior court information would proceed. Here, the statutory notice was accomplished as the six counts of sexual abuse designated in the waiver form were identical to the crimes for which defendant was held for grand jury action and originally charged in the local court accusatory instruments. Despite the factual omissions of date, ap-

proximate time and place of the specific offenses in his written waiver of indictment, defendant lodged no claim that he lacked notice of the precise crimes for which he waived prosecution by indictment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 537–538; AM JUR 2d Criminal Law §§ 589, 596, 599, 608, 1135.

CARMODY-WAIT 2d Pleas and Plea Bargaining §§ 182:29, 182:31, 182:46, 182:49, 182:51, 182:60; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:14–207:18, 207:28–207:29.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 21.2, 21.4–21.6.

McKINNEY'S, CPL 195.10 (2) (b); 195.20; NY Const, art I, § 6.

NY JUR 2d Criminal Law: Procedure §§ 1539, 1531, 1551, 1562, 3564, 3572, 3581–3583.

ANNOTATION REFERENCE

Validity and effect of criminal defendant's express waiver of right to appeal as part of negotiated plea agreement. 89 ALR3d 864.

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POINTS OF COUNSEL

White & Case LLP, New York City (*Louis O'Neill*, *Christopher Volpe*, *Seok Ho Richard Kang*, *Michelle Lee* and *Michaela Pickus* of counsel), and *Robert S. Dean*, *Center for Appellate Litigation*, New York City, for appellant in the first above-entitled action. I. The People of the State of New York's insertion of unenforceable no-notice-of-appeal language into their written appeal waiver form voids the entire waiver process, because such a waiver purports to deprive the Appellate Division of its jurisdiction under article VI of the New York Constitution, cannot be salvaged by an oral waiver, results in unconscionable pleas and bad public policy, and simply seeks to deter as many otherwise-permissible appeals as possible. (*People v Pollenz*, 67 NY2d 264; *People v Callahan*, 80 NY2d 273; *People v Ventura*, 17 NY3d 675; *People v Rudolph*, 21 NY3d 497; *People v Ward-*

law, 6 NY3d 556; *People v Muniz*, 91 NY2d 570; *People v Calvi*, 89 NY2d 868; *People v Santiago*, 119 AD3d 484; *People v Powell*, 140 AD3d 401; *People v Ferreira*, 144 AD3d 612.) II. Victor Thomas did not validly waive appeal of the *Huntley* ruling. (*People v Lopez*, 6 NY3d 248; *People v Seaberg*, 74 NY2d 1; *People v Sanders*, 25 NY3d 337; *People v Callahan*, 80 NY2d 273; *People v Calvi*, 89 NY2d 868; *People v Bradshaw*, 18 NY3d 257; *People v Kemp*, 94 NY2d 831; *People v Williams*, 36 NY2d 829; *People v Allen*, 82 NY2d 761; *People v Leach*, 26 NY3d 1154.) III. Victor Thomas's inculpatory statement was triggered by police conduct that was the functional equivalent of interrogation. (*People v Lanahan*, 55 NY2d 711; *People v Ferro*, 63 NY2d 316; *Rhode Island v Innis*, 446 US 291; *Miranda v Arizona*, 384 US 436; *People v Dunbar*, 24 NY3d 304; *People v Rivers*, 56 NY2d 476; *People v Lynes*, 49 NY2d 286; *People v Rizzo*, 40 NY2d 425; *People v Stoesser*, 53 NY2d 648.)

Darcel D. Clark, District Attorney, Bronx (*Justin J. Braun*, *Samuel L. Yellen* and *Nancy D. Killian* of counsel), for respondent in the first above-entitled action. I. Defendant knowingly, intelligently, and voluntarily waived his right to appeal, thereby precluding appellate review of his suppression claim. (*Matter of Colella v Board of Assessors of County of Nassau*, 95 NY2d 401; *People v Lopez*, 6 NY3d 248; *People v Sanders*, 25 NY3d 337; *People v Johnson*, 14 NY3d 483; *People v Harris*, 61 NY2d 9; *Boykin v Alabama*, 395 US 238; *People v Bryant*, 28 NY3d 1094; *People v Ramos*, 7 NY3d 737; *People v Billingslea*, 6 NY3d 248; *People v Nicholson*, 6 NY3d 248.) II. Defendant's attack on the order denying suppression presents a mixed question of fact and law not properly before this Court; in any event, the hearing court properly admitted defendant's spontaneous statement because the detective's attempt to quell defendant's threatening behavior was not the functional equivalent of an interrogation. (*People v Rivers*, 56 NY2d 476; *People v King*, 61 NY2d 969; *People v Krom*, 61 NY2d 187; *People v Dunbar*, 24 NY3d 304; *Miranda v Arizona*, 384 US 436; *Rhode Island v Innis*, 446 US 291; *People v Lynes*, 49 NY2d 286; *People v Ferro*, 63 NY2d 316; *People v Acosta*, 132 AD3d 466, 27 NY3d 990; *People v Lanahan*, 55 NY2d 711.) III. The decision denying suppression of defendant's statement was, in all instances, harmless. (*People v Wells*, 21 NY3d 716; *People v Grant*, 45 NY2d 366; *Acosta v Artuz*, 575 F3d 177; *People v Hardman*, 135 AD3d 785, 27 NY3d 1069; *People v Strain*, 238 AD2d 452, 90 NY2d 864.)

The Legal Aid Society, Criminal Appeals Bureau, New York

City (*Ursula Bentele, Erin Tomlinson and Richard Joselson* of counsel), for the Criminal Appeals Bureau of the Legal Aid Society, amicus curiae, in the first above-entitled action. Appeal waivers as a condition of guilty pleas following substantive pretrial rulings should be prohibited as a matter of public policy; at the very least, waivers should be approved only upon a showing that they were bargained for in exchange for a benefit to the defendant. (*People v Seaberg*, 74 NY2d 1; *People v Blakley*, 34 NY2d 311; *People v Burk*, 181 AD2d 74; *Stone v Powell*, 428 US 465; *People v Callahan*, 80 NY2d 273; *People v Lopez*, 6 NY3d 248.)

David C. Schopp, Legal Aid Bureau of Buffalo, Inc., Buffalo (*James M. Specyál, Timothy P. Murphy, Michael S. Deal and Susan C. Ministero* of counsel), for appellant in the second above-entitled action. The Appellate Division erred in ruling that appellant waived her right to appeal in a manner that was knowing, voluntary, and intelligent, precluding her from challenging the severity of her sentence. (*People v Lopez*, 6 NY3d 248; *People v Calvi*, 89 NY2d 868; *People v Seaberg*, 74 NY2d 1; *People v Catu*, 4 NY3d 242; *People v Estremera*, 30 NY3d 268; *People v Louree*, 8 NY3d 541; *People v Johnson*, 14 NY3d 483; *People v Maracle*, 19 NY3d 925; *People v Tolliver*, 55 AD3d 1302; *People v Lococo*, 92 NY2d 825.)

Lawrence Friedman, District Attorney, Batavia (Shirley A. Gorman of counsel), for respondent in the second above-entitled action. Appellant entered a guilty plea to a lesser included offense pursuant to a plea offer which required and did actually include a knowing, intelligent and voluntary waiver of her right to appeal whether the sentence imposed was unduly harsh or severe. (*People v Hidalgo*, 91 NY2d 733; *People v Maracle*, 19 NY3d 925; *People v Johnson*, 14 NY3d 483; *People v Lococo*, 92 NY2d 825; *People v White*, 141 AD3d 463, 28 NY3d 975; *People v Faircloth*, 162 AD3d 789; *People v Mateo*, 166 AD3d 1246; *People v Williams*, 160 AD3d 1470; *People v Lopez*, 6 NY3d 248; *People v Boyzuck*, 72 AD3d 1530.)

Scott M. Danner and Edward E. Smith, New York City, for New York County Lawyers Association Committee on Appellate Courts, amicus curiae, in the second above-entitled action. Article VI, § 4 (k) of the New York Constitution guarantees defendants the right to appeal to the intermediate appellate court. Accordingly, this Court should analyze appeal waivers under heightened scrutiny. (*People v Vargas*, 88 NY2d 363;

People v Howard, 50 NY2d 583; *Brookhart v Janis*, 384 US 1; *Johnson v Zerbst*, 304 US 458; *Adams v United States ex rel. McCann*, 317 US 269; *McKane v Durston*, 153 US 684; *Jones v Barnes*, 463 US 745; *People v Pollenz*, 67 NY2d 264; *People v Lopez*, 6 NY3d 248; *Matter of People v Juarez*, 31 NY3d 1186.)

David C. Schopp, Legal Aid Bureau of Buffalo, Inc., Buffalo (*Susan C. Ministero and Timothy P. Murphy* of counsel), for appellant in the third above-entitled action. I. The waiver of indictment is jurisdictionally defective because it wholly fails to comply with Criminal Procedure Law article 195. (*People v Boston*, 75 NY2d 585; *People v Patterson*, 39 NY2d 288; *People v Myers*, 32 NY3d 18; *People v Milton*, 21 NY3d 133; *People v Zanghi*, 79 NY2d 815; *People v Catnott*, 92 AD3d 977.) II. Appellant's appeal waiver was not valid and he has not forfeited his right to challenge the court's denial of youthful offender adjudication. (*People v Seaberg*, 74 NY2d 1; *People v Muniz*, 91 NY2d 570; *People v Callahan*, 80 NY2d 273; *People v Lopez*, 6 NY3d 248; *People v Cooper*, 19 NY3d 501; *People v Bradshaw*, 18 NY3d 257; *People v Ramos*, 7 NY3d 737; *People v Santiago*, 119 AD3d 484; *People v Rudolph*, 21 NY3d 497; *People v Maracle*, 19 NY3d 925.) III. The court deprived appellant of his right to due process of law pursuant to the New York State and United States Constitutions by failing to provide him an opportunity to be heard prior to its denial of youthful offender adjudication, which was based on an improper consideration. (*People v Middlebrooks*, 25 NY3d 516; *People v Finch*, 23 NY3d 408; *People v Minemier*, 29 NY3d 414; *People v Hansen*, 99 NY2d 339; *People v Francis*, 30 NY3d 737; *People v P.J. Video*, 68 NY2d 296; *People v Rudolph*, 21 NY3d 497; *People v Thomas R.O.*, 136 AD3d 1400; *People v Cruickshank*, 105 AD2d 325; *People v Gravino*, 14 NY3d 546.)

Lawrence Friedman, District Attorney, Batavia (*Shirley A. Gorman* of counsel), for respondent in the third above-entitled action. I. The waiver of indictment in this case was not jurisdictionally defective so no issue of law or issue not forfeited with a waiver of appeal is presented. (*People v Carroll*, 3 NY2d 686; *People v Boston*, 75 NY2d 585; *People v Pierce*, 14 NY3d 564; *People v Iannone*, 45 NY2d 589; *People v Zanghi*, 79 NY2d 815; *People v Lamoni*, 230 AD2d 628, 89 NY2d 925; *People v Santiago*, 240 AD2d 192, 90 NY2d 910; *People v Long*, 273 AD2d 67, 95 NY2d 854; *People v Salvalo*, 286 AD2d 636, 97 NY2d 687; *People v Rivera*, 24 AD3d 367.) II. Appellant waived his right to appeal County Court's decision not to adjudicate

him a youthful offender. (*People v Rudolph*, 21 NY3d 497; *People v Bradshaw*, 18 NY3d 257; *People v Leach*, 26 NY3d 1154; *People v Seaberg*, 74 NY2d 1; *People v Johnson*, 14 NY3d 483; *People v Sanders*, 25 NY3d 337; *People v Batista*, 167 AD3d 69, 32 NY3d 1169; *People v King*, 151 AD3d 1651, 30 NY3d 951; *People v Weatherbee*, 147 AD3d 1526, 29 NY3d 1038; *People v Neal*, 56 AD3d 1211.) III. There was no due process violation in the court's decision to deny this sex offender youthful offender status. (*People v Callahan*, 80 NY2d 273; *People v Rudolph*, 21 NY3d 497; *People v Sharp*, 56 AD3d 1230, 11 NY3d 900; *People v Ramos*, 13 NY3d 881; *People v Hansen*, 99 NY2d 339; *People v Price*, 150 AD3d 1485, 29 NY3d 1132; *People v Myatt*, 248 AD2d 68; *Doe v Pataki*, 120 F3d 1263; *Apprendi v New Jersey*, 530 US 466; *People v Minemier*, 29 NY3d 414.)

OPINION OF THE COURT

Chief Judge DiFiore.

In these three consolidated appeals, the defendants' written waivers of the right to appeal contained mischaracterizations of the scope of the appellate rights waived as a condition of the plea bargains. In two of the three cases, the trial courts' colloquies, in eliciting defendants' oral waivers, similarly mischaracterized the appellate rights surrendered. Our primary task is to determine whether, under the circumstances of each case, the mischaracterizations impacted the knowing and voluntary nature of the three appeal waivers before us. Adhering to our well-established precedent in reviewing the validity of appeal waivers, we affirm in *People v Thomas*, as the appeal waiver was knowingly and voluntarily entered. We reverse in *People v Green* and *People v Lang*, as the appeal waivers were involuntarily made and thus are not enforceable.

People v Thomas

By indictment, defendant Victor Thomas was charged with class B violent felonies of first-degree assault and first-degree gang assault, and related crimes. He was identified by a police officer who recognized him, based on previous arrests, as the man in surveillance video pointing a gun at people attempting to assist the victim during a gang assault. While in custody at the precinct and prior to *Miranda* warnings, a detective showed Thomas a still photo taken from the video to answer Thomas' repeated questions as to why he was being detained. Immediately upon viewing the photo, Thomas stated: "You got me." Supreme Court denied his motion to suppress this oral

statement on the ground that it was spontaneously made and not the result of interrogation or its functional equivalent.

The following day, Thomas pleaded guilty as a second-felony offender to a reduced class C violent felony charge of first-degree attempted assault in exchange for the promise of the legal minimum sentence of five years in prison to be followed by five years of postrelease supervision (PRS). This was the same plea offer made before the suppression hearing was held. Thomas waived his right to appeal both orally and in writing as a condition of the plea bargain. During the oral plea colloquy, the trial court elicited from defendant his understanding that, “separate and apart” from the constitutional trial rights he waived, he was being asked to give up the right to appeal, meaning “to challenge to a higher court what is taking place right now, the plea and what will take place in about two weeks when you are sentenced.” The written waiver form he and his attorney signed stated that, in consideration of the plea agreement, defendant “waives any and all rights to appeal including the right to file a notice of appeal from the judgment of conviction,” with the exception of any constitutional speedy trial claim, the legality of sentence, competency to stand trial and “the voluntariness of this plea and [appeal] waiver.” The court elicited defendant’s acknowledgement that he “had a full opportunity” to consult with counsel “about what signing this waiver means” and the rights he was “giving up.”

At sentencing, the court imposed upon defendant the promised legal minimum term and advised defense counsel to provide Thomas “with a notice of right to appeal for any rights that may survive that waiver.” Defendant timely filed a notice of appeal and, on direct appeal, sought review of the validity of the appeal waiver and the order denying his motion to suppress his oral statement. The Appellate Division affirmed, holding that defendant’s valid waiver of the right to appeal precluded review of the suppression ruling; in the alternative, the Court agreed with the suppression court that defendant’s statement was spontaneous and not the product of interrogation (158 AD3d 434 [1st Dept 2018]). A Judge of this Court granted defendant leave to appeal (31 NY3d 1088 [2018]).

People v Green

After waiving indictment, defendant Nicole Green was charged by superior court information (SCI) with three counts of burglary in the second degree, class C violent felonies. De-

fendant pleaded guilty to one reduced count of attempted second-degree burglary, a class D violent felony, in exchange for an initial sentence promise of a six-year prison term and three years of PRS. The court left open the possibility that the sentence could run consecutive to a nine-year prison sentence Green was then serving. A waiver of the right to appeal was a condition of the plea bargain offer. In describing the waiver, the court advised Green that

“ordinarily, . . . after somebody is convicted and sentenced in this court, they have the right to file an appeal to the Appellate Division Fourth Department. Some people get to take an appeal to the highest Court in the state after that, the Court of Appeals. Some people exhaust their state appeals and file appeals in the federal system. Some people come back here and ask to have their conviction vacated or modified.

“The [P]eople have indicated that in order to give you this cap on sentence, they are requiring you to waive your right to appeal; and once you are convicted and sentenced here, there will be no review by any other court. Do you understand that?”

Green answered that she did. The court next asked:

“Do you understand that waiver goes to almost all issues of conviction and sentence, including the terms and length of your sentence, whether your sentence is excessive, you won’t be able to hire an attorney to file an appeal for you, you won’t get an assigned attorney to file an appeal for you, you won’t be able to file your own appeal, you won’t get waived filing fees. There is just going to be no review by any other [c]ourt.”

Green again confirmed that she understood and the court directed her to sign a written appeal waiver form stating that she was waiving “all rights to appeal,” including her rights to take an appeal, to file a brief, to have counsel appointed if she could not afford one, to argue the appeal before an appellate court and to seek postjudgment CPL article 440 relief to vacate the conviction or sentence. Beneath that language, the form listed four issues that were excepted from the appeal waiver, including the voluntariness of the waiver. The court did not allocate Green as to whether she understood the form’s contents.

Green then admitted her guilt of the charged burglary. After a brief recess and alerted by the prosecutor that a mandatory five-year PRS period was required as Green was a second violent felony offender, the court corrected the sentencing promise with respect to PRS. Green reaffirmed her acceptance of the plea bargain deal with the revised five-year PRS term, confirming that she did not want to withdraw her guilty plea. Counsel made it clear that Green's only concern was that the plea offer still included the possibility of concurrent time. Green then admitted her predicate violent felony conviction and was adjudicated a predicate felon. At sentencing, the court again asked if Green understood that the promised offer included the increased PRS term. After consulting with counsel, Green maintained her guilty plea and the court imposed the promised sentence but ordered it to run consecutively to the previously imposed sentence. The court advised defendant: "you waived your right to appeal at the time you entered the plea. If you intend to challenge that waiver, you would have to do so within 30 days or you lose your right to appeal forever." Defendant agreed that she understood. Green, proceeding pro se, sought and received permission to file a late notice of appeal. On direct appeal, appellate counsel challenged the validity of the appeal waiver and raised an excessive sentence claim based on the consecutive sentences imposed. The Appellate Division affirmed, declining to review the sentence claim as precluded by a valid appeal waiver (160 AD3d 1422 [4th Dept 2018]). A Judge of this Court granted defendant leave to appeal (32 NY3d 1004 [2018]).

People v Lang

Seventeen-year-old defendant Storm Lang was charged by felony and misdemeanor complaints with four felony counts of sexual abuse, and two misdemeanor counts of sexual abuse stemming from his sexual assault of three children ages 5, 7 and 12 years old. Held for the action of the grand jury on six counts as charged in the complaints by two separate local courts, Lang agreed to waive prosecution by indictment after the County Court thoroughly explained his right to have the crimes presented to a grand jury and the consequences of waiving prosecution by indictment. After Lang confirmed that he had reviewed the indictment waiver form, the court directed him to sign the waiver, which he did in open court and in the presence of counsel. Accompanying the indictment waiver form was the SCI, which repeated the factual allegations of the six

counts of sexual abuse charged in the felony and misdemeanor complaints, including the place and designated dates of each crime. In contrast, the waiver of indictment form identified the six counts of sexual abuse for which prosecution by indictment was waived, without mentioning any date, approximate time or place of the offenses as prescribed by CPL 195.20.

The plea bargain offer required Lang to waive his right to appeal and plead guilty to two felony counts and one misdemeanor count of sexual abuse in exchange for a promised sentence cap of four years in prison plus 10 years of PRS. The same judge who took Green's plea presided over Lang's plea proceedings and used essentially the same appeal waiver description in its oral colloquy in both cases. Lang signed the identical written appeal waiver form that Green did, and the court, as with Green, did not ask Lang if he understood the contents. Lang acknowledged that his counsel advised him fully about the consequences of his plea, he had enough time to discuss the waiver with counsel and he had confidence in counsel's ability to represent him on the charges. The court accepted the plea after defendant admitted his guilt of the three relevant counts in the SCI.

During the sentencing proceeding, the court announced that it had "carefully reviewed all the documents that [had] been submitted, and . . . agree[d] with the probation department that youthful offender adjudication would be inappropriate in this case because of the importance of having sex offender registration of the defendant based upon his conduct." The court sentenced Lang to a prison term of three years, one year less than the promised cap, and 10 years of PRS. Reminding Lang that he waived his right to appeal, the court advised him that if he intended to challenge the appeal waiver, he "would have to do so within 30 days." Lang indicated that he understood. Defendant timely filed a notice of appeal. On direct appeal, Lang challenged the validity of the appeal waiver and the court's denial of youthful offender status. The Appellate Division affirmed (165 AD3d 1584 [4th Dept 2018]). While agreeing with defendant "that the colloquy and written waiver contain[ed] improperly overbroad language concerning the rights waived," the Court concluded that nonwaivable appellate issues were excluded from the scope of the waiver and the remainder was valid and enforceable, foreclosing review of the youthful offender determination (165 AD3d at 1584-1585). A Judge of this Court granted defendant leave to appeal (32 NY3d 1174 [2019]).

I.

Observing that “[p]lea bargaining is now established as a vital part of our criminal justice system,” we held in *People v Seaberg* that defendants may validly waive their right to appeal, provided the “settlement is fair, free from oppressiveness, and sensitive to the interests of both the accused and the People” (74 NY2d 1, 7-8 [1989]). That conclusion was based on our recognition that “[t]he pleading process necessarily includes the surrender of many guaranteed rights but when there is no constitutional or statutory mandate and no public policy prohibiting [waiver], an accused may waive any right which he or she enjoys” (74 NY2d at 7; see *People v Moissett*, 76 NY2d 909, 910-911 [1990]; cf. *Cowles v Brownell*, 73 NY2d 382 [1989]). Appeal waivers have long been lauded as serving the same beneficial public interests achieved by the plea-bargaining process itself—providing a prompt conclusion to litigation, avoiding delay and removing “the inevitable risks and uncertainties” of criminal trials for both sides (*People v Selikoff*, 35 NY2d 227, 232, 233 [1974] [internal quotation marks and citation omitted]; *Seaberg*, 74 NY2d at 7). Aside from “conserving judicial resources and providing finality in criminal proceedings” (*People v Tiger*, 32 NY3d 91, 101 [2018]), the plea bargaining process affords the accused the opportunity to obtain a conviction on reduced charges and more lenient punishment in a truncated process that “hopefully start[s] the offender on the road to possible rehabilitation” (*Selikoff*, 35 NY2d at 233, 234, citing *Santobello v New York*, 404 US 257, 261 [1971]). Thus, we have rejected challenges to appeal waivers on the ground that they are “invalid per se” because plenary appellate review is necessary to protect defendants from “misconduct and coercion in the pleading process and ensure[] fairness in sentencing”—implicating societal interests that “transcend the individual concerns of the defendant” (*Seaberg*, 74 NY2d at 8-9). In rejecting such categorical condemnation of appeal waivers based on a purported power imbalance, we reasoned that those “arguments overlook the role of the trial court and its obligation to insure the reasonableness of the bargain struck and of the sentence imposed and the availability of collateral proceedings to review infirmities in the plea bargain which may not appear on the record” (74 NY2d at 8 [citations omitted]). Contrary to the argument that “defendants [are] victims of ‘situational coercion,’ compelled to execute waivers as a [plea] condition,” we concluded that “[n]othing requires a defendant to

seek a plea bargain and there is nothing coercive in leaving with the defendant the option to accept or reject a bargain if one is offered” (74 NY2d at 8-9).¹

[1] Manifestly, while a defendant always retains the right to challenge the voluntariness of the plea (*see People v Lopez*, 71 NY2d 662 [1988]) and legality of the sentence, “the negotiating process serves little purpose if the terms of ‘a carefully orchestrated bargain’”—particularly the sentence imposed—can subsequently be renegotiated despite a voluntary appeal waiver (74 NY2d at 10, quoting *People v Prescott*, 66 NY2d 216, 220 [1985]). We see no public policy reason to depart from *Seaberg* and its progeny today, as carefully-constructed and counseled appeal waivers—with the terms memorialized on the record and executed under the supervision of the trial courts—continue to serve the same worthy objectives, as they have for the last three decades.

Turning to the language of the appeal waiver colloquies at issue, the following principles derived from our precedent are instructive. First and foremost, a waiver of the right to appeal is not an absolute bar to the taking of a first-tier direct appeal (*see Seaberg*, 74 NY2d at 11; *People v Callahan*, 80 NY2d 273,

1. In what is a rejection of *Seaberg* and its progeny—30 years of appellate precedent—our colleague reaches the sweeping and unsubstantiated conclusion that “appeal waivers have . . . corrupted the integrity” of the plea-bargaining process (Wilson, J., dissenting/concurring op at 588). This condemnation of appeal waivers is predicated on hypothetical constructs, rather than on the facts of the cases before us. It further evidences a mistrust of all players in the system, particularly the trial court and its ability to ensure that an appeal waiver is voluntarily entered. Moreover, it discounts the importance of defendant’s consultation with competent counsel in opting for a plea bargain and comprehending the nature of the appeal waiver (*see People v Nixon*, 21 NY2d 338, 354 [1967])—advice typically provided dehors the record in communications protected by attorney-client privilege. Nonetheless, this partial concurrence concludes that while a plea bargain is eminently enforceable because the defendant is aware of “the precise terms of the offered sentence,” or, in other words, is given the sentence in a numerical value, the separate appeal waiver is not enforceable because no “itemization” of the appellate rights waived is provided (Wilson, J., dissenting/concurring op at 588-589). Suffice it to say, with respect to defendant’s waiver of constitutional *Boykin* rights (*see Boykin v Alabama*, 395 US 238, 243 [1969]), it is firmly established that courts need “not include a specific enumeration of each of the rights being waived” for a guilty plea to be enforceable (*People v Harris*, 61 NY2d 9, 18 [1983]). No rationale whatsoever is provided for holding the enforceability of waivers of the statutory right to appeal to a standard more stringent than the one that applies to the complete waiver of constitutional trial rights. And none exists, as defendant does not waive appellate review of fundamental issues, such as the voluntariness of the plea and appeal waiver.

280 [1992]; *People v Hansen*, 95 NY2d 227, 230-231 [2000]). “[S]everal categories of appellate claims” remain nonwaivable “because of a larger societal interest in their correct resolution” (*Callahan*, 80 NY2d at 280). One such claim is the voluntariness of the appeal waiver. Appellate courts have an integral role in reviewing the validity of appeal waivers, as they are vested with “the responsibility to oversee the process and to review the record to ensure that the defendant’s waiver of the right to appeal reflects a knowing and voluntary choice” (80 NY2d at 280).

Although an appeal waiver entered as part of the plea-bargaining process does not serve as an absolute bar to the taking of a first-tier direct appeal, imprecision persists in trial courts’ descriptions of the waiver of the right to appeal. Nonetheless, we have never required any particular litany explaining the finer distinction in appeal waiver colloquies between the “right to appeal” and the right to limited appellate review.² Indeed, while the phrase “waiver of the right to appeal” is a “useful shorthand” reference to what is more precisely a narrowing of the issues for appellate review, the term “can misleadingly suggest a monolithic end to all appellate rights [when] [i]n fact . . . no appeal waiver serves as an absolute bar to all appellate claims” (*Garza v Idaho*, 586 US —, —, 139 S Ct 738, 744 [2019]).

Appeal waivers using such shorthand pronouncements are enforceable so long as the totality of the circumstances reveals that the defendant understood the nature of the appellate rights being waived. Historically, imprecise and overbroad language in appeal waivers did not prevent their enforcement, so long as “all the relevant facts and circumstances surround-

2. The defendant’s conviction upon a guilty plea is predicated on the plea itself and will effectuate a forfeiture by operation of law of the appellate review of most antecedent issues raised in the trial court (*see Hansen*, 95 NY2d at 231-232). As stated herein, appellate review is not waivable, despite a guilty plea, for issues involving jurisdictional matters or “rights of a constitutional dimension that go to the very heart of the process” (95 NY2d at 230). Apart from the forfeited rights and the nonwaivable rights are the waivable rights that are the typical subject of appellate waivers—including the intermediate appellate court’s review in the interest of justice of the severity of the sentence imposed and/or the CPL 710.70 right to appellate review of an adversely decided suppression motion. Of note, that some legal issues survive a guilty plea does not mean there is an inexorable appellate review, as any appellate review demands the existence of an actual issue extant on a sufficient factual record in the defendant’s individual case to review (*see People v Kinchen*, 60 NY2d 772 [1983]).

ing the waiver, including the nature and terms of the agreement and the age, experience and background of the accused” revealed that the waivers were knowingly, intelligently and voluntarily entered (*Seaberg*, 74 NY2d at 11; *see also Callahan*, 80 NY2d at 280). In *People v Sanders*, we clarified that “this Court has not . . . set forth the absolute minimum that must be conveyed to a pleading defendant in the plea colloquy in order for the right to appeal to be validly waived” (25 NY3d 337, 341 [2015]). Rather, in determining whether the record demonstrates that a defendant understood an appeal waiver’s consequences, proper considerations include the defendant’s consultation with counsel and on-the-record acknowledgments of understanding, a written appeal waiver that supplements or clarifies the court’s oral advice and the defendant’s experience with the criminal justice system (*see* 25 NY3d at 341-342; *People v Bradshaw*, 18 NY3d 257, 267 [2011]; *People v Ramos*, 7 NY3d 737, 738 [2006]; *People v Lopez*, 6 NY3d 248, 256 [2006]). The role played by counsel in ensuring a defendant’s knowing and voluntary waiver is an important component of that analysis that cannot be ignored (*see* 22 NYCRR 606.5 [1st Dept]; 22 NYCRR 671.3 [2d Dept]; 22 NYCRR 821.2 [3d Dept]; 22 NYCRR 1015.7 [4th Dept]; *Moissett*, 76 NY2d at 911). In the absence of any record support, we do not presume that counsel was somehow incompetent and failed to provide effective assistance during the plea negotiations as demanded by the Sixth Amendment (*see Lafler v Cooper*, 566 US 156 [2012]; *McMann v Richardson*, 397 US 759 [1970]). And, of paramount importance is the trial court’s responsibility to ensure that each defendant’s “full appreciation of the consequences” and understanding of the terms and conditions of the plea and appeal waiver are “apparent on the face of the record” (*Seaberg*, 74 NY2d at 11; *Callahan*, 80 NY2d at 280).

In our earlier cases, when the litigation was focused on whether appeal waivers were enforceable as components of the plea-bargaining process—and not on the precise language of the courts’ colloquies—we upheld appeal waivers where no court colloquy with the defendant occurred on the subject, relying on the record as a whole, particularly defense counsel’s affirmative conduct in securing the desired sentence sought to be reviewed on appeal (*see e.g. Seaberg*, 74 NY2d 1), or where waivers were elicited through court colloquies suggesting an absolute bar to review, even though we acknowledged that the

defendant retained the right to review certain fundamental issues despite the waiver (*see e.g. Callahan*, 80 NY2d at 278, 280 [court advised defendant that “by pleading guilty he was waiving his right to appeal”]). Relevant to the issues before us, our precedent has made clear from the outset that the scope of the appeal waiver contemplated by this process related only to a defendant’s statutory “right to an initial appeal” (*Seaberg*, 74 NY2d at 7, citing CPL 450.10),³ and that a reasonable interpretation of broad waivers still permits the conclusion that the counseled defendant understood the distinction that some appellate review survived (*Callahan*, 80 NY2d at 280-281).

By 2006, in the companion cases of *People v Lopez*, *People v Billingslea* and *People v Nicholson* (6 NY3d 248, 256-257 [2006]), the litigation required our focus to shift from the enforceability of broad appeal waivers to the precise language of the colloquies used by the courts in eliciting waivers, causing us to caution that the rights surrendered by appeal waivers were too important to be handled in a “perfunctory step.” In *Lopez*, we set forth as a standard procedure for the court’s appeal waiver colloquy—used in all three colloquies before us—an explanation by the court that the waiver of the right to appeal is “separate and distinct” from the so-called *Boykin* constitutional rights waived by the defendant in the guilty plea

3. Our colleague’s suggestion that courts should advise defendants that their “*appeal waivers* will impact their collateral remedies” (Garcia, J., concurring/dissenting op at 582 [emphasis added]) is incorrect. Rather, it is a voluntary “guilty plea entered in proceedings where the record demonstrates the conviction was constitutionally obtained” that forecloses collateral attacks to the conviction, as a defendant “relinquishes any claim that would contradict the admissions necessarily made upon entry of a voluntary plea of guilty” (*People v Tiger*, 32 NY3d 91, 101, 102 [2018] [internal quotation marks and citation omitted], quoting *Class v United States*, 583 US —, —, 138 S Ct 798, 805 [2018]). A waiver of the right to appeal is not needed to address the rights forfeited by law by the guilty plea itself, and that waiver cannot be used to foreclose appellate review of nonwaivable issues that exist on the record in any particular case (*see Callahan*, 80 NY2d at 280; *People v Lopez*, 71 NY2d 662 [1988]). As we noted herein, an appeal waiver only covers the narrow class of issues which, if not waived, can be reviewed on direct appeal despite the guilty plea. In stark contrast, CPL 440.10 relief, which codified the writ of error coram nobis, cannot be used as a substitute for a direct appeal (*see People v Howard*, 12 NY2d 65, 66-67 [1962]). Instead, it is designed as a remedy against injustice when no other avenue of judicial relief is available for certain nonwaivable rights impacted by fundamental errors dehors the record (*see People v Cuadrado*, 9 NY3d 362, 365 [2007]). As we are addressing guilty pleas, references in Judge Garcia’s partial concurrence to subdivisions in CPL 440.10 relating to trial errors are irrelevant to our discussion.

allocation (6 NY3d at 256).⁴ In *Nicholson*, we upheld the waiver following the court’s additional shorthand advisement that the appeal waiver meant “to take to a higher court than this one any of the legal issues connected with this case,” based on our review of the totality of the circumstances, which included the court’s correct application of that “separate and distinct” language and defendant’s multiple on-the-record acknowledgments of understanding (6 NY3d at 254, 256-257; *see also Sanders*, 25 NY3d at 341-342). A few months later in *People v Ramos* (7 NY3d 737 [2006]), we upheld an appeal waiver that followed the court’s imprecise explanation that “by entering this plea of guilty you’re giving up any and all rights to appeal this conviction and sentence; in other words, this is now final” (*Bradshaw*, 18 NY3d at 266 [quoting colloquy from *Ramos*]). We excused the “ambiguity” in that colloquy under the circumstances, which included a written waiver form evidencing that the defendant was advised of the appellate process and the waiver by defense counsel and defendant’s on-the-record acknowledgment that he understood the rights he was waiving—all of which together sufficiently established a knowing and voluntary waiver (7 NY3d at 738).

Importantly, we have drawn the line and held appeal waivers unenforceable where the court’s advisement as to the rights relinquished was incorrect and irredeemable under the circumstances. Thus, we invalidated the defendant’s appeal waiver in *People v Billingslea*, based upon the court’s conflated advisement that “‘when you plead guilty you waive your right of appeal,’” where the court’s inquiry was limited to one question—whether defendant understood the consequences of the plea—and the defendant’s one-word answer that she did (6 NY3d at 257). Our disapproval hinged on the court’s “misleading” language, confusing the discrete concepts of the forfeiture of a right by operation of law and the defendant’s intentional relinquishment of a right by a voluntary waiver (6 NY3d at

4. Judge Wilson concludes that the required separation between the court’s allocation for the waiver of *Boykin* rights and the allocation for the appeal waiver means that the appeal waiver is not one of the conditions of the plea bargain offer and, therefore, if a defendant pleads guilty in exchange for a specific sentence, the defendant has received no consideration for the appeal waiver (*see Wilson, J.*, dissenting/concurring op at 592-593). This interpretation is not correct and eschews the mutually beneficial purpose of the plea bargain offer—to provide a favorable sentence in exchange for an end to litigation, including a review of the suppression order.

257). We concluded that “[w]hen a trial court characterizes an appeal as one of the many rights automatically extinguished upon entry of a guilty plea, a reviewing court cannot be certain that the defendant comprehended the nature of the waiver of appellate rights” (6 NY3d at 256). We also invalidated the appeal waiver in *People v Bradshaw*, where the court’s colloquy was “terse”—advising the defendant that an appeal waiver “means . . . the conviction here is final, that there is not a higher court you can take [the case] to”—since the record did not contain any assurances that the defendant, who had a significant mental health history, understood the shorthand reference to the distinct appellate rights he was surrendering and, beyond asking whether it had been signed, the court made no inquiry of the defendant’s understanding of the contents of the written appeal waiver form (18 NY3d at 261, 273).

Our requisite analysis for determining the validity of the waiver remains focused on whether all the relevant circumstances reveal a knowing and voluntary waiver (*see Seaberg*, 74 NY2d at 11; *Sanders*, 25 NY3d at 341-342). As we underscored in *Bradshaw*, the court’s oral colloquy with defendant, including the elicitation of an oral acknowledgment that defendant was “forgoing his right to appeal,” can cure incorrect language in the written waiver form (18 NY3d at 267).⁵ Of course, “[w]e expect judges to express the consequences of a guilty plea clearly to the defendant during the plea hearing. But in cases too numerous to list dating from at least 1967, we have repeatedly steered clear of a uniform mandatory catechism . . . in favor of broad discretions controlled by flexible standards” (*People v Alexander*, 19 NY3d 203, 219 [2012] [internal quotation marks and citation omitted]). We have emphasized that “it should not matter that the trial judge failed to choose what we might in hindsight consider to be more felicitous words or turns of phrase when addressing [a] defendant” so long as the meaning was “plain enough” (19 NY3d at 219).

5. That said, our appellate waiver precedent also establishes that, “[e]ven if there [is] any ambiguity in the sentencing court’s colloquy, . . . a detailed written waiver, . . . stat[ing] that defendant had the right to appeal, explain[ing] the appellate process and confirm[ing] that defense counsel fully advised [defendant] of the right to take an appeal under the laws of the State of New York” can “establish[] that [a] defendant knowingly, intelligently and voluntarily waived [the] right to appeal” (*Ramos*, 7 NY3d at 738).

II.

Viewed against that backdrop, we conclude that the appeal waiver in *Thomas* was knowingly and voluntarily entered. We reach the opposite conclusion in *Green* and *Lang*.

[2] Defendant *Thomas* argues that insertion of “no-notice-of-appeal” language in the written waiver form “voids the entire [appeal] waiver process.” While that particular language—suggesting that the waiver may be an absolute bar to the taking of an appeal—was incorrect, it was coupled with clarifying language in the same form that appellate review remained available for certain issues, most importantly, the validity of the appeal waiver itself, and indicating, therefore, that the right to take an appeal was retained. The court’s oral colloquy, specifically its inquiry of Thomas and resulting assurances that he had ample opportunity to discuss with counsel the meaning of the waiver and appellate rights he was surrendering, was sufficient to support a knowing and voluntary waiver under the totality of the circumstances.

Somewhat inconsistently, Thomas alternatively claims that the court’s statement during the oral colloquy that he was waiving his right to challenge the “plea proceedings” and “sentence” was a “restricted” appeal waiver rather than a broad, “comprehensive” appeal waiver and therefore did not cover the CPL 710.70 right to review a suppression ruling. We disagree. In *People v Kemp* (94 NY2d 831, 833 [1999]), we held that the defendant’s waiver of the right to appeal, entered one day after denial of his suppression motion, was “knowingly, voluntarily and intelligently made, with the advice of counsel,” and was “comprehensive[],” as it “was manifestly intended to cover all aspects of the case.” Similarly, Thomas, fully counseled, voluntarily pleaded guilty one day after denial of his suppression motion, to take advantage of a soon-to-expire pre-trial reduced plea bargain offer—the same one offered before the suppression hearing was held. The court’s statement that he would be waiving his right to challenge on appeal what was taking place at the plea proceedings—clearly referencing his conviction—was sufficient to indicate the waiver was intended “to cover all aspects of the case” (94 NY2d at 833).

In this regard, the waiver of appellate review of the suppression order was the quid pro quo to the reduced plea bargain, which was designed to end the litigation for all parties. Far from evidencing a coercive deal that did not involve “mutual

concessions,” as the partial concurrence posits (Wilson, J., dissenting/concurring op at 592), the record instead supports the conclusion that this fully counseled predicate felon—whose crime was captured on video surveillance—received a highly beneficial bargain of the legal minimum term of five years’ incarceration for the reduced crime, while avoiding the risk of the maximum of 25 years on the higher crimes charged, if convicted after trial. Defendant does not have the right to subsequently eviscerate the favorable plea bargain he knowingly and voluntarily accepted. Long before *Seaberg*, we held the voluntary waiver of the CPL 710.70 right to appellate review of a suppression ruling can be a condition of the plea bargain (see *People v Williams*, 36 NY2d 829, 830 [1975]). Since harmless error analysis is generally not available on an appeal following a guilty plea, the waiver of appellate review of the suppression decision serves to avoid unnecessary litigation for errors that would not have affected the outcome of a trial (see *People v Grant*, 45 NY2d 366, 378 [1978]). Given the evidence here, counsel’s advice to defendant in this regard in favor of the plea offer would be eminently reasonable. On this record, Thomas’ appeal waiver was knowingly and voluntarily entered and sufficiently comprehensive to cover an appellate challenge to the suppression ruling—without any need for express mention of it during the waiver colloquy—squarely under our holding in *Kemp*.

III.

[3] A similar conclusion does not follow in *Green* and *Lang*. The trial court’s mischaracterization of appellate rights waived as encompassing not only an absolute bar to the taking of a direct appeal and the loss of attendant rights to counsel and poor person relief, but also all postconviction relief separate from the direct appeal,⁶ is even more serious than the conflated language in *Billingslea*. We reiterate that, when a trial court has utterly “mischaracterized the nature of the right a defendant was being asked to cede,” an appellate “court cannot be certain that the defendant comprehended the nature of the

6. Contrary to the conclusion of our colleague that no such argument about postconviction relief was ever “argued” by the parties (Garcia, J., concurring/dissenting op at 580 and n 3), in his sealed brief to this Court, defendant Lang specifically challenged the plea court’s advisements in both the oral colloquy and the written waiver regarding the restriction of his rights to seek collateral relief.

waiver of appellate rights” (6 NY3d at 256-257). As in *Billingslea*, it is similarly impossible to tell, on these records, whether the waivers entered by defendants Green and Lang were knowing and voluntary. The waivers cannot be upheld in these cases on the theory that the offending language can be ignored and that defendants’ waivers were enforceable based on the court’s few correctly spoken terms. That position ignores the muddled nature of the court’s advisements, making it impossible for reviewing courts to discern whether the defendants understood the import of the court’s confused message about the important rights being waived, much less to expect the defendants themselves to grasp the nature of the rights they are surrendering. Nor were there “detailed written waiver[s]” in these cases that correctly explained the appellate process and were adequate to cure the “ambiguit[ies] in the . . . court’s colloquy” (*Ramos*, 7 NY3d at 738); rather, the written waivers at issue repeated many of the errors in County Court’s colloquies and, in any event, the court failed to confirm that Green and Lang understood the contents of the written waivers. The improper description of the scope of the appellate rights relinquished by the waiver is refuted by our precedent, whereby a defendant retains the right to appellate review of very selective fundamental issues, including the voluntariness of the plea and appeal waiver, legality of the sentence and the jurisdiction of the court (*see generally Seaberg*, 74 NY2d 1; *Sanders*, 25 NY3d 337). Thus, we cannot conclude that the appeal waivers on the records in *Green* and *Lang* were knowingly or voluntarily made in the face of erroneous advisements warning of absolute bars to the pursuit of all potential remedies, including those affording collateral relief on certain nonwaivable issues in both state and federal courts (*see* CPL 440.10 [1] [a], [b], [e]; 440.20; *Parisi v United States*, 529 F3d 134, 139 [2d Cir 2008], *cert denied* 555 US 1197 [2009]). Accordingly, reversal is warranted in *Green* and *Lang* and, in both cases, we remit for a determination of all issues raised but not determined below.

We further take this opportunity to note that the employment of imprecise appeal waiver colloquies has been criticized as encouraging a pathway to increased appellate litigation over the validity of the waivers. That pathway was always extant, since appellate review as to the validity of the waiver has always been and remains a necessary component of the process (*see Seaberg*, 74 NY2d 1; *Callahan*, 80 NY2d 273). Appellate review of the voluntariness of an appeal waiver is not onerous.

Greater precision in the courts' oral colloquies will provide more clarity on the record as to the issue of voluntariness. To be sure, the Model Colloquy for the waiver of right to appeal drafted by the Unified Court System's Criminal Jury Instructions and Model Colloquy Committee neatly synthesizes our precedent and the governing principles and provides a solid reference for a better practice. The Model Colloquy provides a concise statement conveying the distinction missing in most shorthand colloquies—that

“[b]y waiving your right to appeal, you do not give up your right to take an appeal by filing a notice of appeal . . . within 30 days of the sentence. But, if you take an appeal, you are by this waiver giving up the right to have the appellate court consider *most* claims of error, and whether the sentence I impose, whatever it may be, is excessive and should be modified. As a result, the conviction by this plea and sentence will normally be final” (NY Model Colloquies, Waiver of Right to Appeal, <http://www.nycourts.gov/judges/cji/8-Colloquies/Waiver%20of%20Right%20to%20Appeal.pdf> [emphasis added]).

There is no mention made of an absolute bar to the taking of an appeal or any purported waiver of collateral or federal relief in the Model Colloquy or to the complete loss of the right to counsel to prosecute the direct appeal.⁷

IV.

In addition to his challenge to the appeal waiver, defendant Lang also claims that his written waiver of indictment was

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7. The Model Colloquy also defines an appeal and the attending rights. “An appeal is a proceeding before a higher court, an appellate court. If a defendant cannot afford the costs of an appeal or of a lawyer, the state will bear those costs. On an appeal, a defendant may, normally through his/her lawyer, argue that an error took place in this court which requires a modification or reversal of the conviction. A reversal would require either new proceedings in this court or a dismissal” and provides that the court should instruct the defendant that, “as a condition of the plea agreement, [the defendant is being] asked to waive [the] right to appeal” (NY Model Colloquies, Waiver of Right to Appeal).

This explanation of the appellate process is consistent with that endorsed by this Court in *Ramos* (7 NY3d at 738; see *Bradshaw*, 18 NY3d at 270 [Read, J., dissenting] [setting forth the language of the written waiver upheld in *Ramos*]). Our discussion here of colloquies that mischaracterize the nature of the appeal waiver should not be interpreted as calling into question this portion of the Model Colloquy or signaling a retreat from *Ramos*.

jurisdictionally defective because, notwithstanding its substantial compliance with CPL 195.20 as to content, it did not state the date, approximate time and place of the specific offenses for which he was held for the action of the grand jury, in violation of that statute. Although he raises this issue for the first time before this Court, he claims the argument is reviewable because this statutory violation is either a mode of proceedings error or is jurisdictional in nature and not forfeited by the guilty plea. Neither argument has merit.

[4] First, Lang has failed to identify any “mode of proceedings” error. The indictment waiver form was executed in full accord with the procedural requirements of article I, § 6 of our State Constitution, as it was “evidenced by written instrument [and] signed by the defendant in open court in the presence of . . . counsel.” The waiver also strictly complied with the procedures set forth in CPL 195.10, the statute that implements those constitutional requirements, which specifies that a defendant may waive indictment and consent to be prosecuted by SCI when a local court has held the defendant for the action of a grand jury, the defendant is not charged with a class A felony, and the District Attorney consents to the waiver. Pursuant to CPL 195.10 (2) (b), the waiver of indictment was exercised prior to the filing of an indictment by the grand jury. Finally, the six counts of sexual abuse charged in the SCI were the same crimes for which defendant was held for the action of the grand jury (*see People v Milton*, 21 NY3d 133, 135-136 [2013]), and the waiver form duly noticed those specific crimes in conformity with both constitutional and CPL 195.20 mandates. Accordingly, there is no merit to his claim that any fundamental mode of proceedings error occurred.

[5] Notwithstanding the specificity of the factual allegations of the crimes charged in all the accusatory instruments in the case, Lang attempts to equate the omission of the date, approximate time and place in the waiver form with a “[f]ailure to adhere to the statutory procedure for waiving indictment,” arguing it is a “jurisdictional” defect under *People v Boston* (75 NY2d 585, 589 n [1990]). Reliance on *Boston* to elevate this technical challenge to a jurisdictional claim is misplaced. *Boston* involved a waiver of prosecution by indictment exercised *after* the indictment was obtained—a violation of the critical timing of the waiver process mandated by both the Constitution and CPL 195.10 (*see* 75 NY2d at 588). No such jurisdictional infirmity existed here.

In contrast, “[a] purported error or insufficiency in the facts of an indictment or information to which a plea is taken does not constitute a nonwaivable jurisdictional defect and must be raised in the trial court” (*Milton*, 21 NY3d at 137 n, citing *People v Iannone*, 45 NY2d 589, 600 [1978]; see also *People v D’Angelo*, 98 NY2d 733, 735 [2002] [absent timely motion to dismiss, the Court has “no occasion to consider whether statutory mandates beyond the jurisdictional minimum required the indictment to recite” additional allegations]). By parity of reasoning, the omission from the indictment waiver form of non-elemental factual information that is not necessary for a jurisdictionally-sound indictment is similarly forfeited by a guilty plea. As relevant here, the legislative history accompanying enactment of CPL article 195 makes plain that the purpose of the written waiver of indictment form is to ensure the defendant had notice of the charges upon which the prosecution by SCI would proceed (see Mem of Staff Attorney of Law Rev Commn at 2, Bill Jacket, L 1974, ch 467 at 66; Governor’s Program Bill Mem at 2, Bill Jacket, L 1974, ch 467 at 11, 1974 McKinney’s Session Laws of NY at 2006; *People v Myers*, 32 NY3d 18, 23 [2018]). Executed solemnly in open court, the waiver form must memorialize with sufficient specificity the charges for which a defendant waives prosecution by indictment. Here, the statutory notice was accomplished as the six counts of sexual abuse designated in the waiver form were identical to the crimes for which Lang was held for grand jury action and originally charged in the local court accusatory instruments.

Despite the factual omissions of date, approximate time and place of the specific offenses in his written waiver of indictment, Lang lodges no claim that he lacked notice of the precise crimes for which he waived prosecution by indictment. Nor could he, since the dates and places of the offenses were sufficiently detailed in each of the actual accusatory instruments—the three local court complaints and the SCI—charging this defendant. As a matter of statutory mandate, upon defendant’s arraignment in each local court, the court was required to furnish defendant with a copy of the accusatory instruments and thereafter provide defendant notice of the crimes for which he would be held for the action of the grand jury (CPL 170.10, 180.10). During the indictment waiver proceeding, the People provided defendant with an advance copy of the SCI, which was contemporaneously filed with the waiver of indictment

form. Determinatively, the indictment waiver form identified all six counts of sexual abuse as alleged in the local court accusatory instruments—specifically, three counts of sexual abuse in the first degree and two counts of sexual abuse in the second degree for which he was held for the action of the grand jury by Town of Alabama Justice Court and one count of sexual abuse in the first degree for which he was held for the action of the grand jury by Town of Bethany Court. The written waiver form further acknowledged that “[t]he [SCI] to be filed . . . will charge the offense(s) named in this written waiver”—clearly incorporating by reference the six counts of sexual abuse specifically alleged in the accompanying SCI.

In assessing the facial sufficiency of facts alleged as to non-elements of the crime in an accusatory instrument, the fundamental concern is whether the defendant had reasonable notice of the charges for double jeopardy purposes and to prepare a defense. In child sexual assault cases, we have upheld indictments alleging an approximate time span of a period of months as sufficiently stated time intervals to comply with due process notice requirements (*see e.g. People v Watt*, 81 NY2d 772, 774 [1993]). Accepting defendant’s argument that there must be strict compliance with the CPL 195.20 time requirement in written waiver of indictment form would eliminate prosecution by SCIs involving most child sexual assaults, where a time of offense often cannot be specified—an absurd result. Moreover, all defendants can seek a bill of particulars as the remedy to obtain the more specific information necessary for notice purposes (*see People v Morris*, 61 NY2d 290, 293 [1984]), although the information Lang demands belatedly on this appeal, again, was contained in the accusatory instruments he undeniably received. In sum, Lang received sufficient notice of the offenses for which he waived prosecution by indictment in the indictment waiver form, and having pleaded guilty without raising any legal challenge to the contents of that form in the trial court, there is no further issue to review on this appeal.

Accordingly, in *People v Thomas*, the order of the Appellate Division should be affirmed, and in *People v Green* and *People v Lang*, the orders of the Appellate Division should be reversed and the matters remitted to that Court for further proceedings in accordance with this opinion.

RIVERA, J. (concurring in result in *People v Thomas*, *People v*

Green, and *People v Lang*). I agree with Judge Wilson's thoroughly compelling discussion of appellate waivers and his conclusion that they "have proved unworkable, they have created more questions than they resolve, and when viewed from the 'cold light of logic and experience,' they do not serve the ends of justice" (Wilson, J., dissenting/concurring op at 598). A defendant who pleads guilty should be able to pursue an intermediate appeal as of right (see CPL 450.10; accord *People v Ventura*, 17 NY3d 675, 679 [2011] ["Pursuant to CPL 450.10, which codifies a criminal defendant's common-law right to appeal to an intermediate appellate court, (a defendant has) an absolute right to seek appellate review of (the defendant's) conviction()"]). Thus, for the reasons discussed in Judge Wilson's analysis, with which I fully concur, the appeal waivers in the three appeals before us are invalid.

Turning to the remaining matters, and proper disposition of these respective appeals, in *People v Thomas*, I concur in the result because although the waiver is ineffective, defendant's sole ground for reversal presents a mixed question of law and fact, and the decision to deny suppression has record support (see *People v Wheeler*, 2 NY3d 370, 373 [2004]; *People v Mayorga*, 64 NY2d 864, 865 [1985]). In *People v Green*, because the waiver is not valid, the order of the Appellate Division should be reversed and the matter remitted to that Court for further proceedings.

In *People v Lang*, I concur in the result, but not on the basis of the majority's sweeping rule that a waiver of prosecution by indictment is valid, so long as the missing information is set forth in the local court accusatory instruments, even if the waiver lacks the details required under CPL 195.20. That rule ignores the text and purpose of the CPL requirements.

Under our State Constitution, a defendant may waive, in writing and in open court, an indictment by grand jury and declare the defendant's consent to be prosecuted by an information filed by the District Attorney (NY Const, art I, § 6). The CPL codifies this requirement and establishes the procedure to effectuate the waiver. Section 195.10 (2) (b) of the CPL provides, in relevant part, that a defendant may waive indictment "at any time prior to the filing of an indictment by the grand jury." CPL 195.20 requires that a waiver of indictment shall contain "the name of the court in which it is executed, the title of the action, and the name, date and approximate time and place of each offense to be charged." We have explained

that CPL 195.20 “reiterates the constitutional requirements and specifies additional items the written waiver must include” (*People v Myers*, 32 NY3d 18, 22 n 2 [2018]), and that a waiver of indictment is only effective if it is “within the express authorization of the governing constitutional and statutory exception” (*id.*, quoting *People v Trueluck*, 88 NY2d 546, 549 [1996]). “Failure to adhere to the statutory procedure for waiving indictment, which resulted in . . . [defendant’s] plea, may be considered jurisdictional” (*People v Boston*, 75 NY2d 585, 589 n [1990]).

The purpose of the CPL requirement that a defendant sign, in open court, a waiver of indictment by grand jury—detailing, among other things, each offense to be charged by superior court information (SCI)—is twofold: it (1) provides a defendant with notice of the right to presentment of the charged crimes for grand jury consideration, and (2) impresses upon them the solemnity of the right and the consequences of the waiver. Substantial compliance with the “additional items the written waiver must include” furthers these dual goals and satisfies the constitutional and statutory mandates.

Unlike the majority, I interpret the CPL to require that the substance of those additional items be contained in the waiver form or, if filed along with the form, the SCI. Those are the only two documents expressly identified in our State Constitution and the CPL as necessary prerequisites to a lawful waiver of indictment, and so in determining the validity of the waiver, we may consider the contents of the SCI when jointly filed. In appropriate cases, this ensures the defendant understands that by pleading guilty they would give up the right to have the grand jury “assess[] the sufficiency of the prosecutor’s case” (*People v Pelchat*, 62 NY2d 97, 104 [1984]), meaning they would forgo this safeguard against “potentially oppressive excesses by the agents of the government in the exercise of the prosecutorial authority vested in the State” (*People v Iannone*, 45 NY2d 589, 594 [1978]) because they would consent to prosecution for the crimes charged in the SCI filed by the District Attorney (CPL 195.20 [b]).

Here, the SCI—the instrument by which defendant agreed to be prosecuted for the offenses described therein—was presented to defendant in advance of the oral waiver and attached to and filed simultaneously with the waiver form. It contained all details required by CPL 195.20 otherwise missing from the form, except for the approximate time of the alleged offenses.

Significantly, CPL 195.20 requires only an approximation of the time of each offense and, as the majority correctly notes, the Court has upheld indictments in child sexual assault cases spanning months (majority op at 570). Thus, in defendant's case, the dates of the alleged child sexual abuse offenses set forth in the SCI cabined the time period, and the waiver form and SCI considered together amount to substantial compliance with the statutory requirement. Moreover, on the same day the waiver and the SCI were filed, the court thoroughly reviewed with defendant the right to grand jury presentment prior to his signing the waiver form in open court. Under these circumstances, defendant has failed to establish a defect warranting rejection of his waiver of indictment.

GARCIA, J. (concurring in result in *People v Thomas* and dissenting in *People v Green* and *People v Lang*). A waiver of the right to appeal will be upheld where the record demonstrates that it was knowingly, intelligently, and voluntarily made (*People v Seaberg*, 74 NY2d 1, 11 [1989]). That sensible standard has been settled for more than three decades, and repeatedly reaffirmed by this Court. It has been employed to evaluate countless appeal waivers, and consistently relied on by our State's lower courts—who bear the heaviest burden as the final arbiters in the overwhelming majority of waiver cases. Time and time again, we have assured trial courts that there is no mandatory litany that must be used to secure a valid appeal waiver; so long as it is knowing, intelligent, and voluntary, the waiver will be upheld (*see People v Sanders*, 25 NY3d 337 [2015]; *People v Lopez*, 6 NY3d 248 [2006]; *People v Lococo*, 92 NY2d 825 [1998]; *People v Hidalgo*, 91 NY2d 733 [1998]; *People v Seaberg*, 74 NY2d 1 [1989]).

The majority accurately articulates that standard—then promptly abandons it. Instead, applying an alternative approach, the majority examines whether the trial court's description of the waiver was “improper” or somehow “irredeemable under the circumstances” (majority op at 562, 566). Preoccupied with punishing the trial court, the majority discards voluntariness as the touchstone of the appeal waiver inquiry. In doing so, the majority loses sight of the determinative factor in our analysis: In all three cases, defendants knowingly, intelligently, and voluntarily waived the right to appeal in exchange for generous plea deals. Defendants should be held to their bargains.

I.

In *People v Seaberg*, this Court held for the first time that “criminal defendants may waive their rights to appeal as part of a negotiated sentence or plea bargain” (74 NY2d at 5). To be enforceable, we said, the waiver must be “voluntary” as well as “knowing and intelligent” (*id.* at 11). In other words, the reviewing court’s focus should remain on whether the defendant “knew and understood the terms” of the waiver and whether, so equipped, “he willingly accepted them” (*id.* at 12). Even an imperfect waiver, then, will remain valid so long as “there is ample evidence in the record” that the defendant “agreed to the bargain and did so voluntarily with a full appreciation of the consequences” (*id.* at 11).

In the 30 years since *Seaberg*, we have consistently emphasized that trial courts need not engage in any particular litany in order to obtain a valid waiver of appellate rights (*see People v Johnson*, 14 NY3d 483, 486 [2010]; *People v Lopez*, 6 NY3d 248, 256 [2006]; *People v Callahan*, 80 NY2d 273, 283 [1992]; *People v Moissett*, 76 NY2d 909, 910-911 [1990]; *People v Nixon*, 21 NY2d 338, 353-354 [1967]). Despite calls for a compulsory colloquy, we have repeatedly rejected mandatory catechisms in favor of broader trial court discretion (*People v Sanders*, 25 NY3d 337, 341 [2015]). “[S]ound discretion exercised in cases on an individual basis,” we have reasoned, is preferable to a “uniform procedure” that would inevitably “become a purely ritualistic device” (*id.*, quoting *People v Nixon*, 21 NY2d 338, 355 [1967]). With the benefit of a face-to-face encounter, the trial court is “in the best position” to evaluate the voluntariness of each defendant’s waiver (*Callahan*, 80 NY2d at 280). Applying that approach, we have upheld appeal waivers of all shapes and sizes.

We have, for instance, “upheld appeal waivers where no court colloquy with the defendant occurred” (majority op at 560, citing *People v Seaberg*, 74 NY2d 1 [1989]). Indeed, in *People v Moissett*, we held that the defendant validly waived his right to appeal, overlooking the fact that “the record [did] not reveal an explicit waiver” (76 NY2d at 911). Decades later, in *People v Sanders*, we upheld an appeal waiver comprised only of three questions posed by the prosecutor, who conducted the entire colloquy without input from the trial court (25 NY3d at 339-340). As these cases demonstrate, there is no “absolute minimum that must be conveyed to a pleading defendant in the plea colloquy in order for the right to appeal to be validly

waived” (*id.* at 341). So long as the defendant intentionally relinquished a known right (*People v Hansen*, 95 NY2d 227, 230 n 1 [2000]), “it should not matter that the trial judge failed to choose what we might in hindsight consider to be more felicitous words or turns of phrase” (*People v Alexander*, 19 NY3d 203, 219 [2012]). Simply put, even on a sparse record, a voluntary waiver will be upheld.

We have also upheld appeal waivers on the opposite end of the spectrum—waivers that use “overbroad language” or that suggest “an absolute bar to review” (see majority op at 559-560, 560-561). For instance, in *People v Hidalgo*, the court informed the defendant that, once her guilty plea was accepted, she could not “come back to this Court or to any court to set aside [her] conviction” (*People v Maracle*, 19 NY3d 925, 930 [2012, Graffeo, J., dissenting] [emphasis omitted] [quoting the *Hidalgo* waiver colloquy]). Similarly, in *People v Nicholson*, the trial court informed the defendant that his waiver encompassed the right “to take to a higher court . . . any of the legal issues connected with this case” (brief and appendix for appellant at A7 in *People v Nicholson*, 6 NY3d 248 [2006]). And in *People v Thomas*, the defendant was “incorrect[ly]” required to waive his “right to appeal” as well as his right to “file a notice of appeal” (majority op at 553, 564; appendix for defendant-appellant at A-16 in *People v Thomas*).

By implying that all appellate avenues were forever foreclosed, each of these appeal waivers contained “imprecise” information (see majority op at 559). Of course, even a perfunctory statement that a defendant has “waived the right to appeal” is not entirely accurate, as there are several well-established categories of appellate claims that can never be waived (see *Callahan*, 80 NY2d at 280 [discussing the “categories of appellate claims that may not be waived,” including “the constitutionally protected right to a speedy trial, challenges to the legality of court-imposed sentences, and questions as to the defendant’s competency to stand trial” (citations omitted)]). Despite their “overbroad” language, we upheld those appeal waivers based on our singular focus on whether each defendant’s waiver was “knowingly, intelligently and voluntarily entered” (majority op at 559-560).

In the rare case where the Court invalidated an appeal waiver, we emphasized the manner in which the trial court’s error infected the voluntariness of the defendant’s decision. In *People v DeSimone*, for instance, “[t]here was no record discus-

sion between the court and [the] defendant concerning the waiver,” let alone “an acknowledgement from [the] defendant” that he understood and accepted its terms (80 NY2d 273, 283 [1992]). Similarly, in *People v Bradshaw*, we invalidated the appeal waiver because the defendant—who had a “history of mental illness”—“never orally confirmed that he grasped the concept of the appeal waiver and the nature of the right he was forgoing” (18 NY3d 257, 265, 267 [2011]). And in *People v Billingslea*, the trial court inaccurately “characterize[d] an appeal as one of the many rights automatically extinguished upon entry of a guilty plea,” and therefore the record was “not sufficient to guarantee that [the] defendant understood the valued right she was relinquishing” (6 NY3d 248, 256-257 [2006]). In all of these cases, the trial courts’ errors prevented the defendants from fully appreciating the wide-ranging consequences of their waivers, thereby creating a risk that the defendants unknowingly abandoned appellate rights they intended to retain.

II.

Applying that standard to the instant appeals, the record confirms that each defendant knowingly, intelligently, and voluntarily waived the right to appeal. Each defendant was represented by counsel and confirmed on the record that he or she had an adequate opportunity to discuss the waiver with defense counsel (*see Moissett*, 76 NY2d at 911; majority op at 560 [“The role played by counsel in ensuring a defendant’s knowing and voluntary waiver is an important component of that analysis that cannot be ignored”]). Each defendant was informed that the waiver of the right to appeal was separate and apart from the rights ordinarily forfeited by a guilty plea (*see Billingslea*, 6 NY3d at 256-257). Each defendant was advised that his or her waiver would not bar certain appellate arguments, including claims concerning the legality of the imposed sentence, competency to stand trial, constitutional speedy trial, and the voluntariness of the waiver (*see Callahan*, 80 NY2d at 280). Each defendant orally confirmed on the record that he or she understood the import of the waiver (*see Bradshaw*, 18 NY3d at 265; *DeSimone*, 80 NY2d at 279). And each defendant executed a detailed written waiver form in open court, which expressly reaffirmed the knowing, intelligent, and voluntary nature of his or her waiver (*Ramos*, 7 NY3d at 738 [holding that a “detailed written waiver” could overcome “ambiguity” in the waiver colloquy]).

In addition, all three defendants had prior exposure to the criminal justice system (*see Sanders*, 25 NY3d at 342 [considering the “defendant’s background, including his extensive experience with the criminal justice system”]). For instance, defendant Thomas, a second felony offender, confirmed his previous conviction for criminal sale of a controlled substance. And defendant Green, a second violent felony offender, admitted to a prior attempted burglary conviction; in fact, at the time of her guilty plea, defendant Green was already serving a separate nine-year term.

All three defendants also received highly favorable deals that enabled them to plead guilty to reduced charges in full satisfaction of multi-count accusatory instruments (*see Callahan*, 80 NY2d at 280 [noting that “relevant factors” in assessing an appeal waiver include “the nature . . . of the agreement” and “the reasonableness of the bargain”]). Defendant Thomas—who was charged with gang assault and criminal possession of a weapon, among other things—was promised the legal minimum sentence of five years of incarceration in connection with his guilty plea, though he faced a minimum determinate sentence of eight years on the top count. Defendant Green, who faced up to 15 years on each of the three charged class C felonies, was promised a cap of six years of incarceration in connection with her guilty plea. And defendant Lang, who confessed to sexually abusing a five-year-old girl, a seven-year-old girl, and a 12-year-old girl, faced up to seven years of incarceration on each of his four charged felonies, but his plea capped his sentence at four years of incarceration. On these records, defendants cannot plausibly contend that their appeal waivers were not knowingly, intelligently, and voluntarily entered.

III.

The majority’s analysis, by contrast, invalidates two of the three waivers—taken by the same judge—based on the trial court’s so-called “serious” mischaracterization of the right to appeal (majority op at 565). Employing a kitchen sink approach, the majority takes issue with a number of the trial court’s statements, including its suggestion that defendants’ waivers would (1) operate as “an absolute bar to the taking of a direct appeal,” (2) result in a “loss of attendant rights to counsel and poor person relief,” and (3) impact defendants’ “postconviction relief separate from the direct appeal” (majority op at

565). Because none of these purported errors affected the voluntariness of defendants' waivers, none of them warrant reversal.

A.

With respect to the first asserted error, the majority itself acknowledges that we have “upheld appeal waivers” even though they were “elicited through court colloquies suggesting an absolute bar to review” (majority op at 560). As the majority concedes, even the term “appeal waiver” can “misleadingly suggest a monolithic end to all appellate rights” since “no appeal waiver serves as an absolute bar to all appellate claims” (*Garza v Idaho*, 586 US —, —, 139 S Ct 738, 744 [2019]). That broad, unqualified terminology nonetheless persists (*see* majority op at 559), appearing in practically every oral colloquy and written waiver form. Because the phrasing does not undermine voluntariness, we have held that “[a]ppeal waivers using such shorthand pronouncements are enforceable” (majority op at 559).

This Court has also addressed—and rejected—the majority’s second stated error as a basis for invalidating an appeal waiver (*see People v Ramos*, 7 NY3d 737 [2006]). In *Ramos*, for instance, the written waiver form informed the defendant that, in connection with his waiver of the right to appeal, he was “giving up” a number of related appellate rights—including the right “to prosecute [an] appeal as a poor person,” the right to “have an attorney assigned,” and the right “to submit a brief and/or argue before an appellate court on any issues relating to [his] conviction and sentence” (*Bradshaw*, 18 NY3d at 270 [Read, J., dissenting] [quoting the *Ramos* written waiver]). Despite the clear implication—that an appeal waiver surrenders the “attendant rights to counsel and poor person relief” (majority op at 565)—we upheld the “detailed written waiver” (*Ramos*, 7 NY3d at 738). The reason, yet again, stems from our focus on the defendant; because defendant “knowingly, intelligently and voluntarily waived his right to appeal” (*id.*), his waiver remained valid.¹

Even the Model Colloquy—blessed by the majority as a “solid reference for a better practice” (majority op at 567)—identifies

1. The written waiver in *Thomas*, upheld today, similarly advised defendant that the right to appeal—which he expressly waived—is accompanied by various related rights: the right “to prosecute the appeal as a poor person, to have an attorney assigned in the event that the defendant is indigent, and to submit a brief and argue before the appellate court on any issue relating to

(n. cont’d)

the rights to counsel and poor person relief as components of the right to appeal:

“An appeal is a proceeding before a higher court, an appellate court. *If a defendant cannot afford the costs of an appeal or of a lawyer, the state will bear those costs. On an appeal, a defendant may, normally through his/her lawyer, argue that an error took place in this court which requires a modification or reversal of the conviction.*” (NY Model Colloquies, Waiver of Right to Appeal, <http://www.nycourts.gov/judges/cji/8-Colloquies/Waiver%20of%20Right%20to%20Appeal.pdf> [emphasis added].)

Promptly thereafter, the Model Colloquy reminds defendants that they are “giving up” the lion’s share of their appellate rights: “As a result [of the appeal waiver], the conviction by this plea and sentence will normally be final” (*id.*). Here, by invoking the trial court’s reference to the “rights to counsel and poor person relief” as a basis for reversal (majority op at 565), the majority simultaneously discredits the Model Colloquy and tacitly overrules *Ramos*.²

The third error identified by the majority is a new one: the trial court’s purported misstatements concerning the effect of defendants’ waivers on “postconviction relief separate from the direct appeal”—namely, on “collateral” challenges available in “state and federal courts” (majority op at 565-566). Though we have never said so, the majority asserts that none of these avenues of postconviction relief may be waived (*see* majority op at 560-561, 561 n 3), and based on that novel conclusion, determines that the trial court’s contrary suggestion was flawed (*see* majority op at 565-567).

The breadth of that holding is troubling. CPL 440.10, our primary postconviction relief statute, contains no fewer than 10 grounds on which a defendant may move to vacate his conviction (*see* CPL 440.10 [1]; *see also* *People v Tiger*, 32 NY3d 91, 98-99 [2018]). The federal habeas corpus scheme is similarly

the conviction or sentence” (*see* appendix for defendant-appellant at A-16 in *People v Thomas*).

2. Moreover, as a practical matter, a valid waiver of the right to appeal dramatically limits the scope of counsel’s available arguments—and the nature of the representation that a defendant should expect—since defense counsel is never required to “make unsupportable arguments” on a defendant’s behalf (*Garza*, 586 US at — n 8, 139 S Ct at 746 n 8; *see also* Rules of Professional Conduct [22 NYCRR 1200.0] rule 3.1).

broad, enabling defendants to assert any “violation of the Constitution or laws or treaties of the United States” (28 USC § 2254 [a]; *Jones v Cunningham*, 371 US 236, 243 [1963] [noting that the writ of habeas corpus “is not now and never has been a static, narrow, formalistic remedy”]). Given the breadth and diversity of collateral claims available in both state and federal court, the impact of an appeal waiver on a defendant’s postconviction remedies is a complex and consequential decision—and one that we had not, until today, resolved.

Still more disturbing, the issue has never been argued by any of the parties in these appeals.³ That should come as no surprise; these cases do not present the issue of whether any, let alone all, collateral claims may be validly waived. Rather, defendants seek only to restore their direct appeals and, as a result, they do not address the availability (or waivability) of any collateral claims. Apart from the obvious reviewability problems—we generally do not consider arguments not raised by the parties (*see People v Tapia*, 33 NY3d 257, 270 n 8 [2019])—we are left with a complete absence of any briefing or argument that would enable the Court to reach an informed, considered, and well-reasoned decision. Undeterred, the majority decides the issue—and adopts a sweeping rule—in a handful of conclusory sentences: An appeal waiver, the majority states, relinquishes “only” those claims that “can be reviewed on direct appeal,” and accordingly, waiver colloquies should never mention “collateral or federal relief” (majority op at 560-561, 561 n 3, 565-567 [emphasis added]).

Even a brief examination of that holding reveals deep flaws. With respect to state remedies, at least four of the collateral claims housed in CPL 440.10 are expressly reserved for those defendants convicted at trial (*see* CPL 440.10 [1] [c] [claim that “(m)aterial evidence adduced *at a trial*” was known to be “false” (emphasis added)]; *id.* 440.10 [1] [d] [claim that “(m)aterial evidence adduced by the people *at a trial*” was “procured in violation of the defendant’s rights under the constitution” (emphasis added)]; *id.* 440.10 [1] [f] [claim of “(i)mproper and prejudicial

3. In challenging the voluntariness of their waivers, defendants never relied on the trial court’s discussion of collateral remedies. Even when expressly asked, defense counsel in both *Lang* and *Green* identified only those portions of the waiver colloquy discussing the right to counsel and the right to poor person relief; neither defendant adopted an argument concerning the waivability of the countless collateral claims available in state and federal court (*see* oral argument tr at 25-26, 34-35, 52-54).

conduct” that “occurred *during a trial*” (emphasis added)]; *id.* 440.10 [1] [g] [claim that “(n)ew evidence” was discovered after “a verdict of guilty *after trial*” (emphasis added)]). A fifth provision imposes a heightened standard on defendants “convicted after a guilty plea” as compared to those defendants “convicted after a trial” (CPL 440.10 [1] [g-1]). We evaluated a sixth provision in *People v Tiger* (32 NY3d 91 [2018]), where we held that the defendant’s guilty plea—coupled with a waiver of the “right to appeal all aspects of th[e] case” (*id.* at 104 [Garcia, J., concurring])—foreclosed her subsequent assertion of an “actual innocence” claim under CPL 440.10 (1) (h) (*id.* at 102-103). Evidently, an appeal waiver, coupled with a guilty plea, necessarily restricts a defendant’s collateral remedies by foreclosing those grounds for relief predicated on a conviction at trial. In fact, in *People v Hidalgo*, the trial court expressly informed the defendant that, as a result of her appeal waiver, she could not “come back to this Court or to any court to *set aside [her] conviction*” (*Maracle*, 19 NY3d at 930 [Grafteo, J., dissenting] [some emphasis added] [quoting the *Hidalgo* waiver colloquy]). Despite its apparent reference to collateral remedies, the defendant’s waiver was upheld.⁴

With respect to collateral attacks in federal court, it is crystal clear that a defendant may validly waive the right to seek federal habeas corpus relief: “[E]nforceable waivers can preclude not only the right to direct appeal but also the right to collaterally attack the conviction in a habeas or other petition” (*Rodriguez v Conway*, 2010 WL 92911, *1, *4, 2010 US Dist LEXIS 888, *2, *12 [ED NY, Jan. 6, 2010, No. 06-CV-6358] [holding that the petitioner, a state defendant, “knowingly . . . waived his right to appeal” and “his right to collaterally attack the conviction in federal court”]). The majority’s contrary holding is not only wrong, it is effectively meaningless; a defendant’s waiver of federal habeas rights is evaluated not under state standards, but under “the recognized *federal standard* of being knowing and voluntary” (*Cross v Perez*, 823 F Supp 2d 142, 148 [ED NY 2011] [emphasis added]). Under that approach, trial courts are not only permitted to explain the impact

4. The majority correctly notes that a guilty plea, by itself, operates to forfeit a number of collateral claims (majority op at 561 n 3). A valid appeal waiver might *also* operate to relinquish *additional* collateral remedies in state court; indeed, in federal court, it has that precise effect (*see infra*). We have never evaluated the effect of an appeal waiver on any collateral claim. Now, given the majority’s holding, we never will.

of a defendant's waiver on his collateral remedies, they are *required* to do so (*see id.*).

Given these repercussions, it would be prudent—not “erroneous” (majority op at 566)—for trial courts to advise defendants that their appeal waivers will impact their collateral remedies. Ironically, had the trial court in these cases failed to advise defendants of the broad ramifications of their waivers, defendants might have plausibly (and perhaps successfully) asserted a voluntariness argument on the basis that they failed to appreciate their waivers' full scope. The majority's holding now precludes trial courts from delivering those accurate warnings.

B.

Even if the trial court's colloquy was, in fact, misleading, the court's overbroad description of defendants' waivers would still not require their invalidation. As an initial matter, had defendants actually been misled by a literal interpretation of their appeal waivers, they would have never filed these appeals—and none of these cases would be here. In any event, an otherwise valid waiver is not rendered involuntary simply because the defendant was willing to waive *more* rights than required (*see People v Rudolph*, 21 NY3d 497, 502-503 [2013] [“If anything, defendant pleaded guilty under the impression that the law was less favorable to him than we have held that it is—in other words, the plea offer he accepted may have been better than he thought. That is not a misapprehension that would support an application to withdraw a plea”]; *see also Garza*, 586 US at —, 139 S Ct at 749-750 [noting that “even the broadest appeal waiver does not deprive a defendant of all appellate claims”]). While any nonwaivable issues purportedly encompassed by a waiver will be excluded from its scope, the balance of the waiver remains valid and enforceable (*see People v Henion*, 110 AD3d 1349, 1350 [3d Dept 2013]; *People v Neal*, 56 AD3d 1211, 1211 [4th Dept 2008]; *see also Callahan*, 80 NY2d at 282 [holding that “a bargained-for waiver of the right to appeal is ineffective *to the extent* it impairs the defendant's ability to obtain appellate review” of unwaivable claims (emphasis added)]).

Notably, these defendants do not seek to raise claims that might fall beyond the scope of a valid waiver. Rather, they seek appellate review of the trial court's suppression ruling (*Thomas*), sentencing determination (*Green*), and denial of youthful offender status (*Lang*)—claims that are entirely waiv-

able and that, here, were validly waived. By way of example, during defendant Green’s waiver allocution, the court stated: “Do you understand that [appeal] waiver goes to almost all issues of conviction and sentence, including the terms and length of your sentence, whether your sentence is excessive . . . ?” Defendant responded: “Yes, sir.” She now seeks to raise an excessive sentence claim.

Nor is the majority’s analysis properly anchored in *Billingslea* (majority op at 565-566)—a case involving an *underinclusive* waiver (6 NY3d 248 [2006]). There, the trial court conflated the distinct concepts of forfeiture and waiver, inaccurately informing the defendant that her appeal waiver was an automatic consequence of her guilty plea (*id.* at 254). As a result, the record failed to demonstrate that the defendant grasped the full range of claims she had relinquished through her waiver, rendering the waiver involuntary (*id.* at 257). Here, by contrast, each waiver made clear that the right to appeal is “separate and distinct,” and defendants fully appreciated the breadth of claims validly encompassed by their waivers. Armed with that knowledge, defendants voluntarily agreed to waive those rights—and then some.

IV.

In lieu of voluntariness, then, the majority’s holding is premised on an entirely different standard—one that focuses solely on the trial court to the exclusion of the defendant. Tellingly, the majority’s analysis contains little discussion of these defendants; it makes no mention of defendants’ backgrounds, plea deals, or discussions with counsel (*see* majority op, part III). The majority effectively eliminates defendants from the inquiry altogether, instead resorting to harsh criticism of the trial court’s colloquy as “muddled,” “confused,” “conflated,” “incorrect,” “improper,” and “erroneous” (majority op at 564, 565-566). The touchstone of that inquiry is the conduct of the trial court—not its impact on the defendant.

This shift in emphasis works a change in our law. Our standard is premised not on a review of the trial court’s colloquy in a vacuum, but on the defendant’s grasp of the relinquished rights. Rather than asking whether defendants acted knowingly, intelligently, and voluntarily, the majority asks whether the trial court’s description of the waiver contained a “serious” mischaracterization of the right to appeal or was otherwise “incorrect and irredeemable under the circumstances” (major-

ity op at 562, 565). That novel standard elevates the court's colloquy over the defendant's state of mind, neglecting the centerpiece of voluntariness review. Not only does the majority's approach run counter to decades of settled precedent, it leaves lower courts with an unfamiliar and undefined new framework.

The majority's punitive tone is particularly jarring in light of our clear advisement that the "better practice" is for trial courts to "define the nature of the right to appeal more fully" (*Sanders*, 25 NY3d at 342). A broader, more inclusive colloquy, we reasoned, serves to protect defendants from unwittingly abandoning vital appellate rights (*see People v Maracle*, 19 NY3d 925, 928-929 [2012]). Indeed, we have admonished trial judges to more thoroughly explain the rights surrendered by an appeal waiver in order to ensure that defendants appreciate their far-reaching implications (*see DeSimone*, 80 NY2d at 283; *Sanders*, 25 NY3d at 342).

Meanwhile, we continue to craft a maze of rules for trial courts to navigate. Our cases have generated an evolving, non-exhaustive list of appellate claims that can never be waived—a list susceptible to continued amendment (*see Seaberg*, 74 NY2d at 9). Indeed, defendant Thomas's brief purports to list 18 additional appellate claims that survive a valid waiver (*see* brief for defendant-appellant in *People v Thomas*). And despite our promise of "no mandatory litany" (*e.g. Johnson*, 14 NY3d at 486), our cases continue to suggest "standard procedure[s]" for trial courts to adopt (majority op at 561-562 [discussing *Lopez*, 6 NY3d 248]). The rules are constantly changing, and our cases hardly lend themselves to a clear procedure.

The result has been predictable: more expansive waiver colloquies, couched in cautionary language, designed to impress upon defendants the breadth and significance of the rights encompassed by an appeal waiver. Reinforcing that approach, we have upheld a number of these padded waivers, opting to overlook technical inaccuracies aimed at emphasizing the broad scope of the right to appeal (*see* majority op at 559-563; *see also Nicholson*, 6 NY3d at 257; *Ramos*, 7 NY3d at 738; *Hidalgo*, 91 NY2d at 734-737). With respect to appeal waivers, our message to trial courts has been consistent and clear: say more, not less.

The majority's message today is the opposite: say less, not more. In each of these three cases, the trial court went to great

lengths to impress upon the defendant that a waiver of the right to appeal is important, expansive, and should not be taken lightly. That approach has now been condemned. The result is an unfortunate one: waivers will only be less knowing, less intelligent, and less voluntary.

V.

The ramifications of today's holding will be substantial and, more importantly, detrimental to defendants. Initially, the majority's assertion that its holding is a classic application of our established standard will, by itself, generate widespread repercussions (*see* majority *op* at 552, 563). Any waiver resembling those in *Green* and *Lang* is now prone to attack, and any defense attorney who failed to challenge its terms is vulnerable to a claim of ineffective assistance of counsel (*see* CPL 440.10 [1] [h]). And because the majority insists that it has not announced a new rule, its holding applies even to those cases that have already become final (*see People v Baret*, 23 NY3d 777, 783-784 [2014]).

The majority's holding also unsettles plea bargains in a manner that will harm the public, the courts, and ultimately, defendants. Like guilty pleas, appeal waivers serve the laudable goals of certainty and finality, allowing for "prompt resolution of criminal proceedings with all the benefits that enure from final disposition" (*Seaberg*, 74 NY2d at 7; *Tiger*, 32 NY3d at 101). But plea agreements, like all other contracts, depend on consistency and predictability in their enforcement (*see J. Zeevi & Sons v Grindlays Bank [Uganda]*, 37 NY2d 220, 227 [1975]; *see also United States v Riggi*, 649 F3d 143, 147 [2d Cir 2011] [noting that plea agreements are construed "according to contract law principles"]). We therefore counsel against judicial upending of the bargain reached at the conclusion of the parties' negotiations (*Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 695 [1995]), opting instead to enforce the terms of the parties' negotiated agreement (*Seaberg*, 74 NY2d at 10; *see also People v Avery*, 85 NY2d 503, 507 [1995] ["Conditions imposed as part of a plea arrangement are valid if the parties agree to them and they do not violate any statute or contravene public policy"]). "[B]argains fairly made," we stressed, "should signal an end to litigation, not a beginning" (*Seaberg*, 74 NY2d at 8, 10; *see also Tiger*, 32 NY3d at 100-101).

Today's holding unravels defendants' bargains and undermines the finality of their convictions. That result serves only

to “disadvantage[] the public by allowing defendants to relitigate issues that they waived in exchange for substantial benefits” (*Garza*, 586 US at —, 139 S Ct at 755 [Thomas, J., dissenting]; *see also Seaberg*, 74 NY2d at 10 [recognizing the “public interest concerns” that are “served by enforcing waivers of the right to appeal”]). It also enlarges the case load of our already burdened appellate courts, who must address the new appeals authorized by today’s decision (*Garza*, 586 US at —, 139 S Ct at 755 [Thomas, J., dissenting]).⁵

Perhaps worst of all, by depriving the prosecution of the benefit of its bargain, the majority introduces considerable uncertainty into the plea bargaining process. Without the guarantee of finality that an appeal waiver once promised, a prosecutor’s incentive to offer generous plea deals is dramatically diminished (*see Seaberg*, 74 NY2d at 10 [“the negotiating

5. Judge Wilson asserts that, “in the real world,” appeal waivers “fail to advance the State’s interest in finality” because appellate challenges to the validity of appeal waivers consume the time and resources of appellate courts and advocates (*see Wilson*, J., dissenting/concurring op, part III). But his anecdotal evidence omits the most significant statistic: the tens of thousands of cases where defendants decline to pursue an appeal as a direct result of their waivers. Accurately presented, the empirical evidence demonstrates that appeal waivers continue to serve the goals of finality and judicial economy that we recognized in *Seaberg*. In 2018, nearly 37,000 felony cases were resolved by guilty plea in Supreme Court and County Court, but only 2,870 of those cases were later addressed by the Appellate Division (*see New York State Unified Court System 2018 Annual Report, Court Structure and Caseload Activity*). Accepting the premise that appeal waivers are a “standard” component of plea deals (*People v Batista*, 167 AD3d 69, 81 [2d Dept 2018, Scheinkman, P.J., concurring]), these statistics tell us that fewer than 8% of defendants opt to pursue an appeal once they have waived their appellate rights. Put differently, in more than 92% of cases, appeal waivers operate exactly as they were intended.

There is no reason to believe that these revealing statistics are the result of pure coincidence (*see Spiros A. Tsimbinos, The State of Appellate Division Caseloads*, 70 NY St BJ 33, 34 [Jan. 1998] [attributing the “steep decline in criminal appeals” to the increasing “utilization of the waiver of appeal” as a result of “the Court of Appeals decision in *People v. Seaberg*”]). Judge Wilson’s contrary suggestion—that defendants would “not appeal their convictions” even in the absence of an appeal waiver (Wilson, J., dissenting/concurring op at 596 n 6)—is both unsupported and counterintuitive.

Nor is there any support for the speculative argument that, because appeal waivers have become “virtually universal,” no additional consideration is provided to defendants in exchange for an appeal waiver (brief for amicus curiae Criminal Appeals Bureau of The Legal Aid Society at 3 in *People v Thomas*; *accord Wilson*, J., dissenting/concurring op at 592-593). In fact, the opposite conclusion is at least equally plausible: universal appeal waivers are universally compensated with more favorable plea deals—such as a four year maximum prison term for sexually assaulting three children.

process serves little purpose if the terms of ‘a carefully orchestrated bargain’ can subsequently be challenged” (citation omitted)). Here, for instance, defendants Green and Lang, who faced lengthy terms of incarceration on their respective burglary and sexual abuse charges, will retain their reduced sentences (among other benefits), even though they have been relieved of their earlier promise to restrict further litigation. Going forward, a negotiating prosecutor will understandably consider that—notwithstanding a defendant’s appeal waiver—limitless appeals might still ensue. In turn, the “very real” benefit of a waiver, a valuable bargaining chip for defendants, will be discounted (*see United States v Teeter*, 257 F3d 14, 22 [1st Cir 2001] [“Allowing a criminal defendant to agree to a waiver of appeal gives her an additional bargaining chip in negotiations with the prosecution”]). In other words, appeal waivers will no longer operate as a secure means of “providing a prompt conclusion to litigation,” nor will they serve the “worthy objectives” we once celebrated (majority op at 557, 558). Terms offered to defendants may well reflect that new landscape as prosecutors adjust for increased risk. Ultimately, defendants will pay the price.

WILSON, J. (dissenting in *People v Thomas*; concurring in result in *People v Green* and *People v Lang*). The game is not worth the candle. That is not to say this is a game: for many defendants, the harsh and chilling effect of appellate waivers results in the deprivation of their constitutional and statutory rights, far from anything one could, other than with great irony, call a game. Rather, our Court’s tortured jurisprudence on appellate waivers has wreaked havoc on the lower courts, district attorneys, defense counsel and defendants, and is not worth any of the hypothetical benefits purportedly bestowed by appellate waivers.

Since *People v Seaberg* (74 NY2d 1 [1989]), we have held that an appeal waiver is enforceable so long as the defendant has agreed to it knowingly, voluntarily and intelligently. There, we offered that appellate waivers provide a means “where, by mutual concessions, the parties may obtain a prompt resolution of criminal proceedings with all the benefits that enure from final disposition” (*id.* at 7). We observed that the “final and prompt conclusion of litigation is an important goal,” “provided . . . that the settlement is fair, free from oppressiveness, and sensitive to the interests of both the accused and the

People” (*id.* at 8). We noted that there was no public policy precluding defendants from waiving their rights to appeal, and that the “validity of the waiver is supported by the interests supporting plea bargains generally” (*id.* at 10). At the same time, *Seaberg* recognized that some claims—not itemized in our decision—could not be waived because those claims “embrace the reality of fairness in the process itself” (*id.* at 9).

The reality, however, is that appeal waivers have so corrupted the integrity of the process that, as our jurisprudence now stands, it is the rare appellate waiver that is fully knowing, voluntary and intelligent. The foundational justifications on which *Seaberg* relied to sanction appellate waivers are painfully absent in all three cases before us. Those waivers were not “fair,” “free from oppressiveness,” or “sensitive to the interests of both the accused and the People.” I therefore dissent as to *People v Thomas*; I concur in result as to *People v Green* and *People v Lang*.

I.

The waivers at issue here were incapable of providing the defendants any meaningful knowledge as to the rights they were waiving. The knowing, voluntary and intelligent test works tolerably well in its original context: plea bargaining. There, a defendant must learn the precise terms of the offered sentence, and weigh that against the potential benefits and costs of going to trial. As regards the sentence received, our jurisprudence has been circumspect in ensuring that every detail of that sentence is identified clearly (*see e.g. People v Catu*, 4 NY3d 242, 244 [2005] [“the court must advise a defendant of the direct consequences of the plea”]; *People v Louree*, 8 NY3d 541, 545 [2007] [“a plea cannot be knowing, voluntary and intelligent if a defendant is ignorant of a direct consequence” of his plea]; *People v Peque*, 22 NY3d 168, 192-193 [2013] [“a noncitizen defendant convicted of a removable crime can hardly make ‘a voluntary and intelligent choice among the alternative courses of action open to the defendant’ unless the court informs the defendant that the defendant may be deported if he or she pleads guilty”], citing *People v Ford*, 86 NY2d 397 [1995]; *People v Estremera*, 30 NY3d 268 [2017]). Transported by *Seaberg* to appellate waivers, however, the test sheds painfully little light on whether a defendant knows the rights waived, comprehends them intelligently, and makes a voluntary decision to abandon them. Two principal reasons account

for that failure. First, in sharp contrast to the terms of a sentence, we have expressly held that no itemization of the appellate rights waived is required (*People v Lopez*, 6 NY3d 248, 256 [2006] [“a trial court need not engage in any particular litany when apprising a defendant pleading guilty of the individual (appellate) rights abandoned”]; *People v Sanders*, 25 NY3d 337, 341 [2015]; *see also* majority op at 559). In practice, no such itemization is given. Second, for the typical criminal defendant, grasping the weight of the term of a sentence is fathomable; grasping the weight of the waived and unwaived appellate rights is not. Indeed, I feel confident that most criminal lawyers (and judges, myself included) could not produce a comprehensive list of the waivable and unwaivable rights without conducting substantial research—let alone assess the value of those rights in the context of a particular case.

The prospect that appeal waivers might be knowing, voluntary and intelligent is further eroded because we are attempting to measure whether the defendant “knows” something, has an “intelligent” basis to assess it, and makes a “voluntary” choice based on factors completely external to the defendant. We review the trial transcript, the colloquy of the court, the written waiver provided by the prosecutor. The defendant’s own voice is conspicuously lacking. We test middle-school students about their knowledge of American history by asking them to recite facts and dates, not by giving them the correct answers and instructing them to answer “yes.” We test prospective citizens similarly. But with criminal defendants, we verify their knowledge (and intelligence and voluntariness) based on monosyllabic answers they are instructed by counsel to deliver, coupled with a signature on a form in a situationally coercive environment, where the entire plea—not just the appellate waiver—may be jeopardized should the defendant say he or she does not understand the rights forfeited or their import (*see Seaberg*, 74 NY2d at 8). Stark is the contrast between the reality of *Seaberg*, where no colloquy occurred, and the language espoused in cases following it, which have emphasized “the responsibility to oversee the process and to review the record to ensure that the defendant’s waiver of the right to appeal reflects a knowing and voluntary choice” (*see e.g. People v Callahan*, 80 NY2d 273, 280 [1992]).

An appellate waiver is effective only when “a defendant has a full appreciation” of its consequences, and a defendant “must comprehend” that the appellate waiver is separate and distinct

from the plea (*People v Bradshaw*, 18 NY3d 257, 264 [2011] [internal quotation marks omitted]).¹ When the courts themselves spout misleading and incorrect information as they did in *Thomas*, *Green*, and *Lang*, courts will be hard-pressed—even if they engage in in-depth colloquies—to ensure the “full appreciation” and “comprehension” of defendants.² Perhaps it is the reality that a judge cannot truly determine whether the defendant knows the rights waived and their import that has resulted in the labyrinth of contradictions comprising our appellate waiver jurisprudence.

As the majority acknowledges, the language of the waivers in all of the cases before us was either “incorrect” in *Thomas* (majority op at 564) or “mischaracterized” in *Lang* and *Green* (majority op at 552). Query, from a defendant’s perspective, why a “mischaracterized” statement by a court results in an invalid waiver, but an “incorrect” one does not, or what meaning the majority ascribes the difference between the two. I agree with the majority that “the muddled nature of the court’s advisements” cannot be ignored in *Lang* and *Green* (majority op at 566), where the trial court told the defendants that there would be “no review by any other court.” I also agree with the majority that where even a reviewing court would struggle to understand the rights surrendered by an appellate waiver, we cannot expect defendants or their attorneys to “grasp the nature of the rights they are surrendering” (majority op at 566). I part ways with the majority as to its conclusion in *Thomas*. The court told Mr. Thomas that he was waiving his right “to challenge to a higher court what is taking place right now, the plea and what will take place in about two weeks when you are sentenced, to challenge those proceedings to a higher court.” In the context of assuring that a defendant has knowingly, voluntarily and intelligently waived certain appel-

1. Moreover, because appellate waivers are “ritualistic devices” included in every plea agreement as discussed in part II, a judge will face a Herculean task in making sure a defendant fully comprehends that an appellate waiver is “separate and distinct” from the plea.

2. Presiding Justice Scheinkman of the Second Department has suggested that even describing these agreements as “appellate waivers” makes them more difficult for the average defendant to comprehend fully. “It would seem more likely to be comprehensible to one without formal legal training, and substantially less inconsistent, to identify the limitation on appeal issues as being what it is—a limitation—from the outset, rather than having to explain that an appeal may be taken notwithstanding the ‘waiver’ of appeal just executed moments earlier” (*People v Batista*, 167 AD3d 69, 80 [2d Dept 2018, Scheinkman, P.J., concurring]).

late rights, I see no difference between a judge telling a defendant that there will be no review by any other court and telling a defendant that he cannot challenge any of the current or future proceedings in a higher court, especially when that colloquy is coupled with a waiver that states the defendant is waiving his right to file a notice of appeal. As in *Green* and *Lang*, a reviewing court would struggle to discern whether Mr. Thomas understood the rights he waived.³

By choosing to differentiate these cases, the majority further ensnares this Court in our Daedalean maze. As the majority acknowledges (majority op at 562-563), we have struck down waivers when a lower court advised the defendant that he could not take the case to a higher court (see *People v Billingslea*, 6 NY3d 248 [2006]; *People v Bradshaw*, 18 NY3d 257 [2011])—but, the majority says, those situations were distinguishable because “under the circumstances” those defendants could not have known the distinct appellate rights they were surrendering, while here Mr. Thomas surely did. Under our current case law, the “nature and terms of the agreement and the age, experience and background of the accused” may allow a trial court to determine that a waiver remained voluntary, knowing and intelligent (*Seaberg*, 74 NY2d at 11), despite its internal contradictions and inconsistencies. Even the most experienced defendant would struggle under the facts at issue in *Thomas*. A judge told Mr. Thomas that he was waiving his right to appeal, explicitly telling him that meant he could not challenge his plea or sentence in a higher court; next, he signed a written waiver form which said at once both that he was waiving “any and all rights to appeal including the right to file a notice of appeal . . . with the exception of any constitutional speedy trial claim which may have been advanced, the legality of the sentence, my competency to stand trial, and the voluntariness of this plea and waiver” and that he had waived his right to “appeal and to file a notice of appeal.” Those inconsistencies alone prevent Mr. Thomas’s waiver from being knowing and intelligent.

3. In the alternative, the Appellate Division held that the hearing court properly denied Mr. Thomas’s suppression motion because the “detective’s act of showing defendant an incriminating photograph was, under the circumstances, a permissible response under *People v Rivers* to defendant’s demand to know why he was being arrested” (*People v Thomas*, 158 AD3d 434, 435 [1st Dept 2018] [citations omitted]). Because I conclude that Mr. Thomas’s case falls squarely within our holding in *People v Ferro* (63 NY2d 316 [1984]), I disagree.

Our totality-of-the-circumstances jurisprudence—in addition to supplying an excuse for courts to uphold inherently contradictory waivers—reflects a bizarre and unintended additional punishment for repeat offenders. Those who have been previously convicted or exposed to the system are, without any empirical evidence that this is so, determined to be more “intelligent” about the appeal waiver and more likely to have “knowingly and voluntarily” waived their right to appeal, as a consequence of their “age, experience and background” (*id.*), while first-time offenders will have an easier time of representing their waiver as unknowing. Perhaps, instead, their experience has taught them only that our maze is inescapable.

II.

In addition to the above problems inherent in determining the state of mind of a layperson about rights we offer in a coercive setting and we fail to enumerate, appellate waivers run afoul of *Seaberg*’s foundation in a fundamental way. *Seaberg* sanctioned appellate waivers as means “where, by mutual concessions, the parties may obtain a prompt resolution of criminal proceedings with all the benefits that enure from final disposition” (*Seaberg*, 74 NY2d at 7). Laudable as that objective is, both ends of the presumed bargain have failed in the real world. As I set out in part III, appellate waivers have not resulted in *Seaberg*’s finality panacea. More importantly, appellate waivers are not—and have long since ceased to be—“mutual concessions,” resulting in outcomes “sensitive to the interests of both the accused and the People” (*id.* at 7-8).

The *Seaberg* Court was able to dispose of the theory that appellate waivers are per se invalid—and the related one, that appellate waivers chill defendants from effectuating their rights—only by relying on the premise that plea bargains are ultimately a voluntary process that a defendant is free to accept or reject (*see Bordenkircher v Hayes*, 434 US 357, 363 [1978]; Robert K. Calhoun, *Waiver of the Right to Appeal*, 23 Hastings Const LQ 127, 149 [1995]). History and experience have undermined *Seaberg*’s core. Our 30 years of experience under *Seaberg* demonstrates that however voluntary the plea bargain itself is, no additional consideration is provided to defendants in exchange for an appeal waiver. For appeal waivers, there are no “mutual concessions.”

Instead, something quite distasteful and unseemly happens. The government, in the form of prosecutors and the courts, receives immunity for harmful errors⁴ it has made, while defendants are expected, almost without exception, to waive their right to appeal upon pleading guilty. Appeal waivers have become a “purely ritualistic device”—they are “standard” and “part and parcel of plea bargaining” (*People v Batista*, 167 AD3d 69, 81 [2018, Scheinkman, P.J., concurring]). Due to their constituent nature, defendants do not receive a lesser sentence because of them. If they did, we would not have situations like those before us—frequently occurring in my review of cases—in which the appellate waiver was sprung upon a defendant after the plea bargaining had been completed (*see e.g. Green*). The underlying rationale for both the majority here and in *Seaberg* can survive only if there is true voluntariness for the bargain between the People and the defendant who is waiving his or her right to appeal and only if the plea and waiver are bargained separately. A contract in which one party gives nothing is void for want of consideration. Because defendants receive no benefit in exchange for the appeal waiver, defendants are often rendered victims of “situational coercion” by these automatic, non-bargained-for waivers.

This is particularly true where defendants are giving up a fundamental right, specifically that of error correction, while the government benefits from that lack of review. In a prototypical example, a defendant seeks to suppress evidence that was unlawfully obtained. Erroneously, the court denies suppression. The defendant is now offered a much higher plea deal with a mandatory appellate waiver but sees no other feasible way to proceed: she must either agree to that plea or proceed to trial without the inculpatory evidence suppressed. The prosecutor and the court have thus effectively inoculated their error in denying suppression from appellate review. As the First Department stated in *People v Ventura*, although the “powers of a prosecutor may indeed be broad,” they are “not so broad and limitless as to include the power to exact waivers of as fundamental a right as the right to appeal” (139 AD2d 196, 205 [1988]). The history since *Seaberg* illustrates what the Court in *Seaberg* did not see then: appellate waivers insulate courts from error review. As such, appellate waivers should be

4. If the errors were harmless, the harmless error doctrine would dispose of them, without resort to an appeal waiver.

per se invalid, even on *Seaberg*'s own reasoning, because they result not from fair bargaining but from an unjust process that leads defendants compulsorily to accept waivers, foreclosing the system's obligation to review for prejudicial errors.

Our jurisprudence on appellate waivers affects more than just the rights of defendants: it impinges on the right of the public to a system that includes appellate review. The right to appeal is a fundamental right (*see e.g. Ventura*, 139 AD2d at 205; *United States v Melancon*, 972 F2d 566, 577 [5th Cir 1992], citing *Griffin v Illinois*, 351 US 12, 18-19 [1956]). Moreover, in New York, the duty of appellate courts to entertain “‘all appeals from final judgments in criminal cases’ is of constitutional dimension” (*Callahan*, 80 NY2d at 284). The United States Supreme Court has recognized that defendants have “a right to a[n appellate] proceeding” regardless of whether they signed an overbroad waiver (*see Garza v Idaho*, 586 US —, —, 139 S Ct 738, 747 [2019]). We must then view our decisions in these cases as having utmost significance: it is a right of every New Yorker to have an honest process by which criminal defendants are convicted and their cases reviewed by a higher court. That right is diminished where this Court prevents the full review of errors that occur at trial, errors for which the government is responsible.⁵ Why should the public trust a system in which the process is not open to examination by a court capable of further consideration? “It is essential that the system not only be fair but that it be perceived as fair” (Calhoun, *Waiver of the Right to Appeal* at 178). Because the right to appeal assures defendants and the public that there is an available corrective process—one outside the hands of a single judge—it is that right which ultimately allows the system to be perceived as fair.

Yet despite its fundamental importance, our Court has repeatedly approved of overbroad appellate waivers—waivers in which it is not clear that the defendants, the prosecutors or the courts knew the full extent of the rights waived. That result is incongruous with a fair criminal justice system. The cases before us today are deeply troubling because they reveal that

5. Everyone agrees that our court systems are over-burdened. We should all agree then that “the decision of three people with time for reflection over the decision of one person with little or no time to think” should be preferred (Judith Resnik, *Precluding Appeals*, 70 Cornell L Rev 603, 620 [1985]; *see also* Calhoun, *Waiver of the Right to Appeal* at 165). Five, had they time, would be still better. We should all want such error review.

which is not brought before us: the innumerable cases which never make it to any appellate court. When a defendant is told, as Ms. Green and Mr. Lang were, that they cannot appeal to “any other court,” or when a defendant signs a form that forbids the filing of a notice of appeal, as Mr. Thomas did, mere fortuity brings that case to our notice. In innumerable other cases, after being explicitly told by a judge or advised by an attorney that she cannot file an appeal or that there will be no further review of her case, a defendant will simply not file an appeal and not seek review. This prevents defendants from effectuating their rights, even when those rights are legally unwaivable. Although “an agreement to waive appeal does not foreclose appellate review in all situations” (*Callahan*, 80 NY2d at 284), the broad and impenetrable language in appellate waivers “discourages defendants from filing notices of appeal even when they have claims that cannot be waived, such as one concerning the lawfulness of the waiver or the plea agreement itself” (*People v Santiago*, 119 AD3d 484, 485-486 [1st Dept 2014]). Because such language deprives a court of the “very jurisdictional predicate it needs as a vehicle for reviewing the issues that survive the waiver” (*Callahan*, 80 NY2d at 284), and chills defendants from enforcing their rights, appellate waivers should never be valid.

III.

As if that was not enough to make appellate waivers worthy of abandonment, the *raison d'être* of appeal waivers—finality—does not justify their existence. In *Seaberg*, *Callahan*, and again in *People v Lopez* (6 NY3d 248 [2006]), we stressed the importance of “holding [a] defendant to the plea and sentence bargain he or she made . . . in order to accomplish the goals of fairness and finality” (*id.* at 262). We even held that “waivers *advance* that interest, for the State’s legitimate interest in finality extends to the sentence itself and to holding defendants to bargains they have made” (*Seaberg*, 74 NY2d at 10 [emphasis added]). Those are nice theories. What happens in the real world? Appellate waivers not only fail to advance the State’s interest in finality, they have become a “pathway to future litigation” (*Batista*, 167 AD3d at 78), largely due to the failure inherent in a test designed to determine knowledge,

intelligence and voluntariness in a coercive situation with amorphous and inconsistent guidelines susceptible to various interpretations.⁶

To be clear, when we have said “finality,” what we really mean is cost. For the centuries before *Seaberg* authorized appeal waivers, every criminal prosecution in New York came to a final conclusion. “Finality” is just the cost savings associated with avoiding one level of appellate review.⁷ Surely, cost to taxpayers must be taken into account, but we should recognize it for what it is, instead of calling it “finality” to raise the specter of endless litigation. We also must recognize that we are balancing that cost against the actual and perceived fairness of the criminal justice system.⁸

6. Judge Garcia in his partial dissent concludes that appellate waivers “operate exactly as they were intended” because just 8% of defendants appeal after waiving their appellate rights (Garcia, J., concurring/dissenting op at 586 n 5). My colleague’s analysis lacks essential information: the fraction of defendants who pleaded guilty and did not appeal their convictions pre-*Seaberg*. Moreover, Judge Garcia’s suggestion that *Seaberg* resulted in a “steep decline in criminal appeals” is not supported by the data in the article he cites. Putting aside that the article reflects the first four years post-*Seaberg*, not the quarter century since then, the proposition that *Seaberg*—a ruling with statewide effect—was the primary driver of the decline in the number of appeals between 1992 and 1996 is incompatible with the same article’s data showing “significant” increases in the number of criminal appeals in the Third and Fourth Departments, including an increase of over 50% in the Third Department (*id.*; see Spiros A. Tsimbinos, *The State of Appellate Division Caseloads*, 70 NY St BJ 33, 34-35 [Jan. 1998]). Indeed, that article notes that the “number of felony indictments in New York City have [sic] dropped some 21% since 1990 [and] [s]imilar decreases in counties outside of New York City have also occurred” (Tsimbinos, *The State of Appellate Division Caseloads* at 34). It goes on to say that the drop in criminal appeals from 1992 to 1996 was 18%—less than the drop in felony indictments beginning in 1990. That is, the reduction in indictments alone would account for the drop in appeals, which appears quite likely because of the increase in the Third and Fourth Departments post-*Seaberg*.

7. Appeals to this court are largely discretionary; we grant approximately 1.5% of the criminal leave applications before us—and that includes cases in which the validity of an appeal waiver is at issue (see Court of Appeals of the State of New York, 2018 Annual Report of the Clerk of the Court, appendix 8).

8. Were appeal waivers abolished, either legislatively or judicially, we should expect cost savings in all the cases now appealed in which an appeal waiver exists. Among the cases in which no appeal is now taken, there are four possible outcomes if appeal waivers are eliminated: (1) some will still not be appealed; (2) some will now be appealed and have merit; (3) some will now be appealed, the defendant will lose, but the law will be clarified; and (4) some meritless appeals will be taken. Only (4) is an undesirable outcome, but the cost of disposing of a truly meritless appeal is quite small.

Post-*Seaberg*, that balance becomes quite easy to calculate, because on one side there is fairness and public confidence, and on the other side there is less than nothing. Appellate waivers create more litigation than they avoid. As the Second Department noted, it is “[f]ar too often” that a “perfunctory appeal waiver colloquy . . . serves only” to create further litigation because an appellate court is forced in its review of the case “to hold invalid a bargained-for waiver” (*id.*). In what Justice Scheinkman calls a “conservative estimate,” in just the last few years, the Appellate Division has found at least 380 appeal waivers to be invalid (*id.* at 82 [Scheinkman, P.J., concurring]). Rather than conserving judicial resources, appellate waivers consume the time of prosecutors, defense counsel and the court in attempting to create a record that might satisfy our appellate waiver jurisprudence. All that time and effort would be saved were appellate waivers banned. On appeal, appellate waivers force intermediate appellate courts, not to mention advocates, to spend countless hours parsing through appellate waiver jurisprudence, trying to navigate the complexities of waivable and unwaivable issues, and guessing at whether the defendants “fully comprehend[ed]” their waivers. And then, after all that time spent in such morass, the appeal waivers will often be found invalid and the merits of the case reached—the opposite of what *Seaberg* contemplated.

At argument, counsel for the People in *Green* and *Lang* confirmed that her office always briefs the merits even when there is an appeal waiver (“[W]e have no way of knowing for sure what’s valid as a waiver of appeal, you also have to argue . . . the other issue”). In my experience, that is true statewide. Perhaps part of the People’s motivation is to give appellate courts an easier way to decide appeals, because in many cases the appeal’s lack of substantive merit is clearer than the validity of the appeal waiver. That conclusion is evidenced in the many Appellate Division decisions ducking the question of a waiver’s validity and addressing the merits of the appeal.

Thus, if you are an appellate judge in one of the Departments that does not spend hours attempting to assess the validity of each appellate waiver, you may be in one which ignores the waivers altogether and reaches the merits anyway. Presiding Justice Acosta notes that in the First Department, appellate waivers in excessive sentence cases “consume very little of our precious time,” because the court decides the merits “without reaching the validity of any appeal waiver” (Rolando

Acosta, *First Department Takes Different Approach to Appeal Waivers*, NYLJ, Dec. 7, 2018). Even there, then, appellate waivers waste attorney time and save no judicial time. Nor do they encourage finality as formulated by *Seaberg*; they are instead largely ignored. It is clear that appellate waivers generally fail to serve the cost-saving purpose that formed the basis for their justification. As mentioned, for the vast majority of our history as a state, we have not had appellate waivers. The parties, lawyers and courts managed just fine without them.

IV.

The majority observes that my dissent is based on “hypothetical constructs” drawn from outside the record (majority op at 558 n 1). So too was *Seaberg*. *Seaberg*’s justifications for appellate waivers relied on sweeping public policy assumptions not contained anywhere in its record. No record evidence in *Seaberg* demonstrated that appellate waivers would conserve resources, avoid litigation, improve outcomes for the parties or would be knowingly, voluntarily and intelligently entered into in a noncoercive, freely bargained exchange. Instead, those assumptions were based on good faith judgments about extra-record facts. It is odd to suggest that this Court can make—and entrench—law based on such assumptions but cannot now overturn it if those assumptions have proved wrong.

In one case before us today, the Court approves of a waiver that provided “incorrect” information (majority op at 564). In two others, it disapproves of waivers that were “mischaracterized” (majority op at 552). Praise to the lower courts that can follow a string out of that maze, for it has only one exit: abandon *Seaberg*. The rule of *Seaberg*, while admirable in its notion of assuring fairness and saving costs, in practice attains neither of those goals. “Precedents remain precedents, however, not because they are established but because they serve the underlying ‘nature and object of the law itself,’ reason and the power to advance justice” (*People v Bing*, 76 NY2d 331, 338 [1990] [citation omitted]). Stare decisis is a matter of policy choice, “not a mechanical formula of adherence to the latest decision” (*id.*). Here, appellate waivers have proved unworkable, they have created more questions than they resolve, and when viewed from the “cold light of logic and experience,” they do not serve the ends of justice (see *People v Peque*, 22 NY3d 168, 194 [2013]). *Seaberg*’s knowing, voluntary and intelligent test has resulted in many defendants’ unknowing, unintelligent and in-

voluntary waivers. It has produced—not avoided—vast amounts of additional effort in trial courts and litigation in appellate courts as they struggle to establish and determine, respectively, the validity of such waivers. And, ultimately, defendants are chilled from pursuing their fundamental rights to appeal, while the public’s confidence in the system’s fairness wastes away.

All I will say with regard to Judge Garcia’s partial dissent is that I thank him for proving my case.

I do not, as the majority claims, “mistrust . . . all players in the system” (majority op at 558 n 1). I trust that overworked prosecutors, overworked defense attorneys, overworked trial judges and overworked appellate judges are doing their level best to follow our tortured appellate waiver jurisprudence, which has unintentionally foisted on all of them additional work and cost, with no benefit, and with a further cost to some defendants who believe they have waived even unwaivable rights and therefore fail to pursue them. Is an excellent judicial system one that insulates errors from judicial review, or one that considers the merits of every claim of error? What if doing so would cost less, or even the same? I respectfully dissent in *Thomas* and concur in result in *Green* and *Lang*.

In *People v Thomas*: Order affirmed.

Opinion by Chief Judge DiFiore. Judges STEIN, FAHEY and FEINMAN concur. Judge RIVERA concurs in result in an opinion. Judge GARCIA concurs in result in a separate concurring opinion. Judge WILSON dissents in an opinion.

In *People v Green* and *People v Lang*: Order reversed and case remitted to the Appellate Division, Fourth Department, for further proceedings in accordance with the opinion herein.

Opinion by Chief Judge DiFiore. Judges STEIN, FAHEY and FEINMAN concur. Judge WILSON concurs in result in an opinion, in which Judge RIVERA concurs in a separate concurring opinion. Judge GARCIA dissents in an opinion.

[145 NE3d 204, 122 NYS3d 567]

In the Matter of FRANKLIN STREET REALTY CORP., Appellant, v
NYC ENVIRONMENTAL CONTROL BOARD et al., Respondents.

In the Matter of J.P. & ASSOCIATES PROPERTIES CORP., Appel-
lant, v NYC ENVIRONMENTAL CONTROL BOARD et al.,
Respondents.

In the Matter of 41-03 31 AVENUE REALTY CORP., Appellant, v
NYC ENVIRONMENTAL CONTROL BOARD et al., Respondents.

In the Matter of 23-06 JACKSON AVENUE REALTY CORP., Appel-
lant, v NYC ENVIRONMENTAL CONTROL BOARD et al.,
Respondents.

Argued November 19, 2019; decided December 17, 2019

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 19, 2018, resolving five separate proceedings pursuant to CPLR article 78 (transferred to the Appellate Division by five orders of the Supreme Court, entered in New York County). The Appellate Division, with two Justices dissenting, (1) confirmed five determinations of respondent NYC Environmental Control Board, which had found that petitioners engaged in unauthorized outdoor advertising and imposed penalties; (2) denied the petitions; and (3) dismissed the article 78 proceedings.

Matter of Franklin St. Realty Corp. v NYC Env'tl. Control Bd., 164 AD3d 19, affirmed.

HEADNOTE

Municipal Corporations — Zoning — Outdoor Advertising Companies

Petitioners, corporations which each owned one or two small residential or mixed-use buildings, made space “available to others” for advertising purposes pursuant to Administrative Code of City of NY § 28-502.1 by displaying signs advertising the principal shareholder’s law practice. Petitioners, although owned either by the shareholder or by both the shareholder and his spouse, were distinct legal entities from the shareholder individually and from his law practice, which was organized as a professional corporation. Accordingly, petitioners were outdoor advertising companies under the plain language of Administrative Code § 28-502.1, subject to enhanced fines for violation of the signage laws. There was no statutory or equitable basis to disregard the corporate form chosen by petitioners’ shareholders who had obtained the benefit of insulation from personal liability and may also have obtained tax or other benefits through their choice to hold the buildings in a

corporate form. Preservation of the distinction between petitioners and the shareholder was not a penalty for forming corporate entities to own the buildings for tax and liability purposes but a consequence of choosing that form of ownership. In addition, allowing corporate building owners—even those that advertise a principal shareholder’s separate business—to fall under the definition of “outdoor advertising company” comports with the legislative intent to expand the regulations of outdoor advertising and to minimize the visual blight those signs represent.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Advertising §§ 23–25; AM JUR 2d Constitutional Law §§ 386, 397; AM JUR 2d Zoning and Planning 66, 223–226, 236.

CARMODY-WAIT 2d Proceeding Against a Body or Officer §§ 145:35, 145:1318, 145:1467, 145:1507.

NY JUR 2d Advertising §§ 13–20; NY JUR 2d Buildings, Zoning, and Land Controls §§ 4, 328; NY JUR 2d Counties, Towns, and Municipal Corporations § 290.

NEW YORK ZONING LAW AND PRACTICE (4th ed) §§ 6:07, 17:01–17:06, 38:05.

ANNOTATION REFERENCE

Municipal power as to billboards and outdoor advertising. 58 ALR2d 1314.

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POINTS OF COUNSEL

Cohen, Hochman & Allen, New York City (*Lindsay I. Garroway* and *Nicole Beletsky* of counsel), for appellants. I. The Appellate Division improperly affirms an arbitrary and capricious determination by respondent New York City Environmental Control Board that irrationally distinguishes between corporate structures to extract penalties from a property owner that is not an outdoor advertising company. (*Infosearch, Inc. v Horowitz*, 117 Misc 2d 774; *We’re Assoc. Co. v Cohen, Stracher & Bloom*, 103 AD2d 130.) II. Respondent New York City Environmental Control Board’s appeal decision and order is legally insufficient as it does not contain the requisite findings of fact and conclusions of law. (*Matter of Montauk Improvement v Proccacino*, 41 NY2d 913; *SEC v Chenery Corp.*, 332 US 194;

Matter of Costco Wholesale Corp. v New York State Liq. Auth., 125 AD3d 775.) III. Respondents unconstitutionally infringe on petitioners' right to free speech in their enforcement of the New York City Administrative Code and the Rules of the City of New York. (*National Adv. Co. v Town of Babylon*, 900 F2d 551; *OTR Media Group, Inc. v City of New York*, 83 AD3d 451.)

Zachary W. Carter, Corporation Counsel, New York City (*Barbara Graves-Poller, Richard Dearing and Devin Slack* of counsel), for respondents. Respondent New York City Environmental Control Board rationally found that petitioners made advertising space "available to others." (*Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Matter of Marine Holdings, LLC v New York City Commn. on Human Rights*, 31 NY3d 1045; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135; *Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Uribe v Merchants Bank of N. Y.*, 239 AD2d 128, 91 NY2d 336; *We're Assoc. Co. v Cohen, Stracher & Bloom*, 65 NY2d 148; *Info-search, Inc. v Horowitz*, 117 Misc 2d 774; *OTR Media Group, Inc. v City of New York*, 83 AD3d 451.)

OPINION OF THE COURT

WILSON, J.

Petitioners are four corporations: 23-06 Jackson Avenue Realty Corporation, 41-03 31 Avenue Realty Corporation, Franklin Street Realty Corporation, and J.P. & Associates Properties Corporation. Each owns a relatively small residential or mixed-use building in Brooklyn or Queens; J.P. & Associates Properties Corporation owns two. John J. Ciafone (sometimes along with his spouse) has an ownership interest in each of petitioner corporations. Each of the five buildings had signage affixed to it advertising Mr. Ciafone's law practice, organized as the professional corporation John J. Ciafone, P.C. The New York City Department of Buildings (DOB) cited the corporations for violations of Administrative Code of the City of New York §§ 28-105.1, 28-415.1, and 28-502.6, as well as New York City Zoning Resolution §§ 22-32 and 32-63, which require, among other things, those who hang signs on buildings to be licensed to do so. The fines attendant to those violations were enhanced on the ground that the corporations were "outdoor

advertising companies” (OACs) engaged in the “outdoor advertising business” under Administrative Code § 28-502.1.

Under Administrative Code § 28-502.1, an OAC is “[a] person, corporation, partnership or other business entity that as a part of the regular conduct of its business engages in or, by way of advertising, promotions or other methods, holds itself out as engaging in the outdoor advertising business.” The Code defines “outdoor advertising business” as

“[t]he business of selling, leasing, marketing, managing, or otherwise either directly or indirectly making space on signs situated on buildings and premises within the city of New York *available to others* for advertising purposes, whether such advertising directs attention to a business, profession, commodity, service or entertainment conducted, sold, or offered on the same or a different zoning lot and whether such sign is classified as an advertising sign pursuant to section 12-10 of the zoning resolution” (*id.* [emphasis added]).

The notices of violation were reviewed in hearings held by the Office of Administrative Trials and Hearings’ Environmental Control Board (ECB) division. Petitioner corporations appealed the fines on the ground that they were not OACs under the Code. They argued that because Mr. Ciafone owned the corporations, the advertisements of his law practice did not constitute the provision of advertising to “others.” In several decisions, the hearing officers dismissed most of the violations at each of the properties, concluding that petitioner corporations were not OACs because they did not make space “available to others” but instead, Mr. Ciafone, albeit under a corporate name, advertised only himself.

On administrative appeal, the Environmental Control Board disagreed with the hearing officers’ decisions, concluding that petitioner corporations were OACs because they made advertising space available to a different legal entity, John J. Ciafone, P.C. Petitioner corporations filed CPLR article 78 proceedings seeking to annul the ECB’s determinations, which Supreme Court transferred to the Appellate Division. The Appellate Division, with two Justices dissenting, confirmed the ECB’s determinations, holding that “petitioners, which are corporations, made space on signs available to Ciafone’s law practice (a professional corporation), a separate and distinct entity” (*see Matter of Franklin St. Realty Corp. v NYC Env’tl. Control Bd.*,

164 AD3d 19, 24-25 [1st Dept 2018]). The Appellate Division reasoned that “it is fundamental that individuals, corporations, and partnerships are each recognized as separate legal entities, and in this statutory context constitute ‘others’ regardless of the common principal ownership or connection between the entities” (*id.* at 25). Petitioner corporations appealed to this Court as of right.

The question presented here—the meaning of the term “others” in the Code—is one of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent, [and therefore] there is little basis to rely on any special competence or expertise of the administrative agency” (*International Union of Painters & Allied Trades, Dist. Council No. 4 v New York State Dept. of Labor*, 32 NY3d 198, 209 [2018] [internal quotation marks omitted], quoting *Seittelman v Sabol*, 91 NY2d 618, 625 [1998]). We construe words of “ordinary import with their usual and commonly understood meaning” (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475, 479 [2001]), and the most natural reading of “others” is distinct legal entities. Petitioner corporations, although admittedly owned either by Mr. Ciafone or by both Mr. Ciafone and his spouse, are indisputably distinct legal entities from John J. Ciafone and John J. Ciafone, P.C. Thus, by advertising a distinct legal entity on their buildings, petitioner corporations made space available to others and are OACs under the Code.

Although petitioner corporations contend that we should look past corporate ownership forms in determining whether petitioner corporations are OACs, we reject that argument. The essential purpose behind corporations and other fictive entities is to give them a separate legal existence from the natural persons who own them and from other legal entities (*see e.g. Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135, 140 [1993] [“a corporation exists independently of its owners, as a separate legal entity”]; *Port Chester Elec. Constr. Corp. v Atlas*, 40 NY2d 652, 656 [1976] [“(c)orporations, of course, are legal entities distinct from their managers . . . and have an independent legal existence”]). The “separate personalities [of corporations and their managers] cannot be disregarded” (*Port Chester Elec. Constr. Corp.*, 40 NY2d at 656), as “[d]isregard of the dual personality of corporation and stockholder would . . . defeat one of the principal purposes for which the law has created the corporation”—the “purpose of

escaping personal liability” (*Rapid Tr. Subway Constr. Co. v City of New York*, 259 NY 472, 488 [1932]). Mr. Ciafone could have held the buildings in his own name; it was his choice not to do so. A principal advantage of holding assets through a corporation is that the shareholder is generally insulated from personal liability (*id.*; see e.g. *Bartle v Home Owners Coop.*, 309 NY 103, 106 [1955] [(t)he law permits the incorporation of a business for the very purpose of escaping personal liability”). Mr. Ciafone and the other shareholders of these corporations obtained that benefit, and may also have obtained tax or other benefits through their choice to hold the buildings in a corporate form. There is no statutory or equitable basis to disregard the corporate form chosen by Mr. Ciafone or other shareholders in these corporations.

Contrary to the position of the Appellate Division dissent, preserving the distinction between the corporate entities and Mr. Ciafone does not “penalize him for forming corporate entities to own the buildings for tax and liability purposes” (see *Franklin St. Realty Corp.*, 164 AD3d at 34 [Andrias, J., dissenting]). Myriad statutes and regulations apply to corporations, but not natural persons; those are not “penalties” for creating a corporate legal entity, but consequences of choosing that form of ownership. The New York City Council could rationally conclude that a corporation engaged in the provision of advertising to others, even others who have an ownership interest in the corporation, should be subjected to greater financial disincentives for violating signage laws than natural persons who are advertising themselves.¹

In addition, the language used in the Code to define “outdoor advertising business” demonstrates the City Council’s intent to expand the breadth of its regulations and include companies like petitioner corporations in the definition of an OAC. The Code reaches companies that advertise in a number of ways—by “selling, leasing, marketing, managing, or otherwise either directly or indirectly making space on signs situated on buildings and premises within the city of New York available

1. This is especially true where the legislative history shows that a primary concern of the legislature in passing and amending the Code was the key role that companies, “rather than individual property owners,” play in creating the visual blight these signs represent (Mem in Support of Local Law No. 31 [2005] of City of NY at 1).

to others” (Administrative Code § 28-502.1).² The purpose of the outdoor advertising laws was to establish a comprehensive scheme that would “substantially strengthen” enforcement of sign regulations (Mem in Support of Local Law No. 14 [2001] of City of NY at 2). Allowing corporate building owners—even those that advertise a principal shareholder’s separate business—to fall under the definition of an OAC comports with the legislative intent to expand the regulations of outdoor advertising and to minimize “the visual blight these signs represent” (Mem in Support of Local Law No. 31 [2005] of City of NY at 1).

Because Mr. Ciafone, his professional corporation and petitioner corporations are separate legal entities, petitioner corporations are OACs under the plain language of Administrative Code § 28-502.1. We have considered the corporations’ remaining claims, which are either not preserved or without merit. The order of the Appellate Division should be affirmed, with costs.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Feinman concur.

Order affirmed, with costs.

2. Petitioner corporations now argue that they should not be considered OACs, subject to enhanced fines of \$10,000 per violation on the basis of that classification, because their principal business is the rental of the buildings to residential and commercial tenants. In support of that argument, they contend that outdoor advertising is not “a part of the regular conduct of [their] business” (Administrative Code § 28-502.1). However, they did not raise that argument in the administrative hearings or on appeal to the ECB, thus depriving DOB of the opportunity to address that issue either factually or legally. It is therefore unpreserved.

[145 NE3d 207, 122 NYS3d 570]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CLINTON
BRITT, Appellant.

Argued November 21, 2019; decided December 19, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 5, 2018. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Anthony J. Ferrara, J., at suppression hearing; Patricia M. Nuñez, J., at jury trial and sentencing), which had convicted defendant, upon a jury verdict, of criminal possession of a forged instrument in the first degree (17 counts) and criminal possession of a controlled substance in the seventh degree.

People v Britt, 160 AD3d 428, affirmed.

HEADNOTES

Crimes — Possession of Forged Instrument — Intent to Deceive or Defraud

1. The evidence in defendant's prosecution for criminally possessing 17 counterfeit bills totalling \$300 bundled and secured with a rubber band and separated from his loose genuine currency was legally sufficient to establish defendant's "intent to defraud, deceive or injure another" within the meaning of Penal Law § 170.30, where a rational jury could have found beyond a reasonable doubt that defendant intended to pass the counterfeit bills in his possession and thereby defraud others. The language of the statute contemplates a complex mens rea that requires both knowing possession and intent. The intent element does not, however, require use or attempted use as an element of the crime, nor does it require that the contemplated use be imminent. Direct evidence of intent is unnecessary where there is legally sufficient circumstantial evidence of intent in the form of the defendant's conduct and the circumstances surrounding the alleged crime. Considering the quantity of the counterfeit bills found on defendant's person while he was in a commercial district of Manhattan popular with tourists, his admission that the bills were counterfeit, and the fact that he separated them from genuine bills by means of a band, the evidence was legally sufficient to establish beyond a reasonable doubt that defendant intended to pass the bills. A Secret Service agent testified that people who pass counterfeit bills will physically separate them from genuine currency by using separate pockets, and the jury was given a charge permitting it to treat the agent's statements as expert testimony. It was therefore rational for the jury to infer defendant's intent to pass the counterfeit money from the segregation of the counterfeit bills along with the other circumstantial evidence presented.

Crimes — Appeal — Preservation of Issue for Review — One-Word Objection to Testimony without Specifying Basis for Objection

2. In defendant's prosecution for criminally possessing counterfeit bills found in his pocket bundled and secured with a rubber band separate from

his loose genuine bills, defense counsel's statement "Objection," without noting the nature of the objection, in response to testimony from a Secret Service agent that individuals who pass counterfeit bills separate their genuine currency from their counterfeit currency was insufficient to preserve his objection for review because it did not specify the basis for the general objection. During the agent's testimony, defense counsel issued only one-word objections, without any elaboration. Subsequently, in the discussion of the jury charge, defense counsel contended that the agent had not been qualified as an expert witness, and added that that was "part of the reason why" he had objected to the agent's testimony about separation of counterfeit from genuine currency in a different pocket. Notably, defendant did not move to strike the agent's testimony. Defense counsel's remarks targeted portions of the jury instruction and did not function to specify the basis of the earlier general objection at a time when the trial court could still "effectively chang[e]" its prior ruling allowing the testimony (CPL 470.05 [2]).

Crimes — Unlawful Search and Seizure — Reasonable Suspicion

3. In defendant's prosecution for criminally possessing counterfeit currency and a controlled substance discovered during a search incident to his arrest for publicly possessing an open can of an alcoholic beverage, the arresting officer's observation of defendant drinking out of a container covered by a brown paper bag and fleeing as the officer approached provided reasonable suspicion justifying the stop of defendant. Whether the circumstances of a particular case rise to the level of reasonable suspicion presents a mixed question of law and fact, and review by the Court of Appeals is therefore limited to whether there is evidence in the record supporting the lower courts' determinations. The arresting officer observed defendant drinking from a container hidden in a paper bag, which the officer testified is a common method of concealing an open container of alcohol, and defendant fled when he saw the officer approach. The combination of these factors constituted record support for the conclusion that the officer had reasonable suspicion that defendant had committed, or was committing, a crime.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 75, 213, 574; AM JUR 2d Forgery §§ 31, 63; AM JUR 2d Searches and Seizures §§ 88–92, 281; AM JUR 2d Trial § 581.
CARMODY-WAIT 2d Search and Seizure §§ 173:3, 173:4, 173:23, 173:258–173:261, 173:269; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:163, 207:185.
LAFAYE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 3.1, 3.3, 3.8, 27.5.
MCKINNEY'S, CPL 470.05 (2); Penal Law § 170.30.
NY JUR 2d Criminal Law: Procedure §§ 214, 215, 221, 424, 425, 456, 469, 3556–3558, 3561, 3571, 3741; NY JUR 2d Criminal Law: Substantive Principles and Offenses §§ 1126, 1131.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Counterfeiting; Objections and Exceptions; Search and Seizure.

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POINTS OF COUNSEL

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*Jenny C. Wu, Nina Kovalenko, Golda Lai, Grace Schmidt, Maia Usui* and *Nicholas Groombridge* of counsel), and *Janet E. Sabel, The Legal Aid Society*, New York City (*David Crow* of counsel), for appellant. I. The prosecution failed to present legally sufficient evidence to show that Clinton Britt possessed the counterfeit bills with the intent to defraud. (*People v Bailey*, 13 NY3d 67; *People v Danielson*, 9 NY3d 342; *Jackson v Virginia*, 443 US 307; *People v Castillo*, 47 NY2d 270; *People v Lewis*, 275 NY 33; *People v Stevens*, 109 NY 159; *People v Brunson*, 66 AD3d 594; *People v Batson*, 103 AD3d 910; *People v Rodriguez*, 17 NY3d 486.) II. Secret Service Agent Michael Helm's testimony regarding street-level counterfeit bill usage behavior was unqualified and inadmissible. (*People v Scheidelman*, 125 AD3d 1426; *People v Maricevic*, 52 AD3d 1043; *People v Vanhoesen*, 31 AD3d 805; *Applewhite v Accuhealth, Inc.*, 81 AD3d 94; *Singh v Kolcaj Realty Corp.*, 283 AD2d 350; *Kulak v Nationwide Mut. Ins. Co.*, 40 NY2d 140; *People v Crimmins*, 36 NY2d 230; *People v Tevaha*, 84 NY2d 879; *People v Romero*, 7 NY3d 911; *People v Smith*, 22 NY3d 462.) III. The police were not justified in pursuing and detaining Clinton Britt based on their observation of a single "drinking motion" from a paper bag. (*People v Howard*, 50 NY2d 583; *Olmstead v United States*, 277 US 438; *People v De Bour*, 40 NY2d 210; *People v Moore*, 6 NY3d 496; *People v Hollman*, 79 NY2d 181; *People v Brown*, 25 NY3d 973; *People v McIntosh*, 96 NY2d 521; *People v McRay*, 51 NY2d 594; *People v Perez*, 31 NY3d 964; *People v Bothwell*, 261 AD2d 232.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Sheila L. Bautista, David M. Cohn* and *Alan Gadlin* of counsel), for respondent. I. The trial evidence sufficiently proved defendant's guilt of possessing counterfeit money. (*People v Gordon*, 23 NY3d 643; *Jackson v Virginia*, 443 US 307; *People v Rodriguez*, 17 NY3d 486; *People v Bailey*, 13 NY3d 67; *People v Lamont*, 25 NY3d 315; *People v Bracey*, 41 NY2d 296; *People v Bueno*, 18 NY3d 160; *People v Barnes*, 50 NY2d 375; *United States v Silva*, 742 F3d 1; *United States v Bernhardt*, 903 F3d

818.) II. Defendant's appellate challenges to Secret Service Agent Michael Helm's expert testimony are unpreserved and without merit. (*People v Everson*, 100 NY2d 609; *People v Tevaha*, 84 NY2d 879; *People v Soto*, 267 AD2d 15; *People v Smith*, 22 NY3d 462; *People v Graves*, 85 NY2d 1024; *People v Vidal*, 26 NY2d 249; *People v Garcia*, 83 NY2d 817; *People v De Mauro*, 48 NY2d 892; *People v Jurgins*, 26 NY3d 607; *People v Cantave*, 21 NY3d 374.) III. Defendant's suppression motion involves a mixed question of law and fact, and the record supports the lower courts' findings. (*People v Wheeler*, 2 NY3d 370; *People v De Bour*, 40 NY2d 210; *People v Chestnut*, 51 NY2d 14; *People v Moore*, 6 NY3d 496; *People v Cantor*, 36 NY2d 106; *People v Brannon*, 16 NY3d 596; *People v Martinez*, 80 NY2d 444; *People v Morales*, 42 NY2d 129; *Illinois v Wardlow*, 528 US 119; *People v Holmes*, 81 NY2d 1056.)

OPINION OF THE COURT

FAHEY, J.

We hold that there was legally sufficient evidence of defendant's "intent to defraud, deceive or injure another," within the meaning of Penal Law § 170.30. In addition to the undisputed direct evidence of defendant's knowing possession of counterfeit bills, there was sufficient circumstantial evidence from which the jury could infer the separate mens rea of intent to defraud.

I.

A police officer observed defendant Clinton Britt standing on West 42nd Street in Manhattan, in front of a "haunted house" attraction known as "Times Scare," drinking out of a container covered by a brown paper bag. As the uniformed officer approached, defendant looked in his direction and then "ran upstairs" into "Times Scare." The officer pursued defendant, stopped him, and observed that the container was an open can of an alcoholic beverage.

Defendant was unable to provide a form of identification that included his home address and date of birth. Consequently, the officer could not issue a summons, and defendant was handcuffed and searched incident to arrest. During that search, the arresting officer found cash, in two separate wads or bundles, in a pocket of defendant's jacket. In one of defendant's pants pockets, the officer found a small Ziploc bag containing what

appeared to be crack cocaine.¹ Defendant then became agitated and made a hopping movement, after which the officer found two more Ziploc bags at defendant's feet.²

At the station house, the arresting officer counted the cash, finding a wad of loose bills, totaling \$148, and 17 folded bills, totaling \$300. The latter bundle of bills—four \$10 bills and thirteen \$20 bills—was secured by a rubber band. The officer suspected, based on the visual and tactile appearance of the folded bills, that they were counterfeit. As the officer was taking defendant to the holding area, defendant said to him, “I want to talk to a detective, and I will give up who I got the currency from, the counterfeit bills from, if you make the drug charges go away.”

The Police Department contacted the United States Secret Service and a Secret Service agent identified the 17 bills as counterfeit currency. Defendant was charged by indictment with 17 counts of criminal possession of a forged instrument in the first degree (Penal Law § 170.30) and two counts of criminal possession of a controlled substance in the seventh degree (Penal Law § 220.03).

Defendant moved to suppress the property seized from him and his statements, as fruits of illegal police action. At the suppression hearing, the arresting officer testified that a paper bag is a common method of concealing an open container of alcohol. The officer also testified about the “drinking motion” he had seen defendant make with the container concealed in the brown bag and defendant's flight into “Times Scare.” Defendant argued that his actions had not provided the officer with reasonable suspicion justifying his detention. Supreme Court denied defendant's motion.

During defendant's trial, the jury heard testimony from, among others, the arresting officer and the Secret Service agent who had identified the bills as counterfeit. The People did not move to qualify the Secret Service agent as an expert witness, but defendant raised no objection at this time to the agent's qualifications or the fact that the agent had not been formally qualified to testify.

The prosecutor asked the Secret Service agent: “in counterfeit interaction, in your experience, what do you see when people

1. The substance tested positive for cocaine at the New York City Police Department laboratory.

2. The substance in one of these bags was tested and found to be the controlled substance methyllone.

are passing [counterfeit currency]?” The agent responded: “A lot of the times . . . they will have their genuine currency in one pocket and . . . they have the counterfeit currency separated in a separate pocket.” At this point, defense counsel twice interjected with the single word “Objection” but did not specify the nature of the objection. On cross-examination, the Secret Service agent testified that he had never made any “low-level street arrests.”

At the close of the prosecution’s case and again prior to submission of the case to the jury, defendant moved for a trial order to dismiss all counts related to the charges of criminal possession of a forged instrument, on the ground that there was legally insufficient evidence of his “intent to defraud” (Penal Law § 170.30). Defendant cited our decision in *People v Bailey* (13 NY3d 67 [2009]). Supreme Court denied the motion.

In its jury charge, Supreme Court instructed the jury that the Secret Service agent had given “opinions on technical matters.” The court then gave the jury a charge based on the Criminal Jury Instructions (*see* CJI2d[NY] Expert Witness), as follows:

“Ordinarily, a witness is limited to testifying about facts and is not permitted to give an opinion. Where, however, scientific, medical, technical or specialized knowledge will help the jury understand the evidence or to determine facts in issue, a witness with expertise in a specialized field may render opinion about such matters.

“You should evaluate the testimony of any such witness just as you would the testimony of any other witness. You may accept or reject such testimony in whole or in part just as you may with respect to the testimony of any other witness. In deciding whether to accept such testimony, you should consider the following[:] [t]he quality and believability of the witness; the fact and circumstances upon which the witness’s opinion was based; the reasons given for the witness’s opinion; and whether the witness’s opinion is consistent or inconsistent with other evidence in the case.”

During a conference concerning the jury instructions, defense counsel placed on the record an exception to this part of the charge. Defense counsel stated that the agent “was never sworn

in as an expert witness” and had not been “qualified as an expert” and added that this was “part of the reason why I objected to his talking about his knowledge as to how people keep money in one pocket or the other.” Counsel did not further explain the specific nature of the prior objection to that testimony or move to strike the testimony.

The jury found defendant guilty of all the counts of first-degree criminal possession of a forged instrument and one count of seventh-degree criminal possession of a controlled substance. Defendant was sentenced, as a second felony offender, to concurrent prison terms of 3 to 6 years on the forged instrument counts and time served for possession of a controlled substance.

On appeal, defendant raised challenges to legal sufficiency, the Secret Service agent’s testimony, and the legality of the initial detention. The Appellate Division affirmed (160 AD3d 428 [1st Dept 2018]). The Court held that the jury could reasonably have inferred from the evidence that defendant knowingly possessed counterfeit money with fraudulent intent; that defendant’s challenge to the agent’s testimony was unpreserved; and that the arresting officer had reasonable suspicion, justifying the stop.

A Judge of this Court granted defendant leave to appeal (31 NY3d 1145 [2018]). We now affirm.

II.

An individual is guilty of criminal possession of a forged instrument in the first degree under Penal Law § 170.30 “when, with knowledge that it is forged and with intent to defraud, deceive or injure another, he utters or possesses any forged instrument of a kind specified in section 170.15.” The language of the statute contemplates a complex mens rea that “requires both knowing possession and intent. [The intent element] does not, however, require use or attempted use as an element of the crime . . . Nor does [it] require that the contemplated use be imminent” (*People v Rodriguez*, 17 NY3d 486, 490 [2011]). “Because intent is an invisible operation of the mind, direct evidence is rarely available (in the absence of an admission) and is unnecessary where there is legally sufficient *circumstantial* evidence of intent,” in the form of the defendant’s conduct and the circumstances surrounding the alleged crime (*Rodriguez*, 17 NY3d at 489 [internal quotation marks, brackets, and citations omitted and emphasis added]; see also *People v Bracey*, 41 NY2d 296, 301 [1977]).

Defendant contends that the evidence before the jury was not legally sufficient to prove that he had “intent to defraud . . . another” by means of the counterfeit bills (Penal Law § 170.30). Defendant does not dispute that there was sufficient evidence that he knew that the currency was forged. He cites *People v Bailey* (13 NY3d 67 [2009]) for the proposition that intent to defraud cannot be inferred from knowing possession alone, and he maintains that the evidence in his case does not demonstrate intent.

In *Bailey*, the defendant caught the attention of police officers who were on the lookout for pickpockets in a commercial district in Manhattan. The officers saw defendant Bailey trying to take handbags from customers in several fast-food restaurants, and arrested him. Three counterfeit \$10 bills were recovered from Bailey’s pocket. Overhearing the officers discuss the counterfeit appearance of the bills, Bailey “reportedly said, ‘[y]ou got me for the counterfeit money, but I didn’t have my hand near the purse’” (*Bailey*, 13 NY3d at 69). Following a jury trial, Bailey was convicted of criminal possession of a forged instrument in the first degree. Bailey moved to set aside the verdict on that count, arguing that the evidence was not sufficient to prove that he had the mens rea of “intent to defraud, deceive or injure another” (Penal Law § 170.30). Although Bailey did not dispute that he knew the bills were counterfeit, he insisted that this was insufficient to prove intent.

This Court dismissed the criminal possession of a forged instrument count.

“[K]nowledge alone is not sufficient to hold defendant criminally liable for possessing a forged instrument. Knowledge and intent are two separate elements that must each be proven beyond a reasonable doubt by the People. Simply put, drawing the inference of defendant’s intent from his knowledge that the bills were counterfeit improperly shifts the burden of proof with respect to intent from the People to the defendant. Stated another way, by ruling that the evidence was sufficient to sustain defendant’s conviction of possession of a forged instrument, the lower courts have effectively stripped the element of intent from the statute and criminalized knowing possession.” (*Bailey*, 13 NY3d at 71-72.)

Bailey stands for the proposition that intent to use counterfeit bills to defraud, deceive, or injure cannot rationally be inferred from knowing possession of counterfeit bills *on its own*. As we subsequently explained, “intent cannot be presumed from knowing possession alone unless there is a statute establishing such a presumption” (*Rodriguez*, 17 NY3d at 489, citing *Bailey*, 13 NY3d at 72), and there is no such statutory presumption with respect to criminal possession of a forged instrument in the first degree (*see id.* at 490 n 4).

Bailey is distinguishable from this appeal. *Bailey* was found with only \$30 in counterfeit bills on his person, whereas defendant had \$300. It could hardly be inadvertent that defendant had so large a sum of counterfeit bills. Most significantly, defendant’s counterfeit currency was physically separated from the genuine bills on his person, and the jury heard testimony from the Secret Service agent that individuals who pass counterfeit currency will separate their counterfeit currency from their genuine bills. In *Bailey*, the evidence of *Bailey*’s admission to the police that the bills were counterfeit demonstrated only knowing possession, and there was no independent evidence of intent to pass the counterfeit bills. That single piece of evidence of knowing possession was not enough in itself to show the separate mens rea of intent. Here, by contrast, there were “several factors” (*id.* at 489) from which the jury could infer not only knowing possession of the counterfeit bills, but also intent to use the bills to defraud.

[1] Viewing the evidence in the light most favorable to the prosecution, as we must (*see People v Danielson*, 9 NY3d 342, 349 [2007]; *Jackson v Virginia*, 443 US 307, 319 [1979]), a rational jury could have found beyond a reasonable doubt that defendant intended to pass the counterfeit bills in his possession and thereby defraud others. Here, considering the quantity of the counterfeit bills found on defendant’s person while he was in a commercial district of Manhattan popular with tourists, his admission that the bills were counterfeit, and the fact that he separated them from genuine bills by means of a band, the evidence was legally sufficient to establish beyond a reasonable doubt that defendant intended to pass the bills. In particular, the jury could have rationally inferred that defendant kept the counterfeit bills separate from genuine currency “so that he could quickly and easily produce one or the other, as needed” (*Rodriguez*, 17 NY3d at 490), depending on whether he was in a situation where counterfeit bills were likely to be

detected. The Secret Service agent testified that people who pass counterfeit bills will physically separate them from genuine currency by using separate pockets, and the jury was given a charge permitting it to treat the agent's statements as expert testimony. It was rational for the jury to infer defendant's intent to pass the counterfeit money from the segregation of the counterfeit bills, here achieved by a rubber band, along with the other circumstantial evidence we have summarized.

III.

[2] Next, defendant challenges the admission of the Secret Service agent's testimony that individuals who pass counterfeit bills separate their genuine currency from their counterfeit currency. He maintains that the agent had no expertise with regard to street-level arrests and that his testimony invaded the jury's province. We agree with the Appellate Division that defendant's objections to the testimony are unpreserved. Beyond that, these objections would go to the weight, not the sufficiency, of the evidence.

During the agent's testimony, defense counsel issued only one-word objections, without any elaboration. "The word 'objection' alone was insufficient to preserve the issue for our review" (*People v Tevaha*, 84 NY2d 879, 881 [1994]), because it did not specify the basis for the general objection. Subsequently, in the discussion of the jury charge, defense counsel contended that the agent had not been qualified as an expert witness, and added that this was "part of the reason why" he had objected to the agent's testimony about separation of counterfeit from genuine currency in a different pocket. Notably, defendant did not move to strike the agent's testimony. Defense counsel's remarks targeted portions of the jury instruction and did not function to specify the basis of the earlier general objection at a time when the trial court could still "effectively chang[e]" its prior ruling allowing the testimony (CPL 470.05 [2]).

IV.

[3] In addition, defendant maintains that the arresting officer lacked reasonable suspicion to justify the original stop. We disagree.

The parties agree that the police intrusion at issue here, namely forcibly stopping and detaining defendant, occurred at the third level of the "graduated four-level test for evaluating street encounters initiated by the police" (*People v Moore*, 6

NY3d 496, 498 [2006]) set forth by this Court in *People v De Bour* (40 NY2d 210 [1976]). That level requires “a reasonable suspicion that [the defendant] has committed, is committing or is about to commit a felony or misdemeanor” (*id.* at 223). It is well established that “[w]hether the circumstances of a particular case rise to the level of reasonable suspicion presents a mixed question of law and fact” (*People v Brown*, 25 NY3d 973, 975 [2015]), and review by this Court is therefore “limited to whether there is evidence in the record supporting the lower courts’ determinations” (*People v McIntosh*, 96 NY2d 521, 524 [2001]). Here, the arresting officer observed defendant drinking from a container hidden in a paper bag, which the officer testified is a common method of concealing an open container of alcohol, and defendant fled when he saw the officer approach. The combination of these factors constitutes record support for the conclusion that the officer had reasonable suspicion that defendant had committed, or was committing, a crime (*see generally People v Holmes*, 81 NY2d 1056, 1058 [1993]).³

Accordingly, the order of the Appellate Division should be affirmed.

WILSON, J. (dissenting). The majority lauds the hot pursuit and forcible detention of Clinton Britt, a man drinking a Lime-A-Rita™ wrapped in a brown paper bag in Times Square shortly before midnight, and his subsequent conviction for intending to spend counterfeit money absent any indication that he attempted or planned to use it, simply because it was found rubber-banded separately from his real money when he was searched upon arrest. Both are mistakes.

The first—let’s chase and physically detain people drinking from unseen containers in brown paper bags—is perhaps understandable because of the tremendous difficulty inherent in the (mis-)application of our *De Bour* test in many real-world situations. The sad consequence of that mistake is a regression from the legislative and prosecutorial progress eschewing policing based on stereotypes, returning us to the world of broken windows—where police pursue quality of life violations that disproportionately affect the poor (not merely those committing the infractions, but their families, neighbors and communities).

The second—let’s equate the separation of real from counterfeit money with the intent to defraud—is inexplicable. It

3. We do not reach the unpreserved issue discussed in the dissent of whether a police officer’s observation of an apparent open container violation could, *on its own*, justify a third-level intrusion.

overturns our clear holding in *People v Bailey* (13 NY3d 67 [2009]), by contravening the most fundamental proposition of evidence: a fact is not evidence unless it makes the disputed issue more likely to be true than it otherwise would be. Put simply, if you knew you had counterfeit money on your person and did *not* want to use it, you would keep it separate from your real money. That Mr. Britt kept his real and fake money separate says nothing about his intent to use it to defraud, deceive or injure anyone, which is a statutory requirement under Penal Law § 170.30.

I.

Here are the pertinent facts, taken in the light most favorable to the People. At 11:15 p.m. on Sunday, March 9, 2014, Police Officer Ryan Lathrop, driving his three-wheeled police scooter, saw Clinton Britt on the sidewalk in front of Times Scare, a now-defunct haunted house attraction in Times Square. Mr. Britt was drinking from a can or bottle wrapped inside a brown paper bag. Officer Lathrop made a U-turn, intending to approach Mr. Britt. Mr. Britt noticed Officer Lathrop's U-turn and ran up the couple of stairs into Times Scare. Officer Lathrop followed Mr. Britt inside, pursued him down a hallway, and stopped him by grabbing his arm. It was then that Officer Lathrop was able to see the rim of the beverage inside the brown paper bag, which said "Lime-A-Rita." Officer Lathrop walked Mr. Britt outside, initially planning to issue him a summons for the open-container violation. Because Mr. Britt had only an identification card issued by the City College of New York, which did not show his birthdate or address, Officer Lathrop arrested him. In a search incident to that arrest, Officer Lathrop found in Mr. Britt's pockets a small pink plastic bag of what he thought was crack cocaine and some money.

Later, when Officer Lathrop vouchered Mr. Britt's possessions at the precinct, he noticed that some of the currency was folded with a rubber band wrapped around it while the rest of it was loose. Officer Lathrop pulled the rubber band off the folded currency and could tell immediately that it was poor-quality counterfeit money: it felt smooth, did not have watermarks or security strips on it, and had blurry images. In total, Mr. Britt had 17 counterfeit \$10 and \$20 bills, totaling \$300. Mr. Britt also had \$148 in genuine money. Mr. Britt told Officer Lathrop: "I want to talk to a detective, and I will give up who I got the currency from, the counterfeit bills from, if you make the drug charges go away."

Mr. Britt was charged with 17 counts of criminal possession of a forged instrument in the first degree (Penal Law § 170.30) and two counts of criminal possession of a controlled substance in the seventh degree (Penal Law § 220.03). In Supreme Court, Mr. Britt moved to suppress the counterfeit bills and his statement to the police as the result of unlawful police conduct. In particular, Mr. Britt argued that leaving the sidewalk to go inside Times Scare did not elevate the officer's right to approach to a right to forcibly detain him. Supreme Court denied Mr. Britt's suppression motion. At the conclusion of the People's evidence against him, Mr. Britt moved to dismiss the criminal possession of a forged instrument counts, arguing that the People had not proved Mr. Britt's intent to defraud. Mr. Britt renewed this motion at the end of trial, supplying the People and the court with *People v Bailey* (13 NY3d 67 [2009]). Although the court agreed the argument was "a very good one," it denied Mr. Britt's motion "at th[at] time." The jury returned a verdict of guilt as to 17 counts of criminal possession of a forged instrument in the first degree and one count of criminal possession of a controlled substance in the seventh degree. The court sentenced Mr. Britt to 3 to 6 years in prison on the forgery counts, and time served on the controlled substance count.

On appeal, Mr. Britt challenged his convictions, arguing: (1) his arrest was unlawful, and therefore his statements and evidence obtained from searching him should be suppressed and the indictment dismissed; (2) he lacked the intent required for first-degree possession of a forged instrument; and (3) Secret Service Agent Helm was improperly permitted to testify as an expert on how persons intending to pass counterfeit money keep that money on their person.

The Appellate Division held the trial court had "properly denied defendant's suppression motion" on the ground that the act of drinking from a brown paper bag, coupled with Mr. Britt's flight, "created at least reasonable suspicion" (*People v Britt*, 160 AD3d 428, 429-430 [1st Dept 2018]). It also held that the evidence supported both "inferences that defendant knowingly possessed counterfeit money, and did so with the requisite fraudulent intent" (*id.* at 430). The Appellate Division concluded that the jury could have inferred defendant knew the money was counterfeit and intended to spend it from the quantity, denomination, and amount of counterfeit money, and from the fact that it was bundled separately from the genuine money, reasoning that the combination of factors, "and the exercise of

common sense,” could lead to the conclusion that Mr. Britt “had no reason to carry these counterfeit bills except to spend them” (*id.*).

I will discuss the forged instrument issues first and the legality of the search last.

II.

The majority acknowledges, as it must, that “[k]nowledge and intent are two separate elements that must each be proven beyond a reasonable doubt by the People. Simply put, drawing the inference of defendant’s intent from his knowledge that the bills were counterfeit improperly shifts the burden of proof . . . [by] stripp[ing] the element of intent from the statute and criminaliz[ing] knowing possession” (majority op at 614, quoting *People v Bailey*). Yet the majority does just what *Bailey* commands must not be done, holding Mr. Britt liable for mere knowing possession.

Mr. Britt’s case is much like Mr. Bailey’s in several ways. To begin, as in this case, Mr. Bailey possessed the counterfeit money in a commercial shopping district—in fact, just a few blocks from where Mr. Britt was arrested. As here, police observed Mr. Bailey allegedly committing a crime unrelated to counterfeit bill possession. There, police officers watched Mr. Bailey enter and exit fast-food restaurants, attempting to pickpocket several people; upon Mr. Bailey’s arrest, the police recovered three counterfeit \$10 bills from his wallet (*Bailey*, 13 NY3d at 69). Like Mr. Britt, Mr. Bailey admitted his knowing possession of counterfeit money, telling the police: “[Y]ou got me for the counterfeit money, but I didn’t have my hand near the purse” (*id.*). Nothing in the record of either case suggested that Mr. Britt or Mr. Bailey had attempted to use, was using, or had plans to use the counterfeit money.

Why is Mr. Britt serving 3 to 6 years in prison when Mr. Bailey walked free? To distinguish *Bailey*, the majority relies on two grounds that do not bear a whit on Mr. Britt’s intent to defraud. *First*, the majority notes that “Bailey was found with only \$30 in counterfeit bills on his person, whereas [Mr. Britt] had \$300” (majority op at 615). The amount of counterfeit money, however, does not bear at all on one’s intent to defraud, deceive or injure. For the purposes of Penal Law § 170.30, a \$30 fraud and a \$300 fraud are indistinguishable. If I walk around with \$300 in real money in my wallet, and my teenage daughter walks around with \$30 in her purse, what basis would there be

to conclude that I am more likely than she to spend some of the money? (Indeed, if you knew us, there's a good chance that by the end of the day she'd have spent \$30, still have \$30, and I'd have \$270.)

The same is true with counterfeit money. That Mr. Britt possessed \$300 and Mr. Bailey \$30 does not suggest that Mr. Britt had any greater intent to “defraud, deceive or injure” than did Mr. Bailey. At most, it might suggest that if both of them had an intent to defraud, Mr. Britt's fraud might have been for a greater amount, but the amount of the fraud is irrelevant under the statute.¹ In its creation of the criminal possession statute, the legislature made no distinction as to the amount of counterfeit money one must possess, either in total or as to the number of bills. Nor did it create a presumption of intent based on the nominal value or number of bills in one's possession. We know, however, from the legislature's structure of the forgery statutes, that it creates volume-based presumptions when it believes such are warranted. Penal Law § 170.27, for example, creates a presumption of intent from possessing two or more forged debit or credit cards. The legislature has made similar volume-based gradations in numerous other statutes, including Penal Law § 158.00 (2) (a), which creates a presumption of intent when a person possesses five or more public benefit cards in names other than his or her own; and Penal Law § 235.10 (2), which creates a presumption of intent where a person possesses six or more obscene articles (*see Bailey*, 13 NY3d at 72). But, as we pointedly noted in *Bailey*, “there is no statutory presumption regarding counterfeit bills” (*id.*). The legislature could readily have created that same presumption of intent based on the nominal value of counterfeit currency or the number of bills possessed if it wished to do so. It did not.

Those legislative decisions were important to us in *Bailey* (*id.*). Now they are not. The majority's \$270 distinction derives from neither a citable source nor a logical proposition. Moreover, by differentiating between the total amount of counterfeit money one carries, the majority invites a bumpy ride down a

1. The majority contends that Mr. Britt's possession of \$300 in counterfeit money “could hardly be inadvertent” (majority op at 615). That is true. Like Mr. Bailey, Mr. Britt admitted his knowing possession of the counterfeit money. The intent required by Penal Law § 170.30, however, is not the intent to possess counterfeit money, but the intent to use it to defraud. Mr. Britt's concession that his possession was not inadvertent satisfies the statute's knowledge requirement, but not its intent-to-defraud requirement. That is the core of *Bailey*'s holding.

slippery slope.² Now, it appears, intent lies somewhere between \$30 and \$300, or three and 17. Will four bills be enough to show intent when three was not? Will \$75 be enough when \$30 was not? Inevitably, inconsistent results will abound until we hit the rock bottom of \$30, or perhaps zero.

Second, and “[m]ost significantly,” according to the majority, Mr. Britt’s “counterfeit currency was physically separated from the genuine bills on his person, and the jury heard testimony from the Secret Service agent that individuals who pass counterfeit currency will separate their counterfeit currency from their genuine bills” (majority op at 615). Here is the complete extent of Agent Helm’s testimony on the above point:

“Q. And in counterfeit interaction, in your experience, what do you see when people are passing them?

“A. Generally they pass. A lot of the times they have bills of larger denomination paper or something smaller; and then they will have their genuine currency in one pocket and counterfeit currency. . . .

“Then they have the counterfeit currency separated in a separate pocket.”

Both Mr. Britt’s separation of his fake from real money and Agent Helm’s testimony suffer from the same problem: they have zero probative value as to intent, and therefore are not relevant evidence on which any trier of fact could rely—even putting aside the proof-beyond-a-reasonable-doubt standard. Evidence is relevant if it has any tendency to make more or less likely the truth of the proposition for which it is offered (David P. Leonard, *The New Wigmore: The Principle of Limited Admissibility* § 1.4 [3d ed 2019])—in other words, if “it makes determination of the action more probable or less probable than it would be without the evidence” (*People v Scarola*, 71 NY2d 769, 777 [1988]). To determine whether evidence has probative value, one simply asks: “Does learning of this evi-

2. The Appellate Division departments have had no trouble interpreting *Bailey*: mere knowing possession is not enough to prove intent, but an attempt to use the bills is. In *People v Batson* (103 AD3d 910 [2d Dept 2013]), the Second Department held that the defendant’s knowing possession of 43 counterfeit bills did not establish his intent to defraud. In *People v Brousseau* (149 AD3d 1275 [3d Dept 2017]) and *People v Bickley* (99 AD3d 1113 [3d Dept 2012]), the Third Department upheld convictions where the defendants had attempted to use the counterfeit money to make a purchase.

dence make it either more or less likely that the disputed fact is true?” (McCormick on Evidence § 185 [7th ed 2013]). The Guide to New York Evidence states that relevant evidence is evidence “having any tendency to make the existence of any fact that is of consequence to the determination of the proceeding more probable or less probable than it would be without the evidence” (Guide to NY Evid rule 4.01 [1], Relevant Evidence, https://www.nycourts.gov/judges/evidence/4-RELEVANCE/4.01_RELEVANT%20EVIDENCE.pdf).

Mr. Britt’s separation of his counterfeit money from his real money has absolutely no probative value as to his intent to use it to defraud, deceive or injure anyone. Ask yourself this: suppose you know you are carrying both real and counterfeit money, and you want to make sure you do not spend the counterfeit money. Would you intermingle it with your real money, or keep it separate? Obviously, you would keep it separate, just as Mr. Britt did. Mr. Bailey—whose conviction under Penal Law § 170.30 we reversed for lack of evidence of intent—carried his counterfeit money in his wallet, which at least arguably might have supported an inference that he intended to use it. Yet the majority concludes that Mr. Britt’s secure isolation of his counterfeit money away from his real money is evidence of his intent to use it to defraud. If anything, Mr. Britt’s separation of his counterfeit money makes it somewhat less probable that he intended to use it; it certainly has no tendency to prove his intent to do so. As a consequence, it is not relevant evidence (and surely not sufficient to sustain proof of intent beyond a reasonable doubt). Of course, when evidence is in conflict and the jury sides with the People, on appeal we must accept all inferences a rational trier of fact could have made from the evidence. But when evidence has no probative value, it is not evidence, and no inferences can be made from it. If the trial record also included evidence that on the day of Mr. Britt’s offenses, Barbie® turned 55, would we accept an inference of intent to defraud based on that evidence?

Agent Helm’s testimony is likewise not probative evidence. He testified only that persons who pass counterfeit bills “[a] lot of the times” separate them from their real bills. But his testimony does not say that people knowingly carrying counterfeit money who do *not* wish to spend it carry their bills any differently. Without that comparison, his observation has no probabilistic value. Suppose Officer Lathrop had testified

that Mr. Britt was wearing pants, and Agent Helm testified that people who pass counterfeit money “[a] lot of the times” wear pants. Agent Helm’s testimony would lack probative value, unless he also testified that people who carry counterfeit bills without the intent to defraud are less likely to wear pants.

Finally, the majority’s reliance on *People v Rodriguez*—a case involving forged IDs, not counterfeit currency—is misplaced. There, the Court found several factors, “taken together,” provided a legally sufficient basis from which to infer that the defendant had the requisite intent (17 NY3d 486, 489 [2011]). Those factors included: (1) the “defendant had a motive to assume a false identity because he was aware that the police were searching for him”; (2) “the fact that three of the four documents found in defendant’s possession bear his photograph provides a sound basis for the inference that defendant actively participated in manufacturing the false identification documents”; (3) defendant “posed for the photographs for the purpose of making the documents”; (4) “defendant was observed, upon arrest, wearing a tan corduroy suit jacket which appears to be the same suit jacket he is seen wearing in the loose photographs found in his possession”; and (5) “defendant carried the false documents separately from his true identification” (*id.* at 489-490).

Nothing in *Rodriguez* suggests that the last factor, separation of the fake from real IDs, would have been sufficient to establish intent to defraud. In addition, the second, third and fourth factors go powerfully to Mr. Rodriguez’s intent because they allowed “the jury to infer that defendant was *recently* involved in the production of the false documents and that he retained the intent to defraud at the time of his arrest” (*id.* [emphasis added]). Here, in sharp contrast, there is no suggestion that Mr. Britt had anything to do with the manufacture of the counterfeit money.

Furthermore, Mr. Rodriguez’s separation of his fake from real IDs is different from the separation of fake and real money in a way quite important to intent. Someone who intended to use fake currency might well choose to mix it into some real currency and present the bundle in the hope that the mixture would be more likely to pass scrutiny. But, where, as in *Rodriguez*, one carries around fake IDs with a fake name and a real ID with a real name, one would never mix the two and present them as a bundle. Doing so would immediately reveal—not

conceal—illegality. People possessing several real IDs, though, might well keep them together. So, where the separation of fake from real IDs might have some probabilistic tendency to show intent to use the fake ID, separation of fake from real money does not. The majority’s reliance on *Rodriguez* is further misplaced for that reason.

In derogating *Bailey*, the majority collapses the knowledge and intent elements of the criminal possession statute. That conflicts with *Bailey*’s strong admonition that intent to defraud may not be inferred from knowing possession or from an assumption that people walking around shopping districts with counterfeit money intend to use it to defraud. *Stare decisis* is supposed to count for something. The rule from *Bailey* has proved workable and effective. More importantly, in *Bailey* we correctly interpreted a straightforward statute in which the legislature required both knowledge and intent to be proved beyond a reasonable doubt. Indeed, the legislature required proof of intent to defraud, deceive or injure with regard to every degree of criminal possession of a forged instrument: there is no forgery-related crime for the knowing possession of counterfeit money. Trivializing the intent requirement to allow its proof to turn on a \$270 difference and the careful sequestration of counterfeit money does not comport with the statute’s language or our binding case law.

III.

After Officer Lathrop spotted Mr. Britt in Times Square drinking something concealed in a brown paper bag, Mr. Britt quickly entered Times Scare, hoping to avoid Officer Lathrop. On the undisputed facts, Officer Lathrop forcibly detained Mr. Britt when he caught up with him inside Times Scare and grabbed him by the arm—a level-three “forcible stop and detention” under *People v De Bour* (40 NY2d 210, 223 [1976]). In *De Bour*, we established a four-tiered framework for evaluating police-civilian encounters. Unlike the federal approach, which focuses on probable cause, the four-tiered *De Bour* system has three levels below probable cause, each of which permits a different level of police conduct (see *People v Gates*, 31 NY3d 1028, 1030 [2018, Garcia, J., dissenting]). For ease of reference, here is how *De Bour*’s four levels operate:

Level	Factual Basis	Allowable Police Conduct
1	The facts provide the police with an “objective credible reason . . . not necessarily indicative of criminality”	Inquiry
2	The facts provide the police with “a founded suspicion that criminal activity is afoot”	Stop and inquiry short of a forcible detention
3	The facts provide the police with “a reasonable suspicion that a particular person has committed, is committing or is about to commit a felony or misdemeanor”	Forcible stop and detention, but not arrest
4	The facts provide the police with probable cause for an arrest	Arrest

(*De Bour*, 40 NY2d at 223).

The parties agree that, when Officer Lathrop pursued Mr. Britt into Times Scare and grabbed his arm, he conducted a forcible stop and detention, which is a level-three intrusion under *De Bour*. As the majority states, to justify that forcible stop and detention, Officer Lathrop must have had “‘a reasonable suspicion that [Mr. Britt] has committed, is committing or is about to commit a felony or misdemeanor’” (majority op at 617, quoting *De Bour*, 40 NY2d at 223). The majority concludes Officer Lathrop satisfied *De Bour*’s requirement for a level-three forcible stop. Mr. Britt disagrees. He is correct.

De Bour allows the forcible stop and detention of suspects when the officer has a reasonable suspicion that the person has or is about to commit a “*felony or misdemeanor*” (emphasis added). That portion of *De Bour* is also codified in CPL 140.50 (1), which permits a forcible stop when the officer “reasonably suspects that such person is committing, has committed or is about to commit either (a) a felony or (b) a misdemeanor defined in the penal law” (emphasis added). “[L]evel three authorizes an officer to forcibly stop and detain an individual, and requires a reasonable suspicion that the particular individual was involved in a felony or misdemeanor” (*People v Moore*, 6 NY3d 496, 498-499 [2006]). We have repeatedly emphasized that temporary detentions are authorized “only for felonies and misdemeanors, not violations” (*Matter of Victor M.*, 9 NY3d 84, 88 [2007]).

Drinking a Lime-A-Rita™ in Times Square is not a felony or misdemeanor. Nothing in the Penal Law prohibits it. Instead,

it is a violation of Administrative Code of the City of New York § 10-125, punishable by a fine of not more than \$25 or imprisonment of not more than one day. Here, Officer Lathrop observed actions by Mr. Britt that he believed constituted an open container *violation*, not a misdemeanor or felony. Neither *De Bour* nor CPL 140.50 (1) permitted a forcible stop and detention of Mr. Britt. *De Bour*, therefore, provides no justification for such a stop under these facts. Consequently, the subsequent arrest of Mr. Britt was unlawful, and all evidence seized and the statement he made should have been suppressed (*see e.g. People v McIntosh*, 96 NY2d 521, 527 [2001]).

De Bour explicitly mandates that the reasonableness of a police officer's intrusion hinges on "the gravity of the crime involved" (*De Bour*, 40 NY2d at 219). Thus, whatever *De Bour*'s other shortcomings might be (*see People v Gates*, 31 NY3d 1028, 1029, 1030 [2018, Garcia, J., dissenting]; *People v Perez*, 31 NY3d 964, 966, 972 n 3 [2018, Rivera, J., dissenting]), it made an important distinction when, based on our State Constitution, it limited level-three forcible stops to felonies and misdemeanors, which distinction the legislature had previously adopted as a statutory guarantee in CPL 140.50. It makes perfect sense that, when balancing the right to be left alone and avoid intrusive police conduct (*People v Holmes*, 81 NY2d 1056, 1058 [1993], citing *People v May*, 81 NY2d 725, 727-728 [1992]; *see also People v Moore*, 6 NY3d 496 [2006]; *People v Howard*, 50 NY2d 583 [1980]) against the need to protect innocent persons from crime, both our Court and the legislature concluded that greater police intrusion is justified if Mr. Britt is observed with a possible bomb instead of a possible beer.

Under *De Bour* and the Criminal Procedure Law, when an officer observes someone drinking from a container concealed in a paper bag, the officer is justified in a level-two inquiry to gain "explanatory information" upon a "founded suspicion that criminal activity is afoot" (40 NY2d at 223). Officer Lathrop could have followed Mr. Britt, could have asked him to see what was in the bag, could have waited for Mr. Britt to discard it (*see People v Bothwell*, 261 AD2d 232 [1st Dept 1999]), or could have attempted—without forcibly detaining Mr. Britt—to peer into the bag to determine its contents (*see People v Francis*, 17 Misc 3d 870, 873 [Sup Ct, Bronx County 2007] [where defendant was drinking from bottle wrapped in brown paper, police officer had a right to approach defendant, who poured out some of its contents to demonstrate it was orange juice and not

alcohol]; *People v Cauty*, 55 AD3d 330 [1st Dept 2008] [where police officer saw the beer bottle, an officer could pursue and arrest the defendant]). But, as regards offenses that are not felonies or misdemeanors, *De Bour* level three does not exist. Absent probable cause to arrest Mr. Britt—which the People do not contend Officer Lathrop had when he grabbed Mr. Britt’s arm—no forcible stop is permitted.

IV.

Stepping away, for a moment, from whether the separation of fake from real currency has probabilistic value and the niceties of *De Bour* and the Criminal Procedure Law, we should consider the larger context at play here. Mr. Britt has four felony convictions and a score of misdemeanor convictions, mostly for controlled substance offenses and mostly more than a decade old. More recently, he has been employed by City College. Despite a work-related injury to his back, he has helped numerous people in his community, several of whom wrote him letters of support. In one letter, a doctor from New Jersey informed the court that Mr. Britt took care of the doctor’s 92-year-old cousin, who had dementia and was unable to walk or feed herself. Mr. Britt “groomed her, fed her and accompanied her everywhere, on neighborhood walks, to the beauty salon and to her doctor’s appointments.” According to the doctor, Mr. Britt could not have dedicated himself “more to another person,” and gave his cousin “dignity and more love than any of her relatives . . . did.” The doctor went so far as to offer to testify as to Mr. Britt’s character, despite the fact that he had not been asked to at trial. A North Carolina “elderly couple” also wrote in to describe Mr. Britt as a “wonderful friend,” who had “greatly helped and assisted” them on their travels to New York. They described him as an “honest person, a caring person, and a very helpful and considerate person.” An 88-year-old gentleman wrote in to describe Mr. Britt as a “steadying presence” both physically and emotionally, helping him visit his sons’ homes, and calling Mr. Britt a “true friend.” Mr. Britt’s mother also wrote into the court. She noted that after being released from prison in 2005, Mr. Britt had been employed for eight years and had “shown considerable changes since his release.” Mr. Britt’s mother informed the court that, although Mr. Britt suffered from cancer himself, he had moved in with his elderly parents, who are both in their eighties, in order to take care of them.

The People requested that Mr. Britt be sentenced to 7½ to 15 years in prison—the maximum allowed by law. The court, instead, sentenced him to the minimum: 3 to 6 years, because “he actually did not use the money for anything or pass the money. So there was no harm caused. It’s not a violent act.” Even with the minimum sentence, he is losing 3 to 6 years of his life, the elderly people in his community whom he has been helping will be without his assistance, and taxpayers will spend somewhere between \$210,000 to \$1,000,000 for his imprisonment.³ None of that would have happened had he been affluent, drinking rosé with a chilled lobster picnic splayed out on Central Park’s Great Lawn on a sunny summer afternoon.

Our state legislature and local governments, specifically in recognition of the differential impact on the poor and people of color, have taken steps to decriminalize certain offenses as a way to reduce the catastrophe visited on those communities by overcriminalization of relatively minor offenses (*see* 2019 NY Senate-Assembly Bill S6579, A8420 [signed by the Governor, July 29, 2019] [reducing the penalty for unlawful possession of marijuana to “avoid the disparate racial and ethnic impact seen in current marijuana enforcement”]; New York City Council, Criminal Justice Reform Act [passed June 13, 2016], <https://council.nyc.gov/legislation/criminal-justice-reform/> [accessed Dec. 12, 2019]). Prosecutors have similarly begun to focus their resources away from low-level violations or infractions (*see e.g. District Attorney Vance, Commissioner Bratton, Mayor de Blasio Announce New Structural Changes to Criminal Summonses Issued in Manhattan*, Mar. 1, 2016, <https://www.manhattanda.org/district-attorney-vance-commissioner-bratton-mayor-de-blasio-announce-new-structural-c/> [accessed Dec. 12, 2019] [announcing the Manhattan District Attorney’s Office “will no longer prosecute most violations or infractions . . . such as littering, public consumption of alcohol, or taking up two seats on the subway”]; *Albany County DA David Soares Announces Policy Change in Marijuana Prosecutions*, Nov. 15, 2018, http://www.albanycountyda.com/Media/News/18-11-15/Albany_County_DA_David_Soares_Announces_Poli-

3. Vera Institute, *Prison Spending in 2015*, [https://www.vera.org/publications/price-of-prisons-2015-state-spending-trends/price-of-prisons-2015-state-spending-trends/price-of-prisons-2015-state-spending-trends-prison-spending](https://www.vera.org/publications/price-of-prisons-2015-state-spending-trends/price-of-prisons-2015-state-spending-trends/price-of-prisons-2015-state-spending-trends/price-of-prisons-2015-state-spending-trends-prison-spending); Marc Santora, *City’s Annual Cost Per Inmate is \$168,000, Study Finds*, NY Times, Aug. 23, 2013, <https://www.nytimes.com/2013/08/24/nyregion/citys-annual-cost-per-inmate-is-nearly-168000-study-says.html>.

cy_Change_in_Marijuana_Prosecutions.aspx [accessed Dec. 12, 2019]). Abundant scholarly literature supports those decisions (see e.g. Charlie Gerstein & J.J. Prescott, *Process Costs and Police Discretion*, 128 Harv L Rev F 268 [Apr. 10, 2015]; see generally Issa Kohler-Hausmann, *Misdemeanorland: Criminal Courts and Social Control in an Age of Broken Windows Policing* [2018]; William J. Stuntz, *The Collapse of American Criminal Justice* [2011]). The majority today charts the opposite direction, abrogating our clear holding in *Bailey* to uphold Mr. Britt's conviction for intending to defraud by use of counterfeit money, and ignoring the vital distinction in *De Bour* and the Criminal Procedure Law clearly establishing the illegality of Mr. Britt's arrest. As of today, it appears the law approves the forcible detention of people drinking from containers wrapped in paper bags and their imprisonment for years if they possess \$300 of counterfeit money. Raise your hand if you think that is a good allocation of police resources and a wise expenditure of taxpayer dollars.

Chief Judge DiFiore and Judges Stein, Garcia and Feinman concur; Judge Wilson dissents in an opinion in which Judge Rivera concurs.

Order affirmed.

[145 NE3d 924, 123 NYS3d 41]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANONYMOUS, Appellant.

Argued January 8, 2020; decided February 18, 2020

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 1, 2018. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Maxwell Wiley, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a controlled substance in the fourth degree.

People v Anonymous, 161 AD3d 401, reversed.

HEADNOTES

Crimes — Sealing of Records — Unsealing Record in Proceeding Terminated by Acquittal for Purpose of Making Sentencing Recommendation and Determining Sentence

1. In a criminal prosecution in which defendant, after pleading guilty and being instructed by the court to “stay out of trouble” as a condition to the promised sentence, was arrested and prosecuted for, and ultimately acquitted of, another crime, the sentencing court violated CPL 160.50 by granting the prosecutor’s request to unseal the court record of the proceeding terminated by acquittal and improperly considered defendant’s trial testimony for the noninvestigatory purpose of presenting a sentencing recommendation and determining defendant’s sentence. The sealing requirement of CPL 160.50 was designed to lessen the adverse consequences of unsuccessful criminal prosecutions by limiting access to official records and papers in criminal proceedings which terminate in favor of the accused. CPL 160.50 (1) (d) (i) specifically authorizes disclosure to a “prosecutor” in a “proceeding,” and therefore limits a court’s authority to unseal records at the request of a prosecutor after commencement of a criminal proceeding. Thus, providing access to the prosecutor to make a sentencing recommendation was error because the primary focus of CPL 160.50 (1) (d) is the unsealing of records for investigatory purposes. The prosecutor sought access to the sealed records to present defendant’s trial testimony to the court in support of the prosecutor’s argument that defendant violated a presentence plea condition, warranting imposition of an enhanced sentence. The prosecution sought the sealed material it already knew to exist as evidence in support of the argument for an enhanced sentence, and the court granted the motion to unseal for that exact purpose. While there is no question that the court may consider defendant’s compliance with presentence conditions, a sealed record is not available for consideration at sentencing.

Crimes — Sentence — Remedy for Court’s Violation of Sealing Statute — Direct Impact on Sentence

2. The Appellate Division wrongly concluded that defendant was not entitled to a remedy for the sentencing court’s violation of CPL 160.50 by

granting the prosecutor's request to unseal the court record of a criminal proceeding terminated by defendant's acquittal and considering his trial testimony for the noninvestigatory purpose of presenting a sentencing recommendation and determining defendant's sentence, where the use of defendant's testimony at sentencing was the sole basis for the court's imposition of an enhanced sentence. There was more than the erroneous unsealing of the court record; there was the improper reliance by the court on the sealed testimony to enhance defendant's sentence. The trial testimony persuaded the court that defendant violated a presentence condition of his plea and supplied the grounds for the court to deviate from its promised sentence. That direct impact on the sentence satisfied the requirement that a defendant show more than a technical statutory violation. Defendant's appeal sought a remedy for the injury flowing from an erroneous sentencing process and ultimate sentence determination. The only remedy for that error—the only way to restore defendant to the status occupied before arrest on the acquitted charge—was to remit for resentencing without consideration of the trial testimony obtained in violation of the sealing statute.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Courts §§ 27, 28; AM JUR 2d Criminal Law §§ 763, 831, 833.

CARMODY-WAIT 2d Sentencing Procedures §§ 203:18, 203:30, 203:40, 203:195, 203:196; CARMODY-WAIT 2d Disposition of Records and Property §§ 208:12, 208:19–208:23.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 26.5.

McKINNEY'S, CPL 160.50.

NY JUR 2d Criminal Law: Procedure §§ 2969, 2980, 3012, 3777–3779.

ANNOTATION REFERENCE

See ALR Index under Seals and Sealed Instruments; Sentence and Punishment.

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POINTS OF COUNSEL

Christina A. Swarns, Office of the Appellate Defender, New York City (Katherine M.A. Pecore and Joseph M. Nursey of counsel), for appellant. I. The Appellate Division erred in holding that the sealing statute provides a right without a meaningful remedy. (Matter of Katherine B. v Cataldo, 5 NY3d 196;

Matter of Harper v Angiolillo, 89 NY2d 761; *Matter of Hynes v Karassik*, 47 NY2d 659; *Matter of Joseph M. [New York City Bd. of Educ.]*, 82 NY2d 128; *People v Patterson*, 78 NY2d 711; *People v Jones*, 2 NY3d 235; *People v McGrath*, 46 NY2d 12; *People ex rel. Piccarillo v New York State Bd. of Parole*, 48 NY2d 76; *Matter of Winship*, 397 US 358; *United States v Jackson*, 368 F3d 59.) II. The Appellate Division correctly held that the sentencing court's unsealing order was unlawful. (*Matter of Katherine B. v Cataldo*, 5 NY3d 196; *Matter of Hynes v Karassik*, 47 NY2d 659; *Matter of New York State Commn. on Jud. Conduct v Rubenstein*, 23 NY3d 570; *Matter of Dondi*, 63 NY2d 331; *Matter of Joseph M. [New York City Bd. of Educ.]*, 82 NY2d 128.)

Cyrus R. Vance, Jr., District Attorney, New York City (Julia P. Cohen and Ross D. Mazer of counsel), for respondent. I. The sentencing court properly unsealed the transcript of defendant's testimony. (*Matter of Katherine B. v Cataldo*, 5 NY3d 196; *Matter of Joseph M. [New York City Bd. of Educ.]*, 82 NY2d 128; *People v Diaz*, 15 Misc 3d 410; *People v Marcus A.*, 28 Misc 3d 667; *People v F.B.*, 155 AD3d 1; *Matter of Albany County Dist. Attorney's Off. v William T.*, 88 AD3d 1133; *People v White*, 169 Misc 2d 89; *People v Havern*, 43 Misc 2d 430; *Matter of Leshner v Hynes*, 19 NY3d 57; *People v Washington*, 86 NY2d 189.) II. The Appellate Division correctly ruled that defendant is not entitled to resentencing. (*People v Patterson*, 78 NY2d 711; *People v Greene*, 9 NY3d 277; *People v Gavazzi*, 20 NY3d 907; *People v Taylor*, 73 NY2d 683; *Matter of Molineux v Collins*, 177 NY 395; *Matter of Charles Q. v Constantine*, 85 NY2d 571; *People v Torres*, 291 AD2d 273; *People v Stewart*, 161 AD3d 1108; *People v Capers*, 129 AD3d 1313; *People v Afrika*, 13 AD3d 1218.)

Janet E. Sabel, The Legal Aid Society, New York City (Robert C. Newman of counsel), for The Legal Aid Society, amicus curiae. I. An erroneous ruling of a trial court, unsealing records at the request of a prosecutor in violation of CPL 160.50, either for use at trial or at sentencing, requires appellate reversal of the conviction or sentence, as applicable, if the error was prejudicial. (*People v Patterson*, 78 NY2d 711; *Matter of Katherine B. v Cataldo*, 5 NY3d 196; *People v Greene*, 9 NY3d 277; *People v McGrath*, 46 NY2d 12; *People v Jones*, 2 NY3d 235; *People ex rel. Piccarillo v New York State Bd. of Parole*, 48 NY2d 76; *Matter of Boyd v Constantine*, 81 NY2d 189.) II. The Appellate Division wrongly relied on the theory that suppressed evidence

may be used in sentencing proceedings. (*People v Black*, 33 AD3d 338; *People v Coward*, 100 AD2d 628; *People v Hall*, 46 NY2d 873; *Matter of Katherine B. v Cataldo*, 5 NY3d 196.) III. As defendant here would have been able to seek reversal of the unsealing order by a civil appeal, sound judicial administration requires that he also be able to gain equivalent relief by a direct appeal from his sentence. (*Matter of Katherine B. v Cataldo*, 5 NY3d 196; *People v Naranjo*, 89 NY2d 1047; *People v Liden*, 19 NY3d 271.) IV. Respondent's efforts to modify this Court's holding in *Matter of Katherine B. v Cataldo* (5 NY3d 196 [2005]) are not properly before the Court. (*Matter of Hynes v Karassik*, 47 NY2d 659; *Matter of New York State Commn. on Jud. Conduct v Rubenstein*, 23 NY3d 570.)

OPINION OF THE COURT

RIVERA, J.

A court is without authority to consider for sentencing purposes erroneously unsealed official records of a prior criminal action or proceeding terminated in favor of the defendant. Where violation of the sealing mandate of CPL 160.50 impacts the ultimate sentence, the error warrants appropriate correction. Such is the case here, where the court imposed on defendant a higher sentence than promised at his plea, based on its finding that the unsealed trial record—which the court mistakenly believed it could consider—established defendant's violation of a presentence condition of his plea. The order of the Appellate Division should therefore be reversed, and the matter remitted for resentencing without reference to or consideration of the contents of the sealed record.

I.

Defendant pleaded guilty to fourth-degree criminal possession of a controlled substance in exchange for a four-year sentence of imprisonment followed by three years of postrelease supervision. As relevant to this appeal, after defendant pleaded guilty, the court adjourned sentencing and imposed as a condition to the promised sentence that defendant “stay out of trouble.”

Before sentencing, defendant was arrested and prosecuted for a crime allegedly committed after entering his plea. At defendant's request, the sentencing court agreed to adjourn defendant's sentencing pending resolution of the matter. The jury acquitted defendant of the new charge and the official record,

including the trial transcript, was sealed in accordance with CPL 160.50.

The day following that acquittal, the prosecutor informed the court which had accepted defendant's criminal possession plea that the People would be requesting an enhanced sentence on the criminal possession conviction because defendant violated a presentence condition of the plea by engaging in criminal conduct during the sentencing adjournment, as made clear by defendant's trial testimony in the other case. The prosecutor then moved to unseal the records in the prior criminal action terminated by acquittal, arguing "justice requires" unsealing because the trial testimony was relevant to defendant's request to be sentenced under the terms of his plea. The court granted the motion.

Thereafter, the prosecutor submitted defendant's unsealed trial testimony in support of the People's argument that defendant should be sentenced to the maximum nine-year sentence (*see* Penal Law § 70.70 [4] [b] [ii]). Defense counsel objected to the unsealing and to the court's consideration of the trial testimony for purposes of sentencing, citing this Court's decision in *Matter of Katherine B. v Cataldo* (5 NY3d 196 [2005]). Counsel argued the court should sentence defendant to the four years, as promised.

The court found, based on defendant's trial testimony in the sealed proceeding, that defendant violated the condition of his plea that he not commit any further crimes, i.e., he "stay out of trouble." Accordingly, the court determined it was not bound by its promised four-year sentence and imposed an eight-year term of incarceration.

The Appellate Division affirmed the judgment (*People v Anonymous*, 161 AD3d 401, 402 [1st Dept 2018]). A divided Court concluded that *Katherine B.* controlled and it was error to unseal the records, but a unanimous Court held that, under *People v Patterson* (78 NY2d 711 [1991]), the violation of the sealing statute "without more" did not require resentencing or a reduced sentence (*Anonymous*, 161 AD3d at 402; *id.* at 403 [Tom, J., concurring]). A Judge of this Court granted defendant leave to appeal (*People v Anonymous*, 32 NY3d 1063 [2018]).

II.

Defendant argues that the sentencing court erred by unsealing the records and then relying on his unsealed trial testimony

to deviate from the court's promised sentence. Defendant maintains that the court's unsealing and reliance on the unsealed records for sentencing purposes (1) violates the statutory scheme of CPL 160.50 and the prescriptive holding in *Katherine B.*, and (2) undermines the legislative goals of preserving the presumption of innocence and ensuring that an individual suffers no consequences as a result of unsubstantiated accusations. The People respond that the court properly unsealed the records to determine whether defendant violated the plea. Alternatively, the People contend that even if it was error to unseal the records, under the reasoning of *Patterson*, the error does not require defendant to be resentenced without consideration of the unsealed records.

We conclude that the court erroneously granted the prosecutor's motion to unseal the records of the proceeding terminated by acquittal and improperly considered defendant's trial testimony in deciding not to adhere to the promised sentence. Further, because the court's sentence is based on that testimony, the proper remedy is to remit for defendant's resentencing without reference to the contents of the sealed records.

III.

Whether the sealing was improper turns, foremost, on the language of CPL 160.50. "As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (*People v Golo*, 26 NY3d 358, 361 [2015], quoting *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). This is not the first time we have considered the sealing mandate of CPL 160.50 and thus we are bound and guided by the Court's previous exposition on the statute's scope and legislatively specified exceptions, as well as the salutary purposes of the sealing regime.

A.

CPL 160.50 (1) provides, in relevant part:

"Upon the termination of a criminal action or proceeding against a person in favor of such person, . . . unless the district attorney upon motion with not less than five days notice to such person . . . demonstrates to the satisfaction of the court that the interests of justice require otherwise, . . . the

record of such action or proceeding shall be sealed

. . . .”

“[T]he Legislature’s objective in enacting CPL 160.50 . . . was to ensure that the protections provided be ‘consistent with the presumption of innocence, which simply means that no individual should suffer adverse consequences merely on the basis of an accusation, unless the charges were ultimately sustained in a court of law’ ” (*Patterson*, 78 NY2d at 716, citing Governor’s Mem approving L 1976, ch 877, 1976 McKinney’s Session Laws of NY at 2451). In other words, “[t]he sealing requirement was designed to lessen the adverse consequences of unsuccessful criminal prosecutions by limiting access to official records and papers in criminal proceedings which terminate in favor of the accused” (*Katherine B.*, 5 NY3d at 202 [citation omitted]). The “articulated rationale for the enactment of the sealing statutes—the ‘presumption of innocence’ ”—“directed usually at pending charges can surely have been viewed by the Legislature as even more germane in relation to favorably terminated matters” (*Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662, 668-669 [1988]). At its core, “[t]he statute serves the laudable goal of [e]nsuring that one who is charged but not convicted of an offense suffers no stigma as a result of [the accused] having once been the object of an unsustained accusation” (*Matter of Hynes v Karassik*, 47 NY2d 659, 662 [1979]).

The sealing mandate of CPL 160.50 (1), in combination with CPL 160.60—which provides that “the arrest and prosecution shall be deemed a nullity and the accused shall be restored, in contemplation of law, to the status [the accused] occupied before the arrest and prosecution”—requires more than a court’s acknowledgment that the arrest and prosecution ended favorably. The law clearly intends that the criminal action and proceedings be treated as if they never occurred—as if they are not part of defendant’s past. As the Court summarized in *Matter of Alonzo M.*,

“when an action is favorably disposed of in an adult proceeding the records are sealed under CPL 160.50, the arrest and prosecution are deemed a nullity, the accused is restored to the status occupied before arrest, and unless specifically required by statute, or directed by a superior court, the accused is not required to divulge information

regarding the favorably terminated action. This statutory safety net protecting adults ensures that records and materials generated from an arrest and a favorably terminated proceeding are eliminated as facets of the accused's criminal pedigree" (72 NY2d at 667-668 [citations omitted]).

B.

In CPL 160.50 (1) (d), the legislature identified a restricted list of six exceptions to the sealing mandate's prohibition on access, including paragraph (d) (ii), relied upon by the People here.¹ That exception allows access to sealed records by "a law enforcement agency upon ex parte motion . . . , if such agency demonstrates to the satisfaction of the court that justice requires that such records be made available to it" (CPL 160.50 [1] [d] [ii]).

"These six statutory exceptions are precisely drawn. This underscores the Legislature's commitment to prohibiting disclosure of sealed records—once initial sealing has not been forestalled by the court in the interests of justice—except where the statute explicitly provides otherwise" (*Katherine B.*, 5 NY3d

1. The six exceptions to the general bar on disclosure of sealed records provide access to:

"(i) a prosecutor in any proceeding in which the accused has moved for an order pursuant to section 170.56 or 210.46 of this chapter, or (ii) a law enforcement agency upon ex parte motion in any superior court, or in any district court, city court or the criminal court of the city of New York provided that such court sealed the record, if such agency demonstrates to the satisfaction of the court that justice requires that such records be made available to it, or (iii) any state or local officer or agency with responsibility for the issuance of licenses to possess guns, when the accused has made application for such a license, or (iv) the New York state department of corrections and community supervision when the accused is on parole supervision as a result of conditional release or a parole release granted by the New York state board of parole, and the arrest which is the subject of the inquiry is one which occurred while the accused was under such supervision, or (v) any prospective employer of a police officer or peace officer . . . in relation to an application for employment as a police officer or peace officer; provided, however, that every person who is an applicant for the position of police officer or peace officer shall be furnished with a copy of all records obtained under this paragraph and afforded an opportunity to make an explanation thereto, or (vi) the probation department responsible for supervision of the accused when the arrest which is the subject of the inquiry is one which occurred while the accused was under such supervision" (CPL 160.50 [1] [d]).

at 203). In *Katherine B.* this Court rejected an expansive reading of the exception relied upon by the People here and held that a superior court is not authorized under CPL 160.50 (1) (d) (ii) “to make sealed records available to a prosecutor for purposes of making sentencing recommendations” (*id.* at 199). Contrary to the position advocated by the People and adopted by the dissent (dissenting op at 656-657), there is no analytically meaningful distinction between the respective prosecutors’ intended use of the sealed records in *Katherine B.* and in defendant’s case, and the holding and logic of *Katherine B.* applies with equal force to the instant appeal.

The petitioners in *Katherine B.* were tried and convicted of one count each of obstructing governmental administration. To aid in sentencing, the court directed the People to supply it with updated criminal histories in support of their sentencing recommendations. The People moved in Supreme Court under, as relevant here, CPL 160.50 (1) (d) (ii) to unseal records of prior criminal cases involving petitioners. The court granted the motion.

In holding that the records should not have been unsealed, this Court explained that “[c]onsistent with th[e] design and the ‘plain intendment of the statutory scheme,’ the ‘general proscription against releasing sealed records and materials [is] subject only to a few narrow exceptions’ ” (*id.* at 202-203 [emphasis and citation omitted]). Noting that the term “law enforcement agency” as it appears in CPL 160.50 always appears with the terms “police department” or “the division of criminal justice services,” except in CPL 160.50 (1) (d) (ii), the Court found that the term “law enforcement agency” includes agencies such as police departments and the Division of Criminal Justice Services, a view supported by CPL 160.50’s legislative history (*id.* at 204). Because, however, CPL 160.50 (1) (d) (i) specifically authorizes disclosure to a “prosecutor” in a “proceeding,” the Court held that CPL 160.50 limits a court’s authority to unseal records at the request of a prosecutor after commencement of a criminal proceeding (*id.* at 205). Therefore, providing access to the prosecutor to make a sentencing recommendation was error because the “primary focus” of CPL 160.50 (1) (d) “is the unsealing of records for investigatory purposes” (*id.* at 205). Indeed, as made clear by the statutory scheme and text, “the Legislature has limited a court’s authority to make sealed records available to a prosecutor after commencement of a criminal proceeding to the singular circumstance delineated

in CPL 160.50 (1) (d) (i)—where the accused has moved for an adjournment in contemplation of dismissal in a case involving marijuana charges below felony grade” (*id.*).

[1] Here, the prosecutor sought access to the sealed records to present defendant’s trial testimony to the court in support of the prosecutor’s argument that defendant violated a presentence plea condition, warranting imposition of an enhanced sentence, specifically the maximum sentence—more than double the incarceratory time promised by the court upon defendant’s plea. The prosecution sought the sealed material it already knew to exist as evidence in support of his argument for an enhanced sentence. The court granted the motion to unseal for that exact purpose. Thus, as in *Katherine B.*, it was error for the court here to unseal the criminal proceeding records for the noninvestigatory purpose of presenting a sentencing recommendation and determining defendant’s sentence.²

The People argue *Katherine B.* does not stand for what it holds, and, in any event, that there are good reasons for us to narrow its reach. The People’s argument proceeds along two paths, but both turn on their view of the court’s sentencing obligation. We are unpersuaded as the first path is no more than a reformulated version of the argument rejected in *Katherine B.* and the second is analytically unsound.³

2. The dissent’s attempt to analogize the People’s use of the trial materials here to the “investigatory function exercised by the Department of Corrections and Community Supervision and the probation department” (dissenting op at 657) is unpersuasive and unsupported by the record as the People were not seeking to investigate defendant. Moreover, *Katherine B.* rejected the prosecution’s attempt to go on a fishing expedition dressed up as an investigatory mandate (*see* 5 NY3d at 205). In any case, the point is irrelevant. The People may seek to unseal the record only as provided by the sealing statute, and, as *Katherine B.* made clear, the statutory language limits the prosecutor’s access to such records post-commencement of a criminal prosecution in one limited circumstance not applicable here (*see* CPL 160.50 [1]). The dissent merely attempts legislation by judicial pronouncement.

3. In another version of this same attempt to recharacterize the prosecutor’s actions here, the People and the dissent argue that unsealing was proper because the prosecution sought the transcript not for purposes of making a sentencing recommendation, but merely so the sentencing court could conduct a hearing and evaluate defendant’s compliance with the no-new-crimes condition of his plea agreement. However, the prosecutor’s in-court representations and motion papers make clear that the prosecutor’s sole purpose in requesting unsealing was to present defendant’s testimony in support of the People’s argument that the court should impose an enhanced sentence of nine years rather than the agreed to four years’ incarceratory pe-

(n. cont’d)

First, the People argue that the District Attorney's Office is a law enforcement agency with access to sealed records under the authority of CPL 160.50 (1) (d) (ii) when a court has continuing jurisdiction over a defendant for sentencing. According to the People, the "broad range of law enforcement entities" and the "variety of law enforcement purposes" that fall within the law enforcement exception cannot be squared with what they view as an overly narrow reading of *Katherine B.* (5 NY3d at 204). The People further assert that a court may grant such a motion under CPL 160.50 (1) (d) (ii) upon the prosecution showing "justice requires" unsealing. That view is untenable given the holding in *Katherine B.*, which makes clear that the People cannot seek the records under CPL 160.50 (1) (d) (ii) for post-criminal-proceeding purposes and, specifically the purpose sought here—namely, to recommend a sentence based on sealed court records.⁴ Moreover, as the Court explained therein, the interest of justice ground set forth in CPL 160.50 (1) only applies when the People seek to stay the sealing of records, not to unseal them (*Katherine B.*, 5 NY3d at 203; *see also* CPL 160.50 [1] ["Upon the termination of a criminal action or proceeding . . . , unless the district attorney upon motion . . . demonstrates to the satisfaction of the court that the interests of justice require otherwise, . . . the record . . . shall be sealed"]), or when a "law enforcement agency"—which the People are not under *Katherine B.*—seeks to unseal (CPL 160.50 [1] [d] [ii]).

"Where a statute describes the particular situations in which it is to apply and no qualifying exception is added, 'an irrefutable inference must be drawn that what is omitted or not included was intended to be omitted or excluded' " (*Matter of Alonzo M.*, 72 NY2d at 665-666, quoting *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208-209 [1976]; *see also* McKinney's Cons Laws of NY, Book 1, Statutes § 240, Comment at 412-413 [1971 ed] ["(W)here a

riod. In other words, the prosecutor unquestionably wanted the testimony as evidence to support his sentencing recommendation. As we will discuss, that is no different from the intended use of unsealed materials in *Katherine B.*

4. The dissent deploys this flawed analysis to argue that our reading of *Katherine B.* is inconsistent with a prosecutor's continuing duty to ensure against the wrongful accusation and prosecution of a defendant, which does not cease once a criminal action commences (dissenting op at 656 n 4). The point does not affect the analysis here. The prosecutor's duty is not a novel one. It is certainly a duty understood by the legislature, as well as this Court when it decided *Katherine B.* The legislature has determined that certain materials cannot be used in support of a sentencing recommendation, and we are obligated to adhere to this legislative determination.

statute creates provisos or exceptions as to certain matters the inclusion of such provisos or exceptions is generally considered to deny the existence of others not mentioned”). Here, the sealing mandate of CPL 160.50 (1) applies by its plain terms, and the legislature did not provide broad authority in CPL 160.50 (1) (d) for the release of sealed records to prosecutors, instead choosing to confine post-proceeding access to narrowly-defined circumstances. As we may not “legislate under the guise of [statutory] interpretation,” we reject the dissent’s arguments that would require us to expand CPL 160.50 beyond its plain language (*People v Finnegan*, 85 NY2d 53, 58 [1995]).

The People’s second brand of argumentation is based on what they assert is an independent source of judicial authority: the court’s constitutional and statutory mandates to impose a sentence based on reliable and accurate information. More specifically, the People maintain that the trial court properly unsealed the transcript to effectuate defendant’s due process rights and the court’s statutory obligation under CPL 400.10 (4). As to the constitutional claim, they ignore that due process requires that a defendant be sentenced in accordance with the law, and the law here does not permit unsealing for sentencing recommendation purposes. The People’s reliance on CPL 400.10 (4) fares no better because that provision merely states that “the court shall take into consideration the defendant’s record of compliance with pre-sentence conditions ordered by the court.” Here, there is no question that the court may consider defendant’s compliance with presentence conditions. However, the question is what constitutes defendant’s history for that purpose. For the reasons we have discussed, a sealed record is simply not available for consideration at sentencing. It is a nullity and the court cannot rely on it to impose a sentence.

Put a slightly different way, the court’s continuing jurisdiction for purposes of sentencing—the sentencing court’s rationale here—did not provide an independent basis to unseal defendant’s testimony in a previous, favorably terminated criminal prosecution. The Court long ago rejected the view that a court’s inherent authority over its proceedings grants power to unseal because that “would subvert the plain intentment of the statutory scheme—to establish, in unequivocal mandatory language, a *general proscription* against releasing sealed records and materials, subject only to a few narrow exceptions” (*Matter of Joseph M. [New York City Bd. of Educ.]*, 82 NY2d 128, 134 [1993]; see also *Matter of Alonzo M.*, 72 NY2d at 668

[expressing concern that courts' inherent authority over their own records would be "dubious authority (upon which) to override so clear a legislative policy" set forth in a sealing statute]). In accordance with our settled rules of statutory interpretation, we have eschewed efforts to rewrite the statute to achieve what a court or advocate perceives to be a better outcome, because "[i]f there is to be an exception to the general rule proscribing the release of sealed records . . . it should be created by the Legislature, not by the courts" (*Matter of Joseph M.*, 82 NY2d at 134).⁵

The legislature has also rejected this very basis for the unsealing of records. In 1977, the legislature eliminated a provision that automatically stalled sealing when another action was pending against the defendant, replacing it with the current language that allows a court to stay sealing upon a determination that "the interests of justice" require it. The legislature determined "[t]he existence or non-existence of another pending action is really irrelevant" (Governor's Program Bill Mem at 3, Bill Jacket, L 1977, ch 905, 1977 McKinney's Session Laws of NY at 2453). Where the action "has been determined favorably to the defendant, [the defendant] is entitled to have the record thereof sealed" because any pending action, should there be one, "will eventually be resolved, in terms of section 160.50, on its own merits" (*id.*). The prosecutor here failed to pursue this option, instead choosing the next day to inform the court that it would move to unseal the record.

Notably, more recently, the legislature rejected an attempt to amend the statute in the way the People advocate the current version should be interpreted. Legislation introduced in 2011 proposed a seventh enumerated exception permitting a party in a criminal proceeding to move for unsealing upon notice to the adverse party, if it "demonstrates to the satisfaction of the court that justice requires that the records be made available to [it] in connection with the criminal proceeding" (2011 NY As-

5. Contrary to the dissent's opinion, we do not undermine judicial control of sentencing or "erect unreasonable barriers" (dissenting op at 663), nor is the result in this appeal "absurd" (dissenting op at 663). Notwithstanding the dissent's hyperbole, our holding merely emphasizes a court's obligation to apply CPL 160.50 as written. The dissent ignores that the prosecutor may object to sealing in the first instance (CPL 160.50 [1]). Once the record is sealed, the prosecutor may present evidence from an independent source to establish defendant's noncompliance with sentencing conditions (*see* part IV, *infra*). Thus, properly understood and applied, the legislative scheme seamlessly protects a defendant's and society's interests.

sembly Bill A7389). The amendment was intended to address the holding of *Katherine B.*, which the sponsor considered to have “inappropriately narrowed the situations where the Court may unseal records” (Sponsor’s Mem, 2011 NY Assembly Bill A7389). Although “[l]egislative inaction, because of its inherent ambiguity, affords the most dubious foundation for drawing positive inferences” (*Clark v Cuomo*, 66 NY2d 185, 190-191 [1985] [internal quotation marks and citation omitted]), “[w]e have distinguished . . . instances in which the legislative inactivity has continued in the face of a prevailing statutory construction” (*Desrosiers v Perry Ellis Menswear, LLC*, 30 NY3d 488, 497 [2017] [internal quotation marks omitted], quoting *Brooklyn Union Gas Co. v New York State Human Rights Appeal Bd.*, 41 NY2d 84, 90 [1976]; see also *Matter of NYC C.L.A.S.H., Inc. v New York State Off. of Parks, Recreation & Historic Preserv.*, 27 NY3d 174, 183 [2016] [looking to “whether the legislature has unsuccessfully tried to reach agreement on (an) issue, which would indicate that the matter is a policy consideration for the elected body to resolve”]). “When the Legislature, with presumed knowledge of the judicial construction of a statute, [forgoes] specific invitations and requests to amend its provisions to effect a different result, we have construed that to be some manifestation of legislative approbation of the judicial interpretation” (*Matter of Alonzo M.*, 72 NY2d at 667). Thus, the rejection of a legislative attempt to adopt the People’s argument reinforces the correctness of the interpretation pronounced in *Katherine B.* and supports our reading of CPL 160.50 as applied to the facts of defendant’s appeal.⁶

The People mistakenly rely on *Matter of New York State Commn. on Jud. Conduct v Rubenstein* (23 NY3d 570 [2014]) as suggesting that courts have independent authority to unseal. There, we clarified that “absent ‘extraordinary circumstances’ . . . , a specific grant of power . . . , or the existence of a legal mandate the nature of which would be impossible to fulfill without unsealing criminal records,” such records may be

6. The dissent maintains that ensuring a sentence in accordance with the plea should outweigh the mandates of the sealing statute (dissenting op at 659). Although the dissent might have it otherwise, the legislature has weighed these interests and rejected the dissent’s view by enacting the sealing statute, which “strikes the balance by requiring sealing in a wide variety of contexts and providing for the disclosure of sealed files in only limited circumstances” (*Matter of Harper v Angiolillo*, 89 NY2d 761, 767 [1997]), none of which permit unsealing for sentencing purposes.

obtained only in accordance with CPL 160.50 (1) (d) (*id.* at 581). There are no extraordinary circumstances here, where the prosecutor did no more than seek to use a sealed court record to support a sentence recommendation—that was the case in *Katherine B.*

There is neither a specific grant of power nor a mandate that cannot be fulfilled without the sealed records within the meaning of our holding in *Rubenstein*. Indeed, in applying the standard in that case, we held that the constitutional authorization of the Judicial Commission and Judiciary Law § 42 (3) provided separate sources for access to sealed records because without such access, it would be impossible for the Commission to fulfill its legal mandate, which included “ensuring the integrity of the judiciary” (*Rubenstein*, 23 NY3d at 581-582). The integrity of the court is not at issue here. Quite the contrary, as the statutory purpose and limited exceptions to sealing are intended to preserve the presumption of innocence and protect the defendant from the type of general justifications for access deployed here by the People. Therefore, the fact that the court retained jurisdiction over defendant does not provide authority independent of CPL 160.50 to access the records once sealed. The People’s remaining claim that unsealing was not error, namely that the court did not rely on the charged crime but rather on defendant’s testimony revealing conduct that violated the sentencing condition, is essentially an argument that his testimony does not fall within the scope of CPL 160.50. This ignores the Court’s prior acknowledgement that the “ambit of the sealing requirement is broad” by its plain text (*Harper*, 89 NY2d at 766), which does not contain within its “narrow exceptions” a carveout for any particular class of materials. Instead, “[t]he sealing covers ‘all official records and papers . . . relating to the arrest or prosecution’” (*Katherine B.*, 5 NY3d at 202, quoting CPL 160.50 [1] [c]). The broad statutory coverage includes trial testimony provided in defense of the charges. Moreover, the purpose of the sealing statute is to “lessen the adverse consequences of unsuccessful criminal prosecutions by limiting access to official records and papers in criminal proceedings which terminate in favor of the accused” (*Harper*, 89 NY2d at 766). Here, but for the unsuccessful prosecution, there would be no trial testimony by defendant about his involvement in another crime. Indeed, defendant’s testimony was integral to his defense.

Apart from the analytic flaws in the People’s and dissent’s arguments, we cannot ignore the potential impact on the

legislature’s carefully designed statutory framework if we stamp our imprimatur on the unsealing of defendant’s trial testimony because the sentence was conditional. It is not uncommon for courts to impose terms on a sentence promised in exchange for a defendant’s guilty plea. The condition at issue here—“stay out of trouble”—is in no way unique or exceptional (see e.g. *People v Reynolds*, 117 AD3d 478, 478 [1st Dept 2014] [“The court properly determined that defendant violated the ‘no-arrest’ condition of his plea agreement”], *affd* 27 NY3d 1099 [2016]; *People v Bracy*, 131 AD3d 538, 539 [2d Dept 2015] [same]; *People v Fink*, 97 AD3d 974, 976 [3d Dept 2012] [same]; *People v Bennett*, 4 Misc 3d 287, 288 [Sup Ct, Kings County 2004] [imposing a no-new-arrest requirement]).⁷ Adopting any of the People’s or the dissent’s arguments would permit unsealing in every case where the People challenge a defendant’s compliance with the terms of a plea, rendering CPL 160.50 ineffective and turning the sealing of records into the exception rather than the rule. We must be “careful when considering whether to permit access to sealed records so that we do not undermine the legislative goals of CPL 160.50, and make unsealing of records the rule rather than a narrowly confined exception” (*Rubenstein*, 23 NY3d at 581).

IV.

[2] The Appellate Division wrongly concluded that defendant was not entitled to a remedy for this violation of CPL 160.50, relying, as the People and the dissent do here, on this Court’s decision in *Patterson* (*Anonymous*, 161 AD3d at 402-403; *id.* at 403 [Tom, J., concurring]). However, *Patterson* is distinguishable and no bar to defendant’s request that he be resentenced without consideration of the erroneously unsealed record.

In *Patterson*, the police department failed to return defendant’s photograph taken in connection with an unrelated proceeding, which was dismissed and the file sealed. The photograph was later used in an identification procedure in connection with the defendant’s prosecution in an unrelated

7. Our conclusion that the terms of the plea agreement are not “unique or exceptional” bears no relation to the alleged criminal propensities of the “average” defendant (dissenting op at 659). Likewise, contrary to the dissent’s assertion, there is nothing exceptional about application of the sealing mandate to all the records in defendant’s prosecution upon his acquittal, and holding the court to the legislative intendment as set forth in CPL 160.50 and affirmed by *Katherine B.*

criminal matter. The defendant argued that suppression of in-court identification testimony was mandated in order to protect a “substantial right” that “relate[s] rather closely” to Fourth Amendment protections conferred by CPL 160.50 and to “further the underlying purposes of the exclusionary rule” (78 NY2d at 714-715). The Court rejected this argument, holding “there is nothing in the history of CPL 160.50 or related statutes indicating a legislative intent to confer a constitutionally derived ‘substantial right’, such that the violation of that statute, without more, would justify invocation of the exclusionary rule with respect to subsequent independent and unrelated criminal proceedings” (*id.* at 716). In so holding, the Court explained that defendant did not challenge the identification procedure or otherwise question its reliability, nor did he claim the photograph was unlawfully taken or that the use of the photograph affected the determination of his guilt or innocence (*id.* at 714). In other words, the defendant in *Patterson* did not claim that the failure to seal the photograph affected the conviction.

Patterson involved a challenge on direct appeal to in-court identification testimony supported by pretrial use of an unsealed photograph of the defendant in a photographic array. In contrast, defendant here seeks a limited post-unsealing remedy in a different context for a different violation—the court’s post-conviction use of unlawfully obtained records to determine defendant’s noncompliance with the sentencing conditions. Defendant seeks to correct a sentence imposed by the court based on its finding that defendant violated the condition of his plea agreement as established by his unsealed trial testimony.⁸

In arguing against defendant’s request to be resentenced in a manner that comports with the goals of CPL 160.50, the People place undue significance on *Patterson*’s conclusion that

8. *Katherine B.* involved a civil action to prevent unlawful unsealing (5 NY3d at 201 n 1). We have no occasion to consider such preemptive conduct here, except to note that the CPL permits defendant’s challenge to the misuse of the erroneously unsealed court record on his direct appeal (*see* CPL 450.10 [2] [a defendant may appeal “(a) sentence . . . unless the appeal is based solely upon the ground that a sentence was harsh or excessive when such sentence was predicated upon entry of a plea of guilty and the sentence imposed did not exceed that which was agreed to by the defendant as a condition of the plea and set forth in the record or filed with the court”]; CPL 450.30 [1] [“An appeal by the defendant from a sentence, as authorized by subdivision two of section 450.10, may be based upon the ground that such sentence either was (a) *invalid as a matter of law*, or (b) harsh or excessive” (emphasis added)]).

CPL 160.50 does not confer a constitutionally derived substantial right. The People and the Appellate Division understood that language to mean that reliance on erroneously unsealed materials for sentencing results in an injury without remedy. *Patterson* does not support such a sweeping proposition. Rather, the relief sought in that case—application of the Fourth Amendment exclusionary rule to suppress an in-court identification of the defendant premised upon the use of defendant’s photograph in an earlier photo array—was unavailable because the defendant established what the majority called a “technical” violation of CPL 160.50 without more (78 NY2d at 718). Here, there is more than the erroneous unsealing of the court record; there is the improper reliance by the court on the sealed testimony to enhance defendant’s sentence. The trial testimony persuaded the court that defendant violated a presentence condition of his plea and supplied the grounds for the court to deviate from its promised sentence. This direct impact on the sentence satisfies the requirement that a defendant show more than a “technical” statutory violation.⁹ Thus, on *Patterson*’s own terms, the holding and analysis of that case support rather than foreclose resentencing of defendant here. Contrary to the dissent’s characterization (dissenting op at 660), the remedy we recognize is not suppression of evidence obtained in violation of the Fourth Amendment, as was the case in *Patterson*, where the Court rejected application of the exclusionary rule on the facts of that case (*Patterson*, 78 NY2d at 718). Nor is the remedy invoked against the sentencing court (dissenting op at 662). Instead, the remedy here is intended to ensure the sentencing court has access only to information permitted under the legislature’s carefully drafted sealing framework (see CPL 160.50).

In the post-*Patterson* cases relied upon by the People we have taken a similar view of the need for a connection between the statutory violation and the alleged harm sought to be corrected. In *Matter of Charles Q. v Constantine* (85 NY2d 571 [1995]), the Court rejected the petitioner’s request to annul the

9. The dissent unpersuasively attempts to distinguish this appeal from *Katherine B.* by arguing that here, the court did not unseal the transcript of the criminal action terminated in defendant’s favor for the purpose of sentencing defendant based on the factual allegations that gave rise to the acquitted charge. As stated above and expressly in the statute, CPL 160.50 protects the “record” of an “action or proceeding” terminated in favor of the accused, not only the “factual allegations” related to the crime for which the defendant was acquitted.

decision to terminate his employment as a state trooper because evidence sealed under CPL 160.50 was submitted at his disciplinary hearing. The Court held annulment was not required based on the “mere reception” of erroneously unsealed evidence, “without more” (*id.* at 575). The Court explained that the respondent’s determination was supported by the petitioner’s own testimony and “there is no indication that the admission of the erroneously unsealed evidence operated to deprive petitioner of a fair hearing” (*id.*). In other words, consideration of the unsealed records was not outcome-determinative and the decision to terminate employment was supported by independent evidence. Here, the People did not present independent evidence that defendant violated the conditions of his plea, but instead sought to avoid their burden by relying on the contents of the unsealed record.

Similarly unhelpful to the People is *People v Greene* (9 NY3d 277, 280 [2007]), a case that does not even involve CPL 160.50. The Court there held that a violation of the physician-patient privilege that ultimately led to the defendant’s conviction did not require suppression of erroneously obtained medical information (*id.* at 280). As the Court explained, “the privilege does not apply to ‘such ordinary incidents and facts as are plain to the observation of any one without expert or professional knowledge’ ” (*id.*, quoting *Klein v Prudential Ins. Co. of Am.*, 221 NY 449, 453 [1917]). Therefore, when police learned from hospital personnel that the defendant had sought treatment for a knife wound on his face, and this information ultimately lead to his conviction for second-degree manslaughter, the Court found, consistent with *Patterson*, that violation of the statutory privilege “without more” did not require suppression of the information obtained in violation of the privilege (*Greene*, 9 NY3d at 280). Even if there was a violation of the physician-patient privilege, because of the independent evidence supporting the defendant’s conviction, violation of the privilege did not affect the outcome of the proceeding (*see id.* at 280-281).

Defendant here seeks to be sentenced without consideration of the unsealed record because the use of his testimony at sentencing was the sole basis for the enhanced sentence. This appeal seeks a remedy for the injury flowing from an erroneous sentencing process and ultimate sentence determination. The only remedy for that error—indeed the only way to restore defendant “to the status occupied before arrest” on the acquitted charge—is to remit for resentencing without consideration of

the trial testimony obtained in violation of the sealing statute (*Matter of Alonzo M.*, 72 NY2d at 667). This would ensure the legislative intent that the sealed matter remains a nullity (*see id.*).¹⁰

Of course, upon resentencing, the People may present evidence not obtained from the sealed record to establish that defendant violated the presentence plea conditions, supporting a longer sentence than promised at the plea. We take no position on the permissible source or nature of such evidence.

V.

In sum, the Appellate Division properly concluded that the sentencing court erroneously unsealed the court record of the proceeding in which defendant was acquitted because, as explained in *Katherine B.*, CPL 160.50 (1) (d) (ii) does not permit the prosecutor access to sealed records for sentencing purposes in another matter. However, the Appellate Division incorrectly held defendant has no remedy when the sentencing court relied exclusively on the unsealed record to enhance his sentencing. Instead, the court should have ordered the sentence vacated and the case remitted for resentencing without reference to or consideration of the sealed records.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge DiFiore (dissenting). Defendant pleaded guilty and, in exchange for the court's promise setting forth the range of sentences to be imposed depending upon his compliance with certain conditions, agreed that he would stay out of trouble while awaiting sentencing. Four months later, defendant was arrested and indicted for new criminal activity. He proceeded to trial on the new case and, while testifying under oath, admitted that he engaged in postplea drug activity—a clear violation of the plea conditions. The majority, claiming that CPL 160.50 was intended to shield this type of information, now prohibits the sentencing court from considering defendant's testimony and performing its duty to impose a proper

10. Unlike the dissent, we do not opine or engage in speculation about possible outcomes concerning the People's strategy upon remittal (dissenting op at 662). In any case, as the dissent acknowledges, the provision of the statute that allows for a stay of sealing within five days of termination of the proceeding in favor of the accused (CPL 160.50 [1]) is a legislative choice, not a judicial rule.

sentence in accordance with the express terms of the plea bargain agreement.

The CPL 160.50 sealing statute generally commands that where a criminal action is terminated in favor of an accused, the official records are sealed to protect the individual who was the subject of prosecution, particularly in his or her pursuit of future prospects untainted by any stigma resulting from a criminal action. The statute, however, provides a clear path to obtain the records in the interests of justice by the prosecutor and the court and also contains an express exception that, here, authorized the sentencing court to access the transcript of defendant's testimony in order to obtain evidence that he violated the terms of his plea agreement. Even assuming the trial court's unsealing order violated CPL 160.50—and it did not—defendant is not entitled to the drastic remedy of suppression. Therefore, I would affirm the Appellate Division order.

I.

Defendant was convicted, upon his negotiated guilty plea, of the reduced charge of criminal possession of a controlled substance in the fourth degree, in satisfaction of the top count of the indictment—a class A-II drug felony. Pursuant to the plea deal, defendant faced a maximum prison term of nine years, but was given a promise of four years' imprisonment—the legal minimum, given defendant's predicate violent felony conviction—to be followed by three years' postrelease supervision (PRS). The court expressly instructed defendant that the promised sentence was conditional and that, in order to receive the four-year term, he would be required to comply with three conditions. As relevant here, defendant was advised that he had to stay out of trouble and he could not be arrested for a new offense. The court informed defendant that, upon a violation of the terms of the guilty plea agreement, it would not be bound by the four-year minimum term and defendant would, instead, face up to a maximum of nine years in prison. Defendant confirmed that he understood the terms of the plea agreement and its conditions. The court adjourned sentencing for several months.

Approximately four months later, and prior to sentencing on the drug conviction, defendant was arrested and indicted on robbery charges. Although the court could have held an immediate hearing and found defendant in violation of the terms of

his plea agreement if it determined that there was a legitimate basis for the arrest (*see People v Outley*, 80 NY2d 702, 713 [1993]), the court agreed to further adjourn sentencing until prosecution of the new indictment concluded. The court also rejected the People's request to vacate defendant's entire plea agreement based on the new criminal activity.

At trial on the robbery indictment, defendant elected to testify in his own defense and denied his guilt of the factual allegations of the charged offenses. However, in open court, under oath, defendant admitted to participating in drug activity in the period following his guilty plea. The jury acquitted defendant of the crimes charged, which did not include a drug offense.

The following day, defendant, defense counsel and the prosecutor appeared before the court presiding over the drug conviction. In light of the acquittal, defendant made an application to be released on bail. The People opposed the request and represented to the court that, during the trial, defendant testified under oath that he had committed large scale drug crimes while out on bail awaiting sentencing on his drug conviction. Relying on the express terms of the plea agreement, the People stated that they would be seeking an enhanced sentence—the maximum nine-year term—based on defendant's violation of the court's presentence conditions. After defense counsel disputed, in minor part, the People's factual account of defendant's trial testimony, the court directed the People to particularize the information in support of their assertion that defendant engaged in postplea criminal conduct in violation of his plea agreement. In response to the prosecutor's inquiry, the court indicated that it would sign an order unsealing the record of the robbery trial, but that it would allow both sides to be heard before it determined whether an elevated sentence was warranted. Defendant interposed no objection.

The People then applied for an unsealing order pursuant to CPL 160.50 (1) (d) (ii), invoking the statute's law enforcement agency exception and arguing that the court should consider defendant's trial testimony in determining whether he had violated the court's conditional promise. After the court unsealed the records, the People urged the court to consider defendant's admission of postplea criminal conduct in imposing an appropriate sentence.

In response, defense counsel did not dispute the content of defendant's trial testimony, but asserted that defendant had

previously related the substance of that testimony to the prosecutor prior to the trial—essentially, defendant asserted that he had been candid with the People about his involvement in the drug transaction and the reasons therefor, which he viewed as mitigating factors for his new criminal activity. About six weeks later, defense counsel provided a supplemental submission arguing that the unsealing order ran afoul of *Matter of Katherine B. v Cataldo* (5 NY3d 196 [2005]). Defendant asserted that *Katherine B.* prevented the prosecutor from making a CPL 160.50 request to unseal the record of a favorably terminated criminal action for purposes of making a sentencing recommendation.

The People countered that *Katherine B.* was distinguishable, particularly given defendant's admission to committing new crimes postplea—separate from the factual allegations of the charges for which he was acquitted. They further posited that there was an alternative method for the court to obtain defendant's trial testimony pursuant to CPL 160.50—through an application by the police department—or that the trial prosecutor in the robbery case, who was a witness to the admissions, would be able to recount the testimony.

At the sentencing proceeding/*Outley* hearing on the drug conviction, the court concluded that *Katherine B.* was inapplicable because defendant remained under the court's jurisdiction until sentence was imposed in the pending plea case and the court had the concomitant obligation to determine whether defendant complied with the terms of his plea agreement. Defense counsel, arguing that defendant should be sentenced to the minimum four-year term of imprisonment, conceded that defendant engaged in conduct that violated the plea agreement, but maintained that his postplea criminal conduct was limited to the single day from which the robbery charges had stemmed and was defensible in light of defendant's motivations unrelated to the robbery allegations.

Based on defendant's trial testimony, in which he admitted to participating in a drug transaction, the court found defendant in violation of the conditions of his plea agreement, vitiating the promise of the four-year minimum sentence. The court then sentenced him to a term of eight years' imprisonment, to be followed by three years' PRS. The record is unequivocal that the court did not consider the robbery allegations for which defendant was acquitted. Defendant contends, and the majority now agrees, that CPL 160.50 bars the sentencing court from

viewing the trial transcript containing evidence of a clear violation of the plea agreement, despite the sentencing court's core function in the adjudicatory process and the law enforcement purpose in accessing that record in the interests of justice. I disagree.

II.

When a criminal action is terminated in favor of the accused, CPL 160.50 provides that the record shall be sealed unless, in the five-day period following the termination, there is a forestalling of the sealing when the People demonstrate, or the court on its own motion determines, that “the interests of justice require otherwise” (CPL 160.50 [1]).¹ The sealing requirement applies to “all official records and papers . . . relating to the arrest or prosecution” (CPL 160.50 [1] [c]). Once sealed, the statute sets forth six enumerated exceptions where the records must be made available, including a broadly worded “law enforcement” exception. That provision specifies that sealed records “shall be made available to . . . a law enforcement agency” so long as “such agency demonstrates to the satisfaction of the court that justice requires that such records be made available to it” (CPL 160.50 [1] [d] [ii]). We have recognized that the statutory “exceptions are precisely drawn” and that the legislative intent is to preclude disclosure of sealed records unless specifically authorized by the statute (*Katherine B.*, 5 NY3d at 203).

The statute's delineated exceptions are reflective of the legislature's acknowledgement of “countervailing considerations to the sealing of such records and papers” (*Matter of Harper v Angiolillo*, 89 NY2d 761, 766 [1997]). Accordingly, the statute “balances the rights of a former defendant to restrict and obtain access to official records and papers in favorably terminated criminal proceedings, against the interests of various law enforcement agencies and representatives in the same materials” (89 NY2d at 767).² While commanding the sealing of official records, the statute does not grant immunity to a de-

1. The People do not argue that their request, within 24 hours of the acquittal, for the court to consider an unsealing order for defendant's trial testimony fits within this provision.

2. Likewise, we have observed that whether a particular record is an “official record” subject to the sealing requirement is not suitable for a bright-line rule and may differ based on the circumstances of the particular case (89 NY2d at 765-766).

fendant on the underlying factual allegations. On the other hand, a defendant is protected from reprosecution for the same offense by the Double Jeopardy Clause of the United States Constitution (*see* US Const Fifth Amend; *see also* NY Const, art I, § 6; CPL art 40).

It is well-settled that CPL 160.50 “serves the laudable goal of insuring that one who is charged but not convicted of an offense suffers no stigma as a result of his having once been the object of an unsustained accusation” (*Matter of Hynes v Karassik*, 47 NY2d 659, 662 [1979]) and was designed to “remove the punitive collateral consequences of an arrest where such person has been accorded treatment other than a conviction” (Introducers’ Mem in Support, Bill Jacket, L 1976, ch 877). A particular impetus for the sealing protection was to enable a former accused to “pursue employment, education, professional licensing and insurance opportunities untainted by the stigma of a criminal prosecution” (*Harper*, 89 NY2d at 766). To accomplish that end, the statute prohibits adverse action—e.g., employment, housing, credit—against an individual on the basis of a criminal action terminated in the individual’s favor (*see* Executive Law § 296 [16]).

III.

In concluding that the court improperly unsealed the transcript here, defendant and the majority believe that this case is controlled by our interpretation of CPL 160.50 in *Katherine B.*—an interpretation provided in the narrow context of a prosecutor’s use of sealed records for a sentencing recommendation. There, the petitioners were convicted after trial of obstructing governmental administration and disorderly conduct. In response to the court’s request for updated criminal histories, the People moved *ex parte*, pursuant to CPL 160.50 (1) (d) (ii),³ to unseal the petitioners’ official records, terminated in their favor, in order to make a sentencing recommendation. Based on information in the unsealed records, the People advised the court that the petitioners had been involved in previous acts of civil disobedience and recommended a harsher sentence based on the allegations taken from the complaints in those unsealed records (*see* 5 NY3d at 200).

3. The People also obtained unsealing orders pursuant to CPL 160.55 (1) (d) (ii), but those unsealing orders were not challenged by the petitioners on the appeal and therefore were not before the Court (*see* 5 NY3d at 201 n 3).

In analyzing CPL 160.50, the Court concluded that the “primary focus” of most of the statutory exceptions “is the unsealing of records for investigatory purposes” (5 NY3d at 205) and that various law enforcement agencies are authorized to use such records. “[I]nvestigatory purposes” is not a statutory term, but we referenced, “[b]y way of analogy,” *ex parte* applications for eavesdropping warrants (CPL 700.10 [1]) and pen register or trap and trace devices (CPL 705.15 [1])—applications for court orders which can be made by a District Attorney’s Office (*see also People v Losinno*, 38 NY2d 316, 318 [1975] [“There is no question but that the District Attorney is a law enforcement officer”]; CPL 700.05 [5]; Executive Law § 838-b). However, given that the term “law enforcement agency” was also not defined in the statute and that the word “proceeding” did not appear in the law enforcement exception, we opined that “the Legislature has limited a court’s authority to make sealed records available to a prosecutor after commencement of a criminal proceeding to the singular circumstance delineated in CPL 160.50 (1) (d) (i)” (5 NY3d 204-205).⁴ The opinion’s emphasis on the investigatory purpose of the law enforcement exception, coupled with the procedural posture of the People’s request, informed the decision, on the question presented, that courts are not authorized “to make sealed records available to a prosecutor for purposes of making sentencing recommendations” (5 NY3d at 199). This narrow determination is consistent with the statutory intent to protect a defendant against the use of unsubstantiated allegations from a sealed record in further proceedings absent an exception in CPL 160.50.

Katherine B. is readily distinguishable, as the postverdict unsealing motion was made to place before the court unsubstantiated allegations in an action terminated in favor of the accused in connection with the People’s initial sentencing recommendation (*see* 5 NY3d at 200). Here, by contrast, the unsealing application was singularly focused on gathering information to enable the sentencing court to determine whether defendant had in fact violated the conditions of his still-pending

4. There is no restriction in the Criminal Procedure Law that forecloses continued investigation by a District Attorney once a criminal action commences. Aside from investigatory measures necessary to address defenses raised by notice filed by a defendant after arraignment (*see* CPL 250.20), the continuing duty of the prosecutor to ensure the prosecution has not wrongfully accused a defendant is completely at odds with any declaration that all investigation suddenly ceases once a criminal action commences.

plea agreement by engaging in criminal activity separate from the allegations for which he was acquitted. This case implicates the court's core authority to execute the specific plea agreement binding on the parties, as well as the People's ability to demonstrate that defendant violated that agreement. In this vein, the People's investigatory role in seeking the unsealed records is akin to the investigatory function exercised by the Department of Corrections and Community Supervision and the probation department, permitted under CPL 160.50 (1) (d) (iv) and (vi), in accessing records of an action terminated in a defendant's favor. Such access was contemplated by the legislature to allow enhanced supervision, and even permits revocation "for the very act underlying the arrest which resulted in sealing" (*Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662, 668 [1988]). To accomplish that permissible goal, an investigation of the facts is necessary.

The overarching concern in *Katherine B.* was that CPL 160.50 was used to permit the sentencing court to consider the precise factual allegations underlying the crimes of acquittal, which are generally irrelevant to the issue of punishment. By contrast, here, defendant, who was found not guilty of the robbery charges, retains the presumption of innocence on those offenses, which were not used against him in the sentencing determination (compare *United States v Watts*, 519 US 148, 151-152 [1997], with *Apprendi v New Jersey*, 530 US 466 [2000]). Unlike *Katherine B.*, the process engaged in by the sentencing court below is entirely in keeping with the protective purpose of the plain language of the statute—ensuring that an individual does not face adverse consequences based on charges that are resolved in his or her favor, while balancing the need for the court and law enforcement to access materials for determinations necessary to perform their duties and functions.⁵

5. In this regard, the primary purpose of the statute—to eliminate stigma—becomes clear when CPL 160.50 is considered with CPL 160.55. CPL 160.55 (1) (c) is substantially similar to CPL 160.50 (1) (c), except that it does not specifically provide for the sealing of court records (see also 5 NY3d at 201 n 3). While CPL 160.50, which applies to criminal actions terminated in favor of a defendant, including actions dismissed prior to verdict, plainly was intended to provide protections "consistent with the presumption of innocence" (Governor's Mem approving L 1976, ch 877, 1976 McKinney's Session Laws of NY at 2451), such protections would not apply to records sealed under the nearly identically worded CPL 160.55, which addresses records sealed upon conviction of a noncriminal offense.

IV.

Even if *Katherine B.* should be broadly interpreted to prohibit a sentencing court from obtaining, on the prosecutor's motion, information relevant to an *Outley* hearing—which it should not—the sentencing court should nonetheless be permitted to exercise its authority to determine whether a defendant, in a postplea posture, complied with his negotiated plea agreement before imposing sentence (*see* CPL 400.10 [4]; *Outley*, 80 NY2d at 712). Significantly, it is not necessary to prove that a defendant committed the postplea offense that led to the arrest in order to satisfy due process concerns under *Outley* (*see* 80 NY2d at 713). Rather, the sentencing court must conduct a hearing “of sufficient depth . . . so that the court can be satisfied—not of defendant's guilt of the new criminal charge but of the existence of a legitimate basis for the arrest on that charge” (80 NY2d at 713). The majority's contrary holding that a sentencing court cannot consider a defendant's admissions made under oath in open court in this context undermines judicial control in the sentencing process (*see People v Selikoff*, 35 NY2d 227 [1974]) and hinders the court in the performance of its fundamental sentencing function—“[t]o comply with due process . . . [and] assure itself that the information upon which it bases the sentence is reliable and accurate” (80 NY2d at 712).

A limited exception to allow unsealing in this situation would be consistent with our similar holdings in *Matter of New York State Commn. on Jud. Conduct v Rubenstein* (23 NY3d 570 [2014]) and *Matter of Dondi* (63 NY2d 331 [1984]). As we recognized in *Rubenstein*, “‘a former defendant's interest in preventing the disclosure of official records and papers . . . is not absolute,’” as “‘countervailing considerations’” are present in CPL 160.50's statutory exceptions (23 NY3d at 580, quoting *Harper*, 89 NY2d at 766-767). Moreover, despite our recognition that the statutory exemptions are meant to be narrowly construed, “[o]ur inquiry does not commence and end with CPL 160.50, for we have recognized that there may be other sources of authority permitting access to sealed records”—in particular, where there are “extraordinary circumstances,” a specific grant of authority or a legal mandate that would otherwise be impossible to accomplish (23 NY3d at 580-581). Thus, in *Rubenstein*, based on the broad investigatory powers accorded to the Commission on Judicial Conduct under the Judiciary Law and its constitutional duty to “ensure the integrity of the judicial

system,” we held that the Commission could obtain sealed documents under CPL 160.50 (23 NY3d at 581). That holding was in keeping with *Matter of Dondi* (63 NY2d 331 [1984]), wherein we concluded that “the Appellate Division may exercise its discretion, pursuant to inherent authority over records and its oversight and disciplinary power over attorneys and counselors at law, to permit the unsealing of criminal records,” in “extraordinary circumstances” and “only upon a compelling demonstration, by affirmation, that without an unsealing of criminal records, the ends of protecting the public through investigation and possible discipline of an attorney cannot be accomplished” (63 NY2d at 338).

In the extraordinary circumstances presented by this case, the court’s paramount concern—that a defendant, who receives a favorable plea deal and is released into the community based on a promise not to engage in criminal activity, is sentenced in accordance with the terms of his plea agreement—outweighs sealing protection for the very record wherein defendant openly admitted that he violated the plea condition. The majority’s dismissal of this concern rests on the contention that the factual circumstances here are not “unique or exceptional” (majority op at 646), due to the common nature of the imposition of a conditional plea agreement. That premise, however, assumes a pronounced criminal propensity on the part of the average defendant who has just been convicted on a guilty plea. It also ignores the remarkable nature of what transpired in this case—defendant’s admission to postplea criminal conduct under oath in open court—as well as the indisputable fact that the sentencing court did not consider the factual allegations of the charges for which defendant was acquitted.

The statutory history of CPL 160.50, invoked by the majority, actually undermines its position. As the majority notes, CPL 160.50 (1), as originally enacted, provided that records would not automatically be sealed where “another criminal action or proceeding is pending against [the defendant]” (L 1976, ch 877, § 1). In other words, the statute itself contemplated that the People and the court might need access to sealed records in order to pursue a pending case. While that automatic bar on sealing was later eliminated (L 1977, ch 905, § 1), the legislative history demonstrates that amendment was intended to address the difficulty courts were having—in an era where computerized criminal records were not yet common—in determining whether a defendant had an open case and

because the mere existence of a pending action was deemed “irrelevant.” Courts were, in an abundance of caution, refusing to seal cases, even where a defendant was entitled to the benefit of the sealing provision, simply because “there may be an action pending against the defendant” (Governor’s Program Bill Mem at 2-3, Bill Jacket, L 1977, ch 905, 1977 McKinney’s Session Laws of NY at 2453). Nowhere does the legislative history indicate that the amended statute categorically bars the People from accessing sealed records for the law enforcement purpose of investigating a defendant’s compliance with a court’s plea conditions. The relevancy of the sealed material to the *Outley* hearing is more than evident and defendant’s attempt to block court access to the information is designed solely to unfairly bind the court to a promise of a lenient sentence that was violative of the plea agreement.

The majority’s conclusion that the sealing provision operates to render anything that transpires between arrest and a favorable disposition a “nullity” is also seriously flawed (*see* majority op at 642). Although the statute provides for the sealing of records in an attempt to restore an individual to prearrest status after charges have been terminated in his or her favor, that protection is limited by the express terms of the statute, which plainly contemplate disclosure of information to the court, the District Attorney, and other law enforcement agencies where authorized by statute or the court (*see* CPL 160.60). The majority’s seemingly endless references to what it views as the legislative intent animating the sealing statute overlook a key tenet of statutory interpretation—“courts normally accord statutes their plain meaning, but ‘will not blindly apply the words of a statute to arrive at an unreasonable or absurd result’ ” (*People v Santi*, 3 NY3d 234, 242 [2004], quoting *Williams v Williams*, 23 NY2d 592, 599 [1969]). The words of the statute do not support the conclusion that the protections of CPL 160.50 must be mechanically applied to encompass sworn admissions to criminal conduct in open court, unrelated to the offenses of which defendant was acquitted, and to obstruct the court’s obligation to impose a sentence consistent with the plea agreement.

V.

Even if the unsealing of the trial transcript violated CPL 160.50, defendant is not entitled to the remedy of suppression of the sealed testimony (*see People v Patterson*, 78 NY2d 711

[1991]). In *Patterson*, CPL 160.50 was violated when the police improperly retained the defendant's photograph, obtained in connection with a prior dismissed charge, and used the photograph, in the absence of a court order, in a photo array from which the victim identified the defendant (*see* 78 NY2d at 713). We observed that a defendant does not have a constitutional right to the return of arrest photographs when charges are dismissed and concluded that the legislature afforded a civil remedy for violations of CPL 160.50—i.e., a complaint for an unlawful discriminatory practice under Executive Law § 296 or an action under 42 USC § 1983 (*see* 78 NY2d at 715-716). “[T]here is nothing in the history of CPL 160.50 or related statutes indicating a legislative intent to confer a constitutionally derived ‘substantial right,’ such that the violation of that statute, without more, would justify invocation of the exclusionary rule with respect to subsequent independent and unrelated criminal proceedings” (78 NY2d at 716). We went on to point out that “in limited circumstances . . . the violation of a statute may warrant imposing the sanction of suppression” but observed that we have only recognized such a remedy “where a constitutionally protected right was implicated” (78 NY2d at 716-717; *see also* *People v Johnson*, 27 NY3d 199, 207 [2016]; *People v Greene*, 9 NY3d 277, 280-281 [2007]; *People v Taylor*, 73 NY2d 683, 690-691 [1989]).

Conspicuously absent from the majority's unsuccessful attempt to distinguish *Patterson* is any effort to identify a constitutional right of defendant's that was infringed by the unsealing order in this case. The majority concludes, instead, that use of the unsealed information warrants the drastic remedy of suppression because the court's action resulted in the imposition of a harsher sentence based solely upon that unsealed testimony (*see* majority op at 648). Given that defendant at sentencing disputed only his motivations for, but not the fact of, his new criminal conduct in violation of the plea conditions, the record supports no claim of an erroneous *Outley* determination. Moreover, the majority's reasoning is not supported by *Matter of Charles Q. v Constantine* (85 NY2d 571 [1995]). In that case we observed that “[h]aving concluded [in *Patterson*] that evidence obtained in violation of a CPL 160.50 sealing order need not be suppressed in a criminal proceeding, we discern no basis for excluding from a disciplinary hearing evidence obtained through an erroneous unsealing order” (85 NY2d at 575). The majority's conclusion that the “more”

contemplated by *Patterson* is satisfied when the unsealing error has an effect on the proceeding turns our suppression jurisprudence on its head. In a similar vein, the majority misperceives the import of *Patterson*'s statement that the use of the photograph did not affect the determination of the defendant's guilt or innocence. This was merely another way of saying that there must be some underlying constitutional violation—not merely the use of sealed information in violation of CPL 160.50—to warrant the remedy of suppression.

Effectively, the majority holds that the exclusionary rule should be invoked against the sentencing court—as a penalty for seeking to fulfill its function by obtaining reliable evidence prior to concluding that defendant violated his negotiated plea agreement and imposing a sentence consistent with the agreement. The exclusionary rule is meant to “‘deter[] lawless conduct’” by police and to preclude the use in court of evidence that was “‘unconstitutionally obtained’” (*Brown v Illinois*, 422 US 590, 599 [1975], quoting *Wong Sun v United States*, 371 US 471, 486 [1963]; *People v Boodle*, 47 NY2d 398, 404-405 [1979]). Apparently, the goal to be achieved by suppressing the testimony under the circumstances of this case—where defendant admitted to uncharged criminal conduct in open court—is to strictly enforce the five-day rule of CPL 160.50, authorizing a court to forestall the placement of a seal on court records. It cannot seriously be argued that this result is in keeping with the statute's purpose to protect a defendant in his future endeavors from a stigma flowing from an acquittal of different criminal activity. Indeed, the end result here, after a remittal for a new sentencing proceeding, is likely to be the same. The majority tacitly recognizes as much in its observation that the People are free to pursue other available means of introducing this information upon remittal (*see* majority op at 650), as well as its acknowledgement that the People immediately advised the court of the nature of the issue here the day after defendant's acquittal, when the People or the court sua sponte could have sought to forestall the sealing of the record in the interests of justice within the statutory five-day window (CPL 160.50 [1]; majority op at 643, 650 n 10 [mischaracterizing this motion as a motion for a “stay”]).

In sum, this case is distinguishable from *Katherine B.* in that the official court record was unsealed to allow the sentencing court—in the context of an *Outley* hearing—to access information that defendant testified in open court to a violation of

his plea conditions. The court was well within its fundamental duties to consider defendant's postplea criminal conduct in imposing a sentence consistent with the negotiated plea agreement. We certainly should not distort a straightforward statute to erect unreasonable barriers to the court's discovery of the truth at the cost of the integrity of the criminal justice system. CPL 160.50 does not require the absurd result countenanced by the majority's decision—a result all the more unreasonable given that defendant did not dispute the postplea criminal conduct at sentencing. Accordingly, I would affirm the Appellate Division order.

Judges STEIN, FAHEY and WILSON concur; Chief Judge DiFiore dissents and votes to affirm in an opinion in which Judges GARCIA and FEINMAN concur.

Order reversed and case remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein.

[Next page is 901.]

